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African Highland Produce Ltd v Kisorio

[2001] 1 EA 1 (CAK)

Division: Court of Appeal of Kenya at Nakuru

Date of judgment: 28 September 2001

Case Number: 264/99

Before: Tunoi, Owuor and Keiwua JJA

Sourced by: LawAfrica

Summarised by: M Kibanga

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[1] Damages – Damage to motor vehicle – Plaintiff hiring an expensive motor vehicle for six months – Plaintiff failing to collect damaged motor vehicle from garage within 21 days – Plaintiff claiming loss of user for six months – Whether Plaintiff's conduct a failure to mitigate loss.

[2] Damages – Loss – Mitigation of loss – Circumstances under which a plaintiff ought to mitigate loss – What constitutes mitigation of loss.

[3] Damages – Loss – Mitigation of loss – Whether mitigation of loss a matter of fact or law.

Editor's Summary

On 13 April 1997 the Plaintiff was involved in a road traffic accident whereby his BMW car was damaged. The accident was caused by the negligent driving of the Defendant's driver. As a result of the accident the Plaintiff hired a luxurious land cruiser motor vehicle for KShs 6 800 per day beginning in April 1997. According to the evidence, the Plaintiff could have retrieved his car from the garage within 21 days. The Plaintiff, however, continued to hire the land cruiser and by the time he retrieved the BMW from the garage in November 1997 he had paid a total of KShs 1 561 000 for the hire. The explanation by the Plaintiff for his failure to retrieve the BMW within 21 days was that the Defendant kept promising to pay for the repairs, without doing so.

The High Court reduced this claim for loss of user by half in favour of the Plaintiff and the Defendant lodged this appeal against the figure.

Held – It was the Plaintiff's duty to take all reasonable steps to mitigate the loss he sustained consequent upon the wrongful act in respect of which he sued, and he could not claim as damages any sum which was due to his own neglect. The question of what was reasonable was not a question of law, but of fact in the circumstances of each particular case, the burden of proof being upon the Defendant.

The Plaintiff did not take reasonable steps to mitigate the loss; he had had the opportunity to retrieve his car from the garage after 21 days. The Plaintiff was entitled to damages for loss of user for 21 days only, the balance of loss being upon him for his failure to mitigate the loss.

No cases referred to in judgment

Judgment

TUNOI, OWUOR AND KEIWUA JJA: The success or otherwise of this appeal is grounded on as to whether the Learned Judge, Nambuye J erred in failing to

address herself correctly on the law regarding mitigation of losses by the Res-pondent, the Plaintiff in the suit.

The guiding principle of law in mitigation of losses is as follows. It is the duty of the Plaintiff to take all reasonable steps to mitigate the loss he has sustained consequent upon the wrongful act in respect of which he sues, and he cannot claim as damages any sum which is due to his own neglect. The duty arises immediately a Plaintiff realises that an interest of his has been injured by a breach of contract or a tort, and he is then bound to act, as best he may, not only in his own interests but also in those of the Defendant. He is, however, under no obligation to injure himself, his character, his business, or his property, to reduce the damages payable by the wrongdoer. He need not spend money to enable him to minimise the damages, or embark on dubious litigation. The question what is reasonable for a Plaintiff to do in mitigation of his damages is not a question of law, but one of fact in the circumstances of each particular case, the burden of proof being upon the Defendant. See *Halsbury's Laws of England* (3 ed) Volume 11 at 289, 1955.

The Plaintiff is allegedly a wealthy businessman operating in Eldoret and Nairobi. During the material time he owned a car, a BMW registration number KAG 425L. It was mainly used to take his young children to school in Nairobi. On 13 April 1997, it was involved in an accident near Gilgil Toll Station along Nakuru-Nairobi highway as a consequence of which the car was extensively damaged. The Defendant, now the Appellant in the appeal, admitted total liability for the tort, the accident occasioned by the negligent driving of the driver of its motor vehicle registration number KAH 207B. Thus, the only task that fell upon the Learned Judge to grapple with during the trial was to assess damages.

As a result of the accident, the Plaintiff hired for the use of his children a massive luxurious Land Cruiser 3200 cc for which he paid Shs 6 800 per day for six months with effect from April 1997. By the time he retrieved his car from the garage in November 1997, he had paid a total sum of KShs 1 561 600 for hire charges.

The Plaintiff testified and the Learned Judge accepted that full and complete repairs on his BMW could have been done within 21 days or less. The ex-planation given by the Plaintiff as to why he did not pay and collect within a reasonable period for the repair of his car was that the Defendant used to give him a variety of promises to pay. This went on from April to November 1997, but, all in vain. The Learned Judge finally held:

> "The prime factor is that he, Plaintiff, has a duty to mitigate loss if it is within his means to do so. Herein the Plaintiff had the means to do so but did not act prudently. The total claim under this head is KShs 1 432 000 and in the court's opinion the same should be slashed by half in view of what I have said above and so I allow KShs 716 000 under this heading".

It is manifestly clear that the Plaintiff did not take reasonable steps to mitigate the loss which he sustained consequent upon the accident. Being a man of considerable means he could have within 21 days, repaired his BMW car instead of incurring unnecessarily heavy hire charges. He did not act prudently. A prudent man would certainly not have acted in the way the Plaintiff did. He acted, in our view, unreasonably. The Learned Judge was in error to allow the Plaintiff any loss of user for more than 21 days. The Plaintiff is entitled only to

the loss of user for 21 days which period was necessary to effect in full all repairs on the BMW car. There was no justification whatsoever in law to allow him to enjoy and to harvest from an illegal territory.

For the foregoing reasons we allow the appeal and set aside the sum of Shs 716 000 awarded for loss of user. We substitute therefor a sum of Shs 142 800 (Shs 6 800 per day for 21 days) with interest at court rates from the date of judgment until payment in full. The decree of the High Court must be adjusted accordingly. The Defendant shall have two thirds of the costs of the appeal. These are our orders.

For the Plaintiff:
Information not available

For the Defendant:
Information not available

Ami v Safari
[2001] 1 EA 3 (CAT)

Division:	Court of Appeal of Tanzania at Arusha
Date of judgment:	14 September 2001
Case Number:	5/98
Before:	Makame, Kisanga and Lugakingira JJA
Sourced by:	LJS Mwandambo
Summarised by:	HK Mutai

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[1] Constitutional law – Basic human rights – Right not to have property confiscated without compensation – Constitution enacted after property confiscated – Retrospective operation – Whether the Constitution could be applied retrospectively – Article 24(2) – Constitution.

[2] Limitation of actions – Property – Confiscated property – Suit to recover possession – Commencement of the limitation period – Whether suit was brought within the limitation period – Section 16 – Law of Limitation 1971 – Customary Law (Limitation of Proceedings) Rules, 1963.

Editor's Summary

In 1974, 20 acres out of the 25 acres owned by the Appellant's father was taken away from him as part of the villagisation exercise and given to the families of the four Respondents, each family getting five acres. In 1987 the Appellant's father died and, in 1991, the Appellant began proceedings against the Respondents in the primary court seeking to recover the twenty acres on the ground that the villagisation exercise was oppressive and violated basic human rights. The action was partly successful and the Appellant recovered two and a half acres from each Respondent. In its ruling, the primary court did not address the constitutional issue but instead based its decision on limitation. It held that suits to recover land had to be commenced within 12 years, that time in this instance had begun to run in 1987 and that the suit had therefore been brought in time. The Appellant was dissatisfied with this decision and appealed to the District Court seeking to recover the balance of the

confiscated property. The District Court differed with the primary court regarding the date

when time had started running and held that time had actually begun to run in 1974. It also found that the Appellant was entitled to compensation but that the primary court's decision would not be disturbed as the ten acres already recovered by the Appellant was sufficient compensation. The Appellant then appealed to the High Court, and while conceding that time had started to run in 1974, invoked the benefit of section 16 of the Law of Limitations Act ("the Law of Limitations Act") in support of his contention that his suit had been brought within the prescribed time period. He claimed that his father had been sick between 1980 and 1987 and therefore those seven years ought to be excluded in calculating the limitation period. Though the High Court found that section 16 was applicable, meaning that the 12-year period had not ended in 1991, it also found that the Appellant had acquiesced in the Respondents' possession by not seeking recovery for a period of 17 years, thus it dismissed the appeal. Leave to appeal was granted with the Judge certifying for the Court of Appeal's determination the question whether it was an error to hold that the Appellant had acquiesced in the Respondents' possession even though seven years were excluded from the period of limitation. The Appellant also appealed on the ground that the seizure of the land without compensation contravened article 24(2) of the Constitution ("the Constitution"). The First Respondent, who was the only one of the Respondents to appear, contended that no evidence had even been adduced to prove that the Appellant's father had really been ill.

Held – The High Court Judge made a contradictory decision in holding that the suit had been brought in time and at the same time holding that the Appellant had slept on his rights for 17 years. The Judge also erred in invoking section 16 of the Law of Limitations Act as that Act, save for section 43, did not apply to proceedings under customary law such as this. Customary law proceedings were governed by the Customary Law (Limitation of Proceedings) Rules, 1963 that did not provide for the exclusion of time but rather for the extension of periods of limitation. The Judge also erred in accepting the Appellant's story about his father's illness on the strength of his petition and submissions before it. Such petition and submissions did not constitute evidence.

There was no basis for holding that the Appellant's constitutional rights had been contravened. The basic rights enacted in the Constitution became justiciable only after the land had been taken away and the provisions of the basic human rights sections of the Constitution were not retrospective; *AG v Akonaay* [1995] TLR 80 applied. The appeal would be dismissed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

AG v Akonaay [1995] TLR 80 – **AP**

Judgment

LUGAKINGIRA JA: The Appellant's late father, one Tsekeway Ami, was the owner of a twenty-five acre parcel of land at Mamire village in Babati District. In 1974 twenty acres of this land were taken away in the villagisation exercise

and allocated to the families of the four Respondents, each family being assigned five acres. The Appellant's father died in 1987.

In 1991 the Appellant commenced action against the Respondents in the primary court to recover the twenty acres. The basis of his claim began to unfold when he was being cross-examined by the First Respondent (then Fourth Defendant), Dominick Safari. The Appellant stated that the villagisation exercise was oppressive and violated basic human rights guaranteed in the Constitution which became justiciable in 1988. The action was partially successful. The primary court took away two and a half acres from each of the Respondents, a total of ten acres, and restored them to the Appellant. In doing so, the court steered clear of the constitutional aspect, making no reference to it, but purported to base its decision on limitation. Taking into account that suits to recover land must be commenced within twelve years, and accepting the Appellant's claim that his father had previously protested against the seizure of his land, the court held that the time began to run from 1987 when the Appellant's father died. The action was therefore adjudged in time, it having been commenced four years later.

This decision did not satisfy the Appellant who appealed to the District Court seeking to recover the remaining ten acres. The appeal was unsuccessful. Although the District Court held that time began to run from 1974 and, therefore, the suit was time barred, it decided not to disturb the decision of the primary court, giving two reasons. First the Appellant was adjudged entitled to compensation for the land taken away by virtue of the provisions of article 24(2) of the Constitution, and the ten acres restored to him was considered sufficient "compensation"; second because the Respondents never participated in the appeal, either in person or by written statements, although they were duly served.

The Appellant was still dissatisfied and further appealed to the High Court. In his petition of appeal he conceded the District Court holding that time began to run from 1974. However, both in the petition and in his subsequent submissions he came up with a story of his father's incapacitation through illness from 1980 to 1987. And believing that the Law of Limitation Act, 1971 was applicable, he accordingly invoked the benefit of section 16 thereof. The section reads in part:

> "Where, after the right of action for a suit … has accrued and before the period of limitation prescribed for such suit … expires, the person to whom such right has accrued suffers a disability, in computing the period of limitation prescribed for such suit.., the time during which such person is under disability shall be excluded".

The High Court (Munuo J) accepted the Appellant's story, readily invoked section 16, and held that the 12 year period expired in 1991 after excluding the period 1981–1987. The suit was therefore adjudged to have been in time. However, the court dismissed the appeal, the Learned Judge holding that the Respondents had possessed the land for seventeen uninterrupted years and that the Appellant had acquiesced in the possession by not suing for its recovery. This outcome surprised the Appellant who immediately lodged a notice of appeal.

While granting leave to appeal, the High Court certified the following point:

> "Whether the Learned Judge having found that the suit was not time barred because the period of 7 years was excluded under section 16 of the Law of Limitation Act, 1971 she could have proceeded to hold that the respondents possessed the disputed land 'under the concept of acquiescence' for 17 years".

The Appellant adopted this point which pervades his two-ground memorandum of appeal. He also appeared in person at the hearing as did the First Respondent only. He submitted that the Learned Judge having found that the suit was not time barred, she erred in holding that he had acquiesced in the Respondents' possession of the suit land for seventeen years. He repeated the story before the High Court that his father was bedridden for seven years. Although the constitutionality of the seizure of the land did not feature in the grounds of appeal, he further charged that it was unlawful to take away the land without compensation, citing for this article 24(2) of the Constitution and this Court's decision in *AG v Akonaay* [1995] TLR 80. The First Respondent replied briefly that no evidence had ever been adduced about the Appellant's father's alleged illness. He was saying, in other words, that assuming section 16 was applicable, it was not properly invoked in the circumstances of this case. He then underscored the aspect of acquiescence pointing out, as he had done at the trial, that he had in fact inherited his part of the suit land from his father who was the allottee in 1974.

We are unable to see the merits of this appeal even though we are equally unhappy about the Appellant's partial victory. As regards the grounds of appeal, we are in agreement the Appellant's criticism of the High Court's decision. It was contradictory to say that the suit was in time but in the same breath to hold that the Appellant had slept on his rights by acquiescence for seventeen years. It seems the Learned Judge had suddenly forgotten her own decision to exclude seven of the seventeen years. Whether it was in fact correct to invoke section 16 and exclude the seven years is another matter to be looked at shortly. But since in her opinion the suit was instituted in time, that is, within twelve years, there could not be acquiescence for seventeen years at the same time. The two aspects just cannot go together. Questions of acquiescence, adverse possession and the like would arise only where the period of limitation has expired.

The crucial question is whether the Learned Judge was correct in law to invoke section 16 and to go on and exclude the seven years. With respect, we think not, for reasons. First of all, invocation of section 16 was a misdirection on the law. A reading of section 50 of the Limitation Act makes it clear that the whole of the Act, except section 43, does not apply to proceedings under customary law, but it is replaced by the Customary Law (Limitation of Proceedings) Rules, 1963, GN Number 311 of 1964. Section 16 of the Act therefore has no application in proceedings like the instant proceeding. On the other hand, the rules aforesaid do not provide for exclusion of time as such but for extension of periods of limitation where they have expired. That is the essence of rule 3. For example under subrule (1) of rule 3, where a person is under 18 years of age or insane when the right to sue first accrues, the period of limitation would be calculated as though the date when the right to sue accrued was the date when he attained 18 years or recovered his sanity. Moreover, subrule (4) empowers the court to admit any proceeding after the expiration of the period of limitation if it is satisfied that the person bringing the proceeding was unable for sufficient cause to bring the proceeding earlier. If in the instant case there were evidence of the Appellant's father's illness as claimed, the Appellant's case would have fallen for consideration in the context of this subrule. This takes us to the second reason for holding that the exclusion of the seven years was improperly made.

As already stated, the Learned Judge made the exclusion after accepting the Appellant's story about his father's illness. But that was a story and not evidence. As correctly submitted by the First Respondent, the Appellant never adduced evidence of the illness at the trial but made mention of it for the first time in the petition of appeal and submissions before the High Court. A

petition of appeal and supporting submissions are not evidence and it is surprising that the Learned Judge had a different impression. We hold in the premises that it was an error to accept the Appellant's story as evidence in the same way as it was an error to invoke section 16 of the Limitation Act. We would go further and say, if it is necessary to do so, that even the alleged protestations by the Appellant's father testified to at the trial counted for nothing. First of all, that evidence could only have been hearsay. By the Appellant's own account he never saw his father from the time he was aged one year till 1987 when he was about 37 years of age and when his father was allegedly already bedridden. The Appellant was therefore not in a position to have had personal knowledge of what he testified to. But most of all, those protestations, if any, were not relevant. Protests and complaints other than judicial proceedings do not count in the reckoning of periods of limitation but they may be relevant in seeking extension of time. All in all, therefore, we are of the view that there was no basis for holding that the suit was instituted in time. It is clear to us that the period of limitation ran its full course on the due date in 1986.

It is not necessary to say much about the Appellant's harping on his constitutional rights. As conceded by him at the hearing, the basic rights were enacted into the Constitution and became justiciable many years after his father's land was taken away. It was held in *Akonaay* upon which he purported to rely that "the provisions of the Basic Human Rights section are not retrospective" (at 95H). And so it is in this case. Article 22(4) cannot be relied upon to determine the validity of confiscations of property that took place in 1974. This is not to say that the confiscation of the property in question had any basis in law; what is at issue is that it could and should have been challenged at the appropriate time even though no bill of rights existed at the time.

The appeal is dismissed with costs to the First Respondent. As the District Court rightly observed, the Appellant should count himself lucky that the Respondents never appealed against the decision of the primary court.

(Makame and Kisanga JJA concurred in the judgment of Lugakingira JA.)

For the Appellant:

In person

For the Respondent:

In person

Aziz v Bhatia Brothers Ltd
[2001] 1 EA 7 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of judgment:	8 February 2001
Case Number:	42/95
Before:	Makame, Kisanga and Ramadhani JJA
Sourced by:	LJS Mwandambo
Summarised by:	HK Mutai

[1] Property – Sale of land – Registered land – Consent to transfer land – Contract – Failure to observe statutory requirements or obtain consent – Whether failure to obtain consent renders a sale agreement void – Regulation 3(1) and (2) – Land Regulations 1960 – Section 2(1) and (2) – Law of Contract Ordinance (Chapter 433).

Editor's Summary

This was a reference by an ordinary three-judge bench of the Court of Appeal to a full five-judge bench of the same court to determine the legal effect on an agreement of a lack of consent to a sale of registered land pursuant to regulation 3 of the Land Regulations 1960. The reference was necessitated by the existence of conflicting Court of Appeal decisions on the issue.

Held – In determining the correct interpretation of the expression "shall not be operative" in regulation 3, the court would be guided by two principles. First, that a right of occupancy was something in the nature of a lease and the holder of such a right occupied the position of a sort of lessee *vis-à-vis* the superior landlord; *Nitin Coffee Estate and others v United Engineering Works Ltd and another* [1988] TLR 203 partly applied. Second, that the sanctity of contract would be observed and the courts would be reluctant to admit excuses for non-performance where there was no incapacity, no fraud (actual or constructive) or misrepresentation and no principle of public policy prohibiting enforcement. Though regulation 3(1) was to the effect that a disposition of a right of occupancy "shall not be operative" unless it was in writing and approval had been given by the Governor, section 2(2) of the Law of Contract Ordinance (Chapter 433) provided that want of compliance with any statutory requirements or the obtaining of consent did not render an agreement void. Consequently, in view of the latter provision, the expression "shall not be operative" in the Land Regulations did not mean "void" or have any other meaning to that effect. Such an agreement was a valid contract having all the attributes of such a valid contract, subject to certain factors such as public policy. In contracts for the disposition of a right of occupancy, the guiding factor of public policy would be that terms that were prejudicial to the interests of the paramount landlord would be unenforceable in order to protect the interests of the paramount landlord. Where the contract was not prejudicial to the interests of the landlord, however, the party who had performed his or her part could enforce the contract against the defaulting party; *Nitin Coffee Estate and others v United Engineering Works Ltd and another* (*supra*) overruled, *Shambwe v National Printing Co Ltd* civil appeal number 19 of 1995 and civil application number 58 of 1995 followed in part.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kisunda v Akunaay and another [1972] HCD 125

Nitin Coffee Estate and others v United Engineering Works Ltd and another [1988] TLR 203 – **AP** & **Os**

Shambwe v National Printing Co Ltd civil application number 58 of 1995

Shambwe v National Printing Co Ltd civil appeal number 19 of 1995 – **F**

Wayani Langoi and another v Israel Solomon Kivuyo civil appeal number 16 of 1988 (unreported)

Judgment

KISANGA JA: This appeal arises from decision of the High Court (Mackanja J) allowing the Respondent's claim and dismissing the Appellant's counterclaim

based on a written agreement for the sale of a godown. The facts of the case are long and quite involved but for the purpose of this appeal they may be stated briefly as follows.

The Appellant and the Respondent had entered into a written agreement for the sale of a godown situated on plot Number 11 Pugu Road in the city of Dar-es-Salaam. The Respondent was the seller and the Appellant was the buyer. The sale was subject to a mortgage in favour of Messrs Diamond Jubilee Investment Trust Ltd (hereinafter referred to as DJIT and, so it would appear, in order to safeguard the mortgage's position DJIT was made a party to the agreement. Under the agreement the Appellant undertook to repay the mortgage instalments to DJIT and he started discharging that obligation immediately. The Respondent and the Appellant signed the agreement as the seller and buyer respectively, but DJIT, the mortgagee, did not. In terms of the agreement the Respondent and the Appellant also executed the deed of transfer of the right of occupancy following which the Appellant was put in possession of the godown.

It would appear that subsequently the Respondent and the Appellant sought to negotiate a fresh agreement of sale, and the Respondent asserts that this initiative was taken after the Respondent company and the Appellant had by mutual consent treated the original agreement as null and void. Be that as it may, the negotiations, however, failed and no new agreement materialized. In yet another dimension the Respondent and the Appellant had embarked on a proposal for a joint venture. To that end they arranged to start a partnership business known as Dar Storage which would be operated in the godown in question. The Appellant was entrusted with the running of the business on behalf of the partnership and he did so for some time after which, however, due to operational problems he unilaterally abandoned it and started his own business called Pugu Storage and operated it in the godown in question. Following the failure of negotiations for a new sale agreement, and having regard to the problems concerning the Dar Storage business, the Respondent company, in a letter dated 11 June 1974 and copied to the Appellant, put a stop to any further negotiations in the matter, declared that no bargain or sale of the godown existed between the parties and further declared itself the sole owner of the godown with an undertaking to refund to the Appellant any sums of money which he had paid to DJIT toward liquidating the mortgage debt.

The Appellant disputed the allegation by the Respondent that he and the Respondent by mutual consent had cancelled or treated as null and void the written agreement of sale. He testified that the Dar Storage business failed to take off because the Respondent made no financial contributions to run it, and following such failure he started the Pugu Storage business as his own venture and operated it in the godown which he had purchased from the Respondent under the written agreement of sale. Consistent with that he demanded the certificate of title in order to process the transfer to himself of the title to the godown but without success. He therefore waited until the Respondent's term of 33 years had expired, following which he applied for a right of occupancy over the godown. The application was granted but when subsequently the Respondent came to apply for the renewal of his expired term the grant to the Appellant was cancelled on the ground that it had been granted in error. Indeed the trial Judge found that the purported grant to the Appellant had been tainted with fraud.

This state of affairs led to the Respondent instituting these proceedings. He filed a suit in the High Court claiming possession of the godown and mesne profits from the Appellant for the illegal use of the godown. The Appellant refuted the claim and filed a counterclaim for specific performance to have the title to the godown transferred to him.

The trial Judge rejected the Respondent's contention that the Respondent and the Appellant had by mutual consent cancelled the written agreement for the sale of the godown. He found that it was the Respondent company alone which had unilaterally purported to repudiate the agreement, but held that such unilateral act of the Respondent could not in law have brought the said agreement to an end. In support of this view he relied on the case of *Kisunda v Akunaay and another* [1972] HCD 125. He also rejected the Respondent's submission that the agreement was null and void because it was not signed by DJIT, the mortgagee. However, relying on the decision of this Court in *Wayani Langoi and another v Israel Solomon Kivuyo* civil appeal number 16 of 1988 (unreported), he further held that the said agreement was unenforceable because at the time the Respondent repudiated it, it lacked the consent of the Commissioner for Lands. Consequently the Respondent could in law repudiate it, as he did, with impunity. Following such finding the Learned Judge held that the Respondent company had an equitable right in the godown after its right of occupancy had expired and it applied for renewal thereof, and that such equitable right could be extinguished only by the refusal by the Commissioner for Lands to renew the term. On the other hand, the Learned Judge went on, the Appellant had no interest whatsoever after the purported grant of a right of occupancy to him had been cancelled and the land register was duly rectified. Accordingly he ordered the Appellant to give vacant possession of the godown to the Respondent.

The trial Judge accepted the Appellant's version that the Dar Storage partnership business did not take off because the Respondent failed to make any financial contributions for it. On that account the Judge held that no order for dissolution or for rendering an account could be made in respect of the said partnership as had been asked for by the Respondent. However, the Appellant was ordered to pay mesne profits to the Respondent, for the illegal use of the godown, at the rate of TShs 1 000 per month with interest, from the date he took possession of the premises till he gives vacant possession to the Respondent. The Respondent was to refund to the Appellant TShs 104 569-75, which the Appellant had paid to it under the repudiated agreement, with interest at 31% per annum. The Appellant's counterclaim was dismissed and the Appellant was condemned to pay costs.

The Appellant now appeals against the Judge's finding, *inter alia*, that the agreement in question was unenforceable and that the Appellant had no interest at all in the suit premises. The Respondent, on the other hand, has cross-appealed against the order of refund of TShs 104 569-75 plus interest to the Appellant. When the matter came on for hearing, it was noted that the appeal raised the issue as to the effect of lack of consent by the Commissioner for Lands to the sale of registered land. It was further noted that there were conflicting decisions on the issue. Some decisions held that lack of such consent rendered the transaction void and of no legal effect – see, for instance, *Nitin Coffee Estate and others v United Engineering Works Ltd and another* [1988] TLR 203, while others held the contrary view – see, for instance, *George Shambwe v*

National Printing Co Ltd civil appeal number 19 of 1995 (unreported), and the majority opinion in civil application number 58 of 1995 involving the same parties. The matter was therefore referred the to Full Bench of the Court for consideration. After an extensive review of both statutory and case law the Full Bench in its ruling in miscellaneous civil appeal number 1 of 1999 involving the same parties in this appeal, held in effect that lack of consent by the Commissioner for Lands to a sale of registered land in terms of regulation 3 of the Land Regulations 1948 and 1960 does not render the contract or transaction void. Nor does it render the sale unenforceable unless it is shown that the Commissioner's consent was sought and refused. In the absence of any evidence that the Commissioner's consent was sought but was refused then, the Court said:

> "[A] party who has performed his or her part of the bargain may be assisted by the court to enforce the contract against the defaulting party. So a party who defaults to submit a written contract for consent or refusal by the specified authority may be compelled to do so if the other party has performed his or her part of the bargain. Of course where such consent is sought and is refused, the contract becomes wholly unenforceable, though valid, and any expenses incurred by the parties may be re-covered by legal action, if necessary".

Having thus resolved the issue referred to it the Full Bench remitted the proceedings to the full Court for final disposal of the appeal.

The decision of the High Court is based on the law as was laid down by this Court in *Nitin*'s case cited earlier, that an agreement for the sale of land is unenforceable unless and until it is consented to by the Commissioner for Lands. But as already noted, *Nitin*'s case has now been overruled by the Full Bench in miscellaneous civil appeal number 1 of 1999 on the ground that it was decided *per incurium*. So that the law as it now stands is that a party who has performed his part of the bargain may be assisted by the court to enforce the contract against the defaulting party unless it is shown that the consent of the Commissioner for Lands was sought and refused.

The decision of the Full Bench helps to dispose of most of the issues raised by Mr *Chandoo* in his 13-point memorandum of appeal which largely centred on the question of the non-enforceability of the sale agreement. Equipped with the said decision of the Full Bench, therefore, Mr *Chandoo* in his submission largely focussed on seeking the Court's assistance to enforce the sale agreement in favour of his client, the Appellant. He based that submission on a number of grounds. First, both parties to this appeal signed not only the sale agreement but also the deed of transfer. Secondly, the Appellant, that is the purchaser, performed his part of the contract by paying the deposit of the purchase price and by starting promptly to repay the mortgage debt as stipulated in the contract. And thirdly, the Appellant, thus honoured his obligation, was put in possession of the suit premises, again in pursuance of the terms of the contract, and carried out repairs to the godown. Thus Mr *Chandoo* prays for specific performance whereby the Respondent should be compelled to submit the relevant documents to the Commissioner for Lands for consent to the transfer of the title, or to release the documents to the Appellant for submission to the Commissioner for Lands for that purpose. Alternatively, the Court should order the reinstatement of the Appellant's name in Land Register as the rightful owner of the suit premises on the ground that the Appellant having, in the first place, obtained tbe Commissioner's consent to have the right of occupancy over the

suit premises extended in his favour, his name was subsequently struck off the Register for no or sufficient reason.

Mr *Jadeja* for the Respondent contended that the agreement for sale of the godown had been mutually discharged or cancelled by the parties and replaced by a new agreement to form the Dar Storage partnership business. He further contended that the sale agreement was in itself incomplete and therefore in-capable of being consented to by the Commissioner for Lands because it was not signed by DJIT, the mortgagee. And lastly, Mr *Jadeja* charged that the consent which the Appellant purportedly obtained from the Commissioner for Lands to have the right of occupancy over the suit premises renewed in his favour was no consent at all and that it was rightly cancelled.

The question whether or not the sale agreement was cancelled and replaced by a new agreement to form the Dar Storage business was considered in great detail at the trial. The Learned trial Judge found that it was the Respondent alone who sought to repudiate the agreement, but that such a unilateral act by a party cannot have cancelled or discharged the agreement. The contract could be cancelled or repudiated only by mutual agreement between the parties to do so but that was not the case here. He further found that although there were attempts by the parties to form the Dar Storage partnership business, such venture did not take off because the Respondent failed to make any financial contribution towards it. These findings by the trial Judge find ample support on the evidence, and his conclusion cannot be faulted. With due respect, therefore, we reject Mr *Jadeja*'s contention that the sale agreement was mutually cancelled or discharged by the parties.

Equally without merit is Mr *Jadeja*'s second submission that since the sale agreement lacked the signature of the mortgagee it was incomplete and hence incapable of being consented to by the Commissioner for Lands. This issue had also been raised before the trial Judge but was rejected. The sole purpose of the mortgagee in seeking to be a party to the sale agreement was to ensure the repayment to itself of the loan by whichever party that assumed the responsibi-lity to do so under the agreement. That is to say, the signing of the sale agreement by the mortgagee would give it (the mortgagee) the right to enforce the contract against the party who had the obligation under the contract to repay the mortgage debt. Thus if, say, under the agreement it was the seller or the purchaser who had assumed the responsibility of repaying the loan, the mortgagee would have the right to enforce the agreement against him in order to recover the money. The mortgagee had no other interest in the transaction apart from seeking to ensure the repayment of the loan to itself. But the trial Judge found that the mortgage debt was fully paid long before the suit in these proceedings was filed in the High Court, and this finding is amply supported by the evidence. The evidence further shows that the stalemate leading to the filing of the suit arose wholly from the Respondent's failure or refusal, despite request by the Appellant, to facilitate the handing over of the title deed by the mortgagee who was willing to do so, for the purpose of processing transfer of the suit premises to the Appellant. Once the mortgage debt was thus fully paid the mortgagee no longer had any interest to safeguard or protect under the sale agreement. In such circumstances we think that the question of the mortgagee signing or not signing the sale agreement was really of no consequence. On the other hand the agreement remained binding as between the seller and the purchaser, the parties in this appeal, who duly signed it. Their respective rights

and obligations under the agreement could not and were not affected by the mortgagee not signing the agreement. We therefore find no substance in Mr *Jadeja*'s submission that the sale agreement was incomplete because it was not executed by the mortgagee.

On the question whether the Appellant had duly obtained the consent of the Commissioner for Lands, we are inclined to Mr *Jadeja*'s view that no consent was duly obtained because, to say the least, the purported extension, in the Appellant's favour, of the right of occupancy over the suit premises was effected plainly in contravention of the existing procedures. In any case the purported consent was subsequently revoked, and it has not been restored since. So that Mr *Chandoo*'s submission that the Appellant had duly obtained the necessary consent has no leg to stand on. Nor can it be said that the Commissioner's consent was duly sought and refused when the exercise not only involved contravening the existing procedures but, according to the trial Judge, was tainted with fraud.

Thus, like the trial Judge, we are satisfied that the sale agreement constituted a valid contract and that it has never been cancelled or repudiated by the parties. We also find that the Appellant has performed his part of the contract. Therefore according to the decision of the Full Bench referred to earlier, we hold that the contract is enforceable as between the parties unless it is shown that the consent of the Commissioner for Lands was sought and refused. We have, however, demonstrated in this judgment that no consent of the Commissioner for Lands was duly obtained or was duly sought and refused. In those circumstances, once again on the authority of the Full Bench decision referred to above, we might have been prepared to assist the Appellant who, as shown, has already performed his part of the contract against the defaulting Respondent. However, the problem arises in that it is uncertain who is holding the title to the suit property at the moment.

The Respondent's right of occupancy over this property expired on 14 March 1992 but that term has not been renewed despite the Respondent's application, in that behalf with the response thereto that the matter was being looked into. In the circumstances the Court cannot properly grant the Appellant's prayer for specific performance. That is, the Court cannot compel the Respondent to submit the relevant documents to the Commission for consent to transfer its title which has since expired. The situation is further complicated by two other matters. While we were in the process of composing this judgment we found it necessary to direct counsel for the parties to conduct an official search in the Land Registry as to the present status of the title to the property in question. Counsel have jointly reported that following the expiry of the Respondent's right of occupancy on 13 March 1992, the owner of the property is now shown to be His Excellency the President, and the name of the Respondent does not appear anywhere. Therefore, it would be meaningless for the Court to direct the Respondent, by specific performance, to facilitate the process of securing the Commissioner's consent to transfer title which is shown to be vested in the President. But the more perplexing aspect of the matter is that there are two separate folios in the Land Registry containing two different sets of information relating to this same property. The first folio relates to the Respondent's expired right of occupancy, Title Number 186970/137 showing His Excellency the President as the owner of the property. However, at the bottom of that folio there is an endorsement to the effect that the current

owner is the Appellant. It is not at all clear if the property is co-owned by the President and the Appellant. The second folio relating to the same property shows the Appellant as the owner under the right of occupancy Title Number 186070/151. It is difficult to reconcile this position with the Appellant's prayer for specific performance. For, it would be superfluous and, indeed, absurd for the Court to purport to assist the Appellant by directing the Respondent to submit to the Commissioner documents for consent to transfer title which is shown to be in the Appellant's name already. Therefore, while we hold that the contract of sale between the Appellant and the Respondent is enforceable, we are unable to grant specific performance in the Appellant's favour for the reasons as set out above.

The trial court ordered mesne profits against the Appellant on the ground that his use of the suit land was unlawful or illegal because such use of the property was on the strength of a non-binding sale agreement which was repudiated. However, we have held that the said agreement was valid and binding between the parties. Therefore the question of unlawful or illegal use of the suit land cannot arise and consequently there can be no basis for an order of mesne profits. That order is accordingly set aside.

Equally untenable is the order for vacant possession and the order of per-petual injunction restraining the Appellant from carrying on the business of Pugu Storage on the premises. These orders were predicated upon the premise that the Respondent company had the title to the suit land vested in itself. However it having transpired that the said title has since expired, there can be no good ground for ordering vacant possession against the Appellant at the instance of the Respondent. Accordingly, we set aside the orders of perpetual injunction and vacant possession against the Appellant at the instance of the Respondent company.

As regards the Respondent's cross-appeal, the matter is relatively simple and straightforward. The trial Judge ordered as follows: "The Plaintiffs shall repay to the Defendant the sum of KShs 104 569-75 which the Defendant paid to them under the repudiated sale agreement. The Plaintiffs shall pay interest at 31% per annum in respect of the above sum".

This order is not supported by the evidence on record. According to the evidence the Appellant did not pay this sum to the Respondent. He paid it to Messrs Diamond Jubilee Investment Trust (DJIT), the mortgagee, who by their letter of 24 December 1975 (Exhibit P12) acknowledged receipt of the same. The Appellant had paid that money to DJIT pursuant to the sale agreement between the Appellant and the Respondent who had taken over the obligation of repaying the mortgagee debt owing to DJIT. Thus so long as the Appellant was, in fact honouring his obligation under the sale agreement which we have found to be valid and binding on the parties, we could find no ground for ordering the Respondent to refund the said sum to the Appellant unless it is shown that the Commissioner's consent to transfer the property has been duly sought and refused. The said order of refund of KShs 104 569-75 plus interest is accordingly set aside.

In the result the appeal succeeds only to the extent as indicated, but since the cross-appeal has also been allowed, it is ordered that the parties shall bear their own costs.

(Makame and Ramadhani JJA concurred in the judgment of Kisanga JA.)

For the Appellant:

M Chandoo instructed by *Chandoo and Co*

For the Respondent:

S Jadeja instructed by *S Jadeja and Co*

Caltex Oil (U) Ltd v Serunkuma Bus Service Ltd

[2001] 1 EA 15 (CAT)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	31 July 2001
Case Number:	49/00
Before:	Mukasa-Kikinyongo DCJ, Twinomujuni and Kitumba JJA
Sourced by:	B Tusasirwe
Summarised by:	HK Mutai

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[1] Practice – Evidence – Documents – Admissibility of documents – Document containing no statement as to person who drew it up tendered for admission – Whether the document was admissible in court – "Registering authority" – Definition – Registrar of the High Court – Registration of documents – Duties of the registrar – Scrutiny of documents – Whether registrar is a registering authority – Whether registrar authorised to examine documents – Sections 65 and 66(2) – Advocates Act of 1970 – Section 45 – Judicature Act, 1996 – Order XLVI – Civil Procedure Rules.

[2] Words and phrases – "Registering authority" – Definition – Whether registrar is a registering authority – Whether registrar authorised to examine documents – Sections 65 and 66(2) – Advocates Act of 1970.

Editor's Summary

The Respondent filed suit against the Appellant seeking general and special damages for breach of contract. The Appellant filed an amended defence to which it annexed a document dated 1 March 1986 that purportedly evidenced an agreement between the parties. The Appellant intended to rely on the annexure in its defence. However, the document did not on its face state either the name or the address of the person who had drawn it up and the trial Judge was of the view that the provisions of section 66 of the Advocates Act ("the Advocates Act") rendered the document inadmissible. After hearing counsel on the issue, he ruled that the document was indeed inadmissible. The Appellant appealed on the ground that the Judge's refusal to admit the document was an error in law that would prejudice it in its intended defence. The Appellant's counsel argued, firstly, that the phrase "registering authority" in section 66(2) referred to registrars under the Registration of Documents Act (Chapter 80) ("the Registration of Documents Act") and did not include the registrar of the High Court and, secondly, that the document fell within the exception found in section 65(2)(*c*) of the Advocates Act and if the Judge had given the Appellant the opportunity, evidence to prove that fact

could have been adduced. Section 65(2)(*c*) provided that the section would not apply to persons in full-time employment of a limited liability company who drew up or prepared instruments in the course of their duties for such a company. Counsel for the Respondent supported the Judge's holding and submitted, *inter alia*, that there

could be no doubt that the registrar of the High Court was a "registering authority" within the meaning of the phrase as used in section 66(2).

Held – The phrase "registering authority" was not limited to registrars under the Registration of Documents Act. Registrars of the High Court were officers of the court and as such, part of their duties included the supervision of the registries where all documents were registered in preparation for civil and criminal litigation. They were thus obliged to scrutinise the documents that they received in order to ensure that the documents complied with the requirements of the Advocates Act and that documents prohibited by law were not registered.

A document prepared by a person answering to the description in section 65(2)(*c*) needed no endorsement showing the name and address of the person preparing it. As such a fact would not be evident on the face of the record and could only be established by evidence, the Judge erred in not affording the Appellant an opportunity to show that the document was not barred from admissibility. Accordingly, the Judge's holding was premature and the appeal would be allowed.

No cases referred to in judgment

Judgment

TWINOMUJUNI JA: This is an appeal from the decision of the High Court of Uganda in which the Principal Judge ruled that a document on which the Appellant intended to rely for defence in High Court Supreme Number 1087/1986 was inadmissible because of the provisions of sections 65 and 66 of the Advocates Act 1970.

The background to the ruling in the High Court is that the Respondent filed a suit in that court for general and special damages for breach of contract. After a series of amendments to both the plaint and the written statement of defence, the Appellant filed an amended written statement of defence to which he annexed a document purporting to the be an agreement dated 1 March 1986 between the parties upon which the Appellant intended to rely in his defence against the suit.The document on the face of it did not state who drew it up.

The Learned Principal Judge was of the view that the document was inadmissible by virtue of section 66 of the Advocates Act and after affording counsel opportunity to address him on the matter, he ruled on 10 July 2000 that the document was inadmissible. The Appellant sought for leave to appeal against the ruling which was granted, hence this appeal.

There is only one ground of appeal, namely:

> "That the Learned trial Judge erred in law in refusing to admit a written agreement the Appellant intended to rely upon for their defence on the grounds that it offended the provisions of the Advocates Act thereby prejudicing the Appellant in its intended defence".

I think it is convenient at this stage to reproduce the provisions of sections 65 and 66 upon which the Learned Principal Judge relied to rule the Appellant's document inadmissible:

> "65(1) Any person other than an advocate with a valid practising certificate or a person specifically authorised by any written law so to do who, unless he proves

that the act was not done for, or in expectation of, any fee, gain or reward, either directly or indirectly, draws or prepares any instrument–

(*a*) relating to movable or immovable property, or any legal proceeding;

(*b*) for or in relation to the formation of any, limited liability, company whether private or public;

(*c*) for or in relation to the making of a deed of partnership or the dissolution of a partnership,

shall be guilty of an offence.

(2) This section shall not apply to–

(*a*) any public officer drawing or preparing instruments in the course of his duty;

(*b*) any person employed merely, to engross any instrument, application or proceeding; or

(*c*) any person in the full-time employment of a limited liability company, drawing or preparing instruments in the course of his duty for and on behalf of such company.

(3) For the purposes of this section and section 66 of this Act the expression 'instrument' does not include–

(*a*) a will or other testamentary instrument; or

(*b*) a letter or power of attorney; or

(*c*) a transfer of stock or shares containing no trust or limitation thereof.

66(1) Every person who draws or prepares any instrument to which section 65 of this Act applies shall endorse or cause to be endorsed thereon his name and address; and any such person omitting so to do or falsely endorsing or causing to be endorsed any of such requirements shall be guilty of an offence.

(2) It shall not be lawful for any registering authority to accept or recognise any such instrument unless it purports to bear the name and address of the person who prepared it endorsed thereon".

Mr Innocent *Kihika*, learned counsel who represented the Appellant, attacked the ruling on two main grounds:

Firstly, he submitted that the phrase "registering authority" appearing in section 66(2) of the Act does not include a registrar of the High Court. He rightly observed that the phrase is not defined anywhere in the Advocates Act. He pointed out that the powers of the registrar are spelt out in Order XLVI, rule 9 of the Civil Procedure Rules and they did not include the registration of documents. In his view, the phrase referred to registrars under the Registration of Documents Act (Chapter 80).

Secondly, he submitted that though section 65(1) of the Advocates Act made it an offence to prepare certain documents unless one was an advocate or specifically authorised by law, section 65(2) of the same Act created exceptions especially 65(2)(*c*) in which the Learned trial Judge would have found that the disputed document fell if only he had given the Appellant the opportunity to adduce evidence to prove the fact. In conclusion, Mr *Kihika* submitted that the document in question was therefore not affected by the provisions of the Advocates Act and was admissible in evidence.

In reply, Mr Ronald *Oine*, learned counsel for the Respondents supported the ruling of the Principal Judge. He submitted that there was no doubt that the agreement in question was one of the documents referred to in section 65(1) of the Advocates Act. He

also had no doubt that a registrar of the High Court is a "registering authority" within the meaning of section 66(2) of the Act. He argued that for the document to qualify to be admitted for registration in the High Court Registry, it had to have complied with section 66(1) of the Act which requires that the person who drew it up affixes his/her full name and address. In his view, the alleged exception created by section 65(2) is only intended to protect persons mentioned therein from criminal prosecution under section 65(1) but did not exempt the compliance with section 66(1) of the Act. He further argued that the provisions of section 66(2) of the Act did not envisage the adducing of evidence to prove that the documents to be filed are registrable.

I will first deal with the issue as to whether a registrar or indeed the Registry of the High Court or of any other Court is a "registering authority" within the meaning of section 66(2) of the Advocates Act. Section 45 of the Judicature Act establishes the offices of "officers of the Courts of Judicature" to perform special duties of the courts and such officers include the chief registrar, the registrars, deputy registrars and assistant registrars. Section 45(2) of the Act provides that such officers shall perform such duties as may be assigned to them under the Rules of Court. Order 46, rule 3 provides that: "All formal steps preliminary to the trial, and all interlocutory applications, may be made or taken before the Registrar".

Pursuant to these powers, we know that in real practice, it is the duty of the registrars to supervise the Registries where all documents are registered in preparation for civil and criminal litigation. In my opinion, the term "registering authorities" in section 66(22) of the Advocates Act includes registrars of the Courts of Judicature. I do not agree that the term is limited to registrars under the Registration of Documents Act alone. It includes all peoples and authorities authorised by law to receive and register documents in the public service or public authorities. They include, for example, registrars of companies, lands, births, marriages and deaths etc. I have no doubt in my mind that "registering authorities" includes the registrars of the High Court. In registering the documents it is their duty to scrutinise and ensure that they do not register documents prohibited by the law. They cannot just register every document put before them. They would be within their rights to reject any document that does not conform to the provision of any law. When dealing with the matter the Learned Principal Judge had this to say:

> "I now come to Mr *Byenkya*'s point that the Registrar of the High Court when receiving the pleadings is not a *registering authority*. Maybe counsel had in mind not the pleadings documents such as the agreement referred to above; otherwise, with due respect when the High Court registrar receives a pleading, he is a registering au-thority. But now, would he be supposed to look at annextures to find out whether they comply with the provisions of section 65(1) of the Act? I do not see any problems in the Registrar doing so. As long as he, as a registering authority, must scrutinise documents which come to him in that capacity, of registering, he should reject any document whether pleading or any other document that answers to the description in section 65(1)(*a*) of the Advocates Act".

I do not see anything to fault in the Learned Principal Judge's above reasoning and conclusion. I therefore, reject this leg of the Appellant's ground of appeal.

The second leg of the ground of appeal is that section 65(2)(*c*) of the Advocates Act created an exception to the general rule in section 65(1) and that the Appellant was denied the opportunity to prove that the document he sought to rely upon fell within the exception.

I have already reproduced the whole of sections 65 and 66 of the Advocates Act in this judgment. For the sake of emphasis and ease of reference, I reproduce section 65(2)(*c*) which states:

> "This section shall not apply to–
>
> …
>
> (*c*) any person in full time employment of a limited liability company drawing or preparing instruments in the course of his duty for and on behalf of such a company".

I note that the Learned Principal Judge did not refer to this provision. It seems it was not referred to by counsel and he does not seem to have been aware of the provision. However, a proper construction of both section 65 and 66 clearly leads to the conclusion that a document prepared by a person answering the description in section 65(2)(*c*) needs no endorsement thereon of the name and address of the person preparing it. In the instant case, this fact would not be apparent on the face of the record. It could only be established by evidence if the admissibility of the document was challenged. Here, such an opportunity did not arise because the Principal Judge took up the matter on his own motion as a preliminary point of law. I agree with Mr *Kihika* that the Appellant was not afforded opportunity to show that the document he sought to rely upon in his defence was not barred from admissibility by virtue of sections 65 and 66 of the Advocates Act. The decision of the Learned trial Judge was therefore premature. Section 66(2) prohibits the registering authority from acceptance or recognition of only those documents to which section 65(1) applies. I find merit in this leg of the ground of appeal and therefore, the appeal must succeed.

In the result, I would allow the appeal, set aside the order declaring inadmissible the agreement of 1 March 1996 between the parties. I would also award the costs of this appeal to the Appellant.

(Kitumba JA concurred in the judgment of Twinomujini JA.)

MUKASA-KIKONYONGO DCJ: I read in draft the judgment written by Twinomujuni JA and I agree with the reasons he gave for the decision he reached. I do not have much to add. I only wish to briefly comment on the Learned trial Judge's finding namely that the written agreement which the Appellant intended to rely on was inadmissible because it offended sections 65 and 66 of the Advocates Act. The brief facts of the case were ably stated by Twinomujuni JA. I need not narrate them too.

For easy reference I will also reproduce the provisions of both the aforesaid sections. Section 65(1) of the Advocates Act reads that:

> "1. Any person other than an advocate with a valid practising certificate or a person specifically authorised by any written law so to do, who, unless he proves that the act was not done for, or in expectation of any fee, gain or reward, either directly or indirectly, draws or prepares any instrument–
>
> (*a*) relating to movable or immovable property or any legal proceeding;
>
> (*b*) for or in relation to the formation of any limited company whether private or public;
>
> (*c*) for or in relation to the making of a deed of partnership or dissolution of a partnership, shall be guilty of an offence.
>
> 2. This section shall not apply to:
>
> (*a*) any public officer drawing or preparing instruments in the course of duty;
>
> (*b*) any person employed merely to engross any instrument, application or proceedings;

(*c*) any person in the full time employment of a limited liability company drawing or preparing instruments in the course of his duty for and on behalf of such company.

3. For the purposes of this section and section 66 of this Act, the expression 'instrument' does not include:

(*a*) a will or other testamentary instrument; or

(*b*) a letter or power of attorney; or

(*c*) a transfer of stock or shares containing no trust or limitation thereof".

Section 66 states:

"Every person who draws or prepares any instrument to which section 65 of this Act applies shall endorse or cause to be endorsed thereon his name and address; and any such person omitting so to do or falsely endorsing or causing to be endorsed any of such requirements shall be guilty of an offence.

2. It shall not be lawful for any registering authority to accept or recognise any such instrument unless it purports to bear the name and address of the person who prepared it endorsed thereon".

The sole ground of the appeal was that: "the Learned trial Judge erred in law in refusing to admit a written agreement the Appellant intended to rely upon for its defence on the ground that it offended the provisions of the Advocates Act thereby prejudicing the Appellant in its intended defence".

I do not agree with the submission of Mr *Kihika*, counsel for the Appellant, that the registrar of the High Court is not "a registering authority" for the purposes of receiving pleadings, because that is not one of the duties or the powers given to him under Order 46, rule 9 of the Civil Procedure Rules and section 45(2) of the Judicature Statute. In complete agreement with the Learned trial Judge, Justice Twinomujuni JA and counsel for the Respondent, in my view the terms "registering authority" in section 66 of the Advocates Act extend to the registrars of the Courts of Judicature. Similar to any other registrar appointed under any other law, for example the Registration of Documents Act, the registrars of those courts have a duty to scrutinize the documents received by them such as pleadings or annextures to ensure that they comply with the requirements of The Advocates Act. I have no quarrel with the trial Judge's finding to that effect.

I, however, differ on the second part of his finding namely that

"the written agreement the Appellant was intending to rely on being an instrument relating to movable property namely motor vehicles belonging to the Appellant it contravened the provisions of sections 65 and 66 of the Advocates Act and as such was inadmissible".

As it was rightly noted by Twinomujuni JA in the lead judgment the trial Judge did not address his mind to the provisions of the Act which provides for exceptions. Section 65(2)(*c*) reads that:

"This section shall not apply to

…

(*c*) Any person in the full time employment of a limited company drawing or preparing instruments in the course of his duty for and on behalf of such company".

It is true the document complained of did not indicate the name or names of the person or persons who drew it up. That notwithstanding, the Appellant should have been given opportunity to adduce evidence to show who drew up the document. I do not accept the submission of Mr *Oine*, counsel for

Respondent that the provisions of section 66(2) of the Advocates Act do not envisage adducing evidence to show who prepared the document. In the instant case the only way of ruling out the categories of persons listed under the exceptions, was to allow the Appellant to adduce evidence as submitted by its counsel, Mr *Kihika*. In agreement with Twinomujuni JA the decision to reject the written agreement as inadmissible by the Learned trial Judge was premature. Since both Twinomujuni JA and Kitumba JA concur, this appeal is allowed. The ruling of the High Court is hereby set aside. The Appellant will be awarded costs both in this Court and the High Court.

For the Appellant:

Mr I Kihaka

For the Respondent:

Mr R Oine

Chemigas Ltd v BOC (K) Ltd
[2001] 1 EA 21 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Ruling:	31 July 2001
Case Number:	169/00
Before:	Kwach, Tunoi and Bosire JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Practice and procedure – Court of Appeal – Record of appeal – Contents – Omission of documents – Primary documents – Orders – Inclusion of an imperfectly drawn or otherwise defective order – Whether an appeal will be struck out for failure to include a properly drawn up order – Rule 80 – Court of Appeal Rules.

[2] Practice and procedure – Court of Appeal Rules – Record of appeal – Documents – Leave to amend – Amendment of primary documents – Whether a defective order can be amended – Rule 44 – Court of Appeal Rules.

Editor's Summary

BOC (K) Ltd applied to have the appeal filed by Chemigas Ltd struck out on the ground that the order included in the record of appeal had a different case number from the one from which the appeal had arisen. Subsequently Chemigas Ltd took out a notice of motion to correct the error on the formal order. Both applications were heard together.

Held – A formal order of the Court is a primary document and its certification is a judicial act. The case number inserted thereon is an important identifying mark and its omission or incorrectness is a fundamental defect.

Primary documents cannot be amended by the Court of Appeal under the limited jurisdiction to

grant leave to amend in terms of rule 44 of the Court of Appeal Rules which should be exercised sparingly and only in matters where minor amendments are involved. Rule 44 does not grant the court the power

to validate an otherwise incompetent appeal. *Anjumani v Ali* civil application mumber NAI 326/1998 (unreported) followed.

Chemigas Ltd's application for leave to amend dismissed. BOC (K) Ltd's application to strike out granted. Appeal struck out.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Anjumani v Ali civil application number NAI. 326/1998 (unreported) – **F**

Republic v Managing Director Kenya Posts Telecommunications Corporation [1999] LLR 901 (CAK)

Ruling

KWACH, TUNOI and BOSIRE JJA: Two applications were argued before us at the same time. The first in time bears the date 5 July 2001, and was taken out by BOC (K) Ltd, the Respondent in the appeal; and in it the Respondent seeks an order striking out the appeal as incompetent on the ground that a copy of the formal order included in the record of appeal has a different case number from that from which the appeal arises. The second application is dated 6 July 2001, and was taken out by Chemigas Ltd the Appellant, seeking leave of the court to amend the aforesaid formal order by deleting the number on it, to wit 965, and substitute it with 935 as the correct case number.

Order XX, rule 6(1) of the Civil Procedure Rules, provides that:

> "6(1) The decree shall agree with the judgment; it shall contain the number of the suit, the names and descriptions of the parties and particulars of the claim and shall specify clearly the relief granted or other determination of the suit".

By reason of rule 7(6) of the same Order, any order, whether in the High Court or in a subordinate court, which is required to be drawn up, shall be prepared and signed in like manner as a decree.

A formal decree or order is a primary document by dint of the provisions of rule 85(1) of the Court of Appeal Rules ("the Rules"). So unless a record of appeal includes a valid copy of it, the appeal is liable to be struck out as incompetent.

The Appellant through its counsel, Mr *Regeru*, contended before us, and it was also his submission, that the defect in the formal order included in the record of appeal is merely clerical in nature, minor and that such an irregularity can be corrected by the Court, in exercise of its wide discretion under both rules 44 and 1(3) of the Rules. In his view, rule 44 contemplates that any document for use in this Court regardless of its source may be amended by leave of this Court. He submitted further that only defects of a minor nature may be the subject matter of an amendment under rule 44, but not otherwise. He urged us not to fetter our discretion to grant leave to amend, because, in his view, unless a robust approach is adopted the Appellant may be put into unnecessary inconvenience and expense and that needless delay may result in the final determination of the dispute between the parties.

Mr *Ngaira* for the Respondent in the appeal, submitted before us that the formal order being a primary document may not be the subject matter of an amendment before this Court. In his view the defect in the said order is fundamental as it affects the validity of the appeal. Factors such as expense, inconvenience and delay are not, in his view, relevant in considering the competence or otherwise of an appeal as doing so will in effect, run counter to clear statutory provisions. He cited decisions of this Court to support his submissions.

The present appeal is from the order of the superior court dated 15 December 1999. It is the kind of order, which is required to be drawn. Rule 85(1)(*h*) of the Rules, requires that an extracted formal order from which the appeal arises be certified. The certification is not merely a routine matter but a judicial act to confirm the correctness of the particulars as to the case number, the parties to it and the decision of the court against which an appeal is intended. The number of the case is normally inserted on the title of the order or decree as the case may be, according to the format for drawing decrees and orders given in Appendix C to the Civil Procedure Rules, with particular reference to Order XX, rules 6 and 7. The requirement that the case number be included in the title is not otiose. The number is the identifying mark of every case and its omission or incorrectness is a fundamental defect.

In *Anjumani v Ali* civil application number NAI 326/1998 (unreported) which was cited with approval in *Republic v Managing Director Kenya Posts Telecommunications Corporation* [1999] LLR 901 (CAK), this Court said:

> "Whilst it is true that rule 44 speaks of an amendment of any document it must necessarily be construed in the light of rule 85(2A) which was brought in by way of an amendment in 1990. If any document were interpreted liberally to include every document then the whole purpose of rule 85(2A) would be defeated. Every rule, particularly one brought in by way of an amendment, must be given effect to and cannot be treated as meaningless or superfluous. If that be right, as we think it is, a primary document cannot lend itself to an amendment".

There is a line of other decisions of this Court which hold that a primary document cannot lend itself to an amendment and we do not consider that there is a good enough reason to depart from that position. Besides, a decree or order envisaged by the provisions of rule 85(1) of the Rules, is the foundation of every appeal, and unless it accords in every respect with the judgment or ruling appealed against, a decision of this Court in such an appeal may proceed upon a wrong premise. Its correctness in substance and form is really a matter for the court which gave or issued it. Moreover, it is not uncommon for parties in a particular case being involved in more than one case. So whether or not the number of the case is the correct one or not is a matter for the court from which a decree or order emanated. That perhaps explains why rule 85(1)(*h*) requires a certified copy of the decree or order appealed from to be included in the record of appeal. As we stated earlier, certification of such a document is not merely a ministerial act, but a judicial act as it entails one satisfying himself that the formal order accords with the judgment or ruling giving rise to it.

Moreover, as Mr *Regeru* submitted, the Rules of this Court must be read together. It is by doing so that the significance of rule 85(2A) will be appreciated. That subrule and subrule (5) of the same rule place the responsibility on the Appellant and the legal adviser or advisers as the case may be to include in a record of appeal proper and correct documents, and the power to amend donated by rule 44 is not intended to validate an otherwise incompetent appeal.

The power to amend is a power which in our view, should be exercised quite sparingly and in matters where minor amendments are involved.

In the result we are disinclined to grant leave to amend the formal order. As Mr *Regeru* conceded that the Appellant's appeal would be incompetent unless the amendment it sought was granted, the order that then commends itself to us is that the appeal be and is hereby struck out, with costs. We also award the costs of both applications to the Respondent in the appeal.

For the Appellant:

Mr Regeru

For the Respondent:

Mr Ngaira

Cut Tobacco (K) Ltd v British American Tobacco (K) Ltd

[2001] 1 EA 24 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	9 March 2001
Case Number:	126/00
Before:	Chunga CJ, Shah and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Injunction – Interlocutory injunctions – Alleged breach of trade mark – Application for injunction to prevent further breach of trade mark – Factors to be considered in determining application – Prima facie *case – Balance of convenience – Whether the Respondent could be compensated by damages – Whether there were grounds for interfering with the lower court's exercise of judicial discretion.*

[2] Trade mark – Packaging of cigarettes – Use of colours – Similarity of packaging – Whether the issue of similarity could be determined at an interlocutory hearing.

Editor's Summary

British American Tobacco, a part of a multinational group of companies, was the registered proprietor of the trade mark "Sportsman", registered in class 45 of the trade marks registry. "Sportsman" cigarettes were sold in red and white packets with the picture of a horse's head on the red portion. The brand was well known in the local market and "Sportsman" cigarettes formed a substantial portion of British American Tobbaco's sales of cigarettes in Kenya. Around 1995, Cut Tobacco, a Kenyan company, started to actively manufacture and sell cigarettes under the brand name "Horseman". Initially, "Horseman" cigarettes were sold in blue and white packets but in 1998, Cut Tobacco changed the packaging to a predominantly red colour featuring a picture of a jockey riding a horse. British American Tobbaco took issue with the new "get-up" and started proceedings in the High Court against Cut Tobacco seeking to stop it from manufacturing or selling its "Horseman" cigarettes

in the new “get-up”. Simultaneously with the filing of its plaint, British American Tobacco applied for a temporary injunction to stop, *inter alia*, the sale and manufacture of Cut Tobacco’s cigarettes. The court granted the application and issued orders

restraining Cut Tobacco from, *inter alia*, infringing on the trade mark "Sportsman", manufacturing and selling "Horseman" cigarettes, and passing off any of its goods as those of British American Tobacco. Cut Tobacco appealed.

Held – When the appearances of two products were alleged to be deceptively similar, an issue of fact arose that could only be decided following a trial and not at a hearing on an application for a temporary injunction; *EA Industries Ltd v Trufoods Ltd* [1972] EA 420 applied. The Judge therefore erred in concluding, on the material before him, that the "get-up" of "Horseman" cigarettes was calculated to deceive consumers of "Sportsman" cigarettes. In reaching his conclusion, he was applying the standard or burden of proof applicable at a full hearing. An interlocutory injunction could only be granted where the applicant showed (i) a *prima facie* case with a probability of success, (ii) that irreparable injury which could not adequately be compensated by an award of damages would be suffered, and (iii) where there was a doubt, that the balance of convenience favoured the applicant; *Giella v Cassman Brown* [1973] EA 358 followed. The grant of an interim injunction was discretionary and an appellate court could interfere only where it was shown that the discretion had not been exercised judicially. In this instance, there was nothing to show that in the event of British American Tobacco succeeding at trial, it would suffer such a loss as could not be compensated by damages. As the Judge had applied the wrong tests to the issues and decided the application in a manner that usurped the functions of a trial court, the appeal would be allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Acktibolget Jonkeping-Vulcan Industrictsfabriksatebolag v East African Match Co [1964] EA 64

EA Industries and another v Chai Ltd [1971] EA 10

EA Industries Ltd v Trufoods Ltd [1972] EA 420 – **AP**

Giella v Cassman Brown and Co Ltd [1973] EA 358 – **F**

Haria Industries v PJ Products Ltd [1970] EA 36

Sergeant v Patel [1949] 165 EACA 63

United Kingdon

Reddaway v Banham [1896] AC

Judgment

CHUNGA CJ, SHAH and KEIWUA JJA: This is an appeal from the ruling and order of the superior court allowing with costs an application by the Respondent, British American Tobacco (K) Ltd whereby the superior court (Onyango Otieno J) restrained the Appellant, Cut Tobacco Kenya Ltd from:

> "1 (a) Infringing a Trade Mark known as 'Sportsman' registered as Number 2012 in class forty-five at the Trade Marks Registry.

(b) Manufacturing, importing or exporting, selling offering for sale, distributing, marketing, advertising and promoting cigarettes and tobacco products bearing the trade name 'Horseman' or any other name, mark or designation bearing a close resemblance thereto.

(c) Manufacturing, importing or exporting, selling, offering for sale, dis-tributing, marketing cigarettes or tobacco products bearing a similar shape, colour, configuration, overall design and general appearance to the Plaintiff's (respondent's) goods and especially but not limited to the use of a horse symbol or image whether set against a red background or not.

(d) Passing off any of its goods as the goods of the Plaintiff and particular but not limited to any cigarettes manufactured and/or marketed by it under the Trade Mark 'Horseman'.

(e) Parting with possession, power, custody (other than to the Plaintiff or its agents) of or in any way altering, defacing or destroying the following articles or any of them:

(i) Products which infringe the said Trade Mark 'Sportsman'.

(ii) Goods which are being passed off as the goods of the Plaintiff and particularly but not limited to any cigarettes manufactured and/or marketed by it under the unregistered mark 'Horseman'.

(iii) All documents, files, packaging materials, cartons, printing blocks, bromides, prints, invoices, receipts, articles or equipment relating to the importation, purchase, manufacture, sale or supply of products particularly but not limited to any cigarettes manufactured and/or marketed by it under the unregistered mark 'Horseman' which are being passed off as the goods of the Plaintiff and which are also being or have been passed off as the Plaintiff's goods or relating in any other way to the aforesaid passing of and to infringement of the said Plaintiff's Trade Mark.

(2) The Defendant be restrained whether acting by itself, its servants officers, agents, or otherwise from: mporting, manufacturing, selling, offering for sale, or in any manner disposing of the cigarettes that infringe the aforesaid Trade Marks, or in any manner passing off any goods particularly but not limited to any cigarettes manufactured and/or marketed by it under the unregistered mark 'Horseman' as goods manufactured and sold by the Plaintiff".

Although an interlocutory appeal, it raises issues of some importance to the commercial world in Kenya in regard to alleged breaches of trade mark and passing off of goods, and the principles to be applied at the hearing of application for temporary injunctions pending the hearing of the suits.

The Respondent is part of a multinational group of companies marketing its tobacco products (amongst other goods) world wide and is the registered owner of a trade mark known as "Sportsman", first registered in England as Trade Mark Number 2012 in class forty-five in the name of British-American Tobacco Co Ltd of Westminister House, 7, Millbank London. The English company assigned its said trade mark to the then East African Co Ltd of Nairobi on 30 May 1946. On 14 September 1965, British American Tobacco Kenya Ltd became the registered proprietor of the said trade mark. From the record it is not clear when British American Tobacco Kenya Ltd adopted the name British American Tobacco (K) Ltd, but it does not matter for the purposes of this appeal.

It is not denied and in fact it is common ground that “Sportsman” cigarettes form a substantial portion of the Respondent’s sales of cigarettes in Kenya and that the brand is well known in the Kenyan market.

The packaging of “Sportsman” cigarettes is in a soft packet with white and red colours and the word “Sportsman” is prominently shown in red lettering on the white portion of the packet both on the obverse and the reverse. The white colour occupies approximately one-third of the top of the packet. In the middle of the red portion of the packet there is the head of a horse bounded in a yellowish circle. These are the salient features of “Sportsman” cigarette packet.

The Appellant is a Kenyan company and actively started its business of manufacture and sale of cigarettes in 1995 or thereabouts. At first it marketed its brand of cigarettes “Horseman” in a blue and white coloured packet. It had its logo Cut Tobacco on blue in the middle of the white part of the packet with two horses in red on both sides of the logo. During the year 1998 the Appellant changed its packaging from what we have just described to a red (or maroon) coloured packet with two narrow white bands on the top and bottom of the packet with the word “Horseman” prominently printed thereon. It substituted the original logo and two horses with a picture of a jockey riding a horse. It is this packet that the Respondent took issue with and filed the proceedings in the superior court seeking to stop it from manufacturing or marketing its “Horseman” cigarettes in the present “get-up”. The words “get-up” are used in the sense of general appearance.

The Appellant’s explanation for the change in the “get-up” is that red colour is associated in Kenya with stronger brand (more nicotine/tar content) of cigarettes whereas the colour white is associated with milder cigarettes or cigarettes with a lesser nicotine/tar content. To show this the Appellant produced by way of affidavit evidence packets of “Supermatch” brand of cigarettes manufactured by another Kenyan company as well as “Champion” brand of cigarettes manufactured by the Respondent. It is not in issue that the “Supermatch” and “Champion” are both stronger brands of cigarettes. It is common ground that no one has any monopoly in the colour red.

The application was argued at length before Onyango Otieno J who, it must be pointed out, considered all points convassed before him but applied wrong tests as we will show later. As regards the differences in the “get-up” of the Appellant’s brand the Learned Judge said:

> “The respondent (the Appellant here) has rightly pointed out several differences in the two packets i.e. in the packet of ‘Horseman’ and I do accept that one looking at the two closely will not make any mistakes as to the differences. I have also seen other packets with red or maroon background that is ‘Champion’ ‘Supermatch’ and ‘Marlboro’. The main difference one sees between ‘Champion’ and ‘Sportsman’ is that the ‘Champion’ packet, not only is the word ‘Champion’ not close to ‘Sportsman’ phonetically or otherwise, but the picture in the middle is that of a man carrying a trophy and that too is at a glance different from the head of the horse in the middle of ‘Sportsman’ cigarettes and of course there is no element of white colour in the ‘Champion’ other than the word ‘Champion’ which is written in white. As to ‘Supermatch’ and ‘Sportsman’, again the picture in the middle is that of a sportsman in a white oval surrounding and ‘Supermatch’ written in white. Anybody seeing the two will not make any mistake as to the differences, and ‘Marlboro’ is clearly distinct from ‘Sportsman’ even in complete design. However, as between ‘Horseman’ and ‘Sportsman’ the features of a horse either a full brown horse with a jockey on top of it or the

> head of the horse, plus maroon colour in 'Horseman' and red colour in 'Sportsman' plus the words 'Horseman' and 'Sportsman' which resemble each other to some extent would in totality give the general impression that the two are from one manufacturer and are not different".

In other words the Learned Judge concluded that the "get-up" of the "Horseman" brand of cigarettes was calculated to deceive the "Sportsman" cigarette consuming public. He did so after applying the standard or burden of proof applicable at a trial. He quoted from a decision of the High Court of Uganda namely the case of *Acktibolget Jonkeping – Vulcan Industrictsfabriksatebolag v East African Match Co* [1964] EA 64 wherein at 67 Udo Udoma CJ stated:

> "As a general proposition of law, I think I am right in stating that the burden of satisfying the court that there has been an infringement of its trade mark is on the Plaintiff company. It is for the Plaintiff company to prove that there is a resemblance between the two marks, and that such resemblance is deceptive. It is also a well established principle of law that it is the duty of the judge to decide whether the trade mark complained of so nearly resemble the registered trade mark as to be likely to deceive or cause confusion in the minds of the public. From that duty the judge cannot abdicate".

Sir Udo Udoma CJ was of course dealing with issues raised at the full hearing of the case and not an interlocutory application for temporary injunction. Onyango Otieno J had before him an application for a temporary injunction and the principles to be applied upon the hearing of such an injunction are well settled. That is that the Plaintiff ought to make out a *prima facie* case with a probability of success, and if the court is in doubt it will decide the application on the balance of convenience. An interlocutory injunction will not normally be granted unless the Applicant for it might otherwise suffer irreparable injury, which would not adequately be compensated by an award of damages. See *EA Industries Ltd v Trufoods Ltd* [1972] EA 420. As regards alleged similarity of "get-up" Spry VP had this to say at 422:

> "Here we have two bottles, substantially similar in size and shape, with two differences which are readily apparent to anyone who knows them or compares the bottles but which might not be noticed by someone who saw them separately. They bear labels which are substantially similar in size and shape. The design of the labels is generally similar but there are differences of detail and they bear names which in themselves are not confusing. I do not think it is desirable to go into the matter more fully, *because the issue of deceptive similarity has to be decided in the suit* (emphasis added by us). I do not think we should say more than is absolutely necessary, particularly because the ultimate decision may depend on evidence called at the trial. Mr Deverell suggested that it is unlikely that any evidence will be called of any great significance and that we can fairly reach a conclusion on the evidence of our own eyes. That may well be so, but we do not know what evidence will be called and we cannot speculate".

Another correct approach to an application for injunction is that applied by the predecessor of this Court in the case of *Giella v Cassman Brown and Co Ltd* [1973] EA 358 where Spry VP in the leading judgment of the court stated at page 360:

> "I will begin by stating briefly the law as I understand it. First, the granting of an interim injunction is an exercise of judicial discretion and an appellate court will not interfere unless it be shown that the discretion has not been exercised judicially (*Sergeant v Patel* [1949] 165 EACA 63).
>
> The conditions for the grants of an interlocutory injunction are now, I think well settled in East Africa. First an Applicant must show a *prima facie* case with a probability of success. Secondly, an interlocutory injunction will not normally be granted unless

> the Applicant might otherwise suffer irreparable injury which would not adequately be compensated by an award of damages. Thirdly, if the court is in doubts, it will decide an application on the balance of convenience".

After stating the general principles which govern contracts in restraint of trade, the learned Vice President stated that if the company had to succeed it had to show that the undertaking given to it by the Appellant not to work within certain areas in East Africa was reasonable, which view had been upheld by the Judge at the interlocutory stage and in relation to which the learned Vice President stated:

> "Again, I think with respect, that the Judge was premature in the holding that the undertaking was not unreasonable: this was the question to be decided in the suit and all that the Judge had to decide at that stage was whether the suit had a reasonable probability of success. I should have thought it was very doubtful. The undertaking in effect, precludes the Appellant for a period of three years from carrying on any business similar to that of the company in any of the six main cities and towns of East Africa. We do not know the nature of that business and if it is of general nature, embracing a variety of activities, the restraint is of considerable effect and might well be considered unreasonable".

What the Learned Judge did, as pointed out earlier, was to apply the standard or burden of proof applicable in a full hearing at a trial when he decided that the alleged similarities in the "get-up" of the two packets were calculated, by the Appellant, to deceive. On that, with respect, the Learned Judge erred. He went too far in deciding a temporary injunction application as the issue before him was of fact or facts and deciding such an issue in an interlocutory application may and does hamstring the trial court.

The issue of burden of proof as regards finding of facts was set out as early as 1895 by Lord Halburry LC in *Reddaway v Banham* [1896] AC 199. The Lord Chancellor said at page 204:

> "My Lords, I believe in this case that the question turns upon a question of fact. The question of law is so constantly mixed up with the various questions of fact which arise on the inquiry of the character in which your lordships have been engaged, that it is sometimes difficult when examining former decisions to disentangle what is decided as fact and what is laid down as a principle of law. For myself, I believe the principle of law may be very plainly stated, and that is, that nobody has a right to represent his goods as the goods of someone else.
>
> How far the use of particular words, signs, or pictures does or does not come up to the proposition which I have enunciated in each particular case must always be a question of evidence, and the more simple the phraseology, the more like it is to a mere description of the article sold, the greater becomes the difficulty of the proof; but if the proof establishes the fact the legal consequence appears to follow".

Keeping in mind what we have stated so far, and pointing out further that there can be no proprietary rights in a particular colour and that there can be no property in general words descriptive of the goods, we can say that evidence would be needed to show if the "get-up" of the "Horseman" cigarette packet is likely to deceive the cigarette buying public into believing that they (the public) are buying a "Sportsman" packet of cigarettes. Generally smokers stick to their own brand of cigarettes just the way beer drinkers stick to their own brand of beer. It is also a matter of evidence as to whether the word "Horseman" is so deceptively similar to the word "Sportsman" as to enable a judge to say that the trade mark "Sportsman" has been infringed. The two words ought to be looked at in their normal English language meaning.

The Learned Judge in our view went too far in deciding the issue of deception on what was before him. As pointed out by Lord Halsbury LC in the *Reddaway* case (*supra*) that ought to have been a question of evidence. Such

evidence was not placed before the Learned Judge. He went by his visual impression only.

The Learned Judge considered the cases of *Haria Industries v PJ Products Ltd* [1970] EA 36, *EA Industries* (*supra*) and *Brooke Bond Kenya Ltd v Chai Ltd* [1971] EA 10 and decided to follow the *EA Industries* case on the supposition that that being a later decision, the Court of Appeal of East Africa had the *Haria Industries* and *Brooke Bond* cases in mind. With respect that is not necessarily a correct view of the authorities. We bear in mind the fact that no two cases are alike. Each case must be decided on its own peculiar facts or sets of facts. We bear in mind that *Haria Industries* and *Brooke Bond* cases were decided after full trials. The *East Africa Industries* case turned on the issue of grant or refusal of a temporary injunction pending full trial. That distinction therefore made by the Learned Judge was a misdirection. However, as already pointed out, the Court of Appeal for East Africa, in *East Africa Industries* case declined to grant a temporary injunction on the basis that evidence would have been necessary at the trial to decide whether or not there was a colourable imitation in the bottles and labels as to lead to deception. What was said in the *East African Industries* case is more germane to this case. We need not repeat it save to say that the trial court will have to eventually decide the issue.

What we have said so far is enough to dispose of this appeal. We do not see the need for going into all the grounds of appeal advanced by Mr *Billing* who appeared for the Appellant, save to reiterate that the Learned Judge decided the application before him in a manner which usurped the functions of a trial court. What we have said covers all grounds of appeal as advanced. If we say anything more we ourselves would be usurping the functions of the trial court and we would certainly not wish to do so.

We would also point out that in the event of the Respondent succeeding in the trial we cannot see that the Respondent would suffer such loss as would not be compensated by damages. It has not been suggested that the Appellant would not be able to meet any award that might be made. It is clear from the Respondent's own half-yearly statement for the year ending 31 December, 1999 that the 4% decline in its turnover for the first six months of the year 1999 was primarily due to declining economic activity within the country in particular to marginal GDP growth and lower disposable income which negatively impacted consumer spending in the country. Apart from these the Respondent attributed the 4% decline in its turnover to heightened security concerns and the dilapidated state of the transport infrastructure. Moreover the Respondent, in its said statement, confirmed that its profits before taxation improved marginally over the first six months of the year 1998.

For these reasons we allow this appeal with costs and set aside the orders made by the superior court on 23 June, 1999 and substitute the same with orders that the Respondent's application in the superior court dated 26 March 1999 do stand dismissed with costs.

For the Appellant:

Information not available

For the Respondent:

Information not available

East Africa General Insurance Co Ltd v East Africa General Insurance Co Ltd

[2001] 1 EA 31 (CAK)

Division: Court of Appeal of Uganda at Kampala

Date of Ruling:	20 July 2001
Case Number:	22/01
Before:	Okello, Mpagi-Bahigeine and Engwau JJA
Sourced by:	P Karugaba
Summarised by:	HK Mutai

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[1] Company – Proceedings by company – Authority to commence action – Management of company – Expropriation of company from original shareholders – Registration of new company under name of old company – Return of company to original shareholders – Existence of two boards of directors – Whether action in the name of the company had been legally brought – Decree number 27 of 1973 – Sections 1, 2(1), 5(1) and 14 – Expropriated Properties Act 9 of 1982.

[2] Court of Appeal – Jurisdiction – Assumption of original jurisdiction – Whether the court had jurisdiction to hear the application – Section 12 – Judicature Statute 1996 – Rule 1(3) – Court of Appeal Rules.

[3] Practice – Order – Decree – Definition of decree – Right to appeal – Leave of court to appeal – Whether the dismissal of the suit was an order requiring leave of the court for appeal – Section 2 – Civil Procedure Act (Chapter 65) – Orders 15 and 40 – Civil Procedure Rules – Rules 39, 40 and 86 – Court of Appeal Rules.

Editor's Summary

On 18 May 1949, the East Africa General Insurance Co Ltd ("the old EAGEN") was incorporated as a public company under the 1935 Companies Ordinance with all its subscribers being of Indian origin. By 1972, when non-citizen Asians were expelled from Uganda by the military regime, the company had a few African shareholders. Following the expulsion of the Asians, the new regime passed decree number 27 of 1973 transferring all the property owned by the departed Asians to the government. On 18 June 1973, the remaining African shareholders of the company registered a new company under the name East Africa General Insurance Co Ltd ("the new EAGEN"), took over the assets of the old EAGEN and continued to run it. When the military regime was eventually overthrown, the Expropriated Properties Act 9 of 1982 was passed to reverse the previous policy and return all assets and businesses to their former owners. The Act also nullified, *inter alia*, any dealings in the properties and businesses by any person other than the original owner. The shareholders of the old EAGEN applied for repossession of their properties, assets and businesses and were issued a certificate of repossession by the Minister of Finance on 7 December 2000. The certificate restored the company to its shareholders as at 9 August 1972. On 13 December 2000, a suit under the EAGEN name was filed against the Attorney-General, MM, HG and VA seeking orders, inter alia, revoking the certificate of repossession and restraining HM, HG and VA from trespassing on or dealing with the assets of EAGEN. The suit was dismissed on 27 February 2001 following the failure of counsel of the Plaintiff in that suit to turn up and prosecute the suit. The Plaintiff brought an appeal against the order, again in the name of the company. The old EAGEN then filed the application presently under consideration, seeking to strike out the appeal on

the grounds that it was incompetent as it had been instituted in EAGEN's name without its authority and that, in any case, the appeal had been brought without the leave of the court. Counsel for the new EAGEN objected to the application on the ground that the old EAGEN had not been served with a notice of appeal and hence did not have *locus standi* to apply to have the appeal struck out, in its own name.

Held – (Okello JA dissenting) In an action to redress a wrong done to a company or its property, the company was the proper plaintiff and its name could only be used as plaintiff by its directors or agents. Under the certificate of repossession, the old EAGEN was named as the repossessor of the assets and shares expropriated in 1972, with MM, HG and VA being the agents in control of the business and assets of the company. The effect of the certificate was to revert the status of EAGEN to its 1972 position when MM and HG were directors thereof and VA an officer appointed by them. MM, HG and VA therefore had the sole ability to institute or defend proceedings for and on behalf of the company as agents thereof. Moreover, the company could safely step in on behalf of MM, HG and VA who had been served with notice of the appeal as its agents, to conduct any subsequent litigation on its own behalf. The Applicants therefore had the *locus standi* to bring the application as opposed to the Respondents who had been dispossessed of all matters pertaining to EAGEN by the certificate; *Jaffer Brothers Ltd v Balaliwo and others* CA number 43/1998 applied. The appeal had therefore been filed without the authority of EAGEN and was thus incompetent.

The court was authorised under section 12 of the Judicature Statute of 1996 to approach an appeal case as if it were the High Court and appraise all the proceedings in the High Court so as to come to a just conclusion.

The High Court had erred in citing Order 15, rule 5 of the Civil Procedure Rules as the ground for dismissing the suit. A decree of the High Court entitled a party to appeal against it as of right. In this instance, there had been no trial and therefore no judgment had been delivered upon which a decree as defined in the Civil Procedure Act (Chapter 65) could follow. The facts giving rise to the decision supported an order for dismissal under section 101 of the Civil Procedure Act but, in this instance, citing the wrong law had occasioned no miscarriage of justice. An order for dismissal of a suit for want of prosecution was not a decree, nor was it in the list contained in Order 40, rule 1. This meant that the leave of the court to appeal was required before a notice of appeal could be lodged. Since leave had not been given, the appeal was accordingly incompetent.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Dhillon v Kaur and others [1960] EALR 795

Jaffer Brothers Ltd v Balaliwo and others CA number 43/1998 – **AP**

Jamal and others v Uganda Oxygen Ltd and others Supreme Court civil appeal number 64 of 1995

Kiboro v Posts and Telecoms [1974] EA 155

Kohli and others v Popatlal [1964] EALR 219

Matovu v Kiwanuka civil appeal number 12/1999 (SC) unreported

Suleiman v Kabambalo Supreme Court civil appeal number 32 of 1995

Zaidi v Humeidan [1960] EA 92

United Kingdom

Burland v Earle [1902] AC 83 PC

Edwards v Halliwell [1950] 2 All ER 1064 CA

Ram and another v Salicram [1929] All ER 543

Ruling

MPAGI-BAHIGEINE and ENGWAU JJA: This was an application by way of notice of motion, under rules 42, 43 and 81 of the Court of Appeal Rules, seeking to strike out civil appeal number 26 of 2001 arising out of High Court civil suit 1728 of 2000. It is supported by two affidavits affirmed by Mr Himatlal Gandesha, one of the directors of the Applicant company.

The relevant affidavits in reply were filed for and on behalf of the Respondent company by Mr Samson Muwanguzi, its General Manager. The first affidavit was dated 9 April 2001. The supplementary one was dated 23 June 2001 and was filed in reply to Mr Gandesha's supplementary affidavit which was allowed in evidence with leave of court under rule 43(3) of the Rules of this Court. On Mr Muwanguzi's supplementary affidavit were annexed several documents which kept on being referred to by all counsel.

The background to this application is briefly as follows: On 18 May 1949, a company called East Africa General Insurance Co Ltd was incorporated in Uganda, under the Companies Ordinance 1935 (API). The memorandum and articles of association were wholly subscribed by persons of Indian origin who were residents, or later citizens, of the three East African Countries, Uganda, Kenya, and Tanzania. On 9 August 1972 Idi Amin, the military dictator of Uganda, decreed the expulsion of Asians from Uganda. He cancelled all the certificates of residence and entry permits required to be held by all non-nationals, under the Immigration (Cancellation of Entry Permits and Certificates of Residence) (Amendment) Decree Number 30 of 1972. The holders were given ninety days to quit Uganda. A mass exodus of non-citizen Asians ensued, leaving behind only a handful of them.

Decree number 30 of 1972 removed all distinction of Asians who were welcome and those not so welcome on ground of their nationalities. The military regime targeted the assets and businesses left behind by the departed Asians, under its declared Economic Policy. A number of decrees were passed for this purpose. Decree number 26 of 1973 dealt with allocations of such businesses. It provided that no management or operation of business abandoned by departed Asians could be legally valid unless officially allocated. Under decree number 27 of 1973, the Assets of Departed Asians Property Decree, no title could rest in anyone unless such title were transferred to him by the government, either directly or through the agency created, of the Departed Asians Property Cus-stodian Board (DAPCB). Decree number 27 of 1973 was alive to the fact that some Asians ran or owned business or property respectively, in partnership with Ugandan Africans or unexpelled Asians. While section 16 made it clear that the abandoned property was to be allocated to Ugandan citizens only, if there was any citizen shareholder in such business or property such shareholder would either retain his share and the rights conferred upon him by such share, or be paid compensation in respect thereof (section 17(2)).

However, in 1973, the African shareholders left behind in East Africa General Insurance Co Ltd registered a new memorandum and articles of association under the same name as the 1949 constitution. This new EAGEN of 1973 nonetheless continued to run the business of the old 1949 EAGEN and took over its assets, under a different constitution (AP4) purportedly incorporated also under the Companies Ordinance 1935 on 18 June 1973. By then section 409(1) of the Companies Act 1948 had repealed the 1935 Ordinance.

On the overthrow of the military regime, the succeeding regime reversed the policy of seizure of properties and businesses of non-Africans and non-citizens. The Expropriated Properties Act 9 of 1982 was put in place for this purpose, to return all the assets and businesses left behind to their former owners. Most importantly the Act nullified all purchases, grants and "any dealings of whatever kind in properties and businesses" which the departed Asians had lost, whether such properties had before vested in the government or not, under the Assets of the Departed Asians Decree, but dealt with in any way by any person other than the original owner. This Act which came into force in 1983, allowed the former owners 90 days within which to apply for their former properties, assets and businesses, but the time was extended by Legal Notice to March 1993.

The shareholders of the 1949 EAGEN applied for repossession of their properties, assets and businesses (AP2) within the prescribed time. The Acknowledgement Receipt of their application was issued and dated 16 May 1983. On 7 December 2000 the Minister of Finance and Economic Planning issued a certificate of repossession (API) under section 4 and 5 of the Act, returning the property, assets and businesses and corresponding 24 910 shares to the Applicants, EAGEN of 1949. The Certificate of Repossession restored the 1949 EAGEN to its 1 099 departed Asian shareholders as it existed as at 9 August 1972, before the expulsion. On this certificate is schedule "A" reading that of all the 1132 shareholders holding 25 160 shares, 250 shares belonged to indigenous Ugandans and were therefore never the subject of expropriation as schedule "B" thereof indicates. After the repossession, the Registrar of Companies is entitled to reinstate the company to its 1972 *status quo ante*.

On 13 December 2000, the Respondents filed High Court civil suit number 1728 of 2000, whose title read "Plaint/Memorandum of Appeal". It was against the Attorney-General, Manubhai Madhvani, Himatlal Gandesha and Vivek Araujo, seeking orders, amongst others, that:

> "(a) The certificate authorising repossession issued by the Minister of Finance on 7 December 2000 be revoked/cancelled.
>
> (b) A permanent injunction against the Second, Third and Fourth Defendants respectively restraining them, their servants, employees, agents/attorneys/any person claiming under the above certificate from trespassing or otherwise dealing with the shares/assets of the Plaintiff".

At the commencement of the hearing of the High Court civil suit 1728 of 2000, some preliminary objections were raised by the Defendants mainly that the Plaintiffs (EAGEN 1973) had no *locus standi* to institute the suit, the Plaintiffs were not at law persons aggrieved by the decision of the Minister in granting the certificate of repossession, and that the Defendants were wrongly sued along with the Attorney-General in a statutory suit for the decisions which were not taken by them or jointly with Attorney-General. Adjournments were granted from time to time. On 21 February 2001 the Defendants in the suit, who are now the Applicants, made submissions in support of their preliminary

objections to the competence of the suit. The court yet adjourned the matter until 27 February 2001 for the answers and replies to be made and filed by counsel for the Plaintiff company.

On 27 February 2001 Mr *Katende* failed to show up in time, though some of the directors and shareholders were present in court. The main suit could not commence either.

Mr Deus *Byamugisha*, for the Attorney-General, is recorded as saying: "I take it that our objections are not challenged. Pray for dismissal. There is no reason for absence when the case is called up".

Court: "I will decide the case since counsel for the Plaintiff has not shown up. Under Order 15, rule 4 of the Civil Procedure Rules this suit is dismissed with costs. Injunction vacated".

Consequent upon the above order, civil appeal number 26 of 2001 was filed in this Court. An order is now being sought to strike it out on three grounds namely that:

1. The appeal was instituted without the authority of the company in whose name it purports to have been brought because the persons who authorised institution of the appeal had no *locus standi* to do so.
2. The appeal was brought without leave of court.
3. The appeal is time barred against the Respondents named in it being the officials of the company as represented under the certificate authorizing repossession and all persons cited as Respondents numbers Second, Third and Fourth.

When this application first came up for hearing, counsel for the Respondent Professor *Sempebwa*, raised two preliminary objections to its competence. First he argued that the application was brought under rule 81 of the Rules of this Court which required that only the person who had been served with a notice of appeal under rule 75 and had filed a notice of address could apply to have the notice of appeal or appeal struck out under rule 81. He submitted that it is only the Attorney-General who had been served and not EAGEN, who could apply to have the notice of appeal/appeal struck out under rule 81.

Secondly he submitted that by entertaining this application as presented we were assuming original jurisdiction in the matter which we were not mandated to do. After hearing Mr *Lule* for the Applicants, we overruled the objections and ordered the matter to proceed, promising to give our reasons in this ruling later, which we now do.

On the first objection we recognize that the Second, Third and Fourth Applicants are the directors of EAGEN of 1949 which company is named on the Certificate of Repossession as the repossessor of the assets and shares expropriated in 1972. These are the agents who are now in control of the businesses and assets of the company. The notice of appeal was served on the Attorney-General which is the principal party, and the Second, Third and Fourth Respondents. Under the law of agency, the 1949 company can safely step in to conduct any litigation on behalf of the company. See the case of *JB Kohli and others v Bachulal Popatlal* [1964] EALR 219, for the principle that a person who regards himself as the correct party to a suit can substitute himself for the party wrongly or inappropriately sued. Further, the court is also entitled to investigate the circumstances to ascertain the true party to the proceedings before it.

Regarding the second objection that we are exercising original Jurisdiction, the inherent powers of this Court given to it by rule 1(3) of the Rules of this Court are unlimited so as to make such orders as may be necessary for attaining the ends of justice and or to prevent abuse of the process of court. In any case section 12 of the Judicature Statute 1996 empowers this Court to approach an appeal case as if the Court of Appeal were (in this case) the High Court and appraise all the proceedings in the High Court so as to come to a just conclusion, including the question of *locus standi* and the cause of action when the suit was instituted.

We now go to the merits of this application. Regarding ground 1 Mr *Lule* submitted that the Appeal was instituted without the authority of the company in whose name it purports to have been brought because the persons who authorized the institution of the appeal had no *locus standi* to do so since the issuance of the certificate of repossession to the original shareholders of the 1949 EAGEN had restored all powers of management and control of the company to the 1949 EAGEN. Mr Joseph *Matsiko*, Senior State Attorney representing the Attorney-General, fully associated himself with Mr *Lule*'s submissions.

Mr *Katende* for the Respondents argued that the Applicant company was not a party to the High Court civil suit and was never served with the Notice of Appeal nor the appeal itself, so they also have no *locus standi* to institute or defend the proceedings for and on behalf of the company. They therefore lack *locus standi*.

The position, as we see it, is that the proceedings in the High Court were under section 14 of the Expropriated properties Act 9 of 1982. Indeed the plaint was entitled "Plaint/Memorandum of Appeal". The complaint against the Second, Third and Fourth Applicants was in trespass to the company's affairs. The appeal was against direction of the Minister of Finance in issuing the Certificate of Repossession. The certificate of repossession is still in force. It has not been nullified. As long as it is still in force, it reverts the status of the 1949 EAGEN to the 1972 status. The Second and Third Applicants who were directors of 1944 EAGEN are still directors. The Fourth is merely an officer appointed by them. They can safely institute or defend proceedings for and on behalf of the company as agents of the company. Possession taken of the company's property and management following the certificate of repossession cannot amount to trespass.

In the case of *Jaffer Brothers Ltd v Balaliwo and others* civil appeal number 43 of 1998, Engwau JA held *inter alia*:

> "[A]ll dealings of whatever kind with the expropriated properties were nullified by the Expropriated Properties Act Number 9 of 1982 …
>
> By the issuance of the letter of repossession by the Minister, the Appellant has since had *locus standi* to sue anybody blocking him from his property …".

In the same case, Okello JA observed:

> "The certificate immediately clothed the Appellant with equitable right over the Suit Property, pending the transfer of the legal right by government on registration. Registration is a formality as government is bound under the Act to transfer the property to former owner with a Certificate of Repossession. The equitable right enabled the Appellant to serve a quit notice to the First Respondent who occupies the Suit Property …".

We are therefore of the view that the Applicants have *locus* to bring this application as opposed to the Respondents who have been dispossessed of all matters pertaining to the 1949 company, its assets, business, shares, control and management which vested in the government of Uganda and were returned to former owners. We should mention that the effect of section 1(i)(*a*) and (*c*) of the Expropriated Properties Act is that where property and/or business were expropriated by any means, the same vested in the government as from the commencement of the Act on 21 February 1983. Section 2(1) of the Act empowered the Minister to return the expropriated properties to their former owners. Section 5(1) empowers the Minister to issue a certificate of repossession to a former owner and this issuance is in his absolute discretion. On 7 December 2000 the Minister issued the certificate whose effect dated back to 9 August 1972. This means that the authority and power to manage and take decision on behalf of the company emanates from the 1949 constitution of the company, if necessary, by the shareholders and directors appointed under the 1949 constitution of the company.

In a nutshell, the policy of the government of Uganda under the Expropriated Property Act 9 of 1982, is to return expropriated properties to the former owners. The case of *Kenya Aluminium and Industrial Works Ltd v Minister for Agriculture* [1961] EALR 248, illustrates the point that courts must pay due regard to the policy as set down by law. We would add that the case of *Gokaldas Laximdas Tanna v Sr Muvinza and DAPCB* Supreme Court civil appeal number 12 of 1992, is an authority on the effect of the Expropriated Properties Act, the powers of the Minister of Finance under the Act, and the authority of the certificate of repossession once issued. In this case it was held that any of the transactions listed in section 1(2)(*a*) of the Act, that is any purchases, transfers and grants of or dealings of whatever kind in the properties vested in the government were nullified notwithstanding the provisions of any written law governing the conferring of title and passing of transfer of such title to land, property or business.

In *Registered Trustees of Kampala Institute v DAPCB* Supreme Court civil appeal number 21 of 1992, the Supreme Court confirmed the decision in *Tanna*'s case (*supra*) but went further to establish that in order for a property of a departed Asian to vest in the government pursuant to the Expropriated Act, such property need not have earlier vested in the government or been managed by the Custodian Board under the decrees, but that the Act covered all properties wherever they were vested and managed, whether legally or illegally. It is noteworthy that the definition of "property" includes "shares".

The position is that there are two constitutions by the same name, the one of 18 May 1949 (AP1) and the one of 18 June 1973 (AP4). The subscribers of each set are ethnically different in name and race. The 1949 one was subscribed by Asians while the 1973 one was subscribed by Africans. There are also two different registers of shareholders. The number of members in the 1949 register is stated to be 1099 Asians with 33 Africans. We think that by making and subscribing a new memorandum and articles of association as well as sale of shares in the company after 1972 and the appointment of directors, secretary and other officials of the company, each constituted or amounted to a "dealing of whatever kind" prohibited by section 1(2) of the Expropriated Properties Act. Consequently Mr Samson Muwanguzi's appointment after 1972 as well as the memorandum and articles of association subscribed in 1973 and all new ownership of shares in the company after 1972, were nullified.

It follows therefore that neither the company in a general meeting composed of those persons nor the board of directors put in place pursuant to the 1973 memorandum and articles of association had legal competence to act for the company, because between February 1983 and 7 December 2000, the date of the repossession certificate, the company was by law under the authority of the government, and between 7 December 2000 up to now, the company is in the hands of the repossessors. At the time of filing the High Court Civil suit, as at the time of filing the notice of appeal and the substantive appeal, the certificate of repossession was in the hands of the original shareholders and management of the 1949 EAGEN. It stands to reason, therefore, that at the time of filing the appeal, as of now, the repossession certificate which has not been set aside, was effective. It was the authority by which EAGEN's officials alone had power to act for and authorize litigation and other acts binding upon the company and not the 1973 EAGEN.

It is trite law, that in an action to redress a wrong done to a company or its property, the company is the only proper Plaintiff. Its name can only be used as Plaintiff by the directors of the company or its agents. Where the members complaining represent the majority of the company, the action may be brought in the name of the company. Any other person or aggrieved minority can only bring proceedings in his or their own names. See: *Burland v Earle* [1902] AC 83 PC at 93, *Edwards v Halliwell* [1950] 2 All ER 1064 CA at 1076.

The Respondents can do this but only if they can prove their shareholding status in the 1949 EAGEN, in which case they can join the company, EAGEN of 1949 as a co-Defendant with the persons from whom they seek relief. See: *Salim Jamal and others v Uganda Oxygen Ltd and Others* Supreme Court civil appeal number 64 of 1995.

We are satisfied therefore, that civil appeal number 26 of 2001 was filed without the authority of the 1949 EAGEN and is thus incompetent. The minority Respondents who have lost control as a result of the repossession certificate have no *locus standi* to institute these proceedings in the name of EAGEN while the certificate is still in place. It is not in dispute that by the date the suit and the appeal were instituted the Applicants were, and still are, in possession and control of the company.

We turn to ground two, that the appeal was instituted without leave of court. This necessitates looking at the genesis of the court's order/decree as the case may be. After the Defendants had made their submissions, counsel for the Plaintiffs sought and were granted a seven-day adjournment for the reply. On the appointed day, the Respondents' counsel was absent. The Learned Judge dismissed the suit under Order 15, rule 4 of the Civil Procedure Rules stating that it was "dismissed for want of prosecution". It is against this dismissal that civil appeal number 26 of 2001 was filed.

It was both Applicants' contention that the disrnissal of the High Court case was not a decree entitling the Respondents to a right of appeal, but an order where leave to appeal is a mandatory requirement. The Applicants submitted, therefore, that the Respondents had to obtain leave of the High Court or of this Court before lodging in their appeal. The Respondents contended that it is not necessary to obtain leave because the trial Judge made a "decision" which amounted to a decree which was extracted and executed by the Applicants. The Respondents were insistent that the court's "decision" amounted to a decree. The decision meant judgment.

The Learned Judge clarified, however, that he had dismissed the suit under Order 15, rule 4 Civil Procedure Rules "for want of prosecution". It is clear that the Learned Judge inadvertently cited the wrong rule. It is under Order 15, rule 5 that a suit can be dismissed for want of prosecution when the Plaintiff fails to adduce evidence, but even this must be by formal application by the Defendant.

We agree with Professor *Sempebwa* that there was no trial and the decision was not on merits of the case. It follows that, there was no judgment upon which a decree as defined in section two of the Civil Procedure Act, would follow. "Decree" is defined as:

> "the formal expression of an adjudication which, so far as regards the court expressing it, conclusively determines the rights of the parties with regard to all or any of the matters in controversy in the suit and may be either preliminary or final … but shall not include–
>
> (*a*) …
>
> (*b*) any order of dismissal for default".

On the other hand "Order" is defined in the same section as "the formal expression of any decision of a civil court which is not a decree, and shall not include a rule *nisi*".

The Learned Judge's decision was an order. Nevertheless, with due respect to the Learned Judge, it was an order not arising under rule 4 or 5 of Order 15. The facts which gave rise to the decision as revealed by the record of proceedings would rather support a dismissal under section 101 of the Civil Procedure Act. That would still result in an order – see the case of *Ayub Suleiman v Salim Kabambalo* Supreme Court civil appeal number 32 of 1995 where the Court unanimously dismissed the appeal and held that on the facts of the case the trial Judge had inherent powers under section 101 of the Civil Procedure Act to dismiss the suit for want of prosecution, and that citing the wrong law for the dismissal occasioned no miscarriage of justice. We also agree that in the circumstances of this case, the decision of the Supreme Court is applicable.

Since a dismissal order for want of prosecution arising under Order 15, rule 5 or under section 101 Civil Procedure Act is not contained in Order 40, rule (1), leave had to be sought from either the High Court or from this Court before the notice of appeal could be lodged, failure of which renders the appeal to this Court incompetent as no essential step was taken in that regard. The requirement for leave is provided in Order 40, Civil Procedure Rules and rules 39(1)(*a*) and (*b*), 39(2)(*a*) and (*b*), 40(1), 41(1) and 86(1)(*h*) of the Rules of this Court. Rule 86(1)(*h*) requires that the order giving leave must be contained in the record of appeal. The record of appeal without leave where leave is necessary is incompetent. See *Gurdial Singh Dhillon v Sham Kaur and others* [1960] EALR 795 where the appeal was dismissed for want of leave to appeal. The right to appeal against the Minister's decision in the instant case is conferred by section 14 of the Expropriated Properties Act. Regulation 15 of the Expropriated Properties Disposal Rules provides that the Civil Procedure Rules will apply.

Lastly, regarding ground 3, namely that an essential step was not taken in time, it was submitted that the appeal is time barred against the Respondents named in it, being the officials of the company as represented under the Certificate Authorizing Repossession and all persons cited as Second, Third and

Fourth Respondents. Civil application number 7 of 2001 seeking extension of time has been brought to the court's attention. This application could only be granted on showing that the delay was caused by sufficient reasons. It has not been granted but still pending. In addition the Respondents' counsel conceded that service on the Attorney-General was in time but was late by only two to three days as regards the Second, Third and Fourth Respondents and argued that such a short delay should not be allowed to prejudice the appeal.

The position remains that there was delay. We think that the time schedule prescribed by the rules for taking certain actions is deliberately set to enable a *bona fide* Appellant to pursue the appeal promptly as delay is equally prejudicial to the Respondents to the appeal. It is, therefore, our view that failure to comply with the time set, however short the period may be, is fatal to the appeal.

Having considered the three grounds of the application in the affirmative we would make the following orders, namely that:

1 The appeal does not lie against the Second, Third and Fourth Respondents named in the notice of appeal because they are not the persons against whom this statutory appeal is provided to be preferred. Under section 14 of the Expropriated Properties Act the right to appeal to the High Court arises only against the decision of the Minister. The Attorney-General, on behalf of the Minister, is the only lawful Defendant/Respondent to the litigation.

2 Furthermore, the appeal does not lie against second, third and fourth persons named as Respondents in the notice of appeal and in the appeal because the appeal was not served on them within the prescribed time.

3 The shares of Asians, the company and its assets to extent of the Asians' share interests, were expropriated.

4 On issuance of the certificate of repossession, it at once clothed the repossessors with the power, right and duty to manage the company and, accordingly, to institute or defend any litigation in the name of the company as from the date set out in the certificate.

5 The appeal filed and conducted in the name and on behalf of the company by persons other than the repossessors, or their agents, after the issuance of the certificate of repossession was incompetent and not binding on the company.

6 All transactions relating to the company's property, moveable or immovable, including shares, stocks, debentures and interests therein are null and void and the properties must revert to the company as they were before expropriation of the company in 1972.

7 All contracts and transactions of whatever kind carried out between 9 August 1972 and the date of issuance of the Certificate Authorizing Repossession on 7 December 2000, between the new group or EAGEN and any other person whether shareholder, staff, or outsider, are not binding on the repossessed company.

8 The advocates who, after issuance of the certificate of repossession, filed proceedings against the repossessors had no authority of the company and the company is not obliged to meet their costs of the litigation.

9 Costs incurred on litigation by the repossessed company and its agents must be met by the firm of advocates who acted for the Respondents.

OKELLO JA (dissenting): I have read in draft the Court's ruling in this application. I find myself unable to agree with the conclusion therein and I put here my own views on the matter.

The application was brought by notice of motion under rules 42, 43 and 81 of the Rules of this Court. It sought orders that:

"(1) the notice of appeal filed on 27 February 2001 through M/s Katende, Sempebwa and Co Advocates and any appeal filed or to be filed, in the same matter arising from High Court civil appeal number 1728 of 2000 be struck out

(2) all applications filed in the Court of Appeal and arising by the same party from the suit referred to in (1) above and not yet determined be stayed pending final determination of this application, and

(3) costs of and incidental to this application be to the successful party".

The application was based on three grounds namely:

(1) that the Respondent had no *locus standi* after the certificate of repossession of the expropriated East African General Insurance Co Ltd (EAGEN) had been issued to the repossessors, to file a suit or a notice of appeal after the suit was dismissed in the name of the company;

(2) an essential step in the proceeding had not been taken; and

(3) an essential step in the proceeding had not been taken within the prescribed time.

Ground (1) above was contained in the notice of motion, while grounds (2) and (3) were introduced later in a supplementary affidavit of Himatlal Ghusalad Gandesha sworn on 8 June 2001 and filed in this Court on the same date. The application was supported by affidavit of Gandesha deponed to on an unstated date in Kampala as a director and shareholder of the Applicant company.

The Respondent opposed the application and filed affidavit in reply sworn by Benedicto Bangarina on 9 April 2001 as a shareholder and a director of the Respondent company. There were also affidavit in reply and supplementary affidavit in reply sworn by Samson Muwanguzi on 9 April 2001 and 23 June 2001 respectively as general manager of the Respondent company.

The facts which gave rise to this application are simple. The Applicant company hereinafter referred to as EAGEN (old) was incorporated in 1949 as a public company. At its inception, all the subscribers of EAGEN (old) were Asians. By 1972 when the Asians were expelled from Uganda by the military regime, there were few African shareholders in the company. Over 99% shares of the company were held by Asians. Upon the expulsion of the Asians, the shares of the departed Asians were by law, decree 27 of 1972, expropriated and vested in the government. This process was repealed upon the coming into force of Expropriated Properties Act 1982. It would seem that the few African shareholders continued to manage the company and its assets after the expulsion of the Asians.

When the Expropriated Properties Act 9 of 1982 (EPA), was passed, application was made on behalf of the departed Asian shareholders to repossess their shares. The Minister of Finance allowed the application and issued a certificate of repossession number 3327 in that regard on 7 December 2000.

Aggrieved by the Minister's decision, the Respondent appealed against it by instituting in the High Court, under section 14 of the EPA, Civil Suit 1728 of 2000; challenging the validity of the certificate of repossession. In the suit, the Respondent named the Attorney-General as the First Defendant with three other Defendants namely: Manubhai Madhvani, Himatlal Gandesha and Vivek Araujo. The complaint against the last three Defendants was stated to be in

trespass. The trial Judge heard the case and on 27 February 2001 dismissed it with costs under Order 15, rule 4 of the Civil Procedure Rules.

Following that dismissal, the Respondent lodged in the Commercial Division of the High Court, a notice of appeal on the same date and later filed civil appeal number 26 of 2001 in this Court. It is that notice of appeal and the subsequent civil appeal number 26 of 2001 that this application seeks to strike out.

When the application was called for hearing, counsel for the Attorney-General sought, and we allowed, the Attorney-General to be joined in the proceedings as the Second Applicant. He adopted the First Applicant's grounds stated above. For support, he relied amongst others on the affidavit in rejoinder deponed to by Ruth Namirembe Olijo, the legal Manager, Departed Asians Property Custodian Board (DAPCB).

At the commencement of the hearing, counsel for the Respondent raised a preliminary objection on two points:

(1) that the application was incompetent because the Applicant company lacked *locus standi* to institute the application as it is not a person on whom a notice of appeal was served within the meaning of rule 81 of the Rules of this Court, and

(2) that this Court lacks jurisdiction to entertain the application because the matter raised therein was not decided by the High Court and to decide it the court would be exercising original jurisdiction which this Court does not have.

We heard the objection, overruled it and reserved our reasons to be incorporated in the ruling of the main application. The reasons are contained in the Ruling of the Court. I do associate myself fully with them.

I now turn to the merit of the main application. Ground 1 is that the appeal does not lie. Mr G *Lule*, learned counsel for the First Applicant, contended firstly, that when the Minister issued the certificate of repossession, he returned to the Asians the over 99 percent of the company's shares held by them as at 1972. He argued that the return of the majority shares stripped the African minority shareholders of the power to control and manage the company, which they had exercised since 1972, and returned those powers to the Asian shareholders. In his view, the loss of the power to control and manage the company, also went with the right of the African shareholders to institute and or defend suits in the name of the company. He submitted that civil suit 1728 of 2000 was therefore, instituted in the name of the company without authority and that because of want of *locus standi*, appeal does not lie.

Secondly, that the Respondent conceded that the shares that were returned by the certificate of repossession were the shares held by the departed Asians. He argued that with that concession, the Respondent had no grievance to institute the suit. Therefore, since the Respondent lacked any legal grievance, appeal does not lie.

Mr Joseph *Matsiko*, Senior State Attorney, who appeared for the Attorney-General supported the above view.

The Respondent however, did not agree. It was contended for it that the certificate of repossession was invalid as it was issued by the Minister in a manner that was contrary to the law. It therefore did not affect the Respondent's right to use the company's name. Secondly, that even if it were validly

issued, the certificate of repossession could not affect the Respondent's right to use the company's name in legal proceedings because the company or its assets were not expropriated, and therefore are not affected by the EPA.

As regards the question of lack of grievance, counsel for the Respondent submitted that the Respondent has grievance as its interests are prejudicially affected by the Minister's decision.

The issue that emerged from the above arguments is whether the certificate of repossession was validly issued and if so, its effect. Several materials by way of affidavit and oral evidence, arguments and authorities were placed before us by both parties in attempt to prove their respective view points. With respect to counsel on both sides, I think that these materials are neither necessary nor even relevant for determining whether appeal lies. Whether the Respondent did or did not have *locus standi* and/or cause of action to institute the suit are matters that go to the merit of the case before the trial court and on appeal before the appellate court. They do not affect the right of appeal where it exists. Mr *Lule* explained that he raised the questions of *locus standi* and want of grievance in this application because the trial Judge did not rule on them.

With respect, I do not agree with counsel *Lule*. Failure of a trial judge to rule on an issue before him does not take away the right of appeal where it existed. On the contrary such failure provides ground for appeal. Right of appeal is created by law.

Section 11 of the Judicature Statute 13 of 1996 provides that "An appeal shall lie to the Court of Appeal from the decisions of the High Court prescribed by the Constitution, this statute or an other law". Article 134(2) is also worded similarly thus: "An appeal shall lie to the Court of Appeal from such decisions of the High Court as many be prescribed by law".

It is clear from the above provisions that appeal lies to this Court from decisions of the High Court prescribed by the Constitution, Judicature Statute or any other law.

Section 68 of the Civil Procedure Act provides: "Unless otherwise expressly provided in this Act, an appeal shall lie from the decrees or any part of decrees and from the orders of the High Court to the Supreme Court". Section 77(1) restricts appeals as of right to specified orders made under the Act.

Section 14 of the Judicature Statute 1996 provides that: "Subject to the Constitution, and with effect from the commencement of the Constitution, any reference to the Supreme Court in any enactment in force immediately before the coming into force of the Constitution, shall be read as a reference to the Court of Appeal".

Reading section 68 of the Civil Procedure Act together with section 14 of the Judicature Statute 1996, it is clear that appeal lies from the decree or any part of a decree and from the orders of the High Court to the Court of Appeal. In the instant case, the High Court decided civil suit 1728 of 2000 by dismissing it. That dismissal is a decision of the High Court. I do not see any provision in the Civil Procedure Act or any other law which expressly prohibits appeal to lie from such a decision.

I find no merit in this ground and I would dismiss it.

Ground 2 is that an essential step in the proceeding was not at all taken. Mr *Lule* contended that the dismissal of the Respondent's suit by the High Court

was an order which is not appealable as of right. He stated that the dismissal was made under Order 15, rule 4 of the Civil Procedure Rules. He submitted that that rule under which the order was made, is not one of those listed under order from which appeal lies as of right. Therefore, appeal lies from it only with leave of court. He pointed out that the record of appeal shows that such leave was not obtained either from the trial court or from the appellate court. In his view, that omission rendered the appeal incompetent and he invited us to strike it out.

Mr *Matsiko* agreed with that view.

On the other hand, it was contended for the Respondent, that the dismissal of the suit by the High Court under Order 15, rule 4, was a dismissal on the merit which resulted into a decree which is appealable as of right. *Salem AH Zaidi v Faud H Humeidan* [1960] EA 92 was cited in support of that proposition.

The issue that arose from the above arguments is whether the dismissal by the High Court of civil suit 1728 of 2000 on 7 February 2001 under Order 15, rule 4 of the Civil Procedure Rules resulted into an order or decree. For ease of reference, I shall reproduce here the provision of Order 15, rule 4. It provides:

> "Where any party to a suit to whom time has been granted fails to produce his evidence, or to cause the attendance of his witnesses, or to perform any or act necessary to the further progress of the suit, for which time has been allowed, the court may, notwithstanding such default, proceed to decide the suit forthwith".

For the above rule to apply, the following conditions must be met:

(1) A party to a suit must have been granted time to do something to the further progress of the case; and

(2) He/she must have failed to do that something for which time was allowed**.**

In the instant case, the proceeding in the High Court leading to the I dismissal of the suit started on 21 February 2001 and according to the record it went as follows:

> "21 February 2001
>
> J W Katinde }
> Serwanga } for Plaintiff
> Kakembo }
> Katende
>
> Matsiko for Attorney-General
>
> H Gandesha in person
>
> Aranjo V in person
>
> Madhvani absent
>
> Matsiko: Mr Byamugisha travelled to Mbarara for the burial of his mother-in-law.
>
> Gandesha: My papers are being typed for submission. Request up to 11:45am. There was a power failure. I will file it.
>
> Katende: I thought arguments would be oral. We would prefer to make ours oral. In the circumstances just to come to receive a filed document. If he gave us a copy, we should agree on the reply. We suggest Tuesday next week.
>
> Matsiko: We need an early hearing.

Court: The Defendant will file his submission made in writing today and the answers and replies will be made on Tuesday 27 February 2001".

The Defendant's written submission was filed. On 27 February 2001, when the answers and replies were to be made, the proceeding continued as follows:

> "27 February 2001:
>
> Deus Byamugisha
>
> Joseph Matsiko
>
> Gandesha in person
>
> None for the Plaintiff
>
> | | |
> |---|---|
> | Byamugisha: | We are ready to proceed. |
> | Court: | Do you have an idea why the Plaintiff is not in here? |
> | Sekah Christopher: | Our lawyer must be on the way. He is the one to proceed. |
> | Byamugisha: | If he is absent pray for dismissal. |
> | Stephen Sonko: | I am Chief Clerk to Mr Katende. The advocate told me to say that he is coming. |
> | Byamueisha: | I take it that our objections are not challenged. Pray for dismissal. There is no reason for absence the case is called up. |
> | Court: | I will decide the case since counsel for the Plaintiff has not shown up. Under Order 15, rule 4 of the Civil Procedure Rules, this suit is dismissed with costs. Injunction vacated". |

The above record is clear. The Respondent was allowed time up to Tuesday, 27 February 2001 to make its oral submission. It did not do so in the time allowed and the trial Judge decided the case by dismissing it. In my view, the trial Judge complied with the rule. What then is the effect of that dismissal.

In *Salem AH Zaidi* (*supra*) the former Court of Appeal for East Africa considered the effect of a dismissal under a provision similar to our Order 15, rule 4. It considered section 2, rule 178 of Civil Orders Ordinance of Aden. That rule is the same with our own Order 15, rule 4. The Court said of the Indian Order 15, rule 4 thus:

> "Similarly in terms of Order XV, rule IV of the Indian Rules, if a Plaintiff fails to produce evidence, the court can 'pronounce judgment'. It does not dismiss the suit for non-prosecution (Chitaley and RAO *Civil Procedure Code* (6 ed) 2603; *Sahdeo Ram and another v Salicram* [1929] All ER 543. Equally, I think, when the court acting under rule 178 of the Rules of the Court 'pronounces judgment' it must be a judgment on the merit on the materials before it".

A decision under Order 15, rule 4 of the Civil Procedure Rules is thus a judgment on the merit based on the materials before it. I treat the dismissal made by the trial Judge under that rule similarly. He made it clear that he would decide the suit and actually did it. That was not a dismissal for failure of counsel for the Respondent to appear. The dismissal therefore resulted into a decree which is appealable as of right. Leave was thus not required.

I would for the reasons stated dismiss this ground.

Ground 3 is that an essential step in the proceeding had not been taken within the prescribed time. On this ground, Mr *Lule* complained that the record of appeal was not served on the First Applicant within the prescribed time as required by rule 87 of the Rules of this Court. He submitted that the non-compliance rendered the appeal against the First Applicant incompetent and he invited court to strike it out.

For the Respondent, it was contended that the First Applicant was not entitled to be served with the record of appeal as it was not a person on whom

notice of appeal was served under rule 81 of the Rules of this Court. The First Applicant was not a person who served on the Respondent address for service. Even if the First Applicant were a person entitled to be served with the record of appeal, this ground was introduced one month after the Respondent had filed application for extension of time within which to serve the record of appeal on the entitled individuals who had not been served on time. The application for extension was pending when application to strike out was called for hearing. The interest of justice demands that striking out should not be ordered before the application for extension was heard.

There are authorities which support the view that where application for extension of time was existing when the application for striking out was called for hearing, the proper course to take was to allow the application for extension to be heard first. See *Kiboro v Posts and Telecoms* [1974] EA 155; *Haji Nurdin Matovu v Ben Kiwanuka* civil application number 12 of 1999 (SC) unreported.

I think that the recommended course is even more compelling especially when the application for extension of time was filed before the application for striking out. In the instant case, it is not disputed that this ground was introduced by a supplementary affidavit of Gandesha, filed one month after the application for extension of time was filed. On the above principle, such application for striking out should not be heard before the application for extension was heard and decided upon. For this reason alone, I would not strike out the appeal. I do not find it necessary to consider the other aspects raised by the Respondent.

In the result, I would dismiss the application. I would order that costs of this application abide the result of the Appeal. However, as the majority held otherwise, the application shall and is hereby allowed on the terms proposed in the Ruling of the Court. Civil appeal number 26 of 2001 is accordingly struck out as prayed.

For the Appellants:

Information not available

For the Respondents:

Information not available

Eastern and Southern African Trade and Development Bank (PTA Bank) v Ogang

[2001] 1 EA 46 (COMESA)

Division:	Comesa Court of Justice at Lusaka, Zambia
Date of judgment:	29 March 2001
Case Number:	1B/2000
Before:	Korsah, Nyankiye, Kalaile, Sakala and Ogoola LJJ
Sourced by:	J Ochien'g Oduol
Summarised by:	HK Mutai

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[1] COMESA Court of Justice – Scope of Court's jurisdiction – Action – Jurisdiction over suit by employee against PTA Bank – Whether PTA Bank is an organ of Common Market – Whether Court

has jurisdiction over claims against bank by employees – Articles 7, 19, 27 and 174 – COMESA Treaty.

[2] COMESA – PTA Bank charter – Privileges and immunities – Grant of immunity from process – Amendment – Power of board of governors to amend charter – Whether amendment can conflict with COMESA Treaty – Articles 2, 42 and 43 – PTA Bank Charter.

Editor's Summary

On 20 January 2000, the Respondent filed an application before the COMESA Court of Justice seeking an order to suspend the operation of a resolution taken on 6 December 1999 by the board of directors of the PTA Bank, pending the hearing and final determination of a reference filed simultaneously with the application. The Applicants raised preliminary objections against the references on the grounds, first, that the Respondent had failed to state the laws or statutes establishing his standing before the court and, second, that the court lacked the jurisdiction to entertain the issues raised. They contended that by an amendment to article 42 of the bank's charter, the bank enjoyed certain privileges and immunities from legal proceedings within the territories of member states. They also claimed that the bank was an autonomous institution that was not an organ of COMESA, hence was not answerable to the laws and regulations of the Common Market. The Respondent also relied on the provisions of article 42, as drafted in the original charter of the bank, which contained a version that was more favourable to him.

Held – The PTA Bank was established under its charter in 1985 pursuant to Chapter 9 of the Treaty establishing the Preferential Trade Area, which came into force in 1982. Upon the formation of COMESA as the successor body to the PTA, the COMESA Treaty, in article 174, named the bank as one of its constituent institutions. The Court of Justice, being an organ of the Common Market established under article 7 of the COMESA Treaty, had the function and duty (pursuant to article 19 of the Treaty) of ensuring the adherence to law in the interpretation and application of the Treaty by the other organs and institutions. In particular, article 27 of the Treaty gave the Court jurisdiction to hear and determine claims against the bank, and other institutions of the Common Market, not only by employees of the Common Market, but also by any person against such institutions or their employees acting within the scope of their employment.

Article 43 of the PTA Bank Charter gave the bank immunity from legal process in the national courts of member states but did not extend that immunity to the jurisdiction given to the Court by the COMESA Treaty. The bank's board of governors had no power to amend article 42 of the bank's charter so as to confer privileges and immunities on the bank, as such privileges and immunities could only be given the force of law in member state territories by the member states themselves. Moreover, the bank's charter, being in the nature of subsidiary legislation, could not conflict with the COMESA Treaty, which was its parent legislation.

There were no Rules of Court that had been breached so as to deny the Respondent *locus standi*. The issue of whether he could prove his allegations at trial was a separate issue. The application would therefore be dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**"

means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United States of America

Broadbent v Organization of American States 202 US App DC 27 628F 2d 27 (DC Cir 1980)

United Kingdom

Customs and Excise Commissioners v APS Samex [1983] 1 All ER 1042

Judgment

KORSAH LJ: On 26 March 2001, we pronounced our decision and orders in this application and reserved our reasons. Those reasons now follow.

On 20 January 2000, the Respondent filed in the registry of this Court, under rule 75 of the Rules of Court of the Court of Justice of the Common Market for Eastern and Southern Africa (hereinafter referred to as "the Rules"), an application for a suspension order (reference number 1A/2000). By that application, the Respondent prayed this Court for an order suspending the operation of resolution number 58/99/01 dated 6 December 1999, passed by the board of directors of the First Applicant herein at its 58 meeting, pending the hearing and final determination of reference number 1B/2000, filed contemporaneously with the Respondent's application for a suspension order. For the sake of convenience and clarity we shall refer to both Applicants as the "PTA Bank" and to the Respondent as "Martin Ogang".

In the instant application, the PTA Bank raised two preliminary objections to reference numbers 1A/2000, 1B/2000 and 1C/2000 filed by Martin Ogang. Firstly, it is contended by the PTA Bank that the failure by Martin Ogang to state the law or statute "upon which its standing before this Court is established" deprives him of a *locus standi*, and disentitles him from any of the remedies he seeks. Secondly, it is contended that the COMESA Court of Justice lacks jurisdiction to entertain the said references or try the issues therein raised as Martin Ogang has not pleaded the law or statute upon which the Court's jurisdiction is founded. We intend to deal with the jurisdictional issue first as the resolution of it may tend to unravel the question of Martin Ogang's *locus standi* in this matter. The application was vehemently opposed by Martin Ogang.

The PTA Bank's argument is that, by its Charter, which was concluded on 12 July 1985, but the date of promulgation is unknown, it was accorded certain privileges and immunities in territories of PTA member states, from legal proceedings. Article 42 upon which great reliance is placed in support of this contention, as quoted by Martin Ogang at page 38 of Reference Number 1B/2000 provides as follows:

> "1. Actions may be brought against the Bank in the territories of the member states or elsewhere in a Court of competent jurisdiction.
>
> No action shall be brought against the Bank by members of the Bank or persons acting for or deriving claims from them. However, Members of the Bank shall have recourse to such special procedures for the settlement of disputes between the Bank and its Members as may be prescribed in this Charter or in the regulations of the Bank made in accordance with the terms of contracts entered into with the Bank".

Paragraph 2 applied to Members of the bank who were all States, or financial institutions, as no individual was a member of the bank.

As cited by the PTA Bank, at page 4 in Reference Number 1D/2000, article 42 in relevant part, stipulates that:

> "1. Subject to paragraphs 3 and 4 below, the Bank shall enjoy immunity from every form of legal process except in cases arising out of its borrowing powers when it may be sued only in a court of competent jurisdiction in the territory of the member State in which the Bank has its principal office, or in the territory of a member state or non-member state where it has appointed an agent for the purpose of accepting service or notice of process or has issued or guaranteed securities.
>
> No action shall be brought against the Bank by members of the Bank or persons acting for or deriving claims from them. However, members of the Bank shall have recourse to such special procedures for the settlement of disputes between the Bank and its members as may be prescribed in this Charter or in the regulations of the Bank made in accordance with the terms of contracts entered into with the Bank".

For the purposes of this judgment we accept that the original Charter may have been amended to create the scenario, which the PTA Bank presents – one favourable to the PTA Bank, but not so favourable to Martin Ogang. There are, however, serious obstacles to overcome before the validity of this amendment can be accepted.

Counsel for the PTA Bank contended that the PTA Bank was not an organ of COMESA and as such was not answerable to the laws and regulations of the Common Market, because it has a Charter of its own which regulates its activities and relationship with its employees. This fallacious assertion does not take cognisance of the following facts:

The PTA Bank was established under article 2 of its Charter pursuant to Chapter 9 of the Treaty for the establishment of the Preferential Trade Area for Eastern and Southern African States, which came into force on 2 September 1982 (see Legal Counsel's Note at page 49 of the Charter). The first Charter of the PTA Bank was concluded at Bujumbura, Republic of Burundi, on 12 July 1985. Article 174 of the Treaty establishing COMESA, in paragraph 2 thereof, names the PTA Bank as one of its institutions continuing in force.

In the original Charter of the PTA Bank, which was exhibited in Reference Number 1B/2000 by Martin Ogang, article 42 paragraph 1 stipulates, as above indicated, "That actions may be brought against the Bank in the territories of the member states or elsewhere in a court of competent jurisdiction". Amendments to the said Charter were subsequently made by the board of governors, the first of such amendments being made in 1990.

Counsel further contended that by an amendment to its Charter in respect of article 42, the PTA Bank now enjoys immunity from every form of legal process. Inviting as that argument may seem, we are not persuaded by it.

In the first place, the fountain and origin of the powers, privileges and immunities of all organs and institutions of COMESA is the Treaty itself. By paragraphs 4 and 5 of article 174, the privileges and immunities of the PTA Bank were fossilised as at December 1984. At that date its privileges and immunities were restricted to process in the courts of member States only, and could not extend to this Court. In the second place, the Treaty does not provide for the existence of a rogue organ or institution flouting with impunity all the rules of the organisation from which it derives birth. Thirdly, any privileges and immunities that the PTA Bank, by an amendment of its Charter, assumed after

1984 are *ultra vires* the Treaty that breathed life into the bank. How can subsidiary legislation have pre-eminence over the parent constitution when it is in conflict with that constitution? If indeed, the PTA Bank's Charter was amended by the board of governors in respect of article 42 paragraph 1, to confer upon the bank "immunity from every form of legal process" then that amendment was *ultra vires* article 174 of the Treaty, which has not been amended.

It is a well-known principle of law that an international organization cannot confer on itself privileges and immunities to be granted to it by its member states. The organization may set out the privileges and immunities that it considers necessary, which can only be given the force of law in the territories of its member states by the member states themselves. Article 42 of the Charter of the PTA Bank is only intended to describe the type of privileges and immunities that are to be conferred upon the PTA Bank, and article 43 then goes on to provide that these privileges and immunities shall be conferred not by the bank upon itself, but by those who can do so, namely, the member states. In Kenya, for instance, it is the Privileges and Immunities (Eastern and Southern African Trade Development Bank) Order, 1991, that conferred privileges and immunities on the PTA Bank and certainly not article 42 of the Charter of the PTA Bank or any amendments made to it by the board of governors of the PTA Bank. That the board of governors of the PTA Bank has itself, the right to confer privileges and immunities on the bank, which has the force of law in the member states, is, therefore, a fallacy. The amended article of the Charter of the PTA Bank purporting to confer privileges and immunities upon itself, confers no privileges and immunities that have the force of law within COMESA. They can only be given the force of law in the COMESA member states if the member states themselves provide for it in their national laws.

Lastly, paragraph 6 of article 174 of the Treaty, for the avoidance of doubt, declares that:

> "6. Any references in the agreements referred to in paragraph 5 of this Article to the Preferential Trade Area or any officer or authority thereof shall have the effect as if references therein were substituted by the Common Market and the corresponding officer or authority thereof".

This emphasises the continuance of the PTA Bank as an institution of COMESA though autonomous. But the PTA Bank does not exist in the air. It is composed of its governors, officers and employees.

Article 43 paragraphs 3 and 4 of the bank's Charter recite that:

> "3. The Bank, its property and assets shall enjoy immunity from all legal process except in so far as in any particular case it has, through the President, expressly waived its immunity: provided however that no waiver of immunity shall extend to any measure of execution.
>
> 4. The principal as well as regional offices of the Bank shall be inviolable. The property and assets of the Bank shall be immune from search, requisition, expropriation, and any other form of interference, whether by legislative, executive, judicial or administrative action".

It bodes well to remember that when these privileges and immunities were conferred on the PTA Bank, the only courts in existence were the national courts of the member states comprising COMESA and the Tribunal established under article 10 of the PTA Treaty of 1982. Although a Court of Justice had

been decreed to be one of the principal organs of the Common Market (article 7 of the Treaty Establishing COMESA) it was still nascent.

The jurisdiction of the COMESA Court of Justice derives not from the rules of the Court of Justice, as the PTA Bank erroneously assumes, but from the Treaty establishing the Common Market for Eastern and Southern Africa itself.

Article 7 paragraph 1 reads:

> "1. There shall be established as organs of the Common Market:
>
> (*a*) the Authority;
>
> (*b*) the Council;
>
> (*c*) the Court of Justice; …".

And paragraph 4 of article 7 of the Treaty, which recites that "[t]he organs of the Common Market shall perform their functions and act within the limits of the powers conferred upon them by or under this Treaty", would be superfluous if neither the national courts nor this Court had jurisdiction over the organs of the Common Market. Article 19 of the COMESA Treaty, which provides for the establishment of this Court emphasises that "the Court of Justice established under article 7 of the Treaty shall ensure the adherence to law in the interpretation and application of this Treaty". The question arises: who is likely to flout the adherence to law in the interpretation and application of the Treaty except its member states, organs, and institutions, inclusive of the PTA Bank, and their employees?

To put the issue beyond doubt article 27 of the Treaty entitled: "Jurisdiction over claims by common market employees and third parties against common market or its institutions", encapsulates the intendment of the framers of the Treaty, by providing that:

> "1. The Court shall have jurisdiction to hear disputes between the Common Market and its employees that arise out of the application and interpretation of the staff rules and regulations of the secretariat or *the terms and conditions of employment of the employees of the common market* (emphasis added).
>
> 2. The Court shall have jurisdiction to determine claims by any person against the common market or its institutions for acts of their servants or employees in the performance of their duties";

vests in this Court, jurisdiction not only to determine claims by employees of institutions of the Common Market against their employers, but also jurisdiction over claims by any person against the Common Market or an institution or employee thereof in the performance of any act within the scope of their employment.

It is not susceptible to doubt that the PTA Bank is an institution of the Common Market as illustrated above. Being an institution of the COMESA Treaty, the PTA Bank is not exempt from the jurisdiction of the COMESA Court. Its Charter is subservient to the Treaty, which endowed this Court with jurisdiction over all organs and institutions of the Common Market inclusive of their employees.

Far from articles 29 and 30 of the Treaty, which confer limited jurisdiction on national courts in disputes to which the Common Market is a party, being derogations from the powers of this Court, they underscore the fact that de-cisions of this Court shall have precedence over decisions of national courts in the interpretation of the provisions of this Treaty. For an illustration of the

application of such articles see *Customs and Excise Commissioners v APS Samex (Hanil Synthetic Fibre Industry Co Ltd, third party)* [1983] 1 All ER 1042.

The reasons for granting immunity from judicial process in national courts of member states of international organisations were succinctly stated in *Broadbent v Organization of American States* 202 US. App. DC 27, 628F. 2d 27 (D.C. Cir. 1980) at 34–35 thus:

> "The United States has accepted without qualification the principles that international organisations must be free to perform their functions and that no member state may take action to hinder the organisation. The unique nature of the international civil service is relevant. International officials should be as free as possible, within the mandate granted by the member states, to perform their duties free from the peculiarities of national politics. An attempt by the court of one nation to adjudicate the personnel claims of international civil servants would entangle those courts in the internal administration of those organisations. Denial of immunity opens the door to divided decisions of the courts of different member states passing judgment on the rules, regulations, and decisions of international bodies. Undercutting uniformity in the application of staff rules or regulations would undermine the ability of the organization to function effectively".

It is precisely to obviate injustice to an international civil servant in such circumstances or happenstance that most large international organizations have established administrative tribunals with exclusive authority to deal with employee grievances. The World Bank has established an administrative tribunal to resolve employees' claims based on employment contract disputes. Article 179 of the EEC Treaty and article 152 of the Eurotom Treaty provide that the Court of Justice is to have jurisdiction in any dispute between the Community and its servants within the limits and under the conditions laid down in the Staff Regulations or the Conditions of Employment. (See *Halsbury's Laws of England* (4 ed) paragraph 2.97 for "persons covered".) In similar vein, article 27 of the Treaty of the Common Market (*supra*) confers jurisdiction on this Court to "hear disputes between the common market and its employees that arise out of the staff rules and regulations of the secretariat or the terms and conditions of employment of the employees of the common market".

At first blush, it appears as if the provisions of paragraphs 4 and 5 of article 174 which provide in relevant part as follows:

> "4. The rights and obligations arising from certain agreements concluded under the provisions of the PTA Treaty shall not be affected by the provisions of this Treaty.
>
> 5. For the purposes of paragraph 4 of this Article, the agreements referred to in that paragraph are:
>
> (*a*) the Agreement on Privileges and Immunities adopted by the PTA member states in December 1984; …"

deprive this Court of jurisdiction to entertain judicial proceedings in cases in which the PTA Bank is a party. But a careful perusal of article 43 of the bank's Charter discloses that the bank's immunity from legal process is limited to national courts of member states.

Paragraph 1 of article 43 of the PTA Bank's Charter, reads:

> "To enable the Bank to achieve its objectives and perform the functions with which it is entrusted, the status, capacity, privileges, immunities and exemptions set out in paragraphs 3 to 10 of this Article shall be accorded with respect to the Bank in the territory of each member state".

Paragraphs 3 and 4 of the article upon which the PTA Bank relies for immunity from process are, therefore, restricted in operation to the jurisdiction of national courts of member states and have no application to the jurisdiction conferred on the international Court of COMESA by articles 19, 23, 24, 25, 26, 27, 29, 30 and 32 of the Treaty Establishing the Common Market for Eastern and Southern Africa. Article 27 of the Treaty is entitled: "Jurisdiction Over Claims by Common Market Employees and Third parties Against the Common Market or its institutions". We are satisfied that the title of this article is indicative of the intention of the framers of the Treaty to provide a forum to both employees of the Organs of the Common Market including the Secretariat and employees of the Institutions of the Common Market, including the PTA Bank, in disputes that arise out of the application and interpretation of the staff rules and regulations of the secretariat, or in respect of the terms and conditions of employment of the employees of the Institutions of the Common Market.

COMESA, not unlike a national government is comprised of several organs and institutions. As in government, public office means employment in the civil service or in any other public sector capacity. Similarly those who work at the institutions of the Common Market, whether employed at the Secretariat or by an organ or institution of the Common Market, are also employees of the Common Market. They are international public officers in the COMESA civil service. The acts and decisions of all these organs and institutions, although they may be autonomous, are subject to challenge in this Court, which according to article 19 of the COMESA Treaty, is to ensure the adherence to law in the interpretation and application of the Treaty. It is for these officers, who may not have recourse to national courts, because of the immunity from process that their employers enjoy, for whom article 27 of the Treaty offers an avenue for redress. To interpret article 27 in such a way as to deprive them of access to this Court could not achieve the effect of striking down the mischief which the framers of the Treaty were desirous of obviating.

Finally, it was contended that Martin Ogang held the post of President of the PTA Bank because he was a director of the bank and, therefore, not an employee of the bank as perceived under article 27 of the Treaty. It is true that, generally speaking, directors are agents of their company. But directors may have a contract of employment with the company, such as service directors and managing directors. It is clear to us that remuneration of directors for their service, may be due either under a contract of employment, in which case if the contract is wrongfully terminated a cause of action will lie at the director's instance; or determined by the general meeting in which case no action lies for termination of the office. But Martin Ogang, as Chief Executive of the PTA Bank, was not a director but acted in pursuance of the directions of the board of directors (see article 30 of the Charter). As such, he was in the service of the PTA Bank and has a right to a cause of action if his contract is wrongfully terminated.

From the provisions of article 27 (*supra*) it is evident that the Treaty, in granting this Court jurisdiction to determine claims by any person against the Common Market or its institutions afforded Martin Ogang a right of action against the PTA Bank.

As to the *locus standi* of Martin Ogang, there are no Rules of the Court of Justice of the Common Market for Eastern and Southern Africa that have been breached, so as to deny Martin Ogang *locus standi* in this matter. He alleges the

Bank breached the rules of natural justice and he has thereby suffered damage. Whether he can prove what he alleges is another matter altogether.

This application was supposed to have been heard on 22 March. On that day counsel for the PTA Bank applied for a deferment of the application on the ground that leading counsel was somewhere in the Middle East and would only be available after 11:00am on 23 March 2001. The Notice stipulating the date and time of hearing of this application was served on the legal representatives of the parties as early as 23 January 2001. This Court has a very tight schedule arising from the fact that it is composed of judges from different countries, and we consider the omission of leading counsel to appear on the scheduled date to argue the application, and the refusal of his juniors to move the court in terms of the application, a slight on this Court. It is for counsel to wait on the court and not the court to wait on counsel. Such a situation is unacceptable and one for which the party asking for deferment must be mulcted in costs.

Accordingly, the PTA Bank is ordered to bear the wasted costs of the abortive hearing on 22 March 2001.

The Court is satisfied that the application on both issues, is misconceived and is without merit and the same is accordingly dismissed with costs.

(Nyankiye, Kalaile, Sakala and Ogoola LJJ concurred in the judgment of Korsah LJ.)

For the Applicant:

E Torgbor, Prof EF Ssempebwa, D Mulira and *WD Mungómba*

For the Respondent:

J Ochieng' Oduol instructed by *Ochieng' Oduol and Co*

Express (K) Ltd v Patel
[2001] 1 EA 54 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	29 June 2001
Case Number:	158/00
Before:	Kwach, Tunoi and Shah JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Bailment – Loss of bailed chattels – Theft by security guards – Whether bailee responsible for illegal actions of employees of contracted security firm.

[2] Practice – Ex parte *judgment – Application to set aside – Leave to defend suit – Factors to be considered in deciding application – Whether explanation given was sufficient – Order IXA, rule 10 – Civil Procedure Rules.*

Editor's Summary

In a plaint filed on 2 December 1996, the Respondent claimed the sum of KShs 4 893 512-80 with interest and costs being the value of gunny bags belonging to her, which she alleged had been stolen from the Appellant's custody. The Appellant was served with the summons and plaint on 17 January 1997 but failed to enter appearance or file a defence. On the Respondent's application,

judgment in her favour in default of appearance and defence was entered on 28 January 1997. When her advocates moved to execute the judgment, the Appellant applied for stay, setting aside of the default judgment and leave to enter and defend the suit. Its grounds for doing so were that the contract of bailment entered into between it and the Respondent exempted it from liability for theft except in certain limited circumstances and that it had forwarded the summons and plaint to its insurers in a timely manner and hence had not delayed in taking appropriate action. Documentary evidence was also annexed to the application showing that persons employed by the firm providing security at the Appellant's stores had been charged with the theft of the gunny bags. The application was dismissed, whereupon the Appellant appealed to the Court of Appeal.

Held – (Kwach JA dissenting) In this instance, the Judge had not so misdirected himself in rejecting the Appellant's explanation of its failure to file a defence as to justify the Court interfering with his exercise of that discretion; *Shah v Mbogo* [1967] EA 116 applied. Where a bailee is looking after a bailor's property and his servants or agents steal the goods, the bailee master is liable; *Morris v Martin and Sons Ltd* [1965] 2 All ER 725 followed. With regard to the Appellant's intended defence, the Judge had not erred in considering it and finding that it failed to show any merit. The appeal would be dismissed.

Per curiam: A judge has the unfettered discretion to decide whether or not to set aside a judgment given *ex parte.*

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kingsway Tyres and Automart Ltd v Rafiki Enterprises Ltd [1995] LLR 2478 (CAK)

Kisumu Trading Stores v Shah [1965] EA 314

Securicor (K) Ltd v EA Draper Ltd [1985] LLR 1432 (CAK)

Shah v Mbogo [1967] EA 116 – **AP**

Tree Shade Motors Ltd v D T Dobie and Co (K) Ltd [1998] LLR 691 (CAK)

United Kingdom

Day v RAC Motoring Services Ltd [1999]1 All ER 1007

Farden v Richter [1989] 23 QBD 124

Hopton v Robertson [1884] WN 77

Llyod v Grace Smith and Co 1911/13 All ER 51

Morris v CW Martin and Sons Ltd [1965] 2 All ER 725 – **F**

Richardshon v Nowell BTLR 445

United Manufacturing Co Ltd v Wafco Ltd [1974] EA 233

Judgment

TUNOI JA: The Appellant, the unsuccessful Defendant in the superior court, is a limited liability company incorporated in Kenya and carrying on the business

of, *inter alia*, bonded and duty paid warehousemen. The Respondent, the Plaintiff in the suit, is a business woman dealing in the procurement and sale of jute gunny bags.

By a plaint dated 29 November 1996, it is averred that on or about 30 March 1995, Pride International Limited delivered to the Appellant new jute gunny bags to be kept safely in bond and taken care of by the Appellant and to be returned to it on demand on payment for its services. It is not in dispute that Pride International Limited transferred ownership in the gunny bags to the Respondent. It is now common knowledge that the Appellant did not re-deliver them to the Respondent but that they were stolen and/or lost from the Appellant's warehouse on two different occasions. The value of the bags was KShs 4 753 000. The Respondent then sued for the recovery of this sum together with the storage charges paid to the Appellant.

The Appellant did not enter any appearance and the Respondent promptly secured judgment in respect of the liquidated claim. The Appellant never woke up from its deep slumber until auctioneers moved in to attach its property in a bid to recover the decretal amount.

In a summons expressed to be brought under Order IXA, rule 10 of the Civil Procedure Rules, the Appellant moved to set aside the *ex parte* judgment entered against it and for leave to defend the suit on its merits. The Claims Manager of the Appellant in its affidavit in support of the application deponed as follows:

> "3. That we seek leave of this Honourable Court to be allowed to defend this claim on merits for the following grounds:
>
> The Plaintiff's claim is for loss of goods due to alleged breach of contract and/or negligence on our part as bailors.
>
> The said Contract was in writing and condition Number 2 of the said Contract expressly exempted ourselves from any loss or damage of goods by *inter alia* theft or burglary.
>
> The Plaintiff's goods were stolen and/or burglarised from our premises which theft is the subject of criminal case number 130 of 1996 in which security guards employed by Collingdale Security were arrested and charged and the case is pending in Court.
>
> The Defendants did not disclose and declare the exact value of the bags at the time of delivery and storage and therefore the value is in dispute".

The Learned Judge, Keiwua J (as he then was) in a well considered ruling held that the Appellant had failed to explain to the Court why there was a delay in entering appearance, as the insurers who were alleged to have delayed to relay instructions to counsel had not come forward to say so. As to the defence, the Learned Judge was satisfied that the Appellant had not shown any defence on merit. He dismissed the application. Hence this appeal.

The Appellant admitted that it was served with the summons and the plaint on 17 January 1997. It forwarded them to its insurance brokers four days afterwards and knew nothing as to what happened to them until the warrants of attachment were issued against it. The insurers who obviously were directly affected by the consequence of the suit ought to have explained the cause of the delay. The fact that it failed to do so, the Learned Judge cannot be faulted when he held :

> "In view of the fact, that the explanation as to why steps were delayed, has not come from those who were responsible for the delay namely the insurers, it is impossible to

> say the hardship now faced by the Defendant in this respect is attributable to accident or inadvertence or mistake. As the court's discretion is not intended to assist a person who has sought to delay the cause of justice, I am not in the foregoing circumstances persuaded that the delay in question was not deliberate".

In reaching this conclusion, the Learned Judge was guided by the principles enunciated by *Shah v Mbogo* [1967] EA 116, the *cause celebre* of this Court. He had an unfettered discretion to set aside or not and it cannot be said with any colour of justification that it was a misdirection on his part to reject the explanation of the delay from the Appellant.

When a chattel entrusted to a custodian is lost, the onus of proof is on the custodian to show that the loss did not happen in consequence of his neglect to use such care and diligence as a prudent or careful man would exercise in relation to his own property. *Halsbury's Laws of England* (4 ed) Volume 2 710–717. The loss or theft of the gunny bags is not in issue. It happened not once but twice; and moreover, successively within a short spell of time. The Appellant was, in my view, utterly negligent. It had knowingly maintained thieving guards. Since it had entrusted the duty of care of the gunny bags to such guards whose criminal behaviour and propensity it knew, certainly it cannot maintain innocence. The Appellant must be answerable for the manner in which those agents or servants carried out duty. It certainly, in my view, had no valid defence to the suit. See *Securicor (K) Ltd v EA Draper Ltd* [1985] LLR 1432 (CAK).

I think and I hold that this appeal is without merit and I would dismiss it with costs.

SHAH JA: This is an appeal against the ruling of the superior court (Ole Keiwua J as he then was) whereby the Learned Judge declined to set aside an ex parte judgment entered against the Appellant, Express Kenya Ltd.

The facts giving rise to this appeal are as follows. By a plaint dated 29 November 1996, the Respondent, Manju Patel, sought judgment against the Appellant for a liquidated sum of KShs 4 893 512-80. The cause of action arose out of an alleged breach on the part of the Appellant of a contract of bailment between the Appellant and the Respondent. A company known as Pride International Limited had on 30 March 1995, entrusted to the Appellant a total of 49 000 gunny bags for safekeeping in bond. The said gunny bags were warehoused in the Appellant's premises referred to as Sorghum 6 Store in Nairobi. The gunny bags were packed in 499 bales. 100 bags were stored loose. On 11 January 1996, the ownership of 381 bales and 100 loose bags was transferred to the Respondent by Pride International Ltd and on 13 January 1996 the ownership in 118 bales was transferred by Pride International to the Respondent so that the Respondent was at the material time the owner of the said goods, that is, 49 000 gunny bags. The bailment was for a consideration. It was not gratuitous. The Respondent was to pay KShs 15 per bale per week for storage charges.

The said warehouse was guarded at all material times by guards employed by an entity known as Collingdale Security which was employed by the Appellant. The said warehouse was burgled on two occasions, first between 10 and 12 February 1996 and second on the night of 16/17 February 1996. The fact of the two burglaries was reported to the police by the Appellant and the abstract

as supplied to the Appellant (who was the complainant) by Industrial Area Police Station reads as follows where material:

> "The complainant reported that on the 10 February 1996 at about 10:45am, the warehouse Number S6 was closed by the warehouse clerk and went home, leaving the place guarded by the security guards from Collindale Security firm. On the 12 February 1996 the warehouse was opened and found it had been broken into through the main door and stole (*sic*) 18 bales and 100 loose gun (*sic*) bags.
>
> On 17 February 1996 the warehouse was opened and found it had been broken on the night of 16 February 1996 through the rear side door where they stole 163 bales valued at KShs 3 086 937.
>
> Scene was visited and there was no recovery. Case 'PB' (meaning pending before court)".

The Respondent's claim consisted of the particulars of the goods warehoused and an assertion of failure to deliver (or redeliver) the same to her.

The summons issued by the superior court was served on the Appellant, together with a copy of the plaint, on 17 January 1997. The Appellant forwarded the same to its insurance brokers on 20 January 1997 for onward transmission to the insurer, Insurance Company of East Africa Limited (the insurer). The insurer did not enter appearance although it may have been bound to do so under its subrogation rights, whereby the insurer would step into the shoes of the insured and would take over the conduct of defence of any claim (for example claim for loss such as would be insured, or such as in which it may have an insurable interest) made against the insured, in this case the Appellant.

The insurer did not enter any appearance and the Respondent moved the superior court for entry of judgment in respect of her liquidated claim. It was only after execution was levied against the Appellant that the Appellant moved the superior court to apply to have the judgment set aside. The affidavit in support of the application to set aside the judgment was sworn by Mr James Mugambi, the Claims Manager of the Appellant company. There is absolutely no mention in the affidavit sworn by Mr Mugambi as regards what happened to the summons and the copy of the plaint after the same were despatched to the insurance brokers for action. There is no mention therein of any factor which caused the delay in filing the memorandum of appearance, which was not filed at all. It was only after execution of the decree that the Appellant lodged its chamber summons, on 19 February 1997, by which summons it applied for stay of execution of the decree and setting aside of the *ex parte* judgment.

The application in the superior court was heard by Ole Keiwua J (as he then was) who with reference to the delay in entering appearance or filing defence said:

> "It is submitted that the Defendant (the Appellant here) did not explain to the court the delay in filing defence as the insurers who are alleged to have delayed instruction to counsel have not come forward to say so. I agree with the Plaintiff (the respondent here) that this Court cannot accept any information on behalf of those insurers unless they themselves have come forward and they have not done so".

I discern no misdirection whatsoever on the part of the Learned Judge when he criticised the insurer for not coming forward to say what caused the non-filing of the memorandum of appearance or defence. The Appellant has not set out the reason (if any) for non-filing of the memorandum of appearance on the part of the insurer. When the service of the summons is proper, and here there was no suggestion that it was not so, any delay in entering appearance must be

satisfactorily explained as to entitle the Applicant to seek the exercise of undoubted discretion of the court, to set aside the judgment. In the absence of any explanation as regards the delay, the Learned Judge was absolutely right in saying what he said as pointed out earlier by me. But that is not all. Not only the insurer has failed to show what was the cause of the delay, but also, the Appellant has not stated what caused the delay in entering appearance. Judgment entered properly cannot be set aside on the mere say so of the Applicant. The Applicant has to explain, plausibly, the cause of such delay. The Appellant's application lacking this very basic attribute, was bound to fail and the Learned Judge cannot be faulted for what he said, in that regard.

Nevertheless the Learned Judge considered the issues of the defences available to the Appellant, as he was bound to do and in my view, he did a commendable job. He considered at length the defences raised by the Appellant in its proposed defence.

It is trite that once the judgment is regular, before it is set aside, the Applicant ought to show merits of the defence. In the Supreme Court Practice, 1976, Volume I, it is stated as follows:

> "Regular judgment. If the judgment is regular, then it is an (almost) inflexible rule that there must be an affidavit of merits, i.e. an affidavit stating facts showing a defence as the merits (*Farden* v Richter [1989] 23 QBD 124). 'At any rate where such an application is not thus supported, it ought not to be granted except for some very sufficient reason' *Per Huddleston, B.* at 129 approving *Hopton v Robertson* [1884] WN 77, reprinted 23 QBD p 126(*n*); and see *Richardson v Nowell* BTLR 445)".

In my view, the rule as regards showing merits in defence is a golden rule. The court ought to be satisfied that the Applicant is not applying to set aside a regular judgment with a view to delaying the inevitable.

The Appellant had admitted in the affidavit sworn in support of the application to set aside the judgment that gunny bags "were stolen and/or burglarised from our premises which theft is the subject of criminal case number 130 of 1996 in which the security guards employed by Collingdale Security were arrested and charged and the case is pending in Court".

The fact of theft or burglary was, therefore, not in issue. It was also not in issue that 49 000 gunny bags were stolen from the Appellant's warehouse during the course of two burglaries that took place in February, 1996. It is also not in dispute that the persons responsible for the theft were guards employed by Collingdale Security which security company (or firm – it is not known) was engaged by the Appellant to guard its premises.

It was stated clearly, and in no uncertain terms, by this Court in the case of *Securicor (K) Ltd v EA Draper Ltd* [1985] LLR 1432 (CAK) as follows:

> "And paragraph 8 of the agreed statement of facts clearly shows that Moses Aila stole the goods 'while purporting to act as such nightguard' i.e. he took advantage of his presence at the godown on duty to steal the property. In our respectful view the Learned trial Judge quite properly applied to these facts the principle stated in *Lloyd v Grace Smith and Company* 1911/13 All ER 51:
>
> > 'If an agent commits a fraud while acting or purporting to act in the course of the business which he is authorized to transact on account of his employer the principal, although innocent of the fraud, is liable for the fraud of the agent whether the fraud results in a benefit to the principal or not'".

This Court in the case of *Securicor (K) Ltd* (*supra*) quoted with approval the English case of *Morris v CW Martin and Sons Ltd* [1965] 2 All ER 725 wherein Lord Denning MR puts it as follows:

> "When a principal has in his charge the goods or belongings of another in such circumstances that he is under a duty to take all reasonable precautions to protect them from theft or depradation, then, if he entrusts that duty, to a servant or agent, he is answerable for the manner in which that servant or agent carries out his duty. If the servant or agent is careless so that they are stolen by a stranger, the master is liable. So also, if the servant or agent himself steals them or makes away with them".

The exemption clause relied upon by the Appellant to deny its liability reads as follows:

> "2. The company (the Appellant here) shall not be liable for any loss or damage of the goods by burglary, theft, fire, dampness, fungi, vermin or otherwise howsoever caused unless the same shall be directly caused by the negligent or wrongful act or omission of the company or any servant of the company within the scope of his employment; …".

Quite clearly the security guards who stole the gunny bags were servants or agents of the Appellant. A bailee looks after a bailor's property himself, by his servants or his agents and as pointed by Lord Denning MR in the case of *Morris v Martin* (*supra*), if the servant or agent steals the goods the master is liable.

In the case *United Manufacturing Company Ltd v Wafco Ltd* [1974] EA 233 the majority of this Court's predecessor held that the bailee would be vicariously liable for its employees' acts. Mustafa JA said at 243:

> "I think it is clear that the respondent's employees were engaged in bonded warehouse to safeguard and look after the goods stored by the Appellant. In stealing or helping to steal such goods while in their custody they would clearly be acting in the course or within the scope of their employment, albeit in unlawful manner. The respondent would be liable for its employees' acts".

In the *United Manufacturers v Wafco* case the finding of probable theft was made by Court after re-evaluating the evidence but in this case the Appellant itself admits that the security guards employed by its own security company stole the goods. I see, therefore, no defence on liability of the Appellant and I think it would be futile to go through a trial in the face of that admission. There is no cogent defence on liability. I would not want to waste judicial time in search of a defence that does not exist.

I come now to the issue of value of the goods stolen. It is not in doubt that the Respondent was the owner of the goods. She deponed to the fact that she paid KShs 97 per gunny bag. That would place the value of stolen gunny bags at KShs 4 753 000. That is the amount she claimed. She brought forward evidence to show that she could have purchased such bags at about KShs 94-65 per bag after obtaining several quotes from suppliers or sellers of gunny bags. Quite obviously that evidence was brought forward to show what was the market value of gunny bags as at the date of theft. Also I do not see why the Respondent should pay storage charges when the goods were stolen. She was entitled to a refund thereof and the Learned Judge quite properly allowed that item as loss suffered by the Respondent.

I revert to what the Learned Judge said as regards his discretion to set aside a judgment. I have said earlier that the Learned Judge was exercising his undoubted discretion when considering the fate of the application before him.

I would hesitate to interfere with the exercise of that discretion. More so because I agree fully with the Learned Judge when he said:

> "In view of the fact, that the explanation as to why steps were delayed, has not come from those who were responsible for the delay namely the insurers, it is impossible to say the hardship now faced by the Defendant in this respect is attributable to accident or inadvertence or mistake. As the court's discretion is not intended to assist a person who has sought to delay the cause of justice, I am not in the foregoing circumstances persuaded that the delay in question was not deliberate. Coupled with the absence of defence on merit, I am of the view that no purpose other than delay can be served by grant of unconditional leave to the Defendant and I dismiss the Defendant's application with costs to the Plaintiff".

But that is not all. The Learned Judge's findings are further supported by the decision in *United Manufacturers v Wafco Ltd* case (*supra*). Musoke JA in the *Wafco* case said:

> "As, on the evidence on record, only the servants of the respondent, either by themselves or in collusion with the Customs Officer could have stolen the goods in question, the position is governed by this Court's decision in *Kisumu Trading Stores v Shah* [1965] EA 314 …".

In the *Kisumu Trading Store* case (*supra*), the Court of Appeal for Eastern Africa pointed out that the employer is liable for fraud or crime committed by his servant in the course of his employment.

In this case in the face of admission by the Appellant that its own agents were thieves the defence of "no liability" cannot be relied upon by it.

I have considered all that was said by Mr *Okwach* in support of the appeal. At no stage did he attempt to explain what happened during the period when the summons was handed over to the insurance brokers and when the execution was levied.

For the reasons given by me both as regards the non-explanation of the delay and there being no good defence, I would dismiss this appeal with costs.

KWACH JA (dissenting):

(1) The purpose of the Judicial Oath

There was a time when this Court enjoyed the integrity of Caesar's wife. It was above suspicion. But that is now water under the bridge. Something has to be done to redeem the reputation and independence of this Court.

It is provided by section 63 of the Constitution of Kenya that:

> "63. A judge of the High Court (and the Court of Appeal) shall not enter upon the duties of his office until he has taken and subscribed to the oath of allegiance and such oath for due execution of his office as may be prescribed by Parliament".

The judicial oath which every Judge of Appeal takes on appointment is prescribed under section 2 of the Promissory Oaths Act (Chapter 100). It is in the following form:

> "I . . . . . do swear that I will well and truly serve the Republic of Kenya in the office of Judge of Appeal and that I will do justice in accordance with the Constitution of Kenya as by law established, and in accordance with the laws and customs of the Republic without fear or favour, affection or ill will. So help me God".

After the hearing of this appeal on 23 May 2001 a brief meeting was held in my chambers at which it was unanimously agreed that the appeal should be allowed and I was asked to prepare a draft judgment of the Court. It was the collective

view of all the three Judges that the Appellant had a good defence to the Respondent's claim and should be allowed to enter and defend unconditionally.

On Thursday 31 May 2001, shortly after 9:00am, my brother Shah JA came to my chambers and told me that he had changed his mind and suggested that the appeal should be dismissed. He said on reflection he did not think the Appellant had any defence at all to the claim. He tried to persuade me to agree to this but I refused. I felt bound by my judicial oath to stick to the decision which had been taken to allow the appeal. As I considered the decision irrevocable, I prepared a draft judgment of my own allowing the appeal which I circulated. On Thursday, 7 June 2001 late in the afternoon, my brother Tunoi JA sent me a draft of his own judgment with the following remarks: "I regret I have decided to write my own judgment as is shown here. Kindly consider and act accordingly".

Because of this new development, judgment could not be delivered on Friday, 8 June 2001, as originally scheduled and had to be put off until today. As I can see no reason in law why the original decision to allow this appeal should not stand, other than the might of the majority, I have decided to write a dissent in order to preserve the integrity of that decision for what it is worth, and strike a blow for the rule of law.

(2) The Case

Manju Patel, the Respondent (hereinafter called "the Plaintiff") filed a suit against Express Kenya Ltd, the Appellant, (hereinafter called "the Defendant") in the superior court claiming KShs 4 893 512-80 together with interest and costs, being the value of 499 bales of gunny bags belonging to the Plaintiff and alleged to have been stolen while in the custody of the Defendant as bailee. In all some 149 700 bags were said to have been lost.

The plaint was filed, on 2 December 1996. The Defendant was served with the summons and a copy of the plaint but it did not enter appearance or deliver a defence within the time stipulated under the Civil Procedure Rules. In the event, and on the application of the Plaintiff's advocates, judgment was entered in favour of the Plaintiff in default of appearance and defence on 28 January 1997 by the senior deputy registrar. When the Plaintiff's advocates moved to execute the decree the Defendant applied under Order IXA, rule 10 of the Civil Procedure Rules for a stay of execution, to set aside the default judgment and to be granted leave to enter and defend the suit.

The supporting affidavit was sworn by James Mugambi who was the Defendant's Claims Manager. He deponed *inter alia*:

> "(3) That we seek leave of this Honourable Court to be allowed to defend this claim on merits on the following grounds:
>
> (i) The Plaintiff is claim is for loss of goods due to alleged breach of contract and/or negligence on our part as bailors.
>
> (ii) The said contract was in writing and condition Number 2 of the said contract expressly exempted ourselves from any loss or damage of goods by *inter alia* theft or burglary.
>
> (iii) …
>
> (iv) The Plaintiff did not disclose and declare the exact value of the bags at the time of delivery and storage therefore the value is in dispute.
>
> (4) That we were served with the summons and plaint on 17 January 1997 and we forwarded the same to our Brokers on 20 January 1997 who would then forward them to our insurers for their action and therefore we did not delay and/or fail to take appropriate action".

Annexed to his affidavit was, among other documents, a draft defence. The Defendant denied allegations of negligence, disputed the value put on the bags by the Plaintiff, and also denied being liable for the loss under the express terms of the contract. The Plaintiff swore an affidavit in opposition to the Defendant's application and, for the first time, she went into great detail regarding the steps she had taken to fix the unit cost of each bag. After considering a number of quotations, obviously solicited for the purpose of the claim, she deponed that the price ranged between KShs 72 and KShs 101 per bag.

The application was heard by Ole Keiwua J (as he then was) and the Learned Judge dismissed all the defences raised by the Defendant in the proposed defence. He held that it was not open to the Defendant to dispute the value of the goods because the Plaintiff had averred in her plaint that she had paid Shs 4 753 000 for them. He rejected the Defendant's denial of negligence on the ground that the Defendant had failed and/or delayed to inform the Plaintiff about the theft. Yet there was an abstract from Industrial Area police station confirming that the incident was reported there by the Defendant and recorded in the Occurrence Book (O.B.). As a result of that report the police arrested a number of suspects who were subsequently charged with the theft of the bags. The persons charged with the theft were security guards employed by a security firm called Collinadale Security Ltd, a company contracted by the Defendant to guard its premises. If the goods had been stolen by the Defendant's own employees then the Defendant's liability as bailor would have been watertight, but the evidence here, at least at this stage, does not disclose any complicity of the Defendant or its employees in the break-in and theft. The Plaintiff's claim as pleaded cannot succeed unless she proves on a balance of probabilities that the Defendant was guilty of negligence, and therefore not entitled to rely on the exemption clause. It is absurd and a travesty of justice to suggest that the Defendant's case is so hopeless nothing can be said in its favour. In my opinion, even assuming for the sake of argument only, that a report was not made to the Plaintiff as alleged, that failure alone cannot, without more, deprive the Defendant of any legitimate defences it may have to the claim.

In the draft defence, the Defendant raised two defences. The first was that under the express terms of the General Conditions of Storage the Defendant was not liable for the loss or damage of the bags. In this regard the Defendant relied on Condition Number 2 which states:

> "(2) The Company shall not be liable for any loss or damage of the goods by burglary, theft, dampness or otherwise howsoever caused unless the same shall be directly caused by the negligent or wrongful act or omission of the company or any servant of the company within the scope of his employment".

It is clear from this clause that liability cannot arise simply by proving that the goods were lost or stolen. The Plaintiff must also prove that the loss or theft was caused by negligence or some wrongful act on the part of the Defendant or its employee acting within the scope of his employment.

The other defence taken by the Defendant was that the value placed on the goods by the Plaintiff for the purposes of her claim was excessive and inflated and did not represent the actual pecuniary loss sustained by the Plaintiff. These are not frivolous defences and to hold that the Defendant has no reasonable defence to the claim is an aberration of the magnitude of Alice in Wonderland.

In the case of *Tree Shade Motors Ltd v D T Dobie and Co (K) Ltd* [1998] LLR 691 (CAK) this Court was dealing with an appeal from a decision of the

superior court dismissing an application by the Appellant to set aside a default judgment. The Judge did not consider the draft defence in arriving at his decision. This Court said:

> "Learned Judge did not look at the draft defence to see if it contained a valid or reasonable defence to the Plaintiff's claim. Where a draft defence is tendered with the application to set aside the default judgment, the court is obliged to consider it to see if it raises a reasonable defence to the Plaintiff's claim. If it does, the Defendant should be given leave to enter and defend. That is what this Court decided in the case of *Kingsway Tyres and Automart Ltd v Rafiki Enterprises Ltd* [1995] LLR 2478 (CAK)".

The Court of Appeal in England considered the factors to be taken into account in an application to set aside a default judgment in the case of *Day v RAC Motoring Services Ltd* [1999] 1 All ER 1007. On 5 November 1993 the car in which the Plaintiff and her husband were travelling broke down on the way to Deal and they called the Defendant. The Defendant sent a pick-up truck which took them back to London, but on leaving the vehicle, the Plaintiff lost her balance and fell onto the ground, thereby sustaining personal injuries. The Plaintiff alleged that the accident happened because she was required to squeeze between the driver's seat and the side of the vehicle to get out and caught her clothing on a nail, and on 4 November 1996 she issued proceedings against the Defendant claiming damages for negligence. The parties' solicitors agreed to allow a general extension of time for the filing of the defence, that agreement to be determinable on 14 days' notice, and on 8 October 1997 notice was given requiring the defence to be filed by 22 October. However, owing to a muddle no defence was served and on 30 October the Plaintiff entered judgment in default. The District Judge dismissed the Defendant's application to set aside the judgment and the Defendant appealed to the Judge. The Judge held that there was no real likelihood that the defence, a draft of which was exhibited to the affidavit evidence before him, would succeed, since there was nobody from the Defendant who could, with certainty, gainsay what the Plaintiff said as to the circumstances of her fall, and dismissed the appeal. The Defendant appealed.

The Court, allowing the appeal, held that when considering whether to set aside a judgment obtained in default of defence, the court did not need to be satisfied that there was a real likelihood that the Defendant would succeed, but merely that the Defendant had an arguable case which carried some degree of conviction. The court should, however, be very wary of trying issues of fact on affidavit evidence where the facts were apparently credible and were to be set against the facts being advanced by the other side, since choosing between them was the function of the trial Judge, not the Judge on the interlocutory application, unless there was some inherent improbability in what was being asserted, or some extraneous evidence which would contradict it. It followed, that the Judge had applied the wrong test. Moreover, he had also erred in the application of that test in that his evaluation of the Defendant's case was plainly wrong.

As regards the Defendant's failure to enter an appearance and file a defence, the Learned Judge rejected the explanation given by James Mugambi in his affidavit on the ground that the failure should have been explained by the insurers, not by an employee of the Defendant's. With respect, I think Mugambi was the right person to explain what had happened because he was the person who was served with process and accepted service on behalf of the Defendant. In the insurance industry it is not uncommon to require the insured

to transmit the summons and the plaint to the insurers to defend the action without even taking the precaution of entering an appearance. In the process delays are known to occur and default judgments obtained because the claims being largely subrogatory, the Defendant has no say in the appointment of the advocate to act in the matter. So, on this ground too, I think the Learned Judge wrongly exercised his discretion in coming to the conclusion that the delay was deliberate.

I am fully aware that this was a matter within the discretion of the Learned Judge, but in dismissing the Defendant's explanation for the delay in entering appearance and filing a defence and holding, in effect, that the Defendant did not have a valid defence to the claim, there is no doubt in my mind that the Learned Judge erred and this Court ought to interfere with his exercise of discretion. The defences put forward by the Defendant cannot be said to be a sham. Besides, the explanation given by the Defendant for failing to enter appearance appears to me not only plausible but also believable.

For these reasons, I would allow this appeal, set aside the ruling and order of Ole Keiwua J dated 23 April 1997 and substitute therefor an order allowing the Defendant's application dated 19 February 1997, and set aside the default judgment entered on 28 January 1997 against the Defendant. I would grant leave to the Defendant to enter and defend and to file its defence within 14 days from today. I would award the Defendant the costs of this appeal and in the court below.

As regards the decretal amount which has been paid over to the Plaintiff, the Defendant is entitled to an order for restitution under section 91 of the Civil Procedure Act (Chapter 21).

(3) The Final Order

As, however, Tunoi and Shah JJA are of the opinion that there is no merit in this appeal, there will be a majority judgment dismissing it with costs.

For the Appellant:

Information not available

For the Respondent:

Information not available

Fina Bank Ltd v Ronak Ltd
[2001] 1 EA 65 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	3 August 2001
Case Number:	330/00
Before:	Gicheru Tunoi and Owour JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Mortgage – Interest – Provision reserving the chargee's right to charge and vary interest – Whether it is necessary to specify the exact rate of interest.

[2] Mortgage – Statutory power of sale – Exercise of statutory power of sale – Circumstances in which the court may issue an injunction to restrain the exercise of statutory power of sale.

Editor's Summary

By two separate charges, S and M charged their properties to the Appellant as security for credit facilities extended to Ronak Ltd by the Appellant. When, upon Ronak Ltd's default, the Appellant sought to exercise the power of sale reserved in its favour by the charges, Ronak Ltd, S and M instituted actions against the Appellant, founded, *inter alia*, upon the allegation that the amount demanded by the Appellant from Ronak Ltd was in excess of what was properly due to it. They also applied for an interlocutory injunction to restrain the Appellant from selling the charged properties until the hearing and determination of the suit. The High Court granted the interim injunction sought, principally on the ground that the charge documents did not expressly state the rate of interest the Appellant could charge. On appeal.

Held – As the charge documents which were in evidence before the High Court expressly reserved, in favour of the Appellant, the right to charge interest at variable rates in its absolute and sole discretion, the contractual relationship between the parties could not be impeached merely because the exact rate or rates had not been specified. Accordingly the Respondents had not made out a case for injunctive relief in their favour and the order of the High Court had no sound basis. Appeal allowed.

No cases referred to in judgment

Judgment

GICHERU, TUNOI and OWUOR JJA: In granting the Respondents' application or injunction restraining the Appellant from advertising for sale and or otherwise disposing off land parcels Numbers LR 209/8737/1 and LR 209/13658/8 the Learned Commissioner of Assize, Miss JW Gacheche, in her ruling dated and delivered on 3 November 2000 observed that:

> "Upon perusal of the charge documents which form part of the exhibits that were attached to the replying affidavit, it is evident that although the bank reserved the right to verify the rate of interest, there was, however, no rate specified therein as either the base lending rate, minimum rate, or the commencing rate of interest for the facility. Had the rate been specified, then, I would have had no difficulty in finding in favour of the bank. As the matter now stands, the agreement which forms the basis for the contractual relationship between the parties hereto is silent on that particular issue, in which event the rate cannot be inferred by the court".

Yet, paragraph 1(b) of the charge documents in question is in effect couched in the following terms:

> "1. The Mortgagor hereby covenants and agrees with the Bank as follows:
>
> …
>
> (b) To pay (as well after as before any judgment) interest on all moneys and liabilities from time to time due or payable as aforesaid at such rate or rates per annum (not exceeding any maximum rate permitted by law) as the Bank may in its absolute and sole discretion from time to time decide with full power and authority to the Bank to charge different rates for different accounts and different transactions and such interest shall be calculated on daily balances and computed with monthly rates both before and after demand the interest owing at the end of each calendar

> month (or when agreed as payable in advance) being added to the amount owing so as to form an aggregate sum carrying interest at the rate aforesaid: Provided Always That The Bank shall not be required to advise the Customer or the Mortgagor prior to any change in the rate of interest so payable nor shall any failure by the Bank to advise the Customer or the Mortgagor as aforesaid prejudice in any way howsoever the recovery by the Bank of interest charged subsequent to any such Change".

And paragraph 7(a)(iii) of the said documents where relevant provides that:

> "7.(a) The mortgage debt and interest hereby secured shall immediately become payable without demand and the statutory power of sale of the Bank shall forthwith become exercisable without any further or other notice:
>
> …
>
> (iii) If the Mortgagor or Customer shall commit a breach of any of the covenants and agreements (including any covenants and agreements for the payment of mortgage debt or interest thereon)".

It is therefore clear that the terms "base lending rate, minimum rate or the commencing rate of interest" were not part of the agreement that formed the basis for the contractual relationship between the parties to this appeal. In so far as the rate or rates of interest on all moneys and liabilities from time to time due or payable to the Appellant by the Respondents did not exceed any maximum rate permitted by law, there can be no basis for faulting the contractual relationship between the Appellant and the Respondents in this regard simply because of the absence of a tag to such rate or rates.

At all the material times, the First Respondent, a limited liability company, maintained accounts with the Appellant for the purpose and in connection with its trade or business which comprised of importation of goods from overseas against orders from its customers. Payment for those goods was by way of local bills in favour of the First Respondent within a period of 120 days from the date of the statements to its customers. With the knowledge of the kind of business carried out by the First Respondent, the Appellant accorded the First Respondent credit facilities for that purpose. These facilities were pegged on the security of land parcels Numbers LR 209/8737/1 and LR 209/1365/8 situate in the City of Nairobi and jointly owned by the Second and Third Respondents who are the directors of the First Respondent and charged in favour of the Appellant. Each of the charge document in respect of each of the aforesaid property encapsulated the contractual relationship between the Appellant and the Respondents. These documents were annexed to the Appellant's replying affidavit to the Respondents' chamber summons taken out under Order XXXIX, rule 1(*a*) of the Civil Procedure Rules and dated and filed in the superior court simultaneously with their plaint on 27 July 2000. This chamber summons *inter alia* sought the relief of injunction against the Appellant as is indicated at the beginning of this judgment.

By a letter dated 30 November 1999 the Appellant formally demanded from the Second Respondent the payment of KShs 7 477 396-98 together with the interest thereon at the rate of 37% per annum with monthly rests on KShs 5 million and at the rate of 39% per annum with monthly rests on the balance with effect from 1 November 1999. The principal sum of KShs 7 477 396-98 was in respect of the First Respondent's outstanding indebtedness to the Appellant for which the Second and Third Respondents had

guaranteed repayment on demand. As at 12 March 2000, this indebtedness had risen to KShs 8 567 010-70. By a letter dated 20 March 2000 the Appellant gave the First Respondent the final notice regarding the repayment of the aforesaid sum of money with interest at the rate of 32% per annum with monthly rests of KShs 5 million and at the rate of 38% per annum with monthly rests on the balance with effect from 13 March 2000. The basis of this demand was that the First Respondent had failed to repay the advances referred to above with interest accrued therefrom in breach of the covenants contained in the charge documents.

The reaction of the First Respondent to this last demand was to commission a firm of certified public accountants to look at the statements of accounts in relation to the facilities accorded to it by the Appellant. Their report was to the effect that the amount due to the Appellant was KShs 3 839 746-58 and not KShs 8 567 010-70. To this end, the First Respondent offered to pay to the Appellant KShs 4 500 000 which the latter turned down and moved to realise its security by advertising for sale by public auction the two parcels of land referred to earlier in this judgment. On this account, the Respondents moved to the superior court seeking a restraining order against the Appellant in this regard.

At the hearing of this appeal on 11 July 2001, the submission of counsel for the Appellant, Mr *Kipkorir*, was that the Appellant had no obligation to set out the base interest rate. Indeed, the attempt by the superior court to vary the mortgage agreement in this regard was wrong. In any event, disputes over accounts were no basis for granting an injunction to the Respondents against the Appellant.

According to counsel for the First Respondent and for the Second and Third Respondents, Mr *Ogonji* and Mr *Khamala*, no interest rate was stipulated in the charge documents and the variation of interest rates was unenforceable, besides being onerous and oppressive.

As indicated earlier in this judgment, the interest rate or rates chargeable on the credit facilities accorded to the First Respondent by the Appellant on the security of land parcels numbers LR 209/8737/1 and LR 209/13658/8 as are set out above were encapsulated in paragraph 1(b) of the charge documents. The Respondents therefore had no reason for complaint in this regard and their application for injunction in the superior court restraining the Appellant from realising its security in the aforementioned parcels of land was without any sound basis. In the result, we allow this appeal, set aside the order of the superior court restraining the Appellant from advertising for sale and/or disposing of by sale or otherwise the two parcels of land set out above by public auction, private treaty or by whatever means, and award the cost of this appeal and of the chamber summons in the superior court to the Appellant. It is so ordered.

For the Appellant:

Information not available

For the Respondents:

Information not available

Gawo v Nairobi City Council
[2001] 1 EA 69 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 9 March 2001

Case Number: 345/00

Before: Tunoi, Shah and O'kubasu JJA

Sourced by: LawAfrica

Summarised by: HK Mutai

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[1] Practice – Pleadings – Plaint – Plaint not accompanied by verifying affidavit – Factors to be considered in striking out of suit – Whether affidavit supporting application by chamber summons serves the same purpose as a verifying affidavit – Order VII, rule 3(2) – Civil Procedure Rules.

Editor's Summary

Order VII, rule 3(2) of the Civil Procedure Rules clearly states that a plaint shall be accompanied by an affidavit sworn by the plaintiff verifying the correctness of the averments in the plaint. The condition is mandatory and leaves no room for an interpretation that would allow an affidavit in support of an application by chamber summons to serve the same purpose. Where, as in this instance, a suit had been struck out for failure to comply with this rule, any intended appeal did not raise an arguable point warranting the grant of the Applicants' application for a restraining order against the Respondents.

No cases referred to in judgment

Judgment

TUNOI, SHAH and O'KUBASU JJA: Before us is a notice of motion brought under rule 5(2)(b) of the Rules of this Court in which the Applicants are seeking the following orders:

> "1. That the respondents by themselves their servants or agents or otherwise howsoever be restrained from evicting the Applicants from unsurveyed parcels of land occupied by them for use of their Applicant Churches at Kariobangi within Nairobi City Area or from preventing the Applicants, their visitors, licensees, associates free entry to or exit from the said premises developed and used as Holy Trinity Church in Africa, and Nabii Christian Church of Kenya situated at Kariobangi within Nairobi City Area or from preventing the Applicants from conducting prayer services teaching or other social services at the said premises or from howsoever interfering with the Applicants peaceable possession, use and enjoyment of the said premises or from destroying Applicants buildings and developments standing and being thereat pending hearing and determination of the Applicants' intended Appeal.
>
> 2. Costs of this application be costs in the intended Appeal".

Mr *Wamalwa* for the Applicants submitted that the Learned Judge of the superior court ought not to have struck out the suit since paragraph 13 of the plaint clearly stated that there were no previous proceedings in any court between the parties. He went on to argue that damages would not be appropriate remedy for his clients as these were churches established for public good.

In opposing the application, Mrs *Kamande* for the First Respondent stated that it was a mandatory requirement that the plaint should be accompanied by a verifying affidavit. She went on to point out that there was another case (High Court civil case number 2930 of 1997) in which the Defendants are the same as in the present dispute, and that the suit land is the same.

On his part, Mr *Ngaah* for Second, Third and Fourth Respondents supported the submissions of Mrs *Kamande* and went on to say that the intended appeal was frivolous as it raised no substantive issues that were arguable. He asked us to dismiss this application with costs.

This dispute started in the superior court by way of a plaint dated 24 July 2000 and filed in court on 25 July 2000. We found it rather difficult to paraphrase the reliefs sought in that plaint and so we can do no better than reproduce what was stated therein which was as follows:

> "Reasons Wherefore the Plaintiffs prays for a declaration that the Plaintiffs are entitled to possession, occupation and use of their respective holdings by licence from the government of the Republic of Kenya the owner thereof a judgment in terms of the said declaration and an order restraining the Defendants, their servants or agents from evicting the Plaintiff churches or destroying the Church School and Community Service Buildings or any other or from preventing worship, teaching, learning at the said premises or preventing or blocking entry to or exit from the said premises by preachers, worshippers, visitors, licensees, teachers, children and others for purposes of Plaintiff operations at the said premises.
>
> (b) The Honourable Court be pleased to make any other orders deemed fitting within the inherent jurisdiction of court.
>
> (c) Costs hereof be provided for".

There was then an application brought by a chamber summons under Order XXXIX, rules 1, 2 and 3 of the Civil Procedure Rules and section 3A of the Civil Procedure Act in which the Plaintiff/Applicants sought more or less the same orders that were sought in the plaint. When that application came up for hearing before the superior court, Mr *Ngaah* for the Respondents, raised an objection based on Order VII, rule 3(2) of the Civil Procedure Rules. It was Mr *Ngaah*'s contention both in superior court and in this Court that since the plaint had not been accompanied by an affidavit the suit ought to be struck out. In upholding that submission the Learned Judge (Rawal J) of the superior court in her ruling stated *inter alia*:

> "Subrule (2) which has been enacted recently by Legal Notice Number 36 of 2000 is very clearly worded and I reiterate.
>
> '(2) The plaint shall be accompanied by an affidavit sworn by the Plaintiff verifying the correctness of the averments contained in the plaint'.
>
> In my view, the wording or the subrule specifically refers to the accompaniment of the affidavit with the plaint. The plaint herein is not accompanied by the affidavit. Paragraph 12 of the affidavit filed in support of the chamber summons does not cure the defect.
>
> In the premises, I order that the plaint be struck out. However as the plaint is struck out on technical ground I shall not order costs."

In this dispute the issue of verifying affidavit as per Order VII, rule 1(2) of the Civil Procedure Rules is very important. The rule clearly states that the plaint shall be accompanied by an affidavit sworn by the Plaintiff verifying the correctness of the averments contained in the plaint. Mr *Wamalwa* for the

Applicants sought to show that the affidavit in support of the application served the same purpose to be served by the affidavit which should have accompanied the plaint. In our view, the rule is so clear as to leave no room for such interpretation. Having so said, we find that the intended appeal does not raise an arguable point that would warrant an order of this Court under rule 5(2)(*b*) of this Court's Rules.

In view of the foregoing, we do not think it would be necessary to go into other issues except to point out that as of now, there is no suit pending before the superior court. We wish to add that we found it difficult to follow Mr *Wamalwa*'s submission and what his clients wanted from the superior court. In our view, the submissions by Mrs *Kamande* and Mr *Ngaah* cannot be resisted.

The upshot of the foregoing is that this application is found to be unmeritorious and the same is dismissed with costs to the Respondents.

For the Applicants:

Information not available

For the Respondents:

Information not available

Hemed v Republic
[2001] 1 EA 71 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of judgment:	5 April 2001
Case Number:	55/96
Before:	Samatta CJ, Makame and Ramadhani JJA
Sourced by:	A Bade
Summarised by:	HK Mutai

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[1] Criminal law – Robbery – Robbery committed using toy gun – Appellants convicted of armed robbery – Definition of "armed robbery" – Whether the offence committed amounted to one of "armed robbery" – Section 5 – Minimum Sentences Act of 1972 – Section 3(1) – Arms and Ammunition Act of 1991.

[2] Statute – Construction – Plain meaning rule – Common sense construction rule – Court to consider legislative intention in interpreting legislation.

Editor's Summary

On 10 February 1994, a group of four people went to the house of Said Salim Mohamed where they managed to steal a number of items. In the course of the robbery, one of the four drew a "pistol" and brandished it at the occupants of the house. The two Appellants were later arrested and prosecuted for the crime. Witnesses at the trial identified the First Appellant as being the person who had drawn the "pistol". The main evidence against the Second Appellant was in the form of a confession made to the

police that he later retracted at the trial on the ground that it had been given under torture. The Appellants were convicted and each sentenced to 30 years' imprisonment, the minimum sentence for armed robbery provided under section 5 of the Minimum Sentences Act. On appeal to the High Court, the convictions and sentences were upheld and a further sentence of corporal punishment was added to the terms of

imprisonment. The First Appellant now appealed to the Court of Appeal against sentence whereas the Second Appellant appealed against both conviction and sentence. The primary ground of appeal was that, since what they had possessed was a toy pistol and not a firearm, they should not have been punished for armed robbery but rather for robbery with violence, which carried a lesser minimum sentence under the Minimum Sentences Act. Counsel for the Respondent responded that the victims of the robbery could not have known that the pistol was a toy and that the crux of the matter was the perception of the victims.

Held – There was overwhelming evidence from the Second Appellant's conduct and lies to corroborate his confession. His conviction could therefore not be faulted in that regard.

As neither the term "armed robbery" nor the word "arms" was defined by the Minimum Sentences Act, it was necessary to resort to the Arms and Ammunition Act of 1991 in order to come up with a definition. A toy pistol did not fall within any of the categories of "arms" set out in section 3(1) of the Arms and Ammunition Act and therefore, under the plain meaning rule of construction, any person bearing a toy pistol could not be said to be armed. However, under the common sense construction rule, a court was enjoined to come up with a construction that would give meaning to the legislative intention, even if it did not correspond to the grammatical or literal meaning of the enactment. In this instance, Parliament had intended that a person who robbed another by supplementing his muscles with a weapon would be more heavily punished than a person who merely flexed his muscles, and the deciding factor would be the victim's perception that he was confronted by persons who were armed. Accordingly, the toy pistol having been used to the same effect as a real pistol, the Appellants were liable to the 30 years' imprisonment and the appeals would be dismissed.

No cases referred to in judgment

Judgment

RAMADHANI JA: On 8 February 1994, a group of about four people went to the house of Said Salim Mohamed (PW3) masquerading as employees of a trade union popularly known by its acronym of OTTU. This group found at home the wife of PW 3, Nasra Saidi (PW2) and two domestic servants, Peter Kika (PW1) and Abbas Wandi (PW4). After some inquiries they departed saying that they were going to return on another day. They did so on 10 February, disclosing their true colours. Once they were inside the house, one of them drew out a "pistol" and by brandishing it they were able to take away with them a number of items of property.

PW1, 2 and 3 identified the First Appellant not only as one of the bandits they saw on both occasions but also as the one who drew out the "pistol". The three prosecution witnesses did not identify the Second Appellant who was arrested as a result of being identified by one of the accused persons as being the driver of the getaway vehicle. The Second Appellant himself admitted that much to ASP Sheka (PW7) and also in his caution statement, Exhibit D1. The Prosecution produced that statement to impeach his credibility at the trial.

The trial court convicted both of them and sentenced each of them to a term of imprisonment of thirty years. They appealed to the High Court against both conviction and sentence without success and in fact corporal punishment was added on top of the imprisonment terms. This is their second appeal. For the First Appellant it is against the sentence only but for the Second Appellant it is against both the conviction and the sentence. Both Appellants appeared in person while Mr *Mlipano*, learned State Attorney, represented the Respondent/Republic.

The Second Appellant pointed out that at the trial he retracted his confession (Exhibit D1) because, he said, it was obtained under torture. We agree with Mr *Mlipano* that there is overwhelming evidence to support the confession. On the fateful day the Second Appellant reported for work and drove the getaway vehicle as usual. However, he parked it at the premises of his employer, PW6, earlier than the normal time because, according to him, the vehicle was defective. He then vanished into thin air until his arrest on 27 February 1994. However, the owner, PW6, said that he was in Arusha on the day of the robbery and that upon his return he found his vehicle in a perfectly good working condition.

Even assuming that the vehicle was defective, we ask, how could the Second Appellant have known whether or not it had been repaired while he was not reporting for duty? The answer is obvious that he could not. So, the inescapable conclusion is that he had absconded in a desperate move to conceal his identification with the robbery. Thus both his conduct and his lies corroborate the confession he wants to retract. We, therefore, cannot fault his conviction.

Both Appellants argued that since what they possessed was a toy pistol and not a firearm, they should not have been punished for armed robbery but for robbery with violence which carries a minimum sentence of imprisonment for fifteen years.

Mr *Mlipano*, on the other hand, argued that the victims of the robbery did not and could not have known that what the Appellants possessed was a toy pistol. To the learned State Attorney, the crux of the matter is the perception of the victims: they were confronted with people who were armed. Therefore, he argued, the sentence of thirty years' imprisonment is the appropriate dessert for them.

Section 5 of the Minimum Sentences Act 1972 (hereinafter referred to as the Act) as amended by Act 10 of 1989, provides for two different minimum punishments: fifteen years' imprisonment for robbery with violence and thirty years for armed robbery. Unfortunately, the Act does not define "armed robbery". Of course, the plain meaning of that phrase is "robbery with the aid of arms". But what are "arms"? That term, again, is not defined by the Act.

So we have to resort to the Arms and Ammunition Act 2 of 1991 which defines "arms" in section 3(1) to include:

> "(*a*) every firearm of any description;
>
> (*b*) every air gun and every other kind of gun from which any shot, bullet or other missile can be discharged;
>
> …
>
> (*e*) every gun, pistol or other propelling or releasing instrument or mechanism from or by which any shell, catridge, bomb, grenade, or projectile, containing any gas or chemical, could be discharged".

We have no doubts in our minds that a toy pistol does not fall under any of the items of definition set out above. Therefore, a toy pistol cannot be said to be an "arm" under the Arms and Ammunition Act, 1991 and, therefore, any person bearing a toy pistol cannot be said to be "armed".

What we have said above is according to the plain meaning rule of statutory construction. But there are more canons of construction than the plain meaning rule. We are aware, for example, of the common sense construction rule, that is, a court has to come up with a construction that would give effect to the legislative intention. What Parliament intended constitutes the legal meaning of a provision of a statute, which may or may not correspond to the grammatical or the literal meaning of an enactment (*Halsbury's Laws of England* (4 ed) column 44(1) paragraph 1372).

We have no doubt that Parliament intended that a person who robs another by supplementing his muscles with a weapon thereby totally subjugating the victim, should be more heavily punished than a person who merely flexes his muscles and gives a victim an opportunity to put up a fight. So, we would agree with Mr *Mlipano* that the deciding factor is the perception of the victim.

Our holding above is fortified by the rule of purposive construction, that is, the potency of a defined term overrides the literal meaning of a definition. In this case the inherent power of a firearm is the instillation of paralyzing dread in a victim. Thus any artifice giving the impression that it is a firearm imparts the same fear in a victim irrespective of whether or not, in reality, that device is covered by the literal meaning of the definition of a firearm.

The First Appellant was asked by the Court and answered that they took the toy pistol to assist them to accomplish their intention of robbing the victims. Thus they used the toy pistol in the same way they would have used a real pistol: to cow the victims. We asked Mr *Mlipano* if it would have made any difference if the Appellants had a real pistol but, unknown to the victims, it was unloaded or defective. The learned State Attorney answered that the Appellants would still be liable to thirty years' imprisonment. We think so too. The effect of the unloaded or defective pistol on the mind of a victim who is unaware of that fact remains the same: a sense of utter helplessness. If a toy pistol is substituted for an unloaded or defective real pistol the analogy is complete. The effect is the same. So, the Appellants are liable to thirty years' imprisonment each.

The First Appellant also complained against the addition of corporal punishment to the imprisonment term by the first appellate court. However, that ground of appeal was dropped at the time of hearing.

For the reasons given above the appeals are dismissed in their entirety.

(Samatta CJ and Makame JA concurred in the judgment of Ramadhani JA.)

For the Appellant:

In person

For the Respondent:

Mr Mlipano instructed by the *Attorney-General*

Inspector-General of Government v Orochi
[2001] 1 EA 75 (CAU)

Division: Court of Appeal of Uganda at Kampala

Date of Ruling: 30 April 2001

Case Number: 90/00

Before: Kato JA

Sourced by: P Karugaba

Summarised by: HK Mutai

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[1] Appellate jurisdiction – Jurisdiction of the Court of Appeal – Certiorari *– Grant of* certiorari *by High Court – Whether the Court of Appeal could entertain an appeal against a High Court decision granting* certiorari *– Sections 11 and 38 – Judicature Statute 1996.*

Editor's Summary

On 8 May 2000, the High Court granted an order of *certiorari* against the Applicant herein. The Applicant now applied for an extension of time within which to file a notice of appeal. He submitted that a notice of appeal had been prepared in time but that the person charged with filing it had been arrested on 12 May and it had only later been discovered that he had not filed the notice before his arrest. Counsel for the Respondent opposed the application on the grounds that the Court of Appeal was not empowered to hear an appeal against a High Court grant of *certiorari* and, in any event, no sufficient cause had been shown to warrant an extension of time.

Held – Appellate jurisdiction was a creation of statute and an appeal would lie to the Court of Appeal only under the circumstances provided for in section 11 of the Judicature Statute, that is, where the Constitution, the Judicature Statute itself or any other law provided for such an appeal; *AG v Shah (No 4)* [1971] EA 50 followed, *Makula International v Cardinal Nsubuga* [1982] HCB 11 distinguished. In this instance, the High Court had granted *certiorari* in exercise of its special jurisdiction under section 38 of the Judicature Statute. That section did not provide for an appeal to the Court of Appeal and the Court's inherent powers could not be invoked unless the Court had jurisdiction. Accordingly, the Court having no jurisdiction to entertain the appeal, the application would be struck out as incompetent.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Attorney-General v Shah (No 4) [1971] EA 50 – **F**

East African Railways and Harbours v Nairobi City Council [1970] EA 334

Makula International Ltd v Nsubuga and another [1982] HCB 11 – **D**

Ruling

KATO JA: This is an application for extension of time in which to file notice of appeal. It is supported by the affidavit of Henry Oluka, counsel for the Applicant, dated 20 October 2000.

The background of the application is that on 8 May 2000 the High Court granted an order of *certiorari* against the present Applicant. No notice of appeal has ever been filed to date. According to the affidavit of Mr *Oluka* the notice was prepared by Mr Cheborion who gave it to one Mpaulo for filing in the High Court. On 12 May 2000 Mpaulo was arrested and detained. On checking with the High Court registry, it was discovered that before his arrest Mpaulo had not filed the notice, hence this application.

Judging from these facts it is clear that the only ground upon which the application is based is that it was the Applicant's counsel's conduct which caused the delay in not filing the notice in time.

Mr *Oluka*, learned counsel for the Applicant, submitted that the conduct of the Applicant had not been dilatory and that the conduct of a counsel should not be visited upon his client.

On his part, Mr Paul *Kiapi*, counsel for the Respondent, contended that this Court has no jurisdiction to hear an appeal arising from a High Court order in connection with a matter of *certiorari*. According to him section 38 of the Judicature Statute 1996 does not provide for an appeal to this Court. He further argued that section 37 of the same statute provides for an appeal by an aggrieved party in cases of *habeas corpus*. In his view if the Parliament had intended to provide for an appeal against the order of *certiorari* it would have said so as it did in cases of *habeas corpus*. In the alternative, he submitted that no sufficient cause had been shown to warrant the granting of extension of time to the Applicant since it is not known as to when the fact of Mpaulo's arrest became known to the Applicant.

I have found it necessary to first dispose of a preliminary issue concerning the question of jurisdiction raised by Mr *Kiapi* in his submission.

It is trite law that appellate jurisdiction is a creation of statute. In *Attorney-General v Shah* (Number 4) [1971] EA 50 it was stated as follows: "It has long been established and we think there is ample authority for saying that appellate jurisdiction springs only from statute. There is no such thing as inherent appellate jurisdiction".

The jurisdiction of this Court is to be found in the provisions of section 11 of the Judicature Statute of 1996 which provides: "An appeal shall lie to the Court of Appeal from decisions of the High Court prescribed by the Constitution, this statute or any other law".

My understanding of this provision of the law is that an appeal against the decision of the High Court lies to this Court only if the Constitution, the Judicature Statute or any other law, provides for such an appeal. In the instant case neither the Constitution nor the Judicature Statute made provision for such an appeal. In section 37 of the Judicature Act it is expressly provided that an appeal shall lie to this Court by a party aggrieved by the decision of the High Court in matters concerning an order of *habeas corpus*. There is no such provision in respect of orders of *certiorari*. I have my doubts whether the court could act under sections 68, 74 and 82 of Civil Procedure Act in view of the peculiar

nature of the order concerned in this case. The High Court was neither exercising its ordinary original nor appellate jurisdiction. It was exercising its special jurisdiction conferred upon it by section 38 of the Judicature Statute which as I said earlier, does not provide for an appeal to this Court. In *East African Railways and Harbours v Nairobi City Council* [1970] EA 334 at 336 it was said:

> "This principle, I think, can be stated thus; does the established court hearing the appeal from the extra-judicial authority exercise special jurisdiction? If it does, then no further appeal lies merely by reason of the fact that an appeal lies from its decisions in exercise of its ordinary jurisdiction".

As the High Court was exercising special jurisdiction in the present case, it cannot automatically be said that this Court has appellate jurisdiction to entertain an appeal in that respect. Rule 1(3) of the Rules of this Court which gives the court inherent powers can only be invoked when the court has jurisdiction to deal with a particular matter. That rule is therefore inapplicable to the present case.

I am aware of the decision of the predecessor of this Court in *Makula International Ltd v Cardinal Nsubuga and another* [1982] HCB 11 to the effect that where there is no express provision in law permitting or prohibiting a second appeal, the appellate court would still proceed to entertain an appeal from decree of the High Court under sections 68 and 82 of the Civil Procedure Act. That case is distinguishable from the one now under consideration as the facts of the two cases are different. The present case is unique in that it originates from a number of statutes which include the Judicature Statute 1996 and the Inspector General of Government Statute 1988 none of which confers the right of appeal to this Court by an aggrieved party. The omission must have been deliberate by the legislators (see *AG v Shah* above).

I find merit in Mr *Kiapi*'s contention that this Court has no jurisdiction to deal with this matter. In view of this holding I find it unnecessary to consider the merits of the application for extension of time. The application is accordingly struck out as incompetent with costs to the Respondent.

For the Applicant:

Information not available

For the Respondent:

Information not available

Ishengoma v National Insurance Corporation Ltd
[2001] 1 EA 77 (CAT)

Division:	Court of Appeal of tanZania at Dar-es-Salaam
Date of judgment:	25 October 2001
Case Number:	73/99
Before:	Kisanga, Ramadhani and Lubuva JJA
Sourced by:	LJS Mwandambo
Summarised by:	HK Mutai

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[1] Agency – Insurance – Insurance agent – Suspension and termination of agency agreement – Duty to inform clients and employees of insurer – Agent continuing to act during period of suspension –

Payment of commission – Whether agent entitled to payment of commission for business transacted while suspended.

Editor's Summary

On 30 January 1991, National Insurance Corporation Ltd ("NIC") suspended Ishengoma, trading as Tanzania Insurance Agency, from acting as its agent. During the period of suspension Ishengoma transacted business worth almost TShs 53 million for NIC. Following the removal of NIC's documents from his possession on 14 February 1991, his practice was to take the money paid to him by NIC's clients to their Branch Unit 1 where its employees, unaware of his suspension, would accept the money and issue him with receipts. His agency was eventually terminated on 3 September 1992. After he unsuccessfully requested payment of commission of TShs 9 million from NIC, he filed suit against it in a magistrate's court. His claim was successful but upon appeal to the High Court by NIC, the magistrate's decision was reversed. Ishengoma now appealed to the Court of Appeal on the grounds, *inter alia*, that by accepting the proceeds of the business he conducted on its behalf, NIC had impliedly revoked the suspension and formed a new agreement entitling him to commission. Counsel for NIC argued, *inter alia*, that no new mode of agency had been created, that Ishengoma had transacted the business illegally and that, in any case, as he had used the services of NIC's employees, he would note be entitled to the entire commission.

Held – Ordinarily, remuneration was not payable for work done following the termination of an agency; *Nayler v Yearsley* [1860] 2 F and F 41 and *Tribe v Taylor* [1876] 1 CPD 505 followed. This rule was subject to exceptions (i) where the business conducted during the suspension was part of a transaction in which the agent was employed (*Christie, Owen and Davies v Jones* [1966] 198 Estate Gazette 1093 followed), (ii) where there was an express term authorising payment of remuneration even after termination, (iii) where the construction of the agency contract showed a clear intention to continue paying, and (iv) in the case of repeat orders (*Levy v Goldhill* [1917] 2 Ch 300 considered). In the circumstances of this case, the continued payment for, and renewal of, policies by NIC's clients through Ishengoma were akin to repeat orders. Ishengoma was therefore entitled to a commission from those repeat orders that passed through him during his suspension. The duty to communicate with third parties regarding Ishengoma's suspension as an agent rested on NIC, his principal; *Drew v Nunn* [1879], *Debenham v Mellon* [1880] 6 App Cas 24 considered. As there was no express contractual provision stipulating the amount of commission to be paid, Ishengoma was entitled to reasonable remuneration; *Bryant v Flight* [1839] S M and W 114 and *Way v Latilla* [1937] 3 All ER 759 applied. Since there was no evidence showing either the previous course of trade between the parties or trade custom, the measure of commission would be the fruits of the work done. The Appellant was therefore entitled to the amount claimed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Nordman v Rayner and another [1916] 33 TLR 87

United Kingdom

Bilbee v Hasse and Co [1889] 5 Times LR 677

Bower v Jones [1831] 8 Bing 65

Bryant v Flight [1839] S M and W 114 – **AP**

Christie, Owen and Davies v Jones [1966] 198 Estate Gazette 1093 – **F**

Crocker Horlock Ltd v Lang and Co Ltd [1949] 1 All ER 526

Debenham v Mellon [1880] 6 App Cas 24 – **C**

Drew v Nunn [1879] 4 661 – **C**

Levy v Goldhill [1917] 2 Ch 300 – **C**

Marshall v Glanvill [1917] 2 KB 93

Nayler v Yearsley [1860] 2F and F 41 – **F**

Sellers v London Counties Newspapers [1951] 1 KB 784 [1951] 1 All ER 544

Tribe v Taylor [1876] 1 CPD 505 – **F**

Way v Latilla [1937] 3 All ER 759 – **AP**

Judgment

RAMADHANI JA: The Appellant, G K Ishengoma, trading as Tanzania Insurance Agency, was an agent of the Respondent, the National Insurance Corporation, up to 30 January 1991, when he was suspended. He complained about the suspension and, as the matter was being investigated, the agency was terminated on 3 September 1992.

However, during the suspension the Appellant conducted business for the Respondent worth TShs 52 994 161-25. He, without success, claimed a commission of T Shs 9 079 628-45. So, he filed a suit to recover that amount in the Resident Magistrate's Court of Dar-Es-Salaam at Kisutu and won. That aggrieved the Respondent corporation and they successfully appealed to the High Court. Hence this second appeal.

After the submissions of both learned advocates, Mr *Kashumbugu*, for the Appellant, and Mrs *Tenga*, for the Respondent corporation, we are of the considered opinion that the following are established facts: First, the Appellant is claiming commission for transactions made after 14 February 1999, that is, 14 days after the suspension of the agency, the date documents belonging to the Respondent corporation were taken away from him. That is why he is relying on photostat copies of receipts issued by the Respondent.

We are also satisfied that clients of the Appellant and also employees of the Respondent corporation at the counter of Branch Unit 1, were ignorant of that suspension. Consequently, some clients continued to pay premiums to the Appellant and others went to him to renew their policies. Since the Appellant had neither receipt books nor a bank account number, he took the proceeds to Branch Unit 1 where the employees, innocently, accepted the money and issued receipts. The Dar-Es-Salaam Regional Manager of the Respondent corporation admitted, in his memorandum, NIC/DSM.I/S.0361/50 of 8 July 1992 (Exhibit P7), that his Branch had issued those receipts.

Thirdly, the Respondent corporation does not dispute that during the period of suspension the Appellant transacted for them business worth the amount

stated. They only contend, in paragraph 3 of their written statement of defence that he had done so "illegally" and so, he is not entitled to any commission. Now, let us see how these facts interact with the submissions of both sides.

Mr *Kashumbugu* argued that the Respondent impliedly revoked the suspension when it accepted the proceeds of the business conducted by the Appellant during the period of suspension. He submitted further that that implied revocation formed a new agreement that entitled the Appellant to a commission.

Mrs *Tenga*, in effect, advanced two alternative contentions: First, she was emphatic that no new mode of agency was created. She pointed out Mr *Kashumbugu*'s failure to spell out the terms of the so called new agreement and how much commission was due to the Appellant. Second, she argued that even assuming that there was a new agreement, because on the ignorance of some of the Respondent corporation's employees, the Respondent corporation did not wilfully profit from the illegal transactions of the Appellant. In any case, Mrs *Tenga* argued, owing to lack of facilities, the Appellant did not conduct the entire operation by himself but that he used the services of the employees of the Respondent corporation and so, he cannot be entitled to the same amount of commission.

There is a general rule that remuneration is not payable for work done during a period of termination of an agency. That was decided in *Nayler v Yearsley* [1860] 2F and F 41, and *Tribe v Taylor* [1876] 1 CPD 505.

According to *Nordman v Rayner and Sturges* [1916] 33 TLR 87, remuneration is also not ordinarily payable in the case of temporary suspension.

However, the rule is subject to some exceptions: One, commission is payable where business conducted during suspension is in fact part of a transaction in which an agent was employed. Thus, in *Christie, Owen and Davies t/a Christie and Co v Jones* [1966] 198 Estate Gazette 1093, an estate agent introduced a purchaser to the principal but the sale took place after the termination of the agency. It was held that the ex-agent was entitled to a commission.

The other exception is where there is an express term in the contract authorizing payment of remuneration even after termination of agency. Thus in *Crocker Horlock Ltd v Lang and Co Ltd* [1949] 1 All ER 526 at 530 it was said "that remuneration was the remuneration payable during the contract period and … the parties have not provided by this contract for any payment after that period came to an end".

So, in that case remuneration was denied because it was not provided for in the contract.

However, in *Sellers v London Counties Newspapers* [1951] 1 KB 784; [1951] 1 All ER 544, the majority judgment was that the contract should specifically provide for cessation of payment in case of termination. The dissenting judgment, like the one above, was that the contract should specifically provide for continuation of payment in case of termination.

In that case the Plaintiff had an oral contract with the Defendants for obtaining orders for advertising space in the Defendant's newspapers. He was paid a salary and also a commission for every customer's advertisement published in the newspapers. His employment was terminated. Some of the orders he had solicited were published after the termination of the employment. He claimed commission for those orders. The County Court dismissed his claim but on

appeal, the Court of Appeal, two to one, decided that he was entitled to a commission.

Sir Raymond Evershed M R held:

> "[I]n the case of a contract of service between a master and a servant, all right on the servant's part to a remuneration by commission or otherwise will cease with the termination of his service unless the terms of his contract provision to the contrary is clearly made".

The majority held:

> "[I]n the absence of an express term in the contract of employment that the Plaintiff's right to a commission should end with the termination of his employment, he was entitled to a commission on any orders he obtained while he was employed by the Defendants, even though the advertisements to which those orders related were not published until after the termination of his employment".

The third exception is where the construction of the agency contract provides a clear intention to continue paying remuneration even after termination. It was said in *Marshall v Glanvill* [1917] 2 KB 93: "*Prima facie* the liability to pay commission in cases of this kind cases as to future trade with the cessation of the employment in the absence of a reasonable clear intention to the contrary".

Such intention is readily found where an agent is an independent contractor and not an employee, *Croker Horlock Ltd v Lang and Co Ltd*.

Lastly, in the case of repeat orders, the agent is entitled to a commission even after the termination of the agency. Repeat orders, according to *Sellers v London Counties Newspapers* (at page 546 letter C) are "orders placed by advertisers originally introduced to the Defendants by the Plaintiff, but placed without any further solicitation in his part". In *Levy v Goldhill* [1917] 2 Ch 300, the Plaintiff contracted with the Defendant to procure orders for the Defendant and he was to get a commission even for "repeats on any accounts introduced by you". The Defendant later terminated the contract and the Plaintiff sued for commission in respect of repeat orders continued after and notwithstanding the termination of the agreement. The issue was decided positively following *Bilbee v Hasse and Co* [1889] 5 Times L R 677 which was affirmed by the Court of Appeal (see *Times* newspaper, 16 January 1890) where Bowen LJ said: "The measure of [Plaintiff's] payment was to be calculated not by the work done by him, but by the fruits of that work, and those fruits might very well accrue to the Defendant after the determination of the agency".

In this appeal had introduced clients to the Respondent corporation who took insurance policies and continued to pay premiums and to renew them, in effect, without further solicitation of the Appellant. This is akin to repeat orders. However, we are of the decided opinion that the rule in *Bilbee v Hasse and Co* is extremely wide. Would the Appellant continue to recover commissions in relation to all the clients he had introduced to the Respondent corporation every time they pay premiums or renew their policies? In other words, would commission cease only when these clients stop dealings with the Respondent corporation? We shudder to subscribe to that proposition. But we are willing to say that the Appellant is entitled to a commission from these repeated orders, which without his solicitation, passed through his hands during his suspension.

Of paramount concern to us is that these exceptions prove that the rule that commission is not payable during suspension or termination is not absolute. We ask ourselves: are exceptions restricted to these four categories only? We think not. Definitely new situations give rise to new exceptions. The next question then is: do the facts of this appeal provide a new situation necessitating a new category of exception?

The situation in this appeal, as already explained, was caused by the fact that both clients of the Appellant and the employees of the Respondent corporation at Branch Unit 1 were ignorant of the suspension of the Appellant. The pertinent issue to us is what is the effect of this communication breakdown. Who had the duty to inform these people? What are the consequences of the breach of that duty?

Section 160 of the Law of Contract Ordinance, 1961, provides as follows: "The termination of the authority of an agent does not … take effect … so far as regards third persons, before it becomes known to them".

So, the clients of the Appellant, who were ignorant of the suspension, were perfectly right to continue transacting business with him. Likewise, had the members of staff of the Respondent corporation been aware, they would not have accepted monies from the Appellant and to issue him with receipts. However, we shall deal with these later because they are, strictly speaking, not third persons.

It is unfortunate that that section 160 quoted above does not say who has the duty of informing third parties. Mrs *Tenga* submitted that the duty was on the Appellant. Was that so?

It is trite law that a principal is liable to third parties who, in good faith, deal with an agent on the assumption that he still has authority. The exception is where authority has been terminated by the death of the principal. That was settled by *Drew v Nunn* [1879] 4 661 and *Debenham v Mellon* [1880] 6 App. Cas. 24. It is, therefore, obvious to us that the duty to make this communication is on the principal. Otherwise if the duty were on the agent, we ask: why is notice exempted where termination is due to the death of the principal? The only answer we can come up with is that upon the death of the principal, notice is dispensed with because the duty bearer is no more.

So, the Respondent corporation failed to discharge that duty in this case. However, the non-disclosure of the termination makes the principal liable to claims by third parties who have not been cautioned. Here it is the agent who makes claims against the principal for the work he had done during the period of suspension.

It baffles us that the Respondent corporation did not inform even its own employees about the suspension of the agency. The Appellant could not have been expected to inform those employees. As a rule the actions of the employees are taken to be those of the employer. There has been a nagging thought that despite the suspension of the agency, there was a vicarious performance of the agency contract by the employees. However, since the Appellant was fully aware of the suspension then that cannot be the case. We may as well add that we reject the submission of Mr *Kashumbugu* that there was a new contract of agency formed by the so-called implied revocation of the suspension. There was nothing like that. There was only the liability on the part of the Respondent corporation caused by the actions of their employees.

Mrs *Tenga* said that the Respondent corporation did not willfully profit from the illegal transactions of the Appellant. We are satisfied that the breach of the duty of the Respondent corporation to inform even its own employees brought about the situation in this appeal. It is certain that their laxity caused this mess and enriched them and, if we may borrow the words of Lord Bowen in *Bilbee*, "The measure of [Plaintiff's] payment was to be calculated not by the work done by him, but by the fruits of that work" to the Respondent corporation, which they do not deny.

So, how much commission is due to the Appellant? Where there is no express contract provision, then a contract to pay reasonable remuneration is implied by court – *Bryant v Flight* [1839] S M and W 114 and *Way v Latilla* [1937] 3 All ER 759. Courts in making such decision are guided by previous negotiation between the parties, and trade custom – *Bower v Jones* [1831] 8 Bing 65. (Some of these authorities are quoted in *Halsbury's Laws of England*, (4 ed), Volume 1 (2) paragraph 115 at 79.)

Here we do not have evidence on any of the two. The contract is silent as to the rate of commission payable. Possibly what the Appellant claimed reflects the rate they had agreed on. What he claimed is 17,31%. We agree with Mrs *Tenga* that the Appellant should not get full commission because he did not do the whole work himself. What the Appellant did was to collect monies, send them to the Respondent corporation, obtain receipts and hand them to clients. All the paper work was done by the Respondent corporation. But the measure according to Lord Bowen is not the work done but the fruits of that work. So, we grant the Appellant what he has claimed.

It may not be out of place to observe that we did not have the benefit of the submissions of the learned advocates on the authorities discussed in this judgment simply because they did not refer us to any authority.

The appeal is allowed with costs.

(Kisanga and Lubuva JJA concurred in the judgment of Ramadhani JA.)

For the Appellant:

D Kashumbugu instructed by *Kashumbugu and Co*

For the Respondent:

L Tenga instructed by *NL Tenga and Co*

Kemboi v Republic
[2001] 1 EA 83 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of judgment:	19 July 2001
Case Number:	173/00
Before:	Chunga CJ, Omolo and Shah JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Criminal law – Robbery – Robbery with violence – Aggravating factors – possession of a knife –

Whether the hidden presence of a knife is sufficient to serve as an aggravating factor – Sections 295 and 296 – Penal Code (Chapter 63).

[2] Sentence – Lesser offence – Reduction of sentence – Whether Court can reconsider sentence of accused found guilty of some offence other than that charged – Sections 179(1), 361(2), (3) and (4) – Criminal Procedure Code (Chapter 75) Laws of Kenya.

Editor's Summary

On 2 January 2000, as a German woman and her husband were walking along the beach, a man set upon the woman, snatched a handbag from her and ran away. The man was apprehended a short while later in possession of a handbag and taken to a police station. At the police station the handbag was opened and found to contain items belonging to the victim. The victim and her husband were taken to the police station where they identified the Appellant as the person who snatched the handbag. Though neither the victim nor her husband stated that the Appellant had any weapon, the issue of a knife arose at the police station and at the Appellant's trial a policeman testified that the Appellant was found in possession of a knife. The Appellant was convicted of the offence of robbery with violence and sentenced to death by a magistrate's court. The conviction and sentence were later upheld by the High Court.

Held – The mere presence of a knife in the pocket of an assailant without any knowledge of the fact on the part of the victim and no indication by the assailant that he had it, did not suffice to allow a conviction for aggravated robbery. In the circumstances, there was insufficient evidence to support a conviction for robbery with violence. The provisions of sections 179 and 361 of the Criminal Procedure Code (Chapter 75) Laws of Kenya permitted the conviction of the accused on a lesser offence than that charged and, accordingly, the reconsideration of the sentence. The appeal would be allowed, the conviction for robbery with violence and sentence of death set aside and substituted with a conviction for simple robbery and a sentence of seven years' imprisonment.

No cases referred to in judgment

Judgment

CHUNGA CJ, OMOLO and SHAH JJA: The Appellant, Gilbert Kipkorir Kemboi, was, on 2 February, 2000, convicted of the offence of robbery with violence contrary to section 296(2) of the Penal Code and sentenced to death as prescribed by law, by B Maloba, Senior Resident Magistrate at Mombasa. He appealed to the superior court against both the conviction and sentence. His appeal was dismissed by Waki J and Commissioner of Assize Mrs Khaminwa on 24 May 2000. He is now in this Court by way of a second appeal.

A German couple Mr and Mrs Kroll who were tourists in Kenya were at the material time staying at Bahari Beach Hotel at the North Coast. On 2 January 2000 the couple were taking a walk along the beach. After passing the Reef Hotel Mrs Kroll (PW1) saw a young man whom she greeted. Mr Kroll (PW1) was then about 10 meters ahead of her on the beach. Mrs Kroll was set upon by this person who grabbed her handbag. There was a struggle during which the strap of the handbag broke and the young man ran off with the bag. Mrs Kroll called her husband for help pointing at the assailant who was running away and jumped off a cliff. The German couple were returning to their hotel when some two young men gestured them to stop, telling them that they had caught the thief. They were escorted to some guards (referred to as KK Guards). The thief was not there. The couple were then taken to Bamburi Police Station

where they found the Appellant and the bag which was snatched from Mrs Kroll. The bag contained two German Passports, an ATM post bank card in the name of Mr Kroll, KShs 11 000, reading glasses, a key to room 107 of the hotel where the Krolls were staying, an instruction manual for a camera and Mrs Kroll's medication.

Mrs Kroll recognised the Appellant at the police station on account of the yellow shirt he was wearing. Mr Kroll recognized him because of the yellow shirt and the shoes the Appellant was wearing. Both the Krolls were positive about their identification of the Appellant.

Ali Samuel Charo (PW3) who was at the material time employed by one Bayusuf was in the vicinity of the area where the incident of robbery took place. He saw a man running some 70 meters away. He chased him. He saw the Appellant being brought out of the compound of a house by a watchman. The Appellant had with him a bag. He (the Appellant) was then taken to the office of KK Guards and thereafter to Bamburi police station.

Whilst at the police station the snatched bag was opened and all the items therein were found intact. Although some criticism was levelled at the prosecution for not calling the watchman who arrested the Appellant we discern no prejudice to the defence case as Ali Charo was positive about the Appellant's arrest and as the Appellant was found in possession of the handbag which contained the items belonging to the Krolls.

As against that unassailable evidence the Appellant's defence was to the effect that whilst he was going to see his sister he saw a group of some 20 men armed with knives, stones and "rungus" (clubs) who inquired of the Appellant the reason for running. The Appellant's version of events was not accepted by the trial magistrate as well as by the first appellate court. On that issue, that is, identification of the Appellant by the Krolls and Mr Charo combined with the fact that the bag which the Appellant was found with contained items belonging to the Krolls, we have no doubt at all that the Appellant was the assailant.

What has weighed upon our minds is whether there was sufficient evidence to enable the two courts below to say that the offence committed by the Appellant was that of robbery with violence. Section 295 defines robbery. It reads:

> "295. Any person who steals anything, and at or immediately after the time of stealing it, uses or threatens to use actual violence to any person or property in order to obtain or retain the thing stolen or to prevent or overcome resistance to its being stolen or retained, is guilty of the felony termed robbery".

The Appellant, according to the Krolls, had no weapon with him. Mrs Kroll stated that the Appellant was not holding anything at the time of the robbery. Mr Kroll did not say that the Appellant had any weapon. The fact of a machete or rather a knife came up at the police station. Police Constable Mwangangi (PW4) stated that the knife was found on the Appellant. He described the knife as being with nails and other dangerous multi-purpose items. There is no evidence at all that the Appellant made or threatened to make use of that offensive weapon. Certainly the Krolls did not say so and no one else said that the Appellant used the knife to achieve his purpose.

To enable a court find what is commonly known as aggravated robbery, there has to be, *inter alia*, evidence that the offender is armed with a dangerous or offensive weapon or instrument. It must follow that the victim had knowledge or at least an inkling that there was some such weapon which the assailant intended to or attempted to use. Mere presence of a multi-purpose (what is

often referred to as a swiss knife) knife in the pocket of an assailant without any knowledge of that fact on the part of the victim and without any indication by the assailant that he has it, is not enough to enable the court to say that robbery was an aggravated one.

Section 179(1) of the Criminal Procedure Code (Chapter 75) Laws of Kenya empowers a court to convict an accused person of a lesser offence (as opposed to the offence he is charged with) when it can be gleaned or ascertained that the particulars proved do not qualify for conviction for the greater offence.

Subsections (2), (3) and (4) of section 361 of Criminal Procedure Code (Chapter 75) Laws of Kenya empower this Court to reconsider conviction and sentence if it may appear to the Court that the courts below could properly have found the accused person guilty of some other offence on the facts before the trial magistrate. The Court in such a case, instead of dismissing the appeal, may substitute for the conviction entered by the subordinate court or by the first appellate court, a conviction for that other offence, and pass such sentence in substitution for the sentence passed by the subordinate court or by the first appellate court as may be justified in law for that offence.

We are of the view that as the Krolls were not aware of the existence of the knife in the pocket of the Appellant the conviction under section 295(2) of the Penal Code cannot be sustained. The conviction can only be contrary to section 296(1) of the said Code.

To that extent we allow this appeal, set aside the conviction contrary to section 296(2) of the Penal Code as well as the mandatory death sentence imposed on the Appellant and substitute the conviction with that of simple robbery contrary to section 296(1) of the Penal Code and impose a term of seven year imprisonment on the Appellant. The said term will be effective from the date of conviction in the subordinate court. He is ordered to be under police supervision for 5 years from the date of his release from prison. He is also ordered to receive three (3) strokes of the cane.

For the Appellant:

Information not available

For the State:

Information not available

Kenya Commercial Finance Co Ltd v Afraha Education Society
[2001] 1 EA 86 (CAK)

Division:	Court of Appeal of Kenya at Nakuru
Date of judgment:	19 October 2001
Case Number:	142/99
Before:	Gicheru, Lakha and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Interlocutory injunction – Principles for granting interlocutory injunction – Whether principles apply sequentially – Order XXXIX, rules 1, 2, 3 and 9 – Civil Procedure Rules.

[2] Practice – Prima facie *case – Injunction to stop dealing in land – Application by persons without registered interest in land – Whether such persons establish a* prima facie *case.*

Editor's Summary

In November 1989, the Fifth Respondent obtained a loan from the Appellant and charged a parcel of land belonging to it (the suit land) to the Appellant as security. The Third and Fourth Respondents, who were both directors of the Fifth Respondent, witnessed the charge document. On the suit land was a high school owned and managed by the Fifth Respondent. The loan aforementioned was in fact for the purposes of building a hall and a laboratory for the high school.

By 1998 the amount due to the Appellant by the Fifth Respondent had increased enormously and the Appellant sought to exercise its statutory power of sale of the suit land and advertised the suit land for sale.

The First and Second Respondents, who were the school's educational society and board of governors, respectively, filed suit against the Third, Fourth and Fifth Respondents together with the Appellant. Simultaneously with the suit the First and Second Respondents made an application for temporary injunction under Order XXXIX, rules 1, 2, 3 and 9 of the Civil Procedure Rules preventing any dealing in the suit land by the Appellant ors the Third, Fourth and Fifth Respondents.

The High Court gave the orders for temporary injunction on balance of convenience, its consideration being that there was a school on the suit land and the case should not disrupt education. That ruling prompted this appeal.

Held – The sequence of steps to be followed in the enquiry into whether to grant an interlocutory injunction is (i) whether the applicant has laid out a *prima facie* case with a probability of success; (ii) whether the applicant might suffer irreparable injury if the injunction is not granted; and (iii) (if there is doubt) whether the balance of convenience favours the applicant; *Giella v Cassman Brown and Co Ltd* [1973] EA 358 followed.

The High Court erred in failing to first establish whether the First and Second Respondents had a *prima facie* case with a probability of success. It was not proper for the court to go straight to make the order on a balance of convenience.

The conditions for granting an interlocutory injunction are sequential so that the second condition can only be addressed if the first one is satisfied and when the court is in doubt the third one can be addressed.

If the court had addressed its mind to the first condition, it would have found that the First and Second Respondents did not have a *prima facie* case with a probability of success.

Appeal allowed. Order of the High Court set aside.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Giella v Cassman Brown and Co Ltd [1973] EA 358 – **F**

Judgment

GICHERU, LAKHA and KEIWUA JJA: Land Title Number Nakuru Municipality/Block 2/488

measuring approximately 6,070 hectares is owned by and

registered in the name of Afraha Education Development Ltd, the Fifth Respondent in this appeal. On this land is situated a private secondary school by the name of Afraha High School which is owned and managed by the Fifth Respondent. The Third and Fourth Respondents are respectively the managing director and director of the Fifth Respondent.

In a meeting of the directors of the Fifth Respondent held at Afraha High School offices in Nakuru on 15 April 1989, it was resolved that arrangements be made with the Appellant herein to accord Afraha High School financial facilities to the extent of KShs 1 800 000 on the security of a legal charge over Land Title Number Nakuru Municipality/Block 2/488 to be executed in favour of the Appellant under the common seal of the Fifth Respondent and witnessed by the Third and Fourth Respondents. The legal charge was duly executed and witnessed on 7 November 1989 and thereafter, the Fifth Respondent was accorded the financial facilities it had sought from the Appellant. These facilities, according to the Third Respondent were used in the construction of a Hall and a Laboratory block for Afraha High School. The Fifth Respondent defaulted in the payment of the amount due to the Appellant and as at 30 November 1998 the amount due to the Appellant was KShs 20 001 371-50 and continues to accrue interest at the rate of 19% per annum. It is as a result of this default that the Appellant sought to exercise its statutory power of sale to realise its security and in December, 1998 it advertised for sale by public auction all that parcel of land comprised in Title Number Nakuru Municipality/Block 2/488 together with the fixures thereon. This prompted the filing of Nakuru High Court Civil Suit Number 566 of 1998 by the First and Second Respondents against the Third, Fourth and Fifth Respondents and the Appellant. Simultaneously with filing this suit, the First and Second Respondents took out a chamber summons under Order XXXIX, rules 1, 2, 3 and 9 of the Civil Procedure Rules, sections 3A and 63E of the Civil Procedure Act and all the enabling provisions of the law seeking a temporary injunction restraining the Appellant, Third, Fourth and Fifth Respondents by themselves, their agents, servants and/or employees from advertising for sale and/or selling or entering into the land comprised in Title Number Nakuru Municipality/Block 2/488 pending the hearing and determination of the suit above mentioned.

The chamber summons referred to above came up for hearing before Kasanga Mulwa J on 18 March 1999 who in his ruling dated 21 April 1999 had this to say:

> "The land the subject of the charge to the Bank has a school on it. A school cannot be viewed or handled like any other business which can be easily closed and/or sold. The Banks know very well that there are children's consideration to be taken into account whenever it comes to selling off a school for non-payment of debts. These considerations are taken into account by the Banks when they are lending money to such institutions. Disruption of education of the children can cause irreparable damage in this case because of the school element in the saga. I would be inclined to treat the granting of the injunction as necessary under the circumstances. The Bank's rights are not jeopardized by a temporary injunction. Their right to realise the security will only be delayed for the period it will take to finalize the case to determine whether the borrowers had the right to acquire the school as they did and to borrow money from, the Bank".

On the balance of convenience, the Learned Judge proceeded to grant the temporary injunction sought by the First and Second Respondents herein. It is the granting of this temporary injunction that has triggered the present appeal in which the Appellant puts forward four grounds of appeal the gravamen of

which is that no other interest over the land comprised in Title Number Nakuru Municipality/Block 2/488, save as is stipulated in the charge in its favour, could override its interest in the said land.

At the hearing of this appeal at Nakuru on 29 September 2001, counsel for the Appellant submitted that a glance at the pleadings in the superior court revealed that the land in question was in the name of the Fifth Respondent and had the Learned Judge addressed himself to this fact, he would have come to the conclusion that the First and Second Respondents had no claim over the charged property. They therefore did not demonstrate that they had a *prima facie* case with a probability of success in the superior court. On this account alone, according to counsel, the Appellant's appeal should succeed. Counsel for the Third, Fourth and Fifth Respondents concurred with this submission. Counsel for the First and Second Respondents, however, was of the view that as long as the title to the charged property was in dispute, the balance of convenience dictated that a temporary injunction be in place until the said dispute was resolved.

The sequence of granting an interlocutory injunction is firstly, that an Applicant must show a *prima facie* case with a probability of success if this discretionary remedy will enure in his favour; secondly, that such an injunction will not normally be granted unless the Applicant might otherwise suffer irreparable injury; and thirdly, when the court is in doubt, it will decide the application on the balance of convenience – see *Giella v Cassman Brown and Co Ltd* [1973] EA 358 at 360 letter E. These conditions are sequential so that the second condition can only be addressed if the first one is satisfied and when the court is in doubt then the third condition can be addressed.

In dealing with the application before him, the Learned superior court Judge skipped dealing with the first and second conditions referred to above and straight away proceeded to address himself on the third condition in regard to the application before him. Had he sequentially addressed himself on these conditions, he would, on the material before him, have found that the First and Second Respondents had no registered interest in the land comprised in Title Number Nakuru Municipality/Block 2/488 and therefore had not demonstrated that they had a *prima facie* case with a probability of success against the Appellant, Third, Fourth and Fifth Respondents. If that was so, no interlocutory injunction would have been available to them. In the result, we think that the Learned Judge was in error when he granted the First and Second Respondents an interlocutory injunction restraining the Appellant Third, Fourth and Fifth Respondents by themselves, their agents, servants and/or employees from advertising for sale and/or selling or entering into the aforesaid land pending the hearing and determination of the Nakuru High Court Civil Suit Number 566 of 1998. This appeal must therefore succeed. The same is allowed with the result that the order of the superior court granting the interlocutory injunction sought in that court by the First and Second Respondents is set aside with costs to the Appellant.

The costs of this appeal are also awarded to the Appellant.

For the Appellant:

Information not available

For the Respondents:

Information not available

Kitale v Kitale
[2001] 1 EA 90 (HCK)

Division: High Court of Kenya at Nairobi

Date of Ruling:	January 2001
Case Number:	1219/00
Before:	Mulwa J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Mortgage – Charge entered into by husband – Mortgaged property owned by husband – Wife contributing to payment of instalments – Monthly payments made on an irregular basis – Finance company seeks to sell mortgaged property – Whether wife having interest in mortgaged property – Whether wife having interest sufficient to permit her to redeem property.

[2] Practice – Suits – Similar subject matter and issues – First suit still unresolved when second suit filed – Whether second suit filed contrary to Civil Procedure Rules – Section 6 – Civil Procedure Act (Chapter 21).

Editor's Summary

In September 1995, the First Defendant secured the advance of KShs 250 320 to him by the Second Defendant, secured by a charge on the house that he was buying with the money. At that time, the First Defendant and his wife, the Plaintiff, were living in the house together with their two children. The First Defendant initially made repayments on the mortgage but the Plaintiff deponed that on several occasions she had had to contribute towards the payment of the monthly instalments and that as a result her name was included in the paying-in cash slips. Due to the irregular nature of the repayments, the house was advertised for sale to be conducted on 9 July 1996. On 5 July 1996 the Plaintiff filed a suit against her husband and the finance company seeking, inter alia, orders that she be assigned the mortgage obligations of her husband and that the Defendants be restrained from selling the house. Simultaneously with her suit she filed an application seeking a temporary injunction against the Defendants restraining them from selling the house pending further orders of the court. The application was granted. Some time thereafter the couple experienced marital difficulties, which eventually led to the dissolution of the marriage in June 2000. On 4 April 2000, the Plaintiff obtained a further injunction restraining the finance company from auctioning the house for a period of three months on the condition that she established her rights over the property within that period. She failed to comply with the order. Instead, on 2 August 2000, she brought the present suit against the Defendants seeking orders to restrain the Defendants from selling the house, declarations that she had a right to occupy the house and that she had a legal and equitable interest in it by virtue of which she was entitled to redeem the property. The Plaintiff's main ground supporting her application was that as she had contributed toward the payment of the instalments, she had acquired an interest in the property. The Defendants opposed the application on the ground that the Plaintiff had failed to comply with the orders given on 4 April 2000 in the earlier 1996 suit and that that suit, which was still pending before the Commercial Court, dealt with the same issues as

the current suit. They contended that the current suit was therefore filed contrary to the provisions of section 6 of the Civil Procedure Act (Chapter 21).

Held – The issues in the current redemption case were similar to those in the 1996 case by necessity but, in the earlier case, the Plaintiff was seeking the transfer of her husband's interest in the mortgage to herself, whereas in the current case she was seeking to establish her interest in the property. The provisions of section 6 were therefore not offended.

Where a spouse bought property intended for common use with the other, that did not, *per se*, give the latter any proprietary interest in the property. The spouse seeking to establish a beneficial interest in the property could only do so by establishing that the legal owner held the property in trust for him or her. In this instance, there was sufficient evidence on record to show that the First Defendant held a beneficial interest in trust for his wife.

A mortgagor and all persons having an interest in the mortgaged property had the right to redeem the property; *Pearce v Morris* [1969] 5 Ch App 229 applied. The Plaintiff, having shown that she had an interest in the property, thus had a right to redeem it. The Plaintiff's share of the property would be calculated under ordinary equitable principles and in the complex circumstances of this case, a half share of the suit property would be the fair solution; *National Provincial Bank v Ainsworth* [1965] 2 All ER 472 followed. The Plaintiff would be allowed to redeem the property by paying the amount due to the finance company within six months. She would then have to pay the First Defendant a sum equivalent to half the value of the house less the amount paid to the Second Defendant.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Housing Finance Co of Kenya Ltd v Kimeria and another [1996] LLR 471 (CAK)

Uhuru Highway Development Ltd v Central Bank of Kenya and others [1995] LLR 2177 (CAK)

United Kingdom

Gissing v Gissing [1970] 2 All ER 7

National Provincial Bank Ltd v Ainsworth [1968] All ER 1175 – **F**

National Provincial Bank Ltd v Ainsworth [1965] 2 All ER 472 – **F**

Pearce v Morris [1969] 5 Ch App 229 – **AP**

Thornborough v Baker [1625] 3 Swan 628

Walker v Jones [1866] LR IPC 50

Ruling

MULWA J: The Applicant has filed this redemption action by way of an originating summons in which she is asking for orders inter alia to restrain the First and Second Defendant from alienating that property known as Nairobi Block

72/341 – House Number A43 situated at Onyonka Estate (hereinafter referred to as the suit property). The application is supported by an affidavit sworn by the Applicant. The Applicant's main grounds in support of the claim are that the Plaintiff/Applicant had contributed towards the acquisition of the property and that the Defendants allowed her to make further payments towards the repayment of the loan thereby acquiring some interest in the property. She maintains that she is willing to redeem the property by paying the amount owing.

The application is opposed by the Defendants on the grounds that the court had made an order directing the Plaintiff in civil suit number 1651/1996 to establish her interest in this property within a period of 3 months which she did not. That there is a suit pending in Milimani Commercial Court in which the issues canvassed in this application are the same as issues in that application and that the Plaintiff is a stranger to the contract between the First and Second Defendants.

The Defendants rely on the authority in the case of *Housing Finance Co of Kenya Ltd v Kimeria and another* [1996] LLR 471(CAK) and on the ground that the Second Defendant as a financier is a stranger to the matrimonial dispute between the Plaintiff and the First Defendant which matrimonial dispute should not act as a clog to the Defendants' statutory rights under the charge.

Indeed there is a pending civil suit number 1651/1996 (OS) dated 5 July 1996 and filed on the same day. In that suit, the Plaintiff therein and herein is seeking *inter alia* orders that she be assigned the mortgage obligations of the Second Defendant/Respondent with the First Defendant/Respondent (the First and Second Defendant/Respondent in this suit respectively), and an injunction restraining the Defendants by themselves or their agents from seeking and/or disposing of LR Number Nairobi Block/72/341 Onyonka Estate fill the determination of the suit.

By a chamber summons dated and filed on the same day and brought under certificate of urgency, the Plaintiff sought a temporary injunction restraining the Defendants from selling the suit property pending further orders of the court. This Court sitting at the Milimani Commercial Court in High Court civil case number 1651/96 (OS) gave an order on 4 April 2000 restraining the Second Defendant herein from auctioning the suit property for a period of three months within which period, the Plaintiff was to establish her rights over the suit property and in default the application was to stand dismissed.

The Plaintiff failed to comply with the said orders on time and needless to say the application, that is to say the chamber summons dated 5 July 1906 stood dismissed. This is not in dispute. The order was made on 4 April 2000. The grace period given expired on 4 July 2000. The present suit was brought on 2 August 2000. There was obviously a delay but it was such a delay which in my view is excusable.

The Plaintiff has now brought this redemption suit. It is the Defendant's case that the issues canvassed in the instant suit are similar to those in High Court civil case number 1651/96 (OS) and therefore the present suit offends the provisions of section 6 of the Civil Procedure Act.

The Plaintiff is now seeking to establish her rights over the suit property. Therefore of necessity, the issues may be similar to those canvassed in High Court civil case number 1651/96 (OS). It is noteworthy that the Plaintiff in

High Court civil case number 1651/96 (OS) sought orders that she be assigned the First Defendant's mortgage obligations to the Second Defendant herein and that the Defendants be restrained from selling the suit property. The pertinent orders the Plaintiff is now seeking in her originating summons are:

1. A declaration as against the First Defendant that the Plaintiff together with the Minor Children of the marriage has a right of occupation in the former matrimonial home known as Title No. Nairobi Block 72/341 House Number A43 situate at Onyonka Estate, Nairobi.
2. A declaration that the Plaintiff has a substantial legal and equitable interest in the said property as this Honourable Court may determine.
3. A declaration that the First Defendant has by his conduct willfully wasted the former matrimonial home aforesaid by failing to make or to continue to make any or any timely monthly mortgage repayments to the Second Defendant and has consequently forfeited all his interests in the said property.
4. A declaration that being a person having a legal and equitable interest in the mortgaged property the Plaintiff is entitled to redeem the same.

In the supporting affidavit the Plaintiff has sought to establish her rights in the suit property. The orders sought as outlined above are in terms of the orders made on 4 April 2000 in High Court civil case number 1651/96 (OS). I am satisfied that the present suit does not offend the provisions of section 6 of the Civil Procedure Act. In any case, this matter cannot be finalized by resorting to technicalities but by dealing with the issues in dispute between the parties. Applying technicalities will only serve to delay the already protracted proceedings.

The issues for consideration are, firstly whether the Plaintiff has a legal and equitable interest in the suit property and if so whether the Plaintiff is entitled to redeem the mortgage property. Lastly is the issue what, if any, is the Plaintiff's share in the suit property.

I shall consider these issues in that order.

It is the Plaintiff's case that she contributed towards the acquisition of the suit property during the subsistence of the marriage between her and the Second Defendant. The Plaintiff therefore asks this Court to make a declaration that she has legal and equitable interest in the suit property.

The background of this matter is that by a charge dated 5 September 1995 the First Defendant charged the suit property for an advance of KShs 250 320 given by the Second Defendant. The First Defendant and Plaintiff were at the material time husband and wife respectively. Their marriage was solemnized on the 31 August 1985 though they had been living as husband and wife since November 1982. Since the celebration of the marriage, the First Defendant, the Plaintiff and the two issues of the said marriage lived in the suit property as their matrimonial home until the First Defendant left the Plaintiff and the children of the marriage.

In July 1997 the First Defendant filed a petition for divorce against the Plaintiff in Divorce Cause Number 56 of 1997. The Plaintiff cross-petitioned on 14 December 1997. The Plaintiff was granted a decree *nisi* on the grounds of the First Defendant's desertion. The decree *nisi* was made absolute on 16 June 2000. There was no application or orders in respect of the matrimonial property.

The matrimonial home was purchased by First Defendant (ex-husband) in his sole name. The purchase was partly financed by the First Defendant's employers by way of a loan to him to meet the deposit requirement and the balance was paid through an advance from the Second Defendant herein. The home was charged to the Second Defendant to secure the said advance. The repayment period was fifteen years.

The repayment was mainly made by the husband. The Plaintiff depones in her affidavit, that the First Defendant did not contribute towards the purchase of food and other household necessities or school fees for the children save when the Juvenile Court in civil suit number PS 289 of 1995 gave an order for attachment of the First Defendant's salary on the 19 February 1997 which was stopped in July 1997. The Plaintiff depones that repayments were made on irregular basis and the mortgage regularly fell in arrears. The Plaintiff on various occasions had to contribute towards the payment of monthly instalments and had to frequently borrow to make repayments to prevent the sale of the house. Subsequently, the First Defendant requested the Second Defendant to include the Plaintiff's name in the title.

This was not done but her name was included in the cash paying-in slips. The arrears increased, leading to the house being advertised for sale on 9 July 1996. On 9 July 1996 the Plaintiff made on application by way of an originating summons in civil suit number 1651 of 1996 and now this suit.

It is trite law as has been expounded in *Bromley's Family Law* Edition at page 585, that where a spouse buys property intended for common use with the other, it cannot *per se* give the later any proprietary interest. However if either seeks to establish a beneficial interest in the property, the legal title which is vested in the other, she/he can do so only by establishing that the legal owner holds the property in trust for the claimant.

In *Gissing v Gissing* [1970] 2 All ER 7 the House of Lords held that the question whether the contributing spouse is entitled to a beneficial interest in the matrimonial house is a matter dependant on the law of trust where a matrimonial home is purchased but conveyed into the name of one spouse only and there was no agreement as to sharing of the beneficial interest in the matrimonial home and the spouse in whose name the matrimonial home was purchased evidenced no intention that the contributing spouse should have a beneficial interest therein.

I am convinced by the evidence on record that the Plaintiff did contribute towards the purchase of the suit property. Even without her direct contribution I would still find that the First Defendant is holding the Plaintiff's beneficial interest in the suit property in trust for the Plaintiff. This is because she did shoulder all by herself the housekeeping expenses and school fees for the children. There was also a clear intention by the ex-husband that the Applicant would have beneficial interest in the property as evinced by the intention to include her name in the title and the payments she was allowed to make by the First Defendant to the Second Defendant. I do so on the authority of the holding in *Gissing v Gissing* (*supra*) in support of the view that there is no distinction to be drawn in law between the position where a contributing spouse makes direct contributions towards the purchase of the matrimonial home and where the contributing spouse makes indirect contribution.

In view of the foregoing, I find that the Plaintiff has a beneficial interest in the suit property which interest the First Defendant is holding in trust for the Plaintiff.

It is the Plaintiff's further case that the First Defendant has willfully refused to make mortgage repayments to the Second Defendant and has consequently forfeited all his interest in the suit property and asks the court to make a declaration that, being a person with legal and equitable interest in the mortgaged property, the Plaintiff is entitled to redeem the same.

It is evident that the First Defendant has not taken any step to rescue the suit property from being sold by the Second Defendant.

The persons entitled to redeem a mortgage property are set out in the *Halsbury's Law of England* (3 ed) Volume 27 at 232–235. The mortgagor and all persons having any interest in the property subject to the mortgage or liable to pay the mortgage debt can redeem in *Pearce v Morris* [1969] 5 Ch App 229 at 22. It was even held that it is immaterial to the mortgagee, so far as the mortgagor's right to redeem is concerned whether the mortgagor's title to the mortgaged property is good or bad; the mortgagee is not entitled to dispute it and an assignee of a mortgage is in the same position as the mortgagor in *Walker v Jones* [1866] LR IPC 50 at 66. Persons claiming under a mortgagor and persons claiming possessory rights are also entitled to redeem the same.

The law as outlined in *Halsbury's Laws of England* (*supra*) paragraph 242 is that, after the day fixed in the mortgage contract for payment of the principal sum has passed and default has been made a mortgagor has an equitable right to redeem the property. A mortgagor who desires to discharge the mortgage debt must tender to the mortgagee the full amount that is due.

Any mortgagor or any person having the right to redeem like the Plaintiff herein may bring redemption proceedings. Such an action must contain whether expressly or by implication an offer to redeem as is stated in *Halsbury's Law of England* (3 ed) Volume 27 paragraph 851.

The Defendants rely on the Court of Appeal's decision in civil appeal number 214 of 1996 *Housing Finance Co of Kenya Ltd v Kimeria and another* [1996] LLR 471(CAK) in which the Court of Appeal held that any suit under section 17 of the Married Women's property Act 1882 of England is for a speedy resolution of the issue of shares, if any, the wife is entitled to in the matrimonial property; that issue can be of no concern to the chargee. That is the law and the decision is binding on this Court. However, in *Kimeria*'s case, the dispute was between husband and wife as to the share of the property. In the instant case, the Plaintiff is claiming legal and equitable interest and has been denied a chance to redeem while it is argued for the Plaintiff that as a person with legal and beneficial interest who is willing and capable of paying off the arrears, she ought to be given a chance in the interest of justice to redeem. Therefore it is distinguishable from *Kimeria* case where the wife knew of the arrears but was only seeking her share of the property. In fact, in this case the wife is actually seeking a chance to take over the mortgage responsibilities of her ex-husband and pay it off. Unfortunately, the Second Defendant has stood in the Plaintiff's way towards this end. The Plaintiff while she is capable of meeting the Second Defendant's demand for payment of arrears has been shut out. At the end of the day, the Second Defendant can go ahead and exercise its Statutory Power of Sale.

The next issue for consideration is the quantification of the shares. This is difficult in a case like this where the spouses' financial affairs were so intricably entangled. Whereas the First Defendant made mainly direct monthly mortgage repayment, and it is expected he made some contribution towards the running of the home, the Plaintiff mainly indirect contribution and some direct contribution on. The only possible solution is an equal division as the court held in *National Provincial Bank Ltd v Ainsworth* [1968] All 1175, 1236, [1965] 2 All ER 472, 487. After all equality is equity. In whole the circumstances of this case, I hold that the Plaintiff is entitled to half share of the suit or mortgage property.

The lender ought not to harass the borrower unnecessarily when payment of the mortgage money due is possible. As shall be demonstrated the Plaintiff has a legal and equitable interest in the suit property and notwithstanding the other authority cited by the Second Defendant's counsel, namely the case of *Uhuru Highway Development Ltd v Central Bank of Kenya and others* [1995] LLR 2177 (CAK) in which Kwach JA held that a court should not grant an injunction restraining a mortgage from exercising its Statutory Power of Sale except under the circumstances stated in *Halsbury's Laws of England* Volume 32, Paragraph 725, it is my considered view that the Plaintiff ought to be granted a chance to redeem. The Second Defendant will not suffer any detriment if this course of action is adopted. There is clearly a distinction in that Plaintiff seeks to exercise his equity of redemption but Second Defendant is unwilling and is insisting on exercising it Powers of Sale.

My views are not without support. In Chesire and Burns' *Modern Law of Peal Property* (10 ed) at 626, the learned authors state that, in equity, the essential object of a mortgage is to afford security to the lender, and as long as the security remains intact there is no justification for expropriating the property of the mortgagor merely because of his failure to make prompt payment. I also wish to quote the words of Lord Nottingham in *Thornborough v Baker* [1625] 3 Swan 628 at 630 who stated: "In Natural Justice and equity the principal right of the mortgagee is to the money, and his right to the land is only as a security for the money".

In the instant case, the money is there. There is evidence that the Plaintiff is willing and capable of paying the mortgage debt off. I do not see why the Second Defendant has to insist on selling the suit property, when it will not suffer much as compared to the Plaintiff whose equity of redemption will be extinguished by the sale in exercise of Statutory Power of Sale.

In the foregoing the Plaintiff's redemption action succeeds and I make the following order: The Plaintiff is directed to pay to the Second Defendant the amount due in full within six months upon which the Second Defendant shall effect an appropriate discharge and release the title documents to the Plaintiff. The Plaintiff should pay the First Defendant a sum equivalent to half the value of the house upon valuation by a registered valuer less the amount paid to the Second Defendant. I also direct that if the Plaintiff makes default in such payment her action is to stand dismissed with costs.

For the Plaintiff:

Information not available

For the Defendants:

Information not available

Kokwony v Republic

[2001] 1 EA 97 (CAK)

Division: Court of Appeal of Kenya at Nakuru

Date of judgment:	21 February 2001
Case Number:	153/00
Before:	Chunga CJ, Shah and O'kubasu JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Criminal law – Murder – Provocation – Deceased attacking Appellant's brother – Whether defence of provocation available to Appellant – Sections 203, 204 and 208(1) – Penal Code (Chapter 63).

Editor's Summary

On 23 April 1999, the deceased, whilst armed with a panga, went to the house of Musa Kokwony, the Appellant's brother, to complain that Musa Kokwony's goats had trespassed onto his farm. Despite Musa's offer to pay for any damage caused, the deceased cut Musa Kokwony on the head. Jennifer Kokwony, Musa Kokwony's sister, who had witnessed the incident, ran to Musa's aid and helped him disarm the deceased. The Appellant, on hearing the alarm raised by other members of the household, came to the scene and asked the deceased the reason for the quarrel. The deceased responded by throwing stones at him. Musa then brought a bow and arrow from the house and shot at the deceased but missed. The Appellant then picked up the bow and arrow and shot at the deceased as he ran away. He hit him in the ribs thus causing his death. At his trial, the Appellant's confessionary statement, admitted without objection, together with Jennifer's evidence, formed the basis of the prosecution case. The Appellant was found guilty of murder contrary to section 203 as read with secton 204 of the Penal Code (Chapter 63) and sentenced accordingly. He now appealed on the ground that, in view of the issue of provocation that he had raised, the trial Judge had erred in convicting him of murder.

Held – Where there was any evidence of provocation, then the question of whether or not the accused was legally provoked should be left to the assessors to decide; *Bullard v R* [1961] 3 All ER 470 considered, *Dato s/o Mtaki v R* [1959] EA 860 approved. An accused did not have to prove provocation. All he had to do was to raise reasonable doubt as to its existence; *Kenga v R* [1999] LLR 969 (CAK) followed. In the circumstances, if the defence of provocation had been considered, it was doubtful that the trial Judge would have convicted the Appellant of murder. The appeal would be allowed, the conviction for murder set aside and substituted with one for manslaughter.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Dato v R [1959] EA 860 – **APP**

Kenga v Republic [1999] LLR 969 (CAK) – **F**

Omer v R [1958] EA 725

United Kingdom

Bullard v R [1961] 3 All ER 470 – **C**

Judgment

CHUNGA CJ, SHAH and O'KUBASU JJA: The Appellant Paul Kokwony was convicted of murder contrary to section 203 as read with section 204 of the Penal Code and sentenced to death, such sentence being the only mandatory punishment provided under the law. He now comes to this Court appealing against that conviction (by Ondeyo J). There were originally three grounds of appeal but when the appeal came up for hearing before us on 19 February 2001, Mr Mbugua for the Appellant decided to argue only the first ground of appeal which stated as follows:

"(1) The trial Judge erred in law in finding that there was sufficient evidence to convict the accused in view of the defence of provocation which was raised by the Appellant".

The facts of this appeal were not in dispute since the Appellant himself gave a detailed confessionary statement which was admitted in evidence in the superior court without objection. Indeed, prosecution case was based mainly on the evidence of Jennifer Kokwony (PW2) a young girl then aged fifteen years, and the statement by the Appellant. On the material day (23 April 1999) at about 3:00pm the young girl Jennifer (PW2) was at home with her brother Musa Kokwony when the deceased came to complain that Musa Kokwony's goats had grazed in his maize farm. The deceased had a panga. Musa Kokwony pleaded that he would pay for destroyed maize but the deceased cut Musa Kokwony on the head with the panga. PW2 then ran to the house and helped Musa Kokwony to disarm the deceased. As this struggle continued the children in that home raised alarm and that is when the Appellant came to the scene only to find his brother (Musa Kokwony) having been injured by the deceased. The Appellant asked the deceased why he was quarrelling with Musa Kokwony but the deceased, instead of answering the question, started throwing stones at the Appellant. Musa Kokwony then entered the house, came out with a bow and arrow, and shot at the deceased but missed him. The Appellant then picked up the bow and arrow and shot at the deceased hitting him in the ribs. The deceased died as a result of this injury inflicted by the arrow.

Mr *Mbugua* for the Appellant submitted that the defence of provocation was not considered as it was not even mentioned in the judgment of the Learned trial Judge.

The learned Principal State Counsel Mr Oriri *Onyango* supported the conviction of the Appellant and went on to argue that failure by the Learned trial Judge to explain provocation to assessors did not prejudice the Appellant's case.

He relied on the authority of *Abdullahi Ali H Y Ogad Omar v R* [1958] EA 725 to support his submission in which it was stated:

> "With respect we thought that it was not correct to remove the question of sufficient provocation or no sufficient provocation from the assessors. However, since the Learned Judge in the next sentence of his judgment found as a fact, as he was entitled to do, that the story that the woman refused to go home at that time and in that situation, was not credible, it is clear that he would have overridden the assessors whatever their opinions on the question of provocation might have been. Accordingly his omission to mention provocation in the summing-up did not affect the result".

We have considered the facts of this appeal and the submissions by counsel appearing and it is now clear to us that the main issue here is provocation. Section 208(1) of the Penal Code provides:

> "The term 'provocation' means and includes, except as hereinafter stated any wrongful act or insult of such a nature as to be likely, when done to an ordinary person or in the presence of an ordinary person to another person who is under his immediate care, or to whom he stands in conjugal, parental, filial or fraternal relation or in the relation of master or servant to deprive him of the power of self-control and to induce him to commit an assault of the kind which the person charged committed upon the person by whom the act or insult is done or offered".

The facts in this appeal show that the Appellant answered the alarm raised by the children who were at the home of his brother Musa Kokwony and on proceeding to that home found the deceased having cut and injured his brother Musa Kokwony. The deceased was asked why he was quarrelling with Musa Kokwony. Instead of answering that question the deceased resorted to throwing stones at the Appellant. It was during the fracas that the Appellant picked up the bow and arrows and shot at the deceased and as a result the deceased died. The issue now is, whether in view of these circumstances, the defence of provocation was available to the Appellant. In *Bullard v R* [1961] 3 All ER 470 the reasons of the Judicial Committee were delivered by Lord Tucker and the material passage of his opinion was as follows:

> "It has long been settled law that if on the evidence, whether of the prosecution or of the defence there is any evidence of provocation fit to be left to a jury, and whether or not this issue has been specifically raised at the trial by counsel for the defence and whether or not the accused has said in terms that he was provoked, it is the duty of the judge, after a proper direction, to leave it open to the jury to return a verdict of manslaughter if they are not satisfied beyond reasonable doubt that the killing was unprovoked".

And coming back home we like to refer to the second holding in *Dato s/o Mtaki v R* [1959] EA 860 which is as follows:

> "(i) …
>
> (ii) the Judge had himself wrongly considered the question whether the probability of legal provocation had been established and it was not the law in East Africa that for the defence of provocation to succeed, it must appear that the accused was so provoked as to be incapable of forming an intent to kill or cause dangerous harm".

And in a recent decision in *Kenga v Republic* [1999] LLR 969 (CAK) this Court stated:

> "It is a settled principle of law that the accused does not have to prove provocation but only to raise a reasonable doubt as to its existence. There is positive and unrebutted evidence that the Appellant went wild and lost his power of self-control so soon

> as he saw the deceased on his homestead. The visit despite constant warning was totally uncalled for and was at most meant to annoy the Appellant. In our view the act constituted grave provocation on his part as it appeared that the killing of his sister was still weighing heavily on his heart".

In this appeal we find that the deceased was initially the aggressor who came to complain about the goats of Musa Kokwony having destroyed his maize. The deceased was armed with a panga which he used in cutting Musa Kokwony. The Appellant being Musa's brother rushed to that home where he found that the deceased had already injured Musa Kokwony. It was during these disturbances that the Appellant took a bow and arrow and shot the deceased to death.

In concluding her judgment the Learned trial Judge stated:

> "Although initially the deceased was the aggressor, having gone to Musa's homestead to attack Musa because Musa's goats had grazed on his maize, the accused who went to that home to find out what was happening acted irresponsibly when he shot and injured a man who posed no danger to him or to anyone else in the home".

In our view this incident ought to be looked at right from the time the deceased came to the home of Musa Kokwony up to the time he was shot by the Appellant. The deceased, as correctly stated by the Learned trial Judge, was the aggressor. He came ready to cause harm to Musa Kokwony and he demonstrated his determination by cutting Musa Kokwony on the head. He did this despite being told that the damage caused to his maize would be paid for. When the Appellant came to the scene he inquired as to why the deceased and Musa Kokwony were quarrelling. The Appellant was still showing violent tendencies as he started throwing stones at the Appellant and his brother Musa Kokwony. It is probable that the Appellant took the deceased's threat to return to harm Musa or the Appellant seriously and that therefore he shot the arrow whilst the deceased was running away. It is also probable that the Appellant's temper did not cool down immediately upon seeing the deceased run away. In all the circumstances of this case we think that the Learned Judge placed so much emphasis on the fact of the deceased's flight when he was shot at by the Appellant so as to omit proper consideration of the defence of provocation.

Taking all these facts into account, and in view of what has been stated in decided cases on the principle of law relating to the defence of provocation, we are of the view that the Appellant's defence of provocation ought to have been considered. It follows that had the Learned trial Judge considered that defence carefully we doubt if she would have convicted the Appellant on a charge of murder.

In view of all that we have said, we allow this appeal, set aside the conviction for murder and substitute it with one of manslaughter contrary to section 202 as read with section 205 of the Penal Code. We impose a sentence of five years' imprisonment. The sentence is to run from the date the Appellant was sentenced by the superior court.

For the Appellant:

Information not available

For the State:

Information not available

Kuloba v Oduol
[2001] 1 EA 101 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 27 November 2001

Case Number: 1/00

Before: Visram J

Sourced by: LawAfrica

Summarised by: M Kibanga

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[1] Limitation of actions – Amendment introducing cause of action outside the limitation period – Whether Order VIA, rule 3(2) and (5) in conflict with section 4(2) of the Limitation of Actions Act (Chapter 22) and section 20 of the Defamation Act (Chapter 36) – Order VIA, rule 3(2) and (5) – Civil Procedure Rules – Section 4(2) – Limitation of Actions Act (Chapter 22) – Section 20 – Defamation Act (Chapter 36).

[2] Practice and procedure – Amendment of suit – Amendment introducing new cause of action – Whether amendment permissible – Order VIA, rule 3(2) and (5) – Civil Procedure Rules.

Editor's Summary

The Plaintiff was a judge of the High Court while the Defendant was an advocate of the same court. The Plaintiff on 4 January 2000 filed suit alleging that on 5 January 1999, the Defendant drew or caused to be drawn an affidavit by his client which was defamatory of the Plaintiff and published it to the media. On 31 January 2000 the Defendant filed defence and denied that allegation specifically.

On 18 April 2001 the Plaintiff filed an application seeking to amend his plaint and introduce an additional paragraph stating that on 5 January 1999 the Defendant re-published the affidavit before it was read in court.

The Defendant opposed the application, saying he would be prejudiced by the intended amendment as it sought to set up a new cause of action which was otherwise barred by the Limitation of Actions Act (Chapter 22) since actions for libel were required to be brought within one year of the cause of action arising.

Held – Order VIA, rule 3(2) and (5) of the Civil Procedure Rules allows amendments outside the period of limitation and which introduce a new cause of action. *Eastern Bakery v Castelino* [1958] EA 461, *Motokov v Auto Garage Ltd and others* number 2 of 1971 EA 353 and *Barclays Bank DCO v Shamsudin* [1973] EA 451 followed. Such amendment was allowed as it did not cause prejudice to the other party who was taken to have knowledge of such cause at the time the original pleading was filed. *Dornan v J Ellis and Co Ltd* [1962] 1 All ER 303 followed.

The periods of limitation do not confer any right to a defendant but only impose an obligation on the plaintiff to bring his claim within the stipulated period. Once a claim is brought within the period amendments can be allowed, even outside the period of limitation; *Mitchel v Harris Engineering Co* [1967] 2 QB 703 followed. Allowing an amendment outside the period of limitation was a matter of practice and procedure and did not affect the statutory period of

limitation provided it flowed from the same set of facts or substantially the same facts as the claim originally pleaded; *Joseph Ochieng and others v First National Bank of Chicago* CA 149 of 1991 (unreported) and *Kunguru v Lugonzo and another* [2001] LLR 1102 (CCK) explained. *Sheikh v United Africa Ltd and others* [1959] EA 864, *Maitha v Said and another* [1998] LLR 854 (CAK) and *Wilkinson v Andiff (BLT) Ltd* [1986] 1 WLR 1352 distinguished.

The amendment if allowed would not prejudice the Respondent because the case had not been heard and each party would have opportunity to present their case. Any prejudice could be cured by costs. *Intercom Service Ltd and others v Standard Bank Limited* High Court civil case number 761 of 1988 and *Cooper v Smith* [1984] 26 Ch D 700 followed.

The amendment was allowed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Barclays Bank DCO v Shamsudin [1973] EA 451 – **F**

Eastern Bakery v Castelino [1958] EA 461 – **F**

Intercom Service Ltd and others v The Standard Bank Nairobi HCCC number 761 of 1988 – **F**

Kunguru v Lugonzo and another [2001] LLR 1102 (CCK) – **E**

Maitha v Said and another [1998] LLR 854 (CAK) – **D**

Motokov v Auto Garage Ltd and others (No 2) [1971] EA 353 – **F**

Nurani v Lalji and others [2000] LLR 3037 (CAK)

Ochieng and others trading as Aquiline Agencies v First National Bank of Chicago Nairobi CA 149 of 1991 – **E**

Sheikh Mohamed Bashir v United Africa Ltd and others H9591 EA – **D**

Waljee's (Uganda) Ltd v Ramji Runjambhai Bugerere Tea Estates Ltd [1971] EA 188

United Kingdom

Cooper v Smith [1884] 26 Ch D 700 – **F**

Dornan v J Ellis and Co Ltd [1962] 1 All ER 303 – **F**

Mitchell v Harris Engineering Co [1967] 12 QB 703 – **F**

Pantin v Wood [1962] 1 QB 594

Wilkinson v Andiff (BLT) Ltd [1986] 1 WLR 1352 – **D**

Ruling

VISRAM J:

I Introduction

The Plaintiff in this case alleges that on 5 January 1999 the Defendant, an advocate of this Honourable Court, drew or caused to be drawn an affidavit sworn by one Nassir Ibrahim Ali. That affidavit was alleged to be defamatory of

the Plaintiff who is a judge of this Honourable Court. On 4 January 2000, the Plaintiff filed this suit against the Defendant claiming damages and an injunction. In paragraph 5 of the plaint it was alleged as follows:

> "5. The Plaintiff has established and the fact is that at 8.09am on the said date, prior to the filing of the said affidavit in court, the Defendant published the said affidavit to the media with the sole and dominant motive of giving the publication the widest possible coverage and causing maximum damage to the Plaintiff".

On 31 January 2000 the Defendant filed his defence in which he specifically denied, at paragraph 6, the foregoing matter. On 18 April 2001, the Plaintiff filed the application presently before the court under Order VIA, rules 3, 5 and 8 of the Civil Procedure Rules (hereinafter referred to as "the Rules") seeking to amend his plaint. The proposed amendments were as follows:

> "(a) At paragraph 4: To state that the affidavit was not only drawn but also published,
>
> (b) At paragraph 5 quoted above: By deleting the same and substituting thereof the following:
>
> 5a. The said allegations (in the affidavit complained of) were false.
>
> 5b. The Plaintiff has established and the fact is that at 8.09am on the said date (that is 5 January 1999), prior to the said Affidavit being read in court, there was a re-publication of the said libel of and concerning the Plaintiff by the Defendant to the Kenya Television Network and the media generally with the sole and dominant motive of giving the publication the widest possible coverage and causing maximum damage to the Plaintiff.
>
> (c) At paragraph 8: Changing the word 'Published' to 're-published'.
>
> (d) At paragraph 9(c), (d), (e) and (f): substantially similar changes as in (c) above".

In his affidavit in support of the application, the Plaintiff stated at paragraph 4 that "the breach of the Defendant lies in the fact that … (he) republished the said affidavit to the media, and in particular to the Kenya Television Network on the same date (that is 5 January 1999) before it was read out in court".

The Defendant is opposed to the application. In his replying affidavit filed on 25 May 2001 the Defendant has deponed that he would be prejudiced by the intended amendment as it sought to set up "a fresh cause of action which is otherwise barred by the Limitation of Actions Act".

The issue before this Court, therefore, is whether the proposed amendment should be disallowed on the grounds that it seeks to introduce a *new* cause of action which is now time barred. If I may, let me first set out the applicable law relating to an application of this nature.

II The Law

I will start with the law applicable to periods of limitation in cases of defamation. Thereafter, I will deal with the law on amendment of pleadings.

(a) Periods of Limitation In Cases of Defamation

Section 4(2) of the Limitation of Actions Act (Chapter 22) provides as follows:

> "4 …
>
> (2) An action founded on tort may not be brought after the end of three years from the date on which the cause of action accrued:
>
> Provided that an action for libel or slander may not be brought after the end of twelve months from such date" (underlining supplied).

The proviso in that subsection was introduced by section 20 of the Defamation Act (Chapter 36). The matter is quite clear and I need not say anything on it at this point.

(b) *The Law on Amendment of Pleadings*

Here, I will set out the statutory provisions first and thereafter discuss the general principles including case law and what the commentators have said on the subject.

1. Statutory Provisions

The general power of this Court in respect of amendment is found in section 100 of the Civil Procedure Act which provides as follows:

> "100. The court may at any time, and on such terms as to costs or otherwise as it may think fit, amend any defect or error in any proceedings in a suit; and all such amendments shall be made for the purpose of determining the real question or issue raised by or depending on the proceeding".

That power is also found in Order VIA of the Rules. That Order deals with amendments which can be done with and without the leave of the court. Here, we are concerned with amendments which require the leave of the court. That is dealt with under Order VIA, rule 3 of the Rules. Under subrule 1, the court is empowered to allow a party to amend his pleadings at any stage of the proceedings "on such terms as to costs or otherwise as may be just and in such manner as it may direct". The rule deals with various situations when amendments can be allowed but our concern here is with subrules (2) and (5). Those subrules provide as follows:

> "(Order VIA, rule 3) …
>
> (2) Where an application to the Court for leave to make an amendment such as is mentioned in subrule (3), (4) or (5) is made after any relevant period of limitation current at the time of filing of the suit has expired, the court may nevertheless grant such leave in the circumstances mentioned in such subrule if it thinks just so to do.
>
> (5) An amendment may be allowed under subrule (2) notwithstanding that its effect will be to add or substitute a new cause of action if the new cause of action arises out of the same facts or substantially the same facts as the cause of action in respect of which relief has already been claimed in the suit by the party applying for leave to make the amendment".

2. Case Law and Commentaries

The question of amendment of pleadings has been considered widely by the courts and been the subject of wide discussion by legal scholars. In *Eastern Bakery v Castelino* [1958) EA 461, Sir Kenneth O'Connor P, sitting with Gould JA and Sir Owen Corrie AJA in the former Court of Appeal for Eastern Africa enunciated the following principles as governing the Court in deciding whether or not to allow amendments:

> "(a) Amendments to pleadings sought before the hearing should be freely allowed if they can be made without injustice to the other side. In this respect, there is no injustice if the other side can be compensated by costs.
>
> (b) The court will not refuse to allow amendment simply because it introduces a new case. However, there is no power to enable one distinct cause of action to be substituted for another nor to change by amendment the subject matter of the suit".

The general principle stated in that case is that an amendment should not be allowed if it causes injustice to the other side. At the time of the *Castelino* case, our Order VIA, rule 3(2) and (5) above had not been enacted. That rule clearly allows for amendments outside the period of limitation and which introduce a new cause of action in stated situations. It is unclear whether *Castelino* excludes all amendments outside the period of limitation but I think this is catered for by the new rule. (See also *Motokov v Auto Garage Ltd and others* number 2 of 1971 EA 353.) Chanan Singh J in deciding a similar application in *Barclays Bank DCO v Shamsudin* [1973] EA 451 substantially followed the provisions of Order VIA, rule 3 at a time when those provisions had not been enacted. What I am trying to bring out is that the courts had recognized the need for allowing certain amendments which were outside the period of limitation and/or which sought to introduce a new cause of action even before Order VIA, rule 3 of the Rules was enacted. Such amendments are those which flowed from the same facts as the originally pleaded claim. The rationale of allowing such amendments is that they do not cause any prejudice to the other party who is taken to have knowledge of such cause at the time the original pleading is filed. In considering similar provisions under the English Rules, the learned authors of *The Supreme Court Practice* 1988 said as follows at 351:

> "[I]f the proceedings had been, from the beginning, properly formulated or constituted in the circumstances specified … the defence of limitation would not have been available to the Defendant, and accordingly, if in its discretion, the court thinks it just to grant leave to amend the defects in the writ or pleading within the scope of the circumstances specified … so that such defects in the proceedings are treated as having been cured *ab initio*, the Defendant is not being deprived of the benefit of a defence which he would not have had if the proceedings had been so properly formulated or constituted in the first place. To contend that in the cases specified in these paragraphs, that the Defendant had an existing right which will be prejudiced by the amendment is to argue in a circle, since he only has an existing right if one presupposes that the court will not use its powers to amend under Order 20, rule 8 and Order 15, rules 6, 7 and 8 (see per Holroyd Pearce, LJ in *Pantin v Wood* [1962] 1 QB 594, at 609; [196211 All ER 294, 298)".

Lord Denning in his character said as follows in *Mitchell v Harris Engineering Co* [196712 QB 703 at 718 in this respect:

> "Some of the Judges in those cases spoke of the Defendant having a 'right' to the benefit of the Statute of Limitations: and said that that 'right' should not be taken away from him by amendment of the writ. But I do not think that was quite correct. The Statute of Limitations does not confer any right on the Defendant. It only imposes a time limit on the Plaintiff. Take the statute here in question. It is section 2 of the Limitation Act, 1954. It says that in the case of actions for damages for personal injuries for negligence, nuisance or breach of duty 'the action shall not be brought' after the expiration of three years from the date on which the cause of action accrued. In order to satisfy the statute, the Plaintiff must issue his writ within three years from the date of the accident. But there is nothing in the statute which says that the writ must at that time be perfect and free from defects. Even if it is defective, nevertheless the court may, as a matter of practice, permit him to amend it. Once it is amended, then the writ as amended speaks from the date on which the writ was originally issued and not from the date of the amendment. The defect is cured and the action is brought in time. It is not barred by statute … In my opinion, whenever a writ has been issued within the permitted time, but is found to be defective, the Defendant has no right to have it remain defective. The court can permit the defect to be cured by amendment: and whether it should do so depends on the practice of the court. It is a matter of practice and procedure".

In the same case Russel LJ said as follows at 721:

> "We were referred to a number of cases in which the courts have declined to permit amendments which would have the effect of depriving a party of the ability which he would have in any fresh proceedings to take advantage of the Statute of Limitations. It was urged that these were based rather upon an inability in point of substantive law to deprive a person of a right conferred upon him by the Statute of Limitations than upon settled practice … But I take these cases to have been decided on grounds of settled practice, albeit attributable to the parties position *vis-à-vis* the Statute of Limitation. So far as I am aware no judge said that it would be outside the jurisdiction of the court to allow the amendment in question: and if it were thought to be a question of substantive law, this would surely have been the immediate and short answer to the applications to amend".

I must say once again that the English provisions on the question are materially if not word for word similar with our Order VI, rule 3(2) and (5) of the Rules.

The learned author of *The Code of Civil procedure v Prakash and M Siraj Salt* [1995] Professional Book Publishers, New Delhi) and *Mulla The Code of Civil Procedure* (Abridged Edition) (12 ed) (PM Bakshi, NM Tripathi Private Ltd, Bombay) also discussed the matter and agree that amendments that do not cause injustice to the other side should be allowed. In *The Code of Civil Procedure*, it is stated at 281 "one cause of action cannot be substituted by another cause by way of amendment … [N]o amendment can be allowed when the effect of the amendment is to take away from the other side a valuable right accrued to it by the lapse of time". *Mulla* has similar statements. However, it appears that the Indian position is slightly different in view of the express provisions of our Order VI, rule 3 of the Rules and may not provide a clear guide on this question.

Briefly, those are the principles of law to be applied in deciding this application. It is common ground that leave in these matters is a discretionary power: a power that is wide provided that if the court decides to allow an amendment it should do so upon such terms as are just. Now, the question is whether, looking at the circumstances of this case, it is fair and just to allow the amendment sought. Is it one of the amendments contemplated under Order VIA, rule 3 of the Rules? Does the Defendant stand to suffer any prejudice that cannot be compensated by costs? I will answer these questions shortly.

III Analysis

Mr *K'Owade* for the Defendant began by arguing that Order VIA of the Rules could not apply to change the statutory provisions under Chapters 22 and 36 which limit the time within which a defamation case may be brought. There were suggestions in his submission that that Order was inconsistent with the express stipulations of the mentioned statutes and contrary to section 31(*b*) of the Interpretation and General Provisions Act (Chapter 2) which provides that no subsidiary legislation should be inconsistent with any Act. It is common knowledge that subsidiary legislation must conform with the statement of Parliament in its enactments. Section 81 of the Civil Procedure Act under which the Rules are made itself provides that the Rules must conform with the Act. However, Mr *K'Owade*'s argument here will not come to bear. The answer to that argument is found in the statements of Lord Denning and Russell LJ in the *Mitchell* case reproduced earlier in this ruling. The Learned Judges in that case discussed this matter very well. In broad terms, Lord Denning stated that the periods of limitation do not confer any right to a defendant

but only imposes an obligation on the plaintiff to bring his claim within the stipulated period. Once the claim is brought within the period amendments can be allowed, even outside the period of limitation in the specified situations. This is not an attack on the statutory period of limitations but a matter of practice and procedure. It cannot be said with justification that allowing an amendment under the Rules outside the periods of limitation is inconsistent with the statutory law on the matter. The function of the court in that case is to weigh the interests of both parties and to decide whether the amendment sought will enable it to determine the real question or issue in controversy between the parties.

This is a matter of procedure and practice and does not in any way refer or affect the statutes on periods of limitations. In fact the rule complained of is clear in terms of what amendments outside the period of limitation may be allowed: those that flow from the same set of facts or substantially same facts with the claim originally pleaded. That should have been enough for this matter. However, when I had already drafted this ruling for typing, Mr *K'Owade* sent me two local authorities on the point. I believe he has sent these also to Mr *Gautama*, counsel for the Applicant. This practice is irregular and I am sad to say that this is not the first time Mr *K'Owade* has done that. It ought to be discouraged for obvious reasons: It deprives the other side of an opportunity to respond and it sometimes confuses the work of the court. However, I will consider those authorities in the interests of justice. They are as follows:

1 *Joseph Ochieng and others trading as Aquiline Azencies v First National Bank of Chicago* Nairobi Court of Appeal 149 of 1991 (unreported) (Gachuhi Tunoi and Shah JJA), and

2 *Kunguru v Lugonzo and another* [2001] LLR 1102 (CCK) (Ringera J).

The second decision, (2) above, followed the first one. I note that the first decision has come to be relied on by many practitioners as the authority on this subject for good measure as it discusses the principles on the subject well. In that case, Shah JA said as follows at page 13 of his judgment: "The Learned Judge was right in saying that Order VI, rule 3(5) does not permit an amendment to be made to complete a defective cause of action where the statute of limitation would have barred the claim".

My understanding of this is that a claim that is itself barred by the statute of limitation cannot be introduced by an amendment. If I may, let me give the following two examples to illustrate the point:

(a) X enters into a contract with Y which is breached in a manner giving rise to both a contractual and tortious claim. He brings an action within three years for a claim in tort but omits his contractual claim. Eight years after the cause of action arose he applies to amend his plaint to bring the claim in contract. Is this an amendment that can be allowed under Order VIA, rule 3(2) of the Rules? I think so.

(b) In a similar case to (a) above the claim is brought after three years but before the end of six years and being a claim in contract it is allowed. In that case, I do not think that the Plaintiff will be allowed to amend his plaint to introduce the claim in tort which by all circumstances is barred by limitation. This is not covered by Order VIA, rule 3(2) of the Rules.

The *Julia Akelo Kunguru* case squarely fell within situation (b) above. The counterclaim sought to be introduced by amendment by the First Defendant in

that case was already statute barred at the time of filing suit and it did not matter that the application had been brought at an early and opportune moment. As will be seen later, that is not the case here. I would go further and state that the *Joseph Ochieng* case was also decided on the facts that the court was of the view that the proposed amendments were sought in bad faith; that they were unsupportable; and were sought by a party whose conduct was found to be slovenly. In most effects, the party seeking amendment in the case before me has surmounted those handicaps.

Mr *K'Owade* cited several authorities to convince me to come to a contrary decision. I considered all of them and I remained resolute on the conclusion I have already come to. However, for the conclusiveness of record and out of respect to him, I will make the following comments in respect of those authorities. I will start with the case of *Sheikh Mohamed Bashir v United Africa Ltd and others* H 9591 EA 864. I do not think that that decision is relevant to the case before the court. That case, in my view, dealt specifically with a situation where an Act of Parliament had provided for a special procedure. In that case, the procedure under the Rules will not apply where there is a corresponding process – I should add that the Rules will be disregarded where they are inconsistent with the special procedure under the particular Act. This should also cover the authority in *Maitha v Said and another* [1998] LLR 854 (CAK) (Gicheru, Omolo and Shah JJA). That case was an election petition which has its own special procedure under the National Assembly and Presidential Elections Act (Chapter 7). The sections of Chapters 22 and 36 relevant in this case cannot be said to be procedural sections. They are substantive sections which do not provide for any procedure sufficient to oust the application of the Rules of this Court in considering a question under them. The next authority is *Wilkinson v Andiff* (BLT) Ltd [1986] 1 WLR 1352. Again, that authority is not very helpful. It dealt with a different situation. The extension of time. The principles in that case are not similar to the ones to be applied in an application like the one now before the court.

Mr *K'Owade*'s final argument was that the amendment sought to introduce a new cause of action. It was seen earlier that our Rules of Procedure allow such amendments in specified circumstances. Mr *K'Owade* did not argue that this was not one of such circumstances and so his argument goes no further. However, was there a new cause of action in this case? To answer that, I will refer to what the English Court of Appeal said in *Dornan v JW Ellis and Co Ltd* [1962] 1 All ER 303.

In that case the Plaintiff brought an action for damages for personal injuries against his employers. The claim was based on breach of statutory duty and negligence by failure to take reasonable care for the safety of the Plaintiff but not on vicarious liability for any breach of duty or negligence by S, a fellow employee.

After the period of limitation had expired the Plaintiff applied for leave to amend his statement of claim by adding further particulars alleging negligence on the part of S. This amendment was refused by the trial court but allowed by the Court of Appeal. It was held that although the further allegations would raise an issue of vicarious liability they constituted merely an extension of the original claim and did not introduce a new cause of action. Holroyd Pearce LJ said as follows at page 304:

> "The Learned Judge felt that he was precluded from granting the amendment and refused it, not as a matter of discretion on particular facts, but because he was prevented from granting it by reason of the rule, which is clearly set out in the words of Lord Esther, MR, in *Weldon v Neal* … In the present case the Learned Judge took the view that the new allegations of negligence against S were different in quality from the allegations previously made against the Defendant in their own person. The previous allegations he said, were not allegations of Respondent superior. I agree with him that the allegations previously made were of a different nature from the allegations against S, but in my judgment, however, the amendments are not necessarily precluded by the cases of Marshall and Batting which were very different from the present case. In those two cases the amendments not only produced a new case, a new set of ideas; it actually produced a new cause of action, since the cause of action for breach of statutory duty is different from the cause of action for common law negligence … I find myself unable to share the Learned Judge's view that this is a case where, as a matter of principle, no amendment can be allowed. The fresh allegations do not introduce a new cause of action … the original allegations were not against S but they were allegations that the Defendant company's servants or agents had failed in the provision of goggles and proper drill … the allegation against the fellow workman was an extension of the case rather than a new case. It must be a question of degree in this case on its particular facts … Had the Learned Judge considered it as a matter of discretion, and come to the conclusion that, though it was possible for him to allow it, yet taking everything into consideration he ought not to do so, I should not interfere with his discretion in the matter. But he did not deal with it in that way".

Davies LJ at 307 summarised it as follows:

> "What is now sought is not to make out a new case of negligence but to persist in the old story and invite the judge at the trial to approach it, to interpret it, from a different angle or perspective. It is a different approach to the same main story of the accident".

I also looked at the authority in *Nurani v Lalji and others* [2000] LLR 3037 (CAK) (Gicheru, Bosire and Owuor JJA). It is not relevant at all. It dealt with a case of an informal application for amendment which is not the case here. The Judges in that case appear to have considered the prejudice that would be caused to the Respondent by deciding an application informally on an issue in which the Respondent intended to challenge the Applicant's case.

IV Conclusion

So, then, should the proposed amendment be allowed? Does it seek to introduce a new cause of action? What prejudice, if any, will the Defendant suffer if the amendment were allowed?

The Defendant has objected to the application on the basis that it seeks to introduce a new cause of action and will prejudice his defence. Is that really so? What the Plaintiff is attempting to do through this amendment is to say that there was a "re-publication" of the affidavit prior to it being read in Court; that in addition to the offending affidavit being drawn, it was also "published". Now, how does that add a "new" cause of action? We are talking about the same affidavit the contents of which are known, the substance of which is not in dispute and the "reading" or "publishing", or "re-publishing" of which are additional facts now sought to be incorporated in the plaint. Clearly, the Defendant is not dealing with anything "new", and is not called upon to defend a whole new case. It is the same case. As Mr *Gautama* for the Plaintiff argued, the amendment sought was a "house-keeping" exercise. That it was nothing

more than an attempt to clarify issues and facts. I agree with him. The amendments sought in this case are quite minor and designed to shed light on the claim as originally pleaded and there is nothing new sought to be introduced that will change the case. It is the same story sought to be clarified.

Even if the amendment seeks to set up a new cause of action which is outside the limitation period, I am of the view that it is an amendment which is permissible under Order VIA, rule 3 of the Rules as it is a claim emanating from the same set of facts. As to the question of prejudice, I am not satisfied that the Defendant will be exposed by the amendment in a manner that cannot be compensated by costs. This case has not begun, thus no side has gained undue advantage or disadvantage yet. In *Intercom Service Ltd and others v The Standard Bank Nairobi* High Court civil case number 761 of 1988 the Plaintiffs sought the fourth amendment to their plaint in August 2000 in the middle of the trial which was opposed. Msagha Mbogholi J said:

> "The defence is yet to open its case and present its evidence to counter the Plaintiff's case. I have asked myself, what prejudice may befall the Defendant if the amendment is allowed. With respect, considering that the trial is in progress and that the Defendant shall have an opportunity to be heard on the issue, I see no prejudice whatsoever. A claim for interest cannot be said to be an introduction of a new cause of action. The discretion vested in this Court defeats that argument".

Before I finish, I would like to restate what Bowen LJ said in *Cooper v Smith* [1884] 26 Ch D 700 on the issue of costs being an adequate remedy:

> "I have found in my experience that there is one panacea which heals every sore in litigation and that is costs. I have seldom, if ever, been unfortunate enough to come across an instance where a party has made a mistake in his pleadings which has put the other side to such a disadvantage that it cannot be cured by the application of the healing medicine".

(Quoted by Sheridan, I in *Waljee's (Uganda) Ltd v Ramji Runjambhai Bugerere Tea Estates Ltd* [1971] EA 188).

I, therefore, allow the Plaintiff's application dated 5 April 2001 as prayed with thrown away costs to the Defendant in any event.

For the Plaintiff:

S C Gautama instructed by *S Gautama Advocate*

For the Defendant:

J R K'Owade instructed by *Waruhiu K'Owade and Nganga*

Machira v Mwangi
[2001] 1 EA 110 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	7 September 2001
Case Number:	1709/96
Before:	Mulwa J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Damages – Libel – Assessment of damages – Compensatory damages – Aggravated damages – Factors to be considered in calculating damages.

Editor's Summary

On 12 July 1996, the Plaintiff filed a suit against the Defendants claiming general and aggravated damages as well as a full apology for defamation. The Plaintiff alleged that in their editions of 10 November 1995, the Defendants had published on the front pages of the *Daily Nation* and *Taifa Leo* a photograph and accompanying story that were defamatory and had seriously injured his reputation and integrity, both personally and as an advocate. Following the filing of a defence by the Defendants, the Plaintiff applied for the defence to be struck out. The application was dismissed, prompting an appeal to the Court of Appeal. On 4 June 1998, the Court of Appeal allowed the appeal, struck out the defence and entered interlocutory judgment for the Plaintiff. The suit was then remanded to the High Court for assessment of damages.

Held – In a suit for libel, a plaintiff could claim compensatory damages, also termed "damages at large", for injury to his or her reputation and hurt to his or her feelings. These damages were aimed at vindicating the plaintiff to the public for the wrong done to him or her. A court was also entitled to award the plaintiff aggravated damages where the defendant's conduct caused the plaintiff additional injury, going beyond what would have flowed solely from the offending words. Aggravated damages would also be awarded where a defendant acted out of an improper motive. Exemplary damages would be awarded where compensatory damages were not sufficient and the plaintiff proved that the defendant knew, when he made the publication, that he was committing a tort, or was reckless whether his action was tortious or not and decided to publish anyway, because the prospect of material advantage outweighed that of material loss. Though there was no set formula for assessing the damages and the whole process was essentially a matter of impression and not addition, a court would consider the relationship of the sum to be awarded to the injuries suffered. It would also consider the manner of publication, the extent of circulation, the geographical area of distribution and the nature of the audience. In this instance, the Plaintiff had made the effort of providing the Defendants with the true factual position on the eve of publication but the Defendants had proceeded to publish the offensive words. It was only a week after publication that an apology in line with the Plaintiff's version of events had been published. Though the Defendants had a duty to inform the public on matters of interest and a right to freedom of speech, the freedom had to be exercised bearing in mind the rights and freedoms of others and the public interest. The Plaintiff, in view of all the circumstances of the case, was entitled to an award of KShs 8 million as compensatory damages, KShs 2 million as aggravated damages and KShs 200 000 for the apology, considering that one had in fact been made.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Biwott v Clays Ltd and others [2000] 2 EA (HCK)

Biwott v Dr West and another HCCCC number 1068 of 1999

Doshi v Nation Newspaper HCCC number 3750 of 1994

Kulei v Kalamka Ltd HCCC number 375 of 1997

Njoroge v Kenya Commercial Bank Ltd [1992] LLR 2357 (CAK)

United Kingdom

Bernard and another v Perriman [1891–4] All ER 965

Cassel and Co Ltd v Broone and another [1972] 1 All ER 801

Fraser v Evans and others [1969] All ER 8

John v MGN Ltd [1996] 1 All ER 35

Sutcliffe v Pressdram Ltd [1960] 1 All ER 269

Judgment

MULWA J: The Plaintiff who is an advocate of the High Court of Kenya filed this suit by plaint on 12 July 1996, claiming full apology from the Defendant for having printed and disseminated information which the Plaintiff regarded as libelous. He also prayed for general and aggravated damages for defamation together with the costs of the suit. The Defendants filed a defence on 13 August 1996 denying the averments contained in the plaint. Thereafter the Plaintiff filed the application dated 16 December 1996, seeking to have this defence struck out under Order 6, rule 13(1)(b)(c) and (d) of the Civil Procedure Rules. The application was duly heard by Mbogholi Msagha J who dismissed it.

The Plaintiff appealed against the order of dismissal in civil appeal number 179 of 1997 which was heard and judgment delivered on 4 June 1998. The Court of Appeal in allowing the appeal struck out the defence and entered interlocutory judgment for the Appellant. The court further directed that the suit be set down for the assessment of damages. Costs in the appeal and for the High Court were awarded to the Appellant.

The case was heard on various dates during which the Plaintiff called two witnesses and the defence called one witness.

The Plaintiff gave evidence that on 9 November 1995, while waiting outside the Judge's chamber, he was accosted by a lady. He avoided her but she later confronted him in the library. This confrontation was witnessed by the press reporters who followed them. Later he and his assistant Mr Kiiru went to the offices of the *Daily Nation* and saw Mr Mulaa who was the Reporter assigned to the High Court. They showed to Mr Mulaa the documents related to the purchase of Mr Machira's land by the lady, emphasizing that there was no client/advocate relationship. They asked him to report the truth in the light of these documents.

Despite the information they gave, the *Daily Nation* and the sister paper *Taifa Leo* had published the story in their front pages. He produced copies of the publications. His firm hurriedly called a press conference in which they explained the facts and asked the Second Defendant, the *Nation* newspapers to make a correction to their story, which they did not. They eventually purported to make corrections, which were published in the inside pages of the papers. He further testified that the publication of this story affected his business as an advocate. It also affected his health and he had to undergo some treatment. According to the Plaintiff the Second Defendant has a circulation of over

a million copies as it is also on the website. His own clients grew suspicious of him and did not want him to handle their money. He was shunned by his colleagues in the United Club where he is a member. He called one witness Mr Paul Kiiru who was his assistant. In his evidence Mr Kiiru corroborated Mr Machira's evidence.

The Defendant called one witness Catherine Gichuru. In her evidence she said that the circulation of the *Daily Nation* in 1995 was 150 000 copies printed and published, while for the *Sunday Nation* it was 202 000 printed and published. For the *Taifa Leo*, it was 27 000 while for the *Sunday Taifa* it was 30 000 printed and published. She further explained that at no time did they ever sell a million copies. She however said that the *Nation* has had a website since 1997.

As I had pointed out earlier in this case, judgment had been entered for the Plaintiff by the Court of Appeal when the appeal was allowed. The Court after striking the Defendants' defence in the suit directed that the suit be set down for formal proof. In arriving at this conclusion the Court of Appeal had considered all the aspects of the case with regard to liability so that what remains to be determined is the assessment of damages. In this regard it is necessary to look at the law applicable and then apply the facts of the instant case to them.

A person who considers himself defamed can bring an action against the person who authorised the defamatory material or caused it to be published. He can claim damages for libel seeking damages for injury to his reputation and for the hurt to his feelings. These are compensatory damages and are termed "damages at large". See the English case *Cassel and Co Ltd v Broone and another* [1972] 1 All ER 801 where the Judge observes: "The whole process of assessing damages where they are 'at large' is essentially a matter of impression and not addition".

The awarding of damages to the Plaintiff is for the purposes of vindicating him to the public for the wrong done to him. See *John v MGN Ltd* [1996] 1 All ER 35 where the English Civil Appeal Court opined:

> "The successful Plaintiff in a defamation action is entitled to recover, as general compensatory damages such sum as will compensate him for the wrong he has suffered. That sum must compensate him for damages to his reputation, vindicate his name, and take amount of the distress, hurt and humiliation which the defamatory prohibition has caused".

The court will thus achieve this vindication by awarding damages in form of a monetary award. In so doing, the court will also consider the extent to which the pain and suffering had been aggravated by the Defendant's subsequent conduct. Depending on the conduct of the Defendant, the court may award aggravated damages in addition to the general damages. These "aggravated damages" are meant to compensate the Plaintiff for the additional injury going beyond that which would have flowed from the words complained of but for the presence of the aggravating circumstances.

Exemplary damages on the other hand go beyond compensation and are meant to "punish" the Defendant. Aggravated damages will be ordered against a Defendant who acts out of improper motive, for example, where it is actuated by malice; insistence on a flimsy defence of justification or failure to apologies.

The other factor which the court will take into consideration is the manner of publication and extent of the circulation, the geographical area within which the distribution takes place and the nature of the audience.

Exemplary damages are awarded where compensatory damages are not sufficient, see *Duncan and Neil on Defamation* (2 ed) 1983 where the learned author states that exemplary damages can only be awarded if the Plaintiff proves that the Defendant, when he made the publication, knew that he was committing a tort or was reckless whether his action was tortious or not, and decided to publish because the prospects of material advantages outweighed the prospects of material loss. What is necessary is that tortious act must be done with guilty knowledge for the motive that the chances of economic advantage outweigh the chances of economic or perhaps physical, penalty.

There is no set formula for the assessment of damages in libel cases. The court will however consider the relationship of the sum to be awarded and the injuries suffered bearing in mind that the damages are not meant to enrich the Plaintiff.

In the present case the Plaintiff sued the Defendants asking for:

"(1) An order that the Defendants do make a full and unqualified apology.

(2) General and aggravated damages for defamation.

(3) Costs of this suit and interests on (*b*) and (*c*)".

In support of his claim the Plaintiff gave evidence which sought to prove that the publications which were defamatory were given wide coverage in the first page of the *Daily Nation* newspaper and its sister publication, the *Taifa Leo*. According to the Plaintiff the publication of these stories was activated by malice and spite. After the appeal was allowed the Defendants remained unmoved. They did not apologize or make any offer for settlement. The Plaintiff in his submission after the hearing took issue with the line of cross-examination by the defence counsel which sought to examine the Plaintiff as if the Defendants' defence, which had been struck out by the Court of Appeal, was alive.

The Defendants in their defence insisted that the Plaintiff must formally prove his case. They sought therefore to show that whether the words complained of were defamatory and whether the words in their natural and ordinary meaning meant the words in the plaint. According to the Defendant it was further necessary to decide whether the apology was adequate and how it affects the quantum of damages payable to the Plaintiff.

The Court of Appeal, by allowing the Plaintiff's appeal and striking out the defence, settled the question of liability. It is not therefore for this Court to consider such issues as to whether the Court of Appeal judgment quoted words which were not complained of or whether the words complained of are indeed defamatory.

It has not been denied that the Plaintiffs published the words complained of. The words were defamatory and the only question is what damages are payable applying the principles of law explained earlier. The Second Defendant's newspapers are widely read in the country. The words complained of were published in English and Swahili so that those who were not able to read English could read the story in Kiswahili in *Taifa Leo* as per judgment of Akiwumi JA. As to the publication of the defamatory matter I can do no more than quote the judgment of Justice Akiwumi in the Court of Appeal at pages 2 and 3, when he says "the publication were given the widest prominence on the first page both in the *Nation* newspaper and its sister the *Taifa Leo* so that those who were not able to read English could read the story in Kiswahili in *Taifa*

Leo". He goes on to say: "The entire publication would show to the ordinary man in the street that the Plaintiff in his professional capacity must have behaved disgracefully and even criminally against his client which had led to his recording a statement at the Central Police Station".

Having so stated, I now turn to the main issue before this Court, which is the measure of damages arising out of the publication of the story in the *Daily Nation* and its sister publication. As set out earlier above, the publication complained of appeared in the publication of the two newspapers on 10 November 1995 and are set out in paragraphs 4, 5, and 6 of the plaint.

In paragraph 4 of the plaint, the Plaintiff sets out the publication of the photograph and an accompanying caption, which went thus:

> "Obviously, Ms Grace Wahu Njoroge was not happy with her lawyer, Mr JP Machira, after they walked out of the High Court yesterday and she expressed this by grabbing his collar. The quarrel was reportedly over some money. The two were later escorted to the KICC Police Post".

In page 5 of the said publication, also set out as paragraph 5 of the plaint, the story went thus under the banner "Angry woman grabs lawyer": "An elderly woman caused a stir at the Nairobi Law courts when she grabbed a lawyer by his shirt collar after a disagreement over money". Paragraph 4 also went thus: "Mr Machira made a futile move to escape by dodging the woman in the corridors as he moved from office to office".

The sister publication, *Taifa Leo* also had splashed on the front pages of its edition of the same date the same photograph but the captions were couched in the following words:

> "Kama Wahenga Walivyonena, mbio za sakafuni huishia ukingoni na ndiyo huyu, wakili wa Nairobi, Bw. J.P. Machira aliyogundua baada ya Bi. Grace Wahu Njoroge, Kumushika mashati akilalamikia pesa fulani anazodai alimpa wakill huyo. Walivutia umati mkubwa watu kabla ya polisi kuwapeleka katika kituo cha polisiwa KICC". (As the wise men say, a field race ends at the embankment/slope/precipice. And this is how the Nairobi advocate, Mr JP Machira, found out after Ms Grace Wahu Njoroge held him by the collar complaining to him about certain money she claims to have paid him. They attracted a huge crowd before police took them to the police post at KICC.)

The Plaintiff complains that the aforesaid words and statements in their natural and ordinary meaning were defamatory to the Plaintiff and meant and were understood to mean:

"1. That the Plaintiff was acting for Ms Grace Wahu Njoroge.

2. That the Plaintiff had swindled the said Ms Grace Wahu Njoroge of her money.

3. That the Plaintiff is a thief.

4. That the Plaintiff is a dishonest lawyer who engages in dishonourable conduct and should not be entrusted with clients' money.

5. That the Plaintiff as incompetent as an advocate.

6. That the Plaintiff, being a lawyer, has no regard to professional ethics.

7. That the Plaintiff is greedy and untrustworthy as concerns money matters.

8. That the Plaintiff should be shunned and avoided by all right thinking members of the society.

9. That the Plaintiff is mischievous towards his clients and has improper motives.

10. That the Plaintiff had stolen some money from the said Ms Grace Wahu Njoroge and that the Plaintiff was always on the run until he was confronted and molested by the said Ms Grace Wahu Njoroge on 9 November 1996".

It is therefore the Plaintiff's contention that by reasons of the aforesaid, the Plaintiff's reputation and integrity both personally and as an advocate has been seriously injured and he has suffered considerable distress, agony, mental torture, humiliation, and embarrassment, and the Plaintiff has also been brought into the public scandal, odium, suspicion and contempt.

There is no defence against these allegations, the Defendants' defence having been struck out by the Court of Appeal as a sham. Thus the evidence of the Plaintiff and his witness stands unchallenged save as to the publication distribution of the Defendant.

It has not been controverted that the Plaintiff and his associate had made the effort to provide a true factual position to the Defendant involving meeting the reporter who actually filed the report. On the eve of the publications, the Plaintiff appraised the said reporters about the true factual position, including documents being furnished to verify the same.

Nevertheless, as it stands now, the Defendant went ahead to publish the offending words, which the Plaintiff avers is defamatory. A defamatory publication is the publication of a statement about a person that tends to lower his reputation in the opinion of right-thinking members of the community or to make them shun or avoid him. Thus to the Plaintiff, the statements published have had the effect of lowering his reputation personally and as an advocate, in the minds of right-thinking members of the Community and/or has made them shun or avoid him.

The Plaintiff in his evidence set out the traumatic experience of having his photograph splashed with offending words countrywide and perhaps worldwide that his client, who in fact was not his client, had been infuriated by his conduct as an advocate as to resort to physical confrontation.

The Defendants' submission is that there has been a subsequent apology to the Plaintiff. The terms of the apology set out in the *Daily Nation* newspaper of 18 November 1995 more than a week later were:

> "In our issue of November 10, we published a front page picture, whose caption gave an impression that Ms Grace Wahu Njoroge was the unhappy client of lawyer J.P. Machira as a result of which she assaulted him. We have since confirmed that their relationship was that of vendor and buyer and there was no suit or case pending between them. We apologise for the wrong impression and any embarrassment caused by our report" (underlining mine).

Taifa Leo had its apology in their edition of 20 February 1996, headed "We apologise" in its front page thus:

> "In out issue of November 10, we published a front page picture of lawyer J.P. Machira struggling with Ms Grace Wahu Njoroge and reported that the lady was complaining about some money which she alleged that she had given to the lawyer. We have since been informed that the dispute between them was that of vendor and purchaser and that the lawyer did not owe Ms Wahu any money. We take this opportunity to correct the said reporting and also apologise"(underlining mine).

Construing the "apologies" clearly two issues come out, that is, first, in particular to the *Daily Nation*, the apology admits that an impression was created that Ms Grace Wahu Njoroge was an unhappy client of lawyer JP Machira as a result of which she assaulted him. This is the impression that the Plaintiff, in less explicit terms, submits that it lowered his reputation before the eyes of

right-thinking members of the society and/or made them shun/avoid him. This impression, as admitted by the Defendant in its apology, was wrong.

Secondly, both apologies were made more than a week after the publication, the *Daily Nation* making its apology eight days later and *Taifa Leo* ten days later. They (the apologies) also both intimate a situation whereby information was subsequently received showing that the relationship as published earlier was not correct or had not been confirmed as existing at the time it was published. This subsequent information brought the "confirmation" or the "information" about the relationship; in other words that the "information" or "confirmation" received later depicted a relationship at variance to the one published earlier.

However, it is incontrovertible that on the eve of publication, the Plaintiff made efforts to meet the Defendants and provided this "information" or "confirmation" as the case may be, in order to set out the true factual position. The Defendant had this information at the time of publication, but instead went ahead to publish the offensive words, and only later, more than a week later, is when they publish the apology in line with the Plaintiff's version of events.

The Plaintiff also takes issue with the apology, that the offensive caption having been given conspicuous publicity in the front pages, and thus that more prominence was given to it, the apology should have also appeared in a more conspicuous position just like the caption. The apology was tucked in page 5 of the newspaper, save to the *Taifa Leo* apology which was on the first page.

The Defendant in countering this asserts that pages 1–5 of the newspapers are the most widely read pages and thus whether it be (an apology) placed in the front pages or in page 5, it would have the same effect of vindicating the Plaintiff, and making an appropriate apology.

In these circumstances, the publication of the caption in the front pages having created a wrong impression that the Plaintiff, as an advocate of the High Court, was being followed around by dissatisfied clients, bearing in mind that the advocate-client relationship is a fiduciary relationship cushioned by privileged communication, the overall impression created would thus amount to the Plaintiff being an incompetent advocate without due regard to the client's interests.

What then are the principles to guide a court in assessing damages in libel cases? As I had noted earlier damages are, in such cases, "at large" as put in *Carter-Ruck on Libel and Slander* (4 ed) at 166 that:

> "An action for defamation is essentially an action to compensate a person for the harm done to his reputation. In all actions for libel and in some actions for slander the law presumes that the Plaintiff has suffered harm and in these actions, usually described as actionable per se the actual sum to be awarded the damages are said to be 'at large'. Although a person's reputation has no actual cash value the court is free to form its own estimate of the harm in light of all the circumstances".

This paragraph was noted with approval in *Kulei v Kalamka Ltd* High Court civil case number 375 of 1997.

As Visram CA (as he then was) in *Biwott v Clays Ltd and others* [2000] 2 EA put it, damages in libel actions are awarded to compensate the Plaintiff for the following:

(1) Injury to his reputation, and

(2) The hurt to his feelings.

But as is noted above, these are subjective terminologies which the court is urged to form an opinion about first to assess the reputation *vis-à-vis* the injury and the feelings *vis-à-vis* the injury. But broadly stated, the nature and measure of damages to be awarded, though "at large" as stated above, the Court of Appeal decision in *Njoroge v Kenya Commercial Bank Ltd* [1992] LLR 2357 (CAK) is instructive on this:

> "[T]here are a number of decisions of this Court as to the nature and measure of damages. Broadly, they are to the effect: that whether it be contract or whether it be tort, damages all to be compensatory, save in exceptional circumstances. They are compensatory when they restore or give back to the injured party what he had lost. In other words, the injured party so far as immediately prior to the wrongdoing which gave rise to his complaint or injury".

Being compensatory in nature, and given the difficulty in quantifying the injury suffered by a Plaintiff in a defamation action, it is little wonder therefore that the measure of damages awardable in such instances are "at large".

In assessing damages where they are at large, Lord Hailsham of St Maryborne LC in *Cassel and Co Ltd v Broome and another* [1972] All ER 801 at 825 had this to say: "The whole process of assessing damages where they are 'at large' is essentially a matter of impression and not addition".

However, there are no guidelines as to how the court is to form its impression in attempting to vindicate the injury suffered by the Plaintiff from the actions of the Defendant. The court, in such instances is being called upon "to put monetary value on something which can be neither evaluated in money terms nor fully compensated for by a monetary award" – see *Sutcliffe v Pressdram Ltd* [1960] 1 All ER 269 at 281 as per Lord Donaldson MR.

But just as in personal injury claims where awards are made for pain and suffering, which in itself is just as unquantifiable as the reputation of an individual, the court is free to form its own opinion about the nature of the dent punched into the Plaintiff's reputation and accordingly grant an appropriate redress.

Bearing those in mind, the prayers in the instant case are for KShs 20 million as general damages and KShs 10 million as aggravated damages, and KShs 2,7 million in lieu of prayer 21 of the plaint which was an order for apology.

It is the Plaintiff's submissions here that the more serious the allegations, and the wider the publication, the greater the sums necessary to vindicate the Plaintiff. Further the Plaintiff contends that the award has to take into account among other things, the injury to the Plaintiff's reputation, the injury to the Plaintiff's feelings, the gravity of the allegations, the size and influence of the accusation, the effects of the publication, the extent and nature of the Plaintiff's reputation and the behaviour of those parties. Then in view of all these factors, coupled with the fact that Defendants' newspapers have the widest circulation in this country and the Plaintiff's reputation and status as a prominent advocate by this Honourable Court, the Plaintiff submits that an award of KShs 20 million would be sufficient to vindicate the Plaintiff's injury.

In *Eric Edward Khasakhala v Jeremiah Aurah and others* High Court civil case number 1709 of 1987 (unreported) Khamoni J stated that in forming an estimate of the harm on the Plaintiff, the Plaintiff's profile *vis-à-vis* what has been published about him have to be taken into account. In *Biwott v Clays Ltd and others* [2000] 2 EA (HCK) Visram CA (as he then was) laid out these factors

cited by the Plaintiff as guiding the court in arriving at an estimate of the damages which the Plaintiff would be entitled to in a defamation action.

The Defendant on the other hand submits that an apology has been made which the court has to take into account. It is further submitted that the conduct of the Defendant in the instant case does not warrant an award of aggravated damages.

At the very least, it comes out from the evidence that indeed the version of what transpired during the day was substantially covered, with parts of untruth, by the Defendants' publication, which to a large extent was portrayed in a manner which created an impression, wrong as it is, that the Plaintiff was an advocate on the run from his clients. The untruths were however extrapolated and published in a manner which to say the least was demeaning to the Plaintiff.

The Plaintiff was grabbed by the collar as portrayed in the photograph by Ms Grace Wahu Njoroge, the dispute between them was out of a botched conveyance transaction and they were both escorted to the police station. I would not extrapolate any more of this as the Plaintiff, an advocate of this Honourable Court, admits this version of events.

Therefore this will have also to be taken into account, in assessing the damages. Consideration has to be also given to the duty of the Defendants to inform the public on matters of interest. Khamoni J in *Lalit Doshi v Nation Newspaper* High Court civil case number 3750 of 1994 noted with approval the holding of Lord Coleridge's CJ in *Bernard and another v Perriman* [1891–4] All ER 965 and 968 that: "The right of the speech is one in which it is for the public interest that individuals should possess, and, indeed, that they should exercise without impediment, so long as no wrongful act is done; and unless an alleged libel is untrue, there is no wrong committed".

Lord Denning MR added in the case of *Fraser v Evans and others* [1969] All ER 8: "There are some things which are of such public concern that newspapers, the press and indeed everyone is entitled to make known the truth and to make their comments in it. This is an integral part of the right of the speech and expression. It must not be whittled away".

This constitutional right to freedom of speech is sacrosanct, but as it is with all other rights it has to be exercised bearing in mind the rights and freedoms of others and the public interest. In the exercise of that freedom, save that regard is to be had to the right as exercisable under section 79(1) of the Constitution, there can be no instructions or requirements that the right be exercised in a particular manner that is what to put in the headlines or broadcast. These are matters for the press to consider in line with their own editing functions, and the court cannot and should not be seen to try or attempt to impose on it an editorial policy.

In the instant case, the Defendant clearly portrayed before the eyes of the public that the Plaintiff is an advocate on the run, on the loose from his clients and can only be cornered, if a physical assault and an investigation by the client to establish his whereabouts is undertaken. The Plaintiff, an advocate of the High Court, was portrayed before the eyes of the public, which included his own family, relatives, friends and clients, as a person who was not only incapable of being entrusted with money but also who was incapable of discharging his duties as an advocate.

The Plaintiff submits that malice can be inferred in the circumstances to warrant an award of aggravated damages. Malice can be inferred where the Defendant in publishing the information knows that the publication is false or not caring whether it is true or false. In establishing the state of mind of the Defendant, at the time of publication regard is to be had to his conduct and the information available to him, see *Defamation Law, Procedure and Practice* by David Price at 143, paragraph 14.07.

Any evidence which shows that the Defendant knows the statement was false or did not care whether it be true or false will be evidence, that is of malice. In the instant case, the Plaintiff had supplied the Defendants with the true position of the matter before the publication was made. Inevitably therefore, at the time of publication, the Defendants knew or are taken to have known that the relationship between the Plaintiff and Ms Grace Wahu Njoroge was not an advocate/client relationship and there was no relationship of such a nature between them.

Further, considering also the post-publication conduct of the Defendants, the correction was made more than a week after the publication, which was made with the knowledge that it was false. I have no hesitation in finding the publication as being malicious.

Coming now to the duty before this Court to assess the general damages, the Plaintiff has cited *Eric Edward Khasakhala v Jeremiah Aura and others* High Court civil case number 1709 of 1987 (*supra*) in which an award of KShs 3 300 000 was made, comprising of KShs 300 000 as awarded for failure on the part of the Defendants to publish a correction and apology.

Hon Abraham Kipsang Kiptanui v Francis Mwaniki and others High Court civil case number 42 of 1997 (unreported) was also cited where KShs 3 500 000 was awarded as general damages and KShs 15 million as aggravated damages.

Joshua Kulei v Kalamka Ltd (s*upra*) was also cited where an award of KShs 10 million was made against the *People* newspaper arising out of a publication of defamatory material. Distinction is made by the Plaintiff that these cases were decided a long time ago and the court should consider inflation factors. Further, the publications in those cases were of much less in circulation than the Defendant case, it is submitted.

In the *Abraham Kiptanui v Francis Mwaniki and others* case (*supra*) the tenor of the publication was that Mr Kiptanui had been sacked as comptroller of State House for leaking state secrets and having a deal in the Village Market Saga. With due respect to the Plaintiff, the accusation of leaking state secrets is a grave accusation bordering on treason which is a capital offence. Section 16A of the Defamation Act provides that where the libel is in respect of an offence punishable by death, the amount assessed shall not be less than one million shillings.

This same state befalls the *Eric Edward Khasakhala v Jeremiah and others* case, (*supra*) where the allegation was that the Plaintiff had been implicated in the murder of Horace Ongili Owiti, a fellow MP. Thus in these cases, the state specifically provides that the damages shall not be less than one million shillings, though at large.

In the *Joshua Kulei v Kalamka Ltd* case (*supra*) a sum of KShs 10 million was awarded as general damages in 1997 arising out of a publication in the *People* newspaper that the Plaintiff was implicated in fraudulent activities with an assortment of persons of vexatious character. In the *Kulei* case, O'kubasu J

considered "carefully" the Plaintiff's status in society and allegations made against the Plaintiff in arriving at the quantification.

As can be noted from the *Eric Khasakhala* case (*supra*) this judgment was set aside by O'kubasu J to give the Defendant opportunity to defend itself.

In tandem with the Plaintiff's quantification of injury, reliance is placed on *Kipyator Nicholas Kiprono Biwott v Clays Ltd and others* (*supra*) consolidated with *Kipyator Nicholas Kiprono Biwott v Dr Jan West and another* High Court civil case number 1068 of 1999 (unreported) where a global sum of KShs 30 million was made against some Defendants.

In this case, Visram CA (as he then was) noted that the awards made by the High Court in libel cases were inordinately low. Referring to *John Evan Gicheru v Andrew Morton and Another* High Court civil case number 214 of 1999 (unreported) where Aluoch J awarded KShs 2,25 million for libel against the Defendant, the learned Commissioner of Assize (as he then was) stated that this award was manifestly and inordinately low.

In the consolidated cases, the Plaintiff had been implicated with complicity in the murder of the former Foreign Affairs Minister, Dr Robert Ouko by publications made by the Defendants. It has to be noted that the accusation/allegations are of a capital nature, amenable to capital punishment. Perhaps it was along those lines of capital offences, that the award made and concern about low awards was exhibited.

Considering all the factors and circumstances in this case, I find that an award of KShs 8 million (eight million only) as compensatory damages and KShs 2 million (two million only) as aggravated damages would be sufficient to vindicate the Plaintiff in the instant case. As for the apology, which the Plaintiff is now claiming a pecuniary award in lieu thereof, I would award a sum of KShs 200 000 (two hundred thousand only) considering that an apology had been made and also the time factor.

The Plaintiff shall have the costs of the suit and interest.

For the Plaintiff:

Information not available

For the Defendants:

Information not available

Marwa v Marwa
[2001] 1 EA 121 (CAT)

Division:	Court of Appeal of Tanzania at Mwanza
Date of judgment:	12 February 2001
Case Number:	10/96
Before:	Kisanga, Lubuva and Lugakingira JJA
Sourced by:	A Bade
Summarised by:	HK Mutai

[1] Land law – Allocation of land – Land set aside for coffee growing – Failure to grow coffee on land allocated for that purpose – Reallocation of land – Notice to reallocate – Whether there was good cause for reallocation – Whether sufficient notice given before reallocation.

Editor's Summary

In 1988 the Kemakorere Village Land Allocation Committee identified, set aside and allocated an area of land for the development of coffee growing. Included in the land so identified was land that had belonged to the Appellant and that had been under his occupation for a long time. The Appellant was, however, permitted to retain two acres of land. In 1989 the Committee carried out an appraisal of the programme and discovered that the Appellant only had half an acre planted with coffee. Consequently, the Committee reallocated the entire two acres to the Respondent. The Respondent then sued the Appellant in the Primary Court claiming the whole of the two acres allocated to him. The suit was partially successful and the Court awarded him the one and a half acres not planted with coffee. The Appellant appealed, contending that he had occupied the land long before the programme had started and that it was being taken away from him unfairly and without good cause. The Respondent argued that the allocation had been lawfully done as part of the agreed policy programme on coffee growing. The case was appealed all the way to the Court of Appeal where the issue before the Court was whether the Committee could take land away from a person who had long been in occupation without notice and in the absence of good cause.

Held – The Village Committee had been authorised to earmark and allocate an area for the growing of coffee in order to implement the coffee growing programme for the benefit of the community. The reallocation of the land to the Respondent, therefore, had been for good cause. The period of one year before the appraisal had constituted sufficient and adequate notice for the Appellant to comply with the requirement to grow coffee and he could not now complain of a lack of notice. The appeal would therefore be dismissed.

No cases referred to in judgment

Judgment

KISANGA, LUBUVA and LUGAKINGIRA JJA: This is a third appeal. In Nyamwiguru Primary Court, Tarime District, the Respondent, Barnabas Marwa, successfully filed a suit against the Appellant claiming two acres of land. The Appellant appealed to the district court where the decision of the Primary Court was reversed on the ground that the allocation of the disputed land in 1988 by the Village Land Allocation Committee to the Respondent was actuated by malice. On appeal to the High Court the appeal was allowed in favour of the Respondent. The Appellant has appealed to this Court.

The Appellant has filed a five point memorandum of appeal. In sum total however, we think only ground four raises an issue of substance. This is the point of law which was certified by the High Court in terms of section 5(2)(*c*) of the Appellate Jurisdiction Act, 1979. The point of law is to the effect whether a village government has power to take away land from a person who has been in long occupation of it without notice or in the absence of good cause.

We think it is appropriate to preface this judgment with a brief historical background. It is common ground that in 1988 at Kemakorere Village in Tarime District an area of land was identified and set aside for the development

of coffee growing. The land so identified included what initially used to be the Appellant's land. The Respondent was among the people allocated land for the programme. The Appellant was not left without any land for the purpose. He was allowed to retain about two acres of land. From the time of the allocation in 1988, until 1989, the Appellant had not planted any coffee trees on the portion allocated to him. He had only half an acre of the land planted with coffee trees. Consequently, in 1989, the Land Allocation Committee after appraising the programme, re-allocated the whole of two acres to the Respondent. It is apparent that in order to defeat the exercise of re-allocation by the Committee, the Appellant planted half anf acre of the suit land with coffee trees. The Respondent filed a suit in the Primary Court against the Appellant claiming the whole of two acres allocated to him. The Respondent was awarded the one and half acres which had not yet been planted with coffee. From this decision, and as already observed, the matter was taken on appeal all the way to this Court.

In this Court and the courts below, the Appellant has throughout maintained that having occupied the land for a long time before the programme started in 1988, it was unfair to allocate the land to the Respondent. Furthermore, he complained that there was no good cause for taking the land from him without notice. On the other hand it was the Respondent's case that the piece of land had lawfully been allocated to him by the village authorities while implementing an agreed policy programme on coffee growing.

This being a third appeal, the main issue is whether there is a point of law worth consideration of the Court. Upon a serious consideration of the point certified by the High Court we are firmly of the view that the village authority had good cause in re-allocating the piece of land to the Respondent. There is no dispute that in 1988, it was decided to implement the policy on coffee growing in the area. The Land Allocation Committee was authorised to earmark and allocate an area for the purpose of growing coffee plants. This is borne out from the evidence of Amon Makuri (SM2), the Chairman of the Village Land Committee who testified to the effect that: "Nawafahamu hawa wadaawa. Mimi ni Mwenyekiti wa Ardhi pale Kemakorere. Nakumbuka kwamba huyu mdai aliwahi kuomba ardhi kwa ajili ya kupanda zao la kahawa …".

This evidence is also supported by the evidence of Jackson s/o Sinda (SM3), a member of the Village Land Committee. It is therefore increasingly apparent that the land earmarked for coffee growing in the area including the disputed portion was for a good cause. That is, the development of coffee growing in the area which would benefit the community as a whole. In the circumstance, it is our view that the Appellant's complaint that the land was taken without good cause is without substance.

As regards the ground that the land was taken from the Appellant without notice we think this is not supported by the evidence on record. From 1988 until 1989 when the programme was re-appraised, the Appellant had not planted coffee trees on the land except for the half acre in which he had planted young coffee plants. The rest of the plot had no coffee plants grown. This is the portion which, as already observed, was taken for re-allocation to the Respondent.

By any stretch of the imagination we think that a period of one year constituted not only notice but sufficient and adequate notice to the Appellant who,

nonetheless, did not heed to grow coffee plants as required by the village government. He cannot now be heard to complain of lack of notice. At any rate, he was allowed to retain half an acre of land in which he had cared to comply with the village government's requirement to plant coffee plants.

For these reasons, we find no merit in the appeal which is dismissed with costs.

For the Appellant:

Information not available

For the State:

Information not available

Melika v Mbuvi
[2001] 1 EA 124 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	2 March 2001
Case Number:	267/99
Before:	Gicheru, Shah and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Land – Allocation of land by Minister – Procedure to be followed in challenging Minister's decision – Whether Minister's decision could be challenged by way of ordinary suit – Section 29 – Land Adjudication Act Chapter 284.

[2] Practice – Application to strike out suit – Failure to state subrule under which application brought – Application supported by affidavit evidence – Whether application defective – Order VI, rule 13 – Civil Procedure Rules.

Editor's Summary

In 1999, the Appellant filed a suit before the High Court seeking a declaration that the judgment in Kitui SRMCC number 83 of 1998 awarding the suit property to the Respondent was a nullity. He averred that the decision in that case had been reached after the Land Disputes Tribunals Act had come into force and removed jurisdiction to hear land cases from magistrates' courts. In his defence, the Respondent submitted, *inter alia*, that the matter was *res judicata* and that the issue regarding the magistrates' courts' jurisdiction should have been the subject of an appeal. He went on to argue that the Appellant having failed to file any such appeal, the present suit was an abuse of court process. The Respondent accordingly applied for the plaint to be struck out under Order VI, rule 13 of the Civil Procedure Rules on the grounds that the matter was *res judicata* and that the Minister had awarded the suit property to him under the provisions of section 29 of the Land Adjudication Act (Chapter 283). In addition he claimed that the Appellant had, in HCMC number 5 of 1993, made an application to quash the Minister's decision which he later withdrew. The application to strike out the suit was granted on 10 November 1999. The Appellant now appealed on the grounds, *inter alia*, that the High

Court had misdirected itself in presuming that the Minister’s decision was a bar to a declaratory suit and that

the application itself was defective both because it failed to state the specific subrule under which it was brought and because it was supported by affidavit evidence.

Held – By withdrawing his High Court suit against the Minister, the Appellant had denied himself the only means permitted by the Land Adjudication Act of challenging that decision. He could not thereafter purport to challenge the decision by way of an ordinary suit. There were therefore no grounds for faulting the High Court's decision in that regard.

In an application under Order VI, rule 13, the particular subrule being relied on should be specified. However, where the grounds upon which the application was based were specified in the application, there was no requirement that the application had to be based on any of the grounds mentioned in the rule. Where an application to strike out a pleading was made solely on the ground that the pleading failed to disclose any cause of action, affidavit evidence could not be relied on. In this instance the failure to specify the subrule had not occasioned any prejudice and the appeal would therefore be dismissed.

No cases referred to in judgment

Judgment

GICHERU, SHAH and KEIWUA JJA: This is an appeal from the decision of the superior court, Mwera J in civil case number 294 of 1999, delivered on 10 November 1999, in which the Learned Judge struck out the Plaintiff's suit because according to him, the suit had no justifiable basis. That was because the claim in the plaint should have been made a subject of appeal when the decision was reached by the Minister some seven years ago. In any event the claim in the suit, brought in the Resident Magistrate's court had prior to that suit been finally determined by the Minister in exercise of his powers under section 29 of the Land Adjudication Act (Chaper 284). In those circumstances the Learned Judge found it futile to allow the suit to proceed to trial and struck it out.

It is from that decision the Appellant has appealed to this Court urging that the Learned Judge had misdirected himself in basing his decision on the erroneous presumption that the decision of the Minister, being final, is a bar to a declaratory suit, in respect whereof a claim could have been introduced by an amendment, to culminate in a prayer for the Minister's decision to be declared null and void. The Learned Judge failed to appreciate that the Respondent's application brought under Order VI, rule 13 of the Civil Procedure Rules was defective for being unspecific as to the subrule of that Order under which it had been based. The decision under appeal, had been attacked for not finding that the application was defective having been supported by affidavit evidence, contrary to Order VI, rule 13(1)(*a*) of the Civil Procedure Rules and that the Learned Judge failed to appreciate that pleadings can only be struck out in the clearest of cases, into which category the Appellant's case did not fall. One other ground or appeal is that the Learned Judge misdirected himself in holding that the plaint did not disclose any triable issues.

According to the plaint in civil case number 294 of 1999, the Appellant had been in continuous and exclusive occupation of the suit premises which later on, became part of an adjudication section under the Land Adjudication Act and in respect whereof the Respondent lodged a claim to the portion, which

came to constitute the suit premises known as parcel number 230 which was eventually recorded in the Respondent's name. The Respondent thereafter sued the Appellant for eviction in Senior Resident Magistrate's Court, Kitui being civil case number 83 of 1988. Prior to the determination of that suit on October 23 1992, the Land Disputes Tribunals Act 18 of 1990, came into force and removed jurisdiction to hear land cases from Magistrate's courts. That enactment notwithstanding the Resident Magistrate Kitui heard the case and awarded the disputed land to the Respondent. Accordingly, those proceedings are contended to be a nullity and claim for a declaration was made. The Respondent filed a defence in which the allegations contained in paragraphs 4 and 5 of the plaint were described as being irrelevant and those contained in paragraphs 6, 7 and 8 of the plaint to have been dealt with and fully settled by a tribunal of competent jurisdiction and should not have been raised in that suit, because those allegations are *res judicata* and with regard to the claim that the jurisdiction of the Resident Magistrate's court had been removed, the defence did retort that, that complaint should have been made a subject of an appeal, which to that date, had not been lodged, and accordingly the suit therein is an abuse of the process of court. The Respondent followed with an application under Order VI, rule 13 aforesaid, to strike out the plaint and dismiss the suit because the issue whether the Respondent is the absolute registered owner of the suit premises had been judicially settled in Kitui Senior Resident Magistrate's court civil case number 83 of 1988. Prior to registration of the suit premises to the Respondent, the Minister in Appeal Number 213 had awarded the suit premises to the Respondent under the provisions of the Land Adjudication Act. The Respondent's application had also been based on the fact that in 1993, the Appellant had sought to quash the decision of the Minister in High Court miscellaneous case number 5 of 1993, which the Appellant withdrew in 1996, and had also withdrawn civil case number 171 of 1990, filed in court to challenge the Respondent's title. The Respondent in his application contends that the cumulative effect of all the antecedents is to render the suit scandalous, frivolous, vexatious and an abuse of the process of the court and disclosed no reasonable cause of action.

The Learned Judge in his Ruling delivered on 10 November 1999, agreed that the suit was *res judicata* because prior to the Resident Magistrate's court case, the Respondent had been awarded the land by the Minister, whose decision is final under the Land Adjudication Act, and that decision still stands because attempts to have it quashed had been aborted by the withdrawal of the said miscellaneous case number 5 of 1993. On our part, we do not see any basis upon which the Learned Judge can be faulted in that respect. The Appellant having, by the withdrawal of the said miscellaneous case, disentitled himself of the only means permitted to have the Minister's decision under section 29 of the Land Adjudication Act quashed, cannot thereafter purport to challenge that decision by way of an ordinary suit, which mode of challenge has been forbidden by the express language of the Act which makes the Minister's decision final.

We accept that the particular subrule of rule 13 of Order VI of the Civil Procedure Rules, under which the application to strike out is made, should be specified, and that when the application has been brought to strike out a pleading on the only ground of it disclosing no cause of action, no affidavit evidence may be relied upon. We at the same time note that there is no bar to

such an application to strike out a pleading being based on any or all of the grounds mentioned in the rule, provided that such grounds have been specified. What appears to have happened in this case is that the Applicant had in the body of the application specifically mentioned and invoked all the grounds in the said rule, and we think that a properly thought out application should have referred to the individual subrules in the heading thereof. However, in view of our finding regarding the futility of challenging the title of the Respondent, we are of the opinion that no prejudice had been occasioned by the omission to cite the individual subrules in the heading of the application. However, we do not see any breach of subrule 1(*a*) of rule 13 because the affidavit evidence can be confined to the other grounds of the application, without it being used to show the plaint discloses no cause of action.

These being out views of the matter we dismiss the appeal with costs.

For the Appellant:

Information not available

For the Respondent:

Information not available

Microsoft Corporation v Mitsumi Computer Garage Ltd
[2001] 1 EA 127 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of Ruling:	8 October 2001
Case Number:	810/01
Before:	Ringera J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Constitutional law – Trespass – Illegal entry onto premises – Application to strike out suit – Abuse of process – Whether application to validate illegal action ex post facto *constitutes abuse of court process – Section 76 – Constitution.*

[2] Practice – Anton Piller order – Factors to be considered in grant of order – Execution against non-party – Whether Applicant justified in seizing property – Whether an applicant ought to be allowed to retain property obtained wrongfully as result of illegal search.

[3] Practice – Joinder of party – Application made by chamber summons to join third party to suit – Whether application under wrong procedure causes prejudice to respondent – Order XXXIX, rules 1, 2, 7 and 9, Order L, rules 2, 8–12 – Civil Procedure Rules.

[4] Practice – Pleadings – Application to amend pleadings – Whether failure to state Order under which application made fatal to Applicant –Order L, rule 12 – Civil Procedure Rules.

Editor's Summary

On 4 June 2001, the Respondent to this application filed suit against the First Defendant in the court *a quo* over the alleged infringement of intellectual property rights. Simultaneously, it applied for, and obtained, an *ex parte* Anton

Piller order allowing it to enter the First Defendant's premises, and seize and inspect all computers and other equipment that could contain pirated software as well as various office records. On the same date, its advocate took the orders and proceeded to premises on the ground floor of Caxton House where, in the honest belief that the premises belonged to the First Defendant, 15 computers were taken in alleged execution of the order. The following day the Respondent's advocate's law firm received a letter from counsel acting for both the First Defendant and the Applicant company in the current application, stating that the premises from which the 15 computers had been taken belonged to the Applicant. The letter also stated that as the Applicant had not been joined in the order, the taking of the computers was wrongful and illegal and the computers ought to be returned. On 6 June 2001 another letter on the same lines as the first was sent to the Respondent's advocates. On 8 June 2001 the Respondent applied for, and received, orders enjoining the Applicant as the Second Defendant in the suit, permitting it to retain the 15 computers and restraining the Second Defendant from infringing its copyright. By an application filed on 1 June 2001 the Applicant now sought the discharge of the orders granted on 8 June, the release of its computers and the striking out of the suit against it. The grounds on which the application was based were, *inter alia*, that the procedure used by the Respondent in its application of 8 June 2001 was contrary to the provisions of Order XXXIV of the Civil Procedure Rules, that the application was irregular as it failed to state the rules under which it was made and that the application was an attempt to validate the seizure of the 15 computers and thus was an abuse of the process of the court.

Held – Where an application was brought under different rules, some calling for the use of a notice of motion and others for a chamber summons, the notice of motion form should be used as it was wider; *Kinyanjui v Thande* [1997] LLR 644 (CAK) followed. However, though the Plaintiff had erred in opting for the chamber summons procedure, Order L, rule 2 gave the judge hearing the application a discretion to adjourn into court any application which ought to have been made in court. In the interests of justice, procedural lapses should not be invoked to defeat applications unless the lapse went to the jurisdiction of the court or caused substantial prejudice to the adverse party. In this instance, no prejudice had been caused to the Applicant and there was nothing to suggest that the court would have been disinclined to issue the orders on an *ex parte* notice of motion.

While Order L, rule 12 of the Civil Procedure Rules provided that whereas ordinarily every order, rule or other statutory provision under which an appliation was made ought to be stated, an application should not be refused merely by reason of a failure to comply with the rule.

For an Anton Piller order to be granted there must be an extremely strong *prima facie* case, the actual or potential damage to the applicant must be very serious, there must be clear evidence that the respondents have in their possession incriminating matter and there must be a real possibility that such material could be destroyed before an *inter partes* hearing; *Anton Piller KG v Manufacturing Processes Ltd* [1976] 1 Ch 55 applied. In this instance, there was nothing to show that these requirements were satisfied. The affidavit relied on by the Respondent related to evidence against the First Defendant and did not touch the Applicant.

The execution of a court order against a person who was not a party to the suit in which it was issued and to whom the order was not directed was an act of trespass and it was no defence that such an act was carried out under an honest belief that the order was being executed against the right person. Moreover, the actions of the Respondent's agents were unconstitutional as they were contrary to section 76 of the Constitution. In the circumstances and context of this case, the actions of the Respondent in applying for and obtaining the joinder of the Applicant to the suit were aimed at covering its illegal acts with a veneer of legality. The Respondent's attempt to validate *ex post facto* its seizure of the computers was therefore an abuse of the process of the court.

Where a defendant sought to set aside an *ex parte* order on the grounds that it was wrongly made, his proper remedy would be in damages save where the orders were obtained by some material non-disclosure or *mala fide*. In this instance, the *ex parte* order had been obtained *mala fide*, the Applicant had not been a party to the suit and the order had not been issued against it; *WEA Records Ltd v Visions Channel 4 Ltd* [1983] 2 All ER 589 distinguished.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Boys v Gathure [1969] EA 385

George Kigoya v Attorney-General of Uganda [1966] EA 463

Kinyanjui v Thande [1997] LLR 644 (CAK) – **F**

Salua Namukasa v Yosefu Bukya [1966] EA 433

United Kingdom

Anton Piller KG v Manufacturing Processes Limited and others [1976] 1 CH.55 – **AP**

Mitchell and others v Director of Public Prosecutions [1987] 127

Wea Records Ltd v Visions Channel 4 Ltd and others [1983] 2 All ER 589 – **D**

Ruling

RINGERA J: On 4 June 2001, Microsoft Corporation, the Plaintiff in the action and who is the Respondent in the application now under consideration (whom I shall accordingly hereinafter refer to as the Respondent) instituted a suit in this Court against Mitsumi Computer Garage Ltd, a Kenyan company (hereinafter referred to as the First Defendant) for alleged infringement of its intellectual property rights. Simultaneously with the filing of the suit Microsoft moved the court ex parte under a certificate of urgency for an Anton Piller order and a prohibitory injunction. On being satisfied of the prima facie merits of the application, I granted an Anton Piller order against the First Defendant allowing it to enter the latter's premises to seize and inspect all computers and other equipment which allegedly contained or could contain pirated computer software, all purchase and sale records for the past one year and other records which constitute

or could constitute evidence in the trial of the action. I also granted an interim order restraining the First Defendant from infringing the Plaintiff's copyright in any of its computer software programmes by selling hiring or distributing its pirated computer software programmes. I then ordered that the application be heard inter partes on 14 June 2001.

On the same date, Mr *Michael Josphat Iseme*, the Respondent's advocate, armed with the above orders proceeded to the ground floor of Caxton House, Standard Street, Nairobi in the honest and sincere belief (or so he said) that the said premises belonged to the First Defendant, and took possession of fifteen computers in purported execution of the said order. On the following day, Mr *Iseme*'s law firm received a letter from Ochieng Oduol and Co Advocates who advised them that they acted for the First Defendant and another company called Mitsuminet (Kenya) Ltd. I shall hereafter refer to that company as the Applicant. The said letter informed the Respondent's lawyers that the premises from which the 15 computers had been taken belonged to the Applicant company which ran a Cyber Cafe therein. The letter proceeded to protest that the order served did not enjoin the Applicant and consequently the carrying away of the said company's property was wrongful and illegal. It then requested the Respondent's lawyers to return the said goods to the Applicant. They were also warned that unless they responded by the close of business on the same date, an application would be made to discharge the orders obtained. This letter was followed by another one on 6 June 2001 on the same subject matter.

Apparently pricked to the quick by those two letters, the Respondent's lawyers drafted an urgent application on 7 June 2001 and moved the court, again *ex parte* and under a certificate of urgency, for orders that (i) Mitsuminet (Kenya) Ltd be joined as a co-Defendant in the suit, (ii) that the 15 computers seized be retained by the Plaintiff pending proof of ownership by the Second Defendant and verification whether they contained counterfeit or unlicensed software programs; and (iii) that the Second Defendant be restrained from infringing the Plaintiff's copyright in any of its computer software programmes by selling, hiring or distributing copies of the Plaintiff's pirated computer software programmes pending the *inter partes* hearing of the application on 14 June 2001. Mbaluto J granted the orders sought and so the Applicant became the Second Defendant in the present action. Those orders aggrieved the Applicant and it moved the court in a motion on notice filed on 11 June 2001 for orders that:

> "1 [Not relevant]
>
> 2 The Order issued on Friday 8 June 2001 purporting to join the Second Defendant as a party to the suit and allowing the Plaintiff to retain the fifteen (15) computers seized from the Second Defendant's premises in purported enforcement of the order of 4 June 2001 issued against the First Defendant be set aside or discharged;
>
> 3 The Plaintiff do forthwith release and return to the Second Defendant at the Second Defendant's premises on the Ground floor, Caxton House, Standard Street, Nairobi the fifteen (15) computers illegally seized from the said Second Defendant's premises in purported execution of the *ex parte* order of 4 June 2001 against the First Defendant;
>
> 4 The order of injunction issued *ex parte* on 8 June 2001 restraining the Second Defendant from infringing the Plaintiff's software by offering for sale, selling, offering/or hire, hiring and distributing copies of the Plaintiff's pirated computer software programmes be discharged;

5 The amended plaint be struck out and the suit against the Second Defendant be dismissed;

6 The costs of this application and of the suit be borne by the Plaintiff and/or its advocates and be paid forthwith".

The application was supported by the affidavit of Mitesh Mahendra Shah, a director of the Applicant. The application was naturally opposed. There was a replying affidavit by Louis Otieno, the country manager of the Respondent. Apart from the affidavits mentioned, the application was canvassed before me at length and with verve and vigour by Mr *Ohaga*, counsel for the Applicant, and Mr *Iseme*, counsel for the Respondent.

From the submissions of the learned counsels, the following appear to be the issues for determination in this application. First, whether or not the Respondent's application filed in court on 8 June 2001 was fatally defective; secondly, whether or not the amended plaint should be struck out and the suit against the Applicant dismissed; thirdly, whether or not the Respondent had made out a case for an Anton Piller order or any other injunction against the Applicant; fourth, whether or not the orders given on 8 June 2001 were obtained as a result of material non-disclosure; and fifth whether or not the seizure of the Applicant's computers was justified in law. I will deal with those issues in that order.

On the procedure adopted by the Respondent in moving the court for the orders of 8 June 2001, the Applicant's complaint was that as the Respondent's application was expressed to be under Order XXXIX, rules 1, 2, and 7 the application had to be brought by way of motion on notice and not a chamber summons. In support of that contention Mr *Ohaga* pointed out that under rule 9 of the same order, applications under rules 1 and 2 should be made by summons in chambers. He argued that the moment the Respondent introduced rule 7 in its application, the application went beyond the purview of rule 9 and, accordingly, it had to be brought by way of motion. He cited the Ugandan case of *Salua Namukasa v Yosefu Bukya* [1966] EA 433 and *George Kigoya v Attorney-General of Uganda* [1966] EA 463 in which Sir Udo Udoma CJ struck out applications made by way of chamber summons instead of notice of motion and by way of notice of motion instead of chamber summons respectively on the grounds that they were incompetent for those reasons. Counsel submitted that prejudice had been suffered by the Applicant because the Respondent had obtained *ex parte* orders by the wrong procedure. Mr *Iseme* on his part, submitted that an application under Order XXXIX may be brought by way of either chamber summons or notice of motion. He further submitted that in those premises, under Order L, rules 8–12 the court had a discretion to decide whether an application made in chambers should be heard in court or *vice versa*. He further submitted that the Ugandan cases are not binding on this Court. He also submitted that invocation of wrong procedure cannot defeat an application unless the defect went to the jurisdiction of the court or caused prejudice to the other party. He relied on the cases of *Boys v Gathure* [1969] EA 385 and *Kinyanjui v Thande* [1997] LLR 644 (CAK) for the last proposition.

On consideration of the above submissions, it is apparent to me that this was a case where an application was brought under different rules, some calling for a motion on notice form and others for the form of a summons in chambers. In those circumstances, the Applicant had a discretion to adopt the form of notice on motion because it was the wider.

This point was expressed very clearly by the Court of Appeal in *Johnson Joshua Kinyanjui* Case (*supra*) where the court said: "If an application is brought under different rules, one calling for a notice of motion application and another calling for a chamber summons application then the party applying has a choice to use a notice of motion procedure".

So the Respondent's counsel had a choice to move the court by way of motion on notice. He did not do that. He opted for the form of a summons in chambers. In that, he was clearly wrong. In those circumstances the issue is whether I should set aside all the orders obtained by the Plaintiff as a result of its invocation of the wrong procedure. In that regard, it is pertinent to point out that Order L, rule 2 gives the judge a discretion to adjourn to court any application which ought to have been made in court but was made in chambers or to hear it in chambers. So nothing really could turn on whether an application was made by way of chamber summons instead of motion on notice except the costs thereof. Besides that, I am of the firm view that it is in the overall interests of justice that procedural lapses should not be invoked to defeat applications unless the lapse goes to the jurisdiction of the court or substantial prejudice is caused to the adverse party. In the instant matter, the form invoked did not go to the jurisdiction of the court and I am not persuaded that any prejudice was thereby caused to the Applicant. In that regard I think Mr *Ohaga*'s assertion that prejudice was caused is rather fanciful for the reason that the orders complained against were not in reality granted *ex parte* because the application had been made by way of chamber summons, but because the court was persuaded on substantial grounds to issue them. There is nothing on record to suggest that the court would have been disinclined to grant the orders on an *ex parte* motion by notice. And of course there is nothing in the rules of procedure prohibiting the grant of *ex parte* orders on a motion in any case in which the court considers it to be appropriate. In the premises, this ground of the application is rejected.

On the issue of whether the amended plaint should be struck out and the suit against the Applicant be dismissed, counsel for the Applicant submitted that the application to enjoin the Second Defendant in the suit was irregular and the application to validate the seizure of the 15 computers was an abuse of the process of the court. The submission on the irregularity of the application to enjoin the Applicant as the Second Defendant was said to arise from the fact that the Respondent did not in that application invoke the provisions of either Order I, rule 10 or Order VIA both of which are pertinent to amendments of pleadings. The abuse of the court process was said to arise from the fact that the orders joining the Applicant as the Second Defendant in the suit and allowing the Respondent to retain possession of the 15 computers seized on 4 June 2001, gave the Respondent the collateral advantage of being able to utilize the evidence that may be obtained from the said computers to sustain its suit for, among other things, damages against the Respondent.

Counsel for the Respondent replied to the first complaint by submitting that under the provisions of Order L, rule 12, whereas it is required that ordinarily every order, rule or other statutory provision under which any application is made should be stated, no objection should be made and no application should be refused merely by reason of a failure to comply with the rule. I think that reply adequately answers the Applicant's complaint that the application for amendment to the plaint was irregularly made. I cannot therefore strike out the

amended plaint on the ground that it was the product of an irregular application to amend. As to whether the application was otherwise an abuse of the process of the court, counsel for the Plaintiff's position appeared to be that it was necessitated by the discovery that he had executed the order of 4 July 2001 by seizing the Applicant's property in the honest and well founded belief that the said property belonged to the First Defendant and that since, in the Plaintiff's belief, it had a cause of action against the Applicant, it was necessary to enjoin that party in the existing suit and to retain the property seized as evidence in the proposed action. I think this aspect of the second issue is quite inextricably linked to the issue of whether the Respondent's action in seizing the Applicant's property was justified in law and it would accordingly be convenient to defer its consideration to the time the latter issue is dealt with.

The third issue is whether or not the Respondent had made out any case for the grant of either an Anton Piller order or for a restraining injunction against the Applicant. The essence of Mr *Ohaga*'s submissions in that respect was that there was nothing in the affidavit evidence of Mr Louis Otieno or Mr *Iseme* himself filed in support of the application of 8 June 2001 which warranted the orders sought and obtained by the Respondent. Mr *Iseme* for his part argued that the orders against the Applicant were granted on the basis of the depositions in paragraphs 18–21 of the affidavit of Marily Pearman, which was filed in support of the application of 4 June 2001 against the First Defendant, and which affidavit Mr Louis Otieno had adopted in his affidavit of 7 June 2001 in support of the application for orders against the present Applicant.

I think it is convenient to state briefly the principles applicable to the grant of Anton Piller orders and interlocutory prohibitive injunctions generally before evaluating the above submissions. The case from which Anton Piller orders derive their name is *Anton Piller KG v Manufacturing Processes Ltd and others* [1976] 1 CH.55. The conditions for the grant of the orders were laid down by Ormorod LJ at 62 as follows:

> "First, there must be an extremely strong *prima facie* case. Secondly, the damage, potential or actual, must be very serious for the Applicant. Thirdly, there must be clear evidence that the Defendants have in their possession incriminating documents or things, and that there is a real possibility that they may destroy such material before any application *inter partes* can be heard".

And as regards prohibitive interlocutory injunctions generally, the cases of *East African Industries Ltd v Trufoods* [1972] EA 420 and *Giella v Cassman Brown and Co* [1973] EA 558 – the latter of which is the East African *locus classicus* on the matter – lays down that the orders will not be granted unless the Applicant persuades the court firstly, that there is a *prima facie* case with a probability of success at the trial; and secondly, that he is likely to suffer an injury which cannot adequately be compensated in damages unless the injunction is granted. If the court is in doubt about the existence of a *prima facie* case it may decide the application on a balance of convenience.

Now bearing those principles in mind and considering the affidavit evidence on record, I agree entirely with Mr *Ohaga*'s submissions that the Respondent did not make out any extremely strong *prima facie* case or indeed any *prima facie* case at all for an Anton Piller order or any other kind of injunction against the Applicant. There was nothing in evidence to suggest that the Applicant was infringing the Plaintiff's intellectual property rights in copyright and that it would destroy the evidence of such infringement. That is so because the

depositions in the Pearman affidavit which were relied on by the Respondent were all evidence against the First Defendant. They did not touch the Applicant at all. Indeed the Applicant was not even in contemplation as a party let alone being an actual party to the suit when that affidavit was filed. And the affidavit of Mr Louis Otieno did not carry the Respondent's case against the Applicant any further. I agree further with Mr *Ohaga*'s submission that the substance of the case which the Respondent's counsel presented to the court on 8 June 2001 was that, in executing the Anton Piller order obtained against the First Defendant, they had come across and seized 15 computers which were said to belong to the Applicant; which computers might be of assistance to their case against such person and which they desired to retain for the purpose of evidence in such a case. I have not taken seriously Mr *Iseme*'s reliance on the pleadings and the statement of grounds on the face of the application as an alternative basis for his submission that a *prima facie* case had been shown against the Applicant for the reason that, in my view, the existence or otherwise of a *prima facie* case is to be adjudged on the evidence adduced and not pleadings or statements by counsel on the face of an application or in certificates of urgency. The latter are obviously not evidence and a court cannot, without more, predicate legal rights and obligations thereon. In short, I find this ground of complaint to be well merited.

The fourth issue is whether or not the orders obtained on 8 June 2001 were obtained as a result of material non-disclosure and accordingly whether they should or should not be set aside on that basis. The substance of the Applicant's complaint on this aspect of the matter was that the Respondent had not disclosed to the court the nature of the Applicant's business – which was the business of an internet provider and a Cyber Cafe – even though it knew of it as it had seen the Applicant's operations when it went to execute the Anton Piller order on 4 June 2001.

In the Applicant's submission that was a material non-disclosure for in its view, if it had been made, the orders of injunction obtained against the Applicant on 8 June would not have been issued. That reason, as I understood the Applicant, was grounded on an assumption that as the Respondent's copyright could only have been infringed by the selling or hiring or distribution of computers and computer programmes, and the Applicant's business did not include the selling or hiring of computers and software, the Applicant could not possibly have been violating the Respondent's rights to warrant an application for injunction. The Respondent on the other hand, maintained that it had disclosed the nature of the Applicant's business in paragraph 8A of the amended plaint. It also argued that it had disclosed the seizure of the 15 computers which it considered the more pertinent disclosure for the purposes of its application dated 7 June 2001. Mr *Iseme* argued in the alternative that if the Respondent failed to disclose the nature of the Applicant's business as claimed, such non-disclosure was not a material non-disclosure. In support of that argument, he contended that to be able to run the business of an internet provider or Cyber Café, the Applicant had to have computers installed with software which would enable anyone wishing to access and surf the internet to do so at a fee. He submitted further that anyone using the Applicant's computers for those purposes was in effect hiring the software programme from the Applicant, and if the hired software was pirated, that was an infringement of the Respondent's copyright.

On a consideration of those submissions I find that the Respondent did not disclose the nature of the Applicant's business. However such non-disclosure was not material. It would only have been material if the Applicant's argument that the business of an internet provider and Cyber Cafe did not involve either the sale or hiring of the Respondent's software was a valid one. However, in that respect I agree with the submissions of Mr *Iseme* that the business of the Applicant did involve at least the hiring of computer software programmes, and accordingly an injunction to restrain the infringement of the Respondent's copyright could have been properly issued if the conditions for the grant of such injunctions had otherwise been established. It only remains to state that the authorities are unanimous that where an injunction has been obtained on the basis of non-disclosure of material facts, the same would be vacated on the application of the person affected thereby. However, as I have found such not to be the case here, the orders of 8 June 2001 cannot be discharged or revoked on such ground.

The last issue is whether or not the Respondent's seizure of the Applicant's 15 computers was justified in law and whether or not it was an abuse of the court process to apply to validate *ex post facto* that seizure and the continued possession of those computers. The Applicant argued that the Respondent's entry into its premises and the seizure of its computers in purported execution of the court order of 4 June 2001 was illegal and unconstitutional and the obtaining of the "validating" orders of 8 July was an abuse of the process of the court. On the unconstitutionality of the Plaintiff's actions, section 76 of the Constitution was invoked. It reads:

> "76(1) Except with his own consent, no person shall be subjected to the search of his person or his property or the entry by others on his premises.
>
> (2) Nothing contained in or done under the authority of any law shall be held to be inconsistent with or in contravention of this section to the extent that the law in question makes provision;
>
> (*a*) that is reasonably required in the interests of defence, public safety, public order, public morality, public health, town and county planning, the development and utilization of mineral resources, or the development or utilization of any other property in such a manner as to promote the public benefit;
>
> (*b*) that is reasonably required for the purpose of promoting the rights or freedoms of other persons;
>
> (*c*) that authorizes an officer or agent of the government of Kenya, or of a local government authority, or of a body corporate established by law for public purposes, to enter on the premises of a person in order to inspect those premises or anything thereon for the purpose of a tax, rate or due or in order to carry out work connected with property that is lawfully on those premises and that belongs to that government, authority or body corporate, as the case may be; or
>
> (*d*) that authorises, for the purpose of enforcing the judgment or order of a court in civil proceedings, the entry upon premises by order of a court, and except so far as that provision or, as the case may be, anything done under the authority thereof is shown not to be reasonably justifiable in a democratic society".

The Respondent argued that its action were neither illegal nor unconstitutional. It was argued that they were in furtherance of the execution of a court order and therefore fell within the exception in subsection 2(*d*) of the said section of the Constitution. As regards whether the Respondent's subsequent application of 7 June 2001 was an abuse of the court process I did set out the respective arguments when I was considering the third issue herein. I propose to deal with the legality of the Respondent's action first.

It is perfectly clear to me that to execute a court order against any person who is not a party to the suit in which it is issued and to whom the order is not directed is a naked act of trespass. And it is no defence to such trespass to claim that the order was executed against such wrong person in the honest and sincere belief that he was the right person. And it matters not how well founded the belief was. Neither would it be a defence that such a person acquiesced in the execution of the order on his premises or against his property. Intention and motive, if innocent, could only be relevant to the issue of damages, not liability. And alleged acquiescence, particularly acquiescence in the face of a seeming execution of a court order, cannot derogate from the fundamental nature of the wrong. I would go further and say that to comply with what appears to be a lawful order is not to acquiesce in it; it is to submit to the force of the law, a submission which is a public duty of all citizens. What the Respondent's agents did in this case is a clear violation of the Applicant's constitutional rights. It also amounted to the wrong known by the common law as trespass to goods. No amount of sophistry can make the Respondent's action anything else. As regards whether the Respondent's action in making the application of 7 July 2001 was or was not an abuse of the process of court, a superficial consideration of the matter might suggest that it was not. The Respondent moved the court for leave to enjoin another person to its suit. And it sought injunctive relief whose nature was fully disclosed. How could access to the court for lawful relief be regarded as an abuse of its process, it might be asked. However it must be remembered that the legal process like any other human machinery in other spheres of life is susceptible to abuse by man. I think Haynes P of the Court of Appeal of Grenada put the matter succinctly in the case of *Mitchell and Others v Director of Public Prosecutions* [1987] Law Reports of the Commonwealth, 127, at 129 when he said:

> "In a civilised society legal process is the machinery used in the courts of law to vindicate a man's right or to enforce his duties. It can be used properly. It can be used improperly, and so abused. An instance of this is when it is diverted from its proper purpose and is used with some ulterior motive, for some collateral one or to gain some collateral advantage, which the law does not recognize as a legitimate use of that process. But the circumstances in which abuse of process can arise are varied and incapable of exhaustive listing. Sometimes it can be shown by the very steps taken and sometimes on extrinsic evidence only. But if and when it is shown to have happened it would be wrong to allow the misuse of that process to continue".

In the instant matter, I am of the opinion that whether the Respondent used the legal process properly or improperly can only be discerned by examining its application of 7 June 2001 in the context of events preceding that date. That context is that on 4 June 2001, the Respondent's agents, innocently perhaps, entered the Applicant's premises without colour of right and seized its fifteen computers. On the following day they were put on notice by counsel for the First Defendant herein that they had blundered and asked to make amends. They did not. On 6 June another letter on the same subject matter was sent to

them. On the following day, that is to say 7 June, an application to enjoin the Respondent to the suit as Second Defendant and for an order to retain the computers seized as well as for an order of interim injunction against the Respondent was drafted and dated. The same was filed in court on 8 June under a certificate of urgency and the interim orders which have provoked the present motion were obtained *ex parte*. In my discernment, what the Respondent intended to achieve and did achieve by its application was to cover with grade one cotton wool its objectionable acts of trespass against the Applicant. It sought to and did cover its illegal acts with a veneer of legality. And the fruits of this use of the legal process could even be sweeter in the future. The Respondent may by examining the computers seized, obtain evidence for use against the Applicant in the action which it was allowed to commence by the order granting the amendments to the plaint which were sought. In short, I think that the Respondent did not use the legal machinery for the *bona fide* purpose of just amending its pleading and obtaining urgent interlocutory relief. It used it for the improper purpose of retrospectively legalising its patently illegal acts and to obtain the collateral advantage of retaining for future use in this suit evidence which had been illegally obtained. That in plain English is an abuse of the process of the court. In the result, my conclusion on the fifth issue is that the Respondent's seizure of the 15 computers of the Applicant was illegal and its application to validate *ex post facto* such seizure and the continued possession thereof was an abuse of the process of the court.

The last thing I wish to consider is whether, despite my findings that the Respondent had not made out any case for an Anton Piller order or any injunction against the Applicant at the *ex parte* stage, and that its application of 8 June 2001 was an abuse of the process of the court to the extent that it sought to validate its illegal actions of the 4 June 2001, I should decline to discharge the orders obtained on the strength of the argument by counsel for the Respondent, that the remedy of a person who suffers a wrong as a result of an *ex parte* injunction which has been complied with is in damages pursuant to the undertaking given by the Plaintiff in that regard. For that argument Mr *Iseme* relied on the authority of *Wea Records Ltd v Visions Channel 4 Ltd and others* [1983] 2 All ER 589 where it was held that where an *ex parte* order had been executed but the Defendant sought to have it set aside on the ground that it should not have been made, his proper remedy (save where the order was obtained *mala fide* or by some material non-disclosure) was to proceed against the Plaintiff at the trial under the undertaking as to damages given by the Plaintiff when the order was first granted. Mr *Ohaga*'s answer to that was that the order herein was obtained *mala fide* and as a result of material non-disclosure, and so the rule was inapplicable in the circumstances of the case.

I have already found that there was no material non-disclosure. But I have also found that the orders were not obtained *bona fide*. That may qualify them as orders obtained *mala fide* for the purposes of the rule. But I would not be quite content to rest my decision on that distinction. I think what really distinguishes the case before me from the authority relied upon in a fundamental way is this. In the authority relied upon the order sought to be discharged had been made in proceedings to which the Applicant was a party and the court had directed the order to be executed against him. In the instant matter, there was no order obtained *ex parte* against the Applicant. The order which was issued *ex parte* was made against the First Defendant only, but was executed against the Applicant

who was not a party to the suit and to whom it was not directed. And if it be thought that the genesis of the Anton Piller order against the Applicant was the order made on 8 June 2001 – and in my view that is not the case – I would point out that no undertaking to damages was either offered by the Respondent or extracted by the court as a condition for such order. That want of an undertaking too would distinguish this case from the authority relied upon by the Respondent. In these premises, I would not shy away from discharging the orders granted in deference to the authority of the *Wea Records* case.

To summarize, I have found that there was no case made out for the grant of or an extension of the Anton Piller order against the Applicant. Neither was any case made out for any restraining injunction against the Applicant. I have also found that the seizure of the Applicant's fifteen computers on 4 June 2001 was patently unconstitutional and amounted to a trespass against the Applicant and its goods. And I have further found that the application presented in court on the 8 June 2001 was an abuse of the process of the court. Last but not least, I have found that the *Wea Records* case is distinguishable from the present case.

Having taken the above view of the matter, I would in conclusion of this application observe that in the armoury of the law, there are many veritable weapons to fight injustice. One of the weapons at the court's disposal is its inherent power to prevent abuse of its process. I think this is an appropriate case for the resort to such power. I intend to use it to undo what the Respondent has done and to halt the Respondent's intended march to further or other relief in the nature of damages or otherwise in this suit.

In the result, and for the reasons already stated above, I grant the Applicant the orders prayed for in paragraphs 2, 3, 4, 5 and 6 of the motion on notice dated 11 June 2001.

For the Applicant:

JM Ohaga instructed by *Onyango Ohaga and Co*

For the Respondent:

MJ Iseme instructed by *Iseme Kamau and Maema*

Mucuha v Ripples Ltd
[2001] 1 EA 138 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Ruling:	4 May 2001
Case Number:	19/98
Before:	Omolo, Bosire and O'kubasu JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Practice and procedure – Court of Appeal – Record of appeal – Contents – Distinction between primary documents and secondary documents – Consequences of failure to include either – Whether an appeal will be struck out for failure to include secondary documents – Rules 80 and 85(1) – Court

of Appeal Rules.

[2] Practice and procedure – Court of Appeal – Record of appeal – Contents – Distinction between primary documents and secondary documents – Consequences of failure to include either – Whether a party can make the decision on which document to exclude

from the record of appeal – Consequences of a party taking the decisions as to which documents to exclude – Rules 80 and 85(3) – Court of Appeal Rules.

[3] Practice and procedure – Court of Appeal – Record of appeal – Contents – Whether a copy of the ruling appealed from must be signed – Rules 80 and 85(1) – Order XX, rule 3 – Court of Appeal Rules – Civil Procedure Rules.

Editor's Summary

In proceedings between Ripples Ltd and Andrew Kamau Mucuha, the High Court granted a mandatory injunction requiring Mucuha to move out of the suit property. Mucuha did not comply with the said order and Ripples Ltd commenced contempt proceedings. Following a contested hearing, on 14 December 1994 the committal orders were made by the High Court. Mucuha appealed. During the pendancy of the appeal, Ripples Ltd took out two motions to have the appeal struck out on grounds that (i) the ruling in the record of appeal had not been signed; (ii) essential documents required at the hearing of the appeal were not included in the record; (iii) typed copies of the proceedings in the record did not tally with the Judge's hand-written notes and, (iv) the proceedings contained several typographical errors and omissions which rendered them unintelligible.

Held – While the copy of the ruling in the record of appeal had not been signed, a perusal of the court file in the High Court disclosed that the Judge had signed and dated the ruling as at the time it was delivered and so Order XX, rule 3 of the Civil Procedure Rules had been complied with. Rule 85(1) of the Court of Appeal Rules does not require a signed copy of the ruling or judgment appealed from to be included in the record of appeal. Previous decisions of the court striking out appeals on ground that the ruling had not been signed, distinguished.

Rule 85(1) of the Court of Appeal Rules divides documents to be included in the record of appeal into primary documents (which include the pleadings, the trial Judge's notes of the hearing, the affidavits read and all documents put in evidence) and secondary documents. The failure to include primary documents renders a record of appeal incurably defective. Omitted secondary documents can put it by the filing, with leave of the court, of a supplementary record by either party. Though under rule 85(3) of the Court of Appeal Rules the decision as to which documents should be included or excluded in a record of appeal is exclusively vested in the superior court, and in absence of a direction from that court, no party has the right to exclude any document, the failure to include secondary documents is not an incurable defect. The omitted documents identified by Ripples Ltd were not primary documents.

As a party is entitled to rely on the certification by the High Court that the proceedings supplied by the court were a true record of what transpired in court and in this case the proceedings were so certified. Mucuha's counsel was not under a duty to independently check whether the typed proceedings tallied with the Judge's hand-written notes.

Leave to file a supplementary record of appeal can only be granted on a formal application or at the hearing of the appeal. Accordingly Mucuha's oral application for leave, at the hearing of the striking out applications, was rejected.

Though Mucuha was the party which prevailed on the striking out applications, he would not be awarded costs as his advocate impermissibly arrogated to himself the power to decide which documents to exclude from the record of appeal.

Applications dismissed with no order as to costs.

No cases referred to in ruling

Ruling

OMOLO, BOSIRE and O'KUBASU JJA: Two motions respectively dated 6 October 1998 and 19 April 2000, both taken out by the Ripples Ltd the Respondent in the appeal, were argued together before us. Andrew Kamau Mucuha, the Appellant, is named Respondent in both motions, in which an order is sought striking out the Appellant's appeal on the grounds, inter alia, that the ruling appealed from is not signed as required by Order XX, rule 3 of the Civil Procedure Rules; that essential documents in the hearing and determination of the appeal are omitted from the record of appeal and that the typed copies of proceedings included in the record of appeal do not tally with the handwritten notes of the trial Judge and contain several typographical errors and omissions as to render the proceedings unintelligible.

The power of the court to strike out an appeal is donated by rule 80 of the Court of Appeal Rules, which provides that:

> "A person affected by an appeal may at any time, either before or after the institution of the appeal, apply to the Court to strike out the notice or the appeal, as the case may be, on the ground that no appeal lies or that some essential step in the proceedings has not been taken or has not been taken within the prescribed time".

The Applicant's case in the first motion is that the ruling appealed from is not signed. But before we consider the matter we wish to state that during the hearing of both applications we raised a concern as to why it was necessary to take out two motions when in fact the prayers in both the motions could have been the subject matter of one motion. Miss *Muriu*, for the Appellant, explained from the bar that the omissions and errors relied upon in the second motion were realized long after the first motion had been filed. We wish to observe that a multiplicity of applications as in the present case only serve to increase costs, and in some cases confuse issues. In the circumstances of this case, all the Applicant should have done was to seek leave to amend its motion to broaden the grounds upon which the application was brought. We defer further comment on this issue until later on in this ruling.

The ruling appealed from was delivered on 14 December 1994, by Shah J (as he then was). A mandatory order of injunction had earlier been made by the superior court requiring the Appellant to put the Applicant herein into possession of premises on the ground floor of Rumwe House situated on L.R. number 209/4985, where it had been a tenant. The Appellant had allegedly unlawfully and wrongfully evicted the Applicant from the said premises. The Appellant did not comply with that order. The Applicant was compelled to take out committal proceedings against him. It filed a chamber summons in the superior court, dated 24 June 1993, seeking leave of that court to institute contempt proceedings. It was granted the leave and thereafter brought a notice of motion before the same court seeking committal orders. It is that motion

which Shah J heard and eventually granted in his ruling, the subject matter of the present appeal. The details of the order the Learned Judge made are not material in this ruling. Suffice it to say that he found the Appellant guilty, fined him and made other orders which the Appellant was aggrieved of and hence the present appeal.

Notwithstanding the fact that the Appellant was refused a stay of execution of those orders both by the superior court and this Court, the Applicant has not, for some reason, taken any further steps to get possession of the suit premises.

The copy of the aforesaid ruling included in the record of appeal is not signed. However, we checked the superior court record and it is quite clear to us that the Learned Judge did sign the ruling on the date of its delivery as he was required to do by the provisions of Order XX, rule 3 aforesaid. It was, however, contended on behalf of the Applicant that the copy of the ruling in the record of appeal should also have carried the trial Judge's signature. Rule 85(1) of the Court of Appeal Rules**,** which makes provision as to what a record of appeal should include does not talk about a signed copy of the ruling or judgment appealed from, but:

"85(1) (*g*) the judgment or order;

(*h*) certified copy of the decree or order".

This Court has in the past struck out some appeals on the sole ground that the judgment of ruling appealed from was not signed. Those cases are distinguishable from the one before us on the ground that in those earlier cases, the respective trial Judges did not sign their judgments or rulings at the time of delivery or at all. By dint of the provisions of Order XX, rule 3 aforesaid, a pronouncement of a decision is given legal effect by the dating and signing of a copy thereof at the time of such dating and pronouncement.

The ruling appealed from in this appeal clearly satisfies the requirements of rule 85(1) of the Rules of this Court and as we stated earlier, was dated and signed at the time of delivery; consequently, the Applicant's first application lacks any merit.

Regarding the second application, three sets of documents are said to be omitted from the record of appeal, the first one being a chamber summons dated 24 June 1993, in which, as we said earlier, the Applicant sought the leave of the superior court to file committal proceedings against the Appellant herein for breach of a court order. The second set of documents are a notice of motion dated 31 January 1994, in which orders were sought authorising the attachment of the Appellant's property. The third and last set of documents is a replying affidavit sworn by the Appellant on 26 July 1993, in response to the chamber summons dated 24 June 1993, aforesaid, but which has erroneously been described in the present application as a notice of motion. The Applicant also complains that the typed proceedings included in the record of appeal is replete with errors and omissions as render the proceedings unintelligible.

Rule 85(1) of our Rules, divides documents to be included in a record of appeal into two categories, namely, primary and secondary. In the primary category are those documents which if omitted from the record of appeal render the said record incurably defective. The secondary category of documents may be brought on record by either party with leave of the court, filing a supplementary record of appeal under rule 89 of the said Rules. Miss *Muriu* for the Applicant conceded before us that all the omitted documents are not in the

primary category which would then mean that the record of appeal is not incurably defective.

Mr *Thiongo*, for the Respondent, does not think the record of appeal is inadequate in any way. His submission before us was that the Appellant having included in the record of appeal the order granting the Applicant leave to file contempt proceedings it was not necessary to include in the record of appeal, the application for the leave. Besides, he said, if the Applicant thought that the chamber summons for leave was essential in the present appeal it should have proceeded under rule 89(1) and filed a supplementary record of appeal to bring the documents on record. Mr *Thiongo* was, however, quick to informally seek leave to file a supplementary record of appeal in terms of rule 89(3) of the Rules, in the event that we do not accept his earlier submission.

By dint of the provisions of rule 85(3) the power to exclude any document from the record of appeal lies with the superior court. Neither the Appellant nor the Respondent has the right or power to exclude any document for whatever reason. If either party wishes to exclude any document from the record of appeal, he or it is obliged to move the superior court for a direction in that regard, failing which the record of appeal omitting any such document shall be rendered defective. That is the position regarding the present record of appeal. The issue that logically arises from that conclusion is whether the defect is curable. Both counsel were *ad idem* that the documents which are omitted from the record of appeal are not of the primary category. The documents which fall into that category are set out under rule 85(2A) of the Court of Appeal Rules**.** They include the pleadings, the trial Judge's notes of the hearing, the affidavits read and all documents put in evidence at the hearing, the judgment or order, a certified copy of the decree or order and the notice of appeal. The only document which, *prima facie*, falls in that category is the affidavit which was sworn by the Appellant on 26 July 1993, in reply to the Applicant's chamber summons dated 24 June 1993. However, as rightly pointed out by Mr *Thiongo*, that affidavit forms part of the record of appeal. Its annextures are, however, omitted. That notwithstanding, the fact that the affidavit in question was not read at the hearing which gave rise to the ruling appealed against, it cannot be said to be a primary document.

In the result, we are of the view that the omitted documents render the record of appeal defective but not incurably defective. We, however, rule that the Appellant gravely erred in omitting them from the record of appeal without the appropriate direction from the superior court under rule 85(3) aforesaid.

Mr *Thiongo* sought our leave to file a supplementary record of appeal so as to bring the omitted documents on record in order to cure the defect. Before we consider the matter we deem it appropriate to first consider the third complaint the Applicant raised, that is to say the errors and omissions in the typed copies of the trial court's proceedings. It may be as pointed out by the Applicant that those errors and omissions exist in the typed proceedings. But, counsel for the Appellant has appended a certificate to the record of appeal to the effect that he compiled the record of appeal using documents supplied to him by the trial court. The certificate which is prepared pursuant to the provisions of rule 85(5) of our Rules is mandatory. But is an Appellant or his advocate supposed to first satisfy himself that the typed copies of proceedings supplied to him tally with the handwritten proceedings before appending such a certificate to the record

of appeal? We do not think so. It is the duty of the trial court or indeed any court to ensure that copies of either proceedings or ruling or judgment agree with the original before giving it out to any person asking to be supplied with a copy thereof. We have checked the copies of proceedings included in the record of appeal and it is clear to us that they bear at the end a certificate by the deputy registrar of the High Court that they are a true copy of the original. The name of the officer who proof-read the typed proceedings is also indicated thereon. To our minds, the Appellant or his counsel was perfectly entitled to append the said certificate under rule 85(5) aforesaid, and relying on the deputy registrar's certificate, presume that the typed proceedings agree with the handwritten ones.

Back to the issue of leave. Under rule 52(1) an application for leave to file a supplementary record of appeal has to be made to a single judge, and a formal application in that regard is necessary in view of the provisions of rule 42(1). As Mr *Thiongo*'s application was neither made in the course of the hearing of the appeal nor with the consent of the Applicant (the Respondent in the appeal) we are disinclined to grant the leave in the present motions.

In the result, the order that commends itself to us is to dismiss both the applications. But as regards costs, we think that neither party is entitled to any costs. We would have been inclined to penalize the Applicant heavily on costs for the multiplicity of applications, seeking the same order although on different grounds, but we have decided against it more so because the Appellant improperly arrogated to himself the duty which is squarely on the superior court, to decide which documents were not necessary in the hearing and determination of his appeal.

In the result, we make no order as to costs in both applications.

For the Applicant:

Information not available

For the Respondent:

Information not available

Muthoka v Insurance Co of East Africa Ltd
[2001] 1 EA 143 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	23 March 2001
Case Number:	234/2000
Before:	Kwach, Shah and Bosire JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Court of Appeal – Proceedings at trial unsatisfactory – Procedure on appeal – Order for a retrial – Power of the court to deal conclusively with suit – Whether ordering a retrial would be in the interests of the Plaintiff –section 9 – Appellate Jurisdiction Act Chapter 9.

[2] Practice – Interlocutory applications – Failure by Judge to rule on applications – Ruling on substantive appeal at hearing of applications – Recording of proceedings – Whether Judge erred in

failing to rule on applications – Whether failure by a judge to record proceedings fully is a ground for appeal.

Editor's Summary

Muthoka was injured in an accident while in the employment of DWA Sisal Ltd. ICEA, DWA's insurers, agreed to pay Muthoka KShs 116 400 inclusive of KShs 10 000 costs payable to Muthoka's advocate. ICEA sent two cheques to Muthoka's advocate, one made out to Muthoka and the other to her advocate. On receipt of the cheques, the advocate returned them and demanded that one cheque for the whole amount be sent. ICEA declined to do so whereupon Muthoka filed suit against it seeking a declaration that her advocate was the right person to receive the entire payment as her agent or, alternatively, that payment should have been made as per her instructions on the discharge voucher. ICEA filed a defence that, upon the Plaintiff's application, was struck out under Order VI, rule 13 of the Civil Procedure Rules. ICEA appealed to the High Court. Before the appeal could be heard, ICEA filed an application seeking a stay of execution pending appeal whereas Muthoka filed a separate application seeking the striking out of the appeal. At the hearing of the applications, the Judge rendered no decision on the two applications but instead issued a ruling ordering that the money be paid in two cheques. Muthoka now appealed to the Court of Appeal on the grounds, *inter alia*, that the Judge had erred in determining the appeal itself rather than dealing with the two applications, that the Judge had failed to keep a proper record of the proceedings and that he had failed to give a reasoned ruling.

Held – Though the Court of Appeal would not ordinarily express a concluded view on a dispute where the decision appealed from arose from unsatisfactory proceedings, the circumstances of this case made it necessary to deal conclusively with the dispute under section 3 of the Appellate Jurisdiction Act.

A judge had the duty to hear parties, record as fully as possible their submissions, crystallise the issues and hand down a reasoned decision. Where he failed to do so, as in this instance, a retrial was ordinarily called for but in these circumstances a retrial would only delay payment to the Plaintiff of her money. Appeal would be allowed, KShs 106 400 to be paid over to the Appellant.

Per curiam: Counsel for the Plaintiff had erred in advising her to file suit when none of her legal rights had been infringed and in doing so, he had not acted in her best interests pursuant to the fiduciary nature of the relationship between them. The Defendant had also acted improperly in taking upon itself the role of protector of the Plaintiff's rights and doubting the honesty of her counsel.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kenya Bus Services Ltd v Muteti [1992] LLR 3020 (CAK)

Judgment

KWACH, SHAH and BOSIRE JJA: Agnes Nzali Muthoka is the named Appellant but in actual fact she does not personally have any specific grievance

against Insurance Co of East Africa Ltd (the Respondent). If anything it is her advocate, Nelson Kaburu, who is aggrieved by the decision of the superior court given on 6 June 2000, in its civil case number 122 of 2000 in which that court (Sheikh Amin J) made an order requiring the Respondent to settle its liability to the Appellant and costs due to her said advocate by two cheques, one in the name of the Appellant and the other in her advocate's name to cover his fees.

The Respondent's liability to the Appellant arose this way. The Appellant, while in the employment of DWA Sisal Ltd, was injured in an industrial accident. The said company had an insurance policy with the Respondent for its employees who got injured at work. The Appellant's injury was reported to that company which eventually agreed to pay the Respondent a total of KShs 116 400, which was inclusive of KShs 10 000 as costs which was payable to her aforesaid advocate. The Respondent made out two separate cheques, the first one for KShs 106 400, in the name of the Appellant, and the second one for KShs 10 000, in the name of her advocate. Both cheques were sent to Mr *Kaburu* who on receipt of the same thought that the Respondent improperly drew two cheques instead of one. He returned the cheques and demanded that the Respondent make out one cheque for the total amount. The Respondent declined to comply. Consequently, on the advice of Mr *Kaburu*, the Appellant instituted a suit by plaint in the Chief Magistrate's Court, at Nairobi, seeking a declaration that her advocate was "the rightful person to receive the whole payment on her behalf as her agent", and in the alternative a declaration that payment should have been made as per her instructions on the discharge voucher dated 9 September 1999, namely that payment be made to Nelson Kaburu Advocates, Account Number 0102180282700 at Standard Chartered Bank, Haile Selassie Avenue, Nairobi.

The Respondent filed a written statement of defence and in it averred, *inter alia*, that there was nothing legally wrong in making payment as they did, and that their decision to pay by two cheques was proper and equitable. But upon application by the Appellant the defence was struck out under Order VI, rule 13 of the Civil Procedure Rules and judgment was entered as prayed in the plaint. The Respondent was aggrieved and lodged an appeal to the superior court.

Before the said appeal was admitted to hearing two applications were filed. The first one was by the Respondent herein seeking a stay of execution of decree pending the final determination of the said appeal. The second one was by the Appellant seeking an order striking out the appeal. Both applications were listed for hearing before Shaikh Amin J on 6 June 2000. His record of the proceedings for that day is very short. We consider it important to reproduce the same.

> "Lumumba: Application 30 May 2000. Stay of execution.
>
> Mr Kaburu: I want it to be paid in one cheque – civil appeal 15 of 1992. Pre-Kinyanjui decision therefore no longer a valid decision to be applied.
>
> Order: The amount is to be paid forthwith – 2 cheques.
>
> Leave to appeal granted.
>
> Shaik M. Amin.
>
> Judge".

As is clearly apparent the Learned Judge did not render any decision on both applications. His decision disposed of the whole appeal and is the matter of the present appeal.

There are eight grounds of appeal. In summary they attack the manner in which the Learned Judge dealt with the two applications, and more specifically, that the Learned Judge instead of dealing with the two applications proceeded to determine the appeal itself, failed to keep a proper record of proceedings and also failed to give a reasoned ruling.

This appeal arose from interlocutory proceedings. Ordinarily this Court would not express any concluded view on the dispute between the parties if it forms a distinct impression, as we do here, that the decision appealed from arose from unsatisfactory proceedings and adjudication and call for a direction for the rehearing of the matter by the court below. However, the issues raised by the present appeal are clearly intertwined with the merits or otherwise of the suit both before the subordinate court where it originated, and also before the first appellate court from whose decision the present appeal arises. In view of the peculiar facts and circumstances of the case, and considering the immense hardship such a direction may cause to the Appellant, who as we have already stated was not and is not aggrieved by the Respondent's decision to pay by two cheques, we consider it imperative to conclusively deal with the dispute pursuant to the provisions of section 3 of the Appellate Jurisdiction Act (Chapter 9) Laws of Kenya.

The Appellant had a claim against the Respondent arising from injuries sustained in an industrial accident. The claim having been settled out of court a suit for its recovery was thus avoided. The Respondent made payment of the total damages agreed upon between counsel on both sides. The Appellant's claim was thus settled. However, when the Appellant's counsel returned the two cheques the Respondent made out to settle its liability to the Appellant it was not because the total amount of the two cheques fell short of the settlement amount or any other reason touching on liability, but because he thought he was denied the opportunity of recovering from the Appellant costs which, in his view, he is entitled to recover from the Appellant as advocate-client costs. But that was not a matter the Appellant was personally aggrieved about as to have necessitated a suit being filed in her name. She would gain nothing more by payment being made either directly to her or through her advocate by one or two cheques. In answer to a question we put to him, her counsel, Mr *Kaburu*, relying on the decision of this Court in the case of *Kenya Bus Services Ltd v Muteti* [1992] LLR 3020 (CAK), stated that the suit was filed merely to protect a settled principle that where a party to a dispute is represented by counsel, payment to him should be made through the said counsel. That may well be so, but in the instant case Mr *Kaburu* was definitely wrong and insensitive to have advised the Appellant to sue when none of her legal rights had been infringed. A period in excess of twelve months has elapsed since the cheques were returned by Mr *Kaburu*. The Appellant has been kept out of her money for all that period of time because of this case. She will get no more than the amount of money agreed upon as damages. If anything she will eventually lose part of the benefit it would provide.

We wish to observe that an advocate's position *vis-à-vis* his client is fiduciary in nature. Consequently he is obliged to act in the client's best interests.

Mr *Kaburu* did not act in the best interests of the Appellant when he commenced civil proceedings against the Respondent merely to compel them to make payment by a single cheque. He knew that the suit was not for the benefit of the Appellant, yet when he obtained her consent to sue it is doubtful whether the consent was an informed one, because if that were so it is doubtful whether the Appellant would have consciously agreed to be kept out of her money merely because her counsel was desirous of enforcing some legal principle. The position is made worse by the fact that under the Advocates Remuneration Order made under the Advocates Act (Chapter 16) Laws of Kenya, an advocate is not entitled to any advocate-client costs where a dispute, as here, is settled between the parties otherwise than by suit. Clearly this is a case in which Mr *Kaburu* took advantage of his illiterate or semi-illiterate client. That is the conclusion we came to at the hearing of this appeal and hence the order we made then that the whole of the Appellant's money be deposited by the Respondent in this Court in her name, so as to be under the direct control of the Court.

Likewise the Respondent acted improperly by gratuitously arrogating to itself the role of protector of the Appellant's rights over the money which was due to her from it as damages. The negotiations which proceeded the settlement between the parties were conducted by her advocate on her behalf and we think it was improper for the Respondent to doubt the honesty of her counsel in concluding that he was unlikely to pass it on to her without any proper basis for doing so. Its action, to some degree, provoked this unwarranted litigation.

In view of the conclusions we have come to, what is the appropriate order to make on the appeal? Neither side won. It is however a triumph for justice. This appeal would have been avoided had the Learned Judge of the superior court conducted the proceedings before him as the law requires him to do. By trying to short-circuit the rules of procedure he ended up doing injustice to the parties. It is elementary that a judge has to hear parties, record down as fully as possible what they submit on, crystallize the issues, answer them as fully as possible and eventually hand down a decision. These, the Learned Judge of the superior court failed to do. He gravely erred. This is a matter which ordinarily would call for a retrial. However, as we stated earlier a retrial will serve only to increase costs and delay the payment to the Appellant of the money justly due to her.

In the result we come to the conclusion that had the Learned Judge made a determination of the two applications which were before him, he would have come to the conclusion that the Respondent's appeal was frivolous and struck it out, as the Respondent lacked any proper basis for refusing to make out one cheque to the Appellant's advocate. Like the Appellant's counsel, they thus gravely erred.

We therefore allow the appeal and vary the Judge's order by directing that the money due to the Appellant be deposited in court. As we believe that has already been done pursuant to the order we made earlier in the appeal, we direct that the sum of KShs 106 400 be paid over forthwith to the Appellant personally. Her counsel should pursue his costs with the Respondent.

Regarding the costs of this appeal and the proceedings before the subordinate and the first appellate courts, the order that commends itself to us is that the

Respondent shall bear its own costs while Mr *Kaburu* will bear the Appellant's costs.

For the Appellant:

Information not available

For the Respondent:

Information not available

Mwakalindile v NBC Holding Corporation
[2001] 1 EA 148 (CAT)

Division:	Court of Appeal of Tanzania at Mbeya
Date of judgment:	2 April 2001
Case Number:	59/00
Before:	Ramadhani, Lubuva and Lugakingira JJA
Sourced by:	LJS Mwandambo
Summarised by:	HK Mutai

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[1] Auction – Procedure – Mortgaged house – Proclamation for sale – Whether procedure followed in proclaiming house for auction was proper – Section 48(1)(є) – Civil Procedure Code.

[2] Mortgage – Matrimonial home – Consent of spouse required to enter into mortgage – Registrable interest of spouse – No caveat registered – Whether lack of spouse's consent rendered mortgage null and void – Section 59 – Law of Marriage Act 1971.

Editor's Summary

The Appellant's husband mortgaged their house to the First Respondent as security for a loan he applied for, and received, without her knowledge or consent. The house was registered in the sole name of the husband. Upon learning that the house had been put up for auction by the First Respondent, the Appellant filed a suit against the mortgagee and her husband seeking an injunction to stop the sale, a declaration that the mortgage contravened the Law of Marriage Act, section 59(1) and an order that the proclamation of sale itself contravened the Civil Procedure Code, section 48(1)(*e*). The suit was dismissed whereupon the Appellant appealed on the ground that, having found that the mortgaged house was a matrimonial home and she, the Appellant, had not consented to the mortgage, the Judge had erred in not finding a contravention of section 59(1) that would render the mortgage null and void.

Held – Under the Law of Marriage Act, a spouse had a registrable interest in the matrimonial home. In this instance, the Appellant had not registered her interest. There was therefore no way the First Respondent could have known of her interest considering that the house was in the sole name of her husband. Under such circumstances, the mortgaging of the house was not null and void. Moreover, the interests of a spouse whose interests were affected under subsection (1) were protected by section 59(2) of the Law of Marriage Act, which permitted him or her to continue to reside in the house until the dissolution of the marriage.

Section 48(1)(*e*) of the Civil Procedure Code only applied to the attachment and sale of residential houses in execution of a decree. In this case, the issue at

stake was a mortgage and therefore the section was not relevant and the proclamation was proper.

No cases referred to in judgment

Judgment

LUBUVA JA: In High Court civil case number 6 of 1997, the Appellant, Iddah Mwakalindile, had filed a suit against the First Respondent, NBC Holding Corporation and the Second Respondent, Sam Saijen Mwakalindile, her husband. Her case was that through the media of a local Kiswahili newspaper, (Nipashe of 26 March 1997) she became aware that the house on Plot Number 22C Block 1 Usafwa Road, Mbeya, was one of the houses due for auctioning. This house belongs to her and the husband, the Second Respondent, as their matrimonial property. The First Respondent had authorised M/S Mabama Auction Mart to auction the house which had been mortgaged by the Second Respondent. The mortgage was in respect of a loan raised by the Second Respondent from the then National Bank of Commerce. Neither was she aware of the loan nor did she consent to the house being mortgaged. It was a family house in which both she, and the Second Respondent with their family lived. Upon seeing the advertisement in the newspaper, she filed the suit seeking three orders, namely:

(a) Declaration that the mortgage deed entered into between the First and Second Defendants is illegal for contravening section 59(1) of the Law of Marriage Act, 1971.

(b) The proclamation of sale made by tbe First Defendant through the auctioneer is illegal for contravening section 48(1)(*e*) of the Civil Procedure Code.

(c) A perpetual injunction to restrain the First Defendant from dealing selling or disposing off the house on Plot 22C Block 1 Usafwa Road, Mbeya, without the consent of the Plaintiff.

Before the comencement of the hearing of the suit, the High Court (Mwipopo J) issued an order for stay of the proclaimed sale pending the determination of the suit. At the conclusion of the trial, the Learned Judge held that the provisions of section 59(1) of the Marriage Act 1971, did not apply. The Judge also held that the Second Respondent had a right to mortgage the house without the consent of the Plaintiff and that the First Respondent also had the right to sell the mortgaged house. Consequently, the suit was dismissed with costs against the Second Respondent and the Plaintiff. The Appellant is appealing against the decision.

Mr *Mkumbe*, learned counsel for the Appellant, argued two grounds. First, he contended that the Learned Judge erred in law in holding that section 59(1) of the Marriage Act 1971 did not apply. He said the Judge having held that the mortgaged house was a matrimonial home, and that the Appellant, the wife of the Second Defendant, had not consented to the mortgage, it was an error in law to hold that the mortgaging of the house was not null and void in terms of the provisions of section 59(1). Mr *Mkumbe* strongly maintained that the Appellant, the other spouse, did not know anything about the loan and the mortgage. In that situation, he further said, she was not in a position to consent to the mortgage. So, the Appellant was protected under the law, Mr *Mkumbe* argued.

With respect, we are not persuaded by Mr *Mkumbe*'s submission. We have had close perusal of the provisions of section 59(1) of the Law of Marriage Act 1971. It provides that:

> "59(1) Where any estate or interest in the matrimonial home is owned by the husband or by the wife, he or she shall not, while the marriage subsists and without the consent of the other spouse, alienate it by way of sale, gift, lease, mortgage, or otherwise, and the other spouse shall be deemed to have an interest therein capable of being protected by caveat, caution, or otherwise under any other law for the time being in force relating to the registration of title to land or of deeds".

Under this provision, it is beyond dispute that a matrimonial house owned by the wife or husband ought not be alienated by way of sale, mortgage, lease or gift without the consent of the other spouse. In this case, as Mr *Mwakilasa*, learned counsel submitted, the mortgagee, the bank was not aware that the house was a matrimonial property. It was registered in the name of the Second Respondent and not in the names of both the Appellant and the Second Respondent. For that reason, the bank, the First Respondent, had no reason not to believe that the house belonged to the First Respondent. We agree that the Appellant had a registrable interest in the house, which, as provided under this section, could be protected by a caveat. The Appellant did not register a caveat with the Registrar of Titles. The caveat would serve as a warning to the Second Respondent that the house was a matrimonial property. The absence of a caveat in this case was also conceded by Mr *Mkumbe*.

In the circumstance, there being no caveat to protect the registrable interest of the Appellant, there was no way in which the First Respondent could know that the house was a matrimonial property. The Second Respondent, who was not represented, said nothing more than confirming that he did not inform the Appellant about the mortgage. He added further that he did not know that under the law, he had to involve the Appellant for her consent. In obtaining the loan, the Second Respondent voluntarily mortgaged the house which was registered in his name. The house as mortgaged, provided the security for the repayment of the loan. Therefore, the transaction took place in such circumstances that we agree with the Learned Judge that the mortgaging and alienation of the house was not null and void in contravention of section 59(1) of the Law of the Marriage Act 1971.

However, it is to be observed that subsection (2) of section 59 of the Act, takes care of the interests of the spouse whose interests have been affected under subsection (1). Under subsection (2) it is provided to the effect that where an estate or interest in a matrimonial home is alienated or mortgaged contrary to subsection (1), the estate or interest so created shall be subject to the right of the other spouse to continue to reside in that matrimonial home until the marriage is dissolved. In the instant case, as the marriage is still subsisting, the repercussion is that the interest of the Appellant is protected under this subsection of the Act until the dissolution of the marriage. Otherwise, there is no merit in ground one of the appeal. It is dismissed.

In ground two, Mr *Mkumbe* contended that having held that the said matrimonial house is the only one used by the Plaintiff for residence, the Learned Judge erred in law and fact in holding that the said residential house could in law be sold or auctioned by the First Respondent, contrary to section 48(1)(*e*) of the Civil Procedure Code. With respect, we need not be delayed in this

ground. It is devoid of any merit. The provisions of section 48(1)(*e*) of the Civil Procedure Code are too clear to require any further elaboration. The section applies to residential houses in regard to attachment and sale in execution of a decree. In this case, the matter does not involve the execution of a decree, it concerns a mortgage. For that reason, it is our view that section 48(1)(*e*) of the Civil Procedure Code is irrelevant. Mr *Mwakilasa*, learned advocate for the Appellant, had also argued to this effect. The proclamation for sale was, we think, proper. Ground two also fails.

In the upshot, for the foregoing reasons, the appeal is dismissed with costs.

(Ramadhani and Lugakingera JJA concurred in the judgment of Lubuva JA.)

For the Appellant:

V Mkumbe instructed by *Mkumbe and Co*

For the Respondent:

IH Mwakilasa instructed by *Mwakilasa and Co*

Mwalia v Kenya Bureau of Standards
[2001] 1 EA 151 (CCK)

Division:	Milimani Commercial Courts of Kenya
Date of Ruling:	16 May 2001
Case Number:	1058/00
Before:	Ringera J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Practice – Judgment in default of appearance – Application to set aside – Factors to be considered in determining application – Defence filed and on record – Court's discretion to set aside default judgment – Whether default judgment should be set aside – Damages – Pecuniary damages – Liquidated demand – Interlocutory and final judgment – Whether final judgment can be entered where pecuniary damages are claimed – Order IX, rule 1, Order IXA, rules 3, 5, 10 and 11 and Order XXI, rule 22 – Civil Procedure Rules.

Editor's Summary

The discretion of the court to set aside judgments in default of appearance or defence was unfettered except that, if exercised, it had to be exercised in a rational manner on well-settled principles and on terms that were just. The court's main concern was to do justice between the parties and it would not impose conditions on itself that fettered its wide discretion. The factors to be considered by the court included (i) the nature of the action, (ii) the defence, if one had been brought to the court's notice, however irregularly, (iii) the question as to whether the plaintiff could reasonably by compensated by costs for any delay occasioned, and (iv) the fact that the denial of a hearing should be the last resort of a court. Where the judgment which a party sought to have set aside was irregular in nature, such as when there was a memorandum of appearance or a defence on the record but the same was

overlooked, the judgment ought to be set aside not as a matter of discretion but *ex debito justitiae*; *Ceneast Airlines v Kenya Shell Ltd, Patel v EA Cargo Handling Services* [1974] EA 75 and *Sebei v Gasyali* [1968]

EA 300 followed. A liquidated demand was in the nature of a debt and its amount either had already to be ascertained or to be capable of being ascertained as a mere matter of arithmetic. Where a plaintiff's claim was for pecuniary damages and did not consist solely of a liquidated demand, then a court could not enter final judgment but should instead enter interlocutory judgment against the defendant. In the instant case, though a specified sum was claimed, it did not consist of a liquidated demand in the legal sense and final judgment had erroneously been entered. Moreover, the entering of a final judgment on the face of a defence was contrary to Order IX, rule 1. The circumstances of the case therefore justified the exercise of the court's discretion to set aside the default judgment.

Cases referred to in the ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Ceneast Airlines Ltd v Kenya Shell Ltd [2000] 2 EA (CAK) – **F**

Patel v EA Cargo Handling Services [1974] EA 75 – **F**

Sebei District Administration v Gasyali [1968] EA 300 – **F**

Shah v Mbogo and another [1996] EA 116

Ruling

RINGERA J: I have before me an application to set aside the judgment in of appearance entered against the Defendant on 7 Agust 2000. The application which is dated 2 October 2000 and filed in court on 3 October 2000 is brought under Order IXA, rules 10 and 11 of the Civil Procedure Rules. In view of the tortuous path that the proceedings in the suit have hitherto taken I think it is convenient if I set out a short background to the matter.

On 16 July 2000 the Plaintiff filed a suit against the Defendant. The Plaintiff averred that he was the importer/consignee of containers of used clothes for sale which arrived at the inland container depot Nairobi on 1 December 1998 for purposes of customs clearance by the Plaintiff. That the complied with all legal clearance requirements but on 18 December 1998 the Defendants unlawfully, wrongfully, irregularly, maliciously and without reason and/or legal right whatsoever, detained/seized the said containers. That in furtherance and justification of the illegal seizure and detention, the Defendant instituted false, malicious and fictitious proceedings against him on 6 January 1999 in Nairobi Chief Magistrate's miscellaneous application number 46 of 1998 which were subsequently struck off and the containers released on 5 March 1999. That due to the illegal seizure, detention and consequent proceedings aforesaid, the Plaintiff's containers were held from 18 December 1998 to 5 March 1999 and as a result thereof the suffered financial loss, expenses, loss of profit and damage which was particularized at KShs 1 665 669. He claimed that amount and the costs of the suit from the Defendant. The Plaintiff made a minor amendment to the plaint which is not germane to the present application and the amended plaint was filed on 30 June 2000. The plaint was served on the Defendant corporation on 30 June 2000. On 7 July 2000 the Defendant through its legal

officer, one *Christopher Omulele* filed a statement of defence in which it averred that it acted lawfully and within its statutory mandate and pursuant to court orders when it seized and detained the Plaintiff's second-hand clothing. It admitted causing the institution of Chief Magistrate miscellaneous application number 46 of 1998 but denied that the same was malicious or falsely instituted or fictitious. It then denied that the Plaintiff had suffered the losses particularized in the plaint or that he was entitled to the amount claimed or any amount at all. The Defendant also averred that the Plaintiff's suit was statute barred and the Plaintiff was accordingly non suited. On 1 August 2000, the Plaintiff filed a request for interlocutory judgment in the sum of KShs 1 665 669 only. The record further shows that on 2 August 2000 the Senior Executive Officer did a minute to the deputy registrar seeking advice on what to do with the request for judgment as the Defendant had filed a defence but no appearance. The deputy registrar on 4 August 2000 advised the Senior Executive Officer to grant the request for judgment. And so on 7 August 2000 judgment was entered for the Plaintiff against the Defendant as prayed, save as to costs which were ordered to be party and party costs without interest. I observe in passing that what was entered appears to be a final judgment as there was no order for any formal proof. On 12 September 2000, the Defendant through the same Christopher Omulele moved to court under a certificate of urgency to prosecute a chamber summons taken out on the same date whereby the Defendant sought to stay execution of the decree granted and the setting aside of the default judgment. Hewett J granted a temporary stay of execution and further ordered that the application be served on the Plaintiff for *inter partes* hearing on 3 October 2000. On 27 September 2000, the Plaintiff filed a replying affidavit and a notice of preliminary objection. The objection was essentially that Christopher Omulele who had drawn and filed all previous court documents and proceedings on behalf of the Defendant was its employee and he could not therefore purport to act on the Defendant's behalf as an advocate and he was also not having a current practicing certificate. The Plaintiff gave notice that he will pray that the purported pleadings and documents filed by the said Omulele should be expunged from the court record and that he be personally ordered to pay thrown away costs of the proceedings and be referred to the disciplinary committee of the Law Society of Kenya. On 3 October 2000, the firm of Iseme, Kamau and Maema filed a notice of appointment of advocates dated 2 October 2000. They indicated they had been appointed by the Defendant to act for it in the suit. Simultaneously with the notice of appointment, they filed a fresh application under Order IXA, rules 10 and 11 and Order XXI, rule 22 of the Civil Procedure Rules seeking a stay of execution of the decree consequent on the default judgment and the setting aside of the said default judgment. They also sought unconditional leave to defend the suit and an order that the memorandum of appearance and defence which they had annexed to the application be deemed to be duly filed and served. The application was said to be based on the grounds that the Defendant had a defence on the merits, that the wider interests of justice would be served if the orders sought were granted and the suit proceeded to hearing on its merits, and that the Plaintiff would not be prejudiced in any way by the orders sought.

The record further shows that on 3 October 2000, the parties appeared before Mbaluto J for the *inter partes* hearing of the earlier application dated 12 September 2000. Mr *Iseme*, who now appeared for the Defendant, applied to

withdraw the said application and Dr Kamau *Kuria* who held brief for Nzamba *Kitonga* advocate for the Plaintiff did not object to the withdrawal subject to costs. So the application was withdrawn with costs to the Plaintiff/Respondent. On the same date, at an hour which is not indicated in the record, Mr *Iseme* appeared *ex parte* before Onyango-Otieno J to canvass the Defendant's fresh application for stay of execution and setting aside default judgment. The Learned Judge certified the application as urgent, granted temporary stay of execution until 6 October 2000 and ordered that the application be heard *inter partes* on 6 October 2000.

On 6 October 2000, Mr *Iseme* and Mr Nzamba *Kitonga* appeared before Mbaluto J for the argument of the application. They did so and the ruling was reserved for delivery on 27 October 2000. The Learned Judge dismissed the application on the grounds that the Defendant had not offered any explanation for the default in not filing appearance or defence on time. The Judge felt that without such an explanation there was no basis for granting the orders sought. If the Plaintiff thought that was the end of this protracted matter, it was never to be.

On 3 November 2000, the Defendant yet again filed another application under certificate of urgency. This new application sought a stay of the ruling of 27 October 2000 and any orders arising therefrom and a review of the said ruling. The application was said to be based on the grounds that (i) a Defendant may appear at any time before final judgment and may file a defence at any time before interlocutory judgment is entered against him or if no defence is so entered, at any time before final judgment, (ii) the court did not in its ruling of 27 October 2000 take into account the fact that at the time the default judgment was entered, there was in fact a defence on record filed on 7 July 2000, (iii) where a defence has been filed, albeit irregularly, the court is nevertheless obliged to look at it, and if it discloses a substantial ground of defence, the court will not take the circuitous course of giving a judgment without referral to the defence, but will take steps to have the case properly tried on merits, (iv) as the plaint as drawn claims pecuniary damages, then interlocutory, but not final judgment should have been entered, if at all, and (v) the wider interests of justice would best be served if the case was properly tried on the merits. The application was presented *ex parte* the same day before Hewett J, who certified it as urgent, granted a temporary stay pending the hearing of the same and ordered it be heard *inter partes* on 14 November 2000. The matter was eventually canvassed before Mbaluto J on 21 November 2000 who after hearing extensive arguments allowed the application for review and directed that the application dated 2 October 2000 be heard *de novo* by a judge other than himself. That is how this matter has fallen to me.

Mr *Munyu*, the Defendant's advocate, has argued before me that where there is a defence on record it was not proper to enter interlocutory judgment on the grounds that the Defendant had not appeared. In his view, since the defence showed the Defendant's address for service it sufficed as an appearance and the judgment was therefore irregular. He further submitted that even if the judgment had been regular the court still had discretion to set it aside if it considered that there was a defence on the merits and the Plaintiff could be compensated by costs. He relied on the cases of *Shah v Mbogo and another* [1996] EA 116 and *Ceneast Airlines Ltd v Kenya Shell Ltd* [2000] 2 EA (CAK) for the proposition that the discretion of the court is unfettered and the same should be

exercised to do justice. He submitted that the Defendant had not sought deliberately the delay of justice. And the defence on record raised triable issues to the extent that it averred that the conduct complained of followed court orders and it was within the Defendant's statutory mandate. Whether the Plaintiff's suit was also statute barred was another triable issue. The Defendant also contended that although Christopher Omulele did what he did when he was an unqualified person, that did not invalidate the defence filed by him and in any case, judgment was not entered for the reason that an essential step in the suit had been taken by an unqualified person. Mr *Kitonga* for the Plaintiff argued that there was nothing the court could do by way of discretion to assist the Defendant because the Defendant has at no time explained why an appearance was not filed. In his view, if there is no explanation, there can be no discretion. He submitted that the judgment complained of is a regular one as Order IXA is clear that if no appearance is filed, judgment in default will be entered. The order does not talk of a defence except in rule 9 which makes it clear that if no defence is filed, a default judgment will also be entered. In response to the Defendant's argument that the court should consider the merits of the proposed defence, Mr *Kitonga* submitted that the court cannot go into the merits of a defence without explanation of why an essential step was not taken in time or at all. He also poured scorn on the affidavit which sought to disclose a defence on the merits. He pointed out that it had not been sworn by the Defendant but by Mr *Iseme*, its advocate. He argued that since the affidavit deposed to controversial matters it was incompetent. Finally, counsel submitted that any papers filed by an unqualified person, which Mr Omulele was, were a nullity.

In a short rejoinder Mr *Munyu* submitted that lack of an explanation did not take the Defendant out of the court's discretion. He also submitted that court documents can be filed by recognized agents and, an officer of a corporation is such an agent.

I think it is now convenient to state the law applicable to applications to set aside judgment in default of appearance or defence. It is indisputable that the discretion of the court is unfettered except that if the judgment is set aside it must be done on terms that are just. That is what Order IXA, rule 10 itself ordains. It reads: "where judgment has been entered under this order the court may set aside or vary such judgment and any consequential decree or order upon such terms as are just".

And in *Ceneast Airlines Ltd v Kenya Shell Ltd* (*supra*) the Court of Appeal quoted with approval the following remarks of Duffus P in *Patel v EA Cargo Handling Services* [1974] EA 75:

> "The main concern of the Court is to do justice to the parties, and the court will not impose conditions on itself to fetter the wide discretion given to it by the rules. I agree that where it is a regular judgment as is the case here the court will not usually set aside the judgment unless it is satisfied that there is a defence on the merits. In this respect defence on the merits does not mean, in my view, a defence that must succeed, it means as Sheridan J put it 'a triable issue', that is an issue which raises a *prima facie* defence and which should go to trial for adjudication".

As regards any other considerations to be borne in mind, I always find the following words of Ainley J adopted with approval by Sheridan J in *Sebei District Administration v Gasyali* [1968] EA 300 pertinent:

> "The nature of the action should be considered, the defence if one has been brought to the notice of the Court, however irregularly, should be considered, the question as to whether the Plaintiff can reasonably be compensated by costs for any delay occasioned should be considered, and finally, I think, it should always be remembered that to deny the subject a hearing should be the last resort of a court".

To all that I should add my own view that a distinction is to be drawn between a regular and an irregular *ex parte* judgment. Where the judgment sought to be set aside is a regular one, then all the above considerations as to the exercise of discretion should be borne in mind in deciding the matter. Where on the other hand, the judgment sought to be set aside is an irregular one, for instance, one obtained either where there is no proper service or any service at all of the summons to enter appearance, or when there is a memorandum of appearance or defence on record but the same was inadvertently overlooked, the same ought to be set aside not as a matter of discretion, but *ex debito justitiae* for a court should never countenance an irregular judgment on its record.

And so I begin by asking myself whether this was a regular or irregular default judgment. The Plaintiff's counsel submits it is a regular one as there was default in the entry of appearance. The Defendant submits it is an irregular one as there was a defence on record and such defence served the same purpose as a memorandum of appearance as it indicated the Defendant's address for service. To decide on these rival submissions it is necessary to determine whether the judgment entered was final or interlocutory and whether the same was validly entered as such. Now although the Plaintiff claimed a specified amount it was not in my view a liquidated demand within the contemplation of the law. In The Supreme Court Practice, Volume 1, 1985, a liquidated demand is defined as follows at 33.

> "A liquidated demand is in the nature of a debt that is a specific sum of money due and payable under or by virtue of a contract. Its amount must either be already ascertained or capable of being ascertained as a mere matter or arithmetic. If the ascertainment of a sum of money, even though it be specified or named as a definite figure requires investigation beyond mere calculation, then the sum is not a 'debt or liquidated demand', but constitutes 'damages' … The words 'debt or liquidated demand' do not extend to unliquidated damages, whether in tort or contract, even though the amount of such damages be named at a definite figure".

In my view the above passage is an accurate rendition of the law and I adopt it with approval. As I have already stated the Plaintiff's claim was not a liquidated demand as properly understood in law. Paragraph 6 of the amended plaint reveals the claim to be one sounding in tort for damages for illegal detention of goods. The claim is in the nature of special damages and the Plaintiff has particularized them as required by procedural law as (a) extra interest paid to financiers arising from the delay – KShs 153 047, (b) extra storage charges paid to Kenya Ports Authority due to delay – KShs 615 712, (c) demurrage charges paid for container – KShs 246 910, (d) loss of profits – KShs 500 000, and (e) legal fees paid – KShs 150 000. To repeat, these were special damages for a tortuous claim; they were not liquidated damages. They required investigations beyond arithmetic. It was the sort of claim comprehended by Order IXA, rule 5 which reads:

> "where the plaint is drawn with a claim for pecuniary damages only or for detention of goods with or without a claim for pecuniary damages, and any Defendant fails to appear, the court shall, on request in form Number 26 of Appendix C enter interlocutory judgment against such Defendant, and the Plaintiff shall set down the suit for assessment by the court of the damages or the value of the goods and damages as the case may be".

The Plaintiff's claim was, in my view, an inappropriate one for entry of judgment under Order IXA, rule 3 which applies to liquidated demands. But the deputy registrar took the view that the Plaintiff's claim was for a liquidated demand and proceeded to enter final judgment accordingly. Such a judgment could only have been entered under the provisions of Order IXA, rule 3(1). That was clearly wrong and I cannot regard such a judgment as a regular one whether or not there was a memorandum of appearance. As regards the Defendant's argument that it did not matter whether there was an appearance or not and that such a judgment could be entered, one must take Order IX, rule 1 as the point of departure. It reads: "A Defendant may appear at any time before final judgment, and may file a defence at any time before interlocutory judgment is entered against him, or, if no interlocutory judgment is so entered, at anytime before final judgment".

Now I have already found that the judgment entered herein was a final one under Order IXA, rule 3(1). It was not an interlocutory judgment as nothing else remained to be done save to certify costs and execute the consequential decree. At the time that final judgment was entered, the Defendant's defence was on record. The entry of such a final judgment on the face of a defence was in clear violation of the rule I have just read. It was for this reason also an irregular judgment.

Having come to the conclusion that the judgment was irregular on two counts, each of which is sufficient on its own to move me to set it aside, I am impelled to set the same aside *ex debito justitiae*. However, just in case I should turn out to be wrong on the view I have taken of the matter, it is proper for me to consider whether the judgment herein, if regular, ought still to be set aside. In doing that I enter the realm of discretion. As stated herein above, the discretion to set aside is unfettered. However, like all judicial discretions it must be exercised rationally on well settled principles: not arbitrarily or whimsically. I shall now proceed to examine this matter in light of the settled principles.

One clear thing from the record is that the Defendant has been very keen to defend the suit. It has not sought to delay or obstruct the course of justice. A defence was filed timeously. And indeed from the affidavits of Christopher Omulele and Nicholas Omondi both sworn on 12 September 2000 in support of the application of same date to set aside the *ex parte* judgment, which application was withdrawn on 3 October 2000 with costs to the Plaintiff, even a memorandum of appearance was prepared for filing in court but due to a mistake or in advertence, the same was not handled properly. So although Mr *Kitonga* for the Plaintiff is right in submitting that in the application I am dealing with no explanation for the default has been offered, such an explanation is to be found in the affidavits still on record. But even if it were illegitimate or improper to look at those affidavits, and I don't think it is as they are part of the record, and accordingly the view was taken that the Defendant has not explained the default to file an appearance, I would not accept the submission that such non explanation would preclude me from further consideration of the application. To do so would be to fetter the discretion of the court, which I refuse to do. Apart from the overwhelming evidence of the enthusiasm of the Defendant to get on with the case, the draft defence annexed to the affidavit of Mr *Iseme* in support of the application discloses *prima facie* triable issues on whether the Defendant is liable to the Plaintiff and, if it is, whether the Plaintiff's claim is statute barred. Even the defence filed by Christopher

Omulele who was at the material time an unqualified person did disclose triable issues. As Ainley J said in the passage I quoted earlier a court should look at any defence which has been brought to its attention however irregularly. Perhaps I should also mention at this stage that I regard the filing of the defence and other subsequent proceedings by the unqualified person as a grievous goof which should attract the appropriate penal and disciplinary consequences but for which the Defendant corporation should not be penalized. I have also considered whether the Plaintiff will if the judgment is set aside suffer an injustice or prejudice which cannot be compensated by an award of costs. I have come to the conclusion that in the circumstances of this case, he would not.

All in all, I think this is a case where the interests of justice demand that the default judgment be set aside so that both parties can approach the judgment seat with the merits of their respective cases. The only issue is on what terms. In having come to the unequivocal view that the judgment herein was irregular, I am of the opinion that it should be set aside *ex debito justitiae* and *bila maneno.* And for the speedy progression of the action, I will direct that both an appearance and defence be filed and served expeditiously on the Plaintiff.

The upshot of this matter is that I order the default judgment entered herein on 9 August 2000 and all consequential orders set aside with costs to the Plaintiff. I also order that the Defendant do file and serve on the Plaintiff a memorandum of appearance and a defence within ten days from today.

Those, then, are the orders of this Court.

For the Applicant:

MJ Iseme instructed by *Iseme Kamau and Maema*

For the Respondent:

N Kitonga instructed by *N Kitonga Advocate*

Mwaniki v Republic
[2001] 1 EA 158 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	3 August 2001
Case Number:	68/01
Before:	Omolo, Shah and O'kubasu JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appeal – Conduct of appeal – Duty of first appellate court – Whether appellate judge sufficiently reviewed evidence adduced at trial.

[2] Criminal law – Causing death by dangerous driving – Charge – Form of charges – Contains four offences – Duplex charges – Charge contains more than one offence – Whether an accused is embarrassed or prejudiced by duplex charges – Whether duplex charge fatal to conviction of accused – Whether accused was aware of the offence with which he had been charged – Section 77(2) – Constitution – Section 46 – Traffic Act

[3] Evidence – Testimony – Conflicting evidence given at trial – Prosecution witness giving evidence favouring accused – Whether a court must rely on such evidence.

Editor's Summary

The Appellant was convicted before a magistrate's court on a charge of causing death by dangerous driving contrary to section 46 of the Traffic Act. The charge read that he drove the vehicle in question recklessly or at a speed or in a manner that was dangerous to the public. His appeal to the High Court against conviction was dismissed though his sentence was partially reduced. He now appealed to the Court of Appeal on the grounds that the offence had not been proved beyond reasonable doubt and that the appeal Judge had failed to conduct his own independent analysis of the evidence adduced at trial.

Held – There was no law that stated that where a prosecution witness gave evidence favourable to the accused, it ought to be believed to the exclusion of the other evidence. There was sufficient material upon which the trial court could have come to the conclusion that the accused was guilty of the offence; *Peters v Sunday Post Ltd* [1958] EA 424 considered.

A first appellate court had the duty to reconsider the evidence, evaluate it itself and draw its own conclusions thereon; *Okeno v Republic* [1972] EA 32 followed. In this case, however, there was nothing to suggest that the High Court Judge had not done so and it could not be said that he was wrong in reaching the same conclusions as the trial magistrate.

Where two or more offences were charged in the alternative in one count, the charge was bad for duplicity and a substantial defect was created that must be assumed to be embarrassing or prejudicial to an accused as he would not know what he was charged for and, if convicted, of what he had been convicted; *Cherere s/o Gukuli v Reg* [1955] EACA 478 applied, *Shah v R* [1969] EA 197 doubted, *Odda Tore v R* [1934] 1 EACA 114 explained. Section 46 of the Traffic Act created four separate offences and, in this instance, the accused had been charged with three of them in one count. The prosecution was bound to choose how to proceed and, as it had not done so, the appeal would be allowed though for a reason not raised by the Appellant.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Cherere s/o Gukuli v Reg [1955] 22 EACA 478 – **AP**

Odda Tore v R [1934] 1 EACA 114 –**E**

Okeno v Republic [1972] EA 32 –**F**

Peters v Sunday Post Ltd [1958] EA 424 –**C**

Shah v Republic [1969] EA 197– **DT**

Judgment

OMOLO, SHAH and O'KUBASU JJA: Immediately upon the conclusion of the hearing of this appeal, we allowed the appeal, quashed the conviction which had been recorded against David Ngugi Mwaniki, the Appellant herein, set aside the sentence of imprisonment as well as the orders disqualifying him from holding a driving licence and ordered that he be released from prison

unless otherwise lawfully held. We reserved our reasons for doing so and we now give those reasons.

The Appellant was tried and convicted by the Senior Principal Magistrate at Machakos on a charge of causing death by dangerous driving contrary to section 46 of the Traffic Act, chapter 403 of the Laws of Kenya. The particulars of the charge were that:

> "On the nineth day of January 2000 at about 1:30pm along Machakos-Masuu road near Kaseve area in Machakos District of the Eastern Province, being the driver of motor vehicle Registration Number KAJ 915C Isuzu lorry you drove the said vehicle recklessly or at a speed or in a manner that was dangerous to the public having regards (*sic*) to all the circumstances of the case including the nature, condition and use of the road at the time and the amount of traffic which was actually or might reasonably be expected to be on the road and thereby caused the death of *Daniel Musau*".

Upon his conviction on the charge, the Appellant was sentenced to three years' imprisonment and the magistrate also cancelled his driving licence and disqualified him from holding one for four years after serving the sentence. The Appellant appealed to the High Court at Machakos, but on the 31 October 2000, the High Court (Mwera J) dismissed his appeal against the conviction, confirmed the sentence of three years' imprisonment but reduced the order of disqualification to three years so as to conform with the law. The Appellant then appealed to this Court for the second time and that being so only points of law can arise for our consideration.

The Appellant's advocate, Mr JM *Njenga*, who has represented the Appellant right from the court of the magistrate, filed a memorandum of appeal containing three grounds. Those grounds were that:

> "1. The Learned Judge erred in law in upholding the conviction and sentence of the lower court yet the offence had not been proved beyond reasonable doubt and/or to the required standards.
>
> 2. The Learned Judge erred in law in failing to give his own independent consideration, reasoning, review, and/or analyse (*sic*) of the evidence adduced at the trial.
>
> 3. The Learned Judge erred in law in upholding the sentence and conviction".

Ground three was abandoned. The sentence was lawful and that being so, this Court would have no business interfering with it. On the recorded evidence, we think there was sufficient material upon which a reasonable tribunal, properly directing itself as to the facts and the law applicable to those facts, could come to the conclusion that the Appellant was guilty of the offence. The only thing relied on very heavily by Mr *Njenga* was that one of the witnesses called by the prosecution (PW2) supported the Appellant's case and that that being so the prosecution had not even proved a *prima facie* case to warrant the Appellant being put on his defence, let alone being convicted on the charge. We agree with Mr *Njenga* that the evidence of PW2 was in entire agreement with the case put forward by the Appellant. That witness had been sitting in the lorry's cabin with the Appellant and his case exonerated the Appellant from any blame for the accident which caused the death of Daniel Musau who was seated with another person at the back of the lorry. But both courts below disbelieved PW2. PW2 was a turn-boy in the Appellant's vehicle. Concerning the evidence of PW2 and the Appellant the magistrate found as follows:

> "[A]nd in any case, I do not believe the accused and PW3 (he actually meant PW2) who was his conductor. These are witnesses who struck the court as untruthful. They tried to allege that they didn't know that they had passengers at the back. Two people cannot board a moving vehicle without the driver through the mirror (*sic*) or hearing any sound. This is a far-fetched lie …".

The Learned Judge, for his part, confirmed the magistrate on that point in the following words:

> "Much weather was made of the state of things that Mutuku's (PW2's) evidence exonerated the Appellant as to speed and on-coming matatus trying to over-take each other. That the Appellant tried to avoid hitting one of them head-on. This is the same witness who told the learned trial Magistrate that the Appellant had no other place to go to in the confusion that arose, yet Police Constable Sebere (PW4) saw and drew sketch-maps to the contrary. No wonder the learned trial Magistrate did not believe the Appellant and his conductor PW2 …".

Mr *Njenga* did not contend before us that there was no evidence at all upon which the two courts below could have come to these conclusions. In *Peters v Sunday Post Ltd* [1958] EA 424 it was held:

> "Whilst an appellate court has jurisdiction to review the evidence to determine whether the conclusions of the trial Judge should stand, this jurisdiction is exercised with caution; if there is no evidence to support a particular conclusion, or if it is shown that the trial Judge has failed to appreciate the weight or bearing of circumstances admitted or proved or has plainly gone wrong, the appellate court will not hesitate to decide".

As we have said Mr *Njenga* did not contend before us that there was no evidence on record to support the conclusions of the trial magistrate which were confirmed by Mwera J. It was not contended that the two courts did not appreciate the weight or bearing of circumstances proved by the prosecution. All that the Appellant appears to be complaining of is that PW2 having been a witness called by the prosecution ought not to have been disbelieved. There is no law or rule, and Mr *Njenga* did not contend to the contrary, that where a prosecution witness gives evidence which is favourable to the accused person, such witness ought not to be disbelieved. We do not think there was much substance in ground one in the Appellant's memorandum of appeal.

Nor could ground two take the matter any further. While we agree with Mr *Njenga* that there is a legal duty on a first appellate court "to reconsider the evidence, evaluate it itself and draw its own conclusion in deciding whether the judgment of the trial court should be upheld" (see *Okeno v Republic* [1972] EA 32), we are far from being convinced that Mwera J did not do so. The Learned Judge clearly gave his own independent consideration of the recorded evidence and it cannot be said he was wrong because he reached the same conclusions as the trial magistrate had done. With respect to Mr *Njenga*, none of the grounds of appeal raised by him on behalf of the Appellant could have succeeded.

We, however, allowed the appeal on a ground which was raised by the Court itself and which Mr *Bw'Onwong'a* for the republic was unable to resist. We have already set out elsewhere the charge on which the Appellant was tried and the particulars of that charge. Section 46 of the Traffic Act is in the following terms:

> "46. Any person who causes the death of another by driving a motor vehicle on a road recklessly or at a speed or in a manner which is dangerous to the public, or by leaving any vehicle on a road in such a position or manner or in such a condition as to be dangerous to the public, having regard to all the circumstances of the case, including the nature, condition and use of the road and the

> amount of traffic which is actually at the time or which might reasonably be expected to be on the road shall be guilty of an offence …".

As long ago as 1968, Mr Justice Mosdell, as he then was, correctly recognised that this section creates four separate offences namely causing the death of another by driving a motor vehicle on a road: (i) recklessly, or (ii) at a speed, or (iii) in a manner, or by leaving a vehicle on a road in such a position or manner or in such a condition as to be dangerous to the public.

The question that faced Mosdell J in the case of *Shah v Republic* [1969] EA 197 was whether a charge which alleged in its particulars that Shah had driven his motor car Registration Number KJB 574 on the main Malindi-Mombasa road "at a speed or in a manner which was dangerous to the public …" was a duplex charge. The Learned Judge in the *Shah* case had no doubt that the charge was duplex for he specifically said: "I hold, therefore, that though counts 1 and 2 are duplex there was no miscarriage of justice – and this ground of appeal fails".

Before reaching this conclusion, the Learned Judge had gone through and considered previous authorities on the matter, including the cases of *Odda Tore v R* [1934] 1 EACA 114 and *Cherere s/o Gukuli v Reg* [1955] 22 EACA 478.

In *Odda Tore*'s case, the information on which the Appellants were tried had stated in its particulars that the Appellants had murdered two persons who were named in one count. The charge was held to have been duplex but the court found that there had not been a failure of justice and upheld the conviction. The court said at page 117:

> "The question therefore for this Court is, has there been a failure of justice? We think after examining all the facts that the accused were not embarrassed or prejudiced for it is clear in this case that, had there been two separate counts the evidence on each of them would be the same. But that is not to say it will be so in all cases. Clearly an accused person where he is charged, as in *Rex v Mollo* (*supra*) and *Rex v Disney* (*supra*) with distinct offences in one count even though they are created by the same enactment, would be embarrassed in his defence. We therefore wish to guard ourselves in this judgment from saying that although duplicity is an irregularity it can in all cases be overcome by a resort to section 367. Unless this Court is able to say without hesitation that the accused has not been prejudiced by the duplicity there will be no other course open to it than to quash the conviction.
>
> In this case, however, the court is satisfied that the accused have not been embarrassed or prejudiced by the duplicity of the information and although it is bad in law, we shall allow the conviction to stand. The appeal is therefore dismissed".

What we gather from the extract above is that Odda Tore and his accomplice were charged on one information which stated that on a particular date at a particular time and place they murdered X and Y. The court held that each murder should have been charged in a separate count but that as they were charged in one count, the information was bad for duplicity. The court, however, found as a fact that the Appellants were not in fact embarrassed or prejudiced in their defence. In *Cherere s/o Gukuli v Reg* (*supra*) Cherere was charged under the then section 61 B of the penal code which provided that: "Any person who administers, or is present at and consents to the administration of, any oath, or an engagement in the nature of an oath, relating to the unlawful society commonly known as 'Mau Mau' is guilty of a felony and shall be sentenced to death".

Cherere was charged on two counts each of which stated in its particulars that he was "administering or being present at and consenting to the administration of an oath relating to the unlawful society commonly known as 'Mau Mau' contrary to section 61B of the penal code (Chapter 63) Laws of Kenya". He was convicted on the charge and sentenced to death. He appealed to the Court of Appeal for Eastern Africa and it was held:

> "(2) Where two or more offences are charged in the alternative in one count, the count is bad for duplicity contravening section 135 (2) of the Criminal Procedure Code (Chapter 75) Laws of Kenya; the defect is not merely formal but substantial. Where an accused is so charged, it cannot be said that he is not so prejudiced, because he does not know exactly with what he is charged, and if he is convicted, he does not know exactly of what he has been convicted".

Delivering the judgment in which numerous previous authorities including Odda Tore's case, were considered, Sir Newnham Worley, the Vice President of the Court, concluded the judgment in the following manner:

> "We think it is impossible to say, and certainly no court has so far as we are aware ever yet said, that an accused person is not prejudiced when offences are charged in one count in the alternative: he does not know precisely with what he is charged, nor of what offence he has been convicted. It is, indeed, very difficult to say that a breach of an elementary principle of criminal procedure has not occasioned a failure of justice …".

The distinction we are able to draw between the two cases, that is, the case of *Odda Tore* and that of *Cherere* is that in the former case, the charge was duplex in the sense that it named in one count two persons as having been murdered; there was no question of two offences being charged in the alternative while in the latter case two offences, namely: (i) administering an oath or an engagement in the nature of an oath; and (ii) being present at and consenting to, the administration of an oath or an engagement in the nature of an oath, were charged in the alternative in one count. It is, therefore, not surprising that in the latter case, the court was prepared to and did assume in favour of the Appellant that an embarrassment or prejudice to him was inevitable. He did not know whether the charge he faced was one of administering an oath or one of being present at and consenting to the administration of an oath. Equally he did not know whether he was convicted of administering the oath or of being present at and consenting to the oath being administered. The same position could not apply in the case of *Odda Tore*; all he was charged with was murder and it was made clear to him that the charge was in respect of two people. The authority of *Cherere* is even more strengthened by the provisions of section 77(2) of the Constitution which are in the following terms:

> "72(2) Every person who is charged with a criminal offence
>
> (i) …
>
> (ii) shall be informed as soon as reasonably practicable, in a language that he understands and in detail, of the nature of the offence charged …".

What was the nature of the offence with which the Appellant before us was charged? Was it that he had driven his lorry recklessly? Or was it that he had driven his lorry at a speed? Or was it that the manner of his driving would be in issue? These, clearly, were separate offences charged alternatively in one count and in our view, we would respectfully follow the decision of the Court of Appeal for Eastern Africa in *Cherere*'s case which correctly set out the law when the court held that to charge two or more offences in the alternative in one

count is not merely a formal but substantial defect and that in such a situation an accused person must be taken to have been embarrassed or prejudiced as he does not know what he is charged with, and if he is convicted, of what he has been convicted. We note from the very elaborate and well considered judgment of Mosdell J in *Shah*'s case that he did not at any stage of that judgment refer to this point. He correctly found that the charge was bad for duplicity but then proceeded to hold that no actual embarrassment or prejudice had been occasioned to Shah. We would ourselves prefer the decision in *Cherere* which, in effect, assumes prejudice, for if that was not so, the court would not have stated as it did that "We think it is impossible to say, and certainly no court has so far as we are aware ever yet said, that an accused person is not prejudiced when offences are charged in one count in the alternative".

We are ourselves satisfied that when framing a charge under section 46 of the Traffic Act, the prosecution is bound to choose how it proposes to proceed. The prosecution ought to be forced to choose whether they are alleging that:

(i) the driving was reckless; or

(ii) was at a speed; or

(iii) was in such a manner; or

(iv) the vehicle was left on the road in such a position or manner or in such a condition as to be dangerous to the public.

We suppose that if the driving partook of each and every one of these elements, then the prosecution can bring them in by the use of the conjunctive "and", which in the view of Mosdell J appeared to make the matter, that is, the use of "and" or "or" farcical, for he remarked as follows in the *Shah* case at page 202:

> "The real offences were causing the deaths of two people by driving in a manner dangerous to the public by reason of one or the other of two things, viz the speed or manner of driving. How can it be stated, therefore, with any sense of reality, that he did not know what case he had to answer? It seems to me that an accused is in no worse position where the particulars of the offence are framed disjunctively than when they are framed conjunctively. Is prejudice really occasioned by the use of the word 'or' but not by the use of the word 'and'? Whether 'or' or 'and' appears in the charge an accused knows that he must be prepared to meet both limbs of the charge. Moreover, in the instant appeal, the Appellant knew of what, in each count, he was convicted because the magistrate enlightened him".

We go back to *Odda Tore*'s case and there, as we have seen, the Appellants were tried and convicted on one count of an information which alleged that they had murdered two named persons, let us say X and Y. But suppose, for a moment, that the charge had alleged in that one count that the Appellants had murdered "X" or "Y"? The offence would remain the same, one of murder. But surely an accused person is entitled to know right from the beginning of his trial the specific person he is being alleged to have murdered? If the conjunctive "and" is used then he knows it is being alleged he murdered both. But it is no good telling an accused person to prepare his case on the basis that it is being alleged he murdered one or the other of X or Y. That is why we have remarked that Mosdell J does not seem to have drawn any distinction between charging in the alternative two offences in one count and the situation in which the conjunctive "and" is used so that though the charge is duplex, an accused person is not necessarily embarrassed or prejudiced. In the latter case, the duplicity is not necessarily fatal; in the former, it must be necessarily fatal for the reasons given in *Cherere*'s case, and it does not appear to matter that the accused

was represented by an advocate right from the beginning of the trial and that the advocate should have, but did not, raise objection to the charge. In short, where two offences are charged in the alternative in one count, the duplicity so occasioned is invariably fatal, and section 382 of the Criminal Procedure Code cannot cure such irregularity. The only risk the prosecution runs in using the conjunctive "and" is that they may well be required to prove both limbs charged, that is, that the Appellant drove at a speed and in a manner dangerous to the public, before a conviction can be had, for it may well be argued that if only one limb is proved, then the charge as laid has not been proved.

It is for these reasons that we allowed the Appellant's appeal on the terms we have already stated.

For the Appellant:

JM Njenga instructed by *JM Njenga and Co*

For the Respondent:

JM Bw'onwong'a instructed by *the Attorney-General*

Njagi v Kihara
[2001] 1 EA 165 (HCK)

Division:	High Court of Kenya at Nairobi
Date of Ruling:	30 July 2001
Case Number:	936/00
Before:	Mulwa J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Advocate – Unqualified person – Definition thereof – Failure to hold a current practising certificate – Application for stay filed by an unqualified person – Application to lift orders for stay – Whether application signed by unqualified person incompetent – Section 9 – Advocates Act.

Editor's Summary

On 30 August 2000, the Respondent herein filed an application seeking a stay of execution of judgment pending appeal. The application was heard the same day and granted as prayed. It later emerged, as a result of correspondence with the Law Society of Kenya, that the Respondent's advocate who had signed the application had not, at the time, had in force a practising certificate. The Applicant now sought orders to lift the stay granted to the Respondent on 30 August 2000 on the ground that an unqualified person had signed the application for stay.

Held – Documents duly drawn, signed and filed in court by an unqualified person, that a court had acted upon, should not be expunged from the record and done away with; *Samaki Industries (Nairobi) Ltd v Samaki Industries (K)* [1995] LLR 2505 (CAK), *Marbon Cafe and others v BM and Downtown Ltd* civil appeal number Nai 192 of 1997 and *Obura v Koome* [2000] LLR 3251 (CAK) not followed; *Muniu v Giovanni, Kinyanjui v Gichungu* considered. The application would be declined.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Hug v Islamic University in Uganda [1995] LLR 44 (SCU)

Khanji v Kanji [1992] LLR 597 (HCK)

Kinyanjui v Gichungu [1997] LLR 518 (CAK)

Marbon Cafe v BM and Downtown Ltd CA number Nairobi 192 of 1997 – **F**

Muniu v Giovani [1997] LLR 613 (CAK) – **C**

Obura v Koome [2000] 1 EA (CAK) – **F**

Richards v Bostock [1914] 31 TLR 70

Samaki Industries (Nairobi) Ltd v Samaki Industries (K) [1995] LLR 2505 (CAK) – **F**

United Kingdom

Spirling v Brereton [1866] LR 2 Eng 64

Ruling

Mulwa J: In this notice of motion application dated and filed on 21 March 2001, the Applicant is seeking orders that the stay orders granted on 30 August 2000 be lifted as the application for the stay had been signed by an unqualified person, the advocate who signed it at the material time not having in force a practicing certificate.

It is based on the grounds that having been signed by an unqualified person, the application was itself incompetent and accordingly any orders obtained in consequence thereof are themselves invalid. It is further supported by an affidavit of Sarah Njoki Kihara, also sworn on the same date.

The Respondent in this application was aggrieved by the decision of the Kiambu Principal Magistrates Court and filed a chamber summons application on 30 August 2000 for stay of execution of the judgment pending the hearing and determination of an intended appeal, which was subsequently filed on 12 September 2000.

It has subsequently emerged, through some correspondence from the Law Society of Kenya, that the advocate who signed the application did not have in force at the time a practicing certificate, as he last held it as at 30 November 2000 for the year 2000. The chamber summons application giving rise to this application was signed on 29 August 2000 by Mr GO Okatch, the said advocate. Through the aforesaid correspondence, it is clear that at the time of signing the application, he did not have in force at the time a practicing certificate.

This is a particularly difficult case as it has wide repercussions on the nature of pleadings filed by an unqualified person being on record. The main issue for determination is whether documents filed and signed by an advocate without a practicing certificate are incompetent and should be struck off.

The Advocates Act (Chapter 16) of the Laws of Kenya governs and regulates the practice by advocates. In particular section 9 (as amended) of the Act provides that:

> "Subject to this Act, no person shall be qualified to act as an advocate unless:
>
> 1 He has been admitted as an advocate; and
>
> 2 His name is for the time being on the Roll; and
>
> 3 He has in force a practicing certificate; …".

I have referred to several decisions namely *Samaki Industries (Nairobi) Ltd v Samaki Industries (K)* [1995] LLR 2505 (CAK); *Marbon Cafe and others v BM and Downtown Ltd* civil appeal number Nai 192 of 1997 and more recently the case of *Obura v Koome* [2000] LLR 3251 (CAK) all of which dealt with the question of an advocate practicing without a certificate. The consensus in these cases was that the proceedings where the advocate acted without a certificate were null and void.

However, I have considerable discomfort with the prospect that an advocate (whose name is in the Roll as per section 2) without a practicing certificate, and therefore not qualified under section 9 to act as an advocate, who draws, signs and files documents in court, should bear his or her misfortunes onto the client where the defect in qualification is subsequently discovered.

The consequences of an unqualified person acting as an advocate are clearly spelt out in the Act. Section 31 forbids the unqualified person, that is, a person not qualified to act as an advocate which includes an advocate not meeting the requirements of section 9, from causing to issue any summons or process, or to institute, carry on or defend any suit or other proceedings in the name of any other person in any court of civil or criminal jurisdiction.

Criminal penalties are levied for so doing to the person in such contravention.

Similarly sections 33 and 34 further forbid the unqualified person from engaging in certain activities, in breach whereof, criminal penalties are levied. Section 40 expressly forbids the recovery of costs in respect of anything done by an unqualified person in contravention of these provisions.

However, the section, though very loud on forbidding an unqualified person from doing or engaging in the practice of acting as an advocate, is very silent on the consequences of the actions so done in contravention of the section.

Accordingly, the unqualified person will face criminal penalties, fine, imprisonment and or debarment but nothing is said about the very same acts so done as being void *ab initio*.

Thus the question which stands to be answered is whether such actions such as plaint drafted and signed, applications and or orders obtained, by an unqualified person, are void *ab initio* or they constitute valid and binding court procedures to which the person of the unqualified person shall face the full wrath of the foregoing sections.

To my mind, I do not think that documents duly drawn, signed and filed in court, and which the court has acted upon, by an unqualified person and more specifically an advocate because his name is in the Roll of Advocates under section 2, should be expunged from the records and done away with. It would be most hurting to realize that a defect in qualification of an advocate be sufficient ground to quash the proceedings to the detriment of the persons who

were so innocently caught unawares of the defect in qualification of the advocate, a person so held out by the society, the courts, the professional bodies and all concerned with the administration of justice as being an advocate of the High Court of Kenya and as such entitled to act as such.

Further, the statutory safeguards on costs incurred by such a person that cannot be so recovered, and the relevant disciplinary procedures to which such a person is amenable in breach of such legislation, are more than indicative that the documents so drawn, signed and filed by such a person, particularly if he is an advocate of the High Court of Kenya, whose name is duly entered in the Roll of Advocates, should not be declared null and void *ab initio*, with the attendant risks both to the courts and to clients with respect to time and money, who are so innocent of the defects in full qualifications.

I would concur with Lord Pagewood in *Spirling v Brereton* [1866] LR 2 Eng 64, that it would be most mischievous if a person without any power of informing themselves on the subject, should be held liable for the consequences of any irregularity in the qualification of their advocate.

The remedy available to such an instance is to hold the advocate as having professionally misconducted himself and have the relevant disciplinary measures undertaken against him by the professional bodies, and again be amenable to the statutory penalties.

In the instant case, Mr *Okatch* did not even appear in court. The only problem against him is that at the time of appending his signature to the chamber summons, his qualification were not on all fours with the statute even though on all three. All he did was to append this signature and nothing else.

Though as Wambuzi JSC in the Uganda case of *Hug v Islamic University in Uganda* [1995] LLR 44 (SCU) stated that the court will be guilty of condoning an illegality if the court acted on such document, for my part, I would find also that it would be guilty of condoning injustice, if merely because of an advocate's defect in qualification at the time of putting pen to paper and appending the signature, on subsequent discovery that there was such a defect of qualification at the time, the Plaintiffs' or indeed either party's claim or counterclaim application would wither away and be condemned to extinction.

In any event, there are a considerable number of authorities that the innocent client should not be punished for the mistakes of his advocate. Recently in *Muniu v Giovani* [1997] LLR 613 (CAK), the court held that administrative mistakes on the part of busy practising advocates should not be visited on an innocent client, but the explanations for the mistakes should be good enough.

In that case, the defendant's advocate had failed to attend the hearing of the suit, because by mistake, the hearing date had not been noted in the respective diary, and consequently she was not aware that the suit was to be heard on the particular date, and thereafter judgment was entered against the Defendant. The Defendant then applied for the setting aside of the judgment, which was dismissed. On appeal to the Court of Appeal, the appeal was allowed and the *ex parte* judgment was conditionally set aside.

Further Lakha JA in *Kinyanjui v Gichungu* [1997] LLR 518 (CAK) in reference to rule 4 of the Appellate Jurisdiction Rules held thus: "I find no hesitation whatsoever in finding as I do, that the failure to comply with rule 85(1)(*f*) was clearly a mistake".

This was in a case in which an appeal had been struck out as incompetent because the record of appeal did not include an application to the Land Control Board for consent to subdivide in breach of rule 85(1)(*f*) of the relevant rules.

In the instant case, within three months, the advocate had rectified his defect of qualification; he had obtained a valid practicing certificate. Accordingly, it would be illogical to say that within a span of a day, which can very well happen, an advocate with a defect in qualification who causes or issues any process or draws, signs and files documents in court can very well spring from a layman to a learned officer of the court.

The only reasonable conclusion to be drawn from interpreting the provisions of the Advocates Act is that the innocent party, who knocked at the door of such advocate, without knowledge that deep down in our statute books the said advocate is not entitled to act as an advocate, and accordingly anything done by him, without this notice to the client, are supposedly null and void *ab initio*, should be made to bear the responsibilities attendant and arising thereto.

The innocent client will have to face the glaring behemoth of limitation in some instances and where it is not overcome, it will be only the defect of the advocates' qualification in drawing, signing and or filing the proper court documents, that there would be no available remedy to which the client can grapple with, however just the claim was.

Surely taking into account the serious consequences which may flow from declaring such proceedings null and void on the litigant, then Parliament would have specifically enacted that this would be the position instead of leaving it to be implied. I find it difficult to accept that Parliament intended that such proceedings be null and void.

I have found some support on this from England, to which the qualifications of solicitors are verbatim, the same as ours of advocates. Section 1 of the Solicitors Act 1974 lays down the qualifications in England for a person to act as a solicitor that:

> "(*a*) He has been admitted as a solicitor.
>
> (*b*) His name is on the Roll of Solicitors as the time in question.
>
> (*c*) He has in force a certificate issued by the Law Society authorizing him to practise as a Solicitor".

Thus, save that our Advocates Act (Chapter 16) Laws of Kenya in section 9 includes a requirement for an annual licence, the requirements are virtually verbatim. Even the disqualification provisions in section 31 are found in section 20 of the Solicitors Act, 1974, see Supreme Court Practice 1999, volume 2 paragraph 15A–14 at 1253. But their interpretation of the requirements of qualifications and particularly lack of a practising certificate by an advocate whose name is in the Roll is somewhat different.

In *Spirling v Brereton* [1866] LR 2 England 64 Lord Pageword stated:

> "The cases at common law seem to show that although great difficulties are thrown in the way of any recovery of his costs by a solicitor who acts for a client without being duly qualified the proceedings themselves are not void. It would be most mischievous if persons without any power of informing themselves on the subject should be held liable for the consequences of any irregularity in the qualification of their solicitor. As against third parties, the acts of such a person acting as a solicitor are valid and binding upon the client on whose behalf they are done".

The learned Vice Chancellor concluded: "I should be infringing both Plaintiffs and Defendants if I where to hold that the absence of a certificate had the effect of invalidating all proceedings taken in the suit".

In *Richards v Bostock* [1914] 31 TLR 70, this decision was upheld and the court refused to dismiss an action on the same grounds but ordered the case to be "stood over so that the Plaintiff might be able to consult another solicitor".

This position seems to be the law in England at the moment. See *Halsbury's Laws of England* (4 ed) Volume 44 paragraph 353 at 26, where it is stated that proceedings are not invalidated between one litigant and the opposite party merely by reason of the litigants' solicitor being unqualified, for example by his not having a proper practising certificate in force, and in paragraph 57 at 38 that the steps taken by the uncertificated solicitor on his client's behalf are not invalid.

Similar sentiments can be found in Uganda, where in *Hug v Islamic University in Uganda* [1995] LLR 44 (SCU) where Tsekooko JSC opined:

> "I think that the Court would be guilty of condonation of illegality if it allowed an advocate who does not possess a valid practising certificate to recover his costs through the court. I think therefore, that documents drawn by an advocate without a practising certificate should not be regarded as illegal and invalid simply because the advocate had no valid practising certificate when he drew or signed such document".

Justice Waki in *Khanji v Kanji* [1992] LLR 597 (HCK) for leave to issue an application for the issue of orders of *mandamus* and *certiorari*, in the matter of plot Number 302 SV Mainland North stated: "On that score, I would accept the criticism that it would be a harsh decision to hold that the documents were a nullity *ab initio*, when they should only be irregular. Equity may then deal with them as the justice of each particular case deserves".

As a parting shot too, just as Justice Waki stated, I would hope that the Court of Appeal would provide an authoritative decision on this matter should there be an appeal, which I strongly recommend. Thus, I would decline to grant the orders sought herein.

For the Applicant:

Information not available

For the Respondent:

Information not available

NK Brothers Building and Contractors Ltd v Kamau
[2001] 1 EA 170 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	9 February 2001
Case Number:	156/98
Before:	Kwach, Bosire and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

[1] Evidence – Admissibility – Hearsay evidence – Investigator's report – No direct objection taken to its admission – Whether Judge acted properly in admitting the report – Whether Judge erred in placing any weight on the report.

Editor's Summary

The Plaintiff (now Respondent) sued the Defendants (now Appellants) for damages arising from the death of her husband in a traffic accident. She alleged that the accident, which occurred when the car being driven by her husband collided with a truck owned by the First Defendant and driven by the Second Defendant, was caused entirely by the negligence of the Second Defendant. The Defendants denied liability.

At the trial, the Plaintiff's case relied solely on the Plaintiff's own evidence and that of the accident investigator employed by the insurance company. The accident investigator produced a report containing the results of his investigations, which was admitted in court without objection. The trial Judge found in the Plaintiff's favour. The Defendants appealed mainly on the ground that the Judge erred in admitting the report, which was based on hearsay. The Defendants' counsel also contended that though there had been no express objection to the production of the report, there was an implied objection based on the questions asked in cross-examination.

Held – The Judge had acted properly in admitting the report as it was made by the investigator and he was entitled to produce it.

An objection cannot be raised by implication and the record did not show any objection having been made to the investigator's evidence.

The evidence contained in the report was dubious and of no probative value as, *inter alia*, the witness did not himself inspect the police file. The Judge thus erred in placing any weight on it.

Appeal allowed.

No cases referred to in judgment

Judgment

KWACH, BOSIRE and KEIWUA JJA: The late Kamau Githira (the deceased) was employed as a driver by Ogilvy and Mather (Eastern Africa) Ltd. On 16 June 1990 at or about 11:00am he was driving a Subaru 4WD KTU 204 belonging to his employer along Limuru Road in the direction of Limuru when it collided with an Isuzu lorry KXR 909 driven by Mburu Gitau, the Second Appellant (hereinafter called "the Second Defendant") but owned by NK Brothers Building and Contractors Ltd, the First Appellant (hereinafter called "the First Defendant") and the deceased was fatally injured.

Jane Wairimu Kamau, the deceased's widow and the administratrix of his estate, the Respondent herein (hereinafter called "the Plaintiff"), filed a suit in the superior court for damages against the two Defendants on behalf of her children, the deceased's estate and on her own behalf under the Law Reform Act (Chapter 26) and the Fatal Accidents Act (Chapter 32). It was alleged in the plaint that the accident was caused by negligence on the part of the Second Defendant for whose actions the First Defendant was vicariously liable. The particulars of negligence alleged among other things that the Second Defendant drove at a speed which was excessive in the circumstances and that he failed to keep to his correct side of the road. The Defendants filed a joint defence and denied the allegation of negligence made against the Second Defendant. They

said the accident did not happen in the manner stated by the Plaintiff and averred that it was caused or contributed to by the deceased.

At the trial before Juma J, the Plaintiff gave evidence and called one witness Awan Khan, a retired policeman turned accident investigator for insurance companies. The Defendants did not give evidence and called no witnesses. The Plaintiff's evidence was largely formal relating to her capacity, proof of death, particulars of dependants, the deceased's income and the loss they had suffered following the deceased's passing. Khan's evidence was that he had been commissioned by the insurer of the Subaru to investigate the circumstances in which the accident happened. After completing his investigation he prepared a report which he produced in Court as an exhibit. It was signed by him. In his evidence in chief Khan told the court:

> "On 15 November 1991 I received instructions from Sun Alliance Insurance Company to investigate an accident which took place on 15 June 1990 along Nairobi-Limuru Road involving KTU 204 Subaru Saloon and lorry KXR 909. I sent an Investigator Mr Mwangi to Karuri Police Station which was handling the matter. He was shown the scene and took photos. I compiled a report (Exhibit 1). Investigation Report dated 17 January 1992. A sketch plan was produced from the police file. It appears the lorry was overtaking or moved to the other lane to avoid some obstruction".

Cross-examined by Mr *Tiego* for the Defendants, Khan said: "I compiled the Report. Information gathered from the police file".

The report was admitted without any objection from Mr *Tiego*. The Learned Judge accepted Khan's evidence and gave judgment for the Plaintiff in the sum of Shs 326 664 together with interest and costs. It is against that decision that the Defendants now appeal to this Court.

The main ground which Mr *Inamdar* has strongly urged on behalf of the Defendants is that the Learned Judge erred in admitting and relying on the evidence of Khan. He says it was hearsay evidence which should not have been admitted. He contended that although there was no express objection from Mr *Tiego* to Khan's evidence, there was an implied objection based on the questions he put to Khan in cross-examination, and what he said in his written submissions. He submitted that if Khan's evidence is excluded there is no evidence left to sustain the finding by the Learned Judge that the accident was caused by negligence on the part of the Second Defendant.

The report produced by Khan was signed by him. So in a sense he was passing on to the court his own document. That was his intention and his evidence. He did not at any stage suggest that it had been put together by anyone else. As it was his document he was entitled to produce it. So the Learned Judge cannot be blamed for admitting it in evidence. On this score, at least, we agree with Mr *Bwomote* for the Respondent, that the Learned Judge acted perfectly properly in admitting the document. We must disabuse Mr *Inamdar* of the notion that an objection can be raised by implication. The record does not reflect that Mr *Tiego* objected to Khan's evidence but we do not think his objection would have been upheld had he raised it, having regard to what we have already said.

The issue really is not that hearsay evidence was admitted but whether the Learned Judge should have placed any weight on it. Khan himself admitted that he did not inspect the police file; that the sketch plan attached to his report was

not drawn by him but by Mwangi. Apparently Mwangi had reconstructed his sketch from his recollection of one he is alleged to have seen in the police file. Mwangi was not called to give evidence and no application was made to summon the police to produce their file relating to the accident. In his judgment the Learned Judge said:

> "The Plaintiff has caused to be produced a sketch plan of the scene. This was copied from the police file. This evidence has not been challenged. The Defendant did not produce its version of the sketch plan. I am satisfied that the Plaintiff has proved her case on a balance of probability".

Khan's assertion that the sketch attached to his report had been copied from the police file was patently false because he never went to the police station to inspect their file. So when he said it was copied from the police file, he was not only telling a lie, he was concocting evidence. The fact that this dubious evidence was allowed did not enhance its quality. It had no probative value at all. The Defendants did not have to challenge it. They were entitled to disregard it. There was no obligation on the Defendants to produce their own sketch plan because they had no onus of proof.

Taking into account all these lapses, we are satisfied that the Learned Judge erred in placing any weight on Khan's evidence. His report was dishonest, almost fraudulent, and calculated to mislead the court. Our only regret is that he almost got away with it. The Learned Judge should have treated this evidence with greater care. Had he done so he would not have placed any reliance on it. Khan's evidence without more is insufficient to sustain the finding by the Learned Judge that the accident resulted from any act of negligence committed by the Second Defendant.

Accordingly, we allow this appeal, set aside the judgment and decree of Juma J and substitute therefor an order dismissing with costs the Plaintiff's suit against the Defendants. The Defendants will also have the costs of this appeal. It is so ordered.

For the Applicant:

Information not available

For the Respondent:

Information not available

Nyamogo and Nyamogo Advocates v Kogo
[2001] 1 EA 173 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	11 May 2001
Case Number:	322/00
Before:	Gicheru, Tunoi and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Practice – Review – Application for review – Factors to be considered in application for review – Error on the face of the record – Whether an erroneous decision constitutes an error on the face of the record sufficient to permit review.

Editor's Summary

An error on the face of the record can only be determined on the facts of each case. For an error of law on the face of the record to form a ground for review, it must be of a kind that stares one in the face and on which there could reasonably be no two opinions. If a court's original view was a possible one, it cannot be a ground for a review even though it may be one for appeal. Where as in this case, there were no apparent errors on the face of the record, an application for review would fail.

No cases referred to in judgment

Judgment

Gicheru, Tunoi and Lakha JJA: On 30 October 1989 the Respondent was a passenger travelling in vehicle registration Number KWB 296. It met with a serious traffic accident resulting in severe and serious injuries to the Respondent. He sued one of the drivers through his then advocates, Messrs Robson Harris and Company. Subsequently, he changed his advocates to Messrs Meshack Obura and Company, Advocates. Their remuneration for work done was KShs 48 717-80 and KShs 25 000 respectively. On 27 November 1996 the Appellant took over the conduct of the case.

Following a full trial the superior court (Juma J) on 31 March 1998 awarded to the Respondent damages in the sum of KShs 801 453. His appeal to this Court was dismissed with costs agreed at Shs 100 000 while the costs of the superior court were taxed at KShs 146 769. The insurance company had paid to the Appellant KShs 950 526.

The Respondent claimed that he should be paid the balance of the decretal amount whilst the Appellant claimed that he was owed KShs 100 000. By her decision given on 28 September 2000, Ang'awa J ordered that KShs 120 000 be paid to the Respondent being due to him. Both parties applied for a review of the order of the superior court on which the Learned Judge delivered her ruling on 12 October 2000, whereby she dismissed both the applications for review with costs to the Respondent.

The Appellant appealed against that decision of the superior court and the Respondent cross-appealed. Basically the Appellant contended that there were errors apparent on the face of the record which the Learned Judge had failed to correct in her review decision. The Respondent's cross-appeal claimed that there were several accounting errors which the Learned Judge failed to correct.

We have carefully considered the submissions made to us by the advocates of the parties to this appeal. An error apparent on the face of the record cannot be defined precisely or exhaustively, there being an element of indefiniteness inherent in its very nature, and it must be left to be determined judicially on the facts of each case. There is a real distinction between a mere erroneous decision and an error apparent on the face of the record. Where an error on a substantial point of law stares one in the face, and there could reasonably be no two opinions, a clear case of error apparent on the face of the record would be made out. An error which has to be established by a long drawn process of reasoning or on points where there may conceivably be two opinions, can hardly be said to be an error apparent on the face of the record. Again, if a view adopted by the court in the original record is a possible one, it cannot be an error apparent on the face of the record even though another view was also

possible. Mere error or wrong view is certainly no ground for a review although it may be for an appeal.

As was said in the AIR Commentaries on the Code of Civil Procedure by *Chitaley and Rao* (4 ed) Volume 3 at 3227: "A point which may be a good ground of appeal may not be a ground for an application for review. Thus, an erroneous view of evidence or of law is no ground for a review though it may be a good ground for an appeal".

Applying the above principles to the present case, we are satisfied that there were no errors apparent on the face of the record such as would have entitled the superior court to review its earlier order. Like the Learned Judge in the superior court, we also agree that the application for review correctly failed. As to costs awarded by the superior court, the Respondent was clearly successful in obtaining a refusal of the review application made by the Appellant. Costs are a matter of discretion and unless it is shown that the Learned Judge was plainly wrong or exercised her discretion erroneously in principle or otherwise, this Court will not interfere with an order for costs.

Accordingly and, for the reasons above stated, the appeal is dismissed.

For the reasons that we have given above, the Respondent's cross-appeal also fails save that there is an additional matter that we must deal with. This relates to the sum of KShs 73 717-80 deposited in Court which the Learned Judge ordered to be released to the two former advocates. We respectfully agree with the order made by the Learned Judge as, in our view, that is just.

In the result, our orders on this appeal are as follows:

(a) the appeal and cross-appeal are each dismissed;

(b) the Appellant shall pay to the Respondent the costs of the appeal;

(c) there is no execution to be carried out against the Respondent for any sum of money as none is due from the Respondent to the Appellant;

(d) the Appellant shall pay to the Respondent the sum of KShs 20 000;

(e) the Appellant's application for a stay is dismissed with costs;

(f) the two applications for review made to the superior court are dismissed with costs thereof to be paid to the Respondent by the Appellant; and

(g) each party shall bear its own costs of the cross-appeal.

For the Appellant:

Information not available

For the Respondent:

Information not available

Obura v Koome
[2001] 1 EA 175 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Ruling:	8 June 2001
Case Number:	146/2000
Before:	Kwach, laKha and O'kubasu JJA

Sourced by: LawAfrica

Summarised by: HK Mutai

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[1] Advocate – Unqualified person – Definition thereof – Failure to hold a current practising certificate – Appeal filed by unqualified person – Whether the acts of an

unqualified person are invalid if his client is unaware of such lack of qualification – Section 9 – Advocates Act (Chapter 16).

Editor's Summary

Section 9 of the Advocates Act (Chapter 16) Laws of Kenya provides that in order to qualify to act as an advocate, a person must have been admitted as an advocate, have his name on the Roll and have in force a practising certificate. Where an advocate who does not satisfy these conditions signs a memorandum of appeal, then that memorandum is incompetent and the appeal will be struck out.

No cases referred to in ruling

Ruling

KWACH, LAKHA and O'KUBASU JJA: This is an application by the Plaintiff by way of a notice of motion dated and filed on 26 February 2001 whereby the Plaintiff seeks to have the appeal filed by the Defendant from the judgment of the superior court (Ole Keiwua J) given on 30 September 1998, struck out. It is founded on the ground that the appeal is incompetent having been filed by an unqualified person. The appeal turns on the correct interpretation and application of section 9 of the Advocates Act. Section 9 of the Act (Chapter 16) Laws of Kenya (as amended) provides:

> "Subject to this Act, no person shall be qualified to act as an advocate unless–
>
> (*a*) he has been admitted as an advocate; and
>
> (*b*) his name is for the time being on the Roll; and
>
> (*c*) he has in force a practising certificate;
>
> and for the purpose of this Act a practising certificate shall be deemed not to be in force at any time while he is suspended by virtue of section 27 or by an order under section 60(4)".

It is not in dispute that one Anthony Khamati who is the advocate on record for the Appellant did not hold a practising certificate in the year 2000 in breach of section 9(*c*) of the Advocates Act. The appeal herein was filed on 21 June 2000 and the memorandum of appeal was signed by the said Anthony Khamati, Advocate.

That contention on behalf of the Applicant appears to us to be well founded. However, Mr *K'Owade* for the Respondent, submitted that section 9 of the Act should be so construed that the act of an unqualified person does not render his acts invalid because of lack of qualification unless the client was aware of such lack of qualification. Apparently, this submission is based on the common law of England. It is said that proceedings are not invalidated between one litigant and the opposite party merely by reason of the litigant's solicitor being unqualified, for example for his not having a proper practising certificate in force.

With respect, we reject this argument. The facts of this case are governed clearly by the provisions of the Advocates Act and not the common law in England. The provisions of section 9 are unambiguous and mandatory and the principles of common law do not apply as the jurisdiction of this Court is to be exercised in conformity with the Constitution and subject thereto, all other written laws. Section 3(1) of the Judicature Act (Chapter 8) reads:

> "3(1) The jurisdiction of the High Court, the Court of Appeal and of all subordinate courts shall be exercised in conformity with:
>
> (*a*) the Constitution;
>
> (*b*) subject thereto, all other written laws, including the Acts of Parliament of the United Kingdom cited in Part X of the Schedule to this Act, modified in accordance with Part XX of that Schedule;
>
> (*c*) subject thereto and so far as those written laws do not extend or apply, the substance of the common law, the doctrines of equity and the statutes of general application in force in England on the 12 August 1897, and the procedure and practice observed in courts of justice in England at that date;
>
> but the common law, doctrines of equity and statutes of general application shall apply so far only as the circumstances of Kenya and its inhabitants permit and subject to such qualifications as those circumstances may render necessary".

In these circumstances, the memorandum of appeal is incompetent having been signed by an advocate who is not entitled to appear and conduct any matter in this Court or in any other court. Accordingly, we strike out the appeal with costs thereof to the Applicant including the costs of the notice of motion dated 26 February 2001.

For the Applicant:

Information not available

For the Respondent:

Information not available

Omondi v National Bank of Kenya Ltd and others
[2001] 1 EA 177 (CCK)

Division:	Milimani Commercial Courts of Kenya
Date of Ruling:	19 October 2001
Case Number:	958/01
Before:	Ringera J
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Civil procedure – Preliminary objection – Res judicata – Locus standi – *Whether these can be pleaded as preliminary objections – Ambit and limits of* res judicata.

[2] Company – Separate personality – Company in receivership – Whether directors and shareholders of the company can sue in their own names

Editor's Summary

The Plaintiffs, directors and shareholders of Lake Victoria Fish Ltd "the company"), sued in that capacity two banks and the receiver appointed for the company pursuant to certain debentures. The

Plaintiffs sought an injunction to restrain the sale of the company assets and an order to remove the receiver. The Defendants pleaded that the Plaintiffs lacked capacity and that the suit was *res judicata*. The Plaintiffs applied for interlocutory relief and the Defendants raised the aforesaid pleas as preliminary objections.

It was argued for the Defendants that the company had a personality separate from those of the Plaintiffs and that only the company could sue for wrongs

done to it, the only exception being where the controlling shareholders have refused to do so. It was also argued that the suit was *res judicata* in a previous suit that was determined by a consent order.

The Plaintiffs responded that the question of *res judicata* could not be raised as a preliminary objection because it could not be established save by an analysis of previous pleadings, which was a matter of evidence. They argued in the previous suit that the Plaintiff had sued in a different capacity, as a guarantor. On *locus standi*, it was argued that the board of directors of the company was *functus officio* and it would not be possible to get a resolution to institute a suit if a receiver were in charge.

Held – The issues of *locus standi* and *res judicata* are pure points of law that can properly be raised as preliminary objections. In determining both points, the court is perfectly entitled to look at the pleadings and other relevant matter in its records. To stay or not to stay a suit for such reason is an act *ex debito justitiae*. *Mukisa Biscuit v West End Distributors* [1969] EA 696, *Nitin Properties v Nitin Properties Limited v Kalsi and another* considered.

The appointment of a receiver/manager renders a board of directors *functus officio* but does not destroy the corporate existence and personality of the company. The two Plaintiffs could only institute proceedings that related to alleged wrongs against the company *qua* company. *Salomon v Salomon* [1897] appeal case 22 followed.

Per curiam: The suit was not *res judicata* because the Plaintiff had sued in a different capacity in the previous suit. *Njangu v Wambugu* High Court civil case number 2340 of 1991 approved.

Preliminary objection sustained. Suit struck out.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kinyua v Tuti [1978] KLR 69

Mukisa Biscuit Co v West End Distributors Ltd [1969] EA 696 – **C**

Jagjit Singh [1989] LLR 289 (CAK) – **C**

Njangu v Wambugu and another HCCC number 2340 of 1991 – **APP**

Wainaina v Haas [1986] 2 KAR 79

United Kingdom

Newhart Development Commercial Bank Ltd [1978] 1 QB 814

Salomon v A Salomon and Co Ltd [1897] AC 22

Ruling

RINGERA J: On 22 June 2001, George WM Omondi and Nasarina Anyango, the Plaintiffs herein, instituted this suit against the National Bank of Kenya Ltd, the Development Bank of Kenya Ltd and Graham W Silcock, the First, Second and Third Defendants respectively seeking the following reliefs:

"(a) A permanent injunction to restrain the Defendants from in any way alienating, disposing of or selling in any manner the assets of Lake Victoria Fish Ltd comprised and/or being on LR Number Kisumu/Kogony/2915 inclusive of all machinery, fixtures and fittings being thereon and movables.

(b) A declaration that the appointment of the Third Defendant by the First and Second Defendants as Receiver/Manager over the business of Lake Victoria Fish Ltd on 27 January 1997 and 10 January 1997 respectively were irregular, oppressive unlawful, null and void.

(c) General damages against the First Defendant [National Bank of Kenya Ltd] for breach of Agreement for Export financing of 30/10/96 resulting in the loss of Revenue of U.S. Dollars 7,729,000 and profits therefrom.

(d) Special and General damages against the First Defendant National Bank of Kenya Ltd for loss of off-shore financing of U.S. Dollars 6 million.

(e) Special and General damages against all the Defendants jointly and/or severally for loss of business, profits and income at KShs 44 million per year from January 1997 until date of judgment.

(f) General damages for loss of investment and anticipated income therefrom together with anticipated growth from January, 1997 until final judgment.

(g) An order removing the Third Defendant as Receiver/Manager of Lake Victoria Fish Ltd.

(h) Interest on damages in [c], [d], [e] and [f] at prevailing Treasury bills rates.

(i) Costs of this suit together with interest at Court rates.

(j) Such further or other relief as the Court deems fit and just to grant".

The Plaintiffs brought the suit in their capacity as directors and shareholders of Lake Victoria Fish Ltd, a company in receivership. I shall hereafter refer to the said company as "LVF". It is evident from the plaint the Plaintiffs are aggrieved by the appointment of the Third Defendant as receiver by the two banks pursuant to powers conferred on them by debentures executed by their "company", in favour of the banks. The Plaintiffs are also rankled by the manner in which the receiver has exercised his powers over the LVF. Simultaneously with the filing of the plaint, the Plaintiffs took out a summons in chambers in which they sought an interlocutory order of injunction to restrain the Defendants from disposing of, alienating or selling the property and assets of LVF situated on Land Registration Number Kisumu/Kogony/2915 as well as for an order to remove the receiver appointed by the banks and his replacement by a court appointed receiver. All the Defendants filed their respective defences. In all of them, it is pleaded that the Plaintiff's lack capacity to institute the suit. In addition, both the First and Third Defendants have pleaded that the suit is *res judicata*.

At the hearing of the Plaintiff's application for interlocutory relief, preliminary objections of which due notice had been given were taken by the Defendants' counsels to the effect that the Plaintiffs' lacked legal standing (*locus standi*) to institute the suit and that the said suit was in any event *res judicata* and/or an abuse of the process of the court. On *locus standi*, Mr *Rachuonyo*, counsel for the Third Defendant, in a submissions with which Mr *Raiji*, counsel for the Second Defendant, and Mr *Ahmed Nassir*, counsel for the First Defendant associated themselves argued as follows. The Plaintiffs could not in their own names institute a suit seeking reliefs for wrongs allegedly done or intended to be done to LVF, a limited liability company, for it was basic company law that only the company itself could sue for wrongs done to it. The only exception is where persons in control of the company and who ought to give consent or permission

to sue have refused to do so. Counsel relied on the following statement of the law in *Halsbury's Laws of England* (4 ed), paragraph 713:

> "To redress a wrong done to the company or to recover money or damages due to it, the action must *prima facie* be brought by the company itself, if the matter constitutes the cause of action is a cause of action properly belonging to the company or the general body of members. However, where the persons against whom relief is sought hold and control the majority of shares, and will not permit an action to be brought in the company's name, shareholders complaining may bring an action in their own names and on behalf of the others, and they may do so also where the effect of preventing them so suing would be to enable a company by an ordinary resolution to ratify an improperly passed special resolution".

He pointed out that the exceptions contemplated had no application to facts of the present case. He argued further that the fact that a company was under receivership made no difference for it does not loose its identity and the Board of directors does not cease to exist. Reliance was placed on the case of *Newhart Development Commercial Bank Ltd* [1978] 1 QB 814.

On *res judicata*, Mr *Ahmed Nassir* argued as follows. The issues in dispute in the present suit were the same issues which were in dispute in High Court civil case number 867 of 2000 and the parties are the same. The earlier suit was determined by a consent order made on 28 May 2001. There is no material difference in the two suits save that there are additional parties and prayers in the present suit. Adding new parties or prayers which ought to have been included in the earlier suit would not avail the Plaintiff any escape from the doctrine of *res judicata*. He relied on section 7 of the Civil Procedure Act and in particular explanation four thereof. Also relied on were the cases of *Njangu v Wambugu and another* High Court civil case number 2340 of 1991 (unreported), *Mburu Kinyua v Gachini Tuti* [1978] KLR 69 and *EN Wainaina v Franz Haas* [1986] 2 KAR 79.

Counsel emphasized that parties must go to court with all their causes of action and must sue all the persons they ought to sue: they cannot be allowed to wriggle away from the doctrine of *res judicata* by suing in instalments or giving the subsequent suit a cosmetic facelift by adding new parties or causes of action. He also emphasised that both High Court civil case number 867 of 2000, and the present suit revolved around the assets of Lake Victoria Fish Ltd (in receivership) and that the Plaintiffs in the earlier suit had agreed that those assets may be sold. Both Mr *Rachuonyo* and Mr *Raiji* associated themselves with the above submissions. Mr *Rachuonyo* added that there was also mother suit, namely High Court civil case number 350 of 1998, which was similar to the present suit and which had been determined. He pointed out that the parties to that suit were the present Plaintiffs and the present Third Defendant. The suit was challenging the sale of the company assets and sought an injunction to restrain their sale. The application for injunction was dismissed and the suit was withdrawn. Counsel argued that in those circumstances the present suit was not only *res judicata* but also an abuse of the process of the court for a subsequent suit could not be brought without justification and without payment of costs in the earlier suit. Mr *Raiji* in supporting the contentions that the present suit was *res judicata* argued that although the Second Defendant was not enjoined in the two previous suits, the issues raised therein affected the Second Defendant in the same manner as they affected the other two Defendants. Indeed the Second Defendant was named in the body of the previous pleadings. He also submitted

that the issues were the same, namely the realization of the securities given to the First and Second Defendants to secure monies advanced to LVF and the remedies were sought against a receiver appointed jointly by the First and Second Defendants. He also argued that the charges and debentures impugned in the present suit are the same securities which were impugned in the earlier suit and that the remedies sought against the Second Defendant could have been sought in the earlier suits.

Mr *K'Opere* vehemently opposed the application. His defence was two-pronged. The first prong was at a technical level. The second at a substantive level. At the technical level, he submitted that the objections raised did not amount to true preliminary objections because: (i) If one wanted to raise *res judicata* it had to be pleaded and it could not be established save by an analysis of the previous pleadings, the issues and determination of the court, all of which were matters of evidence, and (ii) if it was sought to strike out a suit, for the Plaintiff's lack of *locus standi* or on grounds of it being an abuse of the process of the court it was necessary to make a proper application under Order 6, rule 13 of the Civil Procedure Rules. At the substantive level, he argued that the Plaintiffs had *locus standi* and the suit was neither *res judicata* nor an abuse of the process of the court.

On *locus standi*, he argued as follows. Once a receiver is appointed he dispossesses the directors of the managerial function. He has obligations both to the company and the debenture holders. Since a company is constituted by its shareholders, who are its members, the duty to the company means a duty to its shareholders. Accordingly, if action is to be taken against the receiver it should be taken by those whose investment in the company is deteriorating as a result of the actions of the receiver. It is not possible for a company which operates through a board from which the receiver has taken over to institute proceedings. Minority rights are protected by law and it is not possible to get a resolution to institute a suit if a receiver is in charge. All in all, the persons with a legitimate right to complain are the Plaintiffs who are the members of the company.

On *res judicata*, Mr *K'Opere* submitted that the doctrine did not apply in the circumstances of this case. He contended that High Court civil case number 867 of 2000 involved different parties and different issues. The suit was brought by George Omondi, the First Plaintiff in this suit, in his capacity as a guarantor to LVF. He was joined in that suit by Lawe Investments Ltd a company in which he had substantial interests. The said company was also suing in its capacity as a guarantor to LVF. The proceedings related to two properties situate in Nairobi which were intended to be sold by the National Bank, the sole Defendant in that suit and the First Defendant in suit, in exercise of its statutory power of sale. Counsel submitted that in those circumstances the capacity in which the First Plaintiff was litigating and the subject matter of the suit were different from what obtained in the present suit. He also argued that the Development Bank of Kenya could not be brought into that suit as it had not financed the pre-export facility, the subject matter of the guarantees. And the receiver could also not be sued in the earlier suit as he was not connected with pre-export facility and guarantee. As regards High Court civil case number 350 of 1998, counsel conceded that the issues were more or less similar to those in the present suit but submitted that as the suit had been withdrawn the plea of *res judicata* was inapplicable. He further submitted that the application in that

suit was dismissed for non attendance by the advocate for the Applicant and that could not form a basis for *res judicata*.

On whether the Plaintiffs could institute the present suit without paying costs in High Court civil case number 350 of 1998, counsel took refuge in the fact that he was not the Plaintiffs' advocate in that suit and did not know whether the costs had been paid. In any event, he argued, there were established ways of recovering costs.

In a brief rejoinder to the submissions on behalf of the Plaintiffs, counsel for the Defendants argued that the issues they had raised were true preliminary objections, for if they were successful, they could finally determine the suit. They also argued that the pleadings and rulings in the proceedings are part of the record and the court is at liberty to look at its previous records both for purposes of determining whether a matter before it is *res judicata* and whether its process is being abused.

From the above submissions it is apparent that the issues which fall for determination are (i) whether or not the Defendant's objections are properly taken as preliminary objections, (ii) whether the Plaintiffs have *locus standi* to institute the suit, and (iii) whether the suit is *res judicata* or otherwise an abuse of the process of the court. I now move to consider those points in the light of the submissions thereon.

On whether the Defendant's objections are proper preliminary objections, I think I should start by an appreciation of what a preliminary objection is. In *Mukisa Biscuit Co v West End Distributors Ltd* [1969] EA 696, Sir Charles Newbold P laid down the meaning of a preliminary objection as follows:

> "A preliminary objection is in the nature of what used to be a demurrer. It raises a pure point of law which is argued on the assumption that all the facts pleaded by the other side are correct. It cannot be raised if any fact has to be ascertained or if what is sought is the exercise of judicial discretion".

That passage was cited with approval by the Court of Appeal in *Nitin Properties Limited v Kalsi and another* [1989] LLR 289 (CAK) which case Mr *K'Opere* relied upon in contending that the Defendants were not raising true preliminary objections. Bearing that definition in mind, I agree with counsels for the Defendants that both the objection as to the legal competence of the Plaintiffs to sue and the plea of *res judicata* are pure points of law which if determined in their favour would conclude the litigation and they are accordingly well taken as preliminary objections. In fact I must confess I was taken aback by the Plaintiffs' counsel's insistence that the issues of *locus standi* and *res judicata* were not proper points for a preliminary objection for in my experience at the bar and on the bench I had not before heard it doubted that the were. And I hasten to add that in determining both points, the court is perfectly at liberty to look at the pleadings and other relevant matter in its records. It is not necessary to file affidavit evidence on those matters as contended by counsel for the Plaintiffs. What is forbidden is for counsel to take, and the court to purport to determine, a point of preliminary objection on contested facts or in the exercise of a judicial discretion. In that regard, I am inclined to think that the contention by the First Defendant that the present suit is an abuse of the process of the court for the reason that the Defendant's costs in High Court civil case number 350 of 1998 which was withdrawn have not been paid is not a true point of preliminary objection because to stay or not to stay a suit for such reason is not done *ex debito justitiae* (as of right) but as a matter of judicial discretion.

As regards whether the Plaintiff's have *locus standi* to institute this suit, I am in complete agreement with the submissions made by the Defendants' advocates that they do not. It is a basic principle of company law that the company has a distinct and separate personality from its shareholders and directors even where the directors happen to be the sole shareholders (see *Salomon v A Salomon and Co Ltd* [1897] AC 22). The property of the company is distinct from that of its shareholders and the shareholders have no proprietary rights to the company's property apart from the shares they own. From that basic consequence of incorporation flows another principle: only the company has capacity to take action to enforce its legal rights. The contention by counsel for the Plaintiff that the investment in LVF is by the Plaintiffs and they are accordingly the proper Plaintiffs in this action is manifestly without legal foundation. And although it is true that the appointment of a receiver manager has the effect of rendering the board of directors *functus officio*, it does not destroy the corporate existence and personality of the company. That appointment makes the directors unable to act in the name of the company but, as I understand the law, it does not make them in their capacity as members equally disabled. On that view it was open to the two Plaintiffs in the name of the company, but only in the name of the company, to institute the present proceedings which relate to alleged wrongs against the company *qua* company. But they definitely lacked legal competence to institute the suit in their own names in their capacities as directors and shareholders of LVF. I would on this ground alone, order the suit struck out with costs to the Defendants.

Having taken that view of the matter, it may seem unnecessary to consider whether the suit should fail for the additional reason that it is *res judicata*. However, as this Court is not the final court, I am obliged to express my findings on all the issues raised for determination. And so I must deal with the issue of whether the suit is *res judicata*. In that regard, I accept the submissions by counsel for the Defendants that the doctrine of *res judicata* would apply not only to situations where a specific matter between the same persons litigating in the same capacity has previously been determined by a court of competent jurisdiction but also to situations where either matters which could have been brought in were not brought in or parties who could have been enjoined were not enjoined. Parties cannot evade the doctrine of *res judicata* by merely adding other parties or causes of action in a subsequent suit. They are bound to bring all their cases at once. They are forbidden from litigating in instalments. I wholly agree with the opinion of Kuloba J in *Njangu v Wambugu* (*supra*) where he said:

> "If a litigant were allowed to go on forever re-litigating the same issue with the same opponent before courts of competent jurisdiction, merely because he gives his case some cosmetic face-lift on every occasion he comes to a court, then I do not see what use the doctrine of *res judicata* plays".

It cannot be otherwise if the doctrine is to serve the two public policy objectives for which it was fashioned, namely, that it desirable that there be an end to litigation and that a person should not be vexed twice in respect of the same matter.

Be that as it may, having perused the pleadings and determinations in the suits which are said to conclude the present one on the basis of the plea of *res judicata* and having weighed the submissions of the counsel thereon, I have concluded that the present suit is not *res judicata* for the following reasons. First,

as regards High Court civil case number 350 of 1998, I accept Mr *K'Opere*'s submission that the same having been withdrawn rather than determined on its merits, there would be no basis of pegging the plea in bar thereon for it is a fundamental condition precedent to this plea in bar that the previous suit should have been heard and finally determined by a court of competent jurisdiction. Secondly, I accept the Plaintiffs' submissions that High Court civil case number 867 of 2000 involved a different matter from what is at stake in the present suit and that the First Plaintiff therein who is also the First Plaintiff in the present suit was litigating in a different capacity. The subject matter of the former suit was the property known as Land Registration Number 12882/15 Karen and Legal Registration Number 209/2029 Parklands which had been charged to the National Bank as Collateral security for advances to LVF. And the First Plaintiff had initiated the suit in his capacity as a guarantor and chargor of the Karen property. The present suit is concerned with the property known as Land Registration Number Kisumu/Kogony/2915 which is registered in the name of LVF and seeks totally different reliefs from the earlier suit. The First Plaintiff is also suing in a different capacity, namely as a member and director of LVF. Those two considerations, to my mind, remove the present suit from the ambit of *res judicata*. Considering the pleadings and reliefs sought, I am on the whole persuaded that there is more than just the additional of another party and other reliefs in the present suit. It is more than a cosmetic face-lift of the suit in High Court civil case number 867 of 2000. I accordingly find that the suit is not *res judicata*.

The upshot of this matter is that I uphold the Defendants' preliminary objection that the Plaintiffs have no *locus standi* to institute this suit in their own name. I accordingly order that the same be struck out with costs to the Defendants. In those circumstances, the application for relief which was appurtenant to the suit is deemed to be also struck out.

For the Plaintiffs:

Information not available

For the Defendants:

Information not available

Pastificio Lucio Garofalo SPA v Security and Fire Equipment Co
[2001] 1 EA 184 (CCK)

Division:	Milimani Commercial Courts of Kenya
Date of Ruling:	3 July 2001
Case Number:	966/2000
Before:	Ringera J
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Practice – Affidavit – Verifying affidavit – Verifying affidavit sworn by the Plaintiff's sales manager – Whether sales manager is a competent company officer to swear affidavit – Companies Act – Order III – Civil Procedure Rules.

[2] Practice – Affidavit – Verifying affidavit – Verifying affidavit sworn in Italy – Person before whom verifying affidavit sworn – Whether affidavit admissible where affidavit sworn in a non-commonwealth country – Section 88 – Evidence Act.

[3] Practice – Court order – Order of the court to file affidavit – Whether an order of the court requiring filing of affidavit within 21 days means the affidavit must be served within the same period.

[4] Practice – Language of the court – Part of the verifying affidavit in italian – Whether the whole affidavit inadmissible – Whether translation to English necessary.

Editor's Summary

The Plaintiff filed a plaint and a verifying affidavit and on 29 March 2001 the court struck out the verifying affidavit and ordered the Plaintiff to file a fresh one within 21 days. On 17 April 2001 the Plaintiff filed another verifying affidavit, sworn by one Emile Viola, the Plaintiff's sales manager. That affidavit was not served on the Defendant's advocates.

The verifying affidavit was purportedly sworn at Napoli, Italy; there was no stamp or signature of attestation in the jurat, there was a stamp or seal in a language unknown to the court and a certificate at the back of the affidavit in the same language. Three other pages in that language were attached to the affidavit.

The advocate for the Defendant took objection to the affidavit as follows: firstly, the affidavit was not sworn by a recognised agent of the Plaintiff company; secondly, the affidavit was not sworn before a competent person; thirdly it was in a language other than English, the language of the court.

Held – The order of the court requiring the Plaintiff to file another verifying affidavit within twenty-one days did not require that service of the affidavit upon the Defendant's advocates within the same period. Unless the court was specific in this regard service of the affidavit would be required to be done within reasonable time.

The sales manager of the Plaintiff was an officer of the company within section 2 of the Companies Act (Chapter 486). Order III of the Civil Procedure Act does not define an officer of a corporation. The deponent of the verifying affidavit was therefore competent to swear the affidavit within Order III, rule 2(*c*).

Section 88 of the Evidence Act (Chapter 80) provided that documents which would be admissible in the English courts of Justice would be admissible in Kenyan courts. In England under Order 41, rule 12 of the Rules of the Supreme Court, affidavits taken in commonwealth countries were admissible in English courts. This position applied to Kenya.

Affidavits taken outside the commonwealth were not admissible in Kenyan courts unless there was an affidavit attesting that such other affidavit was taken before a notary public or competent person.

The contents of the affidavit or other document accompanying the affidavit must be translated in the language of the court, English.

The verifying affidavit was struck out and Plaintiff given leave to file another affidavit within twenty-one days.

No cases referred to in ruling

Ruling

RINGERA J: I have before me an application to strike out the suit herein on the basis that there is no verifying affidavit as is required by law. The application purports to be made under Order V11, rules 2 and 3 of the Civil Procedure Rules and section 3A of the Civil Procedure Act.The genesis of the application is that on 29 March 2001, the late Hewert J struck out the affidavit accompanying the plaint and ordered that the Plaintiff do file a fresh verifying affidavit within twenty-one days. In an affidavit in support of the application, Miss Jan Mohamed, counsel for the Defendants depones that the twenty-one day period expired on 19 April 2001 and that her firm has not been served with any verifying affidavit.

At the hearing of the application, counsel for the Defendant contended that the order of Hewert J meant that the Plaintiff was to file and serve the verifying affidavit within the twenty-one day period. Counsel pointed out that although there was an affidavit filed on record on 17 April 2001, the same was not served on her firm. She contended that that affidavit was not in any event properly drawn or sworn and could not be a verifying affidavit within the meaning of the law. The affidavit in contention is sworn by one Emile Viola who describes herself as the sales manager of the Plaintiff company. It purports to be sworn at Napoli in Italy by the deponent. There is no stamp or signature of attestation in the jurat although there is a stamp or seal of some sort on and against the typewritten indication that the document was drawn by Ahmednasir, Abdikadir and Co, Advocates of Nairobi. There is the stamp or seal on inscription in a language unknown to the court which appears to be the Italian language. There is also a certificate at the back of the affidavit again in the self same language. There are three other pages attached to the said affidavit which contain what appears to be a translation of the verifying affidavit in the Italian. The objection taken to this affidavit is first that it is not sworn by the Plaintiff before a competent person and secondly it is in a language other than English which is the language of the High Court. In support of the first limb of the objection, Miss Jan *Mohammed* argues that since the Plaintiff is a limited liability company, it could only make the verifying affidavit through its recognized agent. Order 111, rule 2(*c*) of the Civil Procedure Rules provides that in the case of a corporation, the recognized agent is an officer of the corporation duly authorized under the Corporate seal. In her view, the sales manager of the corporation is not such a recognized agent. She further points out that the affidavit is not taken before a Commissioner of Oaths or a notary public. In support of her second limb to the objection, counsel submits that the language of the court is English and yet the certificates endorsed on the affidavit are in a language other than English.

Mr *Ahmednasir*, counsel for the Plaintiff, on his part submits that the application is incompetent as the rules on which it purports to be grounded do not relate to a verifying affidavit. He contends further that the chamber summons is incompetent for the additional reason that the endorsement required by Order L, rule 15(2) to be on every motion or summons to the effect that “if any party served does not appear at the time and place above mentioned such order will be made and proceedings taken as the court may think expedience is missing thereon”. Counsel further submits that the Plaintiff complied with the court order as it filed the verifying affidavit within the twenty-one days ordered by the court. The order did not require service of the affidavit within the same

period. He also contends that the affidavit filed is in English and it is attested to by a notary public in Napoli. He asks me to ignore the translation as it does not affect the substance or form of the affidavit.

Miss Jan *Mohamed* in reply submits that the body of the application shows the rules cited were a typographical error and no prejudice has been caused to the Respondent. In similar vein, she argues that the endorsement missing from the chamber summons does not go to the root of the application. She also points out that the affidavit has four pages and court cannot ignore any of them. Lastly, she submits, there is no indication that the person who took the affidavit is a notary public.

From the above submissions it appears to me that the issues for decision in this application are (i) whether or not failure to serve the affidavit filed in court on 17 January 2001 on or before 19 April 2001 was a contravention of the court order, (ii) whether or not Emile Viola the Plaintiff's sales manager is a competent person to swear a verifying affidavit on behalf of the Plaintiff, (iii) whether or not the said affidavit is properly taken and is admissible in court and (iv) whether or not the Defendant's application is competent.

As regards service of the verifying affidavit, the order of Hewitt J directed that the affidavit be filed within twenty-one days. In my opinion, to read the order to mean that service was also to be effected within the same period as counsel for the Defendant contends is to stretch the said order. Had Hewitt J meant to so order he would have done so. The Plaintiff is not therefore in contravention of the order. What appears to have been lost to both counsel is that under the general law, where no time is fixed for the doing of a thing, the thing is to be done within a reasonable time. Hewitt J must have had that in mind. As the Defendants do not complain that they were not served with the verifying affidavit within a reasonable time but rather that they were not served with it within the period specified for the filing of the same, their complaint is without merit and it is rejected.

As regards whether Emile Viola is competent to swear an affidavit on behalf of the Plaintiff corporation I find that he is. Order III of the Civil Procedure Rules does not define who an officer of the corporation is. The Companies Act, Chapter 486, defines an officer of a company in section 2 as including a manager. Although that definition is for the purposes of that Act, I would adopt it here. As the deponent is a sales manager, he is obviously an officer of the corporation and accordingly a recognized agent within the contemplation of Order 111, rule 2(*c*).

As regards whether the affidavit is taken before a notary public, there is no specific statute in Kenya or Rules of Court dealing with the formalities and admissibility in court of affidavits taken abroad. However section 88 of the Evidence Act, Chapter 80 of the Laws of Kenya provides that documents which would be admissible in the English Courts of Justice are admissible in Kenyan Courts without proof of the seal or stamp or signature authenticating it or of the judicial or official character claimed by the person by whom it purports to be signed. In England by virtue of Order XLI, rule 12 of the Rules of the Supreme Court, affidavits taken in commonwealth countries are admissible in evidence without proof of the stamp and seal or the official position of the person taking the affidavit. It accordingly follows that the same position obtains in Kenya. As there is no such presumption in favour of documents made

outside the commonwealth, it follows that the affidavit in the instant case which was taken in Napoli, Italy, has to be proved by affidavit or otherwise to have been taken by a notary public in Italy and that the signature and seal of attestation affixed thereto was that of such notary public. There is no such proof here. It may very well be that the certificates in Italian and the other writing in Italian was meant to do that. However, as there was no translation of the same into English which is the official language of the High Court this Court cannot and will not know the position. In the result I find the verifying affidavit of Emile Viola inadmissible in evidence and I would order the same struck out of the record.

As regards the competence of the Defendant's application, the Plaintiff's submission that it is brought under the wrong rules of Order VII is unassailable. However I regard the goof as a procedural lapse which does not go to jurisdiction or prejudice the adverse party in any material respect. I would not therefore have been inclined to dismiss the application on that ground. With regard to the endorsement required by Order L, rule 15, the Plaintiff has not claimed to have been prejudiced thereby. And it is not evident that any prejudice has actually been caused as the application was served without any hearing date and accordingly the issue of the Plaintiff appearing at the time and place mentioned therein did not arise. In the premises, I find the omission of the endorsement from the foot of the summons to be also an irregularity which the court could in the circumstances of this case excuse.

The last matter of consideration is whether having ordered the verifying affidavit stuck out, the suit should also be struck out. Subrule (3) of rule 1 of Order VII reads: "The court may of its own motion or on the application of the Defendant order to be struck out any plaint which does not comply with subrule (2) of this rule".

To my mind, the use of the word may shows the court has discretion in the matter. In exercising such discretion the court should be alive to the principle of justice that procedural lapses, omissions and irregularities unless they go to the jurisdiction of the court or prejudice the adversary in a fundamental respect which cannot be atoned for by an award of costs are not to be taken as nullifying the proceedings affected. In the instant matter I am of the opinion that the filing of the defective verifying affidavit is such a procedural lapse. I am aware that this is the second such lapse but I am nonetheless prepared to grant the Plaintiff the last chance to redeem its cases on terms I consider just to the Defendant.

In the result, I order the verifying affidavit of Emile Viola purportedly sworn in Napoli, Italy, on 5 April 2001 struck out with liberty to the Plaintiff to file a fresh and compliant affidavit within twenty-one days of today. The Defendant is awarded the costs of this application.

For the Plaintiff:

Information not available

For the Defendant:

Information not available

Patel v Bank of Baroda
[2001] 1 EA 189 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 14 December 2001

Case Number:	80/00
Before:	Kwach, Omolo and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Foreign judgments – Registration of judgments – Application to set aside – Factors to be considered in deciding application – Whether enforcing a foreign judgment allegedly contrary to a repealed statute would be manifestly against public policy – Section 10 – Foreign Judgments (Reciprocal Enforcement) Act.

Editor's Summary

On 19 September 1997, the Plaintiff bank filed an *ex parte* application under the Foreign Judgments (Reciprocal Enforcement) Act, seeking orders to enforce a judgment granted in its favour against the Defendant by a court of the Queen's Bench Division in England. The Plaintiff's claim was based on guarantees given to the bank by the Defendant ("Patel"), who since 1979 had been a Kenyan resident, on behalf of an English company. The summons was heard and the orders sought were granted on 14 November 1997. Following the service of the orders upon him, Patel filed an application seeking the registration of the English judgment to be set aside. The ground upon which the application was based was that the granting of the orders would be contrary to Kenyan public policy as the guarantees had been made at a time when the Exchange Control Act (Chapter 113) (since repealed) was still in force. The application was refused. Patel now appealed to the Court of Appeal.

Held – There was no evidence before the court to suggest that the judgment in the Queen's Bench Division had been otherwise than validly entered against the Appellant. Public policy was ordinarily manifested in the various Acts passed by Parliament from time to time and the policy aim behind the Exchange Control Act had been to preserve scarce foreign exchange by requiring the Minister's consent for payments outside the scheduled territories. This Act had been repealed in December 1995 and it was therefore incorrect for the Appellant to claim that he would still require the Minister's consent merely because the guarantees had been made before the Act's repeal. The court would give full faith and credit to the judgments of English courts in the expectation that they too would give full faith and credit to a judgment of a Kenyan court; *SA Consortium General Textiles v Sun Sand Agencies Ltd* [1978] 2 All ER 339 followed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

SA Consortium General Textiles v Sun Sand Agencies Ltd [1978] 2 All ER 339 – **F**

Judgment

KWACH, OMOLO and KEIWUA JJA: On 7 January 1997 in the Queen's Bench Division of the High Court of Justice in England and in that court's civil case number 1995 B Number 338 it was then and there adjudged that Narendra Kumar Jashbai Patel, the Appellant before us, was bound to pay to Bank of Baroda, the Respondent, the sum of £3 536 485-55 which had been claimed by the Respondent in its Writ of Summons, together with the sum of £607 309-87 interest from the date of issue of the said Writ of Summons to the date of judgment, making a total of £4 143 798-42 and £324-00 as costs.

The Appellant is and has, since the end of 1979, been resident in Kisumu town in the Republic of Kenya. But the Appellant tells us that between 1975 and 1979, he resided in the United Kingdom and while he was so resident, he was a shareholder and a co-director with his brother-in-law, one Mukesh Patel, in a company known only as "Eurodrugs". When he left the United Kingdom in 1979, he sold all his assets there, except for his shares in Eurodrugs. In May 1981, he resigned as a director of Eurodrugs, but as Mukesh refused to purchase his shares in Eurodrugs, he retained them. In 1987 and again in 1988, he signed a guarantee in favour of the Respondent who was apparently lending money to Eurodrugs; his understanding was, that each of the two guarantees he signed was to be limited to £100 000. Obviously Eurodrugs did not repay the money advanced to it by the Respondent and the claim against the Appellant in the High Court of Justice in England was clearly to enforce the guarantee which the Appellant had signed.

The Appellant instructed solicitors, M/s Baker and McKenzie of London to appear for him in the action in England and they did file on behalf of the Appellant a very detailed defence consisting of some sixteen pages. For one reason or the other, the Appellant's solicitors withdrew from his defence and when judgment was entered against the Appellant on 7 January 1997, neither the solicitors nor the Appellant himself was present. But the Appellant was clearly aware of the fact that an application for summary judgment had been lodged in the action in England; he may or may not have been aware of the exact date when that application was to be heard, but on the material he has placed before us, we are far from being convinced that he was not to blame for his non-appearance or non-representation on the date when judgment was entered against him.

In any case, as the Appellant himself told us through his counsel, Mr *Nowrojee*, he has not taken any steps whatsoever to have the High Court of Justice in England set aside its judgment. We must, accordingly, presume that the judgment was validly entered against him.

The Appellant, as we said earlier, is resident in Kenya. He told us he signed the guarantees here in Kenya and he says in his affidavit before us that before he left the United Kingdom in 1979, he sold all his assets there, except of course the shares in Eurodrugs. It appears to us that for all practical purposes, the judgment the Respondent obtained against the Appellant is worthless unless it can be enforced against the Appellant here in Kenya.

So, on 19 September 1997, M/s Kaplan and Stratton Advocates of Nairobi filed on behalf of the Respondent an *ex parte* originating summons under sections 5, 6, 7 and 8 of the Foreign Judgments (Reciprocal Enforcement) Act (Chapter 43) Laws of Kenya and under rules 2(1), 3, 4, and 5 of the Rules

made under that Act. By the said summons, the Appellant asked the High Court of Kenya at Nairobi for orders:

> "1 That judgment entered in favour of the Plaintiff [respondent] and as against the Defendant [Appellant] by the High Court of Justice, Queen's Bench Division in are action No 1995 B Number 338 on 7 January 1997 in the sum of 3 536 485-55 together with £607 309-87 being interest up to and including 7 January 1997, and £324-00 the costs, be registered in this Honourable Court.
>
> 2 That leave be granted to the Plaintiff to enforce the said judgment against the Defendant.
>
> 3 That notice of registration of the judgment be served on the Defendant.
>
> 4 That costs of this application be awarded to the Plaintiff".

The summons was heard by Githinji J on 14 November 1997 and the Learned Judge granted all the orders sought. He ordered that the judgment sum be converted into Kenyan currency at the rate of 1 Stg £ to KShs 106,8672 and that the judgment could be executed after the expiry of 14 days from the date the judgment debtor was served with notice of the registration of the judgment.

The Appellant was thereafter served with the notice of registration. It then became his turn to move to the superior court. He did so by way of a summons in chambers dated and lodged in court on 16 January 1998. In the summons, the Appellant asked the superior court for an order that: "The registration of the judgment of the High Court of Justice, Queen's Bench Division, in London, United Kingdom in its civil action number 1995 B Number 358 dated 7 January 1997 in the case be set aside".

The Appellant was entitled to bring this kind of summons under sections 4, 5 and 10 of the Foreign Judgments (Reciprocal Enforcement) Act and under rule 6(1) of the Rules made thereunder. The summons was supported by a lengthy affidavit sworn by the Appellant and having narrated the origin of the litigation between him and the Respondent, the Appellant deponed as follows in the subsequent paragraphs:

> "12 I am advised by my advocates, which advice I believe, that in these circumstances, the judgment entered in the United Kingdom is not conclusive in Kenya as it was not given on the merits of the case.
>
> 13 I am also advised by my advocates, which I verily believe to be true, that the said judgment is unenforceable because it sustains a claim founded on a breach of law in force in Kenya at the time of the making of the 1987 guarantee and at the time the writ was issued and served.
>
> 14 I am advised by my advocates, which I verily believe to be true, that the guarantee and any payment of any monies under the said guarantee or on a judgment obtained on the said guarantee was illegal without the permission or consent of the Minister of Finance having been obtained prior to the making of the said guarantee by reason of the provisions of the Exchange Control Act (Chapter 113) Laws of Kenya (now repealed), which was in force at the time of the making of the guarantee.
>
> 15 The said Act and its provisions were also in force at the time proceedings were instituted in respect of the 1987 guarantee, in which judgment has been entered against me and is the subject of this application.
>
> 16 I am further advised by my advocates, which I verily believe to be true, that the said Act prohibited the making of a guarantee by a person resident in Kenya to pay monies to a non-resident of Kenya without the permission or consent of the Minister of Finance.

17 I am also advised by my advocates, which I verily believe to be true, that it was an implied condition of the 1987 guarantee that the permission or consent of the Minister of Finance would be obtained at the time of the making of the 1987 guarantee for the performance of my obligations under it, if any.

18 I am further advised by my advocates, which I verily believe to be true, that the said guarantee was illegal and the enforcement by the English Court of the said guarantee is in violation of the municipal laws of another affected country, which is in conformity with the common law.

19 Accordingly, the enforcement of the English judgment is in violation of our own Kenyan law and its registration ought to be set aside.

20 The said guarantee itself, its enforcement in the English action, and its enforcement within the Kenyan jurisdiction in violation of Kenya's own statutes is manifestly contrary to public policy".

Why was the Appellant making these fantastic claims? According to the Appellant, the claims are based, first on the provisions of the Foreign Judgments (Reciprocal Enforcement) Act and under section 10 of that Act, the registration of a foreign judgment obtained pursuant to the provisions of section 5 and 6 of the Act, can be set aside on various grounds, one such ground being that "the enforcement of the judgment would be manifestly contrary to public policy" – see section 10(2)(*n*).

What constitutes public policy is, ordinarily, manifested in various Acts which Parliament passes from time to time and up to the end of 1995, Kenya had in its statute book the Exchange Control Act, which was Chapter 113 of the Laws of Kenya. In 1995, it was swept aside by the tide of liberalisation and since that time, no one now requires the permission or consent of the Minister of Finance to do as one pleases with one's money. For that small "mercy" or "blessing" we suppose Kenyans must be grateful to the World Bank and the International Monetary Fund. But when Chapter 113 was in force, one needed the Minister's permission to do certain things. The Appellant pointed out to us section 7, 8 and 9 of the repealed Act and to a certain extent section 10 as well. Section 7, 8 and 9 were in Part III of the Act and that part was headed "Payments". The sections were as follows:

"7 Except with the permission of the Minister, no person shall do any of the following things in Kenya:

(*a*) make any payment to or for the credit of a person resident outside the scheduled territories; or

(*b*) make any payment to or for the credit of a person resident in the scheduled territories by order or on behalf of a person resident outside the scheduled territories;

(*c*) place any sum to the credit of any person resident outside the scheduled territories:

Provided that where a person resident outside the scheduled territories has paid a sum in or towards the satisfaction of a debt due from him, paragraph (*c*) shall not prohibit the acknowledgement or recording of the payment.

8 (1) Except with the permission of the Minister, no person resident in Kenya shall, subject to this section, make any payment outside Kenya to or for the credit of a person resident outside the scheduled territories.

(2) Nothing in this section shall prohibit the doing of anything otherwise lawful by, any person with any foreign currency obtained by him in accordance with part II or retained by him in pursuance of a consent of the Minister.

9 (1) Except with the permission of the Minister, no person shall in Kenya, and no person resident in Kenya shall outside Kenya, make any payment to or for the credit of a person resident in the scheduled territories as consideration for or in association with:

the receipt by any person of a payment made outside the scheduled territories, or the acquisition by any person of property which is outside the scheduled territories; or

the transfer to any person, or the creation in favour of any person of a right (whether present or future and whether vested or contingent) to receive a payment outside the scheduled territories or to acquire property which is outside the scheduled territories.

(2) Nothing in this section shall prohibit the making of any payment in accordance with the terms of a permission, or consent granted under this Act".

One thing which is patently clear from the provisions of sections 7, 8 and 9 is that they were primarily concerned with making payments of money outside the scheduled territories. That would be in conformity with the purpose of any exchange control regime which, according to the repealed Kenyan Act, was "An Act of Parliament to confer powers, and impose duties and restrictions, in relation to gold, currency, payments, securities, debts and the imports, export, transfer and settlement of property and for purposes connected therewith".

The provisions of sections 7, 8 and 9 imposed restrictions on payments outside the scheduled territories, obviously with the aim of preserving Kenya's scarce foreign exchange. Securities were dealt with under Part IV of the Act and a casual glance at any of the sections starting with section 10 would show to anyone that the securities dealt with in that part were such securities as were registrable in Kenya. The Appellant signed the contract of guarantee in Kenya but it was never alleged that the document of guarantee was to be registered in Kenya.

It appears from the paragraphs in the Appellant's affidavit which we have already set out in this judgment that the Appellant was contending that the judgment, the registration of which he sought to be set aside, obliged him to pay money outside a scheduled territory without the consent of the Minister and hence the contention that the enforcement of the judgment in Kenya would be manifestly contrary to public policy. With respect, nothing could be further from the truth. It is true the Appellant would be required to make payment of money outside a scheduled territory, but as his learned counsel conceded, the repealed Act did not wholly prohibit the payment of such money; what was absolutely prohibited was the payment outside the scheduled territories without the permission of the Minister. Leaving aside for the moment the repeal of the Act, there was no averment at all by the Appellant that he had sought the permission of the Minister and that permission had been refused. Nor did Mr *Nowrojee* contend before us that it was, in the first place, illegal for the Appellant to enter into the contract of guarantee; nothing in the repealed Act prohibited the mere entering into the contract, that is, the Appellant did not require the permission of the Minister to sign the contract. In these circumstances, how can anyone say that the enforcement of the judgment would be in violation of the repealed

Act, even if the Act was still in force? Had the Appellant placed before the superior court evidence that he had sought permission of the Minister to pay but that such permission had been refused, the position would have been different.

But the truth of the matter is that all these considerations are really academic now. The Exchange Control (Repeal) Act, 1995, that is, Act 11 of 1995 which repealed the Exchange Control Act (Chapter 113) came into force on 27 December 1995. The judgment of the High Court of Justice in England was passed on 7 January 1997, some two years after the repeal of the Act and that judgment was registered in Kenya on 19 November 1997. Surely it cannot be right for the Appellant to say that because he had entered into the contract of guarantee when the Act was in force, if he is to make payment even long after the Act has been repealed he still requires the permission of the Minister! We suspect that if he had applied to the Minister for permission to pay, the short answer he would get from the Minister would be: "Since December 1995 you do not need any permission from me to pay".

Next Mr *Nowrojee* told us that the judgment of the English court ought not to have been registered in Kenya because that court, before it entered the judgment against the Appellant, did not consider the issue that the enforcement of their judgment would be manifestly contrary to public policy in Kenya. The short answer to that contention must be that there was absolutely no material placed before the English court to warrant such a consideration. It was not pleaded in the detailed defence filed by the Appellant and it was not raised before that court in any other way. There was no way that court could have known about that issue, even assuming that they would have been bound to consider it.

At the end of it all, we think the Appellant is merely hanging onto technicalities in order to avoid his just obligations arising from the contract of guarantee. We must tell the Appellant, as Lord Denning told SA Consortium General Textiles in the case of *SA Consortium General Textiles v Sun Sand Agencies Ltd* [1978] 2 All ER 339 at 355C–D:

> "[T]hen, when the French company quite properly sought to register that judgment in England, the English company took all sorts of objections, technical objections as I see them, against the enforcement of it. I do not think we should uphold these technical objections. We should give full faith and credit to the judgment of the French court just as we would expect them to give full faith and credit to a judgment of an English court …".

Githinji J had no difficulty in registering the judgment of the English court. A Commissioner of Assize (Ms Gacheche) refused to set aside the registration of the judgment. While we do not necessarily agree with her reasons for refusing to set aside the registration of the judgment, we are satisfied she in the end came to the correct conclusion. This appeal, accordingly, fails and our final order on it shall be that it be and is hereby dismissed with costs to the Respondent.

For the Appellant:

Information not available

For the Respondent:

Information not available

Re Global Tours and Travels Ltd

[2001] 1 EA 195 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of Ruling:	8 May 2001
Case Number:	43/00

Before: Ringera J

Sourced by: LawAfrica

Summarised by: W Amoko

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[1] Company law – Winding-up proceedings – Creditor's petition – Disputed debt – Creditor for purposes of winding-up proceedings – Test for when a debt is bona fide *disputed on substantial grounds.*

[2] Company law – Winding-up proceedings – Creditor's petition – Disputed debt – Creditor for purposes of winding up proceedings – Whether an alleged creditor whose debt is bona fide *disputed on substantial grounds has standing to present a winding-up petition.*

[3] Company law – Winding-up proceedings – Creditor's petition – Disputed debt – Creditor for purposes of winding-up proceedings – Whether the fact that an associated company has a claim against a creditor constitutes a good ground for disputing a debt bona fide.

Editor's Summary

Five Continents Travel Limited filed a petition for winding-up against Global Tours and Travels Limited on the ground that it was indebted to it in the amount of KShs 1 099 399 and had failed to comply with a 21-day statutory demand. Global Tours and Travels Limited applied to have the petition dismissed on grounds, *inter alia*, that it was an abuse of the process of the court; that the winding-up process was being used for collecting a disputed debt; that Five Continents Travel Limited had no *locus standi* to present the petition; that the presentation of the petition was actuated by malice, and that it had not been proved that Global Tours and Travels Limited was unable to pay its debts.

Held – Where an alleged debt is disputed on substantial grounds, or *bona fide*, a claimant is not a creditor and does not have the *locus standi* to present a winding up petition. A substantial dispute is not merely to be inferred from the affirmation of one party that there is a dispute and an affirmation to the contrary by the other party. *Mann and another v Golstein and another* [1968] 2 All ER 769, *Re Lympne Investments Ltd* [1972] 2 All ER 385 and *Kenya Power and Lighting Co Ltd v Matic General Contractors Ltd* [2000] LLR 720 (CCK) adopted.

In the instant case Global Tours and Travels Limited's ground for dispute that Five Continents Travel Limited owed its sister company an amount in excess of the amount due from it, which amount by a tripartite agreement was set off against Global Tours and Travels Limited's indebtedness to Five Continents Travel Limied was not well-founded as the debt had not been assigned to Global Tours and Travels Limited as per section 130 of the Indian Transfer of Property Act. Accordingly Five Continents Travel Limited had *locus standi* to present the petition.

Application dismissed.

Cases referred to in ruling:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kenya Power and Lighting Co Ltd v Matic General Contractors Ltd [2000] LLR 720 (CCK) – **A**

United Kingdom

Betaman Television Ltd v Coleridge Finance Co Ltd

Cadiz Waterworks Co v Barnett [1874] LR XIX EQ

Mann and another v Goldstein and another [1968] 2 All ER 769 – **A**

Re Lympne Investments Ltd [1972] All ER 385 – **A**

Ruling

Ringera J: This is an application to strike out a winding-up petition presented to this Court on 8 September 2000. In the petition, Five Continents Travel Limited (whom I shall hereafter refer to as "the petitioner") seeks a winding-up order against Global Tours and Travels Limited (whom I shall hereafter refer to as "the Respondent"). The petition is grounded on the allegation that the Respondent is indebted to the petitioner in the sum of KShs 1 099 399 being the amount due for ticket sales, particulars of which are said to be within the knowledge of the Respondent, and the Respondent has neglected to pay or satisfy the said sum more than 21 days since demand of the same was made by the petitioner. It is said that the Respondent is insolvent and unable to pay its debts. The Respondent wants the petition struck out on the grounds:

(i) that the same is an abuse of the process of the Court,

(ii) a winding cause cannot be used for collecting a disputed debt,

(iii) the petitioner has no *locus standi* to present the petition,

(iv) the petitioner has maliciously, presented the petition after having known clearly that the Respondent's indebtedness is *bona fide* disputed,

(v) the petition is brought up in bad faith and is calculated to embarrass the Respondent,

(vi) the petitioner has not shown that the Respondent is indebted to it and has failed to prove its debt by affidavit, and

(vii) the petitioner has not proved that the Respondent is unable to pay its debts.

After listening to the Respondent's argument it is apparent that the substance of its case is that the Respondent's indebtedness to the petitioner on which the petition is grounded is and has been disputed and accordingly a winding-up petition is the wrong process for endeavouring to recover the same. The petitioner's resistance to the application on the other hand is that the Respondent's indebtedness to the petitioner is not and cannot properly be disputed. Before considering the matter further, it is convenient to point out that one ground on which a company can be wound up is inability to pay its debts.

Section 220 of the Companies Act, Chapter 486 of the Laws of Kenya defines a company's inability to pay its debts as follows:

> "A company shall be deemed to be unable to pay it debts:
>
> (*a*) if a creditor, by assignment or otherwise, to whom a company is indebted in a sum exceeding one thousand shillings then due has served on the company, by leaving it at the registered office of the company, a demand under his hand requiring the company to pay the sum so due and the company has for three weeks thereafter neglected to pay the sum or to secure or compound it to the reasonable satisfaction of the creditor; or
>
> (*b*) if execution or other process issued on a judgment, decree or order of any court in favour of a creditor of the company is returned unsatisfied in the whole or in part; or
>
> (*c*) if it is proved to the satisfaction of the court that the company is unable to pay its debts, and in determining whether a company is unable to pay its debts the court shall take into account the contingent and prospective liabilities of the Company".

The Respondent's counsel argues that the petitioner has no *locus standi* to present the petitioner as it is not a creditor within the meaning of paragraph (*a*) above. According to him, one can only be a proper creditor if either there is an express and unequivocal admission of indebtedness by the company or there is a decree which has not been appealed from and which has proved to be incapable of being executed against the company. He relies on the cases of *Mann and another v Goldstein and another* [1968] 2 All ER 769, *Re Lympne Investments Ltd* [1972] All ER 385 *and Kenya Power and Lighting Co Ltd v Matic General Contractors Ltd* [2000] LLR 720 (CCK). Having read those cases, I am afraid they don't support the proposition that one can only be a creditor with competence to lodge a petition if there is an admitted debt or unsatisfied decree. In *Mann v Goldstein*, Ungoed-Thomas J after observing that the requirement of one being a creditor is a precondition for presenting a petition whereas the requirement of insolvency is a precondition for the winding-up order itself, remarked at 773:

> "When it is clearly established that there is no debt, it seems to me to follow that there is no creditor, that the person claiming to be such has no *locus standi* and that his petition is bound to fail. Once that becomes clear, the pursuit of the petition would be an abuse of the process of the Court … When the debt is disputed by the Company on some substantial ground (and not just on some ground which is frivolous or without substance and which the court should, therefore, ignore) and the company is solvent, the court will restrain the prosecution of a petition to wind up the Company".

In *Re Lympne Investments Ltd* Megarry J, a most respected Chancery Judge, observed at 389:

> "*Mann v Goldstein* cited with approval in the New Zealand Court of Appeal in *Betaman Television Ltd v Coleridge Finance Co Ltd* provides authority for saying that when a petition is based on a debt which is disputed on substantial grounds, the petitioner is not a creditor within section 224(1) of the Companies Act, 1948 who has the *locus standi* requisite for the presentation of the petition, even if the company is in fact solvent. Again the existence of a dispute on substantial grounds as to the existence of any debt defeats the contention that [a company] has within the meaning of section 223(*a*) neglected to pay the sum required by the statutory notice".

I should state here that the 1948 English Companies Act is a statute *in pari materia* with Kenya's Companies Act and accordingly, judicial interpretation of the former is highly persuasive. In *Kenya Power and Lighting Co Ltd v Matic General Contractors Ltd* [2000] LLR 720 (CCK) Mbaluto J restrained the Defendant

from presenting to court or advertising a winding-up process against the Plaintiff in respect of a claim for KShs 31 449 512-37 on the ground, *inter alia*, that there was a *bona fide* dispute as to the debt.

My understanding of these authorities is that where an alleged debt is disputed on substantial grounds or *bona fide*, the claimant thereof is not a creditor and does not therefore have *locus standi* to present a winding-up petition. And the words "disputed on substantial grounds" and a "*bona fide* dispute" appear to be used interchangeably in the authorities. To support that, the following is pertinent. In *Halsbury's Laws of England* (4 ed) Volume 7(3) the learned editors distill the law as follows: "A winding-up order may not be made on a debt which is (disputed in good faith by the Company; the court must see that the dispute is based on a substantial ground … If there is a genuine dispute, the petition may be dismissed or stayed".

In the explanatory notes to this passage, it is pointed out that Harman J in the case of ex p *fin* soft *Holding SA* [1991] BCLC 737 held that "the essence of the test was whether the dispute was substantial, the good faith or bad faith of the company in putting forward the defence being irrelevant". The editors then add, "it is insufficient for a 'defence' to be honestly put forward if on fact there is no substance in it".

In short, I think the authorities show that in determining whether an alleged creditor has *locus standi* to present a petition, the Court must answer the question whether the alleged debt is disputed on a substantial ground. If it is, he is not a creditor within the meaning of the law. If it is not, he is a creditor. The alleged debt need not be clearly and unequally admitted by the company. And a substantial dispute is not merely to be inferred from the affirmation of one party that there is a dispute and an affirmation to the contrary by the other party. Taking that view of the matter, I ask myself whether the alleged debt here is disputed on a substantial ground. From the Respondent's affidavits on record, the substance of the Respondent's "defence" to the demand by the petitioner is that the petitioner is indebted to Global Travels Limited, a sister company of the Respondent company, in the sum of KShs 1 567 759 – a sum which is higher than what the petitioner is owed by the Respondent herein – and there was a tripartite agreement between the petitioner on the one hand and the Respondent and the Respondent's sister company on the other hand that the Respondent would purchase tickets from the petitioner to offset the cost thereof against the money the petitioner owed the sister company. In other words, Respondent is saying it cannot pay the petitioner's debt because the petitioner owes the Respondent's sister company much more money and there was an agreement to set off the indebtedness. The petitioner's advocate submits that the Respondent and its sister company are separate and distinct entities in law and that an assignment of an actionable claim can only be validly effected by a written instrument as per section 130 of the Indian Transfer of Property Act as applied to Kenya. In the absence of such an assignment, the Respondent cannot take advantage of its sister company's debt or claim against the petitioner. I agree with that submission. That being so, I find that the petitioner's debt is being disputed on a misconceived ground which is frivolous in law. There is therefore no substantial dispute on the Respondent's indebtedness to the petitioner. That being so, I find the petitioner is a creditor within the meaning of section 220(*a*) of the Companies Act and has *locus standi* to present the petition. The above finding is sufficient for rejecting grounds (i), (ii), (iv)

and (vi) in support of the application herein. As regards ground (vii), I am of the view that the same is advanced prematurely as it is only relevant as a precondition for the making of the winding-up order itself.

Finally, let me state that if I have not commented on the other two cases relied upon by counsel for the Respondent in support of his case, namely *Cadiz Waterworks Co v Barnett* [1874] LR XIX EQ 182 and *In Re Gold Hill Mines* [1883] XXIII CH D 210, it is not because I have not read them. I have. It is only because I thought their jurisprudence was well covered in the more recent English cases which I have analysed herein.

In the result, I dismiss the Respondent's application with costs to the petitioner. The petition should proceed to hearing in the usual manner.

For the Applicant:

Information not available

For the Respondent:

Information not available

Republic v Communications Commission of Kenya
[2001] 1 EA 199 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	4 May 2001
Case Number:	175/00
Before:	Omolo, Tunoi and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Judicial review – Application for leave – Mode of application – Whether application for leave should be made by chamber summons, originating notice of motion or originating summons – Order LIII, rule 1(2) – Civil Procedure Rules.

[2] Judicial review – Nature of judicial review proceedings – Whether there are civil proceedings – Applicability of other statutory provisions to judicial review proceedings – Whether proceedings governed by notice requirement of section 109 of Kenya Posts and Telecommunications Act – Sections 8 and 9 – Law Reform Act.

[3] Practice and procedure – Court of Appeal – Notice of affirm – When a notice of affirm can be filed – Whether proper to file notice to affirm decision on ground which High Court had considered and rejected – Rule 92 – Court of Appeal Rules.

Editor's Summary

Pursuant to leave granted to it by the High Court (Mbogholi J), East African Televisions Network Ltd commenced judicial review proceedings against CCK for orders to quash the decision cancelling

frequencies that had earlier been granted to it by the Kenya Posts and Telecommunications Corporation (the predecessor organisation to, *inter alia*, CCK) and *mandamus* to restore the said frequencies. In response CCK filed grounds of opposition and a chamber summons under Order 6, rule 13(1)(*b*) to strike out East African Televisions Network's application on grounds, *inter alia*, (i) that the mandatory 30-day notice required by section 109 of the Kenya Posts and Telecommunications Act had not been given, (ii) of want of authority and/or capacity to commence proceedings, and (iii) of defiance of a then

extant court order. The parties made oral submissions and also written submissions before Githinji J who heard the chambers summons. In its written submissions, CCK also raised the issue of the competence of the proceedings as they had been instituted by way of chamber summons. The striking out application was allowed on the sole ground that the 30-day notice required by statute had not been given all the other grounds were rejected. East African Televisions Network Ltd appealed and CCK filed a notice of grounds of affirming the decision of the Judge.

Held – On the hearing of an application, a party is restricted to arguing it under the rule(s) invoked and on the grounds specified. It is not open to a party to travel outside such grounds and the Judge was right to reject the issue that the proceedings were incompetent they had been instituted by chamber summons, because as that issue had not been raised by CCK in the striking out application.

As the Judge had rejected the grounds given in CCK's notice of grounds to affirm the decision, in absence of an appeal or cross-appeal against such rejection, the Court of Appeal had no jurisdiction to consider the said grounds.

Though Order LIII, rule 1 of the Civil Procedure Rules is silent on the issue, an application for leave to commence judicial review proceedings should be made by chamber summons as the application must be made to a judge in chambers, and the leave application cannot be made by motion, originating motion or originating summons, as that would be inconsistent with the requirement of e*x parte* applications in chambers. *Boyes v Gathure* [1969] EA and *Masaba v Republic* [1967] EA 488 distinguished.

There is no distinction for purposes of section 109 of the Act between the Kenya Posts and Telecommunications Corporation and its managing director, and therefore Githinji J was right in rejecting East African Televisions Network's argument that it is only to the corporation itself but not its managing director that the section applied, as in either case the Kenya Posts and Telecommunications Corporation would be bound by the court's order.

On their own terms the provisions of sections 8 and 9 of the Law Reform Act which vest in the High Court of Kenya the power to issue orders of *certiorari*, prohibition and *mandamus*, are not subject to any other Act of Parliament nor does section 109 provide that it shall apply notwithstanding the provisions of any other law. The Judge was wrong in concluding that the section applied to judicial review proceedings and in striking out the application for want of notice.

Appeal allowed.

Per curiam – The provisions of Order L, rule 16 of the Civil Procedure Rules do not apply to proceedings instituted under Order LIII.

As East African Televisions Network Ltd had obtained leave to institute the proceedings, it plainly had an arguable case and thus such proceedings could not be scandalous, frivolous and vexatious as alleged by CCK. The provisions of Order VI, rule 13 of the Civil Procedure Act do not apply. *In the Matter of an Application by Samuel M W'Njuna and others and In the Matter of the Minister for Agriculture and in the Matter of the Tea Act and the Tea (Elections) Regulations 2000* (unreported) civil appeal number 144 of 2000 followed.

Cases referred to in judgment:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Boyes v Gathure [1969] EA 385 – **D**

Masaba v Republic [1967] EA 488 – **D**

Njuguna and others v Minister for Agriculture [2000] 1 EA (CAK) – **F**

Judgment

OMOLO, TUNOI and KEIWUA JJA: The appeal before us is brought by East African Televisions Network Ltd, a limited liability company which was incorporated in Kenya on 7 August 1996. One of its directors at the time or times relevant to the litigation was one Sam Kruschev Shollei. There appears to have been other directors but as those are disputed matters, we need not go into them in this appeal. We shall hereinafter refer to East Africa Televisions Network Limited simply as "the Appellant". We also need to state at the outset that the appeal is of an interlocutory nature and the matters which were raised before the superior court have not been determined on merit. Accordingly, the less we say on those matters the better it will be for all the parties concerned.

The appeal arises in this way. On the 9 August 1996, the Minister for Information and Broadcasting granted to the Appellant radio and television licences to enable the Appellant to engage itself in radio and television broadcasting. Consequent upon the grant of the licenses by the Minister, the then Kenya Posts and Telecommunications Corporation (KP and TC), wrote another letter to the Appellant on the 16 June 1997, and the purpose of that letter was to "release" to the Appellant radio and television frequencies to enable the Appellant make use of the licences granted to it by the Minister. Kenya Posts and Telecommunications Corporation was the body then authorised to allocate radio and television frequencies to persons interested in such undertakings. Kenya Posts and Telecommunications Corporation has since been succeeded by the Communications Commission of Kenya (CCK) which was created by the Kenya Communications Act, that is, Act 2 of 1998. By Legal Notice Number 155 of 1999, the assets and liabilities of the Kenya Posts and Telecommunications Corporation were taken over and vested in the CCK which is now the Respondent in the appeal before us. In granting or "releasing" frequencies Kenya Posts and Telecommunications Corporation was acting pursuant to powers conferred on it by the then Kenya, Posts and Telecommunications Corporation Act. Matters rested there until 15 March 1998, when the Minister for Information and Broadcasting once again wrote a letter to the Appellant informing them that the government had cancelled the licences which it had granted to the Appellant. A copy of the Minister's letter was sent to Kenya Posts and Telecommunications Corporation, obviously to indicate to Kenya Posts and Telecommunications Corporation that in the absence of licences, the frequencies already released to the Appellant were no longer of any use to the Appellant. The Appellant, faced with that new situation, wrote to Kenya Posts and Telecommunications Corporation on 20 March 1998, asking Kenya Posts and Telecommunications Corporation not to reassign the frequencies already allocated to it as the Appellant was seeking to resolve the matter with the

Minister. This, however, was all in vain for by its letter to the Appellant dated 15 April 1998, Kenya Posts and Telecommunications Corporation informed the Appellant that it (Kenya Posts and Telecommunications Corporation) was withdrawing the frequencies with immediate effect. We only need to add that the Appellant had paid to Kenya Posts and Telecommunications Corporation a total of Shs 8 727 198 as fees for the allotted frequencies.

On 22 April 1998, the Appellant moved to the superior court and relying on Order LIII, rule 1 of the Civil Procedure Rules the Appellant filed a chamber summons, *ex parte*, seeking leave to apply for judicial review by way of orders of *certiorari* and *mandamus* directed to the managing director of Kenya Posts and Telecommunications Corporation and it was prayed:

> "(a) By way of certiorari to remove into the court and quash the decision of the Managing Director, Kenya Posts and Telecommunications Corporation contained his letter of 15th April, 1998 cancelling and withdrawing, the TV and Radio frequencies allocated to the Applicant.
>
> (b) By way of *mandamus* to restore the TV and Radio frequencies withdrawn on 15 April 1998".

The chamber summons was heard by Mbogholi J on the same 22 April 1998 and the Judge made the following order:

> "Order: Leave granted as prayed in chamber summons of 22 April 1998. As for stay I believe the issue should be urged at the main trial. I therefore decline to grant stay. Substantiative application shall be filed within twenty-one days of today. Costs in the cause".

Pursuant to this leave, the motion itself was lodged on 23 April 1998, and the two prayers made in the motion were exactly the same as those which had been made in the chamber summons seeking leave. On 30 April 1998, the managing director of Kenya Posts and Telecommunications Corporation entered an appearance through M/s Kiplagat and Associates and the appearance was accompanied by what was called "Grounds of Opposition". Those grounds were:

> "1. The Application is fatally defective and due preliminary objection will be taken at the earliest opportune moment.
>
> 2. The Applicant's capacity to institute this suit is suspect and in the premises there is no suit on record.
>
> 3. The Applicant has no interest to protect and no interest has been interfered with by the Respondent.
>
> 4. The Honourable Court has no jurisdiction to entertain this suit.
>
> 5. The Applicant has not shown that it would suffer any harm, if the orders sought are not granted and has generally not satisfied the requirements for the grant of the orders sought".

These grounds were obviously filed in opposition to the notice of motion lodged by the Appellant pursuant to the leave granted by Mbogholi J on 22 April 1998. Grounds of opposition were once filed pursuant to the provisions of the then Order L, rule 16. Order L is headed, "Motions and Other Applications" and even if "Grounds of Opposition" were still provided for (they have become obsolete pursuant to Legal Notice Number 36 of 2000) we doubt whether such grounds were permissible under the provisions of Order LIII. A motion filed under Order LIII, rule 3(1) cannot be equated to one filed pursuant to the provisions of Order L; one does not require the leave of the court to

file a motion under Order L; leave of the court is mandatory for a motion under Order LIII, rule 3.

Be that as it may, neither the Appellant's notice of motion filed pursuant to leave, nor the grounds of objection filed thereto by the Kenya Posts and Telecommunications Corporation were ever heard on their merit, by a chamber summons dated 27 May 1998, and purporting to be brought under Order VI, rule 13(1)(*b*) of the Civil Procedure Rules, the Respondent through its counsel Dr *Kiplagat*, asked the superior court for orders:

> "1. That the Notice of Motion herein dated 23 April 1998, be struck out.
>
> 2. That M/s Hamilton, Harrisson and Matthew's Advocates be condemned to pay the costs of the proceedings herein personally".

The grounds upon which this last motion was brought were that:

> "(a) Notice as required under section 109 of the Kenya Posts and Telecommunications Corporation Act has not been issued;
>
> (b) The proceedings have been instituted in the name of a company without a members' resolution or a directors' resolution;
>
> (c) The proceedings to institute the proceedings herein were taken by one director contrary to the provisions of the Companies Act and Common Law provisions applicable;
>
> (d) The proceedings do not fall within the exception that a director may bring a suit in the name of the company if there is a reasonable likelihood that the assets of the company would go to waste in that:
>
> (i) there is no property in a licence;
>
> (ii) there is no property subject to waste herein;
>
> (iii) there would be no irreparable damage if the Notice of Motion herein does not succeed;
>
> (iv) there would be no prejudice to the company if the determination of the reliefs being claimed were not granted now but awaited the resolution of the directors' conflicts currently under litigation.
>
> (e) The proceedings have been instituted in defiance of a subsisting court order".

Order VI, rule 13(1)(*b*) under which Dr *Kiplagat* brought and argued the Respondent's chamber summons seeking the striking out of the Appellant's notice of motion provides as follows:

> "OrderVI, rule 13(1)(*b*)
>
> 13(1) At any stage of the proceedings the court may order to be struck out or amended any pleading on the ground that;
>
> …
>
> (*b*) it is scandalous, frivolous or vexatious; …".

So that despite the fact that Mbogholi J had read the complaints of the Appellant which were set out in its application for leave to institute the proceedings and despite the fact that the Judge had granted leave to the Appellant to bring those proceedings, the Respondent, through its counsel, Dr *Kiplagat*, was still asking the superior court to strike out the proceedings on the ground that they were "scandalous, frivolous or vexatious".

It is amazing that the Appellant's counsel, Mr *Le Pelley*, did not at any stage tell Githinji J who eventually heard the matter, that the proceedings could not have been scandalous, frivolous and vexatious because they (that is, the proceedings) had been instituted pursuant to the order of Mbogholi J dated the 22 April 1998. It is inconceivable that Mbogholi J could have granted leave to the

Appellant if the Appellant's complaints were merely scandalous, frivolous or vexatious, unless of course it be contended that the High Court in such matters grants leave as a matter of course. On the issue of whether to grant or not to grant leave, this Court recently said in the case of *Njuguna and others v Minister for Agriculture*, [2000] 1 EA (CAK):

> "It cannot be denied that leave should be granted, if on the material available, the court considers, without going into the matter in depth, that there is an arguable case for granting leave. The appropriate procedure for challenging such leave subsequently is by an application by the Respondent under the inherent jurisdiction of the court, to the Judge who granted leave to set aside such leave – see *Halsbury's Laws of England*, (4 ed), Volume 1(1) Paragraph 167 at 276".

What we are saying is that we very much doubt whether any of the provisions of Order VI, rule 13(1) of the Civil Procedure Rules is applicable to proceedings instituted under Order LIII of the Rules.

As we have already indicated, Githinji J eventually heard the chamber summons filed by the Respondent seeking the striking out of the proceedings. We agree with him [that is, Githinji J] that the grounds upon which he was asked to strike out the proceedings instituted by the Appellant amounted to two basic complaints, namely:

(i) that by instituting the proceedings the Appellant had not given to the Respondent the notice of one month required under section 109 of the Kenya Posts and Telecommunications Corporation Act; and

(ii) the capacity of one director namely, *Sam Kruschev Shollei* to bring the suit on behalf of the company and without a resolution of the shareholders or directors authorising the institution of the proceedings.

Githinji J heard the matter partly by way of oral submissions made before him, but largely by way of written submissions filed by the parties. Having heard and read the submissions, the Learned Judge rejected all but one of the contentions advanced by Dr *Kiplagat* on behalf of the Respondent. Dr *Kiplagat* had told the Learned Judge in the written submissions that since the application for leave to institute the proceedings were started by way of a chamber summons, there was no proper suit before him which could go to a hearing on the merits; no chamber summons had ever originated any suit, Dr *Kiplagat* told the Judge as he persisted in telling us during the hearing of the appeal. Githinji J's short answer to that contention was that the competency of the Appellant's notice of motion was not raised in the Respondent's chamber summons to strike out the motion. The Learned Judge proceeded thus:

> "Yet Mr *Kenneth Kiplagat* for Applicant has in his written submissions attacked the application on four distinct grounds including;
>
> (i) No competent application for judicial review has been filed. Under this ground the form of the application and the procedure of bringing an application for judicial review are exhaustively discussed. I need not consider this ground because it is an entirely new ground not contained in the body of the application or in the replying affidavit and no permission was sought to argue an additional ground".

It is clear to us, as it was clear to the Learned Judge, that in his written submissions, Dr *Kiplagat* paid very little attention to the grounds upon which he was asking the superior court to strike out the Appellant's notice of motion. We have already set out the prayers made in the chamber summons and the grounds upon which those prayers were sought. There was no allegation, either

in the prayers, or in the grounds that the notice of motion was not properly before the court. Such an assertion had been contained in the "Grounds of Opposition" filed in answer to the notice of motion, but Githinji J was not dealing with the grounds of opposition. Those grounds could only be dealt with if the chamber summons to strike out had not been filed. Having asked the Judge to strike out the motion under a specified rule and on specific grounds, it was not open to the Respondent to abandon those grounds and concentrate on other issues not specified in the application to strike out.

The only reason why we have found it necessary to deal with that point is that Dr *Kiplagat* himself, when faced with the appeal, filed what he called "Notice of Grounds for Affirming the Decision" and the first four grounds in that notice were:

> "1 That no competent application for judicial review has been filed;
>
> 2 That there was no commencement of suit in the superior court in that no summons had been issued and/or served upon the Respondent;
>
> 3 That there was no commencement of the suit in the superior court in that the chamber summons Application dated 22nd April, 1998 was not signed by a judge or an officer appointed by a judge as required by the Civil Procedure Rules;
>
> 4 That a suit in Common Law Jurisprudence can only be instituted by an originating process and the chamber summons dated 22 April 1998 does not constitute an originating process as it ought to have been an originating summons".

There are other grounds in the notice to affirm the decision but they will really illustrate only one simple point, namely, that an application for leave to apply for an order of *certiorari*, prohibition or *mandamus* ought to be instituted by an originating summons and not a chamber summons as has been the practice hitherto.

On this point, we will say this. Notice of grounds for affirming the decision of the superior court is provided for in rule 91 of the Court of Appeal Rules. The rule says:

> "91(1) A Respondent who desires to contend on an appeal that the decision of the superior court should be affirmed on grounds other than or additional to those relied upon by that court shall give notice to that effect specifying the grounds of his contention".

The grounds specified by the Respondent were all placed before Githinji J and as we have said, he in effect rejected all of them as not having been properly placed before him. In our respectful view, grounds which have been specifically rejected by a judge cannot again be raised to support or affirm a decision under rule 91. If a judge has specifically dealt with a ground and rejected it, then such rejection can only be challenged either by way of an appeal or by way of a cross-appeal under rule 90(1) of the Rules of the Court of Appeal. It was, accordingly, not open to the Respondent in the circumstances of this appeal to ask us to affirm Githinji J's decision on the very same grounds which he considered and rejected. We would have no justification to vary or reverse the Learned Judge when there is no proper appeal before us upon which we can do so.

But even if we consider the matter on merits we do not think that we would be prepared to hold that, because leave to bring the proceedings was obtained through a chamber summons, there were no proper proceedings for judicial review before the superior court.

Section 8(2) of the Law Reform Act gives the High Court the power to issue orders of *certiorari*, prohibition and *mandamus*. Then section 9 of that Act provides as follows:

> "9(1) Any power to make rules of court to provide for any matters relating to the procedures of civil courts shall include power to make rules of court:
>
> (*a*) prescribing the procedure and the fees payable on documents filed or issued in cases where an order of *mandamus*, prohibition or *certiorari* is sought;
>
> (*b*) requiring, except in such cases as may be specified, that leave shall be obtained before an application is made for any such order;
>
> (*c*) requiring that, where leave is obtained, no relief shall be granted and no ground relied upon, except with the leave of the court, other than the relief and grounds specified when the application for leave was made".

Pursuant to these provisions the Rules Committee promulgated Order 53 and by the provisions of Order 53, rule 1:

> "1(1) No application for an order of *mandamus*, prohibition or *certiorari* shall be made unless leave therefor has been granted in accordance with this rule. [This provision is directly referrable to section 9(1)(*b*) of the Law Reform Act.]
>
> (2) An application for such leave as aforesaid shall be made *ex parte* to a judge in chambers and shall be accompanied by …".

Now the application is to be made to a judge in chambers. Dr *Kiplagat* says that that does not and cannot mean that the application has to be made by chamber summons. Of course, the rule does not say so. But the rule does say the application is to be made *ex parte* and the Judge has to deal with it in chambers. Order L, as we have seen, deals with "Motions and other Applications". Order L, rule 1 states: "All applications to the court, save where otherwise expressly provided for under these Rules, shall be by motion and shall be heard in open court". Rule 1(2) then provides:

> "No motion shall be made without notice to the parties affected thereby;
>
> Provided, however, that the court, if satisfied the delay caused by proceeding in the ordinary way would or might entail irreparable or serious mischief, may make any order *ex parte* upon such terms as to costs or otherwise and subject to such undertaking, if any, as to the court seems just, and any party affected by such order may move to set it aside".

It is clear from these provisions that an application for leave cannot be commenced by way of a motion, whether one calls it an originating motion or just plain notice of motion. This is so because all motions are heard *inter partes* and in open court. A temporary order may be made *ex parte* in a motion, but that is a wholly temporary order and the motion must in the end be heard *inter partes* and in open court. That is what the rules we have quoted state. As we have seen Order LIII, rule 1(2) says the application for leave must be made *ex parte* to a judge in chambers. The provisions of Order L regarding motions are so directly opposed to the provisions of Order LIII, rule 1 as to the application for leave that we have no hesitation in saying that an application for leave under Order LIII, rule 1(2) cannot possibly be made by way of a notice of motion or an originating notice of motion, whatever the latter expression might mean.

Originating summonses on the other hand, are provided for in Order XXXVI which sets out in full the circumstances in which a party may apply to the court through an originating summons. The Order even sets out the various Acts of Parliament, the reliefs under which a party may apply for by way of an originating summons – for example, the Government Lands Act (section 116), the Registration of Titles Act (section 57), the Limitation of Actions Act (section 27 and 38), the Registered Land Act, the Chattels Transfer Act, etc. The provisions of sections 8 and 9 of the Law Reform Act are not mentioned anywhere in Order XXXVI of the Civil Procedure Rules. In any case an originating summons cannot be heard and fully determined *ex parte* before a judge in chambers unless of course the other party refuses to take part in the proceedings.

These considerations must explain the practice, which Mr *Le Pelley* for the Appellant contended has been in use for over thirty years, of bringing applications for leave by way of a chamber summons. A judge has to deal with such an application *ex parte* and in chambers; if the application is brought by way of a notice of motion, it cannot be heard and disposed of *ex parte* and it would have to be heard in open court. If the application is brought by way of an originating summons, a judge cannot hear it and fully determine it *ex parte*; it would have to be served, and the judge may well be called upon to give directions on how the summons is to be disposed of. These procedures are clearly inappropriate or inconvenient for an application for leave under Order LIII. We are not surprised that an application for leave under Order LIII is and has been invariably made by chamber summons. In any case that practice is now so well established that even if Dr *Kiplagat* had succeeded in convincing us that it is a wrong procedure, we would still have been very reluctant to throw it overboard. Dr *Kiplagat* did not point out to us any particular prejudice that the use of a summons in chambers occasioned to his client or to any other litigant. With respect to Dr *Kiplagat*, cases such as *Boyes v Gathure* [1969] EA 385 and *Masaba v Republic* [1967] EA 488 on which he heavily relied in the superior court and in this Court are really not on the point because they did not deal with the somewhat unique procedure set out in the provisions of Order LIII which as we have said are made pursuant to the provisions in section 9 of the Law Reform Act. In our view, the fallacy in Dr *Kiplagat*'s contention lies principally in his assuming that it is the chamber summons application for leave to apply for the orders which originates the proceedings under Order LIII. The proceedings under that order can only start after leave has been obtained and the proceedings are then originated by the notice of motion filed pursuant to the leave granted. It would be somewhat ridiculous to bring the application for leave by way of an originating summons and once the leave is granted, the originating summons is then swallowed up or submerged in the notice of motion. As we have already said, we must reject the Respondent's contention that there was no competent application for judicial review orders before the superior court due to the manner in which the proceedings were instituted.

As we said elsewhere Githinji J rejected all but one of the complaints raised by the Respondent in its demand to strike out the Appellant's notice of motion for judicial review orders. Having rejected the other grounds, Githinji J then proceeded as follows:

> "The only remaining serious and remaining (sic) ground is whether or not a one month notice should have been given to Kenya Posts and Telecommunications Corporation as required by section 109(*a*) of Kenya Posts and Telecommunications Corporation Act before the institution of the application for Judicial review".

Section 109(*a*) of the Kenya Posts and Telecommunications Corporation provides:

> "No action or legal proceedings shall be commenced against the Corporation until at least one month after written notice containing the particulars of the claim and of the intention to commence the action or legal proceedings has been served upon the Managing Director by the Plaintiff or his agent".

The Learned Judge having considered this aspect of the matter concluded his ruling as follows:

> "I have come to the conclusion that the application for Judicial Review dated 23 April 1998 for orders of *certiorari* and *mandamus* is not maintainable by virtue of section 109(*a*) of the Kenya Posts and Telecommunications Corporation Act as the Applicant failed to serve a month written notice on the Managing Director before the commencement of the proceedings.
>
> The Respondent argued four grounds at length to support the application for striking out. Only one ground has succeeded. In my view the Respondent is only entitled to one quarter of the cost of the application. Consequently I allow the application as stated. I strike out the application dated 23 April 1998 with quarter costs to the Respondent on the grounds that it was commenced contrary to section 109(*a*) of KP and TC Act".

It was against this order that this appeal was brought. We will say very little on this aspect of the matter. We remained wholly unimpressed by Mr *Le Pelley*'s contention that there was a distinction between a claim made against the managing director of Kenya Posts and Telecommunications Corporation and one made against the corporation itself. The managing director in purporting to withdraw the frequencies which had been allocated to the Appellant was clearly acting for the corporation just as he did when he "released" the frequencies to the Appellant. Both letters were written on the letter heads of the corporation and in our view Githinji J was perfectly right in saying that Mr *Le Pelley* was splitting hairs in attempting to differentiate between a suit brought against the corporation and one brought against the managing director of the corporation. In either case the corporation would be bound by any order made by the court just as much as such an order would bind the managing director. With respect, there was no merit in this contention and it was rightly rejected.

There is however, the fact that power to issue judicial review orders of *mandamus*, prohibition and *certiorari* is given to the High Court by a separate Act of Parliament, namely the Law Reform Act. We have already referred to sections 8 and 9 of the Act and we need not set them out. Those sections set out in full the circumstances under which the High Court is entitled to issue the orders and what factors the High Court is bound to take into account. Leave is to be obtained before an application is filed and once leave is so obtained only the reliefs set out in the application for leave and the grounds relied on in that application can be argued or granted unless the High Court otherwise allows. In an application for *certiorari* leave cannot be granted unless the application is made within six months from the date of the decision sought to be quashed. All these provisions are contained in the Law Reform Act and the Act does not say

that these provisions are subject to the provisions of any other Act of Parliament. There is no provision anywhere in sections 8 and 9 of the Act that where another Act of Parliament requires that notice of intention to sue be served, then such a notice must be served before leave is applied for. Section 8(4), for example, provides for other written laws and it says:

> "In any written law, references to any writ of *mandamus*, prohibition or *certiorari* shall be construed as references, to the corresponding order and references to the issue or award of any such writ shall be construed as references to the making of the corresponding order".

So the legislature specifically had in mind other written laws; yet it never subjected the provisions of section 8 and 9 to those other written laws. Section 109(*a*) of the Kenya Posts and Telecommunications Corporation Act, which we have already set out does not say that it shall apply notwithstanding the provisions of any other written law. Clearly there was no basis for subjecting the provisions of sections 8 and 9 of the Law Reform Act to the provision in section 109(*a*) of the Kenya Posts and Telecommunications Corporation Act. Even Dr *Kiplagat* in the end conceded, rightly in our view, that section 109(*a*) of the Kenya Posts and Telecommunications Corporation Act cannot apply to proceedings commenced under Order LIII of the Civil Procedure Rules. That is more so because proceedings under Order LIII are concerned with the decision making process and not the merits or otherwise of a decision. With respect to Githinji J he was clearly wrong in holding that the Appellant ought to have served the Respondent with a notice of one month before instituting proceedings under Order LIII.

These matters were, however, not at all raised before Githinji J and the point was not directly canvassed in any of the grounds in the memorandum of appeal. As we have said the Appellant and their counsel wholly concentrated their efforts on the artificial distinction between the corporation and its managing director; that is that where the proceedings are brought against the corporation the notice under section 109(*a*) must be served, but where the proceedings are brought against the managing director, as was the case here, then such notice is not required. We have already rejected that distinction and this appeal only succeeds on the point taken by the Court with regard to the provisions of sections 8 and 9 of the Law Reform Act.

In the event, we allow the appeal, set aside the orders made by Githinji J striking out the Appellant's notice of motion dated 23 April 1998, and substitute those orders with an order dismissing the Respondent's chamber summons dated 27 May 1998.

We further order that each party shall bear their own costs in the superior court, and similarly their own costs in this appeal. The Appellant's notice of motion dated 23 April 1998 shall proceed to hearing according to law before a judge other than Githinji J.

These shall be our orders in this appeal.

For the Appellant:

Information not available

For the Respondent:

Information not available

Royal Media v Telkom Kenya

[2001] 1 EA 210 (CCK)

Division: Milimani Commercial Courts of Kenya

Date of judgment:	20 August 2001
Case Number:	15/00
Before:	Visram J
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Civil procedure – Interlocutory orders – Injunctions – Injunctions against government officers – Availability of mandatory and prohibitory injunctions at the interlocutory stage.

[2] Civil procedure – Joinder – Officers of CCK – Whether personally liable – Contempt of court – Whether officers can be cited for contempt.

[3] Constitution – Procedure for agitating constitutional issues – Interpretation of constitutional rights – Right to defence of property and to bodily integrity – Searches and search warrants – What is reasonable conduct in the circumstances of a search – Whether defect in procedure for conducting search renders results thereof null and void.

[4] Contempt – Authority of court to punish for contempt – Procedure to be followed – Requirement of serving a copy of court order and penal notice personally on contemnor – Whether court can punish for contempt without following rigid procedure.

[5] Statute – Interpretation – Kenya Communications Act – Broadcasting licences – Legal effect of licences – Whether approval required before relocating broadcasting equipment – Whether subsequent regulations by Minister would affect interpretation of the licence – Whether subsidiary legislation under repealed Act would apply to licences under new Act.

Editor's Summary

Royal Media a radio and television broadcasting company, sued 14 Defendants seeking redress for the dismantling and seizure of its broadcasting equipment. The first three Defendants were the successors in title of KPTC by virtue of the Kenya Communication Act of 1998. The Communication Commission of Kenya ("CCK"), the Second Defendant, was in charge of licensing and regulating broadcasting licences. The other Defendants included the Attorney-General ("A-G"), police officers, employees of CCK and property owners of land adjacent to Royal Media's property.

In June 1997, Royal Media was granted licences to operate television and FM frequencies by KPTC, CCK's predecessor in title and function. In January 2000, after CCK dismantled one of Royal Media's transmitter stations, Royal Media brought suit seeking *inter alia* an injunction prohibiting CCK from dismantling its transmitter stations in Nairobi. The court struck out the interlocutory injunction, but ordered conditional stay of execution pending appeal. Royal Media was required to comply with the requirements contained in its licences and in the Kenya Communications Act.

In February 2001, residents in Nairobi adjacent to property occupied by Royal Media detected the development of a powerful mast. They informed

CCK, which, after carrying out investigations, obtained search warrants. The court, which subsequently renewed the search warrants, was not informed about the prior conditional stay of execution order. CCK's employees in the company of police officers subsequently executed the warrants and seized some property. During the action Royal Media was served with the expired but not the renewed search warrant.

In response to the seizure of its broadcasting equipment, Royal Media brought the current suit seeking remedial orders. At the same time, by an interlocutory motion, Royal Media sought mandatory and prohibitory injunctions for the return of its equipment and to restrain interference with its business. During the hearing of the application, the court had to determine the effect of licences issued by KPTC in the light of the Kenya Communications Act, and whether Royal Media was obliged to obtain authorisation before moving the location of its broadcasting equipment. In this regard, Royal Media argued that regulations made by the Minister immediately after the aforesaid seizure by CCK were *ex post facto* and could not apply to vary the effect of Royal Media's licences.

On the propriety of the orders sought, the Defendants argued that mandatory and prohibitory injunctions were not appropriate at the interlocutory stage; further that an injunction could not properly be granted against government officers. The court had to weigh the constitutional protection of fundamental rights of what against the immunity granted to CCK's employees under the parent Act. It was argued for Royal Media that the conduct of the police officers and CCK employees was unlawful and that this would divest them of any immunity from personal liability. Royal Media urged the court to cite the officers concerned in the seizure action for contempt for disobeying the stay of execution order issued in the previous suit.

Royal Media also argued that the seizures and search warrants amounted to an unconstitutional deprivation of Royal Media's fundamental rights protecting it against seizure of its property. The court was called to determine the question of whether Royal Media, a limited company, enjoyed the fundamental rights provided for in Chapter V of the Constitution.

Held – The licences previously issued by the predecessor of the CCK were valid since the Kenya Communications Act had saved their validity. Royal Media did not therefore need to apply for a new licence under section 36 of the Kenya Communication Act.

The licence regulations issued by the Minister under the Kenya Communication Act three weeks after the cause of action in this matter arose were *ex post facto* legislation. To allow such legislation to influence the determination of the rights of the parties in this matter would be to countenance usurpation of judicial power and to invite the court to the rule of men. *Liyanage v The Queen* [1967] AC 259 discussed and adopted.

Though Royal Media's licences did not specify the broadcasting location, previous correspondence on the subject indicated that Royal Media was under an obligation to obtain approval for the sites of its transmitters. Further, delegated legislation providing regulatory powers to the Authority under the East African Posts and Telecommunications Act (repealed) had continued to apply under the transitional provisions of the Kenya Post Telecommunications Corporation Act (also repealed) and the now current Kenya Communication Act. Parliament could not have intended to grant free licences. Section 24 of the Interpretation and General Provisions Act applied.

The rules of natural justice required that Royal Media be given a hearing, not before the seizure of the equipment, but at the time of trial. *David Oloo Onyango v AG* [1986] LLR 1242 (CAK) and *Ramolgan v The Mayor, Aldermen and Burgesses of San Fernando* [1986] LRC (Const) 377 distinguished.

The Court could, in a proper case, issue injunctive relief against government officers. This relief is similar to the coercive orders that are issued under the court's judicial review power. This relief would be available not only where the officer was exceeding his authority but also where he was acting in his ostensible authority. *Matalinga and others v AG* [1972] EA 518, *Assinapol v Commissioner of Customs and Excise* Nbi HCCC 2786 of 1992 disapproved; *R v Home Secretary ex p Herbage* [1986] 3 All ER 209, *R v Licensing Authority ex p SmithKline* [1989] 2 All ER 113, *Royal Media Services Ltd v Commissioner of Customs and Excise* [1995] LLR 1692 (HCK), *Chirchir v Cheboiwo* Nbi CA 253 of 1992 considered; *M v Home Officer and another* [1993] 3 All ER 537, *Jaundoo v AG of Guyana* [1971] AC 972 approved and adopted.

Section 15 of the Kenya Communication Act grants immunity from personal liability to the officers, agents and employees of CCK for anything done *bona fide* in the discharge of their functions. This immunity may however be lifted where it is clear that there was a flagrant breach of fundamental rights, for example if there was wanton destruction of property and excessive use of force. There was no such unlawfulness in this case to enable the court to lift the statutory immunity.

Mandatory injunction would only be granted exceptionally and in the clearest of cases. *Shepherd Homes v Sandham* [1970] 3 WLR 348 approved; *Mucuha v The Ripples* [1992] LLR 2164 (CAK) followed. In determining whether injury suffered from breach of a constitutional right is irreparable, the ability of the respondent to settle any award in damages should not militate against granting an injunction (*Ghani and others v Jones* [1970] 1 QB 693 adopted); nor would the fact that the subject matter in this case had been surrendered to the Chief Magistrate be so continued. *Macharia and another v AG* Nbi HC miscellaneous appeal number 356 of 2000 followed.

A constitutional case could be commenced in any manner in which a suit could be commenced under the Civil Procedure Rules. *Ng'ang'a v Kenyatta University Council and others* Nbi HC miscellaneous application number 1724 of 1999 followed. The provisions of the Constitution should be given generous and purposive constructions to give effect to the constitutional rights and freedoms contained therein. *Societe United Docks and Others v Mauritius* [1985] 2 WLR 114 adopted. Hence, the argument that Royal Media, being a limited liability company, was not entitled to an action under section 84 of the Constitution was absurd.

The provisions of section 75, 76 and 79 of the Constitution on protection from deprivation of property, protection from arbitrary search and entry and protection of freedom of expression are clear beyond peradventure. These provisions have exceptions, which delimit what public authority may be exercised over private property. *Entick v Carrington* [1765] cited in *Allen and Thompson cases and Material on Constitutional Administrative Law* (6 ed) at 189. The failure to show the renewed warrant during one of the searches was only a minor slip that did not render the results of the search null and void.

Under section 89 of the Kenya Communication Act, the court may grant a search warrant to search any premise or vessel and obtain any article or thing. During the search, it

would be improper and unconstitutional to take away anything more than what was necessary for the investigation of the commission of an offence. *Ghani* (*supra*) adopted. Though general warrants may be unconstitutional, the warrants provided for by section 89 of the Kenya Communication Act are specific.

Per curiam: Regarding contempt of court, under section 5(1) of the Judicature Act (Chapter 8) the High Court and the Court of Appeal are empowered to punish for contempt of court in the same manner as the High Court of Justice of England. *Githunguri v Republic of Kenya* [1996] LRC 618 followed.

This power will be used where there is misuse of the court process, such as obtaining a warrant by false pretences. *Linwood v Andrews and Moore* [1888] 58 LT 612 adopted.

Allegations of contempt will generally not be allowed unless the contemnor has been personally served with the order and a penal notice. *Wang'ondu v Nairobi City Commission* [1988] LLR 1919 (CAK) followed.

However, there is nothing in that procedure that would prevent the court, upon information, from taking action against a party who has disobeyed the court's order, for example if he was present in court during the hearing. If the rigid procedure has not been complied with, the court could, while not strictly acting as a contempt court, take a lenient course by granting an injunction to restrain either a threatened contempt or repetition of the contempt. Only the court on its own initiative can do this.

A party could also apply for an injunction to enforce a previous injunction without bringing contempt proceedings. Hence where contempt is sought without prayers for committal or sequestration, the proceedings will not be determined merely because of a defect in the proceedings.

Application for injunction dismissed.

Notes

The Chief Justice has subsequently, *vide* Legal Notice 133 of 2001, published the Constitution of Kenya (Protection of Fundamental Rights and Freedoms of the Individual) Rules, 2001. Rule 11 of the Rules declares that originating summons shall be used for purposes of coming to court under section 84 of the Constitution.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Assinapol v Commissioner of Customs Excise Nairobi HCCC number 2786 of 1992 (ur) – **DA**

Chirchir and another v Henry Ronguno Cheboiwo and another Nairobi CA number 253 of 1992 (UR 102/92) (ur) – **C**

David Oloo Onyango v AG [1986] LLR 1242 (CAK) – **D**

Giella v Cassman Brown and Co Ltd [1973] EA 358

Githunguri v Republic of Kenya [1996] LRC 618 – **F**

Macharia and another v AG and another Nairobi HC miscellaneous application number 356 of 2000 – **F**

Macuha v The Ripples Ltd [1992] LLR 2164 (CAK) – **F**

Matalinga and others v AG [1972] EA 518 – **DA**

Nganga v Kenyatta University Council and others Nairobi HC miscellaneous number CA No 1724 of 1999 (ur) – **F**

Royal Media Services Ltd v Commissioner of Customs and Excise [1995] LLR 1692 (HCK) – **C**

Wang'ondu v Nairobi City Commission [1988] LLR 1919 (CAK) – **F**

United Kingdom

Carlic v The Queen and Minister of Manpower and Immigration [1968] 65 DLR (2d) 633

Clader v Bull [1799] 3 Dallas 386

Edward A Boyd and George H Boyd v United States SC Reporter 616

Entick v Carrington [1765] 19 ST TR 1030

Factortame Ltd v Secretary of State for Transport [1989] 2 All ER 692 [1990] 2 AC 85 [1989] 2 WLR 997

Feather v R [1865] 6 B and S 257

Ghani and others v Jones [1970] 1 QB 693 – **A**

Harper v Secretary of State for the Home Dept [1954]

Jaundoo v Attorney-General of Guyana [1971] AC 972 – **A** & **APP**

Linwood v Andrews and Moor [1888] 58 LT 612 – **A**

Liyanage v The Queen [1967] AC 259 – **A**

M v Home Office and another [1993] 3 All ER 537

M v Home Officer and another [1993] 3 All ER 537 – **A** & **APP**

Marine Workers Union and others v Mauritius Marine Authority [1985] 2 WLR 114

Merricks v Heathcoat Amory [1955] 2 All ER 453

R v HM Treasury ex Smedley [1985] 1 All ER 589 [1985] QB 657 – **C**

R v Licensing Authority ex parte Smith Kline French Laboratories Ltd No 2 [1989] 2 All ER 113 1990 QB 574 – **C**

R v Secretary of State for the Home Department ex p Herbage [1986] 3 All ER 209 [1987] QB 872

Ramolgan v The Mayor Aldermen and Burgesses of San Fernando [1986] LRC (Constitution) 377 – **D**

Shepherd Homes v Sandham [1970] 3 WLR 348 – **APP**

Society United Docks and Others v Government of Mauritius; Marine Workers Union and others v Mauritius Marine Authority [1985] 2 WLR 114 – **A**

Tobin v R [1864] 16 CBNS 310 143 ER 1148

Town Investments Ltd v Dept of the Environment [1977] 1 All ER 813 [1978] AC 359

Judgment

VISRAM J:

(A) Introduction

Kenya, like many other young democracies which emerged from colonialism has a written Constitution modeled on the Westminister system of government. Its Constitution, like those of most other developing countries, include a declaration of “supremacy” that the Constitution is supreme in all respects. Section 3 of our Constitution provides, in no uncharacteristic terms as follows:

> "3. This Constitution is the Constitution of the Republic of Kenya and shall have the force of law throughout Kenya and, subject to section 47, if any other law is inconsistent with this Constitution, this Constitution shall prevail and the other law shall to the extent of the inconsistency, be void".

Section 47 deals with the power of Parliament to alter the Constitution. Another common, and no doubt, enviable feature of these written constitutions has been to formally entrench in a sacred document the protection of fundamental rights and freedoms. This is done under Chapter V of our Constitution. To give effect to those rights and freedoms, this Court is empowered under section 84(2) to hear and determine constitutional issues and in doing so, power is expressly given to make such orders, issue such writs and give such directions as it may consider appropriate for the purpose of enforcing or securing the enforcement of (the rights and freedoms).

The backdrop of the above constitutional provisions is beset by various statutory provisions which must be weighed against the Constitution in settling disputes where constitutional issues are pertinent. One of these statutory provisions is section 16 of the Government Proceedings Act (Chapter 40) which provides as follows:

> "16(1) In any civil proceedings by or against the Government the court may, subject to the provisions of this Act, make any orders that it may make in proceedings between subjects, and otherwise give such appropriate relief as the case may require:
>
> Provided that:
>
> (i) where in any proceedings against the Government any relief is sought as might in proceedings between subjects be granted by way of injunction or specific performance, the court shall not grant an injunction or make an order for specific performance, but may in lieu thereof make an order declaratory of the rights of the parties; and
>
> (ii) in any proceedings against the government for the recovery of land or other property the Court shall not make an order for recovery of the land or delivery of the property, but may in lieu thereof make an order declaring that the Plaintiff is entitled as against the Government to the land or property, or to the possession thereof.
>
> (2) The Court shall not in any civil proceedings grant any injunction or make any order against an officer of the Government if the effect of granting the injunction or making the order would be to give any relief against the Government which could not have been obtained in proceedings against the Government".

In modern governmental systems, the legislature and the executive are given certain powers which are important and essential to their functions. Those powers must be exercised with responsibility. The Judiciary, being one of the arms of the government is the balance which weighs the power against the responsibility. The judiciary must always uphold the rule of law so that the interests of all the forces in society are upheld. In its function, the judiciary is well guided by the time honoured statement of Professor Dicey when he said as follows:

> "When we speak of the 'rule of law' as a characteristic of our country, (we mean) not only that with as no man is above the law, but (what is a different thing) that here every man, whatever be his rank or condition, is subject to the ordinary law of the realm and amenable to the jurisdiction of the ordinary tribunals. In England the idea of legal equity, or the universal subjection of all classes to one law administered by the ordinary courts, has been pushed to its utmost limit. With us every official, from prime minister down to a constable or a collector of taxes, is under the same

> responsibility for every act done without legal justification as any other citizen. The reports abound with cases in which officials have been brought before the courts, and made, in their personal capacity, liable to punishment, or to the payment of damages, for acts done in their official character but in excess of their lawful authority. A colonial governor, a secretary of state, a military officer, and all subordinates, though carrying the commands of their official superiors, are as responsible for any act which the law does not authorise as is any private and unofficial person".

(See *Introduction to the Study of the Law of the Constitution* (10 ed) 1965 at 193–194 cited in *M v Home Office and another* [1993] 3 All ER 537 at 551.)

The importance of this case is to consider the scope of the application of constitutional guarantees in relation to statutory limitations. This ruling will, therefore, consider the power of this Court to enforce constitutional rights and freedoms in the light of legislative enactments. To enable me do this, I will set out the facts leading to this case and issues which were raised for determination. Those facts are found in the pleadings and various affidavits filed.

(B) Facts and Issues

I will begin by describing the parties who are relevant in the present application. The First Plaintiff (hereinafter referred to as "Royal Media") owns a radio and television station in this country. The Second Plaintiff (hereinafter referred to as "Mr Macharia") is a shareholder and the chairman of the board of directors of Royal Media. At all times material to this application, he was working at the studios of the Royal Media at Ambank House, Nairobi.

The Second Defendant (hereinafter referred to as "the CCK") is a body corporate established under section 3 of the Kenya Communications Act 2 of 1998 (hereinafter referred to as "the KCA"). It is responsible for the licensing and regulation of telecommunication, radio communication and postal services in this country.

The Fourth Defendant is the Attorney-General and is sued for and on behalf of the government.

The Fifth Defendant is a police officer attached to the CCK as an enforcement officer.

The Sixth, Seventh and Eighth Defendants are employees of the CCK. The Ninth to Twelfth Defendants are also said to be police officers. This was not controverted in any material although counsel at the hearing made some arguments on the matter. I will consider that matter later.

The Thirteenth Defendant owns property next to the property of the Plaintiffs at Karen, Nairobi. The Fourteenth Defendant is a society registered under the Societies Act to protect the interests of the residents and property owners of Karen and Langata.

Prior to the establishment of the CCK, its functions were being performed by the Kenya Posts and Telecommunications Corporation (hereinafter referred to as "the KPTC"). The KPTC had been established by the Kenya Posts and Telecommunication Corporation Act (Chapter 411). This latter Act was repealed by the KCA.

On 24 April, 1997, Royal Media applied to the KTPC to be assigned FM and TV frequencies to enable it to broadcast at Nairobi. The application was granted on 17 June, 1997. Other frequencies were also assigned to enable Royal Media broadcast in other areas such as Mombasa and Nyeri.

Sometime last year, Royal Media had a dispute with the First, Second and Third Defendants when the First Defendant disconnected Royal Media from the use of its transmission towers and other facilities at Londiani thereby disabling its ability to broadcast to Rift Valley, Central (Nyandarua) and Nyanza Provinces. Royal Media made three applications to the Court dated 8 January 2000, 27 January 2000 and 3 February 2000. In the first application it sought mandatory injunctions at the interlocutory stage against the First Defendant. In the second application, it sought prohibitory injunctions against the CCK. In particular it sought that the CCK be restrained from interfering with its broadcasting frequencies and equipment at Nairobi, Sabasaba, Nyeri, Nanyuki, Nyambene, Kinangop and Rongai (Londiani Hills). In the third application, it sought both prohibitory and mandatory injunctions against the Third Defendant. All these applications were heard together. On 29 February 2000, the Hon Mulwa J struck out the first application and dismissed the others with costs. Royal Media has appealed to the highest Court against that ruling. In the meantime, Royal Media went before the Hon Mulwa J asking, no doubt, for stay of his orders pending the appeal and in a ruling dated 1 March 2000 the Learned Judge said as follows:

> "I am minded therefore to grant the injunctions sought against the Second Defendant (the CCK) so that all frequencies which had been granted to the (First) Plaintiff are restored with exception of the Londiani frequency … The (First) Plaintiff will observe the following conditions:
>
> 1. It will pay any arrears of fees pending for the frequencies granted within fourteen days. This should include the renewal fees and keep on paying them until the determination of the appeal.
> 2. It will obtain the type approval of its equipment within 14 days and pay all the type approval fees necessary.
> 3. It will abide by all the requirements as contained in the licences and in the Kenya Communications Act".

On 19 February this year, the CCK received a letter dated 13 February 2001 from the advocates of the 13 and 14 Defendants complaining of having "noticed a development of a mast with powerful broadcasting facilities on LR number 1160/39 (original 1160/25/1)". I will later be referring to that land as "the Karen premises". The Karen premises is owned by Mr Macharia.

Investigations were carried out which revealed that Royal Media was transmitting radio and television signals from the Karen premises allegedly without the CCK's authorization. On suspecting that an offence, under sections 35 and 36 of the KCA had and was being committed, the CCK applied to the subordinate court for a search warrant in accordance with section 89(1) of the KCA to facilitate entry upon the Karen premises to enable it to examine and test any station, equipment or apparatus or obtain any article or thing found there to ensure compliance with the KCA. That warrant was issued on 16 March 2001 but the same could not be executed within its original period of validity. It was duly extended for another month. This was done on 17 April 2001 so that the warrant was extended to 18 May 2001.

Subsequently, it was also established that Royal Media was emitting TV signals from Ambank House, University Way, Nairobi while the radio signal emissions continued from the Karen premises. This was being done without the CCK's authorization. A similar search warrant to the one already mentioned was sought in respect of Ambank House and the same was issued on 24 April

2001. In applying for the warrants, the subordinate court was not informed of the Honourable Mulwa J's ruling of 1 March 2000. The order in respect of that ruling was issued on 16 May 2001. On 25 April 2001, both warrants were executed whereby the equipment of Royal Media was seized. However, when executing the warrant in respect of the Karen premises, it appears that Royal Media was only served with the original warrants without an endorsement that they had been extended as mentioned earlier. Royal Media filed the present application on the following day. On 27 April 2001, officers of the CCK and police officers returned to the Ambank House premises and took away more equipment belonging to Royal Media. Mr Macharia was on 25 April 2001 charged with two counts of establishing and using radio communication apparatus without licence contrary to section 35(1) of the KCA and a third count of obstructing police officers contrary to section 253(*b*) of the Penal Code. The Plaintiffs being aggrieved by these actions have come before this Court seeking at this interlocutory stage the following orders:

(a) A mandatory injunction against the CCK, the AG, the 5, 6, 7, 8, 9, 10, 11 and 12 Defendants requiring them to return the equipment which was seized pursuant to the execution of the search warrants already mentioned;

(b) A prohibitory injunction restraining the CCK and its agents and servants from interfering with the running of Royal Media's radio and television stations at Ambank House, Karen and other installations until the suit is heard and determined;

and

(c) Restraining orders against the police and other state agents from interfering with the Royal Media's radio and television stations until the suit is heard and determined.

At the hearing, counsel addressed me on a number of issues. These issues can be grouped for convenience under the following heads:

(1) Legal effect of licences under the KCA;

(2) Injunctions against officers of the government;

(3) Liability of the employees of the CCK;

(4) Availability of prohibitory and mandatory injunctions at the interlocutory stage;

(5) Contempt of Court, and

(6) Constitutionality of searches and search warrants.

I have deliberately placed the constitutional issue last, as I believe it is most significant and requires a more in-depth consideration. The other issues have been grouped and identified under their respective headings for convenience only, and I must note that some issues have cross-cutting themes, and they appear in more than one heading. That is, indeed, the complex nature of this rather difficult, but interesting case.

(C) Analysis

1. *Legal Effect of Licences under the Kenya Communications Act*

I propose to consider the following issues under this head:

(i) Whether Royal Media was under an obligation to a licence under the KCA;

(ii) Whether Royal Media was under an obligation to broadcast from specified locations; and

(iii) If the answer to (ii) above be in the affirmative whether the broadcasting from Karen premises was lawful.

Dr *Kuria*, for the Plaintiffs, argued that the licence previously issued by the predecessor of the CCK was valid and that Royal Media did not need to apply for a new licence under section 36 of the KCA since the licences granted under Chapter 411 had been saved by the new Act. This was not challenged in any material way by the other counsel. I accept that the KCA cannot possibly have rendered the licences issued under Chapter 411 without effect so that licences issued under the old Act are deemed to have been continued under the new Act vide section 2 of the Third Schedule to the KCA.

On the second issue Dr *Kuria* argued that licences issued to Royal Media did not specify where the broadcasting was to be done from and that, therefore, there was no requirement that it notifies the CCK of its decision to relocate. He also argued that even if there was such a requirement which had been breached in this case, the CCK could only interfere with the operations of Royal Media by complying with the rules of natural justice. As to the relocation to the Karen premises, Dr *Kuria* argued that that was within the permitted radius of 15 km.

As Mr *Okoth* for the Second, Fifth, Sixth, Seventh, Eighth, Ninth, Tenth, Eleventh and Twelfth Defendants rightly pointed out, the licences issued to the Royal Media were specific and conditional. Although the circumstances are not clear, it appears from the general evidence that the last place Royal Media was authorized to broadcast from was Limuru. It is not true that it had been allowed to broadcast from Ngong at this time. Without arithmetical accuracy, which has not been placed before the Court, it cannot be said that Limuru and Karen are within the 15 km radius that would be allowed if Dr *Kuria*'s argument in that respect were correct.

The regulation of frequencies is an important matter which cannot be safely left at the discretion of the public. There is no doubt that if they are not properly planned there could be an interference between the different frequencies and even cause radiation. Even if the licences issued did not specify the locations where the broadcasting was to be done, I have no doubt that there was some accepted method by which this was settled. I have come to this conclusion in view of the following. In a letter dated 13 July 1998, Royal Media wrote to the KPTC in the following terms:

> "We wish to thank you for the frequencies allocated to us already for both Radio and Television (that is, for Nairobi – we have for technical reasons requested that radio frequency for Nairobi 95.1 allocated to us be changed to another – see our letter dated 9 June 1998), Nyeri and Mombasa. To enable us to cover the areas we intend to cover, we made a request from the Ministry of Information and Broadcasting to amend our licence to add the names in the licence that were omitted and which you informed us that we cannot get frequencies without amendment …".

In KPTC'S reply dated 24 July 1998, Royal Media was asked, *inter alia*, to provide the geographical co-ordinates for its proposed transmitter sites. These letters and other correspondence on the subject clearly indicate that Royal Media knew that it was under an obligation to obtain approval for locational sites for its transmitters. If that was not so, there would have been no need for it to seek such approval and wait for a response. In this respect, there is evidence that Limuru was the last approved location relevant in this case for broadcasting. Although the co-ordinates for that location were supplied to the KPTC it is the CCK which filed them and obtained approval from the International Telecommunications Union (hereinafter referred to as "the ITU").

Now, as to the argument that Royal Media was allowed to relocate within a 15 km radius of approved location, it has already been seen that the relocation in this case was outside that radius. However, even if it is assumed for a moment that the relocation was within the 15 km radius, is Dr *Kuria*'s argument that this was allowed correct? I do not think so. Firstly, this argument by itself concedes that there was a requirement that relocation should be approved where it was outside the 15 km radius. That aside, there was no material to show that that was the case. An explanation of this matter was offered by the affidavit of John Omo dated 11 May 2001. Mr Omo is the secretary of the CCK. He stated that the 15 km allowance was a matter between the local Regulator (sometimes referred to as administrator) and the ITU. Although this Court is careful not to make any finding based on Mr Omo's explanation without substantive material, it is quite clear that the ITU provisions cannot take away the powers given to a local regulator by the local legislature. His explanation that ITU "helps co-ordinate frequency plans to avoid clashes causing transmission and reception interferences with other member states" is cogent with known international law principles. From the explanation given and in consideration of the international law doctrine of sovereignty, it is not possible that the ITU provisions could be substituted for legislation enacted by the local legislature of the member states as respects local regulation of licencing and control of broadcasting and frequency assignment. To do otherwise would amount to surrendering the sovereignty of this country to foreign manipulation. From that explanation and the international law principle alluded to above, I am of the view that internal frequency planning is the responsibility of the local regulator according to its powers as given by the local legislature and that ITU provisions are a matter between the ITU and the local regulator and not with an individual operator. The local operator must adhere to the conditions stated in his license. Royal Media cannot, therefore, rely on ITU provisions in this case to escape the conditions in its license. However, this Court is not suggesting that the local regulator can act capriciously, arbitrarily or against the principles of natural justice in allocating or denying frequencies to local operators once licences have been issued. Having settled this, the next question is, what are the regulations which governed relocation?

The Minister responsible for communication is given powers, in consultation with the CCK, to make certain regulations under the KCA. Section 27 allows for the making of general regulations; section 38 allows for the making of regulations on radio communication; section 39 allows for the making of regulations for radiation of electromagnetic energy; and section 40 allows for the making of regulations with respect to resistance to interference. No such regulations had been made when the cause of action in this case arose. Regulations were made subsequently: about three weeks after the cause of action in this case had arisen.

Dr *Kuria* argued that these regulations could not be relied on as they had been made after the fact. He relied on the case of *Don John Francis Douglas Liyanage v The Queen* [1967] AC 259 which outlawed *ex post facto* legislation. In that case, the Criminal Law (Special Provisions) Act 1 of 1962, passed by the Parliament of Ceylon (now Sri Lanka) on 19 March 1962, contained substantial modifications of the Criminal Procedure Code, *inter alia*, by purporting to legalise *ex post facto* the detention for 60 days of any persons suspected of having committed an offence against the state, by widening the class of offences for which trial without a jury by three judges nominated by the Minister of Justice

could be ordered, by allowing arrest without a warrant for waging war against the Queen and prescribing new minimum penalties for that offence and for conspiring to wage war against the Queen and overawe the government by criminal force, and by widening the scope of that offence. The Act also provided for the admission in evidence of certain confessions and statements to the police inadmissible under the Evidence Code. The Act was expressed to be retrospective to cover an abortive *coup d'etat* on 27 January 1962, in which the Appellants took part, and was to cease to be operative after conclusion of all legal proceedings connected with or incidental to any offence against the state committed on or about the date of the coup or from one year after the date of the commencement of the Act, whichever was later. The Criminal Law Act 31 of 1965 substituted the Chief Justice for the Minister of Justice as the person to nominate the three judges before whom trial without a jury might be ordered, but left unaffected other provisions of the former Act, including those summarized above. In April 1965, the Supreme Court of Ceylon, consisting of three judges nominated by the Chief Justice, convicted the Appellants of the following crimes:

(a) Conspiring to wage war against the Queen;

(b) Conspiring to overawe, by means of criminal force or the show of criminal force, the government of Ceylon; and

(c) Conspiring to overthrow otherwise than by lawful means the government of Ceylon by law established.

The Appellants were sentenced to ten years' rigorous imprisonment and forfeiture of all goods. This was the minimum sentence prescribed by Act 1 of 1962. An appeal was made to the Privy Council on the ground that the legislation of 1962 was *ultra vires* the Constitution. On 2 December 1965, Lord Pearce announced that their Lordships (Lord Macdermott, Lord Morris of Borth Y Gest, Lord Guest, Himself and Lord Pearson) would humbly advise Her Majesty that the appeals should be allowed and that the convictions should be quashed. The Privy Council held, *inter alia*, that the Acts, directed as they were to the trial of particular prisoners charged with particular offences on a particular occasion, involved a usurpation and infringement by the legislature of judicial powers inconsistent with the written Constitution of Ceylon, which while not in terms vesting judicial function in the judiciary, manifested an intention to secure in the judiciary a freedom from political, legislative and executive control and, in effect, left untouched the judicial system established by the Charter of Justice 1833. In that Court's view, the fact that the Constitution was silent did not mean that judicial functions were to pass or be shared by the executive or the legislature: it was consistent with judicial power remaining with the Courts. The Acts were consequently declared *ultra vires* the Constitution of Ceylon and void. Their Lordships said as follows at 290–292:

> "Mr Gratiaen succinctly summarises his attack on the Acts in question as follows. The first Act was wholly bad in that it was a special direction to the judiciary as to the trial of particular prisoners who were identifiable (in view of the White Paper) and charged with particular offences on a particular occasion. The pith and substance of both Acts was a legislative plan *ex post facto* to secure the conviction and enhance the punishment while they were awaiting trial. It made admissible their statements inadmissibly obtained during that period. It altered the fundamental law of evidence so as to facilitate their conviction. And finally it altered *ex post facto* the punishment to be imposed on them. [I]n their Lordships' view that cogent summary fairly describes the effect of the Acts. As has been indicated already, legislation *ad hominem* which is thus

directed to the course of particular proceedings may not always amount to an interference with the functions of the judiciary. But in the present case their Lordships have no doubt that there was such interference: that it was not only the likely but the intended effect of the impugned enactments; and that it is fatal to their validity. The true nature and purpose of these enactments are revealed by their conjoint impact on the specific proceedings in respect of which they were designed, and they take their colour, in particular, from the alterations they purported to make as to their ultimate objective, the punishment of those convicted. These alterations constituted a grave and deliberate incursions into the judicial sphere. Quite bluntly, their aim was to ensure that the judges in dealing with these particular persons on these particular charges were deprived of their normal discretion as respects appropriate sentences. They were compelled to sentence each offender on conviction to not less than ten years' imprisonment, and compelled to order confiscation of his possessions, even though his part in the conspiracy might have been trivial. The trial court concluded its long and careful judgment with these words:

> 'But we must draw attention to the fact that the Act of 1962 radically altered *ex post facto* the punishment to which the Defendants are rendered liable. The Act removed the discretion of the court as to the period of the sentence to be imposed, and compels the court to impose a term of 10 years' imprisonment, although we would have wished to differentiate in the matter of sentence between those who organized the conspiracy and those who were induced to join it. It also imposes a compulsory forfeiture of property. These amendments were not merely retroactive: they were also *ad hoc*. Applicable only to the conspiracy which was the subject of the charges we have tried. We are unable to understand this discrimination. To the courts, which must be free of political bias, treasonable offences are equally heinous, whatever be the complexion of the government in power or whoever be the offenders' ".

Their Lordships sympathize with that protest and wholly agree with it. One might fairly apply to these Acts the words of Chase J, in the Supreme Court of the United States in *Clader v Bull* [1799] 3 Dallas 386: "These acts were legislative judgments; and an exercise of judicial power".

Blackstone in his *Commentaries* said:

> "Therefore a particular act of the legislature to confiscate the goods of Titius or to attaint him of high treason, does not enter into the idea of a municipal law: for the operation of this Act is spent upon Titius only and has no relation to the community in general: It is rather a sentence than a law".

If such Acts as these were valid the judicial power could be wholly absorbed by the legislature and taken out of the hands of the judges. It is appreciated that the legislature had no such general intention. It was beset by a grave situation and it took grave measures to deal with it, thinking, one must presume, that it had power to do so and was acting rightly. But that consideration is irrelevant, and gives no validity to acts which infringe the Constitution. What is done once, if it be allowed, may be done again and in a lesser crisis and less serious circumstances. And thus judicial power may be eroded. Such an erosion is contrary to the clear intention of the Constitution. In their Lordships' view the Acts were *ultra vires* and invalid.

Mr *Okoth* sought to distinguish this decision on the ground that in that case there were several changes in the law, unlike here where the subsidiary legislation objected to followed the spirit of the KCA under which they were made and Chapter 411. He also argued that in this case the legislation was not particularly directed at the Royal Media. That is generally true. However, I am unable to agree with him. To do so would be to invite this Court to the rule of

men. There is no doubt Liyanage dealt with a serious case which was before the Court. However, the rationale of that case is that any legislative action intended or likely to affect the exercise of judicial function *ex post facto* should be rejected. Even a small infringement as Mr *Okoth* would like this Court to believe was the case here, should, in my view, be rejected. To allow *ex post facto* legislation, whatever it may be, would amount to the same thing: usurpation of judicial power contrary to the Constitution. Section 30 of our Constitution expressly vests legislative power in the Parliament but does not vest any judicial functions to Parliament. Those functions must, in accordance with Liyanage be presumed to have been left to the judiciary. Once it has passed law, Parliament is *functus officio* and the application thereof is left to the Courts. This Court is the hand maid of the law and it cannot abandon the rule of law. The KCA was enacted in 1998 and applied in 1999. One may ask: What took the Minister so long to make the regulations as empowered under the Act? If as Mr *Okoth* said they follow the spirit of the KCA and Chapter 411, they should not have been complex matters to put in form and it is curious that they were formulated only a few days after this dispute. I have no difficulty in holding that the regulations contained in Legal Notice No 68 of this year cannot be applied to the case presently before the Court. To do otherwise would amount to surrendering the judicial role and powers of this Court. Upon this conclusion, it is unnecessary to consider whether the regulations as made were properly made. All the same, I do not see how this finding shall be helpful to the Plaintiffs in view of the fact that it has already been found that they were under an obligation to seek approval before relocation. This could have been a condition or an implied term in the licence or as Mr Mwenesi put it, it was governed by the East African Radio Communications Regulations made under section 91 of the East African Posts and Telecommunications Act (Chapter 17 Laws of the former East African Community). When the licence was issued, there is no doubt that it was subject to some statutory limitation. It was issued under Chapter 411 which continued to apply the Regulations under Chapter 17 of the Laws of the former East African Community. The requirement must have been a limitation to the licence whichever way one looks at it. I will consider this matter in detail shortly.

Dr *Kuria* did not forcefully argue that the Regulations under Chapter 17 of the Laws of the former East African Community were not applicable but his only complaints were as follows:

(a) That Mr Mwenesi's letter to the CCK did not refer to those regulations;

(b) That regulation 10 which provided that there was to be no relocation without the consent in writing of the Director-General was inapplicable to this case as qualified under section 91(*b*) of Chapter 17 of the Laws of the former East African Community; and

(c) That Mr Mwenesi's clients relied on the old Regulations while Mr *Okoth*'s clients relied on the regulations published in Legal Notice No. 68 of this year. I have already said that these later regulations are not applicable to this case.

I do not see the substance of complaints (a) and (c) above. Mr Mwenesi was under no obligation to refer to the Regulations in his letter and the fact that the other Defendants did not rely on them is not sufficient to question their applicability. I will consider complaint (b) above as follows:

Section 91(*b*) of Chapter 17 of the Laws of the former East African Community aforesaid provided as follows:

> "The Authority may make regulations generally with respect to the regulation of radio communication, other than communication restricted to the receiving of public broadcasting, and without prejudice to the generality of the foregoing, with respect to …
>
> (*b*) the things which are to be done or are not to be done in connexion with the use of any station or radio communication apparatus and, in particular, requiring the use of any such station apparatus to cease on demand in that behalf of any authorized employee".

The reading of that subsection is clear beyond peradventure. As Mr Mwenesi rightly pointed out, the exemption only relates to "radio communication restricted to receiving of public broadcasting" (emphasis mine). Dr *Kuria*'s client does not fall within that exemption. The evidence shows that its radio communication operations was not "restricted to receiving public broadcasting". They were, in fact, broadcasting.

Now, how can it be said that the Regulations made under Chapter 17 of the Laws of the former East African Community apply? Section 115(1) of Chapter 411 disapplied Part V of Chapter 17 aforesaid, which Part contained substantial provisions relevant to the present case. However, section 115(2), provided as follows:

> "115 …
>
> (2) All regulations and orders made under section 45, 65, 78, 91, 92, 108 or any other provision of (the Chapter 17 aforesaid) shall, in so far as they apply to Kenya or to an employee of the East African Posts and Telecommunications Corporation who continues in the service of the Corporation under or by virtue of section 116, continue in force with necessary adoptions with respect to Kenya and to the Corporation and to any employee thereof and shall be deemed for all purposes to have been made under this Act …".

Section 103 of the KCA, on the other hand provides as follows.

> "103 …
>
> (2) The provisions of the Third Schedule shall, upon repeal of (Chapter 411), have effect with respect to the transfer of the function, assets and liabilities of the former corporation to the company (Telekom Kenya Ltd) the corporation (the Postal Corporation of Kenya) and the Commission (the CCK) as the case may be, and to all matters incidental to such transfer".

The relevant provision in the schedule referred to in section 103 of the KCA relating to licences reads as follows:

> "2. Notwithstanding the repeal of (Chapter 411), all licences granted by the former Corporation shall be deemed to be granted by the Commission (the CCK) under the corresponding provisions of this Act and shall remain in force until they are revoked in accordance with any terms in that regard set out in the licence and replaced by licences granted under this Act".

Since the licences granted under Chapter 411 were continued under the KCA it is only reasonable to assume that they were to be held under the same conditions by which they had been issued until revoked. From the nature of things, Parliament could not have intended to grant free licences without any controls when it repealed Chapter 411. To do so would amount to down playing the need for regulation which had been recognized by the previous Acts. These regulations are important and necessary for the conduct of the business of broadcasting in which the Plaintiffs, along with so many other players are involved. From the foregoing and based on the conduct of the parties as discussed earlier,

it is quite clear that the Plaintiff was under an obligation to obtain the CCK's consent before it could relocate its radio and television transmitting sites. It failed to do so. In fact, the matter may be settled satisfactorily by reference to section 24 of the Interpretation and General Provisions Act (Chapter 2) which provides in no uncertain terms as follows:

> "24. Where an Act or part of an Act is repealed, subsidiary legislation issued under or made in virtue thereof shall unless a contrary intention appears, remain in force, so far as it is not inconsistent with the repealing Act, until it has been revoked or repealed by subsidiary legislation issued or made under the provisions of the repealing Act, and shall be deemed for all purposes to have been made thereunder".

It has already been seen that Chapter 411 expressly applied the Regulations made under Chapter 17 of the Laws of the former East African Community. Those Regulations are deemed, in view of the clear provisions of section 24 of Chapter 2, to have been made under Chapter 411 and continued under the KCA. There was no evidence whatsoever that those Regulations were inconsistent with the KCA.

In the affidavit sworn on 30 April 2001, Benjamin Musila Muinde deponed that Royal Media wrote to the CCK on 28 January 2001 advising on the relocation of its transmitting equipment from the Limuru Station to Karen. Now, why would Royal Media write to CCK informing the latter about its relocation to Karen when it actually believed, as it argued it did, that once a licence was granted no relocation notification was necessary. In response to this question by the Court, Dr *Kuria* submitted that this was simply an act of good business practice. I do not accept, nor believe, that Royal Media, in writing that letter was acting out of courtesy; rather, I believe, it acknowledged the need to seek approval of the proposed relocation. This letter, although its receipt is denied by CCK, makes two important admissions on which I have already made findings. These are:

(a) That Royal Media was allowed to locate its transmitting equipment at Limuru before it moved them to Karen;

(b) That there was need for notice to the CCK, and the latter's approval for relocation.

If there was need for notification, the circumstances of this case show that authorization had to be given before any action could be taken by Royal Media to relocate its transmitting equipment. The alleged notice did not give any ultimatum and I cannot understand why Royal Media took it upon itself unilaterally to decide that having "written" to the CCK, it could automatically relocate or that authorization had been granted. Dr *Kuria* made no argument that the CCK was under any obligation to respond to the notice within any period of time. With all due respect, the issue here was not whether the CCK had or had not objected to the notification but whether authorization, as required, had in fact been given. The issue was also not whether there had been any protests of interference. It was enough that the licence had been breached. In any event, the allegation that notice had been given only concerned movement from Limuru to Karen. It is, therefore, taken that no notification was ever given in respect to the movement from Limuru to Ambank House. Finally, the notification is, in any case disputed and there is no evidence whatsoever that it was ever sent as required under section 100 of the KCA. In my view, there was no such notification as alleged. It would appear that the Plaintiffs are trying extra-judicially to legalise their otherwise unlawful act. That is dangerous and a

stern warning is hereby issued to the deponent of the affidavit containing that falsehood.

In the alternative, Dr *Kuria* invoked the principles of natural justice, arguing that even if there was an express condition requiring Royal Media to inform the CCK of its decision to relocate and assuming that that was not done, the CCK could not interfere with the equipment of Royal Media in the manner it did in disregard to the rules of natural justice. He did not elaborate the point but I understand him to mean that Royal Media should have been given a hearing before its equipment was seized. Although the cases of *David Oloo Onyango v The AG* [1986] LLR 1242 (CAK) (Nyarangi, Platt and Gachuhi JJA) and *Ramolgan v The Mayor, Aldermen and Burgesses of San Fernando* [1986] LRC (Const) 377 clearly stated the law that when a right is given to an individual, there should be no State interference with that right without observing the rules of natural justice, the circumstances of this case fall outside, as it shall be seen later, the scope of those authorities. It will be seen later that the searches in this case were within the constitutional limits and according to statutory powers. In that case, there was no right to be heard at the time of applying for the warrants. The right to a hearing comes later at the trial for which purpose the equipment was seized. That is enough for that at this point. I will now proceed to the second head.

2. *Injunctions against Officers of the Government*

The provisions of section 16 of the Government Proceedings Act (Chapter 40) have already been set out at the beginning of this ruling. Going by the authorities cited in this Court, there was no dispute that this Court could, in a proper case, issue injunctive relief against government officers. Dr *Kuria* made very useful arguments in this respect. He availed to the Court a number of decisions which considered the point. In the whole, his submission was that *Matalinga and Others v AG* [1972] EA 518, *Rwigara Assinapol v Commissioner of Customs and Excise* Nairobi HCCC No 2786 of 1992 (ur) (Akiwumi J as he then was) and other decisions which had held that no injunctions could be issued against government officers were wrongly decided. I agree that for some time there has existed a wrongful impression that section 16 of Chapter 40 (Government Proceedings Act) prevented this Court from granting injunctive reliefs against officers of the government. It is, therefore, opportune here to reconsider the question and clarify the law as I understand it. If one considers carefully the function of the judiciary in a democratic and free society with an entrenched constitution as ours, it is very hard to justify the statement that this Court cannot, in view of section 16 of Chapter 40 issue injunctions against officers of the government who act in excess of their authority. It is noted that, government officers, in the exercise of their executive functions, are sometimes required to discharge certain statutory functions and otherwise owe a duty to act according to law established. It must also be remembered that officers of the government cannot act in a manner that is inconsistent with the Constitution and constitutional rights and freedoms. The provisions of section 84(2) set out earlier, give clear power to this Court to ensure that constitutional rights and freedoms are upheld. To do that the Court is given power to “make such orders, issue writs and issue such directions as it may consider appropriate”. In the light of this clear power, there is no justification whatsoever to state that this Court has no power to issue injunction against officers of the government if

that remedy is necessary for enforcement of fundamental rights and freedoms under the Constitution. In fact, the statement that no injunction can be issued against officers of the government has no support in the practice of this Court when one consider this Court's powers in judicial review proceedings. For a long time, this Court has been clothed with special powers under Order LIII of the Civil Procedure Rules which have enabled this Court to issue "coercive" orders against officers of the government requiring them to do or refrain from doing one act or another. If an officer of the government acted in disregard of the law or otherwise engaged himself in wrongdoing, he would be acting outside the scope of his authority and would be subject to personal liability including being liable to injunctions notwithstanding the provisions of section 16 of Chapter 40. However, the problem, as is the issue here, arises when an officer of the government is acting within his or his apparent or ostensible authority. In that case, he is still liable to have orders issued by this Court requiring him to do or refrain from doing some act as has already been seen. This is where judicial review procedure comes in. The availability of injunctions in judicial review proceedings against officers of the government was considered in great detail in the case of *M v Home Officer and another* [1993] 3 All ER 537 particularly in the leading and detailed judgment of Lord Woolf. In that case the Court considered the failure of Mr Kenneth Baker, the Secretary of State of the United Kingdom to comply with a mandatory order of the Court. In that case a citizen of Zaire had been removed from the United Kingdom to Zaire contrary to a Court order.

After considering the sequence of events leading to the decision of the majority of the Court of Appeal coming to the conclusion that Mr Baker was guilty of contempt, Lord Woolf said as follows at 548:

> "The facts of this case illustrate that circumstances can occur where it is in the interests both of a person who is subject to the powers of government and of the government itself that the courts should be in a position to make an order which clearly sets out either what should or what should not be done by the government".

In concluding that injunctive relief was available in judicial review proceedings against an officer of the crown Lord Woolf considered the historical development of the question in its present form. This began in *R v Secretary of State for the Home Department ex p Herbage* [1986] 3 All ER 209; [1987] QB 872 and was followed by *R v Licensing Authority ex parte SmithKline French Laboratories Ltd (No 2)* [1989] 2 All ER 113; [1990] 1QB 574. In the latter decision, the Court of Appeal approved the judgment of Hodgson J in *Herbage*. Those cases contained dicta which indicated that in judicial review proceedings injunctive relief could be granted against officers of the Crown. In both cases the Crown had been unable to appeal as it had been successful. In *Factortame Ltd v Secretary of State for Transport* [1989] 2 All ER 692; [1990] 2 AC 85; [1989] 2 WLR 997 IIL it was argued that the dictum was wrong.

In the *SmithKline* case Lord Woolf indicated that injunctive relief was available in judicial review proceedings both against the Crown and its officers. This was based on his view that the distinction between the Crown and its officers was of no practical significance in judicial review proceedings. However, in *M v Home Office* he admitted that that statement was too general and dangerous to be accepted without careful attention. He said as follows at 551:

> "My judgment in the earlier case *SmithKline* may have caused some confusion in *Factortame* by obscuring the important fact that, as was the position prior to the introduction of judicial review, while prerogative orders are made regularly against Ministers in their official capacity they are never made against the Crown".

Dr *Kuria* in his argument conceded, and in my view rightly, so that there can be no injunctions against the government. Where there is a cause of action directly against the government, there can be no injunctions. The appropriate remedy in that case would be to seek declaratory relief against the government. This is founded on the principles that the King cannot do wrong and that the King cannot be sued in his own courts. However, as Lord Woolf observed at 551 of *M v Home Office* the dispute was not the validity of those principles when compared against the statement of Professor Dicey quoted at the beginning of this ruling but the manner in which in practice they were reconciled by the Courts. How was that? Lord Woolf, said as follows at 551–553:

> "The fact that the sovereign could do no wrong did not mean that a servant of the Crown could do no wrong. Prior to the Crown Proceedings Act of 1947 it was long established that what would now be described as private law rights could be established against the Crown either by bringing a petition of right or, in the case of an action in tort, when a petition of right was not available (*Tobin v R* [1864] 16 CBNS 310, 143 ER 1148), by bringing an action for damages against the servant of the Crown responsible for the tort in his own name. Such an action was possible since, as was pointed out by Cockburn CJ in *Feather v R* [1865] 6 B and S 257 at 296, 122 ER at 1205: 'As the sovereign cannot authorize wrong to be done, the authority of the Crown would afford no defence to an action brought for an illegal act committed by an officer of the Crown' ".

The position so far as civil wrongs are concerned, prior to the 1947 Act, can be summarized, therefore, by saying that as long as the Plaintiffs sued the actual wrongdoer or the person who ordered the wrongdoing he could bring an action against officials personally, in particular as to torts committed by them and they were not able to hide behind the immunity of the Crown. This was the position even though at the time they committed the alleged tort they were acting in their official capacity. In those proceedings an injunction, including, if appropriate, an interlocutory injunction, could be granted. The problem which existed in seeking a remedy against the Crown was not confined to injunctions. It applied to any form of proceedings and where proceedings were possible by suing the wrongdoer personally then an injunction would be available in the same circumstances as other remedies. If such a position required reconciling with the historic maxim as to the Crown doing no wrong, then this could be achieved by an approach, which Mr Richards endorsed in the course of argument, by saying that, as the Crown could do no wrong, the Crown could not be considered to have authorized the doing of wrong, so the tortfeasor was not acting with the authority of the Crown. (In this summary I put on one side the position with regard to a claim for immunity on the basis of act of state. This is not relevant for present purposes). The difficulty which a Plaintiff might have in identifying the appropriate servant of the Crown who was the tortfeasor in practice was overcome by the Crown nominating the individual responsible for the damage and the lack of resources of the Defendant did not cause problems since the treasury would make an *ex gratia* payment of compensation if it was a case where, but for Crown immunity, the Crown would be vicariously liable. In such proceedings, if it was appropriate for an injunction to be granted, there was no reason why this should not be done.

However, the limitation under section 16(2) is not practically ineffective in view of the fact that injunctions are available against officers of the government in judicial review proceedings. As Lord Woolf observed at 555–556, where

injunctions were available against officers of the government before the advent of judicial review "because he had personally committed or authorized a tort, an injunction could still be granted on precisely the same basis as previously since, as already explained, to grant an injunction could not affect the Crown because of the assumption that the Crown could do no wrong". In that event, the proceedings had

> "to be brought against the tortfeasor personally in the same manner as (before judicial review). If, on the other hand, the officer was being sued in a representative capacity, whether as an authorized government department … No injunction could be granted because in such a situation the effect would be to give relief against the Crown".

So, for example, if A sues the Attorney-General of this country in a dispute between him and the government over some property which he claims to belong to him, he cannot come to this Court and seek an injunction against the Attorney-General. If, on the other hand, a Plaintiff obtains judgment against a government department and the decree is not satisfied this Court will, on being moved order the responsible officer to make payment in a proper case in judicial review proceedings. In practical terms, that would be a mandatory injunction against the particular officer. Under Order LIII, rule 1(4) of the Civil Procedure Rules this Court has power, upon granting leave to bring judicial review proceedings, to issue an order for stay which may in appropriate circumstances amount to an injunction against an officer of the government.

In the exercise of their executive functions, officers of the government may be required to discharge some statutory duty. In that case, if there has been breach of that duty, there appears to be no justification for stating that this Court cannot come in and require the officer in question to fulfil his obligation under the statute whether it may be by way of injunctive relief or otherwise. In this respect, Lord Woolf said as follows at 556:

> "There appears to be no reason in principle why, if a statute places a duty on a specified Minister or other official which creates a of action, an action cannot be brought for breach of statutory duty claiming damages or for an injunction, in the limited circumstances where injunctive relief would be appropriate, against the Minister personally by any persons entitled to the benefit of the cause of action".

Lord Woolf set out the matter well in his consideration of the case of *Merricks v Heathcoat-Amory* [1955] 2 All ER 453; [1955] Ch 567, He said as follows at 556–558:

> "It is now necessary to refer to *Merricks v Heathcoat-Amory* [1955] 2 All ER 453, [1955] Ch 567, a case which requires careful consideration because of the importance attacked to it, as we shall see later, by Lord Bridge in *Factortame*. In *Merricks* the Plaintiff sought a mandatory injunction against the Minister of Agriculture, Fisheries and Food both in his personal capacity and in his capacity as Minister, a corporation sole constituted by statute. The injunction required the minister to withdraw the draft of a statutory scheme regulating the marketing of potatoes which had been laid by the minister before Parliament for approval when acting in his capacity as minister and also restraining him from seeking approval of the scheme by Parliament. An application was made on behalf of the minister to strike out the proceedings as being misconceived. It was argued by the law officers on behalf of the minister that, in so far as the proceedings were brought against the minister in his official capacity, there was no jurisdiction to grant an injunction against a minister and, in so far as the proceedings were brought against the minister in his personal capacity, he could not and did not purport to lay the scheme in his personal capacity. It was also submitted that the minister owed no duty to the Plaintiff and that, if he acted in a personal capacity, he acted as a member of Parliament, which involved parliamentary privilege. Not

surprisingly Upjohn J acceded to the application. Even today on an application for judicial review it could be difficult to persuade a court to intervene on similar facts to those in the *Merricks* case, though in view of the decision in *R v HM Treasury ex Smedley* [19851] 1 All ER 589, [1985] QB 657 I do not go far as to say it would be impossible to do so. However, the *Merricks* case was brought by what today can be described as private law proceedings and the Plaintiff, most certainly in those proceedings was not entitled to seek any, and in particular injunctive, relief. He was not seeking to enforce any legal or equitable right to which he was entitled. He would as the law had so far developed lack the necessary standing to bring the proceedings. However, Upjohn J came to the conclusion that the minister from start to finish was acting in his capacity as an officer representing the Crown and went on to say that as this was the position it was conceded that no injunction could be obtained against him and therefore the motion faded *in limine* (see [1955] 2 All ER 453 at 456, [1955] Ch 567 at 575). He added that he could not see how there could be the three categories of situation for which the Plaintiff argued, the first being when the minister was representing the Crown, the third where he was acting in a purely individual capacity and the second, which he considered created the difficulty, involving a person deceased in an official capacity but not representing the Crown. As to the second category Upjohn J said [1955] 2 All ER at 457, [1955] Ch 567 at 575–576):

> 'It is possible that there may be special Acts where named persons have special duties to perform which would not be duties normally fulfilled by them in their official capacity; but in the ordinary case where the relevant or appropriate Minister is directed to carry out the function or policy of some Act, it seem to me he is either acting in his capacity as a Minister of the Crown representing the Crown, or is acting in his personal capacity, usually the former. I find it very difficult to conceive of a middle classification'.

I do not find the scope of this statement clear. If Upjohn J was intending to suggest that it was not possible for a minister to be under a personal liability and subject to injunctive relief for wrongs committed by him in his official capacity then it is inconsistent with the authorities cited earlier. The approach indicated by those authorities was relied on by the Plaintiff in *Merricks* [1955] 2 All ER 453 at 455, [1955] Ch 567 at 571 who cited in support the first-instance decision of Boxburgh J in *Harper v Secretary of State for the Home Dept* [1954] Times, 18 December. However, that was a case heard *ex parte* and Upjohn J did not in those circumstances attach importance to it. The case went to the Court of Appeal (see [1955] 1 All ER 331, [1955] Ch 238), where, without finally committing himself, Evershed MR in fact described the position accurately when he said [1955] 1 All ER at 339–340, [1955] Ch 238 at 254:

> 'I return at the end of my judgment to the point which I mentioned earlier and on which I would say one final word, viz, the question of the Defendant to this action. I have said that the Defendant is "the Secretary of State for the Home Department" sued, that is to say, by his official title as a Minister of the Crown. It is said by counsel for the Plaintiffs that, since the report [of the boundary Commissioners] disregarded the rules in the Act of 1949, therefore it is not a report within the meaning of the Act, and that the Secretary of State has neither the duty to the House or to anyone else nor the power or authority to take this proposed Order in Council to Her Majesty. I am not myself satisfied that counsel for the Plaintiffs is not in this respect on the horns of a dilemma. If the whole thing is a nullity and all he seeks to do is to restrain a particular individual, who happens at this moment to be the Secretary of State, I am not satisfied that he ought not to sue him in his personal capacity as for an ordinary wrong – though, in that case it would not be clear to me what breach of duty to the Plaintiffs he was engaged on committing. On the other hand, if he does sue him, and rightly sues him in his capacity as Secretary of State, then I am not satisfied, though I express no final view on it, as we have not heard full argument, that the case is one which, having regard to the terms of the Crown Proceedings Act of 1947, will lie.'

> (See also *Merricks v Heathcoat Amory* [1955] 2 All ER 453 at 456, [1955] Ch 567 at 574.) Upjohn J's approach appears to treat a placed upon a named minister as being placed upon the government as a whole. This could be said to be in accord with the approach of Lord Diplock and Lord Simon in *Town Investments Ltd v Dept of the Environment* [1977] 1 All ER 813, [1978] AC 359. However, in that case your Lordships' House was dealing with a very different situation, namely the consequence of a grant of a lease to a named department of government which can make the Crown and not the department the tenant. It is not appropriate to apply that approach to actions in tort, including actions for breach of statutory duty, since this would mean that the 1947 Act had the surprising effect of treating the wrongful act of a named minister as being that of the Crown so that the minister could no longer be sued personally in tort or for injunctive relief. Thus while the outcome of the *Merrick*'s case was correct, the reasoning of Upjohn J was incorrect, if and in so far, by his remarks which have been cited, he was seeking to suggest that a minister when acting in his official capacity could not be sued personally and an injunction granted. In any event his remarks could have no application to proceedings for the prerogative orders or judicial review which he was not considering".

Lord Woolf's discussion of the question is clear and elaborate. He made a detailed consideration not only of the relevant principles but also their historical background. It is quite clear, therefore, that injunctions are available against government officers in the circumstances which have already been discussed. It is worthy of note that our section 16 of Chapter 40 is substantially similar to section 21 of the Crown Proceedings Act 1947 which was considered by Lord Woolf in the *M v Home Office* case. In this jurisdiction, prerogative orders are issued regularly by this Court which, as discussed in the foregoing passage, are truly injunctions. It does not escape that there are situations in which it will be necessary to restrain a public officer and others when he must be compelled to do a thing which it is his duty to do. He may be required to refrain from doing something which is wrong whether he be acting in his office or not. The function for determining this rests with this Court and it is not correct to state generally that injunctions cannot issue against officers of the government.

In *Olive Casey Jaundoo v Attorney-General of Guyana* [1971] AC 972, the Privy Council (Lord Guest, Lord Donovan, Lord Wilberforce, Lord Pearson and Lord Diplock) also accepted the proposition that an injunction could be issued against a government officer. At 985 of the judgment delivered by Lord Diplock, the Court said as follows:

> "A declaration of rights unlike an injunction, however, is not a suitable form of interim relief pending final determination of the landowner's application. But if the matter were urgent, it would have been open to the landowner to add, as an additional party to the motion, the Director of Works or the Minister in whom the powers of the Director of Works under the Roads Ordinance are now vested and to claim an injunction against him. This would have given the court jurisdiction to grant an interim injunction if the urgency of the matter so required. This was the course adopted in the Canadian case of *Carlic v The Queen and Minister of Manpower and Immigration* [1968] 65 DLR (2d) 633, although their Lordships do not accept as correct that the interim injunction granted in that case should have been expressed to be against both Defendants instead of against the Minister to the exclusion of the Queen. In the instant case, however, the landowner did not seek any declaratory relief and did not join any party against whom the court could grant the injunction which the landowner claimed".

Finally, that injunctions can be issued against officers of the government is bolstered by the Privy Council's decision delivered recently on 19 June this year in *Gairy v Attorney-General of Grenanda* published on 25 June 2001 in *The*

Times at 26. The court in that case, while considering the constitutional protection against deprivation of property guaranteed by section 6 of the Constitution of Grenada, warned against any provisions inhibiting effective enforcement of constitutional rights. The Court stated that provisions of a supreme constitution cannot be read down so that they accorded with pre-existing rules or principles. To do so "was to subvert its purpose". The court was bold and stated that where express constitutional power is given the court could grant any remedy within its jurisdiction and if need be "fashion a new remedy to give effective relief". If that is so and in view of section 84(2) of our Constitution, what possibly can prevent this Court from issuing an injunction against officers of our government if that is necessary to give effect to the rights and freedoms guaranteed in the Constitution? There can be none. In our jurisdiction, this matter was also considered recently by my Learned Sister Rawal J a few months ago in *Royal Media Services Ltd v Commissioner of Customs and Excise* [1995] LLR 1692 (HCK) where she also considered the Gairy decision and concluded that injunctions could be issued by this Court against government officers. However, with all due respect to her, I think she was not absolutely correct when she concluded that the Judges in *Gairy* "gave mandatory orders against the state". That is not so. The injunction in that case was directed against the Minister of Finance of Grenanda. In *Richard Chirchir and another v Henry Rong'uno Cheboiwo and another* Nairobi CA Civil Application No NAI 253 of 1992 (UR 102/92) (ur) (Gachuhi and Kwach JJA and Cockar JA (as he then was) the Court of Appeal refused to grant a stay of execution in an application brought under rule 5(2)(*b*) of the Rules of that Court seeking to stay an order of my learned sister Aluoch J whereby she granted an injunction against a returning officer in the 1992 elections and the Electoral Commission of Kenya. The refusal to grant the stay would imply that the Court of Appeal did not hold the view that the Applicants had an appeal with reasonable chances of success. This would strongly suggest, as I have already found that injunctions can be issued against officers of the government.

Mr *Okoth* did not dispute these principles but argued that injunctions could only be issued in this case if the proper officers of the government had been joined. From the material before the court, there is no doubt that the Fifth Defendant is a police officer. As to the 9 to 12 Defendants, no replying affidavit was filed to dispute that they were police officers. In the circumstances, I take it that they are such officers and, therefore, officers of the government. As already discussed, they are amenable to injunctions if this Court considers that such remedy was necessary.

3. *Liability of the Employees of the CCK*

Section 15 of the Kenya Communications Act provides as follows:

> "15. Subject to section 126, no matter or a thing done by a member of the Board (that is the Board of Directors of the CCK) or by any officer, employee or agent of the (CCK) shall, if the matter or thing is done *bona fide* for executing the functions, powers or duties of the (CCK) under this Act, render the member, officer, employee or agent or any person acting on their directions personally liable to any action, claim or demand whatsoever".

That section provides for protection from personal liability for the directors, officers, employees or agents of the CCK. Persons also acting on the directions of the CCK's directors, officers, employees or agents are also exempted from

personal liability. In both cases the matter or thing done for executing the functions, powers or duties of the CCK must be *bona fide*.

Dr *Kuria* argued against the exemption from personal liability where there were breaches of fundamental rights. He argued that the use of the word "*bona fide*" did not give a blanket immunity. I agree with him.

There have been important developments in international law which have insisted on personal liability in contradistinction to the traditional doctrine of state responsibility. This has been common in areas of serious crimes against humanity. Protection of property is an important part of our constitutional system. It is the foundation for which men formed government. I am of the view that immunity may be lifted where it is clear that there was a flagrant breach of fundamental rights in a manner that is an affront to our values and principles as a society. If there was wanton destruction of property and excessive use of force than was necessary in the circumstances this Court may call upon the individuals to shoulder responsibility notwithstanding any immunity available to them. The provisions of section 15 of the KCA must also be looked at carefully in the same manner as section 16 of Chapter 140. If it purports to restrict this Court's constitutional power to deal with issues of fundamental rights and freedoms the immunity would be of no effect. The court may, in that case, disregard the immunity and make any order which it deems appropriate to enable it effect respect for constitutional rights. In any event, that immunity cannot be used by the employees of the CCK to enable them act unlawfully.

However, in this case, there was no clear evidence of such unlawfulness to enable the court to lift the immunity: The CCK fully admits responsibility for the actions of its employees in this case and any order that need not specifically to be made against the employees may in that case be made against the CCK.

4 *Availability of Prohibitory and Mandatory Injunctions at The Interlocutory Stage*

The jurisdiction of this Court to grant interlocutory injunctions have been well established in the now famous case of *Giella v Cassman Brown and Co Ltd* [1973] EA 358. In that case, Spry VP set out those principles as follows:

(a) That an Applicant must show a *prima facie* with a probability of success;

(b) That an injunction will not normally be granted unless the Applicant might otherwise suffer irreparable injury; and

(c) That when the court is in doubt, it will decide the application on a balance of convenience.

This case no doubt raises serious constitutional issues that require serious and in-depth consideration. I will return to the first principle (a) above in due course.

As to the second principle (b) above, that is, whether there would be irreparable injury, Mr *Okoth* argued that loss of Royal Media was quantifiable and could be adequately compensated by an award for damages. He argued that the CCK was not impecunious and could satisfy any award of this Court in that respect. With all due respect, that is a very narrow approach to be adopted in the matter. Where constitutional rights are in issue, a party cannot be allowed to breach them merely because he has capacity to compensate the Plaintiff by way of damages. Although there were expressions in this case which tended to show the Royal Media's monetary loss in the matter, the greater question is whether that alone is sufficient basis to entitle this Court not to exercise its

discretion in granting the injunction sought. There are aspects of breach of constitutional rights that cannot be compensated for by an award of damages and it would be unfair and unjust to force a Plaintiff to accept damages in that case instead of granting the injunction sought. Whether or not there have been constitutional breaches in this case will be considered later. However, at this point I cannot hesitate to state that if it is shown that there has been any constitutional breach whatsoever, the injunction sought will, without more, be issued.

On the final principle: the balance of convenience, Mr *Okoth* argued that this tilted in favour of the CCK which was under a statutory obligation to ensure that Royal Media was abiding with its licence conditions. He further argued that the equipment seized was required as evidence in a criminal trial in the subordinate court. That is very well. In my view, if it is found that there was no constitutional breach and that there is doubt as to whether the case is likely to succeed, the balance of convenience will shift undoubtedly, in favour of the CCK (and its agents) in the resolution of the question whether the seized equipment ought to be returned to Royal Media or not. In saying this, I have carefully warned myself to what the Court of Appeal at Nairobi said in *Kamau Macuha v The Ripples Ltd* [1992] LLR 2164 (CAK) (Hancox CJ, Kwach JA and Cockar JA (as he then was). In that case, the court considered the question of granting a mandatory injunction at the interlocutory stage. That case considered situations in which the court may grant injunctions requiring the taking of some positive steps in an interlocutory application. The general principle established by that case is that mandatory injunctions at the interlocutory stage will only be granted exceptionally and in the clearest cases. The rationale for this is found in the statement of Megarry J in *Shepherd Homes v Sandham* [1970]3 WLR 348 (cited in *Kamau Macuha* at 7 of the ruling of Hancox CJ: "If a mandatory injunction is granted on motion, there will normally be no question of granting a further mandatory injunction at the trial what is done is done and the Plaintiff has, on motion, obtained (a substantial relief sought in the action)".

The availability of a mandatory injunction is not defeated merely because the Defendant has put in place a *status quo* different from that which obtained between him and the Plaintiff. The illustration of Megarry J, once again, says it well on this point (also cited, at 8 of the ruling of Hancox CJ in *Kamau Mucuha*:

> "If of course, the Defendant has rushed on with the work in order to defeat the Plaintiff's attempts to stop him, then upon the Plaintiff promptly resorting to the court for assistance, that assistance is likely to be available; for this will in substance be restoring the *status quo*, and the Plaintiff's promptitude is a badge of the seriousness of his complaint".

The court in the *Kamau Macuha* case did not have doubt that a mandatory injunction in an interlocutory application may be granted where the Defendant is guilty of an unlawful act if the order is sought with promptitude. In the present case, the Plaintiffs have moved with such speed in the matter that no attack may be made against their case on their promptitude. They filed this application one day after the cause of action arose. Now, the next question will be whether there are clear and exceptional circumstances to grant a mandatory injunction at this stage of the Plaintiff's application. There are claims that the searches in this case were conducted in disregard of a court order and that they were done in an unconstitutional way. It was also claimed that the search warrants were unconstitutional themselves. These are important allegations.

There were no serious disputes on the facts in this case. The main question turns on whether the searches were in contravention of a court order or not and whether they were constitutional. These are substantially issues of law and, if I may repeat myself, I have no doubt that both prohibitory and mandatory injunctions sought will be granted if it is shown that the searches were done in disregard of a court order and if it is shown that they were unconstitutional. The fact that the subject matter of the suit is with a non-party will not come to bear in view of what was said by Megarry J in *Shepherd Homes* as cited at 8 of the judgment of Hancox CJ in *Kamau Mucuha* above. In any event, the fact that the subject matter in this case had been surrendered to the Chief Magistrate does not defeat this Court's power to deal with the question in the present case in view of what this Court said in *Samuel Kamau Macharia and another v AG and another* Nairobi HC miscellaneous appeal number 356 of 2000 (ur) Mwera, Mitey and Rawal (Mrs) JJ). It is enough that the Attorney-General was joined in this case. The Court in that case said as follows at 9–10:

> "Counsel for the First Respondent urged us to dismiss the application as being defective for the omission to join the trial magistrate and the Kenya Reinsurance Corporation as interested parties in this application. The Applicants are not seeking any orders against the Kenya Reinsurance Corporation. In any suit filed in this Court, it is the Attorney-General who represents any arm of the government or any public servant where the matter arises out of the public servant's course of duty. So that even if the magistrate in Kibera was joined as a nominal Respondent, it is only the Attorney-General that can appear in court to represent him".

It has already been seen that this Court has power to issue "coercive" orders against an officer of the government in a proper case. I will now consider an important English authority where the Court of Appeal of England issued mandatory injunctions at the interlocutory stage against officers of the government.

In *Ghani and others v Jones* [1970] 1 QB 693 police officers, inquiring into a woman's disappearance searched, without a warrant the house of her father-in-law. At their request he handed to them documents including the passports of himself, his wife and daughter, the Plaintiffs living in the house. The Plaintiffs who were Pakistanis, later asked for the return of the passports and documents as they wished to visit Pakistan. The police refused to return them. The Plaintiffs brought an action against the Defendant, a senior police officer, for a mandatory order for the delivery up of the passports and documents, an injunction restraining their detention and damages for detinue. On the Plaintiffs' interlocutory application, the police gave affidavit evidence of the belief that the woman had been murdered and that they would apprehend those concerned. They said that in the event of charges being preferred some of the documents would be of evidential value and others of potential evidential value. The Defendant said that the Plaintiffs could help the police with inquiries and that if they left the United Kingdom they might not return. No one had been arrested or charged of the murder. Talbot J ordered the return of the documents and passports. The Defendant appealed to the Court of Appeal and his appeal was dismissed. Lord Denning MR with whom the rest of the court (Edmund Davies LJ and Sir Gordon Willmer) agreed said as follows at 709:

> "It was suggested that a mandatory order should not be made for their return. The case, it was said, should go for trial, and the officers made liable in damages if they are wrong. But I think their affidavits fall so short of any justification for retention that they should be ordered to return them forthwith".

This case clearly shows that where the Court is satisfied that an injunction should issue against a government officer, nothing can prevent it from making a mandatory injunction against that officer ordering him to do something at the interlocutory stage. It has been said that the Court's power to issue injunctions at the interlocutory stage is linked to its power to issue injunctions at the final stage.

5. *Contempt of Court*

The substantive portion of Mulwa J's decision relevant to this case has already been set out at the beginning of this ruling. Dr *Kuria* argued that the search warrant in respect of Royal Media's Ambank House premises had been obtained by deception by failure to disclose to the Court which issued that warrant the existence of Mulwa J's ruling. He argued that the Defendants and their counsel were liable for contempt in that case.

Under section 5(1) of the Judicature Act (Chapter 8) this Court and the Court of Appeal are empowered to punish for contempt of court in the same manner as the High Court of Justice of England. That power is expressly stated to be used not only to uphold the authority of the courts exercising it but also that of the surbodinate courts. This was accepted in *Githunguri v Republic of Kenya* [1996] LRC 618 when the court clarified that the surbodinate court did not have any authority to refuse to hear a summons if the prosecution amounted to an abuse of the process of the court.

There is no doubt that this Court will punish as contempt any misuse of the court's process. As the learned author of the *Halsbury's Laws of England* (4 ed) Volume 9 (Lord Hailsham of Marylebone, Lord High Chancellor of Great Britain 1970–74 (Butterworths London 1974)) has stated at 27 paragraph 38, that power extends not only to forging or altering of court documents but also to deceiving the court or the court's officers by deliberately suppressing a fact or giving false facts. At footnote number 2 at 28, deceiving the court is stated to include the obtaining of a search warrant by false pretences to effect an arrest in a civil action. In *Linwood v Andrews and Moore* [1888] 58 LT 612 (reproduced in Volume LVIII, NS of the *Law Times Reports* at 612) the liability for contempt by misuse of the Courts' power was extended to counsel in a case where the counsel participated in the deception. The facts of that case were as follows: The action was instituted in January 1887 by the Plaintiff William Linwood, a young man about twenty-six years of age, against his aunt, Louisa Andrews, and Major J Leighton Campbell, both of whom had, it was said, acquired great influence over him, to recover certain property of his, consisting, among other things, of 15001 Buenos Ayres Six per cent, Bonds and 15001 alleged to have been made away with by them.

The first step in the action was on 21 January 1887, when Kay J granted an interim injunction restraining Louisa Andrews from parting with the bonds, and by another order, on 4 February that injunction was continued, and Louisa Andrews was ordered to bring the bonds, or their proceeds, if sold, into court.

On 1 April 1887, Louisa Andrews moved to discharge those two orders, and there was also a cross-motion by the Plaintiff to attach Louisa Andrews for contempt in not having brought the bonds or money into court.

Kay J refused Louisa Andrews' motion, and ordered her committal on the Plaintiff's motion. Then a further motion was brought on by the Plaintiff to

continue an interim injunction granted on the 18 March restraining the Defendant Campbell from removing the Plaintiff out of the jurisdiction.

An affidavit by the Plaintiff was read in support of that motion, stating that one night when recovering from illness, the Plaintiff was forcibly abducted by the Defendant Campbell from a farmhouse. The Plaintiff, however, managed to escape to the house of a friend. The motion resulted in the Defendant Campbell giving an undertaking in the terms of the injunction asked for. On 19 April Louisa Andrews appealed against the orders of 1 April and her appeal was dismissed with costs. Before the order for attachment could issue Louisa Andrews left England, but afterwards returned.

The Defendant Charles Edward Moore appeared as counsel for Louisa Andrews on 1 April before Kay J, and on 19 April, in the Court of Appeal. He was joined as Defendant to the action, and the case came on upon motion on behalf of the Plaintiff to commit the Defendant Charles Edward Moore to prison for alleged contempt of court (1) in attempting to obstruct the course of justice by concealing the fact that he had in his possession the bonds in question on 13 January 1887, the date of the service of the writ and notice of motion for injunction against Louisa Andrews; (2) by secretly parting with the bonds to Thomas Edward Watkin since deceased, Louisa Andrew's solicitor, who instructed him (Moore) to appear as counsel; (3) by being a party to the reading to the court on 1 April 1887 of affidavits which he knew to be untrue; (4) by inducing Louisa Andrews to make an affidavit containing statements he knew to be untrue; and (5) by endeavouring to prevent the Plaintiff deriving any benefit from the order of 4 February 1887, directing Louisa Andrews to bring the bonds or its proceeds into court.

It appeared that on the Plaintiff's motion to attach Louisa Andrews, and on her motion to discharge the order of 21 January and 4 February, she made two affidavits, filed on 24 and 25 March, in which she stated that she had parted with the bonds long before the issue of the writ in this action; that she did so early in December 1886, long before she had any idea that an action would be brought against her; that she had since had no interest in them; that she did not know what had become of them; and that neither she "nor her solicitor, agent, or trustees, nor anyone else held the same on her behalf, or for her use or benefit either openly or upon any secret trust;" and therefore it was utterly out of her power to deposit the bonds or proceeds in court. The case then made against Moore was that, on 13 December 1886, before the issue of the writ, the Defendant Andrews fetched away the box containing the bonds from the bank where it was deposited, and took it to the Defendant Moore's private house for safe custody, she having been previously acquainted with him and his wife, that on or about 18 January 1887, the writ having been issued on 13 January, the Defendant Moore handed the box to Watkin, the Defendant Andrew's solicitor, who gave him a receipt for it and the bonds; that although he appeared as counsel for the Defendant Andrews before Kay J, and in the Court of Appeal, he suppressed this information, and failed to disclose it either to the court or his leader; and that the affidavits made by the Defendant Andrews were made under his advice. Moore, on the other hand, stated in an affidavit against the motion then before the court, that though he purported to appear for the Defendant Andrews, he never in fact read his brief, nor even knew what the nature of the motion against Andrews was, being determined to have nothing to do with the matter; that he had given up practice as a barrister for some

time, and was assistant to the civil service commission. It was said that Watkin, having got possession of the box containing the bonds, realized the Argentines, and applied the proceeds to his own use.

On 30 July 1887 Watkin died insolvent, leaving Moore as one of his executors, but Moore did not act. When the motion came for hearing Moore was cross-examined on his affidavit, particularly as to his relations with Watkin, Campbell, and Andrews. Having found Mr Moore guilty of the fraud that had been practiced to the court, the Learned Judge went on and said as follows at 613–614:

> "I should be wanting in the duty I owe to the society if I did not mark my disapprobation of such conduct in the strongest manner. It is my gainful duty – I say so with great pain and reluctance to order the Defendant Moore to be imprisoned for contempt … Had he behaved like an honest man not to say as a barrister and a gentleman when he knew that affidavits were going to be used containing matter amounting to chicanery, he would have disclosed the fact to the court. He has not done so. I was told the arm of the court was so short that it could not reach him, and that all that he had been guilty of was in not having thrown up his brief. This is not my opinion of the law. Moore's fault lies, not in not having thrown up his brief, but in having made himself a party to a fraud by conspiring with Watkin in inducing the Defendant Andrews to make these affidavits, which were used to delude the court".

Counsel for the Defendants did not challenge these propositions in any material way. However, they made arguments which raised the following issues:

(a) Whether there was any order at the time when the contempt is alleged to have been committed;

(b) Whether that order (assuming that one was indeed in place at the time the alleged contempt was committed) was indeed breached; and

(c) Whether the procedure adopted in this case was proper for consideration of a case for contempt.

The first argument (a) above was raised by Mr Mwenesi. In his view, there was no order at all which was breached: there was only a ruling at the time when the Plaintiff filed the amended plaint. The relevant order was issued on 16 May 2001. This was after this application had already been filed. He referred to section 25 of the Civil Procedure Act which reads as follows:

> "25. The court, after the case has been heard, shall pronounce judgment, and on such judgment a decree shall follow …".

In this, I understand him to mean that an order follows a ruling so that if no order has been obtained, none can be said to have been breached. An order has been defined by section 2 of the Civil Procedure Act to mean "the formal expression of any decision of a court which is not a decree, and includes a rule *nisi*". This argument is attractive for what it proposes. However, I do not think that a party can attend before the court and hear the pronouncements of the Judge on a dispute and thereafter go ahead and disregard them only because the party in whose favour the decision was made had not obtained "the formal expression" of that decision, that is the Order. Although I may accept that a party may be justified in not following a decision obtained in his absence, that is a decision made pursuant to an *ex parte* hearing until he had been served with the order of that hearing it is very hard to justify such non-compliance after an *inter partes* hearing. The rationale of this is clear: The person against whom an *ex parte* order is made cannot be aware of the decision until he has been served with an order to that effect. The case here is that the CCK appeared at the

hearing when Mulwa J made the ruling relevant in this case and it cannot be a defence for them, where they act in disregard of that ruling, to say that that decision had not been formalized. This is assuming that there was such a disregard. In any event this argument is minor and too technical in view of the more important constitutional issues raised in the application and it would be unfortunate if this Court were to decide this important case on such a technicality. Further, it will be seen later that this case is actually not determined on the basis of whether or not there was a disregard of this Court's orders.

Going to another point, I would like to consider whether in fact, the actions complained of in this case were in disregard of Mulwa J's ruling of 1 March 2000.

Having carefully perused the court record in this case, it appears to me that the cause of action before Mulwa J was wholly different from the one now before this Court. The case before Mulwa J related to different complaints which are separate from the alleged breaches that led to the present case. The case before Mulwa J related to different locations and included breach of contracts between Royal Media and the first three Defendants. Even if the factual distinction is not sufficient, it is clear that Mulwa J did not, by his ruling, grant Royal Media a *carte blanche* to operate without the law. If anything, that ruling was properly qualified by placing an obligation upon Royal Media to comply with "all the requirements as contained in the licences and in the (KCA)". As per that ruling, the CCK was left free to enforce compliance with the requirements of the KCA so that if there was any fresh breach, it was free to act as empowered under that Act. In the whole it is my view that the disclosure of the ruling of this Court dated and delivered on 1 March 2000 would not have affected the subordinate court, if properly guided as to its effect, in the exercise of its power to grant or refuse to issue a search warrant as applied for. It cannot therefore be said that failure to disclose the existence of that ruling in applying for the search warrant in respect of the Ambank House premises amounted to deceiving the court.

Although I need not consider the issue of procedure for punishment of contempt in view of my conclusions above, I find it necessary to comment on it since it was extensively addressed before me by counsel. Mr *Okoth* argued that there were elaborate procedures for contempt proceedings. He cited the case of *Mwangi HC Wang'ondu v Nairobi City Commission* [1988] LLR 1919 (CAK) (Masime JA, Gicheru and Kwach Ag JJA (as they then were) where the court said as follows on the point:

> "In his memorandum of appeal the Appellant has listed some 4 grounds of appeal but before urging these specific grounds, we invited Mr Ngaira, who appeared for the Appellant in this appeal, to satisfy us that there was a proper and competent application before the Learned Judge.The power to deal with contempt of Court is provided for under section 5 of the Judicature Act (Chapter 8) which so far as is material states:
>
> > '5(1) The High Court and the Court of Appeal shall have the same power to punish for contempt of Court as is for the time being possessed by the High Court of Justice in England, and that power shall extend to upholding the authority and dignity of subordinate Courts' ".

The other provision which empowers the Court to deal with cases of contempt is Order 39, rule 2(3) which provides:

> "In cases of disobedience, or of breach of such terms, the Court granting an injunction may order the property of the person guilty of such disobedience or breach to be

> attacked, and may also order such person to be detained in prison for a term not exceeding six months unless in the meantime the Court directs his release".

That is the provision pursuant to which the application for contempt was made in the High Court. In view of the clear provisions of section 5(1) of the Judicature Act, we have to turn to the practice and procedure in England in order to discover how the power to punish for contempt of court is exercised. In his application the Appellant sought an order for the attachment of the property of the Respondent. This is known as an order of sequestration which is normally issued against a defendant who is in contempt by reason of neglect to obey an order of the court. The procedure for committal for civil contempt in England where an order of sequestration is sought is set out under the Rules of the Supreme Court (RSC), Orders 45 and 46 and in *Halsbury's Laws of England* (4 ed) Volume 9 under the heading "Contempt of Court". Briefly the effect of these provisions is that as a general rule, no order of court requiring a person to do or abstain from doing any act may be enforced unless a copy of the order has been served personally on the person required to or abstain from doing the act in question. The copy of the order served must be endorsed with a notice informing the person on whom the copy is served that if he disobeys the order, he is liable to the process of execution to compel him to obey it. This requirement is important because the Court will only punish as a contempt a breach of injunction if satisfied that the terms of the injunction are clear and unambiguous, that the Defendant has proper notice of the terms and that breach of the injunction has been proved beyond reasonable doubt. In *Re Bramblevale Ltd* [1970] Ch 128, was a case where after a property company called Bramblevale Ltd had been put into a creditors' voluntary winding up and a liquidator appointed, an order was made requiring its managing director, a Mr Hamilton, to produce the books and papers of the company. He produced some papers but not all. He then claimed that the rest of the papers had been damaged in a car accident. The liquidator then applied for the committal of Mr Hamilton for contempt and Megarry J made the order against which the contemptor appealed to the Court of Appeal. In the course of his judgment following the appeal, Lord Denning MR said at 137(A):

> "A contempt of Court is an offence of a criminal character. A man may be sent to prison for it. It must be satisfactorily proved. To use the time-honoured phrase, it must be proved beyond reasonable doubt. It is not proved by showing that, when the man was asked about it, he told lies. There must he some further evidence to incriminate him".

In my view, the rigid procedure as stated for sustaining contempt proceedings is necessary where the proceedings are commenced specifically for that purpose by the litigant. However, there is nothing in that procedure that would prevent this Court, upon information, from taking action against a party who has disobeyed the Court's orders. If there was, it would be very hard to justify in view of this Court's wide powers under the Constitution and section 3A of the Civil Procedure Act. In a case where the rigid procedure has not been complied with, the Court may, while not strictly acting as a contempt Court, take a lenient course by granting an injunction to restrain either a threatened contempt or repetition of the contempt. In that case, the Court cannot be said to be acting on any application other than on its own initiative. However, the information of the contempt or threatened contempt may be brought to the attention of the Court by any other process. The learned authors of the *Law of*

Contempt (Gordon Borrie and Nigel Lawe [1973] Butterworths, London) considered this point and said as follows at 358:

"(d) Other powers of the courts

A further power open to the courts is to take the more lenient course of granting an injunction to restrain either a threatened contempt or a repetition of the contempt. The court can grant an injunction in lieu of either sequestration or committal. It has been emphasized, however, that the power to grant an injunction does not lie at the instance of a litigant, but is a discretion vested in the court, acting upon its own intiative. In *Elliot v Klinger* the court refused to grant an injunction against two companies which it was alleged had been aiding and abetting the breach of a previous injunction. As Stamp J said, the granting of an injunction is taken by the court:

> 'On its own initiative and not at the instance of a Plaintiff, whose proper remedy, where an injunction has been disobeyed or where there has been aiding and abetting by a third party of a breach of an injunction, is to move either to commit, or to apply, in the case of a company, for a writ of sequestration. It does not in the least follow that because the Court may take the lenient course that the Plaintiff is entitled to come to the court and ask the court to take that course without asking for committal.
>
> In any case it was held that the granting of the further injunction was no more effective a remedy then committal. A distinction, however, must be made between asking for an injunction with a view to enforcing a previous judgment and bringing fresh proceedings for an injunction, for in the latter case, even though the court may have made a prior injunction, the action is not in respect of a contempt and a litigant can therefore upon his own initiative ask for an injunction. It has been held that in a doubtful case, instead of proceeding for contempt, it is possible to apply for an order requiring the Defendant to state whether he has in fact complied with his undertaking' ".

It is clear to me therefore, that a party may, as in this case, ask for an injunction in a case to enforce a previous injunction without bringing contempt proceedings. There can be no doubt once again that if it can be shown that there was a disregard of this Court's orders, an injunction as sought would issue as a matter of course. This should be on the principles laid down in *Kamau Mucuha*. Dr *Kuria* was categorical that this was not contempt proceedings and it would, if proper, fall within an application for an injunction without seeking committal or sequestration. And in a case where issues of fundamental rights and freedoms are involved such a limitation cannot be justified in view of this Court's power under section 84(2) as already discussed. It is my view that any statutory or procedural limitation will not stand the test in the face of constitutional rights and freedoms. In that case, the constitutional provisions shall prevail in case of any inconsistencies. As I had earlier pointed out, this case cannot, therefore, be determined on the issue of whether or not there are proper proceedings for contempt before the Court. It would suffice if there was disregard of this Court's order to sustain this application. It has already been seen that there was none.

6. *Constitutionality of Searches and Search Warrants*

As I said previously, I consider this to be the most important issue in this case. The following are the important subheads of this issue:

I) Procedure for agitating constitutional issues;

II) Interpretation of constitutional rights and freedoms;

III) Constitutional limits to searches and search warrants;

I) Procedure for agitating constitutional issues

Section 84(1) of our Constitution provides as follows:

> "84(1) Subject to subsection (6), if a person alleges that any of the provisions of sections 70 to 83 (inclusive) has been, is being or is likely to be contravened in relation to him (or, in the case of a person who is being detained, if another person alleges a contravention in relation to the detained person), then, without prejudice to any other action with respect to the same matter which is lawfully available, that person (or that other person) may apply to the High Court for redress".

Subsection (6) provides that:

> "The Chief Justice may make rules with respect to the practice and procedure of the High Court in relation to the jurisdiction and powers conferred on it by or under this section (including rules with respect to the time within which applications may be brought) and references shall be to the High Court".

To this date no rules have been made pursuant to that subsection. Mr Mwenesi, being of the view that what was being challenged was the inconsistency of the KCA in relation to the Constitution, argued that the Plaintiff should have come by way of an originating summons to declare that law as invalid. He also argued that since this case fell under the court's civil jurisdiction, the case ought to be considered under the Civil Procedure Act. In this latter respect he argued that, therefore, if it was alleged that sections 73 to 78 of the Constitution had been breached, it was necessary to particularize the breach. These arguments are not very helpful to Mr Mwenesi in view of his own free concession that no rules have been made under section 84(6) of the Constitution and the authority of *James Mwangi Ng'ang'a v Kenyatta University Council and others Nairobi* HC miscellaneous. civil application number 1724 of 1999 (ur) cited by him. That case was decided by me on 23 October last year.

As I understand it, the Plaintiff's case went beyond challenging the constitutionality of the KCA. It questioned the constitutionality of the searches and the search warrants in this case as well. It touched on the constitutional rights and freedoms of the Plaintiff. That being the case, how were they to approach the court? In the *James Mwangi Ng'ang'a* case above, I considered the ruling of Apaloo CJ in the Nairobi Law Monthly No 51 of January 1995 regarding the procedure to be followed in bringing an action under section 84(2) of our Constitution. The Chief Justice outlined in that ruling, that a constitutional case could be commenced in any manner that a suit could be commenced under the Civil Procedure Rules. That being the case, it is clear that this case, having been commenced by way of plaint, is competently filed in this Court. As to his argument that the Plaintiff ought to have particularized the relevant constitutional breaches that is a strained argument. If the Constitution provided for the making of Rules under it which had not been made, does this then mean that the Civil Procedure Rules should come in to be applied? It may be that the Civil Procedure Rules would provide a useful guide in the exercise of the jurisdiction under section 84 of the Constitution but that should not in anyway be used to defeat a constitutional case. That was the overall ratio in *James Mwangi Ng'ang'a*. I have consistently stated previously in this ruling that any statutory or procedural requirement that defeats or tends to defeat agitation of constitutional rights will not stand in the face of section 3 of the Constitution. This should also deal with the issue of statutory notice to the government before commencing any action against it. If the action is constitutional in

nature, that requirement will be of no effect especially where it impedes the enforcement of constitutional rights and freedoms. In my view, it is enough to state that there has been a breach of a particular section of the Constitution and give a statement of facts showing such breach and if the Court can establish the substance of the case, it can deal with it. To insist on particularization would be to impose a requirement that had not been contemplated and one that has an undesirable effect to the spirit of the Constitution in the matter. I for my part found Mr Mwenesi's argument for particularization of breaches quite attractive but until the rules in that respect are made as required by section 84(6) of the Constitution that argument cannot succeed. I am, therefore, satisfied that this case is competently before this Court.

II) Interpretation of constitutional rights

As will be seen later, the general argument in this case came upon the construction or interpretation of certain constitutional rights and freedoms guaranteed in our Constitution. The guarantees of fundamental rights and freedoms in our Constitution are clear with express limitations. This is a common trend with most post-war written constitutions modelled on the Westminister form of government. In dealing with questions of such constitutions, it is, therefore, necessary to look at the clear provisions of the Constitution in determining the case.

This matter received important consideration in the Privy Council in the case of *Societe United Docks and Others v Government of Mauritius* consolidated with *Marine Workers Union and others v Mauritius Marine Authority* [1985] 2 WLR 114. The facts in those cases were as follows: Section 3 of the Constitution of Mauritius provided as follows:

> "It is hereby recognized and declared that in Mauritius there have existed and shall continue to exist without discrimination … but subject to respect … for the public interest, each and all of the following human rights and fundamental freedom, namely … (*c*) the right of the individual to protection … from deprivation of property without compensation, and the provisions of this Chapter shall have effect for the purpose of affording protection to the said right and freedom …".

Section 8 provided as follows:

> "(1) No property of any description shall be compulsorily taken possession of, and no interest in or right over property of any description shall be compulsorily acquired, except where the following conditions are satisfied, that is to say …
>
> (*c*) provision is made by a law applicable to that taking of possession or acquisition
>
> (i) for the prompt payment of adequate compensation; …".

The Code of Civil Procedure (Amendment) Act of 1981 by section 2 enacted a new code on arbitration, which was retrospective, article 1026–9 of which provided as follows: "*Le Ministere Public peuts'opposer a l'execution de la sentence arbitrale, lorsqu'il estime que cette execution est de nature a porter atteinte a l'interet public*". This was interpreted as follows: "The Ministe're – public [Attorney-General] can object to the enforcement of any arbitral award where in his opinion it would be contrary to the public interest to give effect to the award".

In the first appeal the Appellant dock and stevedore companies had for many years been engaged to handle, store and load sugar by a syndicate which was the sole sugar marketing organization in Mauritius. In 1970 the syndicate decided to establish a bulk sugar terminal, which would deprive the companies

of their main business, and the syndicate agreed to pay compensation to the companies. In 1979 the government of Mauritius decided that ownership of the terminal should not vest in the syndicate but in a statutory corporation controlled by representatives of the government. The corporation was established by the Mauritius Sugar Terminal Corporation Act of 1979, and section 5 gave the corporation a monopoly in relation to storing and loading sugar. The terminal became operative in 1980 and the companies lost their main business without compensation from the government, or from the syndicate which was not liable to pay compensation since it was not operating the terminal. The companies brought actions against the government in the Supreme Court of Mauritius seeking redress under section 17 of the Constitution claiming that the Act of 1979 had deprived them of property without compensation contrary to sections 3 and 8 of the Constitution and that they were entitled to compensation. The Supreme Court dismissed the consolidated actions of the dock and stevedore companies. In the second appeal the Appellants were workers and trade unions representing workers employed by the ports authority, the MMA. In 1979 the unions and the MMA agreed to submit to arbitration a dispute concerning salaries and allowances with the award to be binding on them. An arbitrator and two assessors were appointed and on 2 August 1980 an award was made which provided for a substantial increase in salaries from 1 January 1980 to 30 June 1983. In December 1980 the Appellants applied to the court for the award to be made executory and enforced. The government considered the increases to be undesirable and the Minister responsible for ports gave a direction to the MMA not to implement the award under section 9(1) of the Ports Act of 1975, which empowered him to give, in the public interest, directions to the MMA as to the manner in which the MMA should exercise its powers. The MMA accordingly opposed the Appellants' application. On 3 April 1981 Glover J reserved judgment, and the Code of Civil Procedure (Amendment) Act of 1981 was passed. It came into force on 8 April. On 9 April the Attorney-General, under that Act, served a notice of objection to enforcement of the award on the ground that the award was contrary to the public interest. The Appellants claimed that the new article 1026–9 of the Code of Civil Procedure and section 3 of the Act of 1981 deprived them of property without compensation contrary to section 8 of the Constitution, and the Judge referred the matter to the Supreme Court, which held that the award could not be made executory.

On appeals by the dock and stevedore companies in the first appeal and the Appellant workers and unions in the second appeal it was held that the right of the individual to protection from deprivation of property without compensation afforded by section 3 of the Constitution applies also to corporate bodies and the protection was not confined to property which had been compulsorily taken possession of or compulsorily acquired within section 8.

It was further held that the dock and stevedore companies' loss of profit and inability to sell their goodwill was not caused by coercive actions of the government since although the Mauritius Sugar Terminal Corporation Act 1979 authorised the construction of the terminal and gave it a statutory monopoly because the companies' loss was caused by being unable to provide an efficient service for the sugar industry and, therefore, they were unable to compete with the terminal; that the government's decision to construct the terminal had released the syndicate from its obligation to pay compensation to the companies

as promised in 1970, but the companies had not been deprived of that compensation by any coercive act of the government; and that, accordingly, they were not entitled to redress under section 17 of the Constitution.

Finally, the Court held that the MMA was contractually bound to accept the arbitration award and, therefore, since the MMA, had no power to break its contracts the Minister could not direct the MMA under section 9 of the Ports Act of 1975 to direct the MMA not to implement the award; that the provisions of the Code of Civil Procedure (Amendment) Act of 1981 and the Attorney-General's objection thereunder made the arbitration award unenforceable and prevented its implementation thereby depriving without compensation each worker employed by the MMA during the duration of the award of the benefits of it, and of the right to bring an action for and recover damages for breach by the MMA of the contract of employment, contrary to section 3 of the Constitution; and that, therefore, such worker was entitled by way of redress under section 17 of the Constitution to be paid by the MMA or the government the difference between the salary and allowances paid and the increased amounts which would have been payable pursuant to the award.

Before considering the reasoning of the Learned Judges who decided that case, it should be noted that the sections under consideration in that case are substantially similar to the provisions of our Constitution on the matter. This includes the enforcement provisions. The Learned Judges in that case decided that constitutions should be given generous and purposive constructions to give effect to the constitutional rights and freedoms as much as possible. They said as follows at 122 and 123 of their judgment.

> "The Constitution offers redress where, in the words of section 8, property is compulsorily taken possession of or compulsorily acquired but not otherwise, section 3 of the Constitution only contains a general recognition and acceptance of rights and freedoms and only affords protection in the circumstances specified in the subsequent sections of Chapter II of the Constitution. The relevant subsection is section 8 which only enables an individual to claim protection and to obtain redress if property is compulsorily taken possession of or compulsorily acquired without compensation. The dock and stevedore companies reject the government's narrow construction of the Constitution and deny that sections 8 has a limiting effect on section 3. The companies contend that section 3 has effect in accordance with its terms and in suitable cases, such as the present provides protection beyond the ambit of section 8. Alternatively, section 8 must be construed in the light of section 3 and so construed applies not only when property is compulsorily taken possession of or compulsorily acquired but also when property is destroyed. Their Lordships have no doubt that all the provisions of Chapter II, including section 8, must be construed in the light of the provisions of section 3. The wording of section 3 is only consistent with an enacting section; it is not a mere preamble or introduction. Section 3 recognises that there has existed, and declares that there shall continue to exist, the right of the individual to protection from deprivation of property without compensation, subject to respect for others and respect for the public interest. Section 8 set forth the circumstances in which the right to deprivation of property can be set aside but it is not to curtail the ambit of section 3. Prior to the Constitution, the government could not destroy the property of an individual without payment of compensation. The right which is by section 3 of the Constitution recognized and declared to exist is the right to protection against deprivation of property without compensation. A Constitution concerned to protect the fundamental rights and freedoms of the individual should not be narrowly construed in a manner which produces anomalies and inexplicable inconsistencies. Loss caused by deprivation and destruction is the same in quality and effect as loss caused by compulsorily acquisition. If by the Sugar Terminal Act the companies were deprived of property without compensation they are entitled to claim redress under the Constitution".

Obviously the argument that Royal Media, being a limited liability company, was not entitled to an action under section 84(2) of the Constitution is outrageous. Such an approach to the Constitution would result in absurdities. It would deny artificial persons almost all important rights that we all know they are entitled to: The right to own property; the right to due process of law; and all the other freedoms that can be enjoyed by artificial persons must be recognized for an effective system of government. Constitutional interpretation must take into account, apart from its express provisions, the station of development in society, political and economic realities and the aspirations of the people as a whole. The Constitution, as a tool for effecting government in the society must realize those needs for the people.

III) Constitutional limits to searches and search warrants

The case which was made out in this Court was that the searches and the search warrants in this case were unconstitutional or unconstitutionally conducted. That they amounted to unconstitutional deprivation of property, were arbitrary, deprived the Plaintiff of protection of law, and were contrary to protection of freedom of expression. The particular sections of the Constitution alleged to have been breached were sections 75, 76, 77 and 79. However, Dr *Kuria* did not address me on section 77 and I think that there was, therefore, no breach in that respect. Before going any further, I would like to set out the relevant portions of the sections whose breach was urged before me. These are as follows:

(a) Section 75 which provides in pertinent part as follows:

> "75.(1) No property of any description shall be compulsorily taken prossession of, and no interest in or right property of any description shall be compulsorily acquired, except where the following conditions are satisfied–
>
> (*a*) the taking of possession or acquisition is necessary in the interests of defence, public safety, public order, public morality, public health, town and country planning or the development or utilization of property so as to promote the public benefit; and
>
> (*b*) the necessity therefore is such as to afford reasonable justification for the causing of hardship that may result to any person having an interest in or right over the property; and
>
> (*c*) provision is made by a law applicable to that taking of possession or acquisition for the prompt payment of full compensation.
>
> (6) Nothing contained in or done under the authority of any law shall be held to be inconsistent with or in contravention of subsection (1) or (2)–
>
> (*a*) to the extent that the law in question makes provision for the taking of possession or acquisition of property–
>
> (i) in satisfaction of any tax, duty, rate, cess or other impost;
>
> (ii) by way of penalty for breach of the law, whether under civil process or after conviction of a criminal offence under the law of Kenya;
>
> (iii) as an incident of a lease, tenancy, mortgage, charge, bill of sale, pledge or contract;
>
> (iv) in the execution of judgments or orders of a court in proceedings for the determination of civil rights or obligations;
>
> (v) in circumstances where it is reasonably necessary so to do because the property is in a dangerous state or injurious to the health of human beings, animals or plants;

(vi) in consequence of any law with respect to the limitation of actions; or

(vii) for so only as may be necessary for the purposes of an examination, investigation, trial or inquiry or, in the case of land for the purposes of the carrying out thereon of work of soil conservation or the conservation of other natural resources or work relating to agricultural development or improvement (being work relating to the development or improvement that the owner or occupier of the land has been required, and has without reasonable excuse refused or failed, to carry out.)

and except so far as that provision or, as the case may be, the thing done under the authority thereof is shown not to be reasonably justifiable in a democratic society; …".

(b) Section 76 provides as follows:

"76(1) Except with his own consent, no person shall be subjected to the search of his person or his property or the entry by others on his premises.

(2) Nothing contained in or done under the authority of any law shall be held to be inconsistent with or in contravention of this section to the extent that the law in question makes provision–

(*a*) that is reasonably required in the interests of defence, public safety, public order, public morality, public health, town and country planning, the development and utilization of mineral resources, or the development or utilization of any other property in such a manner as to promote the public benefit;

(*b*) that is reasonably required for the purpose of promoting the right or freedom of other persons;

(*c*) that authorizes an officer or agent of the Government of Kenya, or of a local government authority, or of a body corporate established by law for public purposes, to enter on the premises of a person in order to inspect those premises or anything thereon for the purpose of a tax, rate or due or in order to carry out work connected with property that is lawfully on those premises and that belongs to that Government, authority or body corporate, as the case may be; or

(*d*) that authorizes, for the purpose of enforcing the judgment or order of a court in civil proceedings, the entry upon premises by order of a court,

and except so far as that provision or, as the case may be, anything done under the authority thereof is shown not to be reasonably justifiable in a democratic society".

(c) Section 79 provides as follows:

"79(1) Except with his own consent, no person shall be hindered in the enjoyment of his freedom of expression that it is to say, freedom to hold opinions without interference, freedom to receive ideas and information without interference, freedom to communicate ideas and information without interference (whether the communication be to the public generally or to any person or class of persons) and freedom from interference with his correspondence.

(2) Nothing contained in or done under the authority of any law shall he held to be inconsistent with or in contravention of this section to the extent that the law in question make provision

(*a*) that is reasonably required in the interests of defence, public safety, public order, public morality or public health;

(*b*) that is reasonably required for the purpose of protecting the reputations, rights and freedom of other persons or the private lives of persons concerned in legal proceedings, preventing the disclosure of information

received in confidence, maintaining the authority and independence of the courts or regulating the technical administration or the technical operation of telephony, telegraphy, posts, wireless broadcasting or televisions; or

(*c*) that imposes restrictions upon public officers or upon persons in the service of a local government authority, and except so far as that provision or, as the case may be, the thing done under the authority thereof is shown not to be reasonably justifiable in a democratic society".

The provisions of those sections are clear beyond peradventure. It is the exceptions in those provisions that formed much of the argument in this Court. The limitations in those sections constitute what state or public authority may be exercised over private property. This was considered in the case of *Entick v Carrington* (1765) 19 St Tr 1030 court of common pleas (cited in cases and material on *Constitutional Administrative Law* (6 ed) by Michael J Allen and Brian Thompson at 189–191). In that case, two King's messengers, under the authority of a warrant issued by the Secretary of State, broke and entered Entick's house and took away his papers. Entick was alleged to be the author of seditious writings. When the messengers were sued by Entick for trespass to his house and goods, it was argued that the warrant was legal as the power to issue such warrants was essential to government as "the only means to quieting clamours and sedition". That argument was rejected by Lord Camden CJ. This case is important as it set out the limitation on the state's power over private property. The wise counsel of Lord Camden CJ in that case on the point is worth reproduction here. He said as follows:

> "This power, so claimed by the Secretary of State, is not supported by one single citation from any law book extant. It is claimed by no other magistrate in this kingdom but himself … Before I state the question, it will be necessary to describe the power claimed by this warrant in its full extent. If honestly exerted, it is a power to seize that man's papers, who is charged upon oath to be the author or publisher of a seditious libel; if oppressively, it acts against every man, who is so described in the warrant, though he be innocent … Such is the power, and therefore one should naturally expect that the law to warrant it should be clear in proportion as the power is exorbitant. If it is law, it will be found in our books. If it is not to be found there, it is not law. The great end, for which men entered into society, was to secure their property. That is preserved sacred and incommunicable in all instances, where it has not been taken away or abridged by some public law for the good of the whole. The cases where this right of property is set aside by positive law, are various. Distresses, executions, forfeitures, taxes, etc are all of the description; wherein every man by common consent gives up that right, for the sake of justice and the general good. By the laws of England, every invasion of private property, be it ever so minute, a trespass. No man can set his foot upon my ground without my licence, but he is liable to an action, though the damage be nothing. If he admits the fact, he is bound to show by way of justification, that some positive law has empowered or excused him. The justification is submitted to the judges, who are to look into the books; and see if such a justification can be maintained by the text of the statute law, or by the principle of common law. If no such excuse can be found or produced, the silence of the books is an authority against the Defendant, and the Plaintiff must have judgment. According to this reasoning, it is now incumbent upon the Defendants to show the law, by which this seizure is warranted. If that cannot be done, it is a trespass. Papers are the owner's goods and chattels: they are his dearest property; and are so far from enduring a seizure that they will hardly bear an inspection: and though the eye cannot by laws of England be guilty of trespass, yet where private papers are removed and carried away, the secret nature of those goods will be an aggravation of the trespass, and

> demand more considerable damages in that respect. Where is the written law that gives any magistrate such a power? I can safely answer, there is none, and therefore it is too much for us without such authority to pronounce a practice legal, which would be subversive of all the comforts of society … The power of search and confiscation is a fetter on an individual's right to property. Such power must be set out in clear law and it must be for the common good of a just and democratic society. The *Entick* decision was followed by Bradley J in *Edward A Boyd and George H Boyd v United States* SC Reporter 616 when he said as follows at 624–627:
>
> > 'In order to ascertain the nature of the proceedings intended by the fourth amendment to the Constitution under the terms "unreasonable searches and seizure" it is only necessary to recall the contemporary or the recent history of the controversies on the subject both in this country and in England. The practice had obtained in the colonies, of issuing writs of assistance to the revenue officers, empowering them, in their discretion, to search suspected places for smuggled goods, which James Otis pronounced "the worst instrument of arbitrary power, the most destructive of English liberty and the fundamental principles of law, that ever was found in the English law book" since they placed "the liberty of every man in the hands of every petty officer". This was in February 1761, in Boston, and the famous debate in which it occurred was perhaps the most prominent event which inaugurated the resistance of the colonies to the oppressions of the mother country'."

In considering Lord Camden's decision in the *Entick* case, Justice Bradley went on and said as follows at 630:

> "The principles laid down in this opinion affect the very essence of constitutional liberty and security. They reach further than the concrete form of the case then before the court, with its adventitious circumstances; they apply to all invasions, on the part of the government and its employees, of the sanctity of a man's home and the privacies of his life. It is not the breaking of his doors and the rummaging of his drawers that constitutes the essence of the offence; but it is the invasion of his indefeasible right of personal security, personal liberty and private property, where that right has never been forfeited by his conviction of some public offence; it is the invasion of this sacred right which underlies and constitutes the essence of Lord Camden's judgment. Breaking into a house and opening boxes and drawers are circumstances of aggravation; but any forcible and compulsory extortion of a man's own testimony or his private papers to be used as evidence to convict him of crime or forfeit his goods is within the condemnation of that judgment … Can we doubt that when the Fourth and Fifth amendments to the Constitution of the United States (of America) were penned and adopted, the language of Lord Camden was relied on as expressing the true doctrine on the subject of searches and seizures, and as furnishing the true criteria of the reasonable and unreasonable character of such seizures?"

These enunciations are quite clear that where there is a limitation on fundamental rights and freedoms, there must be lawful justification for it. It must be found in the law. In our case, we must look at the Constitution and determine whether a particular limitation is available. We have then to consider if that limitation has been expressed to standards of law accepted by the Constitution and finally whether the limitation has been enforced in a constitutional manner. It is a reference of back and forth to the Constitution and, in all cases, bearing in mind that the Constitution is the important base which must prevail in all respects.

The warrants in this case were stated to have been issued under section 89 of the KCA. The relevant portion of that section provides as follows:

> "89(1) If a court is satisfied by information on oath that there is reasonable ground for suspecting that an offence under the provisions of this Act has been or is being

committed, and that the evidence of the commission of the offence is to be found on any premises specified in the information, or in any vehicle, vessel or aircraft so specified, it may grant a search warrant, authorizing any person or persons authorized in that behalf by the commission and named in the warrant, with any police officer, to enter, at any time within one month from the date of the warrant, the premises specified in the information or, as the case may be, the vehicle, vessel or aircraft so specified and to search such premises, vehicle, vessel or aircraft, and to examine and test any station or apparatus or obtain any article or thing found in such premises, vessel, vehicle or aircraft.

(2) If a court is satisfied that:

(*a*) it is necessary to enter any specified premise, vessel, aircraft or vehicle, for the purpose of obtaining such information which will enable the Commission to gather necessary evidence in accordance with the provision of subsection (1);

(*b*) access to such premises, vessel, aircraft or vehicle for the purpose of obtaining such evidence as aforesaid has, within seven days before the date of the application to the court, been sought by a person duly authorized in that behalf by the Commission and has been denied,

the court may grant written authorization under its hand and seal empowering any person or persons authorized in that behalf by the Commission and named in the authorization, with any police officer, to enter and search the premises or as the case may be, the vessel, aircraft or vehicle with a view to discovering whether any station, apparatus, article or thing as aforesaid is situate thereon, and to examine and test it with a view to obtaining such information as aforesaid:

Provided that an authorization shall not be issued under this subsection unless either–

(i) it is shown to the court that the Commission is satisfied that there are reasonable grounds for believing that the use of the station or apparatus in question is likely to cause undue interference with any radio communication used for the purposes of any safety of life service or any purpose on which the safety of any person or of any vessel, aircraft or vehicle may depend; or

(ii) it is shown to the court that not less that seven days' notice of the demand for access was served on the owner or occupier of the premises, or, the person in possession or in charge of the vessel, aircraft or vehicle, and that the demand was made at a reasonable hour and was unreasonably denied;

(iii) where under this section a person is authorized to examine and test any telecommunication system or telecommunication apparatus or radio communication apparatus on any premises or in any vessel, aircraft or vehicle, it shall be the duty of any person who is on the premises, or is in charge of, or in attendance on, the vessel, aircraft or vehicle, to give such authorized person such assistance as he may reasonably require in the examination or testing such station or such apparatus".

The power given in this section allows for entry and search "to examine and test any station or apparatus or obtain any article or thing found (there)". This is all done to obtain evidence of commission of a crime under the KCA.

As has already been seen, Royal Media was broadcasting outside its licensed area. This action resulted in Mr Macharia being charged for the offences already mentioned. In these circumstances, there is no doubt that the relevant Defendants were entitled to apply to the court for the warrants as they did. It was stated and argued that what was taken pursuant to those searches and what happened in respect of the Karen premises was unconstitutional. Dr *Kuria* argued that the searches in this case went beyond the constitutional limits as

what was taken away was more than was necessary so that it led to the dismantling of the Royal Media's station: That they were "general warrants". The court in *Ghani* considered extensively the power of searches and search warrants. In the leading judgment of the court Lord Denning, in following *Entick* was of the view that what should be taken pursuant to a search should only include what is reasonable in the circumstances. He said as follows at 708–709:

> "What is the principle underlying these instances? We have to consider, on the one hand, the freedom of the individual. His privacy and his possessions are not to be invaded except for the most compelling reasons. On the other hand, we have to consider the interest of society at large in finding out wrongdoers and repressing crime. Honest citizens should help the police and not hinder them in their efforts to track down criminals. Balancing these interests, I should have thought that, in order to justify the taking of an article, when no man has been arrested or charged, these requisites must be satisfied:
>
> First: The police officers must have reasonable grounds for believing that a serious offence has been committed – so serious that it is of the first importance that the offenders should be caught and brought to justice.
>
> Second: The police officers must have reasonable grounds for believing that the article in question is either the fruit of the crime or material evidence to prove the commission of the crime.
>
> Third: The police officers must have reasonable grounds to believe that the person in possession of it has himself committed the crime; or is implicated in it, or is accessory to it, or at any rate his refusal must be unreasonable.
>
> Fourth: The police must not keep the article, nor prevent its removal, for any longer than is reasonably necessary to complete their investigation or preserve it for evidence. If a copy will suffice, it should be made and the original returned. As soon as the case is over, or it is decided not to go on with it, the article should be returned.
>
> Finally: The lawfulness of the conduct of the police must be judged at the time, and not by what happens afterwards".

These authorities and others already considered lay down clearly the powers and limitations of searches. Whereas there is specific constitutional protection of individual property, there are clear provisions that allow for searches. The power given under the KCA is reasonable and necessary to prevent radiation and interference with the frequencies of others. If an operator of radio or television broadcasting was allowed to act as he wished it would result in the interference with the frequencies of others and lead to radiation. Refusing to comply with control measures would, in that case, constitute a serious offence. This is a reasonable limitation for the general good of all in a just and democratic society. It was not shown that anything done was excessive and outside the allowed constitutional parameters.

There would be no justification whatsoever where, in carrying out a search, the Defendant takes away more than is necessary for the purpose of the search. As Lord Denning pointed out in *Ghani* nothing should be taken away than is necessary in the circumstances. Dr *Kuria* argued that the searches in this case were unreasonable as what was taken away was more than necessary in the circumstances which crippled Royal Media's broadcasting business. That may be so. However, this Court was not assisted to determine what would have been necessary for purposes of the searches in this case. What was taken may well have caused Royal Media to shut down but if it was necessary in the circumstances this Court cannot do anything to help. There was some suggestion

that the searches were done with some ulterior motive other than the enforcement of the KCA but there was no material to support this as well.

Dr *Kuria* argued that general warrants are unconstitutional. Although I agree with him in that case the warrants in this case were, in my view, quite specific in respect to what is allowed under the KCA. There was, therefore, no case for general warrants here. In a passing argument, he also submitted that if section 89 of the KCA allowed for general warrants, it was *ultra vires* the Constitution. That is not so. The power given under that section is according to the Constitution. The power to carry out searches is expressly allowed under section 76(2) of the Constitution. The KCA in that respect, does not appear to be inconsistent with the Constitution in any way.

As to the complaint in relation to the Karen premises, I am of the view that it is dangerous for persons exercising powers that limit constitutional rights to act in the manner in which the Defendants who carried that search did. They had a warrant issued. It was extended but when they went to execute it they did not serve the warrant that showed such extension. However, in view of what Lord Denning said in the *Ghani* case this is not material enough to entitle this Court to declare that the results of that search are null and void where, as in this case, it was in fact established that an offence was actually being committed. The procedure was properly followed with a minor slip. However, in that event, I think, as Lord Denning put it "the (trial) court (should) not allow it to be used in evidence against him if the conduct of the police officers was so oppressive that it would not be right to allow the crown to rely upon it". In this case, there was no evidence of oppressive action and I think, in the whole, the searches were perfectly in order.

D) Conclusion

Royal Media relocated its broadcasting equipment from Limuru to Karen and Ambank House without the authority of the CCK as required under the KCA. CCK acted reasonably in applying for search warrants over the Plaintiff's property. The law giving the CCK the power to apply for search warrants is a reasonable one, and which accords with section 76 of the Constitution of this Republic. It is a necessary power which is reasonable and justifiable in a democratic society, because regulation of frequencies is necessary to avoid interference between the differing frequencies of the various users and to avoid radiation which is hazardous to human, animal and plant health. I am satisfied that the CCK exercised this power reasonably, and only after carrying out investigations which led them to believe that a crime under the KCA was being committed upon Mr Macharia's Karen premises. The warrants were executed according to law and there was no evidence whatsoever that the persons who executed them acted with excessive force or that they took away more than was necessary for the purpose. I am also satisfied that there was no deliberate attempt to mislead the subordinate court by way of non-disclosure to that court of Honourable Mulwa J's ruling of 1 March 2000. In any event disclosure of that ruling would not have affected the subordinate court's power, if properly guided as to the effect of that ruling, in granting or refusing to grant the search warrants in this case. There was a separate and independent breach in this case which required redress and the CCK could not have stood by and let Royal Media act in disregard of the KCA which is its responsibility to enforce. Had it done so, it would have been guilty of neglecting its statutory responsibility and

would have exposed itself to an action in this Court. It is no wonder that the Fourteenth Defendant had in fact threatened such action in a letter addressed to the CCK by its advocates. It has also been seen that the ruling of Hon Mulwa J did not in any way grant Royal Media a *carte blanche* to act outside the law. That ruling categorically required Royal Media to comply with the provisions of the KCA. As has already been seen, Royal Media did not comply with the KCA leading to the present complaint. There was no evidence that the searches or the search warrants were unconstitutional and there was no evidence of any contempt of court in this case. If anything, it is the Plaintiff who attempted extra-judicially to legalize their otherwise unlawful acts by publishing to this Court a false statement that the CCK had been notified of the relocation of Royal Media's broadcasting equipment from Limuru to Karen and Ambank House. There was no such notice and, in any event, that notification, if any, did not of itself absolve Royal Media from complying with its statutory obligations under the KCA to await authorization before relocating its broadcasting equipment.

All in all, therefore, the Plaintiff has not made out a *prima facie* case with a probability of success to enable this Court exercise its discretion in its favour in granting the prohibitory and mandatory injunctions sought at this interlocutory stage. The balance of convenience tilts in favour of the CCK which is under statutory obligation to enforce compliance with the KCA.

Accordingly I am unable to grant the Plaintiff the prayers sought in this application and I hereby dismiss its application dated 26 April 2001 with costs.

Before I sign off, may I express this Court's gratitude to all the counsel who participated in this case for their excellent presentations, good quality research and hard work. They have contributed well to the development of jurisprudence in this rather complex area of law which is evolving progressively in this country.

For the Plaintiff:

Information not available

For the Defendants:

Information not available

Ruturi and another v Minister of Finance and another
[2001] 1 EA 253 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	24 January 2002
Case Number:	908/01
Before:	Mbaluto and Kuloba JJ
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Constitutional law – Constitutional reference – Legislation – Application to declare statute void – Ambiguity – Commencement date – Retrospective operation of statute – Parties – Locus standi *to bring constitutional reference –* Locus standi *of groups and organisations – Whether Applicants had*

locus standi *to bring application* –

Whether statute provided for criminal retrospective operation – Whether Respondents were properly made parties to the suit – Sections 3, 46(6), 60(1), 75 and 77(4) – Constitution – Sections 1 and 39 – Central Bank of Kenya (Amendment) Act, 2000.

Editor's Summary

The Central Bank of Kenya (Amendment) Act 4 of 2001, which had the objective of making various changes to the Central Bank of Kenya Act, received presidential assent on 6 August 2001 and was published in the Kenya *Gazette* on the following day. Section 1 of the Act provided that it was to come into operation on 1 January 2001. Section 39 of the Act set out various restrictions relating to the interest rates that banks could charge on loans and other monies advanced to customers and the rates to be paid on deposits with them. Section 39(4) went on to provide that banks or specified financial institutions that contravened the section would be guilty of an offence under the Banking Act and liable to pay such a penalty as may be prescribed by the Minister under the said Act. Following the Act's publication, the Applicants, Ruturi and the Kenya Bankers Association (of which the former was chairman), filed a constitutional reference before the High Court seeking, *inter alia*, declarations that the Act was null and void to the extent that it was inconsistent with section 77(4) of the Constitution, and that, as a result of its being contradictory, it was incapable of implementation. The Applicants also claimed that the Act offended against section 75 of the Constitution by interfering with the freedom of contract and sought orders to prevent the Respondents, the Minister of Finance and the Attorney-General, from implementing the Act. The Central Bank of Kenya, which joined the application as an interested party in support of the Applicants, filed affidavits averring, *inter alia*, that the Act ran counter to current economic policy and would be impractical to implement. In response, the Respondents contended, *inter alia*, that the Applicants had no *locus standi* to bring the suit and that no cause of action against them existed. In reply to the Respondents' submissions, the Applicants averred that the Kenya Bankers Association was a registered trade union authorised to bring proceedings on behalf of its member banks and that, as the persons charged with making regulations to enforce the Amendment Act and advising the government, the Minister and the Attorney-General respectively were properly before the court in the proceedings.

Held – Being a court that was constitutionally given unlimited original jurisdiction, the High Court had jurisdiction to determine every issue raised in the matter.

Though the standing of the Central Bank of Kenya was not expressly challenged, that institution, as the one charged with the responsibility of supervising the observance and implementation of the Act, had a right to come to court and challenge the legislation.

The Kenya Bankers Association, as a registered trade union, had the power under the Trade Unions Act to sue or be sued by its registered name. Moreover, its constitution permitted it to institute proceedings in the name of its chairman, as had been done in this case. Since all 48 of its member banks unanimously sought to challenge the Act and they were all adversely affected by the questioned legislation, they had standing to bring the suit and they had the power to choose to come to court under their collective and registered name. That

power had been exercised by the meeting of the executive council held on 15 August 2001.

As the Minister was entrusted with the making of regulations to enforce the Amendment Act and the Attorney-General was the principal government adviser on legal matters, charged with advising it on the upholding of the law, they were the right Defendants to be sued.

The fact that a statute was worded in language that was difficult to follow, or was ambiguous, contradictory or impossible to apply, did not necessarily mean that it was thereby rendered unconstitutional. Obscurity, ambiguity, contradiction and difficulty did not in themselves render a statute unconstitutional but only raised problems of judicial interpretation and application when actual fact situations arose. Though it was admitted that the disputed Act contained various flaws and loopholes, it did not breach or violate any constitutional provision by reason of difficulty and verbal ambiguity. Similarly, inconsistencies in parts of the Act were issues to be resolved by the rules of statutory interpretation in real factual situations. None of these rules could be invoked in the abstract where no bank was being sued or prosecuted. In this instance, the court was being asked to pronounce on a hypothetical and abstract problem, which it would not do, as that was not the function of the court.

The question of whether the legislation was contrary to economic policy was one that it was not appropriate for the court to comment on or decide. A statute having political repercussions for the political party in power did not thereby become an unconstitutional statute.

Though section 46(6) of the Constitution permitted Parliament to enact laws with a retrospective effect, that section was subject to section 77(4), which totally prohibited the retrospective enforcement of criminal and penal enactments. In this instance, the Central Bank of Kenya (Amendment) Act had received presidential assent on 6 August 2001, while section 39(4) thereof contained criminal penal provisions that came into effect from 1 January 2001. The section was, therefore, inconsistent with section 77(4) of the Constitution. The Act would therefore be declared void to the extent of its retrospective operation.

Per curiam. On the issue of representative suits by organisations on behalf of: their members, representative organisational standing in court was permissible provided (i) the organisation's members had standing to sue in their own right, (ii) the interests which the organisation sought to protect were germane to the organisation's purpose, and (iii) neither the claim nor the relief sought required the individual participation of members; *Campos v de Souza* [1933] 15 KLR 86, *Abdulla v Suleman* [1946] 13 EACA 1 and *Singh v Singh* [1962] EA 395 considered.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Abdulla and another v Suleman and others [1946] 13 EACA 1 (CAK)

Attorney-General of Uganda v Kabaka's Government [1965] EA 393

Attorney-General v Abdulla [1960] EA 672

Campos v de Souza [1933] 15 KLR 86

Singh v Singh [1962] EA 395 (K)

Visram v Bhatt [1965] EA 789 (CAK)

United Kingdom

Burns v Nowell [1880] 5 QBD 444

Ebbs v Boulnois [1875] LR 10 Ch 479

Finau v Department of Labour [1984] 2 NZLR 396

Harding v Price [1948] 1 KB 695

Imray v Oakshette [1897] 2 QB 218

Stockdale v Coulson [1974] 3 All ER 154

The Dean of Ely v Bliss [1842] 5 Beav 574

The King v The Justices of Middlesex [1831] 2 B and Ad 818

Judgment

MBALUTO and KULOBA JJ: By an originating motion said to be backed, supported or fostered, by sections 46(6), 60(1), 75 and 77(4), of the Constitution of Kenya, and section 3A of the Civil Procedure Act (Chapter 21, Laws of Kenya), as well as section 13 of the Revision of Laws Act (Chapter 1), originally the two Applicants alone, but afterwards the interested party (the Central Bank of Kenya) supporting them, have made a constitutional reference to this Court sitting as a constitutional court, in which four declarations are sought, namely,

(a) that the Central Bank of Kenya (Amendment) Act 4 of 2001, is null and void to the extent that it is inconsistent with section 77(4) of the Constitution of Kenya;

(b) that that Act is unlawful to the extent that it provides for the commencement date of January 1 2001;

(c) that the said Act is *ultra vires* the Constitution of Kenya and is therefore null and void and does not bind the member banks which are represented by the Kenya Bankers Association (Applicants); and

(d) that the same Act is contradictory at section 2(4) by making a conflicting reference to the Companies Act (Chapter 486) and the Banking Act (Chapter 488), and that *ipso facto* it is incapable of implementation;

and, in addition to the prayers for the foregoing declarations, two further orders were sought, namely, orders restraining the Respondents from implementing the Central Bank of Kenya (Amendment) Act 4 of 2001 (a) (i) as enacted, or (ii) until further orders of this Court; and (b) before the ambiguities, uncertainties and errors inherent therein, are removed.

The grounds advanced before the Constitutional Court for this motion are that the Central Bank of Kenya (Amendment) Act, 2000, (a) received Presidential assent on August 6 2001 but is expressed to have commenced on January 1 2001, thereby being contrary to section 77(4) of the Constitution of Kenya; (b) is contradictory on its face by purporting to confer powers on the Minister under the Companies Act and the Banking Act; (c) criminalizes transactions which were entered into prior to its enactment; (d) revises contracts which were entered into by the banks and their customers; (e) in its entirety it is unconstitutional and *ipso facto* incapable of implementation; and, finally, (f)

offends section 75 of the Constitution of Kenya which sanctifies freedom of contract.

In support of the application, and to expound and illustrate the grounds relied upon, are sworn a number of affidavits which are themselves equipped with an array of annexures. There are the affidavits of Albert Ruturi (the chairman of the Kenya Bankers Association which is the Applicant herein), sworn on August 17 2001 and annexures thereto, in support of the originating motion, and the further one sworn on August 23 2001 about the Central Bank of Kenya (Amendment) Bill 2001, published in the Kenya *Gazette* Supplement of August 22 2001 for the introduction into the National Assembly, published as the Kenya *Gazette* Supplement Number 66 (Bills Number 26), a copy of which he annexed, and which he cites as further confirming the meritoriousness of the application.

Also in support of the application is the affidavit of Joseph Kanja Kinyua (the director of research at the Central Bank of Kenya which is an interested party) sworn on November 13 2001, based on his professional research findings and experience, in which he expounds on the statutory objects of the Central Bank of Kenya, and points out the departures brought about by the amendment Act which is attacked in this application, and the counterproductive effects on our economy which will be brought about by controlling interest rates while leaving exchange rates to be determined by market forces under an economic liberalization policy which is now being antagonized by the amendment Act in question – a liberalization policy which is for optimum growth and development free from administrative interference.

To the same effect is the affidavit of John Kamau Murugu (the director, bank supervision at the Central Bank of Kenya), sworn on November 13 2001, explaining what the Central Bank of Kenya is by statute enjoined to do, to foster the liquidity, solvency and proper functioning of a stable market-based financial system. He informs the court of how the amendment Act will make this role of the bank impractical if it subjects interest rates to administrative controls, and how it does not make economic sense to control interest rates, and yet leave out of control other forces in the economy, because this would lead to distortions and a misallocation of productive resources. He points to the impracticality of properly implementing the amendment Act, because of certain enumerated loopholes.

On account of economy on public time, we have not repeated those affidavits *in extenso* in this judgment, but we have minutely dissected each one of them, and we have looked at everything in them. And when we retired to consider this application, we carefully studied everything that was said in the filed documents, and in the lawyers' oral presentations to us at the hearing.

It was with the same intense care that we paid attention to the case ably put forward for the Respondents who opposed the originating motion with sustained valour, from multipronged fronts, with every missile they could unleash at the motion. There was no spoke known to the Respondents which was not put in the motion's wheel. They sought to set ablaze the Applicants' and interested party's case, sometimes shooting from the hip. In their volley of arrows were (a) a plea that the Applicant bankers' association does not have any *locus standi* before this Court; (b) an assertion that there is no cause of action against the Respondents; and (c) a denial of any jurisdiction in this Court to

stop or postpone the operation of the Act since the statute has already come into force – conceding, however, that this Court can declare the Act unconstitutional if the Act is found to be so.

Amongst the salient points taken by the Respondents on the question of *locus standi* was the contention that the Applicants and the interested party (the Central Bank of Kenya) have come to the court merely in anticipation of what may happen in the implementation of the amendment Act, basing the originating motion on contingent rights and not on actual rights. It is further said that there is no general provision in the Constitution of Kenya saying that any person who feels that an Act of Parliament is unconstitutional can come to the court and seek redress. It was expounded that for one to come to the court to seek a declaration that a statute is unconstitutional, the alleged unconstitutionality must be one which affects his personal right. It was said that in the case of the Kenya Bankers Association, the association has no right to litigate on behalf of its member banks; and, that since each member bank is a legal entity, its rights if infringed or threatened with infringement, can be redressed by the court when the affected individual banks have recourse to the court. In the case of the Central Bank of Kenya, it was argued that there is no disclosure of how its rights are affected.

On the whole, it was the Respondents' case regarding the right to sue, that *locus standi is* not to be assumed, and one coming to the court has to establish that he has a standing in court; and the Applicants in this case will have a *locus standi* only when the injury complained of is personal to them, and not what the banks, members of Parliament, or the members of the public, are suffering. To give one *locus standi,* it is said for the Respondents, the injury in question must be specific to the Applicant; but for injury which everybody else suffers, there is no *locus standi* in anyone. It was further argued on behalf of the Respondents, that if a bank or a particular person has suffered, it is that bank or person to come to the court for redress. The bankers' association has none, it was said; for one has *locus standi* only when he has suffered over and above everybody else; but in this case there is nothing of the sort: the association has suffered nothing in particular.

The Respondents recognized and acknowledged the drawbacks of the amendment Act, and expressly conceded that there were the drawbacks pointed out by the Applicants and the Central Bank of Kenya. The Respondents told us at the hearing, that they recognize, and do not contest, the fact that the amendment has practical problems and create the difficulties of implementation as expressed by the Central Bank of Kenya and by the Applicants. But, said the Respondents, these practical problems and difficulties, are matters for Parliament to correct; and, as a matter of fact, there is already a Bill for introduction to Parliament to amend the contentious amendment Act. It is the Bill published on 22 August 2001 as the Central Bank of Kenya (Amendment) Bill, 2001 (Kenya *Gazette* Supplement Number 66 (Bill number 26)), a copy of which was annexed to the further affidavit of Albert Ruturi supporting the application herein. This concession notwithstanding, the Respondents say that that does not mean that the Respondents agree that the amendment Act in its totality is unconstitutional.

Moving to the issue of a cause of action, counsel for the Respondents brought out a number of points, and among the salient ones were as to who

becomes a proper person to be a party as a Defendant if a law is passed by Parliament and a person is aggrieved by the unconstitutionality, or otherwise, of that law. For the Respondents it was said that a joinder of a party to a suit is only where the person joined as a Defendant has done something aggrieving the person joining him in the suit as a Defendant, but in the instant suit, there is no allegation of what either the Minister or the Attorney-General has done to justify their being joined in the suit; and, therefore, there is no cause of action against either of these people. It was said that while it is true that the amendment Act in question will be implemented by the Central Bank of Kenya, and the Minister has a role to play in the said implementation, neither the Minister nor the Attorney-General occasioned the wrong. There is no wrong which gives rise to a cause of action against the Attorney-General or the Minister. Said counsel for the Respondents, "It is Parliament which passed the Act". She fell just short of recommending a suit against the Parliament of Kenya.

On the point that there is no jurisdiction in the court to stop or postpone the operation of the amendment Act, it was argued that since the legislation has already come into force, the court cannot restrain the implementation of the Act. It was said for the Respondent that such restraining orders will only be made if there is a determination that the Act is unconstitutional; but since an order declaring the Act unconstitutional would deal with questions of restraining the operation of the Act, the specific prayers for orders to restrain the implementation of the Act are a superfluity.

As to the contentious section 39 of the amendment Act it was the Respondents' concession that it was the will of Parliament that the Act shall come into operation on 1 January 2001, and on the publication of the Act on 7 August 2001 (some eight months or so after the commencement date) the Act was deemed to have come into force on 1 January 2001. But it was argued that although the Act was made operational with effect from 1 January 2001, the proviso to section 39(1) makes section 39 applicable only to contracts and loans and advances made or renewed after the commencement of the Act. Counsel for the Respondents pointed out that there appears to be an ambiguity and conflict between that proviso and the section saying that the Act shall come into force on 1 January 2001; but, she said, the ambiguity and conflict do not contravene the Constitution of Kenya; and since section 39 has not come into operation it is not contravening the Constitution.

On 13 November 2001, counsel for the Respondents abandoned the issue of jurisdiction which she had raised as a preliminary issue. She announced to the court that the jurisdiction of this Court is no longer an issue. We respectfully find that she correctly conceded this point, and, she was right in doing so. So that is not an issue for our decision; but even if it had been pressed on us for decision, we would have held that as a court constitutionally given unlimited original jurisdiction, this Court has jurisdiction in this matter to determine every question raised.

The responses of the Applicants and the Central Bank of Kenya, to the question of *locus standi* were that, in the case of the Bankers Association suing on behalf of the member banks, the Association is a trade union duly authorized to bring these proceedings on behalf of the 48 commercial banks specified in documents annexed to the application. Those banks are the subject of the amendment Act in question. All of them are affected, and it would lead to a multiplicity of suits for each bank to come to the court to raise the same

constitutional issue. As for the Central Bank of Kenya, the view is that it will be the one to see to the implementation of the Act, and as such, it has a right to question the Act; and, not much was said by the Respondents to question the *locus standi* of the Central Bank of Kenya. Further, it was argued that as the issue goes beyond the question of enforcing fundamental rights and deals with Parliament's powers to legislate laws, *locus standi* cannot be viewed narrowly.

As to whether there is a cause of action against the Minister and the Attorney-General, it is replied that it is the Minister who is to make regulations to enforce the amendment Act; and, regarding the Attorney-General, it is he as the principal government adviser on legal matters who will be advising on the upholding of the law: he should therefore not be allowed to advise the government to leave an unconstitutional Act to remain on our statute book. As the Attorney-General is the person to be a party to government proceedings in court (*vide* section 12(1) of the Government Proceedings Act) he is properly in court in these proceedings.

We believe that is the essence of all the proceedings before us. We, of course, realize that we have not expressly set out in the judgment each and every word we have read and have heard said to us by each of the actors in these proceedings; but we assure everyone, that none has escaped our concentrated attention, and each word written down and each word uttered to us in this Court has been weighed and given its due place, and has gone into the scales of justice and either tilted the scales of justice or remained weightless and has been discounted on its demerits. Out of everything filed and spoken by the protagonists and antagonists, we find the main themes to gravitate around the following issues, (a) *locus standi*; (b) impracticability of the amendment Act said to carry major contradictions which make it difficult to implement or outrightly impracticable; and, ultimately (c) the constitutional issue raised by the Act criminalizing certain acts retrospectively, or interfering with freedom of contracts, or being replete with ambiguity. So, the broad issues, although with a lot of undergrowths, are (1) whether these proceedings were brought by persons who have the *locus standi* to bring the lawsuit; and (2) whether the Central Bank of Kenya (Amendment) Act 4 of 2001, is an unconstitutional legislation.

On the issue of *locus standi* we did not see that of the Central Bank of Kenya questioned. But just in case we might have missed the Respondents' standpoint on the *locus standi* of the Central Bank of Kenya in these proceedings, we state expressly that that institution which is going to have the square responsibility of supervising the observance and implementation of the legislation in controversy, and will have to deal with deliquent commercial banks under this Act, and is seeing itself being put by this legislation in an invidious quagmire which might improperly give it an undeserved perfidious colouring, has a right to come to this Court and challenge a legislation which places or threatens to place the bank in an *imbroglio*, in the bog, quicksand, perplexity, or in a *cul-de-sac*. So, the Central Bank of Kenya has a place to stand in this Court, and a right to appear before and be heard by this Court regarding the issues raised in these proceedings. It will be the Central Bank of Kenya which will be met with any objections and challenges to the implementation of the Act. Its functions are also shared out to a new statutory creation. It is thereby aggrieved.

It is however the Kenya Bankers Association which got the sting of the arguments on *locus standi*. Does it have the *locus standi* in these proceedings?

Factually, there was no dispute that this Association is a registered trade union under the Trade Unions Act (Chapter 233). It represents 48 commercial banks. We were supplied with a list of them, and the constitution of the association. Amongst its objects set out in article 3 are the rendering of assistance and provision of common services to members and to the banking industry, and to provide assistance to members in the interpretation and implementation of cost of living awards, and to assist all members on all their needs, difficulties and problems of growth, development and working. Another noteworthy objective is at (r) to act as an agent or a representative of a member or members in respect of matters connected with any of their operations working or administration; and there are others at (y) and (z) of article 3, namely, generally to do all and any other thing that may be necessary or relevant for the realization of the objects and purposes of the association directly or indirectly, and to do all and such other things as are incidental or conducive to the attainment of the declared objects. By article 99 of the association's constitution, suits or legal proceedings by or against the association may be instituted or taken in the name of its chairman, vice chairman or the executive director of the association: in the instant suit it is brought by the chairman and executive director under authority of resolutions to that end at a meeting of the executive council of the association on 15 August 2001.

In our considered view, the registered name of a trade union is nothing more than a collective name for all the members of that union. The Unions Act provides for and recognizes that a trade union may sue or be sued by its registered name as a trade union, instead of by its individual members. The power of suing and the liability to be sued in a society's name on behalf of its members is clearly and necessarily implied by the provisions of the statute under which trade unions are registered, and it implies a right to sue and a liability to be sued in the society's trade union name, and a privilege of thus suing. A liability on a society to be sued in its trade union name, and a privilege of thus suing, on behalf of its members is well known. The Trade Unions Act indicates with sufficient clearness that a registered name is one which may be used to denote the union as an unincorporated society in legal proceedings as well as for business and other purposes. The use of the name in legal proceedings imposes no duties and alters no rights: it is only a more convenient mode of proceeding than that which would have to be adopted if the name could not be used and the name of each member of the trade union was to be set out.

In the instant case, there are 48 member banks whose interests are catered for by the association which has come to the court. None of those banks is dissenting. Each one of them could have come to this Court; but 48 banks suing separately would be an inconvenient mode of proceeding. It would also result in an unnecessary multiplicity of suits. They have chosen to come under their collective, and registered association with a name referring to each member bank. In bringing these proceedings in its name, the Kenya Bankers Association is acting for, and on behalf of its members who are affected by the legislation which is being challenged. The members are a defined or ascertained and ascertainable class.

We find the instant case standing in a place of its own, and very distinguishable from a number of other cases where the parties have been denied a *locus standi*. Here the 48 banks are unanimously seeking to challenge the Act. There is no squabbling amongst member banks about going to the court for redress. In

a number of the other cases, proceedings were taken by a mere clique of the rest of the society, against the wishes of the other members of the governing body or even the entire body of the members. In the other cases where *locus standi* was denied the members sought to be represented were an unascertainable amorphous group, for unclear redress. Here the banks represented are definite in number, clearly named, and their remedy clearly shown. This is not a case of a band of busybodies, or a gang of disguised self-seekers with sinister pursuits.

The 48 member banks are adversely affected by the questioned legislation, and they have standing. We do not wish to have the courts flooded with litigation from 48 banks coming one by one. These banks have come under one association, the association is not acting for and on behalf of cranks meddling in affairs which do not concern them: this Act concerns them. The banks as interested persons, through their association are the best litigants since their interest will ensure that they present the case as well as it can be presented. These are factors which normally give *locus standi* to a person litigating. We find that the association of the 48 banks has a sufficient interest or stake in the present litigation.

As a general principle relating to this type of public interest litigation, we wish to state that what gives *locus standi* is a minimal personal interest and such an interest gives a person a standing even though it is quite clear that he would not be more affected than any other member of the population. With regard to representative suits by organizations on behalf of their members, such as is the case here, or clubs, societies and associations, we hold as a matter of principle, that representative organizational standing in court is permissible, provided that (a) the organization's members have standing to sue in their own right (as banks here have); (b) the interests which the organization seeks to protect are germane to the organization's purpose (which, from its objects, we have seen the Kenya Bankers Association fits here); and (c) neither the claim nor the relief sought requires individual participation of members (again, this case is covered). For guidance, see *Campos v de Souza,* [1933], 15 KLR 86. *Abdulla and another v Suleman and others* [1946] 13 EACA 1 (CA–K) is a leading authority on these matters. Likewise see *Singh v Singh* [1962] EA 395 (K).

Indeed, apart from the interest of its members an organization may have an interest of its own in its own right. Where an organization is formed for the very purpose of promoting a particular interest it is ridiculous to say that it does not have the right to litigate to protect such interest of its own. In the instant case, the constitution of the Kenya Bankers Association sets out clear objectives and functions, which will obviously be adversely affected by the legislation which is being impeached in these proceedings.

In our very considered opinion carefully reached during our retirement to consider this case, like in human rights cases, public interest litigation, including lawsuits challenging the constitutionality of an Act of Parliament, the procedural trappings and restrictions, the precondition of being an aggrieved person and other similar technical objections, cannot bar the jurisdiction of the court, or let justice bleed on the alter of technicality. This Court has vast powers under section 60 of the Constitution of Kenya, to do justice without technical restrictions and restraints, and procedures and reliefs have to be moulded according to the facts and circumstances of each case and each situation. It is

the fitness of things and in the interest of justice and the public good, that a litigation on constitutionality, entrenched fundamental human rights and broad public interest protection has to be viewed. Narrow pure legalism for the sake of legalism will not do. We cannot uphold technicality only to allow a clandestine activity to sneak through the net of judicial vigilance in the garb of legality.

Our legal system is intended to give effective remedies and reliefs whenever the Constitution of Kenya is threatened with violation. If an authority which is expected to move to protect the Constitution drags its feet, any person acting in good faith may approach the court to seek judicial intervention to ensure that the sanctity of the Constitution of Kenya is protected and not violated. We state with a firm conviction, that as a part of reasonable, fair and just procedure to uphold the constitutional guarantees, the right of access to justice entails a liberal approach to the question of *locus standi*. Accordingly, in constitutional questions, human rights cases, public interest litigation and class actions, the ordinary rule of Anglo-Saxon jurisprudence, that an action can be brought only by a person to whom legal injury is caused, must be departed from. In this type of case, any person or social action groups, acting in good faith, can approach the court seeking judicial redress for a legal injury caused or threatened to be caused to a defined class of persons represented, or for a contravention of the Constitution, or injury to the nation. In such cases, the court will not insist on such a public spirited individual or social action group espousing their cause, to show his or their standing to sue in the original Anglo-Saxon conception. We must be goal-oriented, that is, vigilantly uphold the Constitution of Kenya, and do justice according to the law in the context of our socio-cultural environment, and avoid paying undue attention to abstract technical strictures and procedural snares merely for the sake of technicality which may have the effect of restricting access to justice which is itself a constitutional right which cannot be abrogated or abriged by brazen or subtle schemes and manoeuvres.

So, when a person or body of persons comes to this Court and files or defends a representative suit or class action, the only prerequisites to the maintenance of such a suit or action are:

(a) a sufficient numerosity of parties;
(b) a commonality of issues;
(c) a commonality of claims or defences;
(d) a commonality of interest;
(e) a sufficient nexus between the representatives and the class;
(f) a defined, ascertained or ascertainable group represented;
(g) the good faith of the representative parties.

That is to say, (a) the class or persons should be so numerous that joinder of all members is either impracticable, or may impede or impair justice; (b) the questions of law or fact should be common to the class or all persons; (c) the claims or defences of the representative parties should be typical of all claims or defences of the class or group; (d) the representative parties should be persons who will fairly and adequately protect the interest of the others, and they must have the nexus with the class or group and its interests and claims; (e) the class or group representatives should not have a conflict of interest with some of the members whom the court can bind by means of a decree; (f) the group or class should be definite, and not consist of an amorphous membership; and, needless to say, (g) the *bona fides* of the representative party must be evident.

In suits for the protection of the Constitution of Kenya, the good faith of the person bringing the suit and the culpable inaction of the public officials charged with the duty of protecting the Constitution to seek judicial intervention, are the paramount guides in deciding issues of standing to sue or defend. In addition, the public good, and avoidance of prejudice and injustice are always borne in mind. Any person who genuinely and in good faith moves to defend the Constitution of Kenya is free to come, and he does not have to have suffered personally. For these propositions we have got guidance from the cases which we have already cited above, namely, *Campos*, *Abdulla* and *Singh*. Add to them the wealth of learning and authorities in William B Gould *Black Workers in White Unions* 1977 at 54–58. It was also a reward our reading former Chief Justice, Hon Mr Justice P N Bhagwati, "Liberty and Security of the Person in India, with Particular Emphasis on Access to Courts", a paper presented at the Seventh Judicial colloquium on the Domestic Application of International Human Rights Norms, held in Georgetown, Guyana, 1996. In that paper and in many of his other writings and judicial opinions which we have read and need not to cite here, Bhagwati has shown that the Indian Supreme Court has thrown wide open the doors of the courts and access to justice provided to a large multitude of people hitherto deprived of it by technicality and narrow understanding of the idea of *locus standi*. Despite that broad view, the system of justice has not broken down and the courts still cope with work reasonably well, thus belying the routine fear that courts would be swamped with an avalanche of litigation. At any rate the convenience and comfort of courts must be secondary to the exercise of the fundamental right of access to justice by the largest possible number. Any decided case which was made in ignorance of this fundamental precept and without taking account of modern literature on standing to sue is weak authority which we would be unable to emulate.

In the instant case, there is an alleged violation of the Constitution of Kenya. The Attorney-General who ought to look into this allegation is dithering. Persons with a common grievance and are public spirited, acting in good faith, have come to the court on behalf of themselves and their members who are a definite group. They seek relief for the benefit of each member, without a conflict of interest, and there is a sufficient nexus. If they are successful, they will help in ensuring that the Constitution is held supreme. No prejudice has been alleged to arise from this representative suit or class action. The problem raised cannot be side-stepped by clinging to a narrow technical view of *locus standi.*

For all these reasons, we hold that (a) in constitutional issues and public interest cases, the person who challenges the *locus standi* of a person complaining of constitutional violations or injury to a public interest, must show that a grave and overwhelming injustice will be done if the complaining party is allowed to litigate; (b) where an association or other organization exists for its members who are defined or are ascertainable, and its constitutional document provides for it and it is not contrary to a relevant registration statute governing the organization, it is generally the organization or association which is better placed to litigate for or on behalf of the members. We also hold that it would be an injustice to require by an unbending rule, individual members to sue or defend when the constitution of the association or organization says that legal proceedings may be taken or defended in the name of the association or organization, or of its specified officials of that body.

In the instant case no attempt was made to show any prejudice or injustice likely to be suffered if the Applicants are given a standing in this case. The constitution of the Kenya Bankers Association is in line with the Trade Unions Act and permits the Association to take or defend lawsuits; and the association got the authority to bring the present suit. Members are known and stand united together in this case. The association and its members have a common interest, a common grievance, and the reliefs sought relate to them all. It would be unjust to force them to split to file separate suits individually to litigate the same issue.

So, both on broad principles and in the particular circumstances of this case, the Kenya Bankers Association has the necessary *locus standi* in this litigation to enable the court to determine once and for all an issue affecting the members of the association, and thereby avert an avalance of litigation over the same thing. Moreover, they are seeking, in good faith, to uphold the supremacy of the Constitution of Kenya. And for the general economic questions raised, this is a public interest litigation and the Applicants are public spirited persons taking out *bona fide* litigation for the public good. It is a proper class action.

Indeed, in the special circumstances of this case, since the Central Bank of Kenya's standing in these proceedings is not seriously challenged and has been found to be valid, and the Central Bank of Kenya adopts and fully advances the same objections for the same or identical reasons against the disputed statute, a denial of standing to the Kenya Bankers Association would be merely academic and would not help in the determination of this litigation: the suit would still be pursued by the Central Bank of Kenya on the same grounds as those on which the bankers brought this application to the court in these proceedings. The question would still remain alive for the decision of the court, with nothing of substance gained by barring the banks from speaking, only to hear it all through another mouthpiece.

For the reasons given by the Applicants and the interested party, we further hold that the Respondents are the right Defendants to be sued.

With regard to the alleged unconstitutionality of the impeached statute, the Applicants attacked the Act from a number of angles. They said that the Act is unconstitutional because it is full of ambiguities and irreconcilable contradictions which make the Act difficult, if not impracticable to implement. Counsel for the Respondents saw those contradictions and practical difficulties and conceded them. The correspondence (copies of which are in the court file) between the bankers and the Ministry and the Central Bank of Kenya attest to the practical difficulties. The affidavits of John Kamau Murugu and Joseph Kanja Kinyua, graphically highlight the specific problems which will make the role of the Central Bank in fostering the liquidity, solvency and proper functioning of a stable market-based financial system in this country impractical; they also show that it does not make economic sense to control interest rates whilst leaving out of control the other forces in the economy, including exchange rates, thereby resulting in distortions and misallocation of productive resources.

To attempt to tabulate the perceived and stated loopholes of the Act would unnecessarily lengthen this judgment, suffice it to say that we have considered each point and each argument on each of them. In addition, we have seen that it is in the public domain, that a subsequent Bill for introduction to the

National Assembly, was published under the name The Central Bank of Kenya (Amendment) Bill, 2001, in the Kenya *Gazette* Supplement, Number 66 (Bill Number 26), of 22 August 2001. In its Memorandum of Objects and Reasons, it seems to address some of the problems created by the disputed Central Bank of Kenya (Amendment) Act 4 of 2001. For instance, it is stated there that the controls of interest rates in the banking sector "are considered undesirable as they are contrary to the policy of economic liberalization adopted by the government a few years ago". That Bill is signed by the Attorney-General who is opposing the present application even though the application is stated to be based on, among other things, this very reason which the Attorney-General is advancing to the public for seeking to amend the controversial Act. So, we find as a fact that the Act has the difficulties to which the Applicants and the interested party refer.

That finding raises the question as to what to do with a statutory enactment which is difficult or impractical to implement or obey, or which is ambiguous, or which may destroy the economy of the country, or which will put or may put Kenya at odds with some or all the economies of the rest of the world or of her trading partners, or a statute which breaks away from a chosen economic policy of the government. Is such a statute or portion of it which falls in any of these groups to be declared unconstitutional by reason thereof?

A statute or enactment worded in a language which is difficult to follow, or is ambiguous or contradictory or impossible to apply, is not necessarily thereby rendered unconstitutional. It only gives rise to questions of interpretation by the court. We all know that unless it is heavenly drafted, nearly every legislation has its own hidden caves and galleys, dark alleys, potholes, and mysteries. This is, and must, always be expected, because of the nature of language itself as a means of human communication. As long as language remains word based, ambiguity and contradictions will continue to torment mankind. This problem is a familiar feature of everyday decision-making.

Ambiguity, contradiction and difficult are often concomitant weeds to word-based tools of human communication, because words are not transparent and unchanging crystals; they are a tangle: a loose bundle of a living thought and may vary greatly in colour and content according to the circumstances and the time in which they are used. It is for judges to give meaning to what the legislature has said, and it is this process of interpretation which constitutes the most creative and thrilling functions of a judge. Every judge learnt and knows the cardinal features of language, and avoids being encumbered by any obscure or questionable philosophical theory. We know:

(a) that words are *vague*: they have a core of settled meaning, but beyond it there is a penumbra of borderline cases which is not regimented by any conventions. For instance, a "vehicle" for the purposes of a rule excluding *vehicles* from a park; but how about a toy motor-car, or an invalid's chair, or a fire engine or an ambulance entering when there is a fire in the park?

(b) that words are *ambiguous:* they have more than one relatively well settled use. Take, for example, a supposedly simple word like "vessel". A person bequeathing his *vessels* to his sons and daughters may leave behind trouble as to whether his bequest refers to his boats and ships, or his drinking cups casks and pots, or as modern science has now made it possible for one to donate his body parts, whether he bequeathed his blood vessels to one of his children who researches in these things;

(c) that words stand for a range of *diverse related things*, and do not on all occasions refer to the same state of affairs. Take words like "crime" "right" or "duty". What is a crime, right or duty today was not so yesterday or will not necessarily be so tomorrow;

(d) that descriptions of anything or of an event or a state of affairs, can be *specific* or *general.* So "Nyayo 1", may also be referred to as a vehicle, a motor-car, or someone's property, and so on. So, too, the question, "What did he do?" may receive the answer, "He killed her", or "He struck her", or "He moved his arm", or "He contracted the muscle of his arm", all of which may be true, but only one of them may be appropriate. What controls the selection of the appropriate description depends on the context and purpose of the inquiry. A physiologist may describe what happened in terms of muscular movements; a criminal investigator may choose the language made appropriate by the legal rule and say, He killed her. We are to be guided by the notion of the "material" facts of the case, or the components of a criminal act or wrongful course complained of;

(e) that words do not stand for the same qualities or the same set of *qualities.* They do not have one "true" or "proper" meaning;

(f) that rules of law can be open-textured independently of the language of their formulation, and that the open texture of rules is not necessarily to be considered a defect: incompleteness is not the same thing as imperfection; nor is ambiguity, especially deliberate ambiguity, as is sometimes the case.

Vague terms can be deliberate and sensible. Communication of the effect of an enactment may be obscured by poor grammatical construction: syntactic ambiguity, that is, within the framework of the sentence, a particular word or expression is capable of affecting two or more other parts of the sentence, thereby raising inconsistent or incompatible interpretations as to the effect of the enactment as a whole. For example, take a law having the phrase "standard brown eggs". It looks simple. Does it not? But there may be an ambiguity which permits two or more alternative interpretations. It may be said that it means eggs of any shape or size, but of a standard brown colour; or it may as well be said that it means eggs of a standard shape and size, which are also brown in colour. So, we generally resort to the context in which the phrase is used to resolve such an ambiguity.

In essence, we are saying that enacted laws more often than not contain difficulties and ambiguities; that rapid changes which characterize modern society constantly create new problems with which the legal order, usually through the legislature, try to deal; that in responding to pressing demands for new law, legislators labour under severe handicaps. In the process, although they see one facet of a problem reasonably clearly, or one specific context in which the problem may arise, they may fail to foresee all possible contingencies and various guises in which the problem may appear and to state the legal solution in a form of language that will embrace all of the cases to be covered. The result is that doubts may arise as to whether the rule was intended to apply in circumstances that the legislature seems not to have anticipated. We are saying that even if the draftsman wishes to anticipate every contingency, language is too imprecise and malleable an instrument to foreclose every possibility. Words, as verbal symbols of the legislature's intention have a fluidity and ambiguity which is very frustrating. They are not instruments of mathematical precision. And, so, a lot of judicial time is daily devoted to the interpretation of written law in all its forms. For example, see *Attorney-General v Abdulla*, [1960] EA 672 (on what was meant by "or other place"); *Attorney-General of Uganda v Kabaka's Government*, [1965] EA 393 (on how to discover the intention of the legislature

in an obscure piece of legislation with ambiguities of expressions, where, if the object of Parliament had been to render the statute as difficult of construction as possible, success could hardly have been more complete); and *Visram v Bhatt* [1965] EA 789 (CAK).

We do not wish to allow any person to make a fetish of – obsessive fixation on, or an irrational obsession with – obscurity, ambiguity, contradiction, difficulty of understanding, of this statute and seek to have it declared unconstitutional on that account alone. Obscurity, ambiguity, contradiction and difficulty, in themselves, do not render a statute unconstitutional: they only raise problems of judicial interpretation and application when actual fact situations arise. Before a court interprets an enactment in the light of real live cases, one is only advised to do what our Muslim brothers and sisters do in the practice of Islam on an uninterpreted point, namely, *ijtihad*, that is a "free" interpretation of the Koran; the right of individual interpretation on points on which no general agreement has yet been reached. But when a real fact situation arises in an actual case, and the court authoritatively interprets and applies the law, then similar cases must follow and adopt that interpretation. No real fact situation has arisen in this matter and it would be hypothetical and speculative to pronounce on any specific words, phrases and expressions out of specific contexts. We hold that the Applicants and the interested parties shall leave the process of interpretation to be undertaken on a case by case basis – in real live situations. So their arguments on ambiguity, obscurity of meaning and such-like difficulties are not well-grounded. On these aspects, hold that no provision of the Constitution of Kenya has been breached or otherwise violated and nothing in the impeached Act is by reason of difficulty and verbal ambiguity inconsistent with any particular constitutional rendering.

With regard to inconsistencies and repugnancy in parts of the Act, again, these are not things that necessarily render a statute unconstitutional. They are things which are resolved by the rules of statutory interpretation in real factual situations. There are, for example, rules of interpretation which say that if two or more sections are repugnant, the known rule is that the last must prevail (see *Wood v Riley* [1867], LR 3 CP 26, at 27, per Keating J). It is also a cardinal principle in the interpretation of a statute that if there are two or more inconsistent enactments, it must be seen if one cannot be read as a qualification of the other or others (see *Ebbs v Boulnois* [1875] LR 10 Ch 479, at 484, per James LJ; and Lopes LJ, in *Imray v Oakshette* [1897] 2 Q13 218, at 223). Moreover, every Act of Parliament must be considered with reference to the state of the law subsisting when it came into operation, and when it is to be applied; it cannot otherwise be rationally construed. Every Act is made either for the purpose of making a change in the law, or for the purpose of better declaring the law, and its operation is not to be impeded by the mere fact that it is inconsistent with some previous enactment, practice, custom, or economic policy (see Lord Larlgdale MR in *The Dean of Ely v Bliss* [1842]

5 Beav 574, at 582). Where proviso of a statute is directly repugnant to the purview of it, the proviso shall stand and be held to be a repeal of the purview, as it speaks the last intention of the makers of the statute (see Lord Tenterden CJ delivering the judgment of the court in *The King v The Justices of Middlesex* [1831] 2 B and Ad 818, at 821). If two inconsistent statutes be at different times, the last is to be obeyed and if obedience cannot be observed without derogating from the first, it is the first which must give way (see Lord Larlgdale MR in *The Dean of Ely v Bliss* [1842] 5 Beav 574, at 582; and Farwell LJ in *In re Cannings Ltd and Middlesex County Council* [1907] 1 KB 51, at 58).

We are saying that there are in place many rules and principles for the legal interpretation of every statute. There are rules for interpreting remedial statutes; for statutes creating new rights, obligations, duty, liability, and remedies; for fiscal, taxing and charging statutes; for penal statutes; and for every other type of statute. But they all deal with when actual cases arise. And they clearly show that a statute is not to be declared unconstitutional because it has certain aspects which may not be liked; and the main lesson to learn from these rules and principles, is that courts are equipped with the know-how to cope with problems of interpretation when real fact situations arise.

In the abstract, when no bank is being sued or prosecuted or penalized, and no case against any one of the banks is being pressed, none of the rules of legal interpretation can be invoked. One has to be pursued under a specific provision before the court can be asked to invoke the rules of interpretation to resolve an alleged and proved inconsistency or repugnancy. One must have proceeded under one provision, and if he is prosecuted or penalized for having violated another provision, then he can bring up issue that the provision under which he is being blamed is inconsistent with or repugnant to the one under which he acted; then the court can invoke one of its techniques of interpretation to resolve the issue. We do not have a situation of that kind before us. We are being asked to pronounce on a hypothetical and abstract problem. That is not the function of the court. And this Court has concluded that what we are faced with is an issue of interpreting inconsistent provisions in a statute, and this problem is an everyday problem, and is not one which renders those provisions unconstitutional. There is no provision in the Constitution which was shown to have been offended.

There was also an argument for the Applicants and the interested party that this legislation goes contrary to newly embraced economic policies of liberalization under which things must be governed by market forces, free of controls by statute. It was said that to introduce controls by law will put us in disharmony with other liberal economics with which we deal; and that the consequence will be that our economy will sink, if not collapse. This line was developed and pursued in great detail, as the affidavits of the officials from the Central Bank of Kenya show. Attractive arguments as they are, we do not consider it appropriate for the court to comment on, or decide, them, because these are questions of policy. If the government wishes to introduce controls, or if the government is unable to defeat motions and Bills initiated by the opposition parties to introduce controls, and a section of the Kenyan people or some interested group does not like such control measures being introduced, then it is a matter which goes beyond the realms of courts. A statute reversing a given economic policy, or introducing a new commercial or economic regime may have political repercussions for the political party in power, but it does not of itself thereby become an unconstitutional statute. Such a statute may influence the voting at a national election time, but it remains a valid statute within the Constitution of Kenya. Some people want a State controlled economy; others do not want any form of control, and desire a free enterprise. That is for economic policy makers. The court cannot go into this arena. No constitutional provision is violated.

It was said that this Act is unconstitutional because it is practically impossible to implement. This view was not seriously contested; and even if it would have been strongly contested, we are satisfied that owing to the fact that the enforcement date of the Act was back-dated to a time falling after certain transactions had occurred and cannot be recalled so as to be re-arranged according to the law, impossibility is validly pleaded. It is a well-known maxim that *lex non cogit ad impossibilia* (The law does not compel the impossible). It is another maxim of our law, that *Importentia excusat legem* (When a man is unable to do a thing he can plead the law as an excuse). Something not unlike the instant case occurred in England in the Newspaper Libel and Registration Act, 1881, which by its ninth section required printers to make certain returns before July 31, 1881. The Act was not passed until nearly one month later, on August 27 of that year. It has been the position of the law, that a continuing act or proceeding, not originally unlawful, commenced before the passing of a statute which prohibits it, cannot be treated as unlawful by reason of the passing of the statute until a reasonable time has been allowed for its discontinuance. (See Baggallay LJ in *Burns v Nowell* [1880] 5 QBD 444 at 454.)

From a number of cases, it is very clear that it cannot be sensibly doubted, that where the law imposes a duty to act, it is a defence that through no fault of his own, it was impossible for the accused or Defendant to do so; and it is clear law that nobody ought to be prosecuted for that which it is impossible to do. It was held in New Zealand, that a failure to leave the country after a revocation of a permit was not an offence if no airline would carry the accused because of the advanced state of her pregnancy (*Finau v Department of Labour* [1984] 2 NZLR 396). Absence of that knowledge or state of mind known to lawyers as *mens rea* normally affords a defence to a criminal charge. Of course there are exceptions, but that is the general rule (see *Harding v Price* [1948] 1 KB 695). So, the secretary of a limited company is not liable for failure to annex to an annual return, as required by the Companies Act, a copy of a balance sheet laid before the company in general meeting where there is no such balance sheet in existence (see *Stockdale v Coulson* [1974] 3 All ER 154). Clearly impossibility is a defence in criminal law. That defence is sufficient to protect the Applicants and the interested party in the event of a criminal prosecution under the Act complained of. But the fact that a defence exists to a criminal charge filed under the provisions of a statute, does not necessarily render that provision or statute unconstitutional.

The establishment of a monetary policy committee under section 39A, does not go against any provision of the Constitution of Kenya. It may bring about administrative difficulties as argued for the Central Bank; but those are not prohibited by the Constitution. They are the same as the other difficulties to which we have already adumbrated. They may join other difficulties of economic policy formulation, which are a problem for a government which brings them about, or is unable to prevent them. But they are not constitutional issues. There is no provision of the Constitution against this measure.

A major concern was about the retroactive effect of the impeached legislation. In strict legal parlance, this act was made to apply *ex post facto*, commonly referred to as retrospective. The Act is designed to make unlawful, and to penalize by criminal sanctions, acts which were lawful when they were done. The general rule in our jurisprudence, is that a retrospective operation is not to be given to a statute so as to impair an existing right or obligation, otherwise

than as regards matter of procedure; and objection is more strongly felt in respect of *ex post facto* imposition of novel penalties, and of arbitrary creation of new crimes, than in any other form of retroactive legislation, for it shocks the most elementary sense of justice to punish anybody, as an afterthought, for doing that which was lawful when he did it. This rule chiefly prevails where the enactment would prejudicially affect vested rights, or the legality of past transactions, or impair contracts. Every statute which takes away or impairs vested rights acquired under existing laws, or creates a new obligation, or imposes a new duty, or attaches a new disability in respect of transactions or considerations already past, must be presumed to be intended not to have a retrospective operation. *A fortiori* the presumption is against the imposition of novel penalties for wrongs invented *ex post facto.* These are propositions based on a presumption or rule of construction and interpretation of statutes.

In Kenya, however, in addition to that presumption, there is a constitutional restraint upon retroactive legislation, allowing court to derogate from a legislation even if it is unequivocally expressed to operate retrospectively. Section 77(4) of the Constitution of Kenya reads:

> "77(4) No person shall be held to be guilty of a criminal offence on account of an act or omission that did not, at the time it took place, constitute such an offence, and no penalty shall be imposed for a criminal offence that is severer in degree or description than the maximum penalty that might have been imposed for that offence at the time when it was committed".

In this section we find a total prohibition of retrospective enforcement of criminal and penal enactments. If there was any doubt about such a prohibition, the doubt is removed by section 46(6) which expressly says that section 77 overrides every other provision in this respect. While allowing for retrospective enactment, section 46(6) is expressly made subject to the prohibition in section 77. It reads:

> "46(6) A law made by Parliament shall not come into operation until it has been published in the Kenya *Gazette*, but Parliament may postpone the coming into operation of a law and, subject to section 77, may make laws with retrospective effect".

The Central Bank of Kenya (Amendment) Act 4 of 2001, received Presidential Assent on 6 August 2001. It was deemed to have come into operation on 1 January 2001, that is to say, slightly more than eight months before it was actually enacted and assented to. It was past *ex post facto*, and given retroactive commencement. In it are criminal penal provisions. For, by section 39(4), it is expressly stated:

> "39(4) A specified bank or specified financial institution which contravenes any of the provisions of this section shall be guilty of an offence under the Banking Act and liable to such penalty as the Minister may prescribe under section 55 of that Act".

This is with effect from 1 January 2001. And yet, section 77(4) of the Constitution of Kenya which overrides section 46(6) says that nobody is to be held guilty of a criminal offence on account of what was not an offence when it occurred. The impeached Act has introduced new regulations of interest rates, and slapped a ban on guarantees by company directors of loans or advances made by banks or financial institutions to companies of which the guarantors are their directors. That is what section 39 of the questioned Act does. If those regulations and the ban are violated, a criminal conviction will attract the

stipulated criminal penalties. It is already the position with effect from 1 January 2001.

It was shown to our satisfaction on the requisite standard of proof, that prior to 1 January 2001, the specified banks and specified financial institutions, had already been operating under interest rates which were well above what the impeached Act is prescribing under the new regulations. We were shown that loans and advances on which the previously unregulated interest rates were charged had already been made before the Act was passed and brought into force. It was demonstrated that deposits were made and held in interest earning accounts on pre-enactment or pre-operational date of the statute interest rates. Lending and advance and deposit contracts had been entered into, giving legal rights and imposing obligations and duties, on the basis of pre-statute interest rates. Some company directors had given personal guarantees of loans or advances made to their companies.

It is our clear finding that this enactment with retrospective operation is not sanctioned by section 46(6) of the Constitution of Kenya, because it creates offences out of acts or omissions which did not constitute offences at the time they took place before the Act's date of commencement, and the overriding section 77(4) expressly states that such criminalisation of formerly lawful and innocent acts or omissions is not to be permitted. We find without any particle of doubt, that section 39 on the regulation of interest rates on loans or advances, and the stipulation of a minimum rate of interest payable on deposits held in interest-earning accounts, and the criminalisation and penalization of any violation of the regulation of the interest rates with retrospective operation fly in the face of section 77(4) of the Constitution of Kenya. The same is the case with the provision regarding guarantees by companies' directors. In short, section of the Act standing impeachment is inconsistent with section 77(4) of the Constitution of Kenya.

Not a scintilla of our finding that there is a collision between section 77(4) of the Constitution of Kenya on the one hand, and section 39 of the impeached Act in so far as the latter section is restrospectively applied, on the other, is in any way taken away by the various provisos in section 39 which, on a shallow reading of them suggest that they save section 39 from its being afflicted by the malady of unconstitutional retroactivity. Each of those provisos says that the subsection to which they refer shall only apply "to contracts for loans or advances made or renewed after the commencement of this section" or "to contracts, in respect of deposits, made or renewed after the commencement of this section" or "to contracts for loans or advances made or renewed after the commencement of this section".

See the provisos to subsection (1), (2) and (3) to section 39 of the Central Bank of Kenya (Amendment) Act 4 of 2001, in question. When those provisos are read together with section 1 of the Act which makes the Act to be deemed to have come into operation on 1 January 2001, then one gets the conflict clearly. Neither of the two sections is made subject to the other. If it was intended that the operation of section 39 was suspended while the rest of the Act came into force on 1 January 2001, it should have been so stated or clearly implied in section 1; or, section 39 should have suitably qualified and referred to section 1. Thus, section 1 should have contained something like "Subject to the provisions of section 39, this Act shall be deemed to have come

into operation on 1 January 2001". Alternatively, section 39 should have contained in an appropriate place, something to the effect, that "Notwithstanding the commencement date for the rest of this Act specified in section 1, the provisions of this section shall come into operation on" a date as the section specified. These or other usual devices for limiting different parts of a statute should have been employed, but none was invoked. So, the whole Act, including the parts dealing with the regulations and penalties complained of, were made to be in force from 1 January 2001.

Moreover, even if it were taken that section 39 and its provisos qualified section 1 which brought the Act in force on 1 January 2001, then the question arises: When will section 39 be in force? No commencement date for that section alone was specified; and the Minister was not given any power by Parliament to name a date for bringing section 39 into force. In the absence of a named date for the operation of section 39, and in the absence of authority of Parliament for the Minister to bring that section in force on a date he may announce in the Kenya *Gazette*, while the rest of the Act is already in force, it would mean that we have a redundant section in this same Act. We do not believe that Parliament intended to create redundancy in its own Act. We find, therefore, that section 39, along with the rest of the Act, was deemed to have come into operation on 1 January 2001, before the Act was passed and assented to. Section 39 is also retrospective in operation, just like the rest of the Act – and we reject any notion that it is only a verbose tautology in the statute.

Having found that section 39 was retrospectively brought into operation while creating new criminal offences, new criminal penalties, and prejudicially interfering with and adversely affecting vested contractual rights, and has imposed new burdens or impaired existing obligations, we hold that the section is inconsistent with section 77(4) of the Constitution of Kenya.

As every Kenyan knows, "any other law" which "is inconsistent with this Constitution", "shall, to the extent of the inconsistency, be void", and "this Constitution shall prevail". (See section 3 of the Constitution.)

So, to what extent is the Central Bank of Kenya (Amendment) Act 4 of 2001, inconsistent with the Constitution of Kenya? Our answer is that it is inconsistent with the Constitution to the extent of its retrospective operation. To that extent the Act is void.

On the whole, we hold that the impeached Act is void to the extent that it is penal and retroactive. We further hold that the rest of the difficulties are matters of economic policy formulation and are outside the consideration of this Court. The retrospective operation of the Act is, therefore, void in so far as the Act creates new criminal offences, penalizes contraventions, prejudices vested rights, imposes new burdens, and impairs existing obligations, whether of or upon the Applicants and their members, or the interested party, the Central Bank of Kenya. To that extent we make the declarations sought and summarized in this judgment as (a), (b) and (c) at 2 of this typed judgment, except that for the word "unlawful" substitute it with the word "unconstitutional" in (b); and these declarations also cover the interested party *mutatis mutandis*. We dismiss the prayer for a declaration at (d) as it is premature.

With regard to the costs of these proceedings, we consider that each party has won and also lost on substantial points, and the only fair order is that each party bears its own costs. We so order accordingly.

For the Appellants:

Information not available

For the Respondents:

Information not available

Shah v Investment and Mortgages Bank Ltd lic
[2001] 1 EA 274 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	14 December 2001
Case Number:	13 and 19/2001
Before:	Omolo, Bosire and O'kubasu JJA
Sourced by:	S Dhanji
Summarised by:	HK Mutai

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[1] Practice – Pleadings – Plaint – Status of unsigned plaint – Effect on suit – Whether suit founded on unsigned plaint can be dismissed – Order VI, rule 14 – Civil Procedure Rules.

Editor's Summary

On 27 April 2001, the Plaintiff bank filed a suit against Nakumatt, VS and AS claiming a sum of KShs 88 133 393-10. Thereafter, VS and AS filed separate applications under the Civil Procedure Act seeking the dismissal of the suit on the grounds that the plaint on which the suit was based was unsigned, contrary to, Order VI, rule 14 of the Civil Procedure Rules. At the hearing of the applications, two plaints, one signed and one unsigned, were present in the court file. The applications were dismissed on the grounds, first, that even if there was no signed plaint on record, that was not a ground for the dismissal of a suit and, second, there was, as a matter of fact, a signed copy of the plaint in the court file. AS and VS appealed, challenging the Judge's finding.

Held – Under Kenyan law, a party who files an unsigned plaint runs the risk of having that plaint struck out, not dismissed, for not complying with the Civil Procedure Rules; *Samaki Industries (Nairobi) Ltd v Samaki Industries (K) Ltd* [1995] LLR 2505 (CAK) followed; *Great Australian Gold Mining Co v Martin* [1877] 5 Ch D 1 considered. There was no acceptable evidence to suggest that the Plaintiff had "sneaked" a signed copy of the plaint into the court file. The Judge was therefore correct in rejecting the application on the ground that there had always been a signed and an unsigned copy of the plaint on record. The appeal accordingly failed on this ground.

The Learned Judge was correct in finding the original summons to be defective and ordering fresh summons to issue; *Ceneast Airlines Ltd v Kenya Shell Ltd* [1999] LLR 1038 (CAK) explained.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Ceneast Airlines Ltd v Kenya Shell Ltd [2000] 2 EA (CAK) – **E**

Samaki Industries (Nairobi) Ltd v Samaki Industries (K) Ltd [1995] LLR 2505 (CAK) – **C**

Uhuru Highway Development Ltd v Central Bank of Kenya [1995] LLR 2177 (CAK)

United Kingdom

Fick and Fick Ltd v Assimakis [1958] 3 All ER 182

Great Australian Gold Mining Co v Martin [1877] 5 Ch D1 – **C**

Harding Rees v Cowper [1890] 24 QB D533

Judgment

OMOLO, BOSIRE and O'KUBASU JJA: By a plaint dated 26 April 2001 and filed in the High Court of Kenya at Milimani Commercial Courts on 27 April 2001 and registered in that court as civil case number 782 of 2000, Investments and Mortgages Bank Ltd, "the bank" hereinafter, claimed a total of KShs 88 133 393-10 with interest thereon at the rate of 28% per annum from Nakumatt Investments Ltd, "Nakumatt" hereinafter, Vipin Maganlal Shah, "Vipin" hereinafter and Atulkumar Maganlal Shah, "Atulkumar" hereinafter. For the purposes of this judgment, it is not necessary for us to go into the details of why the claim was made and such like matters. It is sufficient to say the claim was made and filed in the High Court as we have set out above.

To that claim, Atulkumar entered appearance on 29 May 2000 and followed it with a defence, apparently on the same day. These things were done on behalf of Atulkumar by M/s Kariuki Muigua and Company Advocates of Nairobi. Ngatia and Associates Advocates entered appearance for Nakumatt on 31 May 2000 and filed a defence for it on the same day. JW Ngetho and Company Advocates entered appearance and filed a defence on behalf of Vipin on 29 May 2000. To complete the scene, we should state that the bank's plaint had been filed on its behalf by M/s Salim Dhanji and Company Advocates, also of Nairobi.

Then on 30 May 2000, Atulkumar lodged a chamber summons under section 3A of the Civil Procedure Act, Order VI, rule 13(*d*) and Order VI, rule 14 of the Civil Procedure Rules, and the prayers made in the summons were two, namely:

> "1 That this Honourable Court be pleased to dismiss Suit Number 782/2000 with costs.
>
> 2 That the costs of this application be provided for".

The grounds on which the dismissal of the suit was sought were that:

> "(a) The plaint filed on 27 April 2000 is unsigned, it is not a pleading as required by law.

(b) That the Plaintiffs have not complied with the mandatory provisions of Order VI, rule 14.

(c) That the said unsigned plaint cannot form the basis of a suit.

(d) The plaint offends the mandatory provisions of the Civil Procedure Rules.

(e) That any suit founded on an unsigned pleading is incompetent and a nullity in law.

(f) That the suit is a total abuse of the process of court".

These grounds are merely repetitive of one fact, namely that as the plaint which had instituted the suit had not been signed on behalf of the bank either by its advocates or by any of its authorised officers, there was no valid suit before the superior court. Whether there was or was not a signed plaint in the court file at the time when Atulkumar took out his summons to dismiss the suit is a matter which we shall have to deal with later on. The summons was supported by a short affidavit containing in all nine paragraphs and sworn by Mr Kariuki Muigua. The relevant paragraphs were as follows:

"(1) That I am an advocate of the High Court of Kenya who has the conduct of this matter on behalf of the Third Defendant [Atulkumar].

(2) That my client has been served with a plaint in respect of High Court civil case 782 of 2000.

(3) That upon perusal of the court file, I discovered that the plaint therein was filed contrary to the mandatory provisions of Order VI, rule 14 of the Civil Procedure Rules.

(4) That on the 29 May 2000, my law firm applied for certified copies of the pleadings in the court file by a letter dated 29 May 2000. [Annexed hereto and marked as 'KM2'.]

(5) That on the same day I received a certified copy of the said plaint. [Annexed hereto and marked as 'KM2'.]

(6) That I verily believe that the purported suit filed herein is incompetent and a nullity in law and the unsigned plaint cannot form the basis of a suit.

(7) That I verily believe that for the ends of justice this suit should be dismissed forthwith".

The basis of these assertions by Atulkumar and his counsel were based on the provisions of Order VI, rule 14 of the Civil Procedure Rules. Order VI is headed "Pleadings Generally" and the various rules thereunder set out the formal and procedural requirements with regard to what a pleading should contain, how it should be drafted and so on. Then rule 14 provides: "Every pleading shall be signed by an advocate, or recognised agent (as defined by Order III, rule 2), or by the party if he sues or defends in person".

The contention of Atulkumar and his counsel was that as the bank's plaint in the court record had not been signed either by its advocates or by an authorised officer of the bank, it violated the provisions of rule 14 which according to Atulkumar and his counsel are mandatory, and that being so the plaint ought to be dismissed. If this contention was true then the plaint would be struck out rather than be dismissed. Nakumatt joined in Atulkumar's contention, though Nakumatt did not itself file an application to strike out. Instead Nakumatt's counsel, Mr *Ngatia*, merely contented himself by swearing an affidavit in support of the chamber summons filed by Atulkumar. Vipin, however, filed his own chamber summons supported by the affidavit of his counsel, also seeking the same orders as those sought by Atulkumar.

For its part, the bank did not take these allegations lying down. Through Mr Dhanji, the bank swore several affidavits explaining what had happened. The gist of the bank's explanation was that Mr Dhanji's court clerk, one John Mbiti Mutunga, who also swore several affidavits, had been given six copies of the plaint and of those copies, five were signed and one was deliberately left unsigned. The unsigned copy was to be retained in the advocate's office file, presumably after stamping by the court. A signed copy had to remain in the court record while the other signed copies had to be served to the parties against whom the suit had been instituted. But according to Mr Dhanji and his clerk, there was a mistake and the court was left with one signed copy and the unsigned copy. So that the bank's position before the superior court and even before us was that there had always been one signed copy of the plaint in the court file and one unsigned copy. The Appellants' position, as we have seen, was that when Mr *Muigua* checked the court file before he filed his application for dismissal of the suit, there was only one unsigned and undated copy of the plaint in the court record. Mr *Muigua* wrote to the deputy registrar asking to be given a certified copy of the plaint; the deputy registrar supplied an unsigned and undated copy. It was only after this that the application for dismissal was filed. Nakumatt and Vipin supported this position. The Learned Judge (Mbaluto J) then felt compelled to ask the deputy registrar of the court to swear an affidavit explaining the position. The deputy registrar, one Mr Charles Kanyangi, swore an affidavit which essentially supported the position taken by the Appellants. The deputy registrar was promptly accused of bias and improper motives by the bank's advisors.

The Learned Judge found for the bank, principally on two grounds. These were first, that even if there was no signed plaint on record, that was not a ground for dismissing the suit as demanded by the Appellants and secondly, that at any rate, by the time the matter came before him, there was in fact a signed copy of the plaint in the court file. It is the presence of two plaints, one signed and the other one unsigned that led the Learned Judge to ask the deputy registrar to swear an affidavit explaining that position.

The two Appellants, Atulkumar and Vipin, now come to this Court challenging the conclusions of the Learned Judge and his refusal to dismiss the suit. They filed separate appeals, Atulkumar's appeal being civil appeal number 13 of 2001 while that of Vipin is civil appeal number 19 of 2001. We consolidated the two when the hearing opened before us. Nakumatt did not appeal.

As far as we can see, there really are only two issues for the Court to determine in the consolidated appeals. The first issue is contained in Atulkumar's ground 7 of his memorandum of appeal, while in Vipin's memorandum of appeal it is contained in ground 5. In those grounds, it is alleged that: "The Learned Judge erred in law and in fact in finding that there is no requirement in Order VI, rule 14 of the Civil Procedure Rules that a signed plaint be in the court file".

The second issue which is not directly mentioned in any of the two appeals relates to the question of whether there was in fact a signed copy of the plaint in the court file when the application to dismiss the suit was lodged. There were other issues such as what motive the Appellants had in going to read the court file to find out whether there was or there was not a signed plaint in the court file, and whether the Appellants were guilty of failure to disclose relevant issues; but in our view these were really not issues of substance in the dispute

though the Learned Judge seems to have taken a very dim view of the Appellants over them. The truth of the matter is that parties to a litigation are entitled to go and peruse court files; it was not suggested that it was illegal, or even immoral for the Appellants to peruse court documents in which they were directly interested. Court documents are public documents and of necessity the parties involved must have a right to peruse them. If the perusal is to be done on certain conditions, such as payment of some fee and a party complies with that condition, then such a party is entitled to peruse the document whatever may be his motive, unless of course there are reasonable grounds to show that he intends to steal or destroy the documents. But if the intention is merely to read the documents and leave them there, we do not see that such a party can be denied a remedy on the basis that he did not disclose his reason for going to read the court file, as a result of which he filed the application to dismiss the suit.

Again, on the issue of failure by the Appellants to disclose in their respective affidavits that each of them had been served with a copy of the signed plaint, reprehensible as it was, we do not think the Judge would have been entitled, in the circumstances of this case, to deny to the Appellants a remedy on that basis. The two applications to dismiss the plaint were not made *ex parte* and the Learned Judge was not misled into making any order by the Applicants' non-disclosure. The position would have been different if the applications had been made *ex parte* and because of the Appellants' non-disclosure, the Judge was misled into making an order which he would not have made had all the material facts been put before him by the party in whose favour the *ex parte* order was made. In that case a judge would be perfectly entitled to dismiss the whole application on the basis of failure to disclose material facts. That is what this Court said in the separate rulings in *Uhuru Highway Development Ltd v Central Bank of Kenya* [1995] LLR 2177 (CAK). In this case, the Appellants' failure to disclose that they had been served with signed copies of the plaint, reprehensible as it might have been, did not really deceive anyone. The Respondents were able to put that fact before the Judge long before he made any decision on the issue. But we suppose the Learned Judge was entitled to take into account in coming to his decision, though as we have said, it would not, by itself, have entitled the Judge to dismiss the application.

We shall now deal with the issue of what happens if a pleading is not signed as required by Order VI, rule 14 the contents of which we have set out elsewhere.

The contention of counsel for the Appellants is that the provisions of rule 14 are mandatory and failure to comply with them renders the pleading liable to a dismissal. Mr *Regeru* for the bank, contended that even if there was in fact no signed plaint on the court record, that would not be a ground for dismissing or striking out a pleading. Mr *Regeru* in his usually learned way relied on certain English and Indian authorities and we think we must examine them first. We shall start with the English authorities upon which Mr *Regeru* relied.

First of course was *Halsbury's Laws of England* (4 ed) Volume 36 which deals with among other things, "Pleadings" and under the heading "2 Contents of Pleadings" at page 7 and at paragraph 7 page 7, under the subheading "Signature" is to be found this statement:

> "Pleadings need not be settled by counsel, but where a pleading is settled by counsel, it must be signed by him. The only signature which is permitted to appear on pleadings is that of counsel or a solicitor or a litigant in person. If a pleading has been settled otherwise than by counsel, it must be signed by the solicitor of the party by whom it is served, or by the party himself if he sues or defends in person".

So that it is obvious from this passage that a pleading must be signed either by the advocate or the party himself where he sues or defends in person or by his recognised agent. The reason for this was stated in the ancient case of *Great Australian Gold Mining Co v Martin* [1877] 5 Ch D1 at 10 to be a "voucher that the case is not a mere fiction". Several cases are quoted as illustrations of the passage in *Halsbury's Laws of England*.

In *France v Dutton* [1891] 2 QB 208, a clerk to a solicitor signed the solicitor's bill of costs on behalf of the solicitor. Objection was taken to the clerk's signature but the objection was overruled on the ground that the clerk's signature was sufficient. The issue here was not that there was absolutely no signature. The issue was whether the clerk's signature was sufficient and as the solicitor had authorised the clerk to sign on his behalf, the signature was really that of a recognised agent of the solicitor.

But in the earlier case of The Queen on the prosecution of *Harding Rees v Cowper* [1890] 24 QBD 533, it was held that: "In order to entitle the Plaintiff in an action in a county court to the costs of entering a plaint by a solicitor, the solicitor must sign the particulars, and a lithographed statement of the solicitor's name on the particulars is insufficient".

In the latter case, it was held, in effect, that the solicitor had not signed the plaint and the Plaintiff was denied his costs, even though Lord Esher MR dissented from the decision. Mr *Regeru* next relied on the case of *Fick and Fick Ltd v Assimakis* [1958] 3 All ER 182 where it was held that: "as the writ which was issued was properly endorsed with a signed statement of claim, the absence of a signature to the statement of claim on the copy served on the Defendant was cured by the appearance which the Defendant must be taken to have entered".

Mr *Regeru* contended that as the Appellants entered unconditional appearance to the bank's suit, even if there had been no signature on the plaint in the file, their unconditional appearance cured that defect. We do not think Mr *Regeru* is right on this aspect of the matter. In *Fick*'s case, the writ which was issued was properly endorsed with a signed statement of claim. What was not signed was the copy of the statement of claim served upon the Defendant and as the Defendant had entered an unconditional appearance to the claim the defect in the unsigned copy served on him was cured. We doubt very much if the position would have been the same if the original writ issued was not endorsed with a signed statement of claim. The position in England, at least according to these authorities, appears to be that a pleading must be signed either by counsel or the party in person or the party's recognized agent. Whether a pleading which has not been so signed can be struck out or dismissed is not clear from these authorities.

Here in Kenya this Court dealt with the case of *Samaki Industries (Nairobi) Ltd v Samaki Industries (K) Ltd* [1995] LLR 2505 (CAK). There a suspended advocate filed an appeal on behalf of a party signing the memorandum of appeal and the other relevant documents. This Court had no difficulty in holding, indeed it was conceded, that the appeal having been filed by an unqualified advocate

on behalf of an Appellant was incurably defective and was struck out. The Court did not call upon the Appellant to come and sign the memorandum of appeal and thus validate it.

What is the position in India? Mr *Regeru* relied on a passage from Mulla on *The Code of Civil Procedure* (12 ed) at 502, where it is recorded:

> "[Order VI, rule 14]
>
> Every pleading shall be signed by the party and his pleader (if any) provided that where a party pleading is, by reason of absence or for other good cause, unable to sign the pleading, it may be signed by any person, duly authorised by him to sign the same or to sue or defend on his behalf".

Then there follows this statement:

> "Omission to sign plaint: The signing of plaint is merely a matter of procedure. If a plaint is not signed by the Plaintiff or by a person duly authorised by him in that behalf, and the defect is discovered at any time before the court may allow the Plaintiff to amend the plaint by signing the same. If the defect is not discovered until the case comes on for hearing before an appellate court, the appellate court may order the amendment to be made in that court. The appellate court ought not to dismiss the suit or interfere with the decree of the lower court merely because the plaint has not been signed. The omission to sign or verify a plaint is not such a defect as could affect the merits of a case or the jurisdiction of the court. It can be set right even after the expiration of the period of limitation for filing the suit".

We have no reason to doubt that that passage may well set out the correct position in India but it does not appear to set out the correct position in England. In Kenya, we have already cited the *Samaki Industries (Nairobi) Ltd v Samaki Industries (K) Ltd* [1995] LLR 2505 (CAK), (*supra*). There is of course the object the legislator had in mind in requiring that a plaint be signed either by counsel or the party suing. The object must clearly be to make the party suing or filing any other pleading take ownership and responsibility for the contents of the plaint or pleading or, as was said in the *Great Australian Gold Mining Co* case (*supra*) to be "a voucher that the case is not a mere fiction".

Again, in Kenya, Order VII, rule 1(*e*) now requires that a plaint shall contain "an averment that there is no other suit pending, and that there have been no previous proceedings in any court between the Plaintiff and the Defendant on the same subject matter", and rule (2) of that orders stipulates that "The plaint shall be accompanied by an affidavit sworn by the Plaintiff verifying the correctness of the averments contained in the plaint".

If a plaint is not signed either by the Plaintiff in person or his recognised agent or his advocate, what is the use of requiring that it contains an averment by the Plaintiff that there is no other suit pending and so on? If the plaint is not signed as required by Order VI, rule 14, these other requirements clearly become meaningless. Whatever may be the position in India or even in England, the position in Kenya seems to us to be that a party who files an unsigned plaint runs a very grave risk of having that plaint struck out as not complying with the law. In this appeal, we shall go no further than that because as we said earlier, we must deal with the issue of whether or not there was on record a copy of the signed plaint when the summons to strike out was lodged in the superior court. It is to that question that we must turn.

There can be no doubt on the material before us that right from the time Mbaluto J started handling the matter, there was a signed copy of the plaint in the court record. The Learned Judge then ordered his deputy registrar to swear

an affidavit explaining how “two plaints” had come to be in the court file. On this aspect of the matter, we are in entire agreement with the Learned Judge that the deputy registrar’s affidavit was wholly unhelpful. He swore that when he handled the file on 29 May 2000, there was only one copy of the plaint in the file and that the copy was unsigned and undated. He also swore that “there is no room for the court file to contain two original plaints as the cashier’s duty is to collect the appropriate fee and to retain the original plaint and copy the duplicate receipt leaving no room for an advocate’s clerk to file two plaints inadvertently as alleged”.

Mr Dhanji and his clerk had specifically deponed in their respective affidavits that a mistake had in fact occurred. The deputy registrar was not the cashier who had dealt with Mr Dhanji’s clerk and the deputy registrar did not specifically swear, indeed he could not have specifically sworn, that no mistake in fact occurred. The deputy registrar’s affidavit was sworn on 27 June 2000 and by then there was the signed copy of the plaint in the court file which at all times must have been in the custody, actual or constructive, of the deputy registrar. He did not attempt to explain how and when the signed copy of the plaint came to be in the court file. He did not swear that he even made any efforts to find out from his clerks how the signed plaint had come to be in the court file. It appears it was being suggested that the bank and its advisors had corruptly “sneaked” the signed plaint in the court record in order to defeat the Appellants’ summons to dismiss the suit. That was a very serious allegation and there was no acceptable evidence which could have justified that conclusion. In our view the Learned Judge was perfectly within his right to reject the summons on the ground that a signed and dated copy of the plaint had always been in the court file and had not been surreptitiously “sneaked in” as was being suggested by the Appellants. On this ground alone, we are satisfied this appeal must fail.

Before we leave the matter, there is one other issue which we must deal with. It was being contended by the Appellants before Mbaluto J that the summonses which had been issued in the case and served on all the Appellants and Nakumatt had all been invalid because they had provided for entry of appearance within ten days instead of giving them at least ten days to enter appearance. The Learned Judge found that the summonses had been defective in that respect and ordered fresh summonses to issue. Apparently the Learned Judge was being urged to hold that since the summonses were defective, it followed that the suit itself was defective and for that proposition the case of *Ceneast Airlines Ltd v Kenya Shell Ltd* [1999] LLR 1038 (CAK) relied on. Nothing could have been further from the truth. That case did not and could not have decided that when summons to enter appearance and file a defence is defective, the suit itself is defective. What the case decided was that if the summons is defective the service of the same upon the other party must itself be defective. The defect in the service, however, has got nothing to do with the validity of the suit in which the summons is issued. It is to be noted that in the *Ceneast Airlines* case, the service was held to be invalid and the Defendant was granted unconditional leave to defend. If the suit had itself been invalid, there would be no occasion for granting leave to defend as there would be nothing to defend. The Learned Judge, rightly in our view, set aside the defective service and ordered fresh summonses to issue. He was entitled to do so.

Should we order the Appellants to pay the costs of the appeals? In normal circumstances, costs ought to follow the events. But taking into account the

conduct of both sides in the superior court, we are not prepared to award costs to any of them. We order that the two consolidated appeals be dismissed but with no orders as to costs. Those shall be the orders of the Court.

For the Appellants:

Information not available

For the Respondents:

Information not available

Stahlco Holdings Ltd v Mission Aviation Fellowship Europe
[2001] 1 EA 282 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	22 January 2002
Case Number:	2/01
Before:	Kato, Mpagi-Bahigeine and Twinomujuni JJA
Sourced by:	P Karugaba
Summarised by:	HK Mutai

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[1] Contract – Building contract – Failure to complete construction on schedule – Quality of work – Work not done in accordance with plans and specifications – Unilateral termination of contract – Breach of contract – Damages – Whether the contractor was in breach of contract – Whether the Defendant was justified in terminating the contract – Whether the Defendant was entitled to recover special damages.

Editor's Summary

In February 1994 the Plaintiff entered into an agreement with the Defendant to construct a hangar, pit latrine and generator shed for the latter at a cost of US$ 56 070 by the end of November 1994. The Plaintiff received 50% of the payment in advance and commenced construction but after a few months it fell behind with the work and it became clear that the November deadline would not be met. Problems also arose regarding the quality of the construction. In December 1994 and again in January 1995 the Defendant wrote to the Plaintiff complaining about the delays in completing the construction. On 2 January 1995 the Plaintiff wrote to the Defendant requesting an extension of time. The Defendant replied by letter dated 20 February 1995, agreeing to extend the deadline for the final time until Friday 17 March 1995. Eventually, on 25 April 1995, the Defendant wrote to the Plaintiff informing it of the decision to terminate its work on the grounds that its performance had been unsatisfactorily slow and had not been in accordance with the plans and specifications laid out in the contract. The Defendant thereafter employed another firm to complete the job. The Plaintiff then filed suit against the Defendant seeking special damages of US$ 24 685 as well as general damages for breach of contract and costs. The Defendant counterclaimed for a sum of US$ 31 782 in special damages for breach of contract. The Plaintiff denied that there were any agreed specifications regarding the materials to be used and contended that it was the Defendant that had wanted it to do a

cheap job. The court found that the Plaintiff had not complied with the specifications, had performed shoddy work and had

failed to comply with the time frame of the contract. The Defendant was therefore entitled to terminate the contract and to the award of UShs 21 692 257 in special damages and UShs 16 000 000 in general damages. The Plaintiff appealed on the grounds, *inter alia*, that the trial court had erred in finding that it had breached the contract and that the court had also erred in awarding special and general damages to the Defendant.

Held – Where work contracted for was required to be done in accordance with signed documents and plans, the contractor was obliged to follow what was provided for in the contract and to use only such materials and quality of workmanship as was specified. Overwhelming evidence was adduced before the trial Judge on which he could properly conclude that detailed plans and drawings forming part of the contract existed as from the time the work started. Moreover, the Plaintiff's letter of 25 January 1995 to the Defendant was an acknowledgment of its dilatory tactics while trying to minimise costs.

Where a contractor was unduly delaying work and the contract time had ceased to be binding, the employer could give him notice to complete within a reasonable fixed time and would be justified in refusing to allow the contractor to proceed further where it failed to comply with the new period. In this instance, the Defendant was entitled to terminate the contract following the failure by the Plaintiff to meet the deadline set out in the 20 February letter.

There were no grounds for the Judge to set off or deduct any benefit received by the Defendant from the Plaintiff's work as the contract had been one for work to be done for a lump sum and in such contracts, until the work was completed, the price of it could not be recovered; *Sumpter v Hedges* considered.

The trial Judge had considered the relevant facts regarding the natural consequences of the Appellant's breach of contract and exercised his discretion judiciously in awarding general damages to the Defendant. There were no grounds for interfering with his discretion. The award of interest on general damages was discretionary and compensatory depending on the circumstances of each case and in this instance, a rate of 20% would be fair and reasonable; *Sietico v Noble Builders* applied.

Though the claim for special damages had been properly pleaded, the award had been wrongly made as the Respondent was able to pay the replacement contractor from the balance of the contractual price for the job that the Plaintiff failed to do. Moreover the Plaintiff had already been penalised by failing in its claim for quantum.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Sietico v Noble Builders SC civil appeal number 31 of 1995 – **AP**

United Kingdom

Emden and Gill's Building Contractor and Practice Sumpter v Hedges [1898] QB 673 – **C**

Thorn v London Corporation [1876] l App Cas 120

Judgment

MPAGI-BAHIGEINE JA : This appeal arises from the judgment and orders of the High Court (Hon Ntabgoba PJ) dated 6 October 2000, dismissing the Appellant's suit and allowing the Respondent's counterclaim.

The background of the appeal is that during February 1994, M/s Stahlco Holdings Ltd, hereinafter referred to as the Appellant, agreed with M/s Mission Aviation Fellowship Europe, hereinafter referred to as the Respondent, to construct for the latter a hangar, a pit latrine and a generator shed on the latter's land at Kajjansi. The specifications were given in the contract and the total price of U$ 56 070 was agreed upon.

The Appellant started the work but before completion the Respondent unilaterally repudiated the contract on the ground that completion had been delayed and what had been done so far was shoddy and not in accordance with the drawings and specifications therein. The Respondent thereafter employed another firm to complete the job.

The Appellant therefore filed suit seeking to recover the following reliefs:

(a) Special damages of US$ 24 685 or the equivalent in Uganda Shillings with interest at 35% from date of filing suit till payment in full;

(b) General damages for breach of contract with interest at 35% from date of judgment till payment in full; and

(c) Costs of the suit with interest at 35% from date of judgment till payment in full.

The Appellant denied that there were any agreed specifications as regards the materials to be used, contending that it was the Respondent company which wanted the Appellant company to do a cheap job and that, therefore, the repudiation of the contract was unwarranted. The Respondent also counterclaimed special damages of US$ 31 782 or the equivalent in general damages for breach of contract and interest at the rate of 35% on the reliefs counterclaimed.

The Learned Principal Judge, dismissing the Appellant's case and allowing the Respondent's counterclaim, made the following awards:

(a) Special damages of UShs 21 692 257 with interest thereon at 35% from date of filing suit till payment and full;

(b) General damages of UShs 16 million with interest thereon at 35% from date of judgment till payment in full; costs of the suit with interest thereon at 35% from the date of judgment till payment in full.

The appeal to this Court is based on the following six grounds:

"1. *That* the Learned trial Judge erred in law and fact when he held that Appellant had acted in breach of contract and that the Respondent was entitled to terminate the said contract.

2. *That* the Learned trial Judge erred in law and fact in having found that the Respondent had got some benefit from the Appellant's work he failed to set off and/or deduct the value of the said benefit from the award that he subsequently made in favour of the Respondent.

3. *That* the Learned trial Judge erred in law and in fact in so far as he erroneously awarded:

   (a) Interest on the decretal sum at the excessive rate of 35% p.a;

   (b) Interest on costs at the illegal and excessive rate of 35% p.a. and when there was no prayer in respect of the interest on costs;

4. *That* the Learned trial Judge erred in law and fact in that he erroneously awarded special damages of USh 21 692 257 inclusive of CTL which had not been specifically pleaded or specifically proved.

5. *That* the Learned trial Judge erred in law and fact in as much as he erroneously awarded General Damages of USh 16 million which were excessive in the circumstances.

6. *That* the Learned trial Judge erred in law and fact in that he failed to properly evaluate the evidence adduced and came to the wrong conclusion that:

   (a) The Appellant had not proved its case;

   (b) The Respondent had proved his counterclaim".

Mr John Mary *Mugisha*, learned counsel for the Appellant, argued grounds one and six together stating that the Learned Principal Judge disregarded the evidence of PW1 on record, which was that there were no other estimates than those specified in the contract Exhibits P1, 2A, 2B and 2C. He erroneously held that the drawings formed part of the contract, which was not so. Mr *Mugisha* contended that the drawings were not the basis of the estimates. He asserted that they were peripheral and were submitted after the parties had concluded the agreement, though the initial letter Exhibit P1 stated "detailed drawings attached". He pointed out that the job started without drawings and when the drawings were subsequently submitted they involved further expenses which the Respondent was not prepared to meet. He also argued that since there were no bills of quantities, everything remained in the Appellant's discretion. The Appellant had to operate with difficulty within the money bracket agreed. In his view, therefore, the Learned Principal Judge was wrong in holding that the drawings formed and were part of the contract, that the Respondent was entitled to terminate the contract on the grounds that the plans and specifications therein had not been complied with, that the Appellant had exhibited very poor workmanship and the work had neither been completed within the stipulated six months nor in a reasonable time thereafter.

Mr Bernard *Bamwine*, learned counsel for the Respondent, submitted that the Learned Principal Judge properly evaluated the evidence and correctly concluded that the Appellant acted in breach of the building contract. The Respondent was therefore entitled to terminate the contract. He pointed out that there was overwhelming evidence to justify the Principal Judge's holding that the plans/drawings formed part of the contract and that on the whole the Respondent was entitled to unilaterally terminate the contract.

The Learned Principal Judge held:

> "My holding is that both the letter of 1 February 1994 and the other letters as well as exhibits P3, P4 and P5 provided specifications which were part of the building contract …
>
> The agreed specifications, I have held are those contained in the various letters as well as the drawings … The Plaintiff did not construct the structures of the hangar, latrine and generator shed in accordance with the agreed specifications …
>
> I think that in the circumstances Mr Chorley was justified to terminate the contract".

I observe from the letter dated 1 February 1994, Exhibit P1, by the Appellant to the Respondent, titled "Estimate" that it set out various specifications at a total price of US$ 49 770 for one hangar at Kajjansi. At the end it read: "Detailed drawings attached". This letter was signed by R. Schopf, (PW1) who testified: "When I embarked on the work, it was according to the drawings and

under the supervision of Jeremy Mc Kelvin … I was given an architectural plan for the work. It is the same as what was adduced by the Defendant. This is the one (shown Exhibit P3(*a*) and P3(*b*)".

Indeed the record indicates that by his letter of 17 May 1994, the Respondent's Mr Mc Kelvin invited PW1 to the site saying: "Finally I need to peg out the site itself and this needs to be done this week. Can you meet me there on Thursday 19 May at 9.00 with tape measure and *plans* so that we can set it out?" Exhibit P.56.

This clearly dispels any doubt that the work had started without plans/drawings. PW1 is a mechanical engineer and a partner in the Appellant company. He must have been conscious of what he was saying. He later explained: "For the foundation we dug the trench put concrete slab according to the plan drawing … In the drawings wooden puritans and steel were recommended as alternative".

Still later, he stated: "The wall plates were not provided in the drawings. I left the choice to my foreman to employ or not to employ hoof balls as in the drawings …".

In re-examination he clarified:

> "The basis of the construction are according to the drawings i.e. the materials used and the size. Basically there was not much departure from the drawings because there was no major departure. (*sic*) I concluded no further supplementary agreement with MAF".

In view of this, therefore, there could not have been any further estimates as claimed by Mr *Mugisha*. The Learned Principal Judge did not err.

Coupled with the foregoing is the evidence of Richard Muyomba (PW2) a building contractor at the site who testified: "I laid down the profile of the buildings according to the plans submitted and approved by Mpigi Municipal Council – … In this case I was guided by the plans and the nature of the place where the building was to be constructed".

He identified the plans: "I cannot remember whether these are the plans but Exhibit P.3(*b*) is the one". The stamp states "approved on 9 March 1994".

PW2 added: "When I am given a job with no bills of quantities I use the plan and its details …".

Mr *Mugisha*'s contention that lack of bills of quantities gave the Appellant a wide discretion is therefore untenable. Since exhibits P2A, P2B and P2C from the Appellant to the Respondent and all dated 4 March 1994 stipulated specifications and estimates for the hangar extension, generator house and two pit latrines, they had to be complied with unless otherwise instructed by the Respondent, which was never proved.

It is however apparent from the record that PW1 contradicted himself from time to time in an attempt to exonerate the Appellant, for example when he stated at paragraph 45 of the record: "I did not follow the drawings because it was not my basis. I drew it later … This drawing is irrelevant to the structure … the drawing was made for the Mpigi Council".

It is therefore clear that there was overwhelming evidence of the drawings and specifications therein forming and being part of the building contract as correctly found by the Learned Principal Judge.

The Learned Principal Judge further found that the Appellant did not comply with the specifications, produced shoddy work and did not conform to the time frame of the contract thus entitling the Respondent to terminate the contract.

Regarding the shoddy job done, Mr *Mugisha* contended that the Appellant found it difficult to fit in the money agreed as more money was needed to accommodate the drawings and that the Respondent preferred a cheap job.

Mr *Bamwine* in reply pointed out that seeking a reduction in price should not and does not mean producing low quality work.

On this aspect the Learned Principal Judge found:

> "Mr Phillip Chorley gave the particulars of the shoddy work at page 52 of the proceedings. And I have detailed his account of the entreaties to Mr Roland Schopf to give a break-down of the finishing programme. I have also detailed Roland Schopf's ignoring the entreaties and evading the giving of a response. I think that, in the circumstances, Mr Chorley was justified to terminate the contract".

I entirely share the Principal Judge's assessment of the evidence in view of PW1's admission of executing low quality work when he said:

> "If I had been given US$ 10 000 I would have done a better work I demanded it and it was denied. I met him and explained the mix was on the floor 25 cm hardcore 2 x 100m reinforced concrete of which I would use 1.2 on last layer. But he did not accept. I wanted US$ 10 000 if I was to put a stronger cement mixture. I would not have used a higher ratio because it would have increased the price and not because it was correct".

By stating the above the Appellant unwittingly put the blame squarely on its head. PW1 knew beforehand what was required of him by the Respondent. In this regard I can do no better than refer to the well-established principles in building contracts cited by the Learned Principal Judge. *Thorn v London Corporation* [1876] l App Cas 120 at 132: "The builder before he made his tender ought to have informed himself of all the particulars connected with the work and especially as to the practicability of executing every part of the work contained in the specification".

The Learned Principal Judge also relied on: *The Law of Building and Engineering Contracts* by Alfred A. Hudson (7 ed) at 146, where it is stated: "Where the work contracted for is required to be in accordance with the signed documents (such as specifications) and plans, an obligation devolves upon the contractor to follow what is provided for in the contract and to use only such materials and quality of workmanship as are specified".

Having regard to the above principles, the Appellant can hardly escape liability.

It is also vital to consider the testimony of Eddie Mukasa, DW3, a qualified Civil Engineer/Designer (Diploma in Building Construction 1974) who had since worked with a number of reputable firms. He is the one who drew the plans and visited the site at Kajjansi. He testified: "I expected a mixture of 1.2.4 of cement, sand and aggregate 4.(*sic*) That is the standard mixture for concrete floor. The mixture 1.3.6 is for mass concrete and not for re-enforced concrete". He clarified: "Mass concrete is concrete used where there is no structural steel. Re-inforced concrete is where there is structural steel and in this case structural steel provided in the floor slab".

There is no ambiguity in all the excerpted evidence, and when looking at the letter Exhibit P11 dated 25 January 1995 from the Appellant to the Respondent,

I find it difficult to adopt any other conclusion than the one reached by the Principal Judge. The letter Exhibit P11 reads:

> "Thank you for your letter of 23 January 1995. It is quite understandable that you are upset because of the repeated delays in the construction of the hangar. But you have to try and understand my position. Since this is a non-profit making project, I have to save money where ever possible. This is also the reason why I cannot give you a contract programme … The whole situation would of course change if you release me of my promise to stick to the price we agreed on the date of the original invoice. As you are aware of since the dollar has lost about 20% of its value against the UShs".

The letter leaves no doubt that the Respondent acknowledged his dilatory tactics while trying to minimise the costs, thus ending up with a shoddy job.

Regarding the time factor, the record indicates that the parties DW1, DW2 and PW1 agreed that the contract time would be six months and that completion would be by November 1994. This discussion was confirmed by the letter dated 24 October 1994 from the Appellant to the Respondent – Exhibit P7 – which reads in part: "As the end of October approaches, it is obvious that the hangar will not be ready for fitting out in November as previously discussed".

This letter was never counteracted. Instead the Appellant by his letter of 2 January 1995 asked for an extension while explaining the causes for delay and undertaking not to cause any further delay – Exhibit D1.

By 15 February 1995 the work was not completed and the Respondent accepted to extend the time to 17 March 1995. On 20 February 1995 the Respondent wrote to the Appellant complaining about the delay and reminding him that the extra pay he was requesting had been included in the quotation he had submitted. Nonetheless, time was extended to 17 March 1995. "The hangar must be finished by Friday 17 March. This is the final deadline" – Exhibit D8.

A look at *Amden and Gills Building Contracts and Practice* (7 ed) – 1969 at 154 indicates the following:

> "If a builder or contractor is unduly delaying the work, and the contract time has ceased to be binding, the employer may give him notice to complete within a fixed reasonable time, and upon default therein by the contractor the employer would be justified in refusing to allow the contractor to proceed further …".

I agree entirely with the Learned Principal Judge's finding that the Respondent was entitled to terminate the contract.

Mr *Mugisha*'s other complaint was that the Learned Principal Judge did not consider his written submissions. This is not correct as is evident at paragraph 194 of the record, where the Principal Judge observed:

> "Although Mr *Mugisha* learned counsel for the Plaintiff does not dispute the above statements of law, he argues that in the contract between these two parties, the architectural drawings were not part of the specification. How, he argues, could the drawings be part of a contract that was entered into on 1 February 1994 when they were approved later by the Mpigi District Authorities …".

He then proceeds to analyse the evidence in detail.

Mr *Mugisha* also took issue with the Principal Judge's misdescription of the function of a hangar when he said that it was for the purpose of receiving and accommodating aircrafts which land on and take off from them. With respect to counsel this opinion had no bearing on and did not affect his eventual assessment of the evidence as presented to court. There is no way I can fault the

finding of the Learned Principal Judge. He exhaustively dealt with the evidence before him. Grounds one and six would fail.

Concerning grounds two and five, Mr *Mugisha* argued that the Learned Judge erred when he failed to set off and/or deduct the benefit the Respondent had got from the Appellant's work, and that the general damages of UShs 16 million he awarded were excessive in the circumstances.

Mr *Bamwine* pointed out that there was no need for deduction since the Appellant had been partly paid in advance. It had received US$ 24 855 that is 50% on the hangar, leaving a balance of US$ 24 885; the full price of US$ 4 800 for the generator shed and pit latrine had been paid. However the container roofing was never completed, and the floor and the roof on the hangar still needed repairs.

The Learned Principal Judge held:

> "I entirely agree with counsel's conclusions as a fair analysis of the breaches committed by the Plaintiff. I would answer the third issue in the negative, namely, that the Plaintiff is not entitled to any of the remedies sought … In fact the Plaintiff was too lucky to have been paid part of the agreed contract price in advance. Had this not been the case, it is doubtful whether it would have recovered for even quantum merit".

It is not clear what benefit Mr *Mugisha* had in mind, that the Respondent had derived from the contract, which still required to be paid for. At the time of the termination of the contract on 25 April 1995, the work was in an unsatisfactory state. The letter of termination Exhibit D10 reads:

> "I wish to notify you that as from today I am terminating your work with us at the Kajjansi hangar. The reason is this that your performance to date, despite several promises from you, has been unsatisfactorily slow. I visited the site yesterday and today to find nobody working on site. Also some of the work has been out to an unacceptable standard and requires attention. You have caused us severe delays which has incurred us with considerable extra unplanned costs. I will be employing another contractor to complete the building works the costs of which we will be deducting from your final payment. This termination is to take place immediately. I will be ordering a replacement exhaust system for the generator which was damaged at Kajjansi by your men. I need you to forward all the manuals and tool kit for the generator".

In view of the above I cannot but agree with the conclusion reached by the Principal Judge. Indeed his finding was supported by law – see *Sumpter v Hedges* [1898] QB 673 at 674 where the Plaintiff, a builder, entered into a contract to build two houses and stables on the Defendant's land for a lump sum. When the buildings were still in an unfinished state, the Plaintiff informed the Defendant that he had no money, and was not going on with the work any more. On appeal it was held that the Learned trial Judge was correct by finding that the Plaintiff had abandoned the contract. Under such circumstances what was the Respondent expected to do? He could not keep the structures unfinished. It was held that where there is a contract to do work for a lump sum, until the work is completed the price of it cannot be recovered – also see *Emden and Gill's Building Contractor and Practice at* 129, a passage relied on by the Principal Judge which reads:

> "A contract to construct the whole building or works in consideration of payment of a fixed sum of money, and contracts of this variety are frequently called 'lumpsum' contracts, so that if a builder undertakes a work of specified dimensions and materials and he deviates therefrom, he cannot recover upon a quantion valebant for work, labour and material".

On the above principles the Appellant cannot claim and is not entitled to any *quantum meruit*.

I now turn to the counterclaim by the Respondent. Concerning the issue of general damages of UShs 16 million awarded, the Learned Principal Judge considered the natural or probable consequences of the Appellant's breach of contract, which are narrated in the termination letter – Exhibit D10. This involved the low quality work which had to be repaired, upgraded and made good; the time lost and the non use of the buildings structures together with the costs incurred in servicing the aircrafts in Nairobi as the Civil Aviation Authority would not allow the Respondent access to their facilities in Entebbe.

In his letter dated 29 December 1994 to PW1 – Exhibit D6, DW2 said *inter alia*:

> "Progress on the hangar has come to a complete standstill and little progress has been made since the beginning of November. I find this unacceptable as this delay is now costing us money in unnecessary maintenance trips to Nairobi when we should be carrying out maintenance at Kajjansi".

On 23 January 1995 he wrote:

> "I am not prepared to accept this situation any longer for every week that the hangar is not completed following the arrival of the first airplane at Kajjansi, I will deduct US$ 200 from the final account. Your delays to the building are already starting to cost the MAF Uganda Programme and I do not see why we should pay for your incompetence".

In his evidence he (DW2) testified: "This project is a year late and it has cost us a great deal in non-revenue flying. Yet, our aircraft is kept in Nairobi. It cannot be maintained at Entebbe airport because C.A.A cannot allow us".

The Learned Principal Judge considered all the above relevant factors. It was however not shown by Mr *Mugisha* that he proceeded upon some misunderstanding of the evidence or had put a wrong value on certain parts of it. I therefore think that he exercised his discretion judiciously and it is undesirable that this Court should interfere with the award of UShs 16 million as general damages.

Concerning ground three that the rate of interest of 35% awarded on general and special damages and costs was very excessive, Mr *Bamwine* conceded that this offended section 27(2) Civil Procedure Act as regards the costs and submitted that it should not exceed 6%. He, however, contended that the rate of 35% should be maintained on the decretal sums as it was reasonable.

It should be borne in mind that the award of interest is discretionary and compensatory depending upon the various circumstances of the case. The court may award what is fair and reasonable in light of the circumstances of the case. See *Sietico v Noble Builders* Supreme Court civil appeal number 31 of 1995. I consider the rate of 20% adequate on the award of general damages from the date of judgment till payment in full.

I now turn to ground number four that the special damages in the counterclaim, amounting to UShs 21 692 257 inclusive of CTL, had neither been specially pleaded nor specifically proved.

Mr *Bamwine* contended that Exhibit D14 on record was an invoice by Skanska showing what amounts were paid and requesting for the balance including CTL. He argued that what was important was for the Appellant to be informed of the nature of the claim and that this was clear from the pleadings.

The counterclaim on record indicates the particulars of special damages as follows:

"1. Cost of replacing the floor in materials and labour at US$ 20 512; and

2. Costs of addition repairs and works on the roof at US$ 11 270".

I am therefore unable to find any ambiguity with the above pleading. It was clear enough to inform the Appellant of what the Respondent company was seeking to recover.

I have ruled above that the Appellant was not entitled to any quantum merit because of the shoddy work done and also for failing to honour the contractual time frame. On account of the above, the Respondent employed Skanska to complete the work the Appellant failed to perform. It follows therefore that the Respondent paid the balance of the contractual price to Skanska to do the job the Respondent had failed to perform at a cheaper rate. Skanska was paid UShs 21 692 257 which was less than the balance that would have been paid to the Appellant. It was therefore a cheaper deal, maybe a blessing in disguise.

I think the Learned Principal Judge, with respect, overlooked this aspect of the matter. I am, therefore, of the view that the Respondent cannot claim a double benefit. The Appellant has been penalised for his breach of contract by refusing his claim for quantum merit and by way of general damages. He cannot be penalised twice over.

The order made by the Principle Judge allowing the Respondent special damages of UShs 21 692 257 is hereby set aside.

In sum, I would dismiss the main appeal with costs to the Respondent, with interest thereon at 6%, from the date of filing suit till payment in full.

Since the Respondent's counterclaim partly succeeds only as regards the general damages, I would order each party to bear its own costs.

(Kato and Twinomujuni JJA concurred in the judgment of Mpagi-Bahegeine JA.)

For the Appellant:

Information not available

For the Respondent:

Information not available

TM AM Construction Group (Africa) v Attorney-General
[2001] 1 EA 291 (CCK)

Division:	Milimani Commercial Courts of Kenya
Date of Ruling:	5 June 2001
Case Number:	236/01
Before:	Mbaluto J
Sourced by:	LawAfrica
Summarised by:	W Amoko

[1] Arbitration – Stay of proceedings – Time for application – Necessity for the application to be made before taking a step in the proceedings – Whether the application must be made at the same time as appearance is entered –Section 6 – Arbitration Act 1996.

[2] Arbitration – Stay of proceedings – Time for application – Necessity for the application to be made before taking a step in the proceedings – Whether there was a dispute to be referred to arbitration – Section 6 – Arbitration Act 1996.

Editor's Summary

The Plaintiff instituted action against the Attorney-General for money due to it under a construction contract for work done. The Attorney-General duly entered appearance to defend after service. The Plaintiff made two applications for default judgment, the first of which was aborted when the Plaintiff was served belatedly with the memorandum of appearance. The second was abandoned when the Defendant applied for stay of proceedings under section 6 of the Arbitration Act of 1995. The application was opposed by the Plaintiff, on grounds, *inter alia*, that the application was incompetent and that there was no dispute which could be referred to arbitration.

Held – An application for stay of proceedings under the Arbitration Act must be made not later than the time when appearance is entered. As the Attorney-General had waited 41 days before making the application, he had lost the right to rely on the arbitration clause and the application was untenable. *Corporate Insurance Co v Wachira* [1995] LLR 394 (CAK) followed.

The Attorney-General had failed to adduce any evidence to show that there was a dispute to be referred to arbitration, nor was there any positive assertion of the existence of such a dispute. In the result, the application was bound to fail. *London and North Western and Great Western Joint Rly Co v JH Billington Ltd* [1899] AC 79 adopted.

Cases referred to in ruling:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Corporate Insurance Co v Wachira [1995] LLR 394 (CAK) – **F**

United Kingdom

London and North Western and Great Western Joint Rly Co v JH Billington Ltd [1899] AC 79 – **A**

Ruling

Mbaluto J: This application has been lodged by the Attorney-General, the Defendant in this matter, under section 6(1) of the Arbitration Act 1995 and rule 2 of the Arbitration Rules 1997 for two orders, namely:

(a) That the suit herein be stayed; and

(b) That the dispute between the parties be referred to arbitration.

The application is supported by two affidavits sworn on 24 April 2001 and 22 May 2001 by Engineer Erastus Mwongera who is the permanent secretary, Ministry of Public Works.

The Plaintiff, TM-AM Construction Group (Africa), opposes the application on the following grounds:

"(a) The application is bad in law as it contravenes section 6(1) of the Arbitration Act;

(b) The application has been filed well after the Defendant entered appearance on 15 March 2001; and

(c) There is no dispute 'between the parties which could be referred to arbitration' ".

Briefly, the facts leading to this application are that on 21 Februay 2001, the Plaintiff instituted the suit against the Defendant claiming various sums of money in respect of the construction and completion of the Kitale-Endebess road and the extension of the Iten-Tambach-Chebloch and Moi's Bridge-Leseru Roads. Summons to enter appearance together with a copy of the plaint and verifying affidavit were served upon the Attorney-General on 26 February 2001 in response to which the Attorney-General, through the Principal Litigation Counsel (Miss Muthoni *Kimani*) entered appearance on 15 March 2001.

It would appear that upon entering appearance, the Attorney-General did not serve, as he is required to, a copy of the memorandum of appearance upon the Plaintiff's advocates because on 22 March2001, those advocates filed a chamber summons application dated 20 March 2001 in court seeking the court's leave to apply for judgment against the Defendant as is required by Order IXA, rules 7 and 11 of the Civil Procedure Rules. That omission on the part of the Attorney-General to serve the memorandum of appearance in accordance with the law is confirmed by the affidavit in support of the application for leave to apply for judgment sworn on 22 March 2001 by Sanjeev Modi, the Plaintiff's internal auditor.

The application for leave to apply for judgment was listed for hearing on 25 April 2001, but before that could happen, the memorandum of appearance was served upon the Plaintiff's advocates on 26 March 2001. That service of the memorandum of appearance though clearly belated, effectively rendered otiose the Plaintiff's application dated 20 March 2001 for leave to apply for judgment.

The Attorney-General's inclination not to take action in this matter within the times limited by law did not end with the late filing and service of a memorandum of appearance. He again failed to file a defence within the time prescribed therefore under the Civil Procedure Rules and once again on 10 April 2001, the Plaintiff's advocates lodged another application under the same rules for leave to apply for judgment against the Attorney-General on account of the Attorney-General's failure to file and serve the necessary defence in the prescribed time. The second application was similarly listed for hearing on 25 April 2001.

The second application does not appear to have impressed the Attorney-General either. Again he did nothing about it; he did not even file a replying affidavit. As if to demonstrate his contempt for the application, he waited until the very day the application was scheduled to be heard and then lodged, under a certificate of urgency, the application now the subject of this ruling.

It is of course, not the intention of this Court to judge the conduct of the Attorney-General, but one thing he cannot properly claim is that he has acted with diligence with regard to this matter.

Be above what it may, the substance of the application is clear and straightforward. There is no doubt that in the contract between the Plaintiff and the

Defendant there is the usual arbitration clause providing for reference of disputes between the parties to arbitration. By virtue of section 6(1) of the Arbitration Act 1995:

> "A court before which proceedings are brought in a matter which is the subject of an arbitration agreement shall, if a party so applies not later than the time when that party enters appearance or files any pleadings or takes any other step in the proceedings, stay the proceedings and refer the parties to arbitration unless it finds:
>
> (*a*) that the arbitration agreement is null and void, inoperative or incapable of being performed; or
>
> (*b*) that there is not in fact any dispute between the parties with regard to the matters agreed to be referred to arbitration".

Appearance in this matter was entered on 15 March 2001 but this application was not made until 25 April 2001. The application was therefore lodged some 41 days after appearance had been made. What is the effect of this late filing of the application for stay? The language of the relevant provision is very clear and allows no room for doubt. The application is to be made not later than the time when appearance is made.

In the case of *Corporate Insurance Co v Wachira* [1995] LLR 394 (CAK) the Court of Appeal stated:

> "In the present case the Appellant did more than just enter an appearance. It delivered a defence, which is of course a pleading, raising clause 10 of the policy as a defence. The Appellant made no application for stay of proceedings. The Appellant was a party to an arbitration agreement within the meaning of section 6 of the Act … Arbitration clauses such as clause 10 in the policy are known as *Scoff v Avery* arbitration clauses named after a leading case decided by the House of Lords in England way back in 1856 in which their efficacy was considered and have long been accepted as valid. These clauses do more than provide that disputes shall be referred to arbitration. They also stipulate that the award of an arbitration is to be a condition precedent to the enforcement of any rights under the contract; so that a party has no cause of action in respect of a claim falling within the clause, unless and until a favourable award has been obtained.
>
> In the present case, if the Appellant wished to take the benefit of the clause, it was obliged to apply for a stay after entering appearance and before delivering any pleading. By filing a defence the Appellant lost its right to rely on the clause".

Applying the decision of the Court of Appeal as stated above to the circumstances of this case, I find that the Attorney-General was obliged to apply for a stay "not later than the time when he entered appearance". Accordingly, by filing appearance on 15 March 2001 and waiting for some 41 days before applying for stay of the proceedings, the Attorney-General lost his right to rely on the arbitration clause. For that reason, the application is clearly untenable and cannot possibly succeed. That finding is sufficient to dispose of the application but since the application was also argued on the basis of another ground, I think I ought to consider it briefly.

The Applicant claims that there is a dispute between it and the Respondent which ought to be referred to arbitration but the Respondent contends that there is not in fact any such dispute between the parties with regard to the matters agreed to be referred to arbitration. Section 6(1)(*b*) of the Arbitration Act (quoted above in full) provides that the court shall stay the proceedings and refer the parties to arbitration, unless it finds:

> "(*b*) that there is not in fact any dispute between the parties with regard to the matters agreed to be referred to arbitration".

Although in the affidavit which he has sworn in support of the application, Engineer Erastus Mwongera, the Permanent Secretary, Ministry of Roads and Public Works makes reference to a discussion relating to a dispute, not a single piece of evidence was tendered to show that a dispute in fact exists between the parties. There is also no positive disposition in Engineer Mwongera's rather bare affidavit as to the existence of a dispute. Furthermore, no document is annexed thereto in support of what Engineer Mwongera depones. Having regard to the provisions of sections 107(1) and 109 of the Evidence Act which enact:

> "107(1) Whoever desires any court to give judgment as to any legal right or liability dependent on the existence of facts which he asserts must prove that those facts exist.
>
> 109 The burden of proof as to any particular fact lies on the person who wishes the court to believe in its existence, unless it is provided by any law that the proof of that fact shall lie on any particular person"

the failure by the Applicant to tender evidence showing that there is in fact any dispute between the parties means that no basis has been established to show that a dispute in fact exists to justify staying the proceedings and referring the parties to arbitration. Given that position, I agree with the submission by learned counsel for the Respondent that the Attorney-General is using section 6(1) of the Arbitration Act for the purposes of delaying the Respondent from recovering the money owed to it under the contract.

In the case of *London and North Western and Great Western Joint Rly Cos v JH Billington Ltd* [1899] Appeal case 79 at 81, Lord Halsbury (LC) said:

> "The question which has been argued apparently before the Court of Appeal is a question no doubt of very great and serious importance both to the traders and to the railway Companies; but, my Lords, so far as I am concerned, I propose to give no opinion upon the true construction of the statute, except this: that a condition precedent to the invocation of the arbitrator on whatever grounds is that a difference between the parties should have arisen; and I think that must mean a difference of opinion before the action is launched either by formal plaint in the county court or by writ in the superior courts. Any contention that the parties could, when they are sued for the price of the services, raise then for the first time the question whether or not the charges were reasonable and that therefore they have a right to go to an arbitrator, seems to me to be absolutely untenable".

In my view, the above statement by the Learned Lord Chancellor correctly expresses the views of this Court with regard to the instant application. A party who is wholly unable to produce the minutest evidence to support an allegation of a dispute in a contract of the magnitude evidenced in this matter has absolutely no right to come to this Court and seek a stay of proceedings and reference to arbitration allegedly because he for the first time alleges that there is a dispute between the parties. In my view the application is incompetent and must be dismissed with costs. It is so ordered.

For the Applicant:

Information not available

For the Respondent:

Information not available

Trust Bank v Portway Stores (1993) Ltd

[2001] 1 EA 296 (CCK)

Division: Milimani Commercial Court of Kenya at Nairobi

Date of Ruling: 26 September 2001

Case Number:	413/97
Before:	Ringera J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Evidence – Documentary evidence – Guarantee – Execution – Whether signature of Applicant was forged – Whether an unstamped guarantee is admissible in evidence – Section 19(1) – Stamp Duty Act.

[2] Practice – Summary judgment – Application to set aside – Court's discretion to set aside – Factors to be considered in application – Failure by Applicant's counsel to appear at hearing of application seeking summary judgment – Whether court's discretion ought to be exercised in favour of Applicant – Order IXB, rule 8 – Civil Procedure Rules.

Editor's Summary

Trust Bank filed suit against the Defendants on the basis of a guarantee allegedly given by Kirtesh Premchand Shah in consideration of Trust Bank making or continuing to make advances to Portways Stores. On 6 November 2000, Trust Bank's application for summary judgment to be entered against Kirtesh Premchand Shah, the Second Defendant, came up for hearing. Neither Kirtesh Premchand Shah nor his then advocate was present and summary judgment against him was duly entered on 15 November 2000. He now applied for the setting aside of the summary judgment on the ground that at the time of the hearing of the summary judgment application, his then advocate was suspended from acting as an advocate. He also contended that the judgment was based on an inadmissible document contrary to the provisions of section 19(1) of the Stamp Duty Act and that the document was not only improperly executed but that it was also a forgery. The application was opposed on the ground that the Applicant's then counsel was not barred from representing him as there was at the time an order staying his suspension from practice. Counsel for the Respondent also showed the court the original guarantee bearing a KShs 20 revenue stamp and further argued that the guarantee had been witnessed by a bank official as required.

Held – The court had an unfettered discretion to set aside a default judgment in order to do justice between the parties. The factors to be considered by a court in deciding how to exercise its discretion included the reasons, if any, why a particular default had been committed, the conduct of the parties, whether the applicant had a defence on the merits, and whether the respondent could be compensated by costs for any delay. The fact that the denial to a person of a hearing should only be a last resort of a court also had to be considered. In this instance, the default of the Applicant's counsel was the primary reason why summary judgment had been entered against him. However, as the Applicant had acted timeously in bringing the application, nothing appeared on the record to show that he had sought to delay justice and a defence on the

merits had been shown, there were sufficient grounds for the court to exercise its discretion in his favour.

Where a guarantee had not been stamped, it was not admissible in evidence by virtue of section 19(1) of the Stamp Duty Act. In this instance, it was likely that the original guarantee shown in court had been stamped only after the issue was raised by the Applicant's affidavit in support of his application. For these reasons, the summary judgment, decree and all consequential orders would be set aside.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Sundavji Nanji Ltd v Bhaloo [1958] EA 762

Shah v Mbogo [1968] EA 93

Ruling

RINGERA J: This is an application by the Second Defendant/Applicant to set aside the summary judgment entered against it in this suit on 15 November 2000. The application is supported by the affidavit of Kirtesh Premchand Shah, the Second Defendant himself. The application is opposed. There is a replying affidavit by Fanuel Dalton Liveha, the Manager (Credit and Recoveries) of the Respondent bank.

The summary judgment was entered pursuant to an application by the Respondent/Plaintiff in respect of which the Applicant neither filed any replying affidavit or grounds of opposition nor appeared at the hearing to oppose the same. The said judgment was premised on a guarantee said to have been executed by the Applicant in consideration of the Respondent making or continuing to make advances or otherwise giving credit to the First Defendant. The application is made on the grounds that (i) the judgment was entered *ex parte* through the failure of the counsel on record for the Second Applicant to appear in court as he had been suspended by the Displinary Committee of the Law Society of Kenya; (ii) the judgment was based on a document which was inadmissible in evidence contrary to the provisions of section 19(1) of the Stamp Duty Act (Chapter 480 of the Laws of Kenya); and (iii) the judgment was premised on an improperly executed document which was in any event a forgery or fraudulently prepared. In substantiation of the above grounds, the Applicant has deponed that his lawyer at the material time was one Jacob Mutula. The said advocate did not inform him that an application to strike out the defence had been filed and it was not until 21 March 2001 that he learnt from other sources that a hearing had taken place in the absence of his advocate. He wrote to the said lawyer seeking information regarding the suit but he got no response. His further enquiries established that his advocate had been suspended for three years with effect from 22 September 2000 for professional misconduct. Accordingly, his advocate did not have authority to appear before the courts when the application for summary judgment was argued on 6 November 2000. He expresses his belief that had he been represented, his defence

would not have been struck out and judgment entered against him as he had a good defence. In that regard, the defence on record stated that he had never executed the guarantee relied upon, a fact which he depones was true. He believes that the fraud respecting the alleged guarantee was perpetrated by one Rajesh Shah, a director of the First Defendant who has since fled to Britain. Furthermore, the said guarantee was not attested and it was never presented at the Lands Office for stamp duty. He further depones that even if he had executed the guarantee, the same would have been inadmissible in evidence by virtue of the provisions of section 19(1) of the Stamp Duty Act (Chapter 480) of the Laws of Kenya.

On the basis of the above affidavit evidence, Mr *Muhindi*, counsel for the Respondent submitted that the court should exercise its discretion in favour of the Second Applicant by setting aside the *ex parte* judgment. He argued that the judgment was entered as a result of an act of omission or commission by the Defendant's advocate and that had the advocate appeared at the hearing, there would have been a valid defence to the action. He relied on the case of *Sunderji Nanji Ltd v Bhaloo* [1958] EA 762 where after observing that an unstamped guarantee was inadmissible in evidence the court held that the issue as to whether or not a document is inadmissible for want of stamping must be decided when the document is sought to be put in evidence or at some stage before final judgment, so as to give the party producing it an opportunity of paying the requisite duty, and thus making it admissible. He further submitted that the court has a wide discretion to set aside an *ex parte* judgment. He relied on the famous case of *Shah v Mbogo* [1968] EA 93 for the proposition that the court will exercise its discretion to avoid injustice or hardship resulting from inadvertence or excusable mistake or error but would not assist a person who has deliberately sought to obstruct or delay the course of justice. Counsel emphasized that the Applicant's predicament was due to a failure by counsel and that the Applicant himself had not sought to delay or obstruct the course of justice. He also stated that the Defendant was agreeable to paying thrown away costs.

The Plaintiff/Respondent in his replying affidavit deponed that the suspension of Mr *Jacob Mutula*, the Applicant's counsel, did not bar him from representing the Applicant as it was evident from the minutes of the council of the Law Society of Kenya, annexed to the Applicant's affidavit in support of his chamber summons, that the said advocate had obtained an *ex parte* order staying his suspension and further that the said order of stay was in force during the hearing of the Plaintiff's application for summary judgment. The Respondent further deponed that the application was belated as the Applicant had been aware of the judgment against him since 28 November 2000. It was further deponed that there was nothing to prove that the guarantee is a forgery. Finally, it was averred that the application is intended to delay execution.

Mr *Le Pelley*, the Respondent's counsel, submitted that the Applicant had not made out a case for setting aside the *ex parte* judgment. In the first instance, he showed the court the original guarantee bearing a KShs 20 revenue stamp. Secondly, he submitted that the guarantee did not have to be witnessed. He relied on the provisions of section 3(1) of the Law Contract Act (Chapter 23). In any case, he further argued, if the guaranteed required to be witnessed, the same was duly witnessed by one Arun Jain, a bank official. He further submitted that the guarantee was signed by the Applicant. In that regard he invited the

court to compare the alleged signature of the Applicant on the guarantee with the undisputed signature of the Applicant on his affidavit in support of the present application. He further argued that the Second Applicant had not even tried to show what he is and his relationship whether it be social business or otherwise with the other Defendants. He submitted that it would be strange for them to have ended up with one advocate if they were not related. So, according to counsel, the probability that the guarantee was not signed by him was not there. Finally, counsel argued that the Respondent was not responsible for how the Applicant was represented and that in any case as the suspension of his advocate had been stayed at the material time nothing stopped him from representing him.

In a short reply, Mr *Muhindi* pointed out that it was evident from the guarantee exhibited in the affidavit of the Respondent in support of the application for summary judgment that the same was not stamped. He contrasted that instrument with the other guarantees by the other Applicants on which the stamp impression was visible. In his submission, the document shown to the court by Mr *Le Pelley* was a different one from the one relied on by the Respondent when the application for judgment was made. Furthermore, he submitted, it was not enough to affix a revenue stamp on a document, the duty had to be assessed and duly paid.

Having set out the rival arguments, it may be convenient to indicate the principles against which I should weigh them. I may state straight away that the principles applicable to the setting aside default judgment which are regular on their face, as is the judgment in this case, are not in doubt. The court has an unfettered discretion. Such discretion is to be exercised in order to do justice as between the parties. In weighing the interests of justice the court has to consider, among other things, the reasons, if any, why the particular default was committed, the conduct of the parties and in particular such conduct as has a bearing on the course of justice in the case, whether the Applicant has a defence on the merits, whether the Respondent can be compensated by costs for any delay that may be occasioned by the setting aside of the judgment, and of course it should always be borne in mind that to deny a person a hearing should be the very last resort of a court of justice.

Bearing those principles in mind, I take the following view of the matter. The Applicant’s failure to file any replying affidavit or grounds of opposition to the application for summary judgment or to appear at the hearing of the said application on 6 November 2000 was not because his advocate had been suspended from legal practice as asserted in the affidavit in support of the application. Such suspension had been stayed by the High Court at the material time. The only conclusion possible on the facts is that the Applicant’s counsel either deliberately or mistakenly failed to discharge his professional duty to his client. Whether he acted deliberately or not is not known because he did not file any affidavit to explain his position. Whatever the explanation may have been, the undeniable fact is that the Applicant came to grief as a result of the default of his counsel. It may be argued, as the Respondent sought to argue, that that is none of the business of the adverse party. Indeed, it may even be argued with considerable force that the Respondent’s remedy, if any, in those circumstances is an action for negligence against his counsel. On the other hand, it may be argued with equal force that a litigant should not be penalized with an adverse judgment because of the default of his advocate. In that

connection, it is sometimes said that courts exist to determine the legal rights of the parties who litigate before them and not to impose discipline on those parties' advocates. It is said that the courts should bear in mind that the cases before them belong to the parties and not to the advocates engaged to canvass them. Speaking for myself, I am yet to be persuaded that the errors of commission and omission by a duly instructed advocate who is obviously the agent of the instructing party should not be visited on his principal. If the acts and omissions of other agents with actual or ostensible authority in other spheres of life are not without consequence to their principals, why should it be different in the legal profession? In short, if this application turned only on the explanation given for the default, I would be inclined to dismiss it. However, as pointed out earlier, that is but one of the factors to be considered in the exercise of discretion under Order IX B, rule 8 of the Civil Procedure Rules (Chapter 21). Another factor is the conduct of the Applicant. In that regard, I am satisfied that the application to set aside the *ex parte* judgment has been made timeously. I do not regard the Applicant's deposition that it was not until 21 March, 2001 that he became aware of the judgment against him to be overthrown by the Respondent's bare deposition that the Applicant had been aware of the said judgment since 28 November 2000. And there is nothing on record which could incline this Court to suppose that the Applicant has sought to obstruct or delay the course of justice in this case. Yet another factor is whether the Applicant has a defence on the merits. In that regard I am persuaded that he has. It is quite plain that the guarantee exhibited in support of the application for summary judgment was not stamped as required by law. It was therefore inadmissible in evidence by dint of the provisions of section 19(1) Stamp Duty Act (Chapter 480). In that connection, I think it is more probable than not that the original guarantee which counsel for the Respondent showed the court at the hearing of the present application was stamped after the matter had been raised in the Applicant's affidavit in support of this application. Had it been stamped originally, an impression of the stamp would have been left on the exhibit in court, as was the case with the other copies of the guarantees exhibited. Secondly, I think the Applicant has shown that he has an arguable point that he did not execute the guarantee. Although it is tempting for the court to compare the Applicant's admitted signature with the disputed signature on the guarantee, it is a temptation to be resisted. I think it would be unjust to decide the fate of a KShs 100 million plus decree on the court's inexpert comparison of the Applicant's signatures. The issue is best dealt with at an ordinary trial. I also take the view that the Plaintiff can be compensated with costs for any delay that might be caused in the finalization of the case if the *ex parte* judgment is set aside. And the Applicant has indeed offered upfront to pay all the thrown away costs.

All in all, I am inclined to exercise my discretion in favour of the Applicant by ordering that the judgment and decree herein and all consequential orders be set aside. I do so on terms that the Applicant shall pay to the Respondent the costs of this application and all thrown away costs.

For the Applicant:

Information not available

For the Respondent:

Information not available

Uganda Law Society v Attorney-General
[2001] 1 EA 301 (CAU)

Division: Court of Appeal of Uganda at Kampala

Date of judgment: 23 November 2001

Case Number:	8/00
Before:	Mukasa-Kikonyongo DCJ, Kato, Okello, Phagi-Bahigeine and Kitumba JJA
Sourced by:	P Karugaba
Summarised by:	HK Mutai

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[1] Constitutional law – Amendments to the Constitution– Procedure to be followed by Parliament – Formalities to be followed – Whether the proper procedure had been followed – Whether a failure to observe formalities would be fatal – Articles 2, 3, 90, 94, 137, 258, 259, 261, and 262 – Constitution.

Editor's Summary

On 28 August 2000, a Bill to amend articles 88, 89 and 90 of the Ugandan Constitution was published in the Uganda *Gazette*. It was subsequently debated in Parliament and, on 1 September 2000, passed into law as Constitutional Amendment Act 13 of 2000. The Act received presidential assent that same day. As passed, the Act amended not only articles 88, 89 and 90, it also amended articles 97 and 257 and inserted a new article 257A in the Constitution. The petitioners were aggrieved by the manner in which the Act had been passed and filed a petition under articles 3(4) and 137(1) and (3) of the Constitution challenging its constitutionality and the procedure followed in enacting it. A preliminary objection was taken against the challenge to the Act's constitutionality which the court, following its earlier decision in *Ssemogerere v AG* upheld on the ground that the court was not seized with the jurisdiction to construe parts of the Constitution as against the rest of the Constitution. On the issue of procedure, the petitioners argued that the addition of new articles to the Constitution by Parliament and the purpose stated in the preamble of ratifying past acts went further than the acts of addition, variation or repeal permitted by article 258 and thus contravened that article. They also contended that the provisions of article 90 were contravened, as the Bill did not go through the committee stage. Lastly, counsel for the petitioners argued that the requirements of article 262 regarding the observance of a 14-day period between readings of the Bill and the requirement that a Bill amending the Constitution being sent to the President be accompanied by a certificate from the Speaker were not followed.

Held – (per Okello JA) The Constitution was the supreme law of Uganda and Parliament, being subject to the Constitution, was obliged to comply with all the relevant constitutional provisions in the exercise of its functions.

Article 257(9) was an interpretation clause intended to clarify and define what constituted an amendment and its application extended to constitutional amendment Bills. The Bill in issue here was intended to make amendments by way of variation, addition and repeal and the use of the term "replace" in the preamble was of no consequence. Moreover (per Kitumba JA) the preamble was not part of the statute.

The petitioners' contention that the Act was not passed solely for the purpose of amending the Constitution went to the contents of the Act and its constitutionality, over which the court had no jurisdiction.

The Constitution did not provide for any special procedure to be followed for amendments to the Constitution other than those under articles 259 and 260. Accordingly, for general amendments to the Constitution, such as those made by Act 13 of 2000, once it had been shown that article 258 had been complied with, as was the case here, the Rules of Procedure adopted by Parliament under article 94(1) applied. The burden of proof of showing that those rules had not been followed lay on the petitioners as there was a presumption that all things were presumed to have been legitimately done until the contrary was proved, and they had failed to discharge that burden.

There was no evidence to show that the Speaker's certificate required by article 262(2)(*a*) had accompanied the Bill when it went to the President for assent. However (per Kato JA), the issuance of the certificate was a mere procedural and administrative requirement and its absence would not be fatal to the validity of the Act. Moreover, there was a presumption that all things were presumed to have been performed with all due formalities until it was proved to the contrary and, apart from counsel for the petitioners' address to the court, nothing else had been done to discharge that burden. The petition was therefore without merit and would be dismissed accordingly.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Chapaa and others v Attorney-General constitutional petition number 6/2000

Ssemogerere and others v Attorney-General [1999] LLR 1 (CAU)

Zachary Olum and another v Attorney-General constitutional petition number 7/2000

Judgment

MUKASA-KIKONYOGO DCJ: This petition is filed by the Uganda Law Society and Justin Ssemuyaba, a practising advocate in Uganda, hereinafter to be referred to as the petitioners. It is brought against the Attorney-General hereinafter to be called the Respondent. A similar constitutional petition number 6 of 2000 filed against the Respondent by Karuhanga Chapaa and 2 others fixed for hearing on the same day of 4 September 2001 was by agreement of the parties stayed pending the determination of the present petition number 8 as a test case.

There is yet a third similar petition number 7 *Paul Ssemogerere and others v Attorney-General* which had been adjourned before the two petitions mentioned above which I believe will also be decided on the present petition, although they were not party to this understanding.

The petitioners are challenging the constitutionality of the Constitutional Amendment Act 13 of 2000 and the procedure followed in enacting it. This petition is supported by two affidavits sworn by Ayena Odongo an advocate of the High Court and the Secretary to the First Petitioner, The Uganda Law Society and that of Ssemuyaba Justin, the Second Petitioner.

Following the ruling of this Court in constitutional petition number 7 of 2000 *Paul Semogerere and others v Attorney-General* (*supra*) this Court declined to entertain the issue of constitutionality of Act 13 of 2000. In that petition it was held by the court that once the correct procedure for enacting a Constitutional Amendment Act is complied with it becomes part and parcel of the Constitution. In the premises this Court would not be seized with the jurisdiction to construe parts of the Constitution as against the rest of the Constitution. The court was therefore left with the determination of the sole issue relating to the procedure followed by Parliament when enacting the Act.

The background of the petition is that, on 28 August 2000, a Bill known as Constitutional Amendment Bill 16 of 2000 was published in the Uganda *Gazette*. It was intended to amend articles 88, 89 and 90 of the Constitution of the Republic of Uganda. It was subsequently debated in Parliament and on 1 September 2000 was passed into an Act known as the Constitutional Amendment Act 13 of 2000. It was also assented to on the same day of 1 September 2000. The Act did not only amend the provisions of articles 88, 89 and 90 of the Constitution which had been gazetted but also articles 97 and 257 which had not been published. It inserted a new article 257A into the Constitution. The petitioners aggrieved by the manner in which Parliament passed the Act filed this petition before this Court.

They were represented by Mr *John Matovu*, assisted by Mr *M Kabega* while Mr *Denis Bireije*, Commissioner for Civil Litigation, appeared for the Respondent.

The issue for this Court to determine is: "Whether Parliament followed the proper procedure when enacting Act 13 of 2000 known as the 'Constitutional Amendment Act' ".

It was the strong contention of counsel for the petitioners that Act 13 of 2000 was passed contrary to the procedure for amending the Constitution set out in articles 258, 259 261 and 262 of the Constitution and are accordingly seeking a declaration of this Court that the Act is null and void.

It was argued by Mr *Matovu* that Parliament did not comply with article 258 of the Constitution which provides:

> "1. Subject to the provisions of this Constitution, Parliament may amend by way of, addition, variation or repeal any provision of this Constitution in accordance with the procedure laid down in this Chapter.
>
> 2. This Constitution shall not be amended except by an Act of Parliament–
>
> (*a*) the sole purpose of which is to amend this Constitution; and
>
> (*b*) the Act has passed in accordance with this Chapter".

It was the contention of the counsel for the petitioners that the Act was not restricted to adding, varying or repealing but Parliament went beyond that. It acted outside its powers of amendment conferred on it by the Constitution. It was wrong for Parliament to replace or make provisions in relation to quorum as stated in the preamble. As far as counsel was concerned Parliament went beyond repealing and inserted new clauses and article 257A. which had not been gazetted.

In reply, Mr *Bireije*, counsel for the Respondent, submitted that Parliament applied the correct procedure when enacting Act 13 of 2000. The Act was passed in accordance with articles 258, 261 and 262 of the Constitution. Article 259 mentioned by counsel for the petitioners is not relevant. He relied on article 257(9) which he said explained what Parliament did.

Article 257(19) reads:

> "In this Constitution, reference to amendment of any provisions of this Constitution or any Act of Parliament include references to the alteration, modification or re-enactment with or without amendment or modification of that provision, the suspension or repeal of that provision and the making of a different provision in place of that provision".

Counsel for the petitioners objected to this clause because it was of general application. I see no problem because its application is not excluded from constitutional amendment Bills. I think it was intended to define and clarify what constituted an amendment. It is an interpretation clause.

I agree with Mr *Bireije* that the amendment complained of complied with the procedure laid down by clause 1 of article 258. The amendment was by way of variation, addition and repeal. Inserting article 257A as was submitted by Mr *Bireije* was adding to article 257 so was the insertion of new provisions to article 97. The Oxford Advanced Learners Dictionary defines the term "insert" as *inter alia* referring to "a thing inserted especially an additional section in a book, newspaper etc".

Further Mr *Matovu* complained of the use of the term "replacing in the preamble". I do not find any merit in counsel's arguments because after repealing one provision another provision could be added to replace what was repealed. This to me seems to be a matter of semantics or language.

With regard to the complaint that Act 13 of 2000 contravened clause 2(*a*) of article 258 (*supra*) in that the Act was not solely passed for the purpose of amending the Constitution but other things like ratification and validating certain past unconstitutional acts and alteration of a judgment of this Court in constitutional petition number 3 of 1999 in contravention of article 92 of the Constitution. I do not think this Court at this stage can go into that. In my view such complaints go to the contents of the Act and hence to its constitutionality. This Court has no jurisdiction to decide that issue as ruled by this Court.

Further it was the submission of counsel for the petitioners that Parliament did not enact Act 13 of 2000 in accordance with the requirements of articles 261 and 262(1)(*a*) and (*b*) of the Constitution.

Article 261 provides as follows:

> "A bill for an Act of Parliament to amend any provision of the Constitution, other than those referred to in articles 259 and 260 of this Constitution shall not be taken as passed unless it is supported at the second and third reading by votes of not less than two thirds of all members of Parliament".

The petitioners apparently have no problem with the issue of quorum. Their contention is about the failure by Parliament to follow the proper procedure laid down by articles 90(1) and 3(*a*) and (*b*) of the Constitution which provide for Committees of Parliament.

Article 90 reads *inter alia*:

> "1. Parliament shall appoint standing Committees and other committees necessary for the efficient discharge of its functions.
>
> 2. …
>
> 3. The functions of standing committees shall include the following–
>
> (*a*) to discuss and make recommendations on Bills laid before Parliament;
>
> (*b*) to initiate any bill within their respective areas of competence;
>
> (*c*) to assess and evaluate activities of government and other bodies;
>
> (*d*) to carry out relevant research in their respective fields; and
>
> (*e*) to report to Parliament on their functions".

It was vehemently argued by counsel for the petitioners that the period in which the Act was published that is on 28 August 2000, passed and assented to that is on 1 September 2000 was too short and could not have allowed committees to fulfil their functions. Some of the amended provisions were not properly initiated and published. The committees could not have carried out the necessary research within that short period which defeated the spirit of the Constitution, which was to allow wide publicity of the Bill and adequate research before it became law. The requirement of the 14-day period between the second and third readings was not observed. The amendments to articles 97 and 257 were not initiated by the committees. They were not published but they just found their way into the Act after publication. Mr *Matovu* contended that the procedure for amendment laid down by articles 258–262 of the Constitution cannot be waived under the Rules of Procedure provided for and made under article 94 of the Constitution.

Article 94(1) provides: "Subject to the provisions of this Constitution, Parliament may make rules to regulate its own procedure including the procedure of its committees".

To support his argument counsel cited constitutional petition number 7 of 2000 *Zachary Olum and another v Attorney-General.*

Amendments under Chapter 18 are classified in three categories. The first falls under article 259 and the second one under article 260 of the Constitution. Those two categories have their own procedures which do not concern us here in the present petition. The third category is the one relating to general amendments of the Constitution under which Act 13 of 2000 falls as it was made under article 258 of the Constitution. It must be noted that the Constitution does not provide for a special procedure to be adopted by Parliament when enacting constitutional amendments, other than those enacted under articles 259 and 260 (*supra*). It only makes provisions for Parliament to make its own rules under article 94(1) (*supra*). It follows the same procedure applicable to ordinary Bills and Acts. It is, therefore, not correct as submitted by Mr *Matovu* that the laid down procedure could not have been waived under the Rules of Procedure of Parliament during the debate. Once Bill 16 of 2000 complied with the requirements of article 258, which I find it did, the Rules of Procedure of Parliament applied.

Further in accordance with section 102 of the Evidence Act, the burden of proof lies squarely at the door of the petitioners. Section 102 of the Evidence Act reads: "The burden of proof as to any particular fact lies on that person who wishes court to believe in its existence, unless it is provided by any law that the proof of that fact shall lie on any particular person".

In the present petition apart from relying on the dates of publication, passing and assent, the petitioners did not adduce any evidence to show that Parliament did not comply with the Rules of Procedure governing constitutional amendments.

The presumption is: *omnia praesumuntur legitime facta donec probetur in contrarium* (all things are presumed to have been legitimately done, until the contrary is proved).

The onus of proof was on the petitioners to show the contrary. In this petition it can, therefore, be safely assumed that Parliament complied with the correct procedure for constitutional amendments. It was, also, entitled to resort to its own rules to regulate its proceedings during the debate of the Constitutional Amendment Bill 16 of 2000.

With regard to publication, gazetting of a Bill is not a constitutional requirement. Publication is provided – under the Rules of Procedure of Parliament. Rule 91(1) of the Rules provides:

> "All Bills shall be published in the *Gazette* and shall be accompanied by an explanatory memorandum setting out the policy and principles of the Bill, the defects of the existing law, if any, the remedies proposed to deal with those defects and the necessity for its introduction".

Parliament can, however, waive that requirement under rule 96(1) of its Rules which provides as follows:

> "(1) where the House determines, upon the recommendation of appropriate committee of the House appointed for the purpose, that a particular Bill is of an urgent nature, that Bill may be introduced without publication.
>
> …
>
> (4) Copies of a Bill referred to in subrule (1) shall be distributed to members and the Bill may be taken through all its stages in a day notwithstanding anything in these Rules".

Again apart from the submissions of counsel for the petitioners from the bar, the petitioners did not adduce evidence to prove that Parliament did not follow or rely or indeed should not have relied on the above cited Rules of Procedure when enacting Act 13 of 2000.

With regard to the insertion of the amendments to articles 97 and 257 without publication there is no requirement for publication of intended amendments to the bill in either the Constitution or the Rules of Procedure of Parliament. In agreement with counsel for the Respondent a Bill can be taken as a working document for Parliament. Once the original Bill has been published in accordance with its Rules it can be amended and new amendments can be introduced during the debate without publication. Rule 44 of the Rules of Procedure of Parliament provides *inter alia* that the following motions may be moved without notice:

> "(*a*) any motion by way of amendment to a question already proposed by the Speaker".

The complaint about the insertion into Act 13 of 2000 of the amendments to article 97 and of article 257A without publication has no merit.

Turning to the failure to observe the 14-day period stipulated in article 262(1) of the Constitution this was not applicable to Bill 16 of 2000. All that is required for amendments under articles 258 and 261 of the Constitution is the support at the second and third readings of not less than two thirds of all the

members of Parliament which is not disputed in this petition. There was no requirement for spacing at any stage of Bill 16 of 2000.

Subrule (5) of rule 100 of the Rules of Procedure of Parliament is not applicable but even if it was applicable it could be suspended under the same subrule which provides as follows: "Subject to these Rules the second reading of the Bill shall not be taken earlier than the fourteenth day after the publication of the Bill in the *Gazette* unless this subrule is formally suspended for the purpose".

Even if this subrule was applicable to the Bill, no evidence was adduced to show that it was not formally suspended under the same Rules.

Lastly it was the contention of counsel for the petitioners that failure by the Speaker to comply with article 262(2)(*a*) was detrimental to the enactment of Act 13 of 2000. As far as the petitioners are concerned no certificate was issued by the Speaker to accompany Bill 16 of 2000 for the assent by the President.

Article 262(2) provides as follows:

> "A bill for the amendment of this Constitution which has been passed in accordance with this Chapter shall be assented to by the President only if:
>
> (*a*) it is accompanied by a certificate of the Speaker that the provisions of this Chapter have been complied with in relation to it".

I agree with the submission of counsel for the Respondent that there was no evidence to show that the provisions of article 262(2)(*a*) were not complied with. Act 13 of 2000 had the President's signature affixed thereto. The affidavits sworn in support of the petition made no mention of the absence of such a certificate. The hansard was not produced in court to show what transpired in Parliament during the debate nor did the petitioners call any person who witnessed or participated in the proceedings or took the Bill for Assent to testify to the contrary. All that there is before court is the address of the counsel for the petitioners from the bar which cannot be relied on because it is not supported by any other cogent evidence.

As the record stands before court I find no evidence to show that when enacting Constitutional Amendment Act 13 of 2000 Parliament did not follow the laid down procedure for constitutional amendments. There is no merit in the petition. The sole ground of the petition must fail.

As the unanimous view expressed by their lordships in their judgments, is that this petition must be dismissed, it is accordingly dismissed. Since it was instituted in public interest each party will bear its own costs. Constitutional petition number 6 *Karuhanga Chapaa and 2 others v Attorney-General* (*supra*) which was stayed pending the result of this petition must also fail with each party bearing its own costs.

(Phagi-Bahigeine JA concurred in the judgment of Mukasa-Kikonyongo DCJ.)

KATO JA: I have had the advantage of reading the judgment of my Lord Mukasa-Kikonyogo DCJ in draft. I agree with the conclusions reached by her. There is, however, one point upon which I wish to comment briefly.

The facts of the petition have been ably given by my lord the Deputy Chief Justice, there is no need to repeat them here. The petition is intended to challenge the validity of Act 13 of 2000 on the ground that Parliament did not follow the proper procedure when passing it. One of the points raised by the

petitioners in support of their complaint is that the President assented to the bill when there was no certificate signed by the Speaker certifying that Parliament had followed the proper procedure when enacting the Act. Mr *Matovu*, counsel for the petitioners, argued that before the President could assent to the bill it was necessary for the Speaker to issue a certificate showing that all the procedural requirements had been adhered to. Article 262(2)(*a*) upon which this argument was founded reads as follows:

> "262(2)(*a*) A bill for the amendment of this Constitution which has been passed in accordance with this Chapter shall be assented to by the President if only it is accompanied by a certificate of the Speaker that the provisions of this Chapter have been complied with in relation to it".

Mr *Bireije*, Commissioner for Civil Litigation, who appeared for the Respondent, argued that the certificate from the Speaker was not fatal to the validity of the Act. I agree with him. It is my opinion that the above provision was intended to avoid the President signing for something not legally passed by the Parliament but it was not the intention of the legislators to render the law passed by Parliament void. The issuance of a certificate is a mere procedural and administrative requirement which does not go to the root of the law making process. Since the President assented to the Act, in the absence of evidence to the contrary, one is compelled to conclude that before he did so he was satisfied that all the formalities had been carried out. My holding on this point is based on the legal doctrine which states that all things are presumed to have been performed with all due formalities until it is proved to the contrary. (*Omnia praesumuntur rite et solemniter esse acta donec probetur in contrarium*.) The burden was upon the petitioners to adduce evidence to prove that the act complained of was done without compliance with the required procedure. That burden has not been discharged.

I would dismiss this petition with an order that each party bears his own costs.

OKELLO JA: This is one of the three constitutional petitions, brought to challenge the constitutionality of the Constitutional Amendment Act 13 of 2000. The other two are:

(1) constitutional petition number 6 of 2000 *Chapaa and others v The Attorney-General* and

(2) constitutional petition number 7 of 2000 *Ssemogerere and others v The Attorney-General.*

Counsel for the parties to constitutional petition numbers 6 and 8 agreed that petition number 8 of 2000 be heard as a test case. Upon that agreement, the hearing of petition number 6 of 2000 was stayed pending the decision in petition number 8 of 2000. Counsels for the parties to petition number 7 of 2000 however were not present when that decision was taken and therefore, were not party to the agreement.

This petition, like the others was brought under articles 3(4), and 137(1) and (3) of the Constitution of the Republic of Uganda, 1995 and the Modifications to the Fundamental Rights and Freedoms (Enforcement Procedure) Rules 1992 directions, 1996 (Legal Notice Number 4 of 1996). In a ruling on a preliminary objection that was taken when this petition was called for hearing, this Court limited the issue for determination here to only one. It is whether

Parliament followed the procedure provided for under the Constitution in enacting the Constitutional Amendment Act 13 of 2000.

It is important to note from the outset that article 2(1) of the Constitution provides that "this Constitution is the supreme law of Uganda and shall have binding force on all authorities and persons throughout Uganda".

This provision states the constitutional supremacy over all authorities and persons in Uganda. That means that Parliament is subject to the Constitution and therefore, must in the exercise of its functions comply with all relevant constitutional provisions. Any deviation would be unconstitutional. Clause 2 of article 2 emphasises the constitutional supremacy over all other laws in Uganda. It provides: "If any other law or custom is inconsistent with any of the provisions of this Constitution, the Constitution shall prevail, and that other law or custom shall, to that extent of inconsistency, be void".

With the above constitutional principles in mind, I had the chance to read in draft the judgment of the Learned Deputy Chief Justice, Lady Justice Mukasa-Kikonyogo and I agree with her conclusion. I shall therefore, make only very few remarks of my own.

Mr John *Matovu* learned counsel for the petitioner, assisted by Mr *Kabega*, complained firstly that Parliament did not comply with the provision of article 258 of the Constitution when enacting the impugned Act 13 of 2000. He asserted that though article 258(1) restricts the constitutional amendment to addition, variation or repeal Parliament went beyond that restriction by inserting new articles 90 and 257A. Secondly, that though article 258(2) requires that the sole purpose of the Bill should be to amend the Constitution, Parliament entertained Bill 16 of 2000 whose sole purpose was not only to amend the Constitution but also included as one of its purposes ratification of past acts as shown in its preamble.

On the other hand Mr *Berieje*, Commissioner for Civil Litigation, contended that Parliament complied with the provision of article 258 of the Constitution since Act 13 of 2000 did not go beyond the restriction imposed by article 258(1). It amended the Constitution by addition, variation, repeal and replacement, which are permissible under the article.

On the purpose of the Bill, Mr *Bireije* submitted that the sole purpose of the Bill was to amend the Constitution. He argued that the ratification referred to in the preamble was merely the reason for the addition.

I do not with respect, agree with Mr *Matovu*'s complaint that Parliament went beyond its mandate given by article 258(1) when it inserted new articles 90 and 257A. The repeal of the old article 90 and replacing it by a new one is an amendment by variation, which is permissible under article 258(1). Likewise insertion of article 257A is an amendment by addition which is also permissible under article 258(1).

Article 257(9) of the Constitution provides:

> "reference to the amendment of any of the provisions of this Constitution or any Act of Parliament include reference to the alteration, modification or re-enactment, with or without amendment or modification of that provision, the suspension or repeal of that provision and the making of a different provision in place of that provision".

The repeal and replacement and/or insertion made by Parliament when enacting the Constitution (Amendment) Act 13 of 2000, therefore, fell within the above provision. Parliament did not thus exceed its mandate.

The learned counsel further contended that the preamble of Bill 16 of 2000 shows that its sole purpose was not to amend the Constitution but also:

(*a*) to make provision in relation to quorum,

(*b*) to make provision to recognise the role of the committee of the whole House in passing Bills, and

(*c*) to insert a new article to ratify certain past act relating to procedure.

In my view, the above are reasons for the proposed, amendment. They are not purposes of the Bill. The purpose of the Bill remains solely to amend the Constitution to achieve those objectives. Article 258(2) does not restrict on objectives of any proposed amendment. Parliament, therefore, did not violate article 258 of the Constitution when passing the Constitution (Amendment) Act 13 of 2000. Another complaint raised by counsel for the petitioners was that Parliament did not comply with article 261 and 262(1) of the Constitution. Article 261 provides that a Bill seeking to amend articles other than those referred to in articles 259 and 260 of the Constitution must be supported at its second and third readings by votes of not less than two thirds of all members of Parliament. The Bill, which gave rise to Act 13 of 2000 now the subject of this petition, sought to amend articles 88, 89 and 90. Article 261 applies to these articles because they are articles; other than those referred to in articles 259 and 260. Now, whether the Bill was supported in its second and third readings as required by article 261 or not is a question of fact to be established by evidence. The petitioner has the burden to prove this fact (section 102 Evidence Act). There is, however, no evidence to show that article 261 was not complied with. This ground of complaint would, therefore, fail.

Article 262(1) provides for the spacing of the second and third readings referred to in articles 259 and 260 by at least sitting days of Parliament. Mr *Matovu* complained that the spacing requirement was not complied with in this case. I find no merit in this complaint. Bill 16 of 2000 sought to amend articles 88, 89 and 90, which are not included on the list of the articles referred to in articles 259 and 260 to which article 262 (1) applies. Therefore, article 262(1) was not applicable to the Bill which gave rise to the impugned Act 13 of 2000.

It is true that article 94 empowers Parliament to make its own Rules of Procedure. Such Rules however, are subject to constitutional provisions in view of the constitutional supremacy referred in article 2(2) above. In fact, rule 96(2) of the Rules of Procedure of the sixth Parliament of Uganda empowered Parliament to rush an urgent Bill through all its stages even in a day notwithstanding anything in the Rules. As stated earlier in this judgment, even such rules as this one, are subject to constitutional provisions.

Mr *Matovu* further complained that the amendment to article 97 and the insertion of a new article 257A were effected when they were not published in the *Gazette*. He submitted that, that offended article 90(3)(*a*) of the Constitution since the amendments were not discussed by the relevant standing committee as they should have.

Mr *Bireije* conceded that articles 97 and 257A were passed without being published, as they were not on the originally gazetted Bill. He submitted however, that the omission was not fatal since a Bill is a working document for Parliament which can be amended in the course of debating it before it is passed.

Article 90(3)(*a*) provides that the functions of standing committee shall include amongst others,

> "(*a*) to discuss and make recommendations on all bills laid before Parliament".

Under section 102 of the Evidence Act the burden to prove any particular fact lies on that person who wishes the court to believe in its existence, unless it is provided by any law that the proof of that fact shall lie on any particular person. In the instant case, the petitioner who wishes this Court to believe that the Bill was not discussed by standing committee is under a duty to prove that fact. No such evidence was given. Therefore, this aspect of complaint would also fail.

In the result, I would dismiss the petition and order that each party bears his own costs since this petition was instituted in public interest.

KITUMBA JA: I have had the advantage of reading in draft the judgment of my Lord Mukasa-Kikonyogo DCJ in which she sets out the facts leading to this petition. I will therefore not repeat them. I also agree with her that the petition should be dismissed. I wish, however, to go briefly over some of the arguments raised by counsel in this petition, regarding the issue which was framed at the hearing of the petition, which is: "Whether Parliament followed the proper procedure when enacting Act 13 of 2000 known as the 'Constitution (Amendment) Act' ".

Mr *Matovu*, learned counsel for the petitioners, contended that Parliament did not follow the provisions of article 258 of the Constitution. Learned counsel submitted that according to article 258(1) Parliament can amend the Constitution by way of *addition, variation* or *repeal* of any provision of the Constitution. Counsel argued that Parliament exceeded its powers because it was stated in the preamble that the Act was to ratify certain acts relating to procedure, and to insert article 257A in the Constitution.

Mr *Bireije*, learned counsel for the Respondent, contended that Parliament passed Act 13 of 2000 with strict compliance to the provisions of the Constitution. He argued that the preamble merely explained what was contained in the Act and inserting article 257A was an addition to the Constitution. He argued that this was within the meaning of amendment as provided by article 257(9) of the Constitution.

I am unable to appreciate Mr *Matovu*'s argument regarding the preamble. A preamble is not part of a statute. Osborn's Concise Law Dictionary (8 ed) page 256 gives the following definition of preamble: "The recitals set out at the beginning of a statute showing the reasons for the Act".

Counsel for the petitioners contended that Act 13 of 2000 was passed in contravention of the provisions of article 261 of the Constitution. The Constitution (Amendment) Bill, 2000 (16 of 2000) did not go through the committee stage provided by article 90 of the Constitution. Counsel argued that the Bill was published on 28 August 2000 and was passed and assented to on 1 September 2000. Learned counsel submitted that though according to article 94 of the Constitution, Parliament can make rules to regulate its procedure, such rules must be subject to the Constitution. Parliament is not empowered to make rules, which vary the operation of article 261 of the Constitution.

With due respect to counsel, this argument is not tenable. When Parliament makes Rules of Procedure they are of general application in that they apply whether Parliament is making constitutional amendments or enacting other

laws. According to rule 96(1) of the Rules of Procedure of Parliament when a Bill is of an urgent nature, it may be taken through all its stages within a day. The petitioners had the duty to prove their case. However, apart from annexures "A" and "B" to the affidavit of Ayena Odongo which shows that the Bill was published on 28 August 2000 and the Act was passed and assented to on 1 September 2000, there is no evidence to prove that the Parliament did not make use of rule 96(1) when enacting the Constitution (Amendment) Act.

Counsel for the petitioners has also complained that article 262(2)(*a*) of the Constitution which requires a Bill amending the Constitution, when being sent to the President for assent, to be accompanied by a certificate of the Speaker certifying that the provisions of the Constitution have been complied with was not followed.

The President's signature is affixed to Act 13 of 2000 and the petitioners have not adduced evidence to prove that the certificate was not attached. It is assumed, therefore, that the provisions of article 262(2)(*a*) were complied with. Article 257(9) of the Constitution defines amendment to the Constitution as follows:

> "(9) In this Constitution, references to the amendment of any of the provisions of this Constitution or any Act or Parliament include references to the alteration, modification or re-enactment, with or without amendment or modification of that provision, the suspension or repeal of that provision and the making of a different provision in place of that provision".

I am of the considered view that the Constitution (Amendment) Act did exactly what is provided in article 257(9). I am satisfied on the evidence available that when passing the Constitution (Amendment) Act, Parliament followed the constitutional procedure which is provided in the Constitution.

I would dismiss the petition and I would order that each party bears its own costs.

For the Petitioner:

Information not available

For the Respondent:

Information not available

William v Attorney-General
[2001] 1 EA 312 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of Ruling:	29 June 2001
Case Number:	5/00
Before:	Mukasa-Kikonyogo DCJ, Mpagi-Bahigeine, Engwau, Twinomujuni and Kitumba JJA
Sourced by:	B Tusasirwe
Summarised by:	H K Mutai

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[1] Constitutional law – Interpretation – Petition for declaration – Allegation that petitioner's rights

had been violated – Articles 50 and 137 – Constitution.

Editor's Summary

The petitioner, an enrolled and practising advocate, filed a petition before the Constitutional Court seeking the making of various declarations against the Respondents. Counsel for the Respondents raised a preliminary objection against the petition on the ground that it was incompetent since it did not seek an interpretation of the Constitution but rather an enforcement of the rights and freedoms allegedly infringed. He further averred that the Constitutional Court had in the past ruled that it had no jurisdiction to entertain claims brought under article 50 of the Constitution and that such claims ought to be brought before the High Court. Accordingly, he submitted that the court ought not to entertain the petition since paragraph five thereof expressly stated that it was brought under article 50. Counsel for the petitioner sought to distinguish the cases relied on by the Respondents on the ground that in those cases no specific allegations were made that specified acts of the Respondents contravened the Constitution.

Held – (Mpagi-Bahigeine JA dissenting) The jurisdiction of the Court of Appeal sitting as the Constitutional Court was derived exclusively from article 137 of the Constitution. Article 50 of the Constitution did not confer any additional or separate jurisdiction on the court to enforce rights and freedoms. However, the Constitutional Court was a "competent court" to which an application for redress under article 50 could be made in the context of a petition under article 137 brought principally for the interpretation of the Constitution; *Serugo v Kampala City Council and another* constitutional appeal number 2 of 1988 applied, *Rwanyarare and another v Attorney-General* constitutional petition number 11 of 1997 disapproved. Where allegations were made to the court that specific rights under the Constitution had been violated, the process of determining the meaning of the specified provisions allegedly violated and whether the conduct complained of actually violated those provisions was not an enforcement of rights and freedoms but an exercise in the interpretation of the Constitution. Moreover, the fact that there was a remedy available elsewhere was not relevant and could not deprive the court of jurisdiction specifically conferred on it by article 137. In this instance, the fact that the petition stated in paragraph five that it was brought under article 50 did not matter as the top of the petition stated that it had been brought under both articles 50 and 137. Accordingly, the petition fell within the scope of article 137 and the preliminary objection would be dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Attorney-General v Tinyefunza constitutional appeal number 1 of 1999

Kabagambe v UEB constitutional petition number 2/1999 (unreported)

Rwanyarare and another v Attorney-General constitutional petition number 11 of 1997 – ***DA***

Serugo v Kampala City Council and another constitutional appeal number 2 of 1988 – **AP**

Ruling

MUKASA-KIKONYOGO DCJ, ENGWAU, TWINOMUJUNI and KITUMBA JJA: The petitioner who is an enrolled and practising advocate in Uganda filed this petition against the Attorney-General and two others alleging in paragraph three thereof as follows:

> "(a)(i) On the 14 February 2000 your petitioner secured premises on Uganda House for a law firm and applied for its inspection. As per Appendix 'A' attached herewith. For a period of 6 months Between 14 February 2000 and 7 July 2000 the Law Council 'discriminated' against your petitioner and inspected several other law firms which had even applied later leaving out the petitioner's chambers. During, which six months period your petitioner's application was neither attended to nor given any consideration until six months later.
>
> (ii) Your petitioner shall aver and contended that the above action of the Law Council are inconsistent with and violated your petitioner's right under article 21(1) and (2) of the Constitution.
>
> (b)(i) On the 15 February 2000, following your petitioners application for enrolment as a Commissioner for Oaths, the Ag. Chief Registrar wrote to the Law Council for comments on your petitioner. See Appendix 'B' here attached. That despite several reminder the Law Council had by 7 July 2000 never written to the Ag. Chief Registrar.
>
> (ii) Your petitioner avers that the above lone, silence to reply is inconsistent with and violated his right to practice his profession under article 40(2) of the Constitution.
>
> (c)(i) On the 7 July 2000 after six months, your petitioner received a letter herewith attached marked Appendix 'C' declining to inspect your petitioners Law firm. Your petitioner was neither invited nor requested to be heard before this decision affecting him was reached.
>
> (ii) Your petitioner avers that by the Law Council; not hearing him before determining his fate, the Law Council's acts are inconsistent with and violated articles 28(1) and 44(*c*) of the Constitution.
>
> (d)(i) Since the 24 July 2000 your petitioner has been asking for the records, proceedings and minutes of the Law Council pertaining to the said decision. See Appendix 'D' here attached. The Law Council has declined to avail the said records to date.
>
> (ii) Your petitioner further avers that the said continued withholding, of the said information violates your petitioner's rights to seek administrative or Judicial rights in court of law as enshrined in article 42 of the Constitution".

The petition is supported by the affidavit of the petitioner deported to on the 4 August 2000.

When the petition came up for hearing, Mr Joseph *Matsiko* the Learned Senior State Attorney who represented the Respondents raised a preliminary objection against the petition. He contended that the petition was incompetent because it does not seek interpretation of the Constitution but seeks enforcement of rights and freedoms allegedly infringed by the Respondents. He pointed out that the petitioner himself had conceded this point in his reply to the answer to the petition when he stated that: "this petition is not for constitutional interpretation rather it is a petition for declaration as to whether the acts of the Law Council violated, any of the mentioned petitioner's constitutional rights".

He pointed out further that the petition itself stated in paragraph five that the petition was brought under article 50 of the Constitution and yet this Court has held again and again that it had no jurisdiction to entertain actions filed under that article. He cited the cases of Rw*anyarare and another v Attorney-General* constitutional petition number 11 of 1997 (unreported) and *Kabagambe v UEB* constitutional petition number 2 of 1999 (unreported) to support his argument that this Court had no jurisdiction to entertain this petition. Mr *Matsiko* requested the court to dismiss the petition with costs to the Respondents.

Mr Arthur *Katongole*, who represented the petitioner, in reply submitted that this Court had jurisdiction to entertain the petition. He sought to distinguish on facts the cases of *Dr Rwanyarare* (*supra*) and *Kabagambe* (*supra*).

In his view, there were no specific allegations in those cases that specified acts of the Respondent had contravened the Constitution as is alleged in the instant petition. Moreover in the *Kabagambe* case, there was another court (the High Court) where it could have been filed which is not the case in the instant petition. He invited the court to reject the objection to the petition and to order the hearing of the same to proceed. Mr *Matsiko* retorted that this was a case of enforcement of rights and could have been filed in the High Court in an action for *mandamus* and this Court was the wrong place for it.

It is now trite that the jurisdiction of this Court is exclusively derived from article 137 of the Constitution. In the Supreme Court case of *Serugo v Kampala City Council and another* constitutional appeal number 2 of 1988, it was held as per Mulenga JSC that:

> "Although there are a number of issues in that case (*Attorney-General v Tinyefunza* Constitutional Appeal Number 1 of 1999) decided on the basis of majority view, it is evident from proper reading of the seven judgments in that case, that it was the unanimous holding of the court that the jurisdiction of the Constitutional Court was exclusively derived from article 137 of the Constitution. It was not a holding in any of the judgments that article 50 of the Constitution confers on the Constitutional Court, any additional and/or separate jurisdiction to enforce the rights and freedoms guaranteed under the Constitution. It seems to me that what Mr Mbabazi may have misconstrued is the holding … that the Constitutional Court was a 'Competent Court' for the purpose of article 50 to which an application (for redress) may be made when such a right or freedom is infringed or threatened. It must be noted, however, that this holding is subject to a rider to the effect that such application for redress can be made to the Constitutional Court, only in the context of a petition under article 137 brought principally, for Interpretation of the Constitution".

Article 137(1) provides: "Any question as to the interpretation of this Constitution shall be determined by the Court of Appeal sitting as the Constitutional Court".

The Constitution does not define the word "Interpretation". However, article 137(3) gives a clear indication of what the word means. It states:

> "137(3) A person who alleges that:
>
> (*a*) An Act of Parliament or any other law or anything in or done under the authority of any law; or
>
> (*b*) Any act or omission by any person or authority
>
> is inconsistent with or in contravention of a provision of this Constitution, may petition the Constitutional Court for a declaration to that effect, and for redress where appropriate".

We hold the view that the allegations made to the Constitutional Court, if they are in conformity with article 137(3), give rise to the interpretation of the Constitution and the Court has the jurisdiction to entertain them.

In the instant petition, the petitioner alleges that the Law Council is guilty of commissions and omissions, which are inconsistent with or in contravention of the Constitution. He has petitioned this Court for a declaration to that effect. In our judgment these are the type of actions envisaged by article 137(3)(*b*). He is not stating as a fact that he has a definite right that should be enforced. He is *alleging* that the conduct of the Law Council has violated his rights guaranteed by specified provisions of the Constitution and this Court should so declare. In order to do that the Court must determine the meaning of the specified provisions of the Constitution allegedly violated and whether the conduct complained of has actually violated those provisions. The carrying out of that exercise by the Court is an interpretation of the Constitution. It is not an enforcement of rights and freedoms. The Court is being called upon to interpret the Constitution. It can make a declaration and stop there or it can grant redress if appropriate. Whether the alleged acts and omissions of the Law Council contravene or are inconsistent with the Constitution is not relevant to the issue of jurisdiction. It is what the Court is called upon to investigate and determine after it has assumed jurisdiction. It is not relevant either, that there is a remedy available to the petition somewhere else. That alone cannot deprive the Court of the jurisdiction specifically conferred on it by article 137.

We are aware that the petition states in section 5 thereof that the petition is brought under article 50 of the Constitution. But at the top of the petition it also states that the petition is brought under articles 50 and 137. As can be seen from the above quoted judgment of Mulenga JSC in the *Serugo* case this Court can give redress in the process and within the context of interpretation under article 137. It would have been different if the petition was based on article 50 alone.

We are also mindful of the fact that the petitioner states in the reply to the Respondent's answer to the petitioner that: "this petition is not for constitutional interpretation rather it is a petition for a declaration as to whether the acts of the Law Council violated any of the mentioned petitioner's constitutional rights".

This statement alone does not deprive this Court of the jurisdiction conferred by article 137. The process of making a declaration whether the acts of the Law Council violated the petitioner's constitutional rights involves constitutional interpretation.

We have also considered the cases of *Rwanyarare and another v Attorney-General* (*supra*) and *Kabagambe v UEB* (*supra*) which were relied upon by Mr *Matsiko* in support of the proposition that this petition is incompetent. The *Rwanyarare* case is distinguishable from the instant case because in that case, there was no allegation that any person or authority had done or failed to do anything inconsistent or in contravention of any specified provisions of the Constitution.

Secondly, the Court dismissed the petition because it included matters under article 50 of the Constitution. The Court was then of the view that it could only handle such matters by way of reference made under article 137(5) of the Constitution because it was not a competent court within the meaning of article 129. However, the Supreme Court has since held in the case of *Serugo* (*supra*) that:

(a) The Constitutional Court is a competent court within the meaning of article 129 of the Constitution.

(b) In the process of constitutional interpretation under article 137 the court can deal with matters of redress and compensation which are matters of enforcement of rights under article 50 if the court deems it appropriate.

In our view, the particular point in the decision in the *Rwanyarare* case which Mr *Matsiko* sought to rely upon had already been overruled by the Supreme Court and is no longer good law. The *Kagambe* case is also distinguishable from this case. The Constitutional Court was of the view that it was a disguised case of wrongful dismissal and would be better handled by a competent court under articles 50 and 129. This petition is specific. It alleges that the Law Council has acted in a manner inconsistent with specific articles of the Constitution. It is seeking a declaration to that effect. That is well within article 137(3)(*b*). This Court has the jurisdiction to entertain it. The preliminary objection is therefore overruled and dismissed with costs to the petitioner.

Mpagi-Bahigeine JA (dissenting) : I have read in draft the ruling of the majority of the court. While I profoundly respect their Lordships' opinion, I find great difficulty in agreeing with it. The petitioner is complaining about the Law Council's non-compliance with the provisions of the Advocates Act, resulting in violation of his constitutional rights guaranteed by articles 21(1) and (2); 28(1), 40(2), 41(1), 42 and 44 (c) of the Constitution.

The Law Council whose conduct or misconduct is the subject of this petition is a creature of the Advocates Act (Chapter 22 of 1970). This Act sets out the functions of the Law Council concerning the general supervision and control of the professional legal education in Uganda. The Act similarly provides for an appeal to the High Court by an advocate aggrieved by any decision of the Law Council, through the Disciplinary Committee. I am of the opinion therefore that the Law Council's failure to act or perform its functions under the Act cannot be said to be "not a clear cut" case so as not to indicate in which court to seek redress as alleged by Mr Arthur Katongole.

Most importantly, the last paragraph of the petition reads:

"5. Your petitioner brings this petition by virtue of the provisions of article 50 of the Constitution of the Republic of Uganda".

Mr *Alenyo* clearly reiterates throughout his pleadings that he is not seeking an interpretation of the Constitution, but only a declaration and redress. I think it has been settled in constitutional petition number 2 of 1999 *Charles Kabagambe v UEB* thus:

> "It follows that a person who seeks to enforce a right or freedom guaranteed under the Constitution, but whose claim does not call for interpretation of the Constitution, has to apply to any other competent court. The Constitutional Court is competent for that purpose only upon determination of a petition under article 137(3)".

This means, therefore, that a declaration and redress can only be granted by this Court where appropriate when a matter is brought before it for interpretation. I do not think there can be a declaration without interpretation. I would uphold the objections to the petition raised by the Respondent and dismiss the petition with costs.

For the Petitioner:

Information not available

For the Respondents:

Information not available

Yaga v Republic
[2001] 1 EA 318 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of judgment:	20 July 2001
Case Number:	174/00
Before:	Gicheru, Tunoi and O'kubasu JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Children – Evidence of – Corroboration – Need for corroboration of testimony of a child of tender years – Whether a person aged 14 years can be classified as a child of tender years – Section 19 – Oaths and Statutory Declarations Act – Section 124 – Evidence Act.

[2] Evidence – Identification of accused – Recognition by witness – Whether the identification evidence was sufficient to support a conviction in the absence of an identification parade.

Editor's Summary

On the evening of 3 October 1997, JA was attacked, robbed and killed at her home. Her daughter M, was raped and severely cut with a panga. The Appellants were arrested and charged with the offence of robbery with violence. At the trial, M testified that she was 14 years old and that she had known the Appellants prior to the night of the robbery as they used to visit her mother every day. On the night in question, she had cooked a meal and served the Appellants as they sat with her mother. Evidence was also adduced to the effect that the Second Appellant had led the police to the place where some of the stolen items were recovered. The Appellants were convicted of the offence of robbery with violence contrary to section 296(2) of the Penal Code and sentenced to death by a magistrate's court. Their first appeal to the High Court was dismissed on the ground that there was no reason to fault the trial court's judgment. The Appellants now appealed to the Court of Appeal on the grounds that their identification had been improper and that the evidence of the primary prosecution witness, M, required corroboration.

Held – Under Kenyan law, in the absence of any statutory definition in the Oaths and Statutory Declarations Act the expression a "child of tender years" meant any child of under 14 years of age; *Kibangeny Arap Kolil v R* [1959] EA 92 applied. M's evidence, if truthful, therefore required no corroboration.

The evidence adduced before the trial court indicated a familiarity of M with the Appellants from the period when they used to visit her mother. The adequate lighting in her mother's house and her interaction with the Appellants as she served them food further strengthened her identification of the Appellants by recognition. There were therefore no grounds for interfering with the judgments of the two courts below and the appeals would be dismissed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kibangeny Arap Kolil v R [1959] EA 92 – **AP**

Judgment

GICHERU, TUNOI and O'KUBASU JJA: According to the authority of Kibangeny Arap Kolil v R [1959] EA 92 at page 94 letter G, in the absence of any definition in the Oaths and Statutory Declarations Act (Chapter 15) of the Laws of Kenya of the expression "child of tender years" for the purpose of section 19 of the said Act, such expression, in the absence of any special circumstances, is taken to mean any child of any age, or apparent age, of under 14 years.

In this second appeal, the star witness in the court of first instance was Millicent Auma (PW6), hereinafter referred to as Millicent. In her testimony in the aforesaid court, she said that she was 14 years old. She was therefore outside the provisions of section 19 of the Oaths and Statutory Declarations Act (Chapter 15) of the Laws of Kenya, hereinafter called the Act. Accordingly, the provisions of section 124 of the Evidence Act (Chapter 80) of the Laws of Kenya were not applicable to her testimony. Her evidence, if truthful, required no corroboration. According to the trial magistrate, there was no reason to doubt her evidence as she knew the Appellants before and had enough time and light to recognize them as the persons who attacked, robbed and killed her mother, Jane Aluoch, on the evening of 3 October 1997 at about 7:00pm at Muhaka Village, Kinondo Location in Kwale District of the Coast Province. After a careful analysis of the evidence before the trial court, the first appellate court concurred with the holding of the trial court and hastened to add that as the first appellate court, there was even less reasons to doubt the evidence of Millicent since, unlike the trial magistrate, it had not heard nor seen this witness in the witness box.

The evidence of Millicent was that on the material day, the Appellants whom she knew before came to their house at about 7:00pm while she was cooking in the kitchen which was lit by a lantern. Her mother was in the main house where there was also a lantern. The Appellants used to visit her mother every day and she knew one of them by name – the Second Appellant, Mohamed Rama Mwafisi while she was familiar with the appearance of the First and Third Appellants – Salim Hamed Yaga and Hassan Juma Mwasoro. These three young men sat with her mother on the verandah which was lit by a lantern. After the meal was ready, she served them and when they had eaten, she removed the plates while the lantern light was still on. Thereafter, the Appellants called her mother to give them money to buy cigarettes and as the latter entered into her house with a view to getting money for them, they followed her into her bedroom, tied her with a rope and subsequently strangled her to death. They then took her small black radio, handbag which contained

her documents, an iron box and a panga. Subsequent thereto, they raped Millicent and severely cut her with a panga on both sides of her face and on her right thumb. She became unconscious and on regaining consciousness she on the following morning reported the incident to the village elder who took her to Diani Police Station who then took her to Msambweni Hospital from where she was transferred to Coast General Hospital.

Meanwhile, the Appellants were arrested and in the course of the investigation, the Second Appellant, Mohamed Rama Mwafisi, led the police to the place where some of the items stolen from the house of Millicent's mother were recovered. These comprised of the black handbag in which were personal documents as are narrated above, an iron box besides the small black radio and a panga which had been left in the house of Mohamed Omari Mmakumuki (PW5) by the Second Appellant. These items were identified in the trial court by Millicent as belonging to her deceased mother.

Upon this evidence, the Appellants had been convicted of the offence of robbery with violence contrary to section 296(2) of the Penal Code and the First Appellant was sentenced to suffer death in the manner authorized by law while the Second and Third Appellants being under the age of 18 years were ordered to be detained during the President's pleasure.

The Appellants' first appeal in the superior court was dismissed for the reasons that that court could not fault the judgment of the trial court. The Appellants now appeal to this Court principally on the issues of their identification by Millicent and corroboration of her evidence. According to counsel for the Appellant, Mr *Byrant*, in the absence of an identification parade, the identification evidence of Millicent was suspect and incapable of founding the Appellants' conviction. Besides, Millicent being a child of 14 years, her evidence required corroboration before it could be acted on. Such corroboration was lacking. According to counsel for the Respondent, Mrs *Mwangi*, however, the identification evidence of Millicent was that of recognition as she knew the Appellants before although she knew only the Second Appellant by name. There was therefore no need for an identification parade. And as regards the need for corroboration of Millicent's evidence, since she was outside the ambit of section 19 of the Act, the provisions of section 124 of the Evidence Act, Chapter 80 of the Laws of Kenya were inapplicable to her. Once therefore her evidence was truthful, it could safely be acted upon. In any event, the discovery of the stolen items from the house of Millicent's deceased mother was corroboration of the robbery in respect of which the Appellants were charged, convicted and sentenced as is set out in this judgment, particularly in regard to the Second Appellant who led the police towards the discovery of the said items.

The crucial issue in this appeal is the identification of the Appellants by Millicent as the persons who committed the robbery in respect of which they were convicted and sentenced. The brief resume of the evidence set out in this judgment indicate a familiarity of Millicent with the Appellants for the period they visited her now deceased mother every day. The adequate lighting in her mother's house and her interaction with the Appellants as she served them with

the evening meal and collecting plates after they had eaten immediately before the robbery, stabilizes her identification of the Appellants by recognition. That aspect of her evidence was believed by the trial magistrate and upheld by the first appellate court. We can find no sound basis upon which to fault the two courts below in that regard. In the result, this appeal must fail and the same is dismissed.

For the Appellants:

Information not available

For the State:

Information not available